2026 - CAF 1

FINANCIAL ACCOUNTING AND REPORTING

Study Text

ICAP



SHAPING FUTURE BUSINESS AND FINANCE LEADERS

CAF - 1

FINANCIAL ACCOUNTING AND REPORTING

Second edition published by
The Institute of Chartered Accountants of Pakistan
Chartered Accountants Avenue
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Karachi – 75600 Pakistan
Email: ipd@icap.org.pk
www.icap.org.pk

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CHAPTER 1

IAS 20 GOVERNMENT ASSISTANCE AND GRANTS

IN THIS CHAPTER:

AT A GLANCE

SPOTLIGHT

1. Definitions and scope
2. Recognition
3. Presentation and disclosure
4. Repayment
5. Comprehensive Examples
6. Objective Based Q&A

STICKY NOTES

AT A GLANCE

IAS 20 Accounting for government grants and disclosure of government assistance requires government grants to be recognised if there is reasonable assurance that the grant will be received and entity will comply with the conditions of the grant. It also requires disclosure of other government assistances except the benefits provided only indirectly through action affecting general trading conditions, such as the provision of infrastructure in development areas or the imposition of trading constraints on competitors.

Government grants shall be recognised as income over the periods necessary to match them with the related costs which they are intended to compensate, on a systematic basis.

Government grants related to assets can be presented as deferred income or deducted from the cost of related assets.

Government grant related to income are amortized in the pattern of future expenses to be incurred, however, government grant if related to an immediate relief requiring no expenses to be incurred in future are included in profit or loss immediately.

The amortization of grant related to income can be presented as other income or deducted from the related expenses.

The non-monetary grants are allowed to be recognised at fair value of the goods/assets received or at nominal value.

Repayment of a grant related to income shall be applied first against any unamortised deferred credit set up in respect of the grant. To the extent that the repayment exceeds any such deferred credit, or where no deferred credit exists, the repayment shall be recognised immediately as an expense.

Repayment of a grant related to an asset shall be recorded by increasing the carrying amount of the asset or reducing the deferred income balance by the amount repayable. The cumulative additional depreciation that would have been recognised to date as an expense in the absence of the grant shall be recognised immediately as an expense.

1 DEFINITIONS AND SCOPE

1.1 Introduction [IAS 20: 1]

Across the globe, the governments provide various types of assistance to businesses in order to achieve various economic objectives such as to promote a specific type of business (say, electric vehicles) or to create employment opportunities. The assistance may be mere an aid by creating ease of doing business or it may be in the form of a financial assistance. The most common form of such assistance is a grant of cash or land to the business entity from local or national government.

IAS 20 is applied in accounting for, and in the disclosure of, government grants and in the disclosure of other forms of government assistance.

1.2 Key definitions [IAS 20: 3 & 6]

Government refers to government, government agencies and similar bodies whether local, national or international.

▶ *Example 01:*

As per IAS 20, the following may be considered "Government" if providing financial assistance to an entity:

1.	Federal governments	5.	Small and Medium Enterprises Development Authority
2.	Provincial governments	6.	United Nations
3.	District governments	7.	International Monetary Fund (IMF)
4.	Federal/State Banks	8.	World Health Organisation

Government assistance is action by government designed to provide an economic benefit specific to an entity or range of entities qualifying under certain criteria.

However, government assistance does not include benefits provided only indirectly through action affecting general trading conditions, such as the provision of infrastructure in development areas or the imposition of trading constraints/quotas on competitors.

▶ *Example 02:*

JK Limited constructed its factory few years ago in Gwadar. Since then, the government has provided infrastructure by improvement to the general transport and communication network and the supply of improved facilities including water reticulation which is available on an ongoing indeterminate basis for the benefit of an entire local community including JK Limited factory. The business of JK Limited has become much more profitable since provision of these facilities.

Required:

State whether the actions by government in above circumstances are considered government assistance in accordance with IAS 20.

▶ *Answer:*

The above actions affecting general trading conditions are not government assistance as per IAS 20.

Government grants are assistance by government in the form of transfers of resources to an entity in return for past or future compliance with certain conditions relating to the operating activities of the entity.

However, they exclude those forms of government assistance which cannot reasonably have a value placed upon them and transactions with government which cannot be distinguished from the normal trading transactions of the entity.

Government grants are sometimes called by other names such as subsidies, subventions, or premiums.

- *Example 03:*

The government provided following to XYZ Limited:

i. Free technical advice

ii. Free marketing advice for export to Central Europe

iii. Free provision of guarantees for export trade with European Countries.

iv. Supportive government procurement policy that is responsible for significant sales by XYZ Limited.

Required:

Briefly explain whether the above benefits provided by government will be considered as government grant.

- *Answer:*

Items (i) to (iii) are not government grants as these are government assistance that cannot reasonably have a value placed upon them.

Item (iv) is not government grant as it cannot be distinguished from general trading conditions.

Grants related to assets are government grants whose primary condition is that an entity qualifying for them should purchase, construct or otherwise acquire long-term assets. Subsidiary conditions may also be attached restricting the type or location of the assets or the periods during which they are to be acquired or held.

Grants related to income are government grants other than those related to assets.

- *Example 04:*

Identify the following government grants as either "related to assets" or "related to income".

i. Grant by Federal Government on condition to import and install new power generation plant in Pakistan.

ii. Grant by Provincial Government on condition of construction and operation of factory in a specific rural area.

iii. Grant by sports ministry for conducting a Football League for next three years.

iv. Grant by ministry of manpower for maintaining low labour turnover in last five years.

- *Answer:*

Item (i) and (ii) are grant related to assets while item (iii) and (iv) are grant related to income.

2 RECOGNITION

2.1 Recognition criteria [IAS 20: 7 & 8]

Government grants, including non-monetary grants at fair value, shall not be recognised until there is reasonable assurance that:

a) the entity will comply with the conditions attaching to them; and

b) the grants will be received.

Receipt of a grant does not of itself provide conclusive evidence that the conditions attaching to the grant have been or will be fulfilled.

2.2 Non-monetary grant [IAS 20: 23 & 3]

A government grant may take the form of a transfer of a non-monetary asset, such as land or other resources, for the use of the entity. The usual treatment is to record both grant and non-monetary asset at the fair value. The alternative treatment is to record both asset and grant at a nominal amount.

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date.

2.3 Approaches to recognition [IAS 20: 13]

There are two broad approaches to the accounting for government grants:

Capital approach	Under this approach, grant is recognised outside profit or loss (e.g. directly in equity). IAS 20 does not allow this approach, hence not examinable
Income approach	Under this approach, a grant is recognised in profit or loss over one or more period. This approach is applied in accordance with IAS 20.

2.4 Period of recognition [IAS 20: 12, 17, 18 & 20]

Government grants shall be recognised in profit or loss on a systematic basis over the periods in which the entity recognises as expenses the related costs for which the grants are intended to compensate.

The application of above principle may be summarised as follows:

Grant related to income	**Grants in recognition of specific expenses** These are recognised in profit or loss in the same period as the relevant expenses.
	Compensation of expenses already incurred or immediate financial support A government grant that becomes receivable as compensation for expenses or losses already incurred or for the purpose of giving immediate financial support to the entity with no future related costs shall be recognised in profit or loss of the period in which it becomes receivable.
Grant related to assets	**Grants related to depreciable assets** These are usually recognised in profit or loss over the periods and in the proportions in which depreciation expense on those assets is recognised.
	Grants related to non-depreciable assets These may also require the fulfilment of certain obligations and would then be recognised in profit or loss over the periods that bear the cost of meeting the obligations. As an example, a grant of land may be conditional upon the construction of a building on the site and it may be appropriate to recognise the grant in profit or loss over the life of the building.

- *Example 05:*

State the time of recognition of income related to following government grants:

a) The grant was received for maintaining good working conditions in the past.

b) The grant was received for maintaining certain working conditions for next three years.

c) The grant was received for installation of a plant that has useful life of 15 years and being depreciated using 30% reducing balance method.

d) The grant was awarded to facilitate the acquisition of land subject to condition of building a factory thereon.

e) The grant was awarded to facilitate the acquisition of land for dairy farming subject to condition of maintaining minimum 70% local employment for next 10 years.

- *Answer:*

a) Recognise immediately in profit or loss

b) Recognise in profit or loss over next three years

c) Recognise in profit or loss over 15 years in proportion to depreciation expense recognised using 30% reducing balance method.

d) Recognise in profit or loss over the useful life of building.

e) Recognise in profit or loss over next 10 years.

2.5 Forgivable loan [IAS 20: 3 & 10]

Forgivable loans are loans which the lender undertakes to waive repayment of under certain prescribed conditions.

A forgivable loan from government is treated as a government grant when there is reasonable assurance that the entity will meet the terms for forgiveness of the loan. Until then, such a loan is treated as a liability in accordance with IFRS 9. (IFRS 9 not examinable at this Level)

- *Example 06:*

ABC Pharmaceutical Company received cash from government for a research and development project of a children vaccine. As per the terms of the loan, the cash received from the government shall be waived, if the entity is able to develop the vaccine within 3 years and sell it free of cost for 5 years.

Required:

Briefly explain the accounting treatment of the above loan?

- *Answer:*

This is forgivable loan as the repayment shall be waived, under prescribed conditions i.e. ability to develop vaccine within 3 years and sell it free of cost for 5 years.

If there is **reasonable assurance** to meet the conditions of waiver, this forgivable loan shall be recognised as government grant.

However, if there is expectation that it will take more time than three years in the development or there is expectation of selling the vaccine for a price before 5 years, the loan shall be recognised as a liability in accordance with IFRS 9.

▶ *Example 07:*

ABC Pharmaceutical Company received cash from government for a research and development project of a children vaccine. As per the terms of the loan, the cash received from the government is repayable in cash only if the entity decides to commercialize the results of the research phase of the project. If the entity decides not to commercialize the results of the research phase, the cash received is not repayable in cash, but instead the entity must transfer to the government the rights to the research.

Required:

Explain whether the loan will be considered a forgivable loan?

▶ *Answer:*

In this scenario, cash received from the government does not meet the definition of a forgivable loan in IAS 20.

This is because, in this arrangement, the government does not undertake to waive repayment of the loan, but rather to require settlement in cash or by transfer of the rights to the research. The cash received from government shall be recognised as liability in accordance with IFRS 9.

2.6 Benefit of loan at below-market rate of interest [IAS 20: 10A]

The benefit of a government loan at a below market rate of interest is treated as a government grant. The benefit of below market rate of interest shall be measured as the difference between the cash receipt under the government loan and the initial carrying amount of the loan measured and recognised in accordance with IFRS 9.

The entity shall consider the conditions and obligations that have been, or must be, met when identifying the costs for which the benefit of the loan is intended to compensate.

▶ *Example 08:*

On 1 January 2023, MZ Limited received a loan under government support scheme whereby the loan of Rs. 100,000 is provided at a mark-up rate of 5% per annum whereas market rate of interest for similar loan is 12% annum. The loan is for immediate financial support and is repayable on 31 December 2023.

MZ Limited has determined the initial carrying amount of loan in accordance with IFRS 9 at Rs. 93,750 (i.e. Rs. 100,000 + 5% x 100,000 = Rs. 105,000 x 1.12^{-1})

Required:

Prepare the journal entry on 1 January 2023 on receipt of the above loan.

▶ *Answer:*

Date	Particulars	Debit	Credit
		Rs.	Rs.
1 Jan 2023	Cash/Bank	100,000	
	Government grant (profit or loss)		6,250
	Loan (liability)		93,750

3 PRESENTATION & DISCLOSURE

3.1 Presentation: grants related to income [IAS 20: 29]

Grants related to income are presented as part of profit or loss, either separately or under a general heading such as 'other income'; alternatively, they are deducted in reporting the related expense.

Presentation method	Journal entries
Present the grant as other income	**On receipt/accrual of grant** Debit Cash/Receivable Credit Deferred grant **On recognition of grant as income in profit or loss** Debit Deferred grant Credit Other income (PL)
Present the grant as deduction from related expense	**On receipt/accrual of grant** Debit Cash/Receivable Credit Deferred grant **On recognition of grant as income in profit or loss** Debit Deferred grant Credit Expenses (PL)

▶ *Example 09:*

On 31 December 2020, JKL Limited received grant of Rs. 50,000 towards the cost of training young apprentices. The training program is expected to last for two years.

Actual total cost of training was Rs. 200,000 (70% incurred in year 2021 and 30% incurred in year 2022 as originally planned).

Required: Prepare financial statement extracts under both methods of presentation. Year end is 31 December.

▶ *Answer:*

Presentation method: Other income	2020	2021	2022
Statement of financial Position (extracts)	**Rs.**	**Rs.**	**Rs.**
Non-current liabilities: Deferred grant	15,000	-	-
Current liabilities: Deferred grant	35,000	15,000	-
Statement of profit or loss (extracts)			
Training costs	-	(140,000)	(60,000)
Other income: training grant	-	35,000	15,000

Presentation method: Net expense	2020	2021	2022
Statement of financial Position (extracts)	**Rs.**	**Rs.**	**Rs.**
Non-current liabilities: Deferred grant	15,000	-	-
Current liabilities: Deferred grant	35,000	15,000	-
Statement of profit or loss (extracts)			
Training costs (net)	-	(105,000)	(45,000)

3.2 Presentation: grants related to assets [IAS 20: 24]

Government grants related to assets, including non-monetary grants at fair value, shall be presented in the statement of financial position either by setting up the grant as deferred income or by deducting the grant in arriving at the carrying amount of the asset.

Presentation method	Journal entries
Setting up the grant as deferred income	**On acquisition of asset** Debit Non-current asset (PPE, etc.) Credit Bank **On receipt/accrual of grant** Debit Cash/Receivable Credit Deferred grant **Period end depreciation expense** Debit Depreciation expense Credit Accumulated depreciation (PPE, etc.) **Period end amortisation of deferred grant** Debit Deferred grant Credit Profit or loss
Deducting the grant in arriving at the carrying amount of an asset	**On acquisition of asset** Debit Non-current asset (PPE, etc.) Credit Bank **On receipt/accrual of grant** Debit Cash/Receivable Credit Non-current asset (PPE, etc.) **Period end depreciation expense (reduced)** Debit Depreciation expense Credit Accumulated depreciation (PPE, etc.)

▶ *Example 10:*

On 1 January, 2021 ABC Limited acquired a plant at a cost of Rs. 600 million and received a grant of Rs. 60 million on the same date.

The plant is to be depreciated on straight line basis over its useful life of 3 years and Rs. 120 million residual value. There is reasonable assurance that conditions of the grant shall be complied with.

Required:

Prepare financial statement extracts under both methods of presentation. Year end is 31 December.

▶ *Answer:*

Presentation: Separate deferred income	**2021**	**2022**	**2023**
Statement of financial Position (extracts)	**Rs. m**	**Rs. m**	**Rs. M**
PPE (Cost)	600	600	600
Accumulated depreciation	(160)	(320)	(480)
	440	280	120
Non-current liabilities: Deferred grant	20	-	-
Current liabilities: Deferred grant	20	20	-
Statement of profit or loss (extracts)			
Depreciation [(600 – 120) / 3 years]	(160)	(160)	(160)
Other income: grant [60 / 3 years]	20	20	20

Method 2: Deduct from asset's carrying amount	**2021**	**2022**	**2023**
Statement of financial Position (extracts)	**Rs. m**	**Rs. m**	**Rs. M**
PPE (Cost) [600 – 60]	540	540	540
Accumulated depreciation	(140)	(280)	(420)
	400	260	120
Statement of profit or loss (extracts)			
Depreciation [(540 – 120) / 3 years]	(140)	(140)	(140)

3.3 Disclosure [IAS 20: 36 & 39]

The following matters shall be disclosed:

a) the accounting policy adopted for government grants, including the methods of presentation adopted in the financial statements;

b) the nature and extent of government grants recognised in the financial statements and an indication of other forms of government assistance from which the entity has directly benefited; and

c) unfulfilled conditions and other contingencies attaching to government assistance that has been recognised.

Government assistance may be significant so that disclosure of the nature, extent and duration of the assistance is necessary in order that the financial statements may not be misleading.

4 REPAYMENT OF GOVERNMENT GRANT

4.1 Change in accounting estimate [IAS 20: 32]

A government grant that becomes repayable shall be accounted for as a change in accounting estimate. It means that repayment is to be recorded in the year the grant becomes repayable and prior period adjustments are not made.

4.2 Repayment of a grant related to income [IAS 20: 32]

First, debit unamortised balance of deferred grant, and any excess is recognised as expense in profit or loss.

Journal entry	
Debit	Deferred grant (to the extent of unamortised balance)
Debit	Profit or loss (excess, if any)
Credit	Bank

▶ *Example 11:*

On 1 January 2021 Jam Limited (JL) received a cash grant of Rs. 1.5 million towards the cost of employing a blockchain analyst on a new project for a 5 years' period.

The grant is repayable in full if the project is not completed. The analyst was employed and the project commenced from the 1 January 2021.

On 20th January 2023, the project was cancelled and the grant had to be repaid in full.

Required:

Journal entries from 1 January 2021 till the date of repayment.

▶ *Answer:*

Journal entries

Date	Particulars	Debit Rs.	Credit Rs.
1 Jan 2021	Cash	1,500,000	
	Deferred grant		1,500,000
31 Dec 2021	Deferred grant	300,000	
	Profit or loss		300,000
31 Dec 2022	Deferred grant	300,000	
	Profit or loss		300,000
20 Jan 2023	Deferred grant [1,500,000 – 300,000 x 2 years]	900,000	
	Profit or loss (balancing)	600,000	
	Cash		1,500,000

4.3 Repayment of grant related to asset [IAS 20: 32 & 33]

Repayment of a grant related to an asset shall be recognised by increasing the carrying amount of the asset or reducing the deferred income by the amount repayable.

The cumulative additional depreciation that would have been recognised in profit or loss to date in the absence of the grant shall be recognised immediately in profit or loss.

Presentation method	Journal entries on repayment
Setting up the grant as deferred income	Debit Deferred grant (balancing figure) Debit Profit or loss (cumulative additional depreciation, if any) Credit Bank
Deducting the grant in arriving at the carrying amount of an asset	Debit Non-current asset (balancing figure) Debit Profit or loss (cumulative additional depreciation, if any) Credit Bank

Circumstances giving rise to repayment of a grant related to an asset may require consideration to be given to the possible impairment of the new carrying amount of the asset.

▶ *Example 12:*

On 1st January 2020, Deep Water Limited installed a non-current asset with a cost of Rs. 500,000 and received a grant of Rs. 100,000 in relation to that asset. The asset is being depreciated on a straight-line basis over five years.

Grant was repaid on 1st January 2022 in full on failing to meet the conditions.

Required:

Journal entries for the year 2020 to 2022 (under both methods of presentation).

▶ *Answer:*

Presentation method: Setting up the grant as deferred income

Date	Particulars	Debit Rs. 000	Credit Rs.000
1 Jan 2020	PPE	500	
	Cash		500
1 Jan 2020	Cash	100	
	Deferred grant		100
31 Dec 2020	Depreciation [500 / 5 years]	100	
	PPE		100
31 Dec 2020	Deferred grant [100 / 5 years]	20	
	P&L		20
31 Dec 2021	Depreciation [500 / 5 years]	100	
	PPE		100

Date	Particulars	Debit Rs. 000	Credit Rs.000
31 Dec 2021	Deferred grant [100 / 5 years]	20	
	P&L		20
1 Jan 2022	Deferred grant	60	
	Profit or loss [100 / 5 x 2 years]	40	
	Cash		100
31 Dec 2022	Depreciation [300 / 3 years]	100	
	PPE		100

Presentation method: Deducting the grant in the carrying amount of an asset

Date	Particulars	Debit Rs. 000	Credit Rs.000
1 Jan 2020	PPE	500	
	Cash		500
1 Jan 2020	Cash	100	
	PPE		100
31 Dec 2020	Depreciation [400 / 5 years]	80	
	PPE		80
31 Dec 2021	Depreciation [400 / 5 years]	80	
	PPE		80
1 Jan 2022	PPE	60	
	Profit or loss [100 / 5 x 2 years]	40	
	Cash		100
31 Dec 2022	Depreciation [(240 + 60) / 3 years]	100	
	PPE		100

▶ *Example 13:*

On 1st January 2020, Deep Sea Limited installed a non-current asset with a cost of Rs. 500,000 and received a grant of Rs. 100,000 in relation to that asset. The asset is being depreciated on a straight-line basis over five years.

Grant of Rs. 90,000 was repaid on 1st January 2022 on failing to meet the few conditions of grant.

Required:

Journal entries for the year 2020 to 2022 (under both methods of presentation).

Answer:

Presentation method: Setting up the grant as deferred income

Date	Particulars	Debit Rs. 000	Credit Rs.000
1 Jan 2020	PPE	500	
	Cash		500
1 Jan 2020	Cash	100	
	Deferred grant		100
31 Dec 2020	Depreciation [500 / 5 years]	100	
	PPE		100
31 Dec 2020	Deferred grant [100 / 5 years]	20	
	P&L		20
31 Dec 2021	Depreciation [500 / 5 years]	100	
	PPE		100
31 Dec 2021	Deferred grant [100 / 5 years]	20	
	P&L		20
1 Jan 2022	Deferred grant	54	
	Profit or loss [90 / 5 x 2 years]	36	
	Cash		90
31 Dec 2022	Depreciation [300 / 3 years]	100	
	PPE		100
31 Dec 2022	Deferred grant [(60-54) / 3 years]	2	
	P&L		2

Presentation method: Deducting the grant in the carrying amount of an asset

Date	Particulars	Debit Rs. 000	Credit Rs.000
1 Jan 2020	PPE	500	
	Cash		500
1 Jan 2020	Cash	100	
	PPE		100
31 Dec 2020	Depreciation [400 / 5 years]	80	
	PPE		80
31 Dec 2021	Depreciation [400 / 5 years]	80	
	PPE		80
1 Jan 2022	PPE	54	
	Profit or loss [90 / 5 x 2 years]	36	
	Cash		90
31 Dec 2022	Depreciation [(240+54) / 3 years]	98	
	PPE		98

5 COMPREHENSIVE EXAMPLES

▶ *Example 14:*

Adeel Limited (AL) imported and installed a plant at total cost of Rs. 250 million on 1 January 2021. The plant has useful life of 3 years. The residual value of plant at the end of useful life has been estimated at Rs. 128 million. Based on this AL has correctly determined depreciation rate of 20% under reducing balance method that it uses for depreciating plant and machineries.

On the same date, AL also received a government grant of Rs. 60 million towards this plant. It is reasonably certain that AL will comply with the conditions of this grant. AL has policy to present the plant and grant separately in its financial statements.

AL year-ends on 31 December.

Required:

Prepare journal entries in the books of AL in respect of above plant from 1 January 2021 to 31 December 2023 (Journal entry for disposal of plant is not required).

▶ *Answer:*

Tutorial note: Grants related to depreciable assets are usually recognised in profit or loss over the periods and in the proportions in which depreciation expense on those assets is recognised (IAS 20.17).

Year	Annual depreciation	Rs. m	Grant income	Rs. M
2021	Rs. 250m x 20%	50	Rs. 60m x 50/122	24.59
2022	Rs. 50m x 80%	40	Rs. 60m x 40/122	19.67
2023	Rs. 40m x 80%	32	Rs. 60m x 32/122	15.74
	Total	**122**	**Total**	**60**

Journal entries

Date	Particulars	Debit Rs. m	Credit Rs. M
1 Jan 2021	Property, plant & equipment	250	
	Bank		250
	Bank	60	
	Deferred government grant		60
31 Dec 2021	Depreciation	50	
	Accumulated depreciation		50
	Deferred government grant	24.59	
	Profit or loss		24.59
31 Dec 2022	Depreciation	40	
	Accumulated depreciation		40
	Deferred government grant	19.67	
	Profit or loss		19.67

Date	Particulars	Debit Rs. m	Credit Rs. M
31 Dec 2023	Depreciation	32	
	Accumulated depreciation		32
	Deferred government grant	15.74	
	Profit or loss		15.74

▶ *Example 15:*

Kashif Limited (KL) imported and installed a plant at total cost of Rs. 250 million on 1 January 2021. The plant has useful life of 3 years. The residual value of plant at the end of useful life has been estimated at Rs. 128 million. Based on this KL has correctly determined depreciation rate of 20% under reducing balance method that it uses for depreciating plant and machineries.

On the same date, KL also received a government grant of Rs. 60 million towards this plant. It is reasonably certain that KL will comply with the conditions of this grant. KL has policy to present the grant as deduction from the carrying amount of the plant in its financial statements.

KL year-ends on 31 December.

Required:

Prepare journal entries in the books of KL in respect of above plant from 1 January 2021 to 31 December 2023 (Journal entry for disposal of plant is not required).

▶ *Answer:*

Tutorial note: Grants related to depreciable assets are usually recognised in profit or loss over the periods and in the proportions in which depreciation expense on those assets is recognised (IAS 20.17).

Year	Annual depreciation	Rs. m	Grant income	Rs. m	Reduced Depreciation Rs. M
2021	Rs. 250m x 20%	50	Rs. 60m x 50/122	24.59	25.41
2022	Rs. 50m x 80%	40	Rs. 60m x 40/122	19.67	20.33
2023	Rs. 40m x 80%	32	Rs. 60m x 32/122	15.74	16.26
	Total	**122**	**Total**	**60**	**62**

Journal entries

Date	Particulars	Debit Rs. m	Credit Rs. M
1 Jan 2021	Property, plant & equipment	250	
	Bank		250
	Bank	60	
	Property, plant & equipment		60
31 Dec 2021	Depreciation	25.41	
	Accumulated depreciation		25.41

Date	Particulars	Debit Rs. m	Credit Rs. M
31 Dec 2022	Depreciation	20.33	
	Accumulated depreciation		20.33
31 Dec 2023	Depreciation	16.26	
	Accumulated depreciation		16.26

▶ *Example 16:*

Discuss how the following should be dealt with in the financial statements of relevant entities according to IAS 20 Accounting for Government Grants and Disclosure of Government Assistance:

a) The government makes a grant to an entity which is planning to develop teaching software for children with learning difficulties. The purpose of the grant is to help the entity to meet its general financing requirement in the initial phase. There are no further conditions attached to the grant.

b) A manufacturing entity sets up a plant in an area of high unemployment. A government grant of Rs. 4 million is received with a condition that the grant is repayable in full if the number of its employees fell below 100 at any time during the next four years. It is highly probable that the entity will comply with the condition attached to the grant.

c) Free technical advice has been provided by the government's export promotion department to help an exporter to market his new technology in North America.

▶ *Answer:*

Part (a)

The grant has been provided for the purpose of giving immediate financial support to the entity with no further conditions, so this grant should be immediately recognised in profit or loss in full in the period in which the entity qualifies to receive it (when it is receivable) with disclosure to ensure that its effect is clearly understood.

Part (b)

Since there is reasonable assurance that conditions attaching to the grant will be met, the grant is recognised in statement of profit or loss over the four year period in which the entity incurs the costs of employing 100 people. Amount taken to statement of profit or loss may be either be presented as other income or shown as deduction from the related expense. The remaining amount of grant will be presented as deferred income under liabilities in the balance sheet.

Part (c)

Free technical advice is government assistance that cannot reasonably have a value placed upon it and therefore should not be recognised. However, an indication of such assistance should be disclosed in financial statements.

▶ *Example 17:*

You have recently joined as the finance manager of Corv Limited (CL). While reviewing the draft financial statements for the year ended 31 December 2020 prepared by the junior accountant, you have noted that in January 2020, Government allotted an industrial plot to CL at a prime location subject to the condition that CL will establish a factory. CL constructed the factory building which was available for use on 1 October 2020. Due to delay in recruitment of key factory employees, the production activities will commence on 15 March 2021.

The accountant has not recorded the land as it was given free of cost. While the factory building is still appearing in capital work in progress as production activities will commence on 15 March 2021.

The accounting policy of CL is to carry land and building at fair value (wherever permitted by IFRS).

Required:

Discuss how the above issue should be dealt in the financial statements of CL for the year ended 31 December 2020 in accordance with the requirements of IFRSs.

▶ *Answer:*

The accounting treatment adopted by accountant for not recording land is incorrect. Allotment of land by Government is a transfer of a non-monetary asset and should be considered as a government grant. Such non-monetary grant may be recorded at fair value or at a nominal value. As per CL's policy, fair value of the land should be assessed and reported in the financial statements under the head property, plant and equipment (PPE). The grant was made subject to construction of factory so the resulting deferred income should be recognised in income on a systematic basis over the useful life of the factory building.

The factory building should also be transferred from capital work in progress to PPE account as the building is available for use on 1 October 2020. Further depreciation on building should also be charged from same date i.e. 1 October 2020.

▶ *Example 18:*

Discuss how the following should be dealt with in the current year's financial statements of relevant entities in accordance with IAS 20.

a) Xero Limited (XL) received a government grant to setup a plant in an under-developed rural area three years ago. One of the conditions of the grant was that XL will maintain a minimum of 200 employees during the next five years. However, due to worsening economic conditions, XL failed to maintain 200 employees and the full grant became repayable immediately in the current year.

   XL has been presenting the grant in statement of financial position by deducting the grant in arriving at the carrying value of the plant.

b) One Limited received a loan from government in the current year at an interest rate of 5% per annum. The prevailing market interest rate is 12% per annum. The only condition attached to the loan is that it should be used for acquisition of textile machinery.

▶ *Answer:*

Part (a)

- When a government grant becomes repayable it is accounted for as a change in accounting estimate.
- As the grant was presented as deduction from related plant, its repayment would be recognised by increasing the carrying value of the plant
- The cumulative additional depreciation that would have been recognised in profit or loss to date in the absence of the grant must be recognised immediately in profit or loss.
- Also the circumstances giving rise to repayment of the grant might indicate the possible impairment of the new carrying amount of the plant.

Part (b)

- The benefit of the government loan at a below market rate of interest is treated as a government grant. The loan shall be recognised and measured as per IFRS 9.
- Government grant should be recorded as the difference between the initial carrying amount of the loan and the proceeds received.
- As the primary condition for the loan is acquisition of textile machinery, the grant should be considered as grant related to asset and should be recognised in profit or loss over the life of the machinery.
- The grant may be presented in the statement of financial position by setting up the grant as deferred income or by deducting the grant in arriving at the carrying value of the machinery.

▶ *Example 19:*

During the year ended 30 June 2023, Katie received three grants, the details of which are set out below:

a) On 1 September 2022, a grant of Rs. 40,000 from local government. This grant was in respect of training costs of Rs. 70,000 which Katie had incurred.

b) On 1 November 2022 Katie bought a machine for Rs. 350,000. A grant of Rs. 100,000 was received from central government in respect of this purchase. The machine, which has a residual value of Rs. 50,000, is depreciated on a straight-line basis over its useful life of five years.

c) On 1 June 2023, a grant of Rs. 100,000 from local government. This grant was in respect of relocation costs that Katie had incurred moving part of its business from outside the local area. The grant is repayable in full unless Katie recruits ten employees locally by the end of 30 June 2023. Katie is finding it difficult to recruit as the local skill base does not match the needs of this part of the business.

Required:

Show how the above transactions should be reflected in the financial statements of Katie for the year ended 30 June 2023. Where any accounting standards allow a choice, you should show all possible options.

▶ *Answer:*

Presentation: Separate deferred grant / other income

Statement of financial position as at 30 June2023		Rs.
Non-current assets		
Property, plant & equipment [Rs. 350,000 – 40,000 accumulated dep.]	(b)	310,000
Non-current liabilities: deferred grant [100,000 – 13,333 PL – 20,000 CL]	(b)	66,667
Current liabilities: deferred grant [Rs. 100,000 / 5 years]	(b)	20,000
Current liabilities: grant repayable	(c)	100,000
Statement of profit or loss for the year ended 20 June 2023		
Training expense	(a)	(70,000)
Grant related to training expense	(a)	40,000
Depreciation on machine [Rs. (350,000 – 50,000) / 5 years x 8/12)	(b)	(40,000)
Amortisation of deferred grant [Rs. 100,000 / 5 years x 8/12)	(b)	13,333

Presentation: Deduct from carrying amount /net expense

Statement of financial position as at 30 June2023		Rs.
Non-current assets		
Property, plant & equipment [Rs. 350,000 – 100,000 grant – 26,667 Dep.]	(b)	223,333
Current liabilities: grant repayable	(c)	100,000
Statement of profit or loss for the year ended 30 June 2023		
Training expense [Rs. 70,000 – 40,000]	(a)	(30,000)
Depreciation on machine [Rs. ((350,000 – 50,000)-100,000) / 5 x 8/12)	(b)	(26,667)

Tutorial note:

The grant (a) is related to income and it shall be immediately recognised in profit or loss as it relates to expenditure already incurred. Katie may present the training cost expense of Rs. 70,000 and grant income of Rs. 40,000 separately. Alternatively, it may present the training cost expense of Rs. 30,000 (net).

The grant (b) is related to asset and it shall be recognised in profit or loss in line with depreciation on related asset.

The amount of Rs. 100,000 received for grant (c) has conditions attached to it. In such a situation, IAS 20 states that grants should not be recognised until there is reasonable assurance that the entity will comply with any conditions attaching to the grant. Since Katie is struggling to recruit, and there is only one month left for recruitment to meet these conditions, then it does not seem that there is 'reasonable assurance'. Hence the grant should not be recognised as such, but should be held in current liabilities, pending repayment.

▶ *Example 20:*

Discuss how the following should be dealt with in the financial statements of relevant entities according to IAS 20:

a) A government grant of Rs. 25 million was received by an entity in 2022 for the damage to its head office building caused by the flood in December 2021. As a result of damage, an impairment loss of Rs. 21 million was recognised in 2021.

b) A manufacturing entity established a plant in an area with high illiteracy rate and received a government grant of Rs. 40 million. The grant received was equivalent to two years' salaries of the 50 local persons employed by the entity. The grant is repayable in full if the number of these employees falls below 50 at any time during the next five years. It is highly probable that the entity will comply with the condition attached to the grant.

c) Government built an alternate road to the industrial zone, in which an entity's factory is situated. The new road has reduced the distance to the market and would result in an annual saving of transportation costs of Rs. 3 million for the entity.

▶ *Answer:*

a) Since this grant has been given as compensation for expenses or losses that were already incurred in 2021, it should be recorded in profit or loss in 2022. The amounts reported in 2021 should not be restated.

b) Since there is reasonable assurance that conditions attaching to the grant will be met, this is a grant related to income which should be recognised in the statement of profit or loss over the 5 years in which the entity incurs the costs of employing 50 local people. Amount taken to the statement of profit or loss may either be presented as other income or shown as deduction from the related expense. The remaining amount of grant will be presented as deferred income under liabilities in the statement of financial position.

c) The saving of transportation cost is not a government grant as no transfer of resources has been made. Further, it is not considered as government assistance as the benefits is provided indirectly to the entity. Building of the road is basically a provision of better trading conditions to all entities operating in the industrial zone. Consequently, the effect of saving of transportation cost need not be accounted for nor disclosed in the financial statements of the entity.

▶ *Example 21:*

Shark Limited (SL) established a desalination plant at a total cost of Rs. 300 million in a coastal area to provide clean drinking water. The plant started commercial production on 1 January 2019 and had an estimated useful life and residual value of six years and Rs. 30 million, respectively.

On 1 January 2020, SL received a government grant of Rs. 160 million towards the cost of the plant. The sanction letter stated that SL should also operate the plant for at least 300 days in each of the next three years. At inception, there was a reasonable assurance that condition of the grant shall be complied with. SL recorded the grant as deferred income.

In 2022, the plant was not operated for 120 days. Owing to this, the government issued a notice to SL for repayment of Rs. 100 million. Accordingly, the amount was repaid by SL immediately.

Required:

Prepare relevant extracts from SL's statement of profit or loss for the year ended 31 December 2022, and statement of financial position as at that date. (Show comparative figures)

▶ *Answer:*

Shark Limited

Extracts from statement of profit or loss	2022	2021
For the year ended 31 December 2022	Rs. m	Rs. m
Depreciation expense (300–30)÷6 years	(45)	(45)
Government grant income (96–60)÷3 ; (160÷5)	12	32
Loss on repayment of government grant 100÷5×2	(40)	-

Extracts from statement of financial position	2022	2021
As on 31 December 2022	Rs. m	Rs. m
Non-current assets:		
Desalination plant	300	300
Accumulated depreciation(45×4) ; (45×3)	(180)	(135)
	120	165
Non-current liabilities:		
Deferred government grant 96–(100–40)–12 – 12; 160–(32× 2) - 32	12	64
Current liabilities:		
Deferred government grant	12	32

1. OBJECTIVE BASED Q&A

1. On 1 January 2021 Aim Limited (AL) received Rs. 1,000,000 from the local government on the condition that they employ at least 150 persons each year for the next 4 years.

   Due to an economic downturn and reduced consumer demand on 1 January 2022, AL no longer needed to employ any more staff and the conditions of the grant required full repayment.

   What should be recorded in the financial statements on 1 January 2022?

   a) Reduce deferred income balance by Rs. 750,000
   b) Reduce deferred income by Rs. 750,000 and recognise a loss of Rs. 250,000
   c) Reduce deferred income by Rs. 1,000,000
   d) Reduce deferred income by Rs. 1,000,000 and recognise a gain of Rs. 250,000

2. Which of the following are acceptable methods of accounting for a government grant relating to an asset in accordance with IAS 20 Accounting for Government Grants and Disclosure of Government Assistance?

   i. Set up the grant as deferred income
   ii. Credit the amount received to profit or loss
   iii. Deduct the grant from the carrying amount of the asset
   iv. Add the grant to the carrying amount of the asset

   a) (i) and (ii)
   b) (ii) and (iv)
   c) (i) and (iii)
   d) (iii) and (iv)

3. On 1 January 2019, Boom Limited (BL) received Rs. 2,000,000 from the local government on the condition that they employ at least 200 staff each year for the next 4 years. On this date, it was virtually certain that BL would meet these requirements.

   However, on 1 January 2022, due to an economic downturn and reduced consumer demand, BL no longer needed to employ 100 staff. The conditions of the grant required half repayment.

   What should be recorded in the financial statements on 1 January 2022 for repayment of grant?

   a) Debit Deferred grant by Rs. 500,000 and PL by Rs. 500,000
   b) Debit Deferred grant by Rs. 250,000 and PL by Rs. 250,000
   c) Debit Deferred grant by Rs. 1,500,000 and PL by Rs. 500,000
   d) Debit Deferred grant by Rs. 500,000 and PL by Rs. 1,500,000

4. Which TWO of the following statements about IAS 20 Accounting for Government Grants and Disclosure of Government Assistance are true?

   a) A government grant related to the purchase of an asset must be deducted from the carrying amount of the asset in the statement of financial position.
   b) A government grant related to the purchase of an asset should be recognised in profit or loss over the life of the asset.
   c) Free marketing advice provided by a government department is excluded from the definition of government grants.
   d) Any required repayment of a government grant received in an earlier reporting period is treated as prior period adjustment.

5. A manufacturing entity receives a grant of Rs. 1,000,000 towards the purchase of a machine on 1 January 2013. The grant will be repayable if the entity sells the asset within 4 years, which it does not intend to do. The asset has a useful life of 5 years.

   What is the deferred income liability balance at 30 June 2013?

   a) Rs. 750,000
   b) Rs. 800,000
   c) Rs. 875,000
   d) Rs. 900,000

6. A company receives a government grant of Rs. 500,000 on 1 April 2017 to facilitate purchase on the same day of an asset which costs Rs. 750,000. The asset is depreciated on a 30% reducing balance basis assuming that the residual value is negligible. Company policy is to account for all grants received as deferred income.

   What amount of income will be recognised in respect of the grant in the year to 31 March 2019?

   a) Rs. 500,000
   b) Rs. 150,000
   c) Rs. 350,000
   d) Rs. 105,000

7. A manufacturing entity is entitled to a grant of Rs. 3 million for creating 50 jobs and maintaining them for three years. Rs. 1.5m is received when the jobs are created and the remaining Rs. 1.5m is receivable after three years, provided that the 50 jobs are still in existence. The entity creates 50 jobs at the beginning of year one and there is reasonable assurance that this level of employment will be maintained.

   What is the amount of liability (net) to be presented in statement of financial position as at the end of the first year?

   a) Rs. 500,000
   b) Rs. 1,000,000
   c) Rs. 1,500,000
   d) Rs. 3,000,000

8. If a government grant must be repaid, then it is;

   a) An error
   b) A change in accounting policy
   c) A change in accounting estimate
   d) A new transaction

9. If an entity receives a non-monetary asset as a grant, this is accounted for at the;

   a) Market value
   b) Fair value
   c) Net realizable value
   d) Present value

10. Which of the following are not considered government assistance in accordance with IAS 20?

    a) Provision of infrastructure in development areas
    b) Employment grants
    c) Subsidized loans
    d) Forgivable loans

11. Which of the following is not a correct treatment of government grants related to depreciable asset?
    a) Deferred income
    b) Credit to income in period received
    c) Deducting the grant from the carrying amount of the asset
    d) None of the above

12. Which of the following is not a correct treatment of government grants related to income?
    a) Present as 'other income'
    b) Deduct from the related expense
    c) Deduct from the cost of the asset
    d) None of the above

13. The forgivable loan from government is accounted for as _____ if there is no reasonable assurance that the entity will meet the terms for forgiveness of loan.
    a) a liability
    b) an income
    c) a government assistance
    d) a government grant

14. On 1 January 2019, a company purchased an asset for Rs. 5 million against which it received the government grant of Rs. 0.5 million. The company deducted the grant from the cost of asset. It is the policy of the company to depreciate such assets using straight line method over ten years. On 1 January 2021, the government grant became repayable due to non-fulfilment of conditions. Repayment of grant will result in increasing:
    a) carrying value by Rs. 0.5 million
    b) carrying value by Rs. 0.4 million
    c) expense by Rs. 0.4 million
    d) expense by Rs. 0.5 million

15. As per IAS 20 'Accounting for Government Grants and Disclosure of Government Assistance', presenting the whole grant as other income in the statement of comprehensive income or deducting it from a related expense, is the correct treatment of:
    a) grant related to income
    b) forgivable loan expected to be received in next year
    c) government assistance in the form of free technical advice
    d) grant related to assets

16. On 1 January 2021, Delta Limited (DL) acquired a manufacturing plant at a cost of Rs. 200 million and received a government grant of Rs. 40 million related to the plant. DL recorded the grant as deferred income. The plant is being depreciated on a straight-line basis over five years. The accounting period ends on 31 December each year. On 1 January 2023, the grant was repaid in full on failing to meet the attached conditions. Profit or loss will be debited on the repayment of the grant by:
    a) Nil
    b) Rs. 16 million
    c) Rs. 24 million
    d) Rs. 40 million

17. Which of the following is NOT considered government assistance in accordance with IAS 20?
    a) Forgivable loans by government
    b) Subsidized loans by government
    c) Government grants
    d) Imposition of trading constraints on competitors

ANSWERS

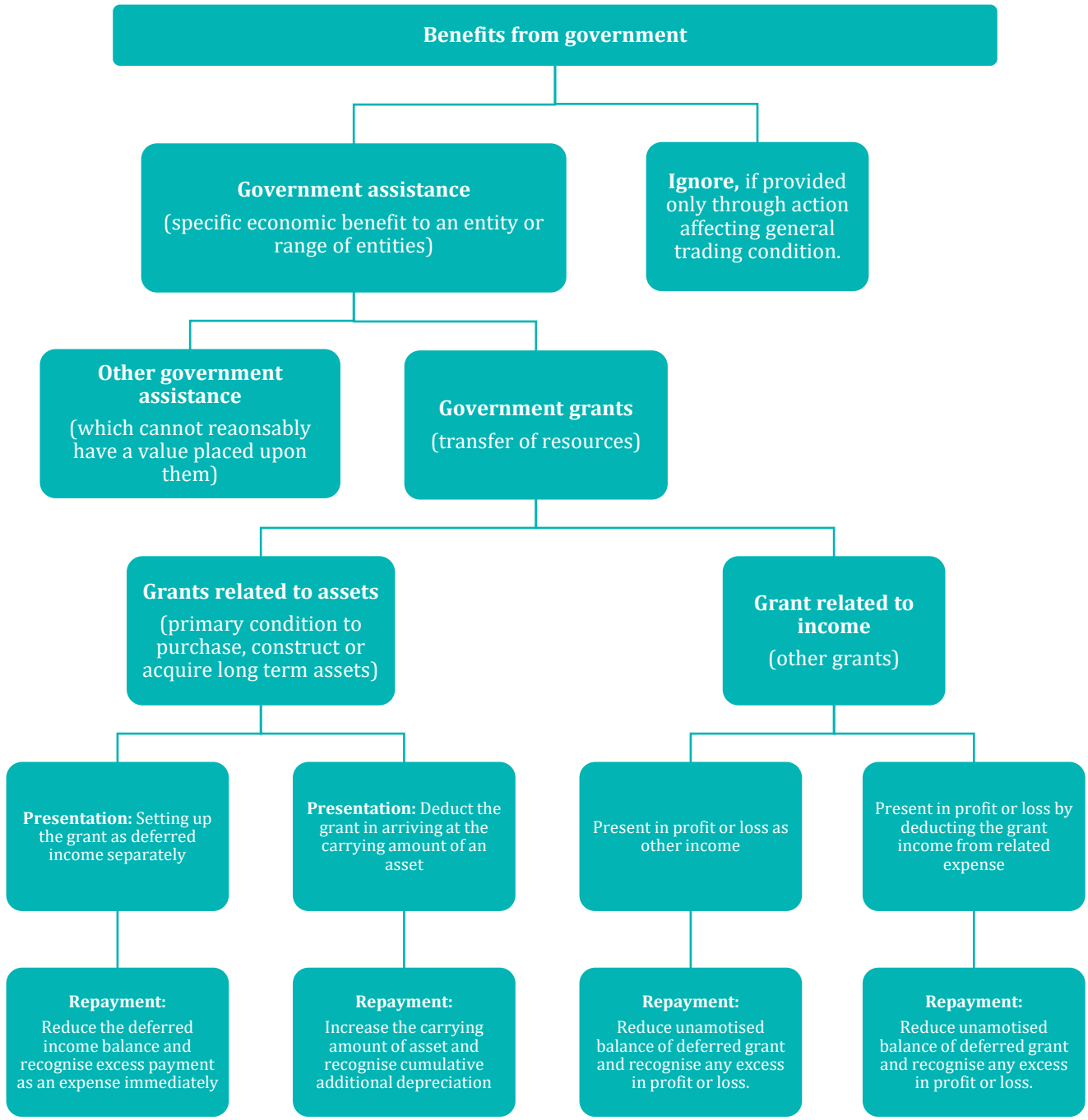
01.	(b)	This is a grant related to income and would therefore be released to the statement of profit or loss over the 4 year life. By the end of year one, Rs. 250,000 would have been credited to the statement of profit or loss, leaving Rs. 750,000 held in deferred income. At this point the amount is repaid, meaning that the deferred income is removed, as well as the Rs. 250,000 income previously recorded.
02.	(c)	The grant can be treated as deferred income or deducted from the carrying amount of the asset. It cannot be credited directly to profit or loss.
03.	(a)	Half repayment is Rs. 1,000,000 (Rs. 2,000,000 x 50%) At the date of repayment, the balance in deferred grant would be Rs. 500,000 and additional Rs. 500,000 shall be charged to profit or loss.
04.	(b, c)	Item a) is incorrect as the deferred income method can be used. Item d) is incorrect, as any repayment is recorded in the current period, not as prior period adjustment.
05.	(d)	The grant should be released over the useful life, not based on the possibility of the item being repaid. Therefore, the Rs. 1m should be released over 5 years, being a release of Rs. 200,000 a year. At 30 June 2013, 6 months should be released, meaning Rs. 100,000 has been released (6/12 × Rs. 200,000). This leaves Rs. 900,000 in deferred income.
06.	(d)	

	Rs.
Grant received 1.4.2017	500,000
Recognised year to 31.3.2018 (500,000 × 30%)	(150,000)
Balance 31.3.2018	350,000
Recognised year to 31.3.2019 (350,000 × 30%)	105,000

07.	(a)	The total grant income is Rs. 3m, to be recognised over a three-year period. Annual income is therefore Rs. 1m. At the end of the first year the entity has received Rs. 1.5m of which Rs. 1m has been recognised in the statement of profit or loss, leaving Rs. 500,000 deferred into future periods.
08.	(c)	Repayment of government grant is accounted for as change in accounting estimate (IAS 20.32).
09.	(b)	It is usual to assess the fair value of the non-monetary asset and to account for both grant and asset at that fair value. (IAS 20.23)
10.	(a)	Government assistance for the purpose of IAS 20 does not include benefits provided only indirectly through action affecting general trading conditions, such as the provision of infrastructure in development areas or the imposition of trading constraints on competitors (IAS 20.3).
11.	(b)	Grants related to depreciable assets are usually recognised in profit or loss over the periods and in the proportions in which depreciation expense on those assets is recognised (IAS 20.17).
12.	(c)	Grants related to income are presented as part of profit or loss, either separately or under a general heading such as 'Other income'; alternatively, they are deducted in reporting the related expense (IAS 20.29).
13.	(a)	It would have been treated as government grant only if there was reasonable assurance that entity would meet the conditions of the waiver.

14.	(b)	Increase in carrying amount (amount repaid)	Rs. 0.5 million	
		Additional depreciation [Rs. 0.5m x 2/10 years]	Rs. 0.1 million	
		Net increase in carrying amount [Rs. 0.5m – 0.1m]	Rs. 0.4 million	
15.	(a)	Grants related to income are presented as part of profit or loss, either separately or under a general heading such as 'Other income'; alternatively, they are deducted in reporting the related expense (IAS 20.29).		
16.	(b)	Reversal of income = Additional depreciation = Rs. 40m / 5 years x 2 years = Rs. 16 million		
17.	(d)	Imposition of trading constraints on competitors		

STICKY NOTES



CHAPTER 2

IAS 23 BORROWING COSTS

IN THIS CHAPTER:

AT A GLANCE

SPOTLIGHT

1. Definitions and recognition
2. Capitalisation period and disclosure
3. Comprehensive Examples
4. Objective Based Q&A

STICKY NOTES

AT A GLANCE

IAS 23 deals with the accounting treatment of borrowing costs which include all costs incurred in connection with the borrowing of funds and in particular the interest cost.

A qualifying asset is one that takes a substantial period of time to get ready for its intended use or sale. Examples include manufacturing plants, constructed properties and some inventories.

Borrowing costs directly attributable to the acquisition, construction or production of a qualifying asset are capitalised as part of the cost of that asset, but only when it is probable that these costs will result in future economic benefits to the entity and the costs can be measured reliably. All other borrowing costs are expensed when incurred.

The borrowing cost of specific loans is measured net of any interest income on un-utilized funds, however, borrowing cost of general funds is calculated by multiplying the capitalisation rate (weighted average of borrowing costs applicable to the general outstanding borrowings during the period) expenditure incurred on the qualifying asset during the period.

The commencement date for capitalisation of borrowing costs is the date when the entity first meets all of the following conditions namely: it incurs expenditures for the asset; and it incurs borrowing costs; and it undertakes activities that are necessary to prepare the asset for its intended use or sale.

The capitalisation of borrowing costs shall be suspended when the construction of asset is suspended due to unforeseen interruptions which extend the construction period of asset.

The capitalisation of borrowing costs shall cease when asset is substantially completed for its intended use/sale. Any borrowing costs incurred after this date are charged to profit or loss.

1 DEFINITIONS AND RECOGNITION

1.1 Borrowing costs [IAS 23: 3, 5 & 6]

Borrowing costs are interest and other costs that an entity incurs in connection with the borrowing of funds.

Examples include interest expense (calculated using effective interest method), loan processing fee, commissions, documentation charges, and legal charges relating to borrowing of funds. Exchange differences on foreign currency borrowings are also borrowing costs.

IAS 23 does not deal with the actual or imputed cost of equity (including preferred share capital not classified as liability), therefore, dividend paid to equity-holders of an entity is not a borrowing cost.

1.2 Qualifying assets [IAS 23: 5 & 7]

A ***qualifying asset*** is an asset that necessarily takes a substantial period of time to get ready for its intended use or sale.

Qualifying assets are usually self-constructed non-current assets and long maturing inventories. Depending on the circumstances, any of the following may be qualifying assets:

- inventories (IAS 2)
- manufacturing plants (IAS 16)
- power generation facilities (IAS 16)
- intangible assets (IAS 38)
- investment properties (IAS 40)

Financial assets (i.e., cash and investments etc.), and inventories that are manufactured, or otherwise produced, over a short period of time, are not qualifying assets. Similarly, assets that are ready for their intended use or sale when acquired are not qualifying assets.

▶ *Example 01:*

Identify whether or not the following are qualifying assets.

i. A construction company constructing a bridge for government which will take 6 years to complete.

ii. A very sophisticated integrated circuits being made by an entity who manufactures and sales 10,000 to 12,000 units every month.

iii. A power plant under construction, it may take 10 months to complete this.

iv. An equipment purchased by X Limited, the equipment may be used immediately after it is delivered.

v. Special order from a customer to manufacture a machine for him which will take 11 months at the least.

vi. An entity is constructing office building which will take 8 months to complete.

▶ *Answer:*

Items (i), (iii), (v) and (vi) are qualifying assets.

Items (ii) and (iv) are not qualifying assets.

1.3 Recognition rule [IAS 23: 8 to 10]

Capitalise as part of the cost of that asset	Borrowing costs directly attributable (that would have been avoided if the expenditure on the qualifying asset had not been made) to the acquisition, construction or production of a qualifying asset. Such borrowing costs are capitalised as part of the cost of the asset when: • it is probable that they will result in future economic benefits to the entity; and • the costs can be measured reliably.
Expense in the period in which it is incurred	Other borrowing costs.

1.4 Specific borrowings [IAS 23: 12 & 13]

Specific borrowings are funds borrowed specifically for the purpose of obtaining a qualifying asset.

The financing arrangements for a qualifying asset may result in an entity obtaining borrowed funds and incurring associated borrowing costs before some or all of the funds are used for expenditures on the qualifying asset. In such circumstances, the funds are often temporarily invested pending their expenditure on the qualifying asset.

The amount of borrowing costs eligible for capitalisation is the actual borrowing costs incurred on that borrowing during the period less any investment income on the temporary investment of those borrowings.

Borrowing costs eligible for capitalisation	Rs.
Actual borrowing costs incurred on that borrowing	xxx
Less: Temporary investment income	(xx)
	xxx

▶ *Example 02:*

Up Limited borrowed a loan of Rs. 10 million from Down Bank on 15% per annum for constructing its power generation facilities.

The loan was received on February 01, 2011. Up Limited paid Rs. 3 million to contractor immediately but remaining Rs. 7 million were paid to the contractor on March 1, 2011. The remaining Rs. 7 million were temporarily invested in a saving account at 9% per annum.

Up Limited has year-end of 31 December. As on December 31, 2011 the construction is still in process and the loan is also outstanding.

Required:

Calculate the amount of borrowing cost to be capitalised for the year ended December 31, 2011?

▶ *Answer:*

Borrowing costs to be capitalised		Rs.
Actual borrowing costs	[Rs. 10 m x 15% x 11/12]	1,375,000
Less: Temporary investment income	[Rs. 7m x 9% x 1/12]	(52,500)
		1,322,500

▶ *Example 03:*

On 1 January 2016 Okara Engineering issued a bond to raise Rs. 25,000,000 to fund a capital project which will take three years to complete. Amounts not yet needed for the project are invested on a temporary basis. During the year to 31 December 2016, Okara Engineering spent Rs. 9,000,000 on the project for labour, materials and direct overheads etc.

The cost of servicing the bond was Rs. 1,250,000 during this period and the company was able to earn Rs. 780,000 through the temporary reinvestment of the amount borrowed.

Required:

Calculate the amount of addition to capital work in progress during the year to December 31, 2016.

▶ *Answer:*

	Rs.
Costs incurred (labour, material, overhead etc.)	9,000,000
Borrowing costs to be capitalised:	
Actual borrowing costs incurred on that borrowing	1,250,000
Less: Temporary investment income	(780.000)
	470,000
Additions to capital work in progress	**9,470,000**

▶ *Example 04:*

Shayan Limited (SL) started the construction of its new factory on 1 January 2018 with a loan of 50,000,000 borrowed at an interest rate of 8% per annum.

The loan was used on the factory as follows:

Date of Payment	Rs. in million
January 1, 2018	25
May 1, 2018	15
October 1, 2018	10

The construction of the asset was completed on 31 December 2018. During the accounting period SL invested the surplus funds at an interest rate of 3%.

Required:

How much the amount of borrowing cost eligible for capitalization for the year ended December 31, 2018.

▶ *Answer:*

Borrowing costs to be capitalised		Rs.
Borrowing costs incurred	[Rs. 50m x 8%]	4,000,000
Less: Temporary investment income	[Rs. 25m x 3% x 4/12]	(250,000)
	[Rs. 10m x 3% x 5/12]	(125,000)
		3,625,000

1.5 General borrowings [IAS 23: 14]

General borrowings are funds borrowed generally and use them for the purpose of obtaining/construction of a qualifying asset or for other operating needs.

The amount of borrowing costs eligible for capitalisation is determined by applying a capitalisation rate to the expenditures on qualifying asset. The amount of borrowing costs that an entity capitalises during a period shall not exceed the amount of borrowing costs it incurred during that period.

Borrowing costs eligible for capitalisation	Rs.
Expenditure (i) x capitalisation rate	xxx
Expenditure (ii) x capitalisation rate	xxx
	xxx

The capitalisation rate shall be the weighted average of the borrowing costs applicable to all borrowings (other than specific borrowings) of the entity that are outstanding during the period.

$$\textbf{\textit{Capitalisation rate}} = \frac{Borrowing\ costs\ incurred}{Weighted\ average\ general\ borrowings} = \ \%$$

▶ *Example 05:*

SIKA Sports Limited is constructing a stadium for last some years. During the year ended 31 December 2011, it has incurred the following expenditures.

April 30, 2011	Rs. 2,500,000
July 31, 2011	Rs. 2,300,000

No specific loan was borrowed for the construction; rather general pool of funds was used. The following loans are outstanding:

Loan from FBL @12%	Outstanding since beginning of year	Rs. 5,000,000
Loan from BAH @14%	Outstanding since beginning of year	Rs. 10,000,000
Loan from BAF @16%	Outstanding since 01-04-2011	Rs. 750,000

Required:

Calculate total borrowing costs eligible for capitalisation during the year ended December 31, 2011.

▶ *Answer:*

Capitalisation rate =

$$= \frac{[Rs.5m \times 12\%] + [Rs.10m \times 14\%] + [750{,}000 \times 16\% \times \frac{9}{12}]}{Rs.5\ m + Rs.10m + Rs.750{,}000 \times \frac{9}{12}} = \mathbf{13.43\%}$$

Borrowing costs to be capitalised	Rs.
Rs. 2,500,000 x 13.43% x 8/12	223,829
Rs. 2,300,000 x 13.43% x 5/12	128,701
	352,530

Borrowing costs to be capitalised (alternative calculation)	Rs.
Rs. 2,500,000 x 13.43% x 3/12	83,936
Rs. 4,800,000 x 13.43% x 5/12	268,594
	352,530

▶ *Example 06:*

Sahiwal Construction has three sources of borrowing:

	Average loan in the year (Rs.)	Interest expense incurred in the year (Rs.)	Interest rate
7-year loan	8,000,000	800,000	10%
10-year loan	10,000,000	900,000	9%
Bank overdraft	5,000,000	900,000	18%

The 7-year loan has been specifically raised to fund the building of another qualifying asset.

Sahiwal Construction has incurred the following expenditure on a project funded from general borrowings for year ended 31 December 2016.

Date incurred:	Amount (Rs.)
31st March	1,000,000
31st July	1,200,000
30th October	800,000

Required:

Calculate the capitalisation rate and addition to capital work in progress.

▶ *Answer:*

$$\textbf{\textit{Capitalisation rate}} = \frac{900{,}000 + 900{,}000}{10{,}000{,}000 + 5{,}000{,}000} = \textbf{12}\%$$

	Rs.
Expenditure on qualifying asset [Rs. 1m + 1.2m + 0.8m]	3,000,000
Borrowing costs to be capitalised:	
Rs. 1,000,000 x 12% x 9/12	90,000
Rs. 1,200,000 x 12% x 5/12	60,000
Rs. 800,000 x 12% x 2/12	16,000
	166,000
Additions to capital work in progress	**3,166,000**

▶ *Example 07:*

On January 1, 2018 Sara Limited (SL) started the construction of an asset. To meet the financing requirements, borrowing was made from three different banks at the start of the year as follows:

Banks	Loan Rs.	Interest per annum
A	70,000	10%
B	60,000	8%
C	50,000	12%

The funds were used on the assets as follows:

Date of Payment	Rs.
January 1, 2018	30,000
May 1, 2018	20,000
October 1, 2018	15,000

The construction of asset was completed on 31 December 2018.

Required:

Calculate the general weighted average borrowing rate and eligible borrowing cost for capitalisation.

▶ *Answer:*

Capitalisation rate

$$= \frac{[Rs.70{,}000 \times 10\%] + [Rs.60{,}000 \times 8\%] + [Rs.50{,}000 \times 12\%]}{Rs.70{,}000 + 60{,}000 + 50{,}000} = \mathbf{9.89\%}$$

Borrowing costs to be capitalised	Rs.
30,000 x 9.89% x 12/12	2,967
20,000 x 9.89% x 8/12	1,319
15,000 x 9.89% x 3/12	371
Borrowing costs to be capitalised	4,657

2 CAPITALISATION PERIOD AND DISCLOSURE

2.1 Commencement date of capitalisation [IAS 23: 17 to 19]

An entity shall begin capitalising borrowing costs as part of the cost of a qualifying asset on the commencement date.

The commencement date for capitalisation is the date when the entity first meets all of the following conditions:

- it incurs expenditures (resulted in payment of cash or transfer of other assets) for the asset;
- it incurs borrowing costs; and
- it undertakes activities that are necessary to prepare the asset for its intended use or sale.

The activities necessary to prepare the asset for its intended use or sale encompass more than the physical construction of the asset. This includes technical and administrative work prior to the commencement of physical construction, such as the activities associated with obtaining permits prior to the commencement of the physical construction.

However, such activities exclude the holding of an asset when no production or development that changes the asset's condition is taking place. For example, borrowing costs incurred while land is under development are capitalised during the period in which activities related to the development are being undertaken. However, borrowing costs incurred while land acquired for building purposes is held without any associated development activity do not qualify for capitalisation.

2.2 Suspension of capitalisation [IAS 23: 20 & 21]

An entity shall suspend capitalisation of borrowing costs during extended periods in which it suspends active development of a qualifying asset.

An entity does not normally suspend capitalising borrowing costs during a period when it carries out substantial technical and administrative work. An entity also does not suspend capitalising borrowing costs when a temporary delay is a necessary part of the process of getting an asset ready for its intended use or sale. For example, capitalisation continues during the extended period that high water levels delay construction of a bridge, if such high water levels are common during the construction period in the geographical region involved.

2.3 End of capitalisation period [IAS 23: 22 to 25]

An entity shall cease capitalising borrowing costs when substantially all the activities necessary to prepare the qualifying asset for its intended use or sale are complete. An asset is normally ready for its intended use or sale when the physical construction of the asset is complete even though routine administrative work might still continue. If minor modifications, such as the decoration of a property to the purchaser's or user's specification, are all that are outstanding, this indicates that substantially all the activities are complete.

When an entity completes the construction of a qualifying asset in parts and each part is capable of being used separately while construction continues on other parts, the entity shall cease capitalising borrowing costs when it completes substantially all the activities necessary to prepare that part for its intended use or sale.

▶ *Example 08:*

A business park comprising several buildings, each of which can be used individually, is an example of a qualifying asset for which each part is capable of being usable while construction continues on other parts. Capitalisation of borrowing cost should cease for each part when that part is substantially complete even though the work on other parts continues.

▶ *Example 09:*

An example of a qualifying asset that needs to be completed before any part can be used is an industrial plant involving several processes which are carried out in sequence at different parts of the plant within the same site, such as a steel mill. In such case, capitalisation of borrowing costs shall cease when the whole asset is substantially complete.

▶ *Example 10:*

Cord Limited is engaged in the manufacturing of automobiles. Currently the company is manufacturing its power generation plant. The project was started on January 03, 2011 with company's own funds. Subsequently, Cord Limited borrowed a loan from ZBL Bank to finance the project on February 22, 2011. The first payment out of the loan was made on March 04, 2011.

Due to some law and order situation, the project remained closed from April 25, 2011 to May 9, 2011. The work was also stopped for a week from May 23, 2011 to May 30, 2011 so that necessary plan and layout can be finalized after testing of project completed so far.

The plant was completed on July 31, 2011 except that some sign board could not be installed until August 10, 2011. Loan was repaid on August 31, 2011. Cord Limited started using the plant on September 1, 2011.

Required:

a) When should Cord Limited start capitalising borrowing costs?

b) Should Cord Limited suspend capitalisation from April 25, 2011 to May 9, 2011?

c) Should Cord Limited suspend capitalisation from May 23, 2011 to May 30, 2011?

d) When should Cord Limited cease to capitalise borrowing costs?

▶ *Answer:*

a) February 22, 2011 i.e. when all three criteria for commencement date of capitalisation have been met.

b) Suspend capitalisation, as active development of qualifying asset was suspended during this period.

c) Continue capitalisation, substantial technical and administrative work was still being carried out.

d) July 31, 2011 i.e. when asset was substantially completed.

2.4 Expenditure on qualifying asset [IAS 23: 18]

Expenditures on a qualifying asset include only those expenditures that have resulted in payments of cash or transfers of other assets.

The average carrying amount of the asset during a period, including borrowing costs previously capitalised, is normally a reasonable approximation of the expenditures to which the capitalisation rate is applied in that period.

Expenditures are reduced by:

- any progress payments received; and
- grants received in connection with the asset.

▶ *Example 11:*

Zeal Limited (ZL) is building a dam for Federal Government. The project will take 10 years to complete. On February 01, 2011 ZL used Rs. 100 million from pool of general loans with capitalisation rate of 12% for the expenditures incurred on the same date for payment to sub-contractors who started work immediately.

On July 01, 2011 the Federal Government made first progress payment of Rs. 30 million.

As ZL had offered employment opportunities to locals of the area, considering this fact; Provincial Government has given ZL a grant (award) of Rs. 10 million on October 31, 2011.

Required:

The borrowing costs to be capitalised for Zeal Limited for the year ended December 31, 2011.

Answer:

Date	Particulars	Expenditure	Cumulative (net)	Borrowing costs to be capitalised	
		Rs. m			Rs. m
1 Feb	Sub-contract costs	100	100	x 12% x 5/12	5
1 Jul	Progress payments	(30)	70	x 12% x 4/12	2.8
31 Oct	Grant	(10)	60	x 12% x 2/12	1.2
					9

2.5 Disclosure [IAS 23: 26]

An entity shall disclose:

- the amount of borrowing costs capitalised during the period; and
- the capitalisation rate used to determine the amount of borrowing costs eligible for capitalisation.

Example 12:

Alpha Limited borrowed Rs. 9 million @ 15% per annum to fund a qualifying asset project on 1 January 2016. The following expenditures were made on the project during the year ending 31 December 2016:

Date	Rs. m
1 March 2016	2.5
1 October 2016	4.2
1 December 2016	2.3

Surplus funds were invested @10% whenever available.

The project activities started on 1 March 2016. Work on the project was suspended during the whole month of August and resumed at start of September. Construction was completed on 31 December 2016.

Required:

Calculate the borrowing costs to be capitalised and to be charged to profit or loss.

Answer:

The project commenced on 1st March resulting in a construction period of 10 months up to the year end. However, interest cannot be capitalised during the period of suspension. Therefore, interest is capitalised only for 9 months.

Borrowing costs to be capitalised		Rs. 000
Borrowing costs incurred	[Rs. 9m x 15% x 9/12]	1,012.5
Less: Temporary investment income	[Rs. 6.5m x 10% x 6/12]	(325)
	[Rs. 2.3m x 10% x 2/12]	(38.3)
		649.2

Borrowing costs to be charged as expense		Rs.
Borrowing costs incurred (Jan, Feb, Aug)	[Rs. 9m x 15% x 3/12]	337.5
Less: Temp. Inv. income (Jan & Feb)	[Rs. 9m x 10% x 2/12]	(150)
(Aug)	[Rs. 6.5m x 10% x 1/12]	(54.17)
		133.33

▶ *Example 13:*

Khan Limited (KL) has the following loan arrangements as at 1 January 2020:

	Rs. in million
7% Debentures	55
8% Loan notes	110
12% Line of credit	85
10% Running finance arrangement	150

On the 1 January 2020, KL commenced the construction of a new factory. The construction of the factory will cost Rs. 100 million and the company funded the construction with the existing borrowings.

The factory was completed on 31 August 2020 but was not available for use until 31 January 2021 as a result of minor modification. During the construction period, active work was interrupted, and the building construction was stopped for two months as a result of unexpected adverse weather conditions.

Required:

Calculate the borrowing cost to be capitalised and the cost of the building to be recognised upon initial recognition.

▶ *Answer:*

The capitalisation period would be 6 months i.e. January to August 8 months less two months suspension.

Total cost to be capitalised	Rs. m
Expenditure	100
Borrowing cost to be capitalised [Rs. 100m x 9.46% x 6/12]	4.73
	104.73

Capitalisation rate

$$= \frac{[Rs.55m \times 7\%] + [Rs.110m \times 8\%] + [Rs.85m \times 12\%] + [Rs.150m \times 10\%]}{Rs.55m + 110m + 85m + 150m} = \mathbf{9.46\%}$$

3 COMPREHENSIVE EXAMPLES

▶ *Example 14:*

On 1 January 20X6 Googly Industries Limited (GIL) borrowed Rs.15 million to finance the production of two assets, both of which were expected to take a year to build. Work started during 20X6. The loan facility was drawn down and incurred on 1 January 20X6, and was utilised as follows, with the remaining funds invested temporarily.

	Asset A	Asset B
	Rupees	
1 January 20X6	2,500,000	5,000,000
1 July 20X6	2,500,000	5,000,000

The loan rate was 9% and GIL can invest surplus funds at 7%.

Required:

Calculate the borrowing costs which may be capitalised for each of the assets and consequently the cost of each asset as at 31 December 20X6.

▶ *Answer:*

		Rs.
Expenditure	[Rs. 2,500,000 + 2,500,000]	5,000,000
Borrowing costs incurred	[Rs. 5,000,000 x 9% x 12/12]	450,000
Less: Temporary investment income	[Rs. 2,500,000 x 7% x 6/12]	(87,500)
		362,500
Cost of asset A as at 31 December 20X6		**5,362,500**
Expenditure	[Rs. 5,000,000 + 5,000,000]	10,000,000
Borrowing costs incurred	[Rs. 10,000,000 x 9% x 12/12]	900,000
Less: Temporary investment income	[Rs. 5,000,000 x 7% x 6/12]	(175,000)
		725,000
Cost of asset B as at 31 December 20X6		**10,725,000**

▶ *Example 15:*

On August 1, 2015, Steady Industries Limited (SIL) started construction of its new office building and completed it on May 31, 2016. The payments made to the contractor were as follows:

Date of Payment	Rs.
September 1, 2015	10,000,000
December 1, 2015	15,000,000
February 1, 2016	12,000,000
June 1, 2016	9,000,000

In addition to the above payments, SIL paid a fee of Rs. 8 million on August 1, 2015 for obtaining a permit allowing the construction of the building.

The project was financed through the following sources:

i. On August 1, 2015 a medium term loan of Rs.25 million was obtained specifically for the construction of the building. The loan carried mark up of 12% per annum payable semi-annually. A commitment fee @ 0.5% of the amount of loan was charged by the bank.

Surplus funds were invested in savings account @ 8% per annum. On February 1, 2016 SIL paid the six monthly interest plus Rs.5 million towards the principal.

ii. Existing running finance facilities of SIL

- Running finance facility of Rs. 28 million from Bank A carrying mark up of 13% payable annually. The average outstanding balance during the period of construction was Rs. 25 million.
- Running finance facility of Rs. 25 million from Bank B carrying mark up of 20% payable annually. The average running finance balance during the period of construction was Rs. 20 million.

Required:

Calculate the amount of borrowing costs to be capitalised on June 30, 2016 in accordance with the requirements of International Accounting Standards. *(Borrowing cost calculations should be based on number of months).*

▶ *Answer:*

Borrowing costs to be capitalised		Rs.
Commitment fee	[Rs.25m x 0.5%]	125,000
Interest on specific borrowings	[25m x 12% x 6/12]	1,500,000
	[20m x 12% x 4/12]	800,000
Temporary Investment income	[112,500 + 137,500]	(250,000)
Interest on general borrowings	[218,156 + 1,429,763]	1,647,919
		3,822,919

Date	Particulars	Rs.	Working
01-Aug-15	Specific loan	25,000,000	
	Commitment fee	(125,000)	
	Permit	(8,000,000)	
		16,875,000	x 8% x 1/12 = Rs. 112,500 (temporary investment income)
01-Sep-15	1st payment	(10,000,000)	
		6,875,000	x 8% x 3/12 = Rs. 137,500 (temporary investment income)
01-Dec-15	2nd payment	(15,000,000)	
		(8,125,000)	x 16.11% x 2/12 = Rs. 218,156 (Interest on general borrowings)

Date	Particulars	Rs.	Working
01-Feb-16	Loan interest	(1,500,000)	
	Loan Principal	(5,000,000)	
	3rd payment	(12,000,000)	
		(26,625,000)	x 16.11% x 4/12 = Rs. 1,429,763 (interest on general borrowings)
31-May-16	Completion		

$$\textbf{Capitalisation rate} = \frac{[Rs.25m \times 13\%] + [Rs.20m \times 20\%]}{Rs.25m + 20m} = \mathbf{16.11\%}$$

▶ *Example 16:*

Bulan Pakistan Limited (BPL) is planning to commence construction of a warehouse on 1 January 2023 and is expecting to complete it by 30 November 2023. The management wants to ascertain the borrowing costs that can be included in the cost of warehouse. Relevant details in this respect are as follows:

i. Expected payments related to the construction of the warehouse will be as follows:

Description	Date of payment	Rs. in million
1st bill of contractor	1-Feb-23	40
2nd bill of contractor	1-Apr-23	120
3rd bill of contractor	1-Sep-23	100
Last bill of contractor	1-Dec-23	90
		350

ii. The project can be financed through the following sources:

- Specific loan of Rs. 350 million at the rate of 16% per annum to be obtained on 1 January 2023. The principal will be payable in 5 equal annual instalments along with interest, from 1 January 2024.
- Withdrawals to be made from existing running finance facilities. These facilities will also be used to finance other needs of BPL. Details of these facilities are as follows:

Name of bank	Limit	Expected average balance for 2023	Interest rates
	------ Rs. in million ------		
Bank A	300	220	13.7%
Bank B	350	280	14.6%

iii. The surplus funds available from the loan will be invested in a saving account at 10% per annum.

iv. The construction work is expected to be suspended for the entire month of June 2023 due to usual monsoon rains.

Required:

Calculate the borrowing costs to be capitalised in the cost of warehouse in each of the following independent cases:

a) if all the payments will be made from the specific loan only.

b) if all the payments will be made from running finance facilities only.

▶ *Answer:*

Part (a) Borrowing cost to be capitalised – specific borrowing

Date	Description	Utilisation	Balance	Rate	Months	Rs. m
	Interest		350	16%	10	46.67
1-Feb	1st bill	40	310	10%	2	(5.17)
1-Apr	2nd bill	120	190	10%	5	(7.92)
1-Sep	3rd bill	100	90	10%	3	(2.25)
						31.33

Part (b) Borrowing cost to be capitalised – general borrowing

Date	Description	Utilisation	Balance	Rate (W1)	Months	Rs. m
1-Feb	1st bill	40	40	14.2%	2	0.95
1-Apr	2nd bill	120	160	14.2%	5	9.47
1-Sep	3rd bill	100	260	14.2%	3	9.23
						19.65

$$\boldsymbol{W1}: Capitalisation\ rate = \frac{(220m \times 13.7\%) + (280m \times 14.6\%)}{220 + 280} = 14.2\%$$

▶ *Example 17:*

You have recently joined as the finance manager of Corv Limited (CL). While reviewing the draft financial statements for the year ended 31 December 2020 prepared by the junior accountant, you have noted that CL is constructing a power generation plant for its factory. The project started on 1 February 2020 and would complete on 30 November 2021. The work remained suspended for 3 months. The project is financed through long term loan, acquired specifically on 1 January 2020. The unutilised amount of loan is kept in a separate saving account.

The accountant has deducted income of separate saving account from full year's interest on loan and presented the net amount as finance cost in the statement of profit or loss.

Required:

Discuss how the above issue should be dealt in the financial statements of CL for the year ended 31 December 2020 in accordance with the requirements of IFRSs.

▶ *Answer:*

The accounting treatment adopted by accountant to expense out borrowing cost is incorrect as some borrowing cost is eligible for capitalization. Power generation plant falls under definition of qualifying asset as its construction involves substantial period.

Construction of the power plant is financed through specific borrowing so actual borrowing cost incurred less temporary investment income on the borrowings would be capitalised. However, the borrowing cost will be capitalised from the date when construction actually started i.e. 1 February 2020 rather than 1 January 2020. Further, the capitalization of borrowing costs should be suspended and charged to the statement of profit or loss during the three months when work was suspended.

In the statement of profit or loss, borrowing cost on loan and interest income earned from saving account should be presently separately.

▶ *Example 18:*

Following information pertains to non-current assets of Bunny Ear Limited (BEL):

Land:

In January 2019, the government allotted a piece of land to BEL subject to the condition that BEL will establish a factory building on it. The land was recorded at its fair value of Rs. 100 million.

Factory building:

On 1 March 2019, BEL started construction of the factory building. The construction work was completed on 30 June 2020. Payments related to the construction of the factory were as follows:

Description	Date of payment	Rs. in million
1st bill of contractor	1-Mar-2019	130
2nd bill of contractor	1-Aug-2019	190
3rd bill of contractor	1-Jan-2020	180
Last bill of contractor	1-Jul-2020	100

The project was financed through:

i. government grant of Rs. 200 million received on 1 February 2019. Unused funds from government grant were invested in a saving account @ 8% per annum.

ii. withdrawals from the following running finance facilities obtained from Bank A and Bank B. The relevant details are:

	Bank A	Bank B
Obtained on	**1 January 2019**	**1 January 2020**
Markup rate	12%	14%
	-------- Rs. in million --------	
Balance on 31 December 2019	250	-
Markup for 2019	22	-
Balance on 31 December 2020	350	200
Average balance during 2020	300	150
Markup for 2020	36	21

Manufacturing plant:

The manufacturing plant was purchased on 1 August 2020 at cost of Rs. 420 million. Rs. 240 million was financed through an interest free loan from government. The loan will be forgiven if the plant is operated for at least 4 years by BEL. Upon acquisition, there is a reasonable assurance that BEL will comply with this condition.

Other information:

- BEL uses cost model for subsequent measurement of property, plant and equipment.
- All government grants are recorded as deferred income and a part of it is transferred to income each year.
- Useful life of the factory building and manufacturing plant has been estimated at 25 years and 10 years respectively.

Required:

Prepare relevant extracts (including comparative figures) from BEL's statement of profit or loss for the year ended 31 December 2020 and statement of financial position as on that date. (Notes to the financial statements are not required. Borrowing costs are to be calculated on the basis of number of months)

Answer:

Bunny Ear Limited

Extracts from statement of profit or loss for the year ended 31 December 2020

		2020	2019
		Rs. in million	
Depreciation:			
Factory building	625/25 x 6/12	12.5	
Manufacturing plant	420/10 x 5/12	17.5	
Income from saving account	1.3+2.3 (W-2)		3.6
Grant Income:			
Land	100/25 x 6/12	2.0	
Factory building	200/25 x 6/12	4.0	
Manufacturing plant	240/10 x 5/12	10.0	
Interest expense	(36+21-19); (22-6)	38.0	16.0

Extracts from statement of financial position as on 31 December 2020

		2020	2019
		Rs. in million	
Non-current assets:			
Property, plant and equipment			
Land		100.0	100.0
Factory building	625 (W-1) – 12.5	612.5	
Manufacturing plant	420-17.5	402.5	
Capital work-in-process	(W-1)	-	326.0
Non-current liabilities:			
Deferred government grant			
Land	100 – 2 – 4	94.0	100.0
Factory building	200 – 4 – 8	188.0	200.0
Manufacturing plant (forgivable loan)	240 – 10 – 24	206.0	-
Current liabilities:			
Running finance	350+200	550.0	250.0
Deferred government grant			
Land	100 / 25 years	4.0	-
Factory building	200 / 25 years	8.0	-
Manufacturing plant (forgivable loan)	240 / 10 years	24.0	-

W1: Cost of factory building

		Rs. m
Payments in 2019 (130 + 190)		320.0
Borrowing cost capitalised in 2019	(W-2)	6.0
Balance as at 31 December 2019		**326.0**
Payments in 2020 (180 + 100)		280.0
Borrowing cost capitalised in 2020	(W-2)	19.0
		625.0

W2: Utilisation of funds

Date	Description	Amount	Balance	Rate	Months	Rs. m
1-Feb-19	Grant	200	200	8%	1	1.3 PL
1-Mar-19	1st Payment	(130)	70	8%	5	2.3 PL
1-Aug-19	2nd Payment	(190)	(120)	12%	5	6*
1-Jan-20	3rd Payment	(180)	(300)	12.67%	6	19*

*borrowing costs to be capitalised

$$Capitalisation\ rate\ 2020 = \frac{36 + 21}{300 + 150} = 12.67\%$$

▶ *Example 19:*

You are the accountant of Betta Limited (BL). BL has commenced construction of a manufacturing plant to expand its production line, which will take two years to complete. The cost of the plant will be financed through a new loan specifically obtained for this purpose. Remaining cost will be financed through the existing borrowings.

You have pointed out that a portion of borrowing costs needs to be capitalised in the cost of plant. The management is interested in determining the estimated borrowing costs that will be capitalised in the future and has requested you to prepare a working.

Required:

List the information (key dates, amounts, etc.) that you will need to gather in order to calculate the estimated borrowing costs to be capitalised.

▶ *Answer:*

Following is the list of information which would be required to compute the borrowing costs to be capitalised:

Dates for capitalisation period:

i. Date when started incurring expenditures for the plant.

ii. Date when started incurring borrowings costs.

iii. Date when activities to construct the plant started.

iv. Any period of time during which BL suspends active construction of plant.

v. Date when substantially all the activities necessary to construct the plant are completed.

Details of borrowings:

i. Details of new specific loan obtained from bank i.e. amount, rate of interest, date obtained and date of repayment.

ii. Income earned on the temporary investment of unused funds of specific loan.

iii. Details of existing general borrowings i.e. amount and rate of interest for computing capitalisation rate.

Details of expenditures incurred:

Amount of expenditures incurred directly for construction of plant and payments dates.

▶ *Example 20:*

On 1 January 2023, Textio Limited (TL) commenced construction of its factory building. Below is the breakdown of the payments made to the contractor:

Date of payments	Rs. in million
1 February 2023	200
1 April 2023	350
1 September 2023	180
1 February 2024	160
	890

These payments were financed through the following sources:

Date	Descriptions	Rs. in million
1 January 2023	17% long term loan	250
1 March 2023	Right shares (Expected annual dividend is 24%)	300
1 August 2023	19% short term loan (Payable in June 2024)	340
		890

Additional information:

i. Surplus funds available from both the loans and right shares were invested in a savings account earning interest at a rate of 10% per annum.

ii. The construction work was suspended from 1 July to 31 July 2023; however, substantial technical and administrative work was carried during July 2023.

iii. The construction of the factory building was completed on 30 November 2023, but due to minor modifications, it was not available for use until 31 December 2023.

Required:

Calculate the borrowing costs to be capitalised in the cost of factory building.

Answer:

Borrowing costs to be capitalised

	Rs. in million
Interest on specific loan 1: 250 × 17% × 10/12	35.42
Interest on specific loan 2: 340 × 19% × 4/12	21.53
	56.95
Less: Investment income:	
50 (W-1) × 10% × 2/12	(0.83)
340 (W-1) × 10% × 1/12	(2.83)
160 (W-1) × 10% × 3/12	(4.00)
	(7.66)
	49.29

W-1: Schedule of receipts/payments

Date	Descriptions	Equity	Loans
		---- Rs. in million ----	
1 January 2023	Long term loan received		250
1 February 2023	1st payment		(200)
			50
1 March 2023	Right issue	300	
		300	50
1 April 2023	2nd payment	(300)	(50)
		-	-
1 August 2023	Short term loan received		340
1 September 2023	3rd payment		(180)
		-	160

1. OBJECTIVE BASED Q&A

1. Which TWO of the statements below regarding IAS 23 *Borrowing Costs* are correct?

   a) Borrowing costs must be capitalised if they are directly attributable to qualifying assets

   b) Borrowing costs should cease to be capitalised once the related asset is substantially complete

   c) Borrowing costs must be capitalised if they are directly attributable to non-current assets

   d) Borrowing costs may be capitalised if they are directly attributable to qualifying assets

2. Fine Limited (FL) received a Rs.10 million loan at 7.5% on 1 April 2017. The loan was specifically issued to finance the building of a new store.

   Construction of the store commenced on 1 May 2017 and it was completed and ready for use on 28 February 2018 but did not open for trading until 1 April 2018.

   How much should be recorded as finance costs in the statement of profit or loss for the year ended 31 March 2018?

   a) Rs. 250,000

   b) Rs. 750,000

   c) Rs. 125,000

   d) Rs. 625,000

3. Fine Limited (FL) received a Rs.10 million loan at 7.5% on 1 April 2017. The loan was specifically issued to finance the building of a new store.

   Construction of the store commenced on 1 May 2017 and it was completed and ready for use on 28 February 2018 but did not open for trading until 1 April 2018.

   How much interest should be capitalised as part of property, plant and equipment as at 31 March 2018?

   a) Rs. 250,000

   b) Rs. 750,000

   c) Rs. 125,000

   d) Rs. 625,000

4. An entity decided that not all of the funds raised were needed immediately and temporarily invested some of the funds for one month before the construction started, earning Rs.40, 000 interest.

   How should the Rs. 40,000 be accounted for in the financial statements?

   a) Net off the amount capitalised in property, plant and equipment

   b) Taken to the statement of profit or loss as investment income

   c) Taken as other comprehensive income

   d) Deducted from the outstanding loan amount in the statement of financial position

5. Shine Limited (SL) had the following bank loans outstanding during the whole of 2018:

	Rs. m
9% loan repayable 2019	15
11% loan repayable 2022	24

   SL began construction of a qualifying asset on 1 April 2018 and withdrew funds of Rs. 6 million on that date to fund construction. On 1 August 2018 an additional Rs. 2 million was withdrawn for the same purpose.

Calculate the borrowing costs which can be capitalised in respect of this project for the year ended 31 December 2018.

a) Rs. 545,600
b) Rs. 472,350
c) Rs. 750,600
d) Rs. 350,350

6. Jazzy Limited (JL) has borrowed Rs. 24 million to finance the building of a factory. Construction is expected to take two years.

The loan was drawn down and incurred on 1 January 2019 and work began on 1 March 2019. Rs. 10 million of the loan was not utilized until 1 July 2019 so JL was able to invest it until needed. JL is paying 8% on the loan and can invest surplus funds at 6%.

Calculate the borrowing costs to be capitalised for the year ended 31 December 2019 in respect of this project.

a) Rs. 1,400,000
b) Rs. 1,920,000
c) Rs. 1,300,000
d) Rs. 1,620,000

7. A company has the following loans in place throughout the year ended 31 December 2018.

	Rs. m
10% bank loan	140
8% bank loan	200

On 1 July 2018 Rs. 50 million was drawn down for construction of a qualifying asset which was completed during 2019.

What amount should be capitalised as borrowing costs at 31 December 2018 in respect of this asset?

a) Rs. 5.6 million
b) Rs. 2.8 million
c) Rs. 4.4 million
d) Rs. 2.2 million

8. An entity uses funds from its general borrowings to build a new production facility. Details of the entity's borrowings are shown below:

- Rs.10 million 6% loan
- Rs.6 million 8% loan

The entity used Rs.12 million of these funds to construct the facility, which was under construction for the entire year.

How much interest should be capitalised as part of the cost of the asset?

a) Rs. 810,000
b) Rs. 840,000
c) Rs. 960,000
d) Rs. 1,080,000

9. Which of the following is not considered a "borrowing cost" under IAS 23?
   a) Interest expense calculated by the effective interest method
   b) Finance charges in respect of loan
   c) Exchange differences arising from foreign currency borrowings to the extent that they are regarded as an adjustment to interest costs
   d) Principal repayments on a loan for property, plant and equipment

10. When activities to prepare an asset for its sale or use are suspended, borrowing costs must be?
   a) Capitalised
   b) Expensed
   c) Ignored
   d) Charged to equity

11. Which of the following is not a condition to commence capitalisation of borrowing costs?
   a) Expenditures are being incurred
   b) Borrowing costs are being incurred
   c) Repayment of borrowings has commenced
   d) Activities to produce the asset for its intended use or sale have commenced

12. Ghazi Limited (GL) is constructing an office building and is capitalising borrowing costs in accordance with IAS 23. The office is almost complete; the only remaining work is to install furniture. Is GL allowed to continue capitalising the borrowing costs?
   a) Yes
   b) No
   c) Don't know
   d) None of the above

13. Which of the following is not a "qualifying asset" under IAS 23?
   a) Mass produced inventory
   b) Manufacturing plants
   c) Made to order inventory
   d) Investment property

14. Which of the following can NOT be a 'qualifying asset' under IAS 23 Borrowing Costs?
   a) Inventories
   b) Manufacturing plants
   c) Assets that are ready for their intended use when acquired
   d) Investment property

15. Capitalisation of borrowing costs should be suspended:
   a) when substantially all the activities necessary to prepare a qualifying asset for its intended use or sale are complete
   b) during a temporary delay which is a necessary part of the process of getting an asset ready for its intended use or sale
   c) during extended periods in which active development of a qualifying asset is interrupted
   d) all of the above

16. Which of the following statements is correct in the context of capitalisation of borrowing costs?

    a) If funds have been arranged from various general borrowings, the amount to be capitalised is based on the weighted average cost of borrowings
    b) Capitalisation always commences as soon as expenditure for the asset is incurred
    c) Capitalisation always continues until the asset is brought into use
    d) Capitalisation always commences as soon as borrowing costs are incurred

17. On 1 January 2021, a company borrowed Rs. 20 million @ 9% per annum for the purpose of constructing an asset. The company started construction on 1 February 2021 and paid Rs. 8 million on 1 March 2021 and Rs. 12 million on 1 July 2021. The asset was ready to use on 1 September 2021. Surplus funds were invested @ 6% per annum.

    The borrowing cost that can be capitalised is:

    a) Rs. 660,000
    b) Rs. 710,000
    c) Rs. 900,000
    d) Rs. 1,050,000

18. Which of the following statements are correct?

    i. Investment income on the temporary investment of unused funds of general borrowings is taken to profit or loss.
    ii. Capitalisation of borrowing cost always commences as soon as construction of a qualifying asset begins.

    a) Only (I) is correct
    b) Only (II) is correct
    c) Both are correct
    d) None is correct

19. Sigma Limited (SL) borrowed Rs. 10 million from a bank on 1 July 2023 at an interest rate of 15% to purchase a delivery truck. SL paid Rs. 6 million immediately to the supplier as an advance. On 1 May 2024, SL paid an additional Rs. 2 million upon the delivery of the truck. The remaining Rs. 2 million was paid to the supplier on 30 June 2024. SL invested the surplus funds from the loan in a saving account at 13% per annum.

    The amount of borrowing cost that can be capitalised in the cost of truck amounts to:

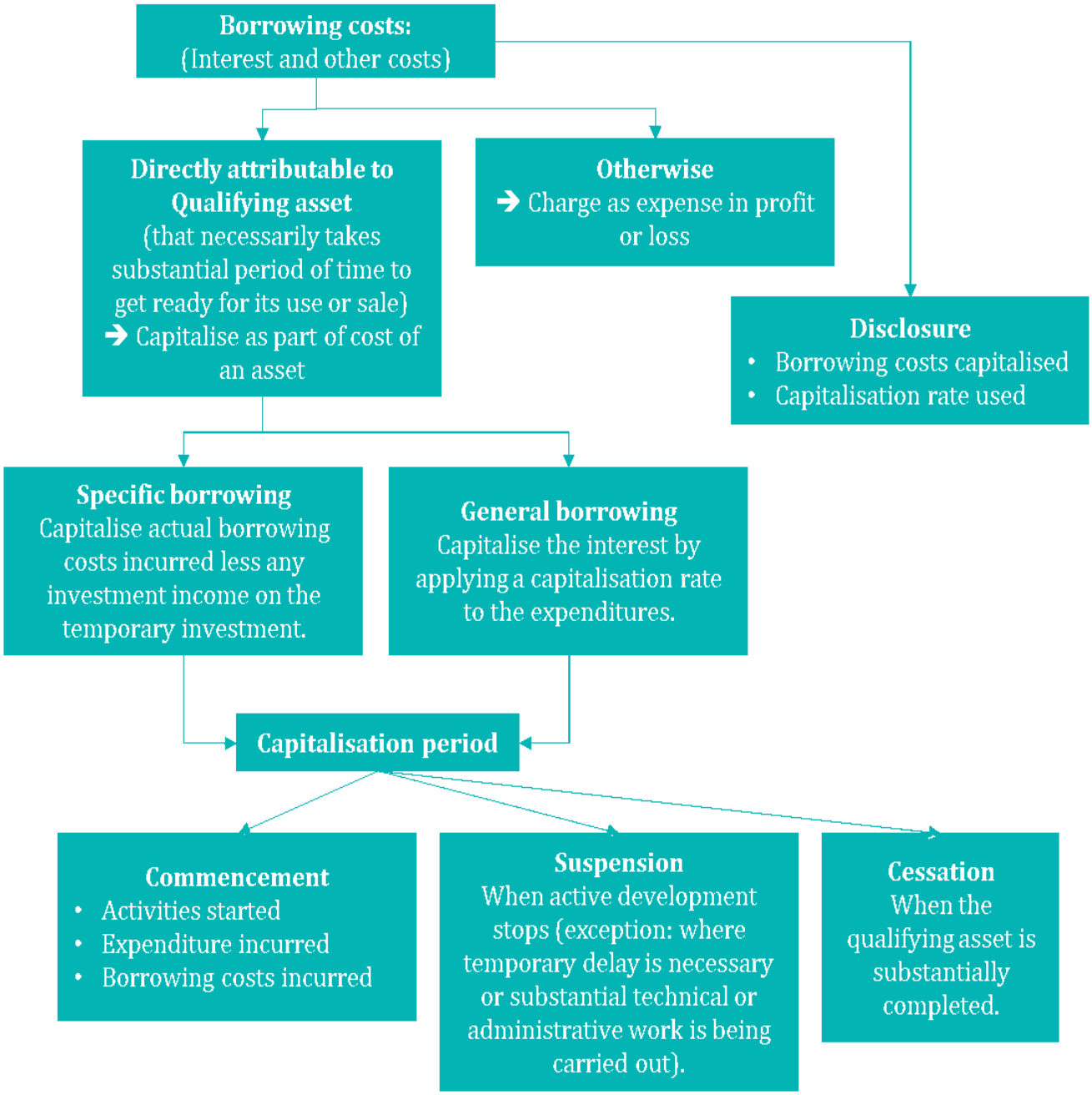
    a) Rs. 1,030,000
    b) Rs. 820,000
    c) Rs. 950,000
    d) Nil

ANSWERS

01.	(a, b)	Borrowing costs must be capitalised if they are directly attributable to qualifying assets, which are assets that take a substantial time to complete. Capitalization should cease once substantially all the activities to prepare the asset are complete.
02.	(c)	Rs. 10 million x 7.5% x 2/12 = Rs. 125,000
03.	(d)	Rs. 10 million x 7.5% x 10/12 = Rs. 625,000
04.	(b)	Temporary investment income earned during the construction period should be netted off the amount capitalised. However, the interest was earned prior to the period of construction. Therefore, the investment income earned should be taken to the statement of profit or loss as investment income.
05.	(a)	$$Capitalisation\ rate = \frac{(9\% \times 15m) + (11\% \times 24m)}{15 + 24} = 10.23\%$$ Rs. 6m × 10.23% × 9/12 = Rs.460,350 Rs. 2m × 10.23% × 5/12 = Rs. 85,250 Total Rs. 545,600
06.	(a)	<table><tr><th></th><th>Rs.</th></tr><tr><td>March – December (Rs. 24m × 8% × 10/ 12)</td><td>1,600,000</td></tr><tr><td>Less investment income (Rs. 10m × 6% × 4/12)</td><td>(200,000)</td></tr><tr><td></td><td>1,400,000</td></tr></table> Temporary investment income before commencement would be recognised as finance income in profit or loss.
07.	(d)	$$Capitalisation\ rate = \frac{(10\% \times 140m) + (8\% \times 200m)}{140 + 200} = 8.8\%$$ Rs. 50 million × 8.8% × 6/12 = Rs. 2.2 million
08.	(a)	Rs.12m × 6.75% = Rs. 810,000 $$Capitalisation\ rate = \frac{(6\% \times 10m) + (8\% \times 6m)}{10 + 6} = 6.75\%$$
09.	(d)	Borrowing costs do not include repayment of borrowing itself.
10.	(b)	Borrowing costs incurred, when not capitalised, are recognised as an expense.
11.	(c)	Repayment of borrowing is not a criteria for commencement of capitalisation of borrowing costs.
12.	(b)	Once the asset is substantially complete, the capitalisation of borrowing costs must cease.
13.	(a)	Inventories that are manufactured, or otherwise produced, in large quantities on a repetitive basis (over a short period of time) are not qualifying assets.

14.	(c)	Assets that are ready for their intended use when acquired are not qualifying asset.
15.	(c)	Capitalisation of borrowing costs must suspend during extended periods in which active development of a qualifying asset is interrupted.
16.	(a)	If funds have been arranged from various general borrowings, the amount to be capitalised is based on the weighted average cost of borrowings.
17.	(a)	<table><tr><th></th><th>Rs.</th></tr><tr><td>Interest on specific loan Rs. 20m x 9% x 6/12 (Mar to Aug)</td><td>900,000</td></tr><tr><td>Less: Investment income Rs. 12m x 6% x 4/12 (Mar to Jun)</td><td>(240,000)</td></tr><tr><td></td><td>660,000</td></tr></table> In January and February, all criteria for capitalisation of borrowing costs had not been met.
18.	(a)	Statement (II) is incorrect. Additionally, borrowing cost must have been incurred and expenditure must have been made.
19.	(d)	Nil

STICKY NOTES



CHAPTER 3

IAS 16 PROPERTY, PLANT AND EQUIPMENT

IN THIS CHAPTER:

AT A GLANCE

SPOTLIGHT

1. Recognition and measurement
2. Depreciation
3. Derecognition
4. Measurement after recognition
5. Disclosure
6. Comprehensive Examples
7. Objective Based Q&A

STICKY NOTES

AT A GLANCE

IAS 16 deals with property, plant and equipment i.e. long term tangible assets held for use in the business for:

a) production or supply of goods or services;

b) rental to others; or

c) administrative purposes.

These assets are initially measured at cost, i.e. all the costs incurred to bring the asset to its intended use. It normally includes purchase price less any trade discounts and rebates and includes non-refundable taxes, import duties, cost of site preparation, installation cost, etc.

Subsequent expenditure is normally charged to profit or loss unless it enhances the economic benefits of the related assets.

Depreciation is charged on these assets to match the expense against the benefit derived from use of these assets in the business. The assets are normally depreciated using straight line, reducing balance, units of production or sum of digits method.

After recognition, the entity may choose the policy to subsequently measure the assets at either:

- Cost model: the assets are carried at cost less accumulated depreciation and accumulated impairment losses; or
- Revaluation model: the assets are carried at revalued amount (fair value) less subsequent accumulated depreciation and subsequent accumulated impairment losses.

IAS 16 provides detailed guidance regarding recognition of revaluation gain or loss and reversal thereof including realisation of revaluation surplus.

The assets are derecognised when disposed of or when they become permanently redundant and no economic benefits are expected from their sale or use. The gain or loss on derecognition is charged to profit or loss.

1 RECOGNITION AND MEASUREMENT

1.1 Introduction [IAS 16: 6]

Property, plant and equipment (PPE) are a company's long term, tangible fixed assets that are vital to business operations and cannot be easily liquidated.

Property, plant and equipment are tangible items that:

a) are held for use in the production or supply of goods or services, for rental to others, or for administrative purposes; and

b) are expected to be used during more than one period.

It is important to distinguish PPE from:

- intangible assets e.g. patents, software, etc. Intangible assets do not have physical substance and therefore are classified and presented separately, although they are also held for long term and are often vital to business operations. Intangible assets are accounted for under IAS 38 (Intangible Assets).
- inventory. Although inventory items usually have physical substance, they differ from PPE because they are held for resale in the ordinary course of business. Inventories are accounted for under IAS 2 (Inventory).

If an entity's main business is selling machines, those machine are inventory items and are not classified as PPE. However, the plant and machinery used to produce the machines for sales is PPE. The same goes for real estate businesses. Their corporate offices are PPE but the houses they sell are inventory.

1.2 Recognition [IAS 16: 7 to 9 & 11]

The cost of an item of PPE shall be recognised as an asset if, and only if:

a) it is probable that future economic benefits associated with the item will flow to the entity; and

b) the cost of the item can be measured reliably.

Items of property, plant and equipment may be acquired for safety or environmental reasons. The acquisition of such property, plant and equipment, although not directly increasing the future economic benefits of any particular existing item of property, plant and equipment, may be necessary for an entity to obtain the future economic benefits from its other assets. Such items of property, plant and equipment qualify for recognition as assets because they enable an entity to derive future economic benefits from related assets in excess of what could be derived had those items not been acquired. For example, a chemical manufacturer may install new chemical handling processes to comply with environmental requirements for the production and storage of dangerous chemicals; related plant enhancements are recognised as an asset because without them the entity is unable to manufacture and sell chemicals.Spare parts and servicing equipment are usually carried as inventory and recognised in profit or loss as consumed. However, major spare parts and stand-by equipment qualify as PPE when an entity expects to use them during more than one period. Similarly, if the spare parts and servicing equipment can be used only in connection with an item of PPE, they are accounted for as PPE.

As a practical expedient, immaterial items are not recognised as PPE even if they meet the definition criteria, for example, staplers and calculators etc.

1.3 Measurement at recognition [IAS 16: 15 to 17 & 19 to 22]

PPE are initially recorded at cost.

Cost is the amount of cash or cash equivalents paid and the fair value of the other consideration given to acquire an asset at the time of its acquisition or construction.

The cost of an item of PPE consists of:

a) its purchase price after any discounts and rebates have been deducted plus any non-refundable / non-adjustable taxes (for example, import taxes or sales tax); plus

b) the directly attributable costs of 'bringing the asset to the location and condition necessary for it to be capable of operating in the manner intended by management'. These directly attributable costs may include:

- employee costs arising directly from the installation or construction of the asset
- the cost of site preparation
- initial delivery and handling costs
- installation and assembly costs
- testing costs (to determine whether the asset is functioning properly)
- professional fees such as architect and surveyor fee.

c) the initial estimate of the costs of dismantling and removing the item and restoring the site on which it is located, for which an entity incurs legal or constructive obligation.

For example, when land is acquired, certain costs are necessary and should be part of the cost of land. These costs include the cost of the land, title and legal fees, site preparation costs like grading and draining and survey costs etc. All of these costs may be considered necessary to get the land ready for its intended use.

The cost of a self-constructed asset is determined using the same principles as for an acquired asset. Borrowing costs including interest may also be capitalised in accordance with IAS 23.

Examples of costs that are not costs of an item of PPE are:

- costs of opening a new facility;
- costs of introducing a new product or service (including costs of advertising and promotional activities);
- costs of conducting business in a new location or with a new class of customer (including costs of staff training); and
- administration and other general overhead costs.

▶ *Example 01:*

Alex Limited (AL) has purchased a large item of plant. The following costs were incurred:

	Rs. 000
List price of the plant	1,000,000
Trade discount given	50,000
Delivery cost	100,000
Installation cost	125,000
Cost of site preparation	200,000
Architect's fees	15,000
Administration expense	150,000

Local government officials have granted AL a license to operate the plant on condition that AL will dismantle the plant and restore the site to its former condition at the end of the plant's life. AL has estimated the amount of Rs. 250 million in present value terms for the related obligation.

Required:

Calculate the cost of the plant on its initial recognition.

▶ *Answer:*

	Rs. 000
Purchase price (1,000,000 – 50,000)	950,000
Delivery cost	100,000
Installation cost	125,000
Cost of site preparation	200,000
Architect's fees	15,000
Estimated dismantling and restoration costs	250,000
	1,640,000

Recognition of costs in the carrying amount of an item of PPE ceases when the item is in the location and condition necessary for it to be capable of operating in the manner intended by management. Therefore, costs incurred in using or redeploying an item are not included in the carrying amount of that item. For example, the following costs are not included in the carrying amount of an item of PPE:

- costs incurred while an item capable of operating in the manner intended by management has yet to be brought into use or is operated at less than full capacity;
- initial operating losses; and
- costs of relocating an entity's operations.

Income may be earned through using a building site as a car park until construction starts. Because incidental operations are not necessary to bring an item to the location and condition necessary for it to be capable of operating in the manner intended by management, the income and related expenses of incidental operations are recognised in profit or loss.

Similarly, sale proceeds and related cost of samples produced, while testing whether the asset is functioning properly, are recognised in profit or loss.

1.4 Exchange transaction [IAS 16: 24 to 26]

An asset may be acquired in exchange for another asset. The cost of such an asset is measured at its fair value unless:

- the exchange transaction lacks commercial substance; or
- the fair value of neither the asset received nor the asset given up is reliably measurable.

In simple terms, an exchange transaction has commercial substance when entity's future cash flows are expected to change to a material extent as a result of the transaction. It is usually assumed that exchange transaction has commercial substance.

If the new asset is measured at fair value, the fair value of the asset given up is used to measure the cost of the asset received unless the fair value of the asset received is more clearly evident.

If the new asset is not measured at fair value, its cost is measured at the carrying amount of the asset given in exchange for it.

▶ *Example 02:*

Following information pertains to four exchange transactions relating to fixed assets:

	(i)	(ii)	(iii)	(iv)
	--------- Rs. in million ---------			
Cash received/(paid)	1.1	(2.1)	-	-
Assets given up:				
Original cost	10.3	12.4	14.5	14.5
Book value	6.4	7.3	3.4	3.4
Estimated fair value	8.5	6.6	4.6	4.6
Assets received:				
Estimated fair value	7.1	9.0	4.1	Not available

Additional information:

- In case of transaction (i), fair values of both assets are reliably measurable.
- In case of transaction (ii), fair value of the asset received is clearly more evident.
- In case of transaction (iii), fair value of neither asset is reliably measurable.
- In case of transaction (iv), entity's future cash flows are not expected to change as a result of this exchange.

Required:

Calculate the cost of asset received at recognition for each of above transactions.

▶ *Answer:*

Transaction (i)

Fair value of asset given up Rs. 8.5m – cash received Rs. 1.1m = Rs. 7.4 million

Transaction (ii)

Fair value of asset received = Rs. 9.0 million

Transaction (iii)

Carrying amount of asset given = Rs. 3.4 million

Transaction (iv)

Carrying amount of asset given = Rs. 3.4 million

1.5 Subsequent expenditure [IAS 16: 12 to 14]

The costs of the day-to-day servicing of the item are recognised in profit or loss as incurred, usually as 'repair and maintenance'.

Subsequent expenditure relating to PPE, after their initial acquisition, is capitalised if it meets the criteria for recognition. In practice, this usually means that expenditure is capitalised if it:

- improves the asset (for example, by enhancing its performance or extending its useful life);
- is for a replacement part (the replaced part is derecognised); or
- relates to major inspection or overhaul (the carrying amount of previous inspection or overhaul is derecognised).

2 DEPRECIATION

2.1 Concept and definitions [IAS 16: 6]

The use of long-term asset provides benefit to business over several years, therefore, it is not appropriate to recognise total cost of such assets as an expense either in the year of acquisition or in the year of disposal. Recognising periodic depreciation expense matches the cost of a non-current asset to the benefit earned from its use in the business. In effect, the cost less residual value of the asset is transferred to the statement of comprehensive income over the period for which asset is used.

It is important to understand that the depreciation is not decrease in value of asset; write down of carrying amount of an item of PPE is called impairment loss (which shall be covered in a later chapter).

Depreciation is the systematic allocation of the depreciable amount of an asset over its useful life.

Depreciable amount is cost (or revalued amount) of an asset less its residual value.

The ***residual value*** of an asset is the estimated amount that an entity would currently obtain from disposal of the asset, after deducting the estimated costs of disposal, if the asset were already of the age and in the condition expected at the end of its useful life.

Useful life is:

a) the period over which an asset is expected to be available for use by an entity; or

b) the number of production or similar units expected to be obtained from the asset by an entity.

Accumulated Depreciation is the depreciation charged to date (cumulative) on a non-current asset. This is contra asset account (a negative balance of the asset).

Carrying amount (also called net book value (NBV) or written down value (WDV)) is the amount at which an asset is presented in statement of financial position.

Carrying amount = Cost or revalued amount – accumulated depreciation – accumulated impairment

▶ *Example 03:*

ABC Enterprise bought a machine for Rs. 700,000 in early 2021. Although the machine can be used for seven years but ABC Enterprises expects to use it for 5 years only.

ABC Enterprise estimated that machine can be disposed of for Rs. 620,000 (at current prices) and for Rs. 680,000 (at prices expected at end of 2025). Further, a 5-year old similar machine can be disposed of for Rs. 150,000 (at current prices) and for Rs. 330,000 (at prices expected at end of 2025).

Required:

Determine the useful life and residual value of above machine.

▶ *Answer:*

The useful life is 5 years i.e. the period over which machine is expected to be available for use by ABC Enterprise.

The residual value is Rs. 150,000 that can be currently obtained if the machine was already in 5 years old condition.

▶ *Example 04:*

An asset costs Rs. 100,000 and can be easily used for ten years. The management of the business entity intends to use the asset for six years at which point expected residual value will be Rs. 40,000 (at current prices).

Required:

What is depreciable amount and useful life of above asset?

▶ *Answer*

Depreciable amount = Rs. 100,000 – 40,000 = Rs. 60,000

Useful life is six years as intended by the management of the entity.

2.2 Methods of calculating depreciation [IAS 16: 60, 62 & 62A]

A variety of depreciation methods can be used to allocate the depreciable amount of an asset on a systematic basis over its useful life. However, the depreciation method used should reflect as fairly as possible the pattern in which the asset's economic benefits are expected to be consumed by the entity. A depreciation method that is based on revenue that is generated by an activity that includes the use of an asset is not appropriate.

The four common methods have been discussed below:

2.2.1 Straight line depreciation

In this method, the depreciable amount is charged in equal amounts to each reporting period over the expected useful life of the asset. With the straight-line method, the annual depreciation charge is the same for each full financial year over the life of the asset. This is the most common method in practice and the easiest to calculate.

$$Depreciation = \frac{Cost - Residual\ value}{Useful\ life}$$

$$Alternatively, depreciation = Cost \times Rate$$

$$Rate = \frac{Depreciable\ amount}{Cost \times Useful\ life}$$

▶ *Example 05:*

Plant bought on 1 January 2021 for Rs. 100,000 with expected useful life of 5 years and residual value of Rs. 10,000. The entity year ends on 31 December.

Required:

Using straight line method, calculate the amount of annual depreciation and carrying amount along with accumulated depreciation for the year 2021 to 2025.

▶ *Answer*

$$Rate = \frac{100{,}000 - 10{,}000}{100{,}000 \times 5 years} = 18\%$$

	2021	2022	2023	2024	2025
	Rs.	Rs.	Rs.	Rs.	Rs.
Annual depreciation Rs. 100,000 x 18%	18,000	18,000	18,000	18,000	18,000
Cost	100,000	100,000	100,000	100,000	100,000
Accumulated depreciation	(18,000)	(36,000)	(54,000)	(72,000)	(90,000)
Carrying amount	**82,000**	**64,000**	**46,000**	**28,000**	**10,000**

▶ *Example 06:*

An item of equipment costs Rs. 1,260,000. It has an expected useful life of six years and an expected residual value of Rs. 240,000. Using the straight-line method of depreciation, what is the annual depreciation charge and what will be the carrying amount of the asset after four years?

▶ *Answer*

Annual depreciation charge = Rs. (1,260,000 – 240,000) / 6 years = Rs. 170,000

	Rs.
Asset at cost	1,260,000
Less: Accumulated depreciation Rs. 170,000 x 4 years	(680,000)
Carrying value	**580,000**

▶ *Example 07:*

The financial year of an entity is 1st January to 31st December. A non-current asset was purchased on 1st May for Rs. 60,000. Its expected useful life is five years and its expected residual value is zero. It is depreciated by the straight-line method.

Required:

What will be the charge for depreciation in the year of acquisition if a proportion of a full year's depreciation is charged, according to the period for which the asset has been held?

▶ *Answer*

Depreciation in year 1 = Rs. (60,000 – 0) / 5 years x 8/12 = Rs. 8,000

2.2.2 Reducing balance method:

In this method, the annual depreciation charge is a fixed percentage of the carrying amount of the asset at the start of the period which results in gradually lower depreciation charge as asset's efficiency is reduced over its useful life.

$$Rate = 1 - \sqrt[number\ of\ years]{\frac{Residual\ value}{Cost}}$$

$$Depreciation = Net\ book\ value \times Rate$$

▶ *Example 08:*

Plant bought on 1 January 2021 for Rs. 100,000 with expected useful life of 5 years and residual value of Rs. 10,000. The entity year ends on 31 December.

Required:

Using reducing balance method, calculate the amount of annual depreciation and carrying amount along with accumulated depreciation for the year 2021 to 2025.

▶ *Answer*

$$Rate = 1 - \sqrt[5]{\frac{10{,}000}{100{,}000}} = 36.9\%$$

	2021	2022	2023	2024	2025
	Rs.	Rs.	Rs.	Rs.	Rs.
Annual depreciation Carrying amount x 36.9%	36,900	23,284	14,692	9,271	5,853
Cost	100,000	100,000	100,000	100,000	100,000
Accumulated depreciation	(36,900)	(60,184)	(74,876)	(84,147)	(90,000)
Carrying amount	**63,100**	**39,816**	**25,124**	**15,853**	**10,000**

Notice that, each subsequent year's depreciation charge is 63.1% (i.e. 100% – 36.9%) of previous year's charge.

▶ *Example 09:*

A non-current asset cost Rs. 64,000. It is depreciated by the reducing balance method, at the rate of 25% each year. What is the carrying amount at the end of year 3?

▶ *Answer*

	Rs.
Cost of asset	64,000
Year 1 Depreciation (25%)	(16,000)
Carrying amount at the end of year 1	48,000
Year 2 Depreciation (25%)	(12,000)
Carrying amount at the end of year 2	36,000
Year 3 Depreciation (25%)	(9,000)
Carrying amount at the end of year 3	27,000

Alternatively, Rs. 64,000 x $(0.75)^3$ = Rs. 27,000

2.2.3 Units of production method

In this method, depreciation is calculated by expressing the useful life of an asset in terms of its expected total output and allocating the annual charge to depreciation based on actual output. The higher the usage, the higher the depreciation charge and vice versa.

$$Rate = \frac{Cost - Residual\ value}{Useful\ life\ in\ units}$$

$$Depreciation = Units\ used\ or\ produced \times Rate$$

▶ *Example 10:*

Plant bought on 1 January 2021 for Rs. 100,000 with expected useful life of 5 years and residual value of Rs. 10,000 and the plant can be used to produce 7500 units over its life. The entity year ends on 31 December.

Actual production of units has been 1500 units, 1800 units, 1200 units, 2000 units and 1000 units from year 2021 to 2025 respectively.

Required:

Using units of production method, calculate the amount of annual depreciation and carrying amount along with accumulated depreciation for the year 2021 to 2025.

▶ *Answer*

$$Rate = \frac{100{,}000 - 10{,}000}{7500\ units} = Rs.\ 12\ per\ unit$$

	2021	2022	2023	2024	2025
	Rs.	Rs.	Rs.	Rs.	Rs.
Annual depreciation Units produced x Rs. 12	18,000	21,600	14,400	24,000	12,000
Cost	100,000	100,000	100,000	100,000	100,000
Accumulated depreciation	(18,000)	(39,600)	(54,000)	(78,000)	(90,000)
Carrying value	**82,000**	**60,400**	**46,000**	**22,000**	**10,000**

2.2.4 Sum of digits method

In this method, depreciation is calculated by multiplying the depreciable amount by a fraction where numerator is the remaining life of the asset at the start of the period and the denominator is the sum of all the years' useful life at the start of ownership. This method results in stepwise lower depreciation in later years of useful life.

$$Depreciation = Depreciable\ amount \times \frac{Remaining\ years}{Sum\ of\ years'digits}$$

Sum of years' digits may also be calculated using the following formula:

$$= \frac{n(n+1)}{2}$$

▶ *Example 11:*

Plant bought on 1 January 2021 for Rs. 100,000 with expected useful life of 5 years and residual value of Rs. 10,000. The entity year ends on 31 December.

Required:

Using sum of digits method, calculate the amount of annual depreciation and carrying amount along with accumulated depreciation for the year 2021 to 2025.

▶ *Answer*

$$Sum\ of\ digits = \frac{n(n+1)}{2} = \frac{5(5+1)}{2} = 15$$

	2021	2022	2023	2024	2025
	Rs.	Rs.	Rs.	Rs.	Rs.
Annual depreciation Rs. 90,000xremaining years/15	30,000	24,000	18,000	12,000	6,000
Cost	100,000	100,000	100,000	100,000	100,000
Accumulated depreciation	(30,000)	(54,000)	(72,000)	(84,000)	(90,000)
Carrying value	**70,000**	**46,000**	**28,000**	**16,000**	**10,000**

▶ *Example 12:*

A motor vehicle cost Rs.400,000. It has an expected residual value after 5 years of Rs.40,000. If the sum of the digits method of depreciation is used, what will be the carrying amount of the asset at the end of Year 2?

▶ *Answer*

Sum of digits = 5 + 4 + 3 + 2 + 1 = 15

	Rs.
Cost of asset	400,000
Year 1 Depreciation (400,000 – 40,000) x 5/15	(120,000)
Carrying amount at the end of year 1	280,000
Year 2 Depreciation (400,000 – 40,000) x 4/15	(96,000)
Carrying amount at the end of year 2	**184,000**

2.3 Depreciation charge and period [IAS 16: 43, 44, 48, 52, 54 & 55]

The depreciation charge for each period shall be recognised in profit or loss unless it is included in the carrying amount of another asset. For example, if machinery (PPE of the business) is used in construction of office building, the depreciation of such machinery arising during the construction period shall be capitalised in the cost of building.

The journal entry for depreciation expense is as follows:

Debit	Depreciation expense	
Credit		Accumulated depreciation

Depreciation is charged even if the asset is idle and not being used. However, in following situations depreciation charge may be zero:

- Under usage methods of depreciation, the depreciation charge can be zero while there is no production.
- Freehold land has an unlimited useful life and therefore is not depreciated. However, leasehold land is depreciated since lease term is definite. Similarly, land improvements (parking lots, sidewalks, landscaping, irrigation systems etc.) have a limited useful life and are also depreciated.
- Depreciation will be zero when the fully depreciated asset is still in use.
- No depreciation will be charged when residual value exceeds carrying amount.

Depreciation of an asset begins when it is available for use, i.e. when it is in the location and condition necessary for it to be capable of operating in the manner intended by management. This may be earlier than the date it is actually brought into use. Depreciation of an asset ceases when it is derecognised/disposed.

Each part of an item of PPE with a cost that is significant in relation to the total cost of the item shall be depreciated separately. For example, it may be appropriate to depreciate separately the airframe and engines of an aircraft.

▶ *Example 13:*

An office property cost Rs. 5 million, of which the land value is Rs. 2 million and the cost of the building is Rs. 3 million. The building has an estimated life of 50 years. What is the annual depreciation charge on the property, using the straight-line method?

▶ *Answer*

Rs. 3,000,000 (other than land) / 50 years = Rs. 60,000

▶ *Example 14:*

An entity constructed a building for its own use. The building was completed on 1 July 2008 and occupied on 1 September 2008. The entity used the building for a long time but then due to expansion in its business it decided on 1 July 2015 to shift to new rented premises. The entity shifted to new premises on 1 August 2015 and disposed of the old building on 31 December 2015.

Required:

Identify the date from which depreciation should be commenced and date when depreciation charge should cease.

▶ *Answer*

Commencement of depreciation: 1 July 2008 (when asset became available for use)

Cessation of depreciation: 31 December 2015 (when asset is disposed of)

2.4 Change in estimate: depreciation method [IAS 16: 61]

The depreciation method applied to an asset shall be reviewed at least at each financial year-end and, if there has been a significant change in the expected pattern of consumption of the future economic benefits embodied in the asset, the method shall be changed.

The carrying amount should be written off over the remaining useful life, commencing with the period in which the change is made.

▶ *Example 15:*

On 1 January 2001, Air Limited purchased an asset for Rs. 10,000 with nil residual value and is intended to be used for 10 years. The entity uses straight line method.

On 1 January 2003, Air Limited reconsidered the use of its depreciation methods and concluded that the straight-line method is not appropriate for this type of asset instead 25% depreciation on reducing balance method is appropriate.

Required:

Calculate depreciation expense from year 2001 to year 2004.

▶ *Answer*

Year	Calculation	Rs.
2001	Rs. 10,000 / 10 years	1,000
2002	Rs. 9,000 / 9 years	1,000
2003	Rs. 10,000 – 1,000 – 1,000 = Rs. 8,000 x 25%	2,000
2004	Rs. 8,000 – 2,000 = Rs. 6,000 x 25%	1,500

2.5 Change in estimate: Review of useful life and residual values [IAS 16: 51]

Useful life and residual value of assets should be reviewed at end of each financial year and revised if expectations are significantly different from previous estimates.

The carrying amount of the asset at the date of revision less any revised residual value should be depreciated over the revised remaining useful life.

▶ *Example 16:*

On 1 January 2001, Water Limited purchased an asset for Rs. 12,000 with estimated residual value of Rs. 2,000 and is intended to be used for 10 years. The entity uses straight line method.

In 2003, Water Limited reviewed the useful life and residual value of the asset. It was estimated that the asset's remaining useful life is now only 5 years, however, the estimate of residual value has been increased to Rs. 3,000.

Required:

Calculate depreciation expense from year 2001 to year 2004.

▶ *Answer:*

Year	Calculation	Rs.
2001	Rs. 12,000 – 2,000 = Rs. 10,000 / 10 years	1,000
2002	Same as above	1,000
2003	Rs. 12,000 – 1,000 – 1,000 = Rs. 10,000 – Rs. 3,000 = Rs. 7,000 / 5 years	1,400
2004	Same as above	1,400

3 DERECOGNITION

3.1 Accounting treatment and calculation [IAS 16: 67 to 71]

The carrying amount of an item of PPE shall be derecognised:

- on disposal (sale/ donation); or
- when no future economic benefits are expected from its use or disposal.

Date of disposal is when recipient obtains control of the asset.

In case part of an asset is replaced, new part is recognised (capitalised) and the replaced (old) part is derecognised regardless of whether the replaced part had been depreciated separately. If it is not practicable for an entity to determine the carrying amount of the replaced part, it may use the cost of the replacement as an indication of what the cost of the replaced part was at the time it was acquired or constructed.

Gain or loss is recognised in profit or loss. However, gain is not classified as revenue; it is presented as other income.

Gain (loss) = Net sale proceeds – Carrying amount at date of disposal

Net disposal proceeds = Cash received + New asset received – Cash paid* – disposal costs*

Carrying amount = Cost – accumulated depreciation – accumulated impairment losses

Cash to be paid in exchange = Agreed price of new asset – trade in value***

in case of exchange of assets.

****trade in value is value of old asset agreed in asset exchange.***

▶ *Example 17:*

A non-current asset originally cost Rs. 75,000. Accumulated depreciation is Rs.51,000. The asset is now sold for Rs. 18,000. Disposal costs are Rs. 500.

Required:

Calculate the gain or loss on disposal of above asset.

▶ *Answer:*

Net sale proceeds = Rs. 18,000 – 500 = Rs. 17,500

Carrying amount = Rs. 75,000 – 51,000 = Rs. 24,000

Gain (loss) on disposal = Rs. 17,500 – 24,000 = Rs. (6,500) Loss

▶ *Example 18:*

The following data relates to exchange of old machinery with new equipment by Adeel Limited:

	Rs.
Cost (old machinery)	100,000
Accumulated depreciation (of machine given)	30,000
Cash received in exchange	18,000
Cost of new equipment acquired in exchange	60,000
Commission paid to broker	3,000

Required:

Calculate gain or loss on disposal.

▶ *Answer:*

Net disposal proceeds = Rs. 18,000 + 60,000 – 3,000 = Rs. 75,000

Carrying amount = Rs. 100,000 – 30,000 = Rs. 70,000

Gain (loss) = Rs. 75,000 – 70,000 = Rs. 5,000 gain

3.2 Accounting entries: disposal account

The gain or loss on disposal of a non-current asset may be recorded by creating a temporary asset's disposal account. The following journal entries may be recorded:

1.	Transfer the cost of non-current asset disposed (or given in exchange)	Debit Disposal account Credit PPE (old)
2.	Transfer the accumulated depreciation of asset disposed (or given in exchange)	Debit Accumulated depreciation Credit Disposal account
3.	Disposal proceeds / cash received from disposal or part exchange	Debit Bank / Receivable Credit Disposal account
4.	Part-exchange (asset received)	Debit PPE (new) Credit Disposal account
5.	Disposal costs incurred	Debit Disposal account Credit Bank /payable
6.	Cash paid in part exchange	Debit Disposal account Credit Bank /payable
7.	Gain on disposal	Debit Disposal account Credit Gain (profit or loss)
	Loss on disposal	Debit Loss (profit or loss) Credit Disposal account

▶ *Example 19:*

The following data relates to exchange of old machinery with new equipment by Adeel Limited:

	Rs.
Cost (old machinery)	100,000
Accumulated depreciation (of machine given)	30,000
Cash received in exchange	18,000
Cost of new equipment acquired in exchange	60,000
Commission paid to broker	3,000

Required:

Prepare disposal account to determine the gain or loss on the disposal.

▶ *Answer:*

Disposal account

	Rs.		Rs.
PPE (old machinery)	100,000	Accumulated depreciation	30,000
Cash paid (disposal costs)	3,000	Bank / Receivable	18,000
Gain on disposal (bal.)	5,000	PPE (new equipment)	60,000
	108,000		108,000

3.3 Combined journal entry for disposal

All journal entries related to the disposal of non-current asset may be combined into one journal entry by skipping the temporary disposal account.

Debit	Accumulated depreciation	
Debit	Bank / Receivable	
Debit	PPE (new)	
Debit	Loss (profit or loss) (balancing, if debit side is short)	
Credit		PPE (old)
Credit		Cash (disposal costs)
Credit		Cash (part exchange)
Credit		Gain (profit or loss) (balancing, if credit side is short)

▶ *Example 20:*

The following data relates to exchange of old machinery with new equipment by Adeel Limited:

	Rs.
Cost (old machinery)	100,000
Accumulated depreciation (of machine given)	30,000
Cash received in exchange	18,000
Cost of new equipment acquired in exchange	60,000
Commission paid to broker	3,000

Required:

Prepare one combined journal entry for the disposal.

▶ *Answer:*

Journal entry for disposal

	Debit Rs.	Credit Rs.
Accumulated depreciation	30,000	
Bank / Receivable	18,000	
PPE (new)	60,000	
PPE (old)		100,000
Cash (disposal costs)		3,000
Gain (PL) (balancing)		5,000

▶ *Example 21:*

The following information is available in respect of machines of Akmal Brothers:

i. The balances of cost and accumulated depreciation of machines as on 1 January 2017 were Rs. 800,000 and Rs. 333,000 respectively.

ii. A machine acquired on 1 January 2014 having net book value of Rs. 31,935 on 1 January 2017 was sold for Rs. 34,000 on 30 April 2017. Cost of disposal incurred was Rs. 5,000.

iii. On 1 July 2017, a machine having fair value of Rs. 40,000 on that date was exchanged for a new machine. The balance of the purchase price was paid through a cheque of Rs. 80,000. The list price of the new machine was Rs. 130,000. The old machine had been acquired at a cost of Rs. 65,000 on 1 October 2015.

iv. Machines are depreciated at 15% per annum using the reducing balance method.

Required:

Prepare the following ledger accounts pertaining to the machines for the year ended 31 December 2017:

a) Cost

b) Accumulated depreciation

c) Gain/loss on disposal

▶ *Answer:*

Akmal Brothers

Machines - Cost					
Date	**Description**	**Rs.**	**Date**	**Description**	**Rs.**
1 Jan 17	b/d	800,000	30 Apr 17	Disposal [31,935 / 0.85[3]]	52,000
1 Jul 17	Disposal (40,000 + 80,000)	120,000	1 Jul 17	Disposal (exchange)	65,000
			31 Dec 17	c/d	803,000
		920,000			920,000

Accumulated depreciation – Machines					
Date	**Description**	**Rs.**	**Date**	**Description**	**Rs.**
30 Apr 17	Disposal (W1)	21,662	1 Jan 17	b/d	333,000
1 Jul 17	Disposal (W2)	15,810	31 Dec 17	Depreciation exp (W3)	71,868
31 Dec 17	c/d	367,396			
		404,868			404,868

Gain (Loss) on Disposal – Machines					
Date	**Description**	**Rs.**	**Date**	**Description**	**Rs.**
30 Apr 17	Cost	52,000	30 Apr 17	Acc. Dep.	21,662
30 Apr 17	Bank (disposal costs)	5,000	30 Apr 17	Bank (sale proceeds)	34,000
1 Jul 17	Cost	65,000	1 Jul 17	Acc. Dep.	15,810
1 Jul 17	Bank (for exchange)	80,000	1 Jul 17	Cost (new asset)	120,000
			31 Dec 17	Loss on disposal (P&L)	10,528
		202,000			202,000

W1: Accumulated depreciation – Machine sold		Rs.
Till 31 Dec 2016	[52,000 – 31,935]	20,065
From 1 Jan 2017 to 30 Apr 2017	[31,935 x 15% x 4/12]	1,597
		21,662

W2: Accumulated depreciation – Machine exchanged		Rs.
From 1 Oct 2015 to 31 Dec 2015	[65,000 x 15% x 3/12]	2,438
Year 2016	[(65,000 – 2,438) x 15%]	9,384
		11,822
From 1 Jan 2017 to 30 Jun 2017	[(65,000 – 11,822) x 15% x 6/12]	3,988
		15,810

W3: Depreciation (Year 2017)	Cost	Acc. Dep.	WDV	Rate	Months	Rs.
		1 Jan 2017				
	Rs.					
Disposed 1	52,000	20,065	31,935	15%	4/12	1,597
Disposed 2	65,000	11,822	53,178	15%	6/12	3,988
Other remaining	683,000	301,113	381,887	15%	12/12	57,283
Total opening	**800,000**	**333,000**	**467,000**			
Addition 1	120,000			15%	6/12	9,000
						71,868

4 MEASUREMENT AFTER RECOGNITION

4.1 Subsequent measurement [IAS 16: 29, 30, 31 & 37]

An entity shall choose either the cost model or the revaluation model as its accounting policy and shall apply that policy to an entire class of PPE.

Carrying amount of asset: Cost model	Rs. m
Cost	xxx
Less: Accumulated depreciation	(xx)
Less: Accumulated impairment	(xx)
	xxx

Carrying amount of asset: Revaluation model	Rs. m
Fair value at specific date	xxx
Less: Subsequent accumulated depreciation	(xx)
Less: Subsequent accumulated impairment	(xx)
	xxx

A class of PPE is a grouping of assets of a similar nature and use in an entity's operations. The following are examples of separate classes:

- land;
- land and buildings;
- machinery;
- ships;
- aircraft;
- motor vehicles;
- furniture and fixtures; and
- office equipment.

4.2 Conditions for revaluation model [IAS 16: 31, 34 & 36]

The following considerations must be taken into account for applying the revaluation model:

1.	**Reliable measurement**	The fair value of the item of PPE can be measured reliably. This may or may not be market based valuation.
2.	**Sufficient regularity**	The frequency of revaluations depends upon the changes in fair values of the items of PPE being revalued. When the fair value of a revalued asset differs materially from its carrying amount, a further revaluation is required. Some items of PPE experience significant and volatile changes in fair value, thus necessitating annual revaluation. Such frequent revaluations are unnecessary for items of PPE with only insignificant changes in fair value. Instead, it may be necessary to revalue the item only every three or five years.
3.	**Class wise application**	If an item of PPE is revalued, the entire class of PPE to which that asset belongs shall be revalued. For example, if a plant is revalued, all the plant and machineries held by the entity must be revalued.

4.3 Accounting entries [IAS 16: 35]

When an item of PPE is revalued, the carrying amount of that asset is adjusted to the revalued amount by eliminating accumulated depreciation as follows:

1.	**Elimination of depreciation**	**Debit** Accumulated depreciation **Credit** Asset	
2.	**Recording gain or loss**	**Debit** Asset **Credit** Gain on revaluation	**Debit** Loss on revaluation **Credit** Asset

After PPE has been revalued, depreciation charge is based on the new valuation over the remaining useful life.

4.4 Recognition of revaluation gain or loss [IAS 16: 39 to 41]

4.4.1 Asset carried at cost, revalued upwards

If an asset's carrying amount is increased as a result of a revaluation, the increase shall be recognised in other comprehensive income and accumulated in equity under the heading of revaluation surplus.

▶ *Example 22:*

On 1 January 2021, M1 Limited purchased a building for Rs. 100 million with nil residual value and 10 years useful life. The company policy is not to transfer incremental depreciation.

On 31 December 2021, the building was revalued to Rs. 108 million

Required:

Pass the journal entries for the year ended 31 December 2021.

▶ *Answer:*

Journal entries

Date	Particulars	Debit Rs. m	Credit Rs. m
1 Jan 2021	PPE	100	
	Bank		100
31 Dec 2021	Depreciation [100m / 10 years]	10	
	Accumulated depreciation		10
31 Dec 2021	Accumulated depreciation	10	
	PPE		10
	PPE [108 – (100 – 10)]	18	
	Gain on revaluation (OCI)		18

4.4.2 Asset carried at cost, revalued downwards

If an asset's carrying amount is decreased as a result of a revaluation, the decrease shall be recognised in profit or loss.

▶ *Example 23:*

On 1 January 2021, J1 Limited purchased premises for Rs. 100 million with nil residual value and 10 years useful life.

On 31 December 2021, the building was revalued to Rs. 63 million.

Required:

Pass the journal entries for the year ended 31 December 2021.

▶ *Answer:*

Journal entries

Date	Particulars	Debit Rs. m	Credit Rs. m
1 Jan 2021	PPE	100	
	Bank		100
31 Dec 2021	Depreciation [100m / 10 years]	10	
	Accumulated depreciation		10
31 Dec 2021	Accumulated depreciation	10	
	PPE		10
	Loss on revaluation (PL) [63 – (100 – 10)]	27	
	PPE		27

4.4.3 Asset carried at revaluation surplus, revalued downwards

If an asset's carrying amount, that was previously revalued upwards, is decreased as a result of a revaluation, the decrease shall be recognised in other comprehensive income to the extent of any credit balance existing in the revaluation surplus in respect of that asset, reducing the revaluation surplus balance in equity.

Any excess decrease shall be recognised in profit or loss.

▶ *Example 24:*

On 1 January 2021, M2 Limited purchased a building for Rs. 100 million with nil residual value and 10 years useful life.

On 31 December 2021, the building was revalued to Rs. 108 million and a surplus of Rs. 18 million was recognised. M2 Limited does not transfer any revaluation surplus to retained earnings on annual basis.

On 31 December 2022, due to slump in the property market, the building was again revalued but this time the worth was only Rs. 55 million

Required:

Pass the journal entries for the year ended 31 December 2022.

▶ *Answer:*

Journal entries

Date	Particulars	Debit Rs. m	Credit Rs. m
31 Dec 2022	Depreciation [108m / 9 years]	12	
	Accumulated depreciation		12
31 Dec 2022	Accumulated depreciation	12	
	PPE		12
	Loss on revaluation (OCI)	18	
	Loss on revaluation (PL) [41 – 18]	23	
	PPE [55 – (108 – 12)]		41

4.4.4 Realisation of revaluation surplus with usage

The unrealised gain on assets is realised either on disposal (will be covered later in this chapter) or over useful life of asset as the asset is used. IAS 16 allows, but does not require, the transfer of some of the revaluation surplus to retained earnings as the asset is used by the entity. The usual assumption is that such transfer is made.

The journal entry for this transfer is:

Debit	Revaluation surplus	
Credit		Retained earnings

This transfer is presented in statement of changes in equity and not in profit or loss. This amount of transfer is often referred to as "incremental depreciation" and is calculated as the difference between depreciation based on the revalued carrying amount of the asset and depreciation based on the asset's original cost.

Alternatively, the amount may be calculated by dividing the balance in revaluation surplus account by remaining useful life of the asset, in case of straight-line method of depreciation.

▶ *Example 25:*

On 1 January 2021, M3 Limited purchased a building for Rs. 100 million with nil residual value and 10 years useful life.

On 31 December 2021, the building was revalued to Rs. 108 million and a surplus of Rs. 18 million was recognised. M3 Limited transfers maximum possible revaluation surplus to retained earnings on annual basis.

On 31 December 2022, due to slump in the property market, the building was again revalued but this time the worth was only Rs. 55 million

Required:

Pass the journal entries for the year ended 31 December 2022.

▶ *Answer:*

Journal entries

Date	Particulars	Debit Rs. m	Credit Rs. m
31 Dec 2022	Depreciation [108m / 9 years]	12	
	Accumulated depreciation		12
	Revaluation surplus [12 – 10] or [18 / 9 years]	2	
	Retained earnings		2
31 Dec 2022	Accumulated depreciation	12	
	PPE		12
	Loss on revaluation (OCI) [18 – 2]	16	
	Loss on revaluation (PL) [41 – 16]	25	
	PPE [55 – (108 – 12)]		41

4.4.5 Asset carried at revaluation deficit, revalued upwards

If an asset's carrying amount, that was previously revalued downwards, is increased as a result of a revaluation, the increase shall be recognised in profit or loss to the extent that it reverses a revaluation decrease of the same asset previously recognised (i.e. revaluation loss recognised in profit or loss – decrease in depreciation due to revaluation loss) in profit or loss.

Any excess increase shall be recognised in other comprehensive income.

▶ *Example 26:*

On 1 January 2021, J2 Limited purchased premises for Rs. 100 million with nil residual value and 10 years useful life.

On 31 December 2021, the building was revalued to Rs. 63 million and the loss of Rs. 27 million was correctly recorded in profit or loss.

On 31 December 2022, due to surge in the property market, the building was again revalued and this time the worth was Rs. 92 million.

Required:

Pass the journal entries for the year ended 31 December 2022.

▶ *Answer:*

Journal entries

Date	Particulars	Debit Rs. m	Credit Rs. m
31 Dec 2022	Depreciation [63m / 9 years]	7	
	Accumulated depreciation		7
31 Dec 2022	Accumulated depreciation	7	
	PPE		7
	PPE [92 – (63 – 7)]	36	
	Reversal of revaluation loss* (PL)		24
	Gain on revaluation (OCI)		12
	[27m – depreciation decrease 3m (10 – 7)]		

4.5 Realisation of revaluation surplus on disposal [IAS 16: 41]

The unrealised gain on assets is completely realised on disposal. IAS 16 allows, but does not require, the transfer of revaluation surplus to retained earnings when the asset is retired or disposed of. The usual assumption is that such transfer is made.

The journal entry for this transfer is same but in case of disposal the whole amount is transferred, not just the differential depreciation:

Debit Revaluation surplus

Credit Retained earnings

This transfer is presented in statement of changes in equity and not in profit or loss.

▶ *Example 27:*

A revalued asset with a gross carrying amount of Rs. 100 million and accumulated depreciation of Rs. 30 million was sold for Rs. 95 million.

There is a Rs. 40 million revaluation surplus, relating to this asset on the date of disposal.

Required:

Pass the journal entries on disposal.

Answer:

Journal entries

Sr #	Particulars	Debit Rs. m	Credit Rs. m
(i)	Bank	95	
	Accumulated depreciation	30	
	Asset		100
	Gain on disposal (balancing)		25
(ii)	Revaluation surplus	40	
	Retained earnings		40

Example 28:

Ali Limited (AL) uses the revaluation model for subsequent measurement of its property, plant and equipment and has a policy of revaluing its assets on an annual basis using the net replacement value method.

The following information pertains to AL's building:

i. The building was purchased on 01 January 2010 for Rs. 200 million with expected useful life of ten years.

ii. AL depreciates buildings on the straight line basis over their useful life.

iii. The results of revaluations carried out during the last three years by Standard Valuation Service, an independent firm of values, are as follows:

Revaluation date	Fair value Rs. in million
1 January 2011	280
1 January 2012	170
1 January 2013	180

Required:

The journal entries relating to the above transactions including revaluations for the year ended December 31, 2010, 2011, 2012 and 2013.

Answer:

Journal entries

Date	Particulars	Debit Rs. m	Credit Rs. m
1 Jan 2010	Building	200	
	Bank		200
31 Dec 2010	Depreciation [200m / 10 years]	20	
	Accumulated depreciation		20
1 Jan 2011	Accumulated depreciation	20	
	Building		20

Date	Particulars	Debit Rs. m	Credit Rs. m
	Building [280 – (200 – 20)]	100	
	Gain on revaluation (OCI)		100
31 Dec 2011	Depreciation [280m / 9 years]	31	
	Accumulated depreciation		31
	Revaluation surplus [31m – 20m]	11	
	Retained earnings		11
1 Jan 2012	Accumulated depreciation	31	
	Building		31
	Loss on revaluation (OCI) [170 – (280 – 31)]	79	
	Building		79
31 Dec 2012	Depreciation [170m / 8 years]	21.25	
	Accumulated depreciation		21.25
	Revaluation surplus [21.25m – 20m]	1.25	
	Retained earnings		1.25
1 Jan 2013	Accumulated depreciation	21.25	
	Building		21.25
	Building [180 – (170 – 21.25)]	31.25	
	Gain on revaluation (OCI)		31.25
31 Dec 2013	Depreciation [180m / 7 years]	25.7	
	Accumulated depreciation		25.7
	Revaluation surplus [25.7m – 20m]	5.7	
	Retained earnings		5.7

▶ *Example 29:*

Shahzad Textile Mills Limited (STML) purchased a plant for Rs. 500 million on 1 July 2010. The plant has an estimated useful life of 10 years and no residual value.

STML uses revaluation model for subsequent measurement of its property, plant and equipment and accounts for revaluations on net replacement value method. The details of revaluations performed by an independent firm of valuers are as follows:

Revaluation date	Fair value
1 July 2011	Rs. 575 million
1 July 2012	Rs. 390 million
1 July 2013	Rs. 380 million

Required:

Prepare journal entries to record the above transactions from the date of acquisition of the plant to the year ended 30 June 2014.

▶ *Answer:*

Journal entries

Date	Particulars	Debit	Credit
		Rs. m	Rs. m
1-Jul-10	Plant	500	
	Bank		500
30-Jun-11	Depreciation **[500m / 10 years]**	50	
	Accumulated depreciation - Plant		50
1-Jul-11	Accumulated depreciation - Plant	50	
	Plant		50
1-Jul-11	Plant **[575m – (500 – 50)]**	125	
	Revaluation Surplus (OCI)		125
30-Jun-12	Depreciation **[575m / 9 years]**	63.89	
	Accumulated depreciation – Plant		63.89
30-Jun-12	Revaluation surplus **[125m / 9 years]**	13.89	
	Retained earnings		13.89
1-Jul-12	Accumulated depreciation – Plant	63.89	
	Plant		63.89
1-Jul-12	Revaluation loss (OCI) **[125m – 13.89m]**	111.11	
	Revaluation loss (PL) **[balancing]**	10.00	
	Plant **[390m – (575 – 63.89)]**		121.11
30-Jun-13	Depreciation [390m / 8 years]	48.75	
	Accumulated depreciation – Plant		48.75
1-Jul-13	Accumulated depreciation – Plant	48.75	
	Plant		48.75
1-Jul-13	Plant [380m – **(390 – 48.75)]**	38.75	
	Rev. gain (PL) **[10m – (50 – 48.75)]**		8.75
	Revaluation gain (OCI) [balancing]		30.00
30-Jun-14	Depreciation **[380m / 7 years]**	54.29	
	Accumulated depreciation – Plant		54.29
30-Jun-14	Revaluation surplus **[30m / 7 years]**	4.29	
	Retained earnings		4.29

▶ *Example 30:*

Rooney has recently finished building a new item of plant for its own use. The item is a press for use in the manufacture of industrial diamonds. Rooney commenced construction of the asset on 1st April 2013 and completed it on 1st April 2015. The cost of manufacturing the asset were Rs. 30.8 million. The cost of the hydraulic system is 30% of the total cost of manufacture.

The press comprises two significant parts, the hydraulic system and the 'frame'. The hydraulic system has a three-year life and the 'frame' has an eight-year life. Rooney depreciates plant on a straight line basis.

Rooney uses the IAS 16 revaluation model in accounting for diamond presses and revalue these assets on an annual basis.

Revaluation surpluses or deficits are apportioned between the hydraulic system and the 'frame' on the basis of their year-end book values before the revaluation.

Required:

Calculate the amount of revaluation gain or loss (to nearest '000), clearly indicating the amount that will be recognised in profit or loss, for the year ended:

i. 31st March 2016 (assume that the press has a fair value of Rs. 21 million on this date)

ii. 31st March 2017 (assume that the press has a fair value of Rs. 19.6 million on this date).

▶ *Answer:*

IAS 16 requires that each part of an item (that has a cost that is significant in relation to the total cost) is depreciated separately. Therefore, the cost recognised at initial recognition must be allocated to each part accordingly.

	Hydraulic	Frame	Total
	Rs. 000	Rs. 000	Rs. 000
Cost 1 April 2015 [30:70]	9,240	21,560	30,800
Depreciatoin [over 3 & 8 years]	(3,080)	(2,695)	(5,775)
WDV before revauation 31 March 2016	6,160	18,865	25,025
Loss on revaluation in PL [6,160:18,865]	**(991)**	**(3,034)**	**(4,025)**
Fair value 31 March 2016	5,169	15,831	21,000
Depreciation [over 2 & 7 years]	(2,585)	(2,262)	(4,846)
WDV before revauation 31 March 2017	2,585	13,569	16,154
Gain on revaluation [2,585:13,569]	**551**	**2,895**	**3,446**
Fair value 31 March 2017	3,136	16,464	19,600
Total gain on revaluation	551	2,895	
Loss previously recognised	991	3,034	
Less: Depreciation decrease [3,080 – 2,585]	(495)		
[2,695 – 2,262]		(433)	
Loss to be reversed in profit or loss	**496**	**2,601**	
Gain to be recognised in OCI	56	294	

5 DISCLOSURE

5.1 General requirements [IAS 16: 73]

IAS 16 requires the following disclosures in the notes to the financial statements, for each major class of property, plant and equipment.

a) The measurement bases used (cost or revaluation model) for determining the gross carrying amount

b) The depreciation methods used

c) The useful lives or depreciation rates used

d) Gross carrying amounts and the accumulated depreciation at the beginning and at the end of the period

e) A reconciliation between the opening and closing values for gross carrying amounts and accumulated depreciation, showing:

- additions during the year
- disposals during the year
- depreciation charge for the year
- increase or decrease in asset resulting from revaluation and impairment losses

The following two illustrations of how a simple table for tangible non-current assets may be presented in a note to the financial statements are relevant:

Note: Property, plant and equipment	Property	Plant & equipment	Total
Cost	**Rs. m**	**Rs. m**	**Rs. m**
At the start of the year	7,200	2,100	9,300
Additions	920	340	1,260
Disposals	(260)	(170)	(430)
At the end of the year	**7,860**	**2,270**	**10,130**
Accumulated depreciation			
At the start of the year	800	1,100	1,900
Depreciation expense	120	250	370
Disposals	(55)	(130)	(185)
At the end of the year	**865**	**1,220**	**2,085**
Net carrying amount: At the start of the year	6,400	1,000	7,400
Net carrying amount : At the end of the year	**6,995**	**1,050**	**8,045**

Note: Property, plant and equipment (Alternative)	Property	Plant & equipment	Total
Gross carrying amount at beginning of period	7,200	2,100	9,300
Less: Accumulated depreciation	(800)	(1,100)	(1,900)
Net carrying amount at beginning of period	**6,400**	**1,000**	**7,400**
Additions	920	340	1,260
Disposals(carrying value)	(205)	(40)	(245)
Depreciation expense	(120)	(250)	(370)
Net carrying amount at end of period	**6,995**	**1,050**	**8,045**
Gross carrying amount at end of period	7,860	2,270	10,130
Less: Accumulated depreciation	(865)	(1,220)	(2,085)
Net carrying amount at end of period	**6,995**	**1,050**	**8,045**

5.2 Requirements under certain circumstances [IAS 16: 74 & 74A]

An entity must also disclose:

- the existence and amounts of restrictions on title, and property, plant and equipment pledged as security for liabilities;
- the amount of expenditures recognised in the carrying amount of an item of property, plant and equipment in the course of its construction;
- the amount of contractual commitments for the acquisition of property, plant and equipment; and
- if it is not disclosed separately in the statement of comprehensive income, the amount of compensation from third parties for items of property, plant and equipment that were impaired, lost or given up that is included in profit or loss.

5.3 Requirements for revalued assets [IAS 16: 77]

When items of property, plant and equipment are stated at revalued amounts the following must be disclosed:

- the effective date of the revaluation;
- whether an independent valuer was involved;
- for each revalued class of property, plant and equipment, the carrying amount that would have been recognised had the assets been carried under the cost model; and
- the revaluation surplus, indicating the change for the period and any restrictions on the distribution of the balance to shareholders.

5.4 Additional disclosure encouraged by IAS 16 [IAS 16: 79]

IAS 16 encourages disclosure of the following information as users of financial statements might find this information to be useful:

- the carrying amount of temporarily idle property, plant and equipment;

- the gross carrying amount of any fully depreciated property, plant and equipment that is still in use;
- the carrying amount of property, plant and equipment retired from active use and held for disposal; and
- when the cost model is used, the fair value of property, plant and equipment when this is materially different from the carrying amount.

▶ *Example 31:*

Abid Limited (AL) uses the revaluation model for subsequent measurement of its property, plant and equipment and has a policy of revaluing its assets on an annual basis using the net replacement value method.

The following information pertains to AL's buildings:

i. Four buildings were acquired in same vicinity on 1 January 2012 at a cost of Rs. 300 million. The useful life of the buildings on the date of acquisition was 20 years.

ii. AL depreciates buildings on the straight line basis over their useful life.

iii. The results of revaluations carried out during the last three years by Premier Valuation Service, an independent firm of valuers, are as follows:

Revaluation date	Fair value Rs. in million
1 January 2013	323
1 January 2014	252
1 January 2015	272

On 30 June 2015, one of the buildings was sold for Rs. 80 million.

Required:

Prepare a note on "Property, plant and equipment" (including comparative figures) for inclusion in AL's financial statements for the year ended 31 December 2015 in accordance with International Financial Reporting Standards.

▶ *Answer:*

Notes to the financial statements for the year ended 31 December 2015

	2015	2014
	Rs. m	Rs. m
Gross carrying amount		
1 January	252	323
Revaluation (Adj)	(14)	(17)
Revaluation gain (loss)	34 **W4**	(54) **W2**
Disposal	(68)	
31 December	204	252
Accumulated depreciation		
1 January	14	17 **W1**
Revaluation (Adj)	(14)	(17)
For the year	14 **W6**	14 **W3**
Disposal	(2) **W5**	-
31 December	12	14
Carrying amount	**192**	**238**

	2015	2014
	Rs. m	Rs. m
Measurement	Revaluation model	
Useful life	17 years	18 years
Depreciation method	Straight line method	
Effective date of revaluation	1 January 2015	
Independent firm of valuer	M/s Premier valuation Services	
Carrying value under cost model	180 **W8**	255 **W7**
Movement in revaluation surplus		
1 January	0	36 **W9**
Revaluation gain (loss) in OCI	17 **W10**	(36)
Transfer to RE (incremental depreciation)	(0.88) **W11**	
Transfer to RE (upon disposal)	(4.12) **W14**	
31 December	12	0

W1: Depreciation Rs. 323m / 19 years = Rs. 17m

W2: Revaluation Rs. 252m – 306m = Rs. 54m loss

W3: Depreciation Rs. 252m / 18 years = Rs. 14m

W4: Revaluation Rs. 238m – 272m = Rs. 34m gain

W5: Depreciation of asset disposed Rs. 68m / 17 years x 6/12 = Rs. 2m

W6: Depreciation = Rs. 204m / 17 years = Rs. 12m + 2m W5 = Rs. 14m

W7: Rs. 300m – (Rs. 300m / 20 years x 3 years) = Rs. 255m

W8: Rs. 300m x ¾ buildings = Rs. 225m – (Rs. 225m /20 years x 4 years) = Rs. 180m

W9: Rs. 323m – [Rs. 300m – (Rs. 300m / 20 years)] = Rs. 38m – 38m/19 years = Rs. 36m

W10: Rs. 34m gain – [Rs. 18m loss in PL – Rs. 18m / 18 years] = Rs. 17m

W11: [Rs. 17m gain x 1/4 buildings /17 years x 6/12] = Rs. 0.13m Incremental dep.

W12: [Rs. 17m gain x 3/4 buildings /17 years] = Rs. 0.75m Incremental dep.

W13: Total incremental depreciation 0.13 + 0.75 = Rs. 0.88m

W14: [Rs. 17m gain x 1/4 buildings – 0.13 incremental = Rs. 4.12m (on disposal)

▶ *Example 32:*

Games Limited (GL) commenced a business of preparing and burning video game CDs on 1 July 2015. The following information pertains to the year ended 31 March 2016:

i. GL purchased 30 computers on the date of commencement of business at a cost of Rs. 20,000 each, purely for the task of burning CDs. The management of GL estimates that since the computers are subject to obsolescence, more of its benefit can derived in its early life. The total useful life at the date of acquisition was estimated to be 4 years and residual value was estimated to be Rs. 4,802 for each computer. GL decided to adopt historical cost model for subsequently measurement of computers.

ii. GL purchased an office building at the date of start of business worth Rs. 3 million. GL decided to adopt revaluation model. The useful life is estimated to be 10 years at the date of acquisition with no residual value, and the economic benefits are expected to be derived evenly over its useful life. At the end of the year, the fair value of office buildings was assessed to be Rs. 3,237,500.

iii. GL also purchased fittings for its administrative and selling departments, costing Rs. 120,000 on 1 July 2015. It is to be depreciated over 10 years using the straight-line method, with no residual value.

iv. GL made a contractual commitment with Al-Karim Computers to purchase 6 computers of Rs. 20,000 each to be delivered at GL's premises on 1 May 2016.

The following information pertains to the year ended 31 March 2017:

i. The computers were delivered at the GL's premises by Al-Karim Computers at the said date. It was decided to use the same method and same rate to depreciate these computers.

ii. At the end of the year, the fair value of office building was assessed to be Rs. 2 million. At the year-end GL mortgaged entire building with SJ Bank to obtain a loan of Rs. 1.75 million for prospective investments in other divisions.

iii. Fittings with a cost of Rs. 30,000 were disposed of for Rs. 22,000 on 1 January 2017. The delivery charges of Rs. 1,000 were paid to transfer the fittings to buyer's premises.

iv. The fair values of the office building were determined by an independent firm M/s Hafeez Valuation Services

Required:

Prepare the disclosure note in accordance with IAS 16 in relation to property, plant and equipment in the notes to the financial statements for the year ended 31 March 2017 (comparatives are required but total columns are not required).

▶ *Answer:*

Notes to the financial statements for the year ended 31 March 2017

Property, plant & equipment	2017			2016		
	Buildings	Computers	Fittings	Buildings	Computers	Fittings
	Rs.			Rs.		
Gross carrying amount						
1 April	3,237,500	600,000	120,000			
Additions		120,000		3,000,000	600,000	120,000
Revaluation (Adj)	(350,000)			(225,000)		
Revaluation gain (loss)	(887,500)			462,500		
Disposal			(30,000)			
31 March	2,000,000	720,000	90,000	3,237,500	600,000	120,000
Accumulated depreciation						
1 April	0	135,000	9,000			
For the year W1	350,000	172,500	11,250	225,000	135,000	9,000
Revaluation (Adj)	(350,000)			(225,000)		
Disposal W1			(4,500)			
31 March	0	307,500	15,750	0	135,000	9,000
Carrying amount	**2,000,000**	**412,500**	**74,250**	**3,237,500**	**465,000**	**111,000**

Property, plant & equipment	2017			2016		
	Buildings	Computers	Fittings	Buildings	Computers	Fittings
	Rs.			Rs.		
Measurement model	Revaluation	Cost	Cost			
Depreciation method	Straight line	Reducing balance	Straight line			
Useful life / Dep. rate	10 years	30%	10 years			
Revaluation of building						
Carrying value: cost model	2,475,000			2,775,000		
Effective revaluation date	31 March 2017					
Independent valuer	M/s Hafeez Valuation Services					

Movement in revaluation surplus	2017	2016
	Rs.	Rs.
1 January	462,500	
Transfer to retained earnings [Rs. 462,500 / 9.25 years]	50,000	
Revaluation gain (loss) in OCI	(412,500)	462,500
31 December	**0**	**462,500**

The entire office building is mortgaged with SJ Bank since 31 March 2017 to obtain a bank loan of Rs. 1.75 million for prospective investments in other divisions.

Contractual commitments to acquire property, plant and equipment at year end are Rs. Nil (2016: Rs. 120,000 for acquisition of computers).

W1: Depreciation		Rs.
Buildings: 2016	Rs. 3,000,000 / 10 years x 9/12	225,000
Buildings: 2017	Rs. 3,237,000 / 9.25 years	350,000
Computers: rate	$1 - (4,802 / 20,000)^{1/4}$	30%
Computers: 2016	Rs. 600,000 x 30% x 9/12	135,000
Computers: 2017	Opening [Rs. (600,000 – 135,000) x 30%] +Additions [Rs. 120,000 x 30% x 11/12]	172,600
Fittings: 2017	Disposed [Rs. 30,000 / 10 years x 9/12] + Other [Rs. 90,000 / 10 years]	11,250
Accumulated depreciation on disposed fittings Rs. 30,000 / 10 years x 1.5		4,500

6 COMPREHENSIVE EXAMPLES

▶ *Example 33:*

Following information pertains to Rose Enterprises for the year ended 31 December 2017:

i. **Acquisition of land and construction of a factory building:**

	Rs. in '000
Cost of freehold land purchased with old building structure	25,000
Cost of demolition of the old building structure	1,500
Proceeds from sale of scrap of the old building	250
Fee paid to ABC Architects for site plan and drawings	800
Advance paid to Quality Construction (QC) for construction of the building	6,000
Further payment to QC	35,000

ii. **Acquisition and installation of new plant:**

	Rs. in '000
25% cost of the plant paid in advance	4,000
Transportation and import charges	1,250
Cost of installation	400

iii. **Other information:**

- Cost of freehold land includes property tax for 2017-18 and transfer fee of Rs. 120,000 and Rs. 850,000 respectively.
- Factory building was available for use from 1 July 2017. The final invoice of Rs. 19,000,000 is still unpaid.
- Transportation and import charges of the plant include annual fire insurance premium and insurance in-transit of Rs. 350,000 and Rs. 60,000 respectively.
- The plant started operations on 1 August 2017. Remaining amount was paid on 31 August 2017.
- Old plant was sold on 1 September 2017 at its written down value plus 20%. The plant was purchased on 1 April 2015 at a cost of Rs. 8,500,000
- Building and plant are depreciated at the rate of 5% and 10% respectively on reducing balance method.

Required:

a) Pass journal entry to record disposal of the old plant.

b) Determine written down value of the fixed assets as at 31 December 2017.

▶ *Answer:*

Part (a)

Journal entry for disposal of old plant:	Debit Rs.000	Credit Rs. 000
Bank/Cash/Receivable (8,500–1,896) × 120%	7,925	
Accumulated depreciation (W1)	1,896	
Fixed assets (Plant)		8,500
Gain on disposal (Balancing figure)		1,321

W-1: Accumulated depreciation:		Rs. '000
2015: Apr to Dec	(8,500 x 10% x 9 / 12)	638
2016:	(8,500 – 638) × 10% x 12 / 12	786
2017: Jan to Aug	(8,500 – 638 – 786) × 10% × 8 / 12	472
		1,896

Part (b)

	Freehold land	Building	Plant
	--- Rs. in '000 ---		
Purchase price	25,000		
Demolition of old building Rs. 1,500 – 250	1,250		
Architect fee paid to ABC consultant		800	
Construction cost – Advance		6,000	
Construction cost – Further payment		35,000	
Plant cost – advance 25%			4,000
Plant cost – remaining 75%			12,000
Transportation and import charges			1,250
Installation charges			400
Property tax year 2017-18 (should be PL)	(120)		
Transfer fee (correctly included already)	-		
Construction costs – unpaid amount		19,000	
Annual fire insurance (should be expense)			(350)
Insurance in transit (correct already)			-
Cost to be capitalised	**26,130**	**60,800**	**17,300**
Depreciation for 2017			
Land	-		
Building (60,800 × 5% × 6 / 12)		(1,520)	
Plant (17,300 × 10% × 5 / 12)			(721)
WDV of PPE as at 31 December 2017	**26,130**	**59,280**	**16,579**

▶ *Example 34:*

Following information pertains to three exchange transactions relating to fixed assets:

	(i)	(ii)	(iii)
	--------- Rs. in million ---------		
Cash received/(paid)	1.1	(2.1)	-
Assets given up:			
Original cost	10.3	12.4	14.5
Book value	6.4	7.3	3.4
Estimated fair value	8.5	6.6	4.6
Assets received:			
Estimated fair value	7.1	9.0	4.1

Additional information:

- In case of transaction (i), fair values of both assets are reliably measurable.
- In case of transaction (ii), fair value of the asset received is clearly more evident.
- In case of transaction (iii), fair value of neither asset is reliably measurable.

Required:

Calculate the gain or loss on disposal for each of above transactions.

▶ *Answer:*

Transaction (i)

Fair value of asset given up Rs. 8.5m – cash received Rs. 1.1m = Rs. 7.4 million

Gain (loss) on disposal = 8.5 – 6.4m = Rs. 2.1m gain

Transaction (ii)

Fair value of asset received = Rs. 9.0 million

Gain (loss) on disposal = [Rs. 9.0m – 2.1m] – 7.3m = Rs. (0.4)m loss

Transaction (iii)

Carrying amount = Rs. 3.4 million

Gain (loss) on disposal = 3.4 – 3.4m = Rs. 0 (neither gain nor loss)

▶ *Example 35:*

Kamran Enterprises (KE) provides depreciation on plant and machines at 10% on written-down value. Depreciation is charged from the month the asset is available for use in operations up to its disposal. Cost of its plant & machines and the accumulated depreciation as on 1 July 2015 were Rs. 75 million and Rs. 17 million respectively.

The following information is available in respect of its plant & machines, for the year ended 30 June 2016:

i. On 1 October 2015, a second-hand machine was acquired from a Chinese company for Rs. 15 million. The machine was renovated and overhauled at a cost of Rs. 3 million. 25% of this expenditure was in respect of purchase of consumables.

ii. On 1 November 2015, KE transferred a machine having a list price of Rs. 10 million from its stock-in-trade to its Engineering Department. KE sells such machines at cost plus 25%.

iii. On 1 January 2016, certain parts to a plant were added at a cost of Rs. 4 million to extend its useful life.

iv. On 1 Mar 2016, the plant was damaged and remained in-operative for one month. KE spent an amount of Rs. 3 million on repairs to restore the plant in working condition.

v. On 1 April 2016, a machine which was purchased on 1 July 2012 for Rs. 12 million was completely damaged and was sold for Rs. 1.2 million.

Required:

Prepare accounting entries to record the above transactions in KE's books for the year ended 30 June 2016.

▶ *Answer:*

Accounting entries

Date	Description	Debit Rs. 000	Credit Rs. 000
1-Oct-15	Machine B [15m + (3m×75%)]	17,250	
	Repair and maintenance	750	
	Bank		18,000
1-Nov-15	Machine account (10m ×100/125)	8,000	
	Stock-in-trade		8,000
1-Jan-16	Plant	4,000	
	Bank		4,000
1-Mar-16	Repair and maintenance	3,000	
	Bank/payable		3,000
1-Apr-16	Bank	1,200	
	Acc. Dep. – Machine*	3,908	
	Loss on sale of machine (balancing)	6,892	
	Machine		12,000
	[12m-(12m×0.9×0.9×0.9×0.925)]		
30-Jun-16	Depreciation expense **(W1)**	7,608	
	Accumulated depreciation P&M		7,608

W1: Depreciation (Year 2016)	Cost	Acc. Dep. 1 July 2015	WDV	Rate	Months	Rs. 000
	Rs. 000					
Disposed 1	12,000		8,748*	10%	9/12	656
Other remaining	63,000		49,252	10%	12/12	4,925
Total opening	***75,000***	***17,000***	***58,000***			
Addition 1: Machine B	17,250			10%	9/12	1,294
Addition 2: from inventory	8,000			10%	8/12	533
Addition 3: Parts added	4,000			10%	6/12	200
						7,608

****12m×(0.9)³***

Example 36:

Following information pertains to plant and machinery of Alpha Enterprises (AE):

i. As at 1 January 2018, balances of cost and accumulated depreciation amounted to Rs. 12,700,000 and Rs. 6,240,000 respectively.

ii. On 1 April 2018, an old machine having fair value of Rs. 340,000 was exchanged for a new machine. The balance of the purchase price was paid through a cheque of Rs. 680,000. The list price of the new machine was Rs. 1,130,000. The old machine had been acquired for Rs. 870,000 on 1 September 2015.

iii. On 1 February 2018, a plant having a list price of Rs. 10,000,000 was acquired. A trade discount of 5% was allowed on the list price. The plant was ready for use on 1 August 2018 after incurring the following costs:

	Rs. in '000
Freight charges	660
Consultant fees	540
Installation and testing	600
Administration and other general overheads	160
Staff training	120
Opening ceremony	100
	2,180

iv. On 31 October 2018, another machine was sold for Rs. 334,000. It was acquired on 1 January 2015 and had a net book value of Rs. 512,000 on 1 January 2018. A cost of Rs. 25,000 was incurred on its disposal.

v. AE depreciates plant and machinery at 20% per annum using the reducing balance method.

Required:

Prepare following ledger accounts pertaining to the plant and machinery for the year ended 31 December 2018:

a) Cost

b) Accumulated depreciation

c) Assets disposal

Answer:

Alpha Enterprises

Plant and machinery - Cost					
Date	**Description**	**Rs. 000**	**Date**	**Description**	**Rs. 000**
1-Jan-18	Balance	12,700	1-Apr-18	Assets disposal	870
1-Apr-18	Assets disposal (340+680)	1,020	31-Oct-18	Assets disposal (W2)	1,000
1-Aug-18	Capital WIP (W4)	11,300	31-Dec-18	Balance	23,150
		25,020			25,020

Accumulated depreciation - Plant and machinery					
Date	**Description**	**Rs. 000**	**Date**	**Description**	**Rs. 000**
1-Apr-18	Assets disposal (W-1)	376	1-Jan-18	Balance	6,240
31-Oct-18	Assets disposal (W-2)	573	31-Dec-18	Depreciation (W3)	2,292
31-Dec-18	Balance	7,583			
		8,532			8,532

Assets disposal - Plant and machinery					
Date	**Description**	**Rs. 000**	**Date**	**Description**	**Rs. 000**
1-Apr-18	P&M	870	1-Apr-18	Acc. depreciation (W-1)	376
1-Apr-18	Cash paid	680	1-Apr-18	P&M (New)	1,020
31-Oct-18	Cost	1,000	31-Oct-18	Acc. depreciation (W-2)	573
31-Oct-18	Bank (disposal cost)	25	31-Oct-18	Bank (Sales proceeds)	334
			31-Dec-18	Loss on disposal (P&L)	272
		2,575			2,575

W1: Accumulated depreciation – Machine exchange		Rs. 000
Depreciation for 2015	870×20%×4/12	58
Depreciation for 2016	(870–58)×20%	162
Depreciation for 2017	(870–58–162)×20%	130
Accumulated depreciation up to 31-12-2017		350
Depreciation for 2018	**W3**	26
		376

W2: Accumulated depreciation – Machine sold		Rs. 000
Cost	[512 / $(0.8)^3$]	1,000
Accumulated depreciation up to 01-01-2018	1,000 – 512	488
Depreciation for 2018	**W3**	85
Accumulated depreciation at the date of disposal		**573**

W3: Depreciation (Year 2018)	Cost	Acc. Dep.	WDV	Rate	Months	Rs. 000
		1 Jan 2018				
	Rs. 000					
Disposed 1	870	350	520	20%	3/12	26
Disposed 2	1,000	488	512	20%	10/12	85
Other remaining	10,830	5,402	5,428	20%	12/12	1,086
Total opening	***12,700***	***6,240***	***6,460***			
Addition 1	1,020			20%	9/12	153
Addition 2	11,300			20%	5/12	942
						2,292

W4: Cost of the plant:		Rs. '000
Purchase price of the plant	10,000×95%	9,500
Other relevant cost	660+540+600	1,800
		11,300

▶ *Example 37:*

Following information pertains to a building acquired by SK Limited (SKL) on 1 July 2012 for Rs. 360 million:

i. The building is being depreciated on straight-line basis over 10 years.

ii. SKL uses revaluation model for subsequent measurement of buildings. It accounts for revaluation on net replacement value method. The details of revaluations as carried out by independent valuer are as follows:

Revaluation date	Fair value (Rs. in million)
31 December 2013	323
31 December 2015	208
31 December 2017	167

iii. There is no change in useful life of the building.

iv. SKL transfers the maximum possible amount from the revaluation surplus to retained earnings on an annual basis.

v. SKL's financial year ends on 31 December.

Required:

Prepare entries to record revaluation surplus/loss on each of the above revaluation date. **(*Entries to record depreciation expense, incremental depreciation and elimination of accumulated depreciation are not required)***

▶ *Answer:*

Date	Description	Debit	Credit
		Rs. million	
31 Dec 2013	Accumulated depreciation [18 + 36]	54	
	Building		54
	Building	17	
	Gain on revaluation (OCI)		17
31 Dec 2015	Accumulated depreciation [38+38]	76	
	Building		76
	Loss on revaluation (OCI)	13	
	Loss on revaluation (PL)	26	
	Building		39
31 Dec 2017	Accumulated depreciation [32+32]	64	
	Building		64
	Building	23	
	Reversal of revaluation loss (PL)		18
	Gain on revaluation (OCI)		5

Workings	Building Rs. m	OCI Rs. m	PL Rs. m
Cost 1 Jul 2012	360		
2012 Depreciation 360 / 10 years x 6/12	(18)		
2013 Depreciation 360 / 10 years x 12/12	(36)		
	306		
Gain on revaluation (balancing figure)	**17**	**17**	
Fair value on 31 December 2013	323	17	
2014 Depreciation 323 / 8.5 years	(38)	(2)	
2015 Depreciation (same)	(38)	(2)	
	247	13	
Loss on revaluation (balancing figure)	**(39)**	(13)	(26)
Fair value on 31 December 2015	208	0	(26)
2016 Depreciation 208 / 6.5 years	(32)		4
2017 Depreciation (same)	(32)		4
	144		(18)
Gain on revaluation (balancing figure)	**23**	5	18
Fair value on 31 December 2017	167	5	0

▶ *Example 38:*

On 31 December 2013, Omega Chemicals Limited (OCL) changed its valuation model from cost to revaluation for its buildings. The following information pertains to its buildings as at 31 December 2013:

	Estimated useful life as originally estimated	Prior to revaluation as at 31-12-2013		Revalued amount as per valuation report
		Cost	Accumulated depreciation*	
		-----Rs. in million-----		
Factory buildings	20 years	100.00	37.50	52.00
Office buildings	25 years	164.50	26.32	149.94
****Including depreciation for the year ended 31 December 2013***				

As per the report of the professional valuer, there was no change in estimated useful life of the buildings. OCL recorded revaluation effect for the office buildings on 31 December 2013 as per the valuation report. However, no valuation effect was incorporated for the factory buildings as the change in their value was considered to be temporary by OCL.

On 1 July 2014, one of the office buildings was sold for Rs. 30 million. On 31 December 2013, written down value before revaluation and revalued amount of the sold building amounted to Rs. 27.72 million and Rs. 31.92 million respectively.

On 31 December 2014, factory buildings were revalued at Rs. 64 million whereas there was no change in value of the office buildings.

OCL uses straight line method of depreciation which is charged from the date the asset is available for use up to the date of disposal. Revaluation is to be accounted for by using net replacement value method.

Required:

In the light of the requirements of the International Financial Reporting Standards, prepare accounting entries from the above information for the year ended 31 December 2014 including correcting entries as on 31 December 2013.

Answer:

Accounting entries

Date	Description	Debit	credit
		Rs. in million	
	Factory buildings		
31-Dec-13	Acc. depreciation-Factory buildings	37.50	
	Factory building		37.50
31-Dec-13	Retained earnings (2013 loss) [52 – (100 – 37.5)]	10.50	
	Factory buildings		10.50
31-Dec-14	Depreciation expense(52÷12.5W1)	4.16	
	Acc. depreciation-Factory buildings		4.16
31-Dec-14	Acc. depreciation-Factory buildings	4.16	
	Factory buildings		4.16
31-Dec-14	Factory buildings[64 – (52 – 4.16)]	16.16	
	Reversal of loss (PL) [10.5-(10.5÷12.5**W1**)]		9.66
	Revaluation gain (OCI) (Bal.)		6.50
	OFFICE BUILDINGS		
1-Jul-14	Depreciation expense[31.92 ÷ 21 × 0.5]	0.76	
	Acc. depreciation-Office buildings		0.76
1-Jul-14	Revaluation surplus [(31.92-27.72=4.2) ÷ 21 × 0.5]	0.10	
	Retained earnings		0.10
1-Jul-14	Bank	30.00	
	Acc. depreciation	0.76	
	Loss on disposal 30– (31.92-0.76)	1.16	
	Office buildings		31.92
1-Jul-14	Revaluation surplus(4.2 – 0.1)	4.10	
	Retained earnings		4.10
31-Dec-14	Depreciation expense (149.94 – 31.92) ÷ 21	5.62	
	Acc. depreciation-Office buildings		5.62
31-Dec-14	Revaluation surplus [149.94-(164.5-26.32)-4.2]÷21	0.36	
	Retained earnings		0.36

W1 – Remaining useful life of the buildings on revaluation date of 31 December 2013

		Years
Factory buildings	20 – [(37.5 ÷ (100÷ 20)]	12.5
Office buildings	25 – [(26.32 ÷ (164.5÷ 25)]	21

▶ *Example 39:*

PQR Enterprises was incorporated on 1 July 2012. The company depreciates its property, plant and equipment on straight line basis over their useful life. It uses revaluation model for subsequent measurement of the property, plant and equipment and has a policy of revaluing these after every two years.

Following information pertains to its property, plant and equipment:

Assets	Cost as on 01-07-2013	WDV as on 01-07-2013	Value as determined by professional valuer on 30-06-2014	Useful life in years	
				Original at acquisition	Revised during 2015
	---------- Rs. in million ----------				
Office building	6,000	5,500	5,750	12	8
Factory building	4,400	3,960	3,320	10	9
Warehouse	4,500	4,050	3,350	10	8

During the year there were no addition or deletion in the above assets. As per policy, PQR transfers the maximum possible amount from the revaluation surplus to retained earnings on an annual basis.

Required:

Prepare necessary journal entries for the year ended 30 June 2014 and 2015.

▶ *Answer:*

Journal entries

Date	Particulars	Debit	Credit
		Rs. in million	
30-Jun-14	Depreciation for the year (W-1)	1,390	
	Acc. depreciation – Office building		500
	Acc. depreciation – Factory building		440
	Acc. depreciation – Warehouse		450
30-Jun-14	Acc. depreciation – Office building (W-1)	1,000	
	Acc. depreciation – Factory building (W-1)	880	
	Acc. depreciation – Warehouse (W-1)	900	
	Office building		1,000
	Factory building		880
	Warehouse		900
30-Jun-14	Office building (W-1)	750	
	Revaluation loss (PL) – buildings and warehouse	450	
	Revaluation gain (OCI)		750
	Factory building (W-1)		200
	Warehouse (W-1)		250
30-Jun-15	Depreciation expense (W-1)	1,507	
	Acc. depreciation – Office building		719
	Acc. depreciation – Factory buildings		369
	Acc. depreciation – Warehouse		419
30-Jun-15	Revaluation surplus (750 / 8 years)	94	
	Retained earnings		94

W-1:

Assets	Cost (A)	WDV (B)	Dep. for the year 2014 (C)	Acc. Dep. D=A-B+C	Revalued amount (E)	Revaluation gain (loss) F=E-(A-D)	Dep. for the year 2015
	---------- Rupees in million ----------						
Office building	6,000	5,500	500	1,000	5,750	750	719
Factory building	4,400	3,960	440	880	3,320	(200)	369
Warehouse	4,500	4,050	450	900	3,350	(250)	419
			1,390				**1,507**

▶ *Example 40:*

The following information pertains to Piano Limited (PL):

	Plant	Equipment
Acquisition		
• Date of acquisition	1 January 2015	1 July 2015
• Cost	Rs. 500 million	Rs. 360 million
• Estimated useful life	10 years	12 years
• Residual value	Rs. 60 million	Nil
• Depreciation method	Straight line method	Straight line method
Revaluation on 31 December 2016		
• Fair value	Rs. 526 million	Rs. 280 million
• Residual value	Rs. 78 million	Nil
Revaluation on 31 December 2018		
• Fair value	Rs. 310 million	Rs. 275 million
• Residual value	Rs. 64 million	Nil

Additional information:

i. PL uses revaluation model for subsequent measurement and accounts for revaluation on net replacement value method.

ii. There is no change in useful life of plant. The remaining useful life of equipment was estimated as 15 years and 10 years in 2016 and 2018 respectively.

iii. PL transfers maximum possible amount from the revaluation surplus to retained earnings on an annual basis.

iv. PL's financial year ends on 31 December.

Required:

a) Calculate depreciation on each asset for 2015 to 2018.

b) Prepare entries to record revaluation in 2018. (Entries to record depreciation expense, incremental depreciation and elimination of accumulated depreciation are not required. Further, entries prior to 2018 are also not required.)

▶ *Answer:*

Part (a)

		Plant	Equipment
		----- Rs. in million -----	
Cost		500	360
Depreciation 2015	[(500–60)/10], [(360/12) × (6/12)]	(44)	(15)
		456	345
Depreciation 2016	[(456–78)/9], [345/15]	(42)	(23)
		414	322
Revaluation–surplus/(loss) 2016	**(balancing)**	112	(42)
Fair value		526	280
Depreciation 2017	[(526–78)/8], [280/14]	(56)	(20)
		470	260
Depreciation 2018	[(470–64)/7], [260/10]	(58)	(26)
		412	234

Part (b) Accounting entries for revaluation

Date	Particulars	Debit Rs. m	Credit Rs. m
31-Dec-18	Revaluation loss (PL)	18	
	Loss on revaluation (OCI)	84	
	Plant		102
31-Dec-18	Equipment	41	
	Reversal of revaluation loss (PL)		35.1
	Gain on revaluation (OCI)		5.9

	Plant	Equipment
W1: Revaluation gain (loss)	----- Rs. in million -----	
Fair value	310	275
Book value [From part(a)]	(412)	(234)
Increase / (Decrease) in asset	(102)	41
Adjustment for previous:		
Revaluation gain 112– (112÷8)– (112÷8)	84	
Revaluation loss 42– (42÷14)– (39÷10)		(35.1)
Revaluation gain (loss)	(18)	5.9

Example 41:

Sputnik Sea Limited (SSL) runs a cruise business across oceans. Following information in respect of one of SSL's cruise ship is available:

i. SSL bought a cruise ship on 1 March 2018. After completing all the required formalities, the ship was ready to sail on 1 April 2018.

ii. Details regarding components of the ship are as under:

Component	Cost (Rs. in million)	Useful life	Estimated residual value (Rs. in million)
Engine	840	50,000 hours	40
Body	535	25 years	35
Dry-docking (overhaul)	60	5 years	-

iii. On 1 May 2019, the ship suffered an accident which damaged its body. Repair work took 2 months and costed Rs. 26 million. The repair work did not change useful life and residual values of the components.

iv. The average monthly sailing of the ship during the last three years are as under:

Year	Hours
2018	360
2019	480
2020	600

v. SSL uses revaluation model for subsequent measurement. SSL accounts for revaluation on net replacement value method and transfers the maximum possible amount from the revaluation surplus to retained earnings on an annual basis.

vi. The revalued amounts of the ship as at 31 December 2019 and 2020 were determined as Rs. 1,400 million and Rs. 1,000 million respectively. Revalued amounts are apportioned between the components on the basis of their book values before the revaluation.

Required:

Prepare necessary journal entries to record the above transaction from the date of acquisition of the ship to the year ended 31 December 2020.

Answer:

Journal entries

Date	Particulars	Debit	Credit
		Rs. m	Rs. m
01-Mar-18	Cruise ship	1,435	
	Bank		1,435
31-Dec-18	Depreciation expense **(W2)**	75.84	
	Accumulated depreciation - Cruise ship		75.84
01-May-19	Repair cost	26	
	Bank		26

Date	Particulars	Debit	Credit
		Rs. m	Rs. m
31-Dec-19	Depreciation expense **(W2)**	108.8	
	Accumulated depreciation - Cruise ship		108.8
31-Dec-19	Accumulated depreciation - Cruise ship	184.64	
	Cruise ship [75.84 + 108.80]		184.64
31-Dec-19	Cruise ship	149.64	
	Gain on revaluation (OCI)		149.64
31-Dec-20	Depreciation expense **(W2)**	165.82	
	Accumulated depreciation - Cruise ship		165.82
31-Dec-20	Revaluation surplus **(W1)**	18.62	
	Retained earnings		18.62
31-Dec-20	Accumulated depreciation - Cruise ship	165.82	
	Cruise ship		165.82
31-Dec-20	Loss on revaluation (OCI) [149.64 - 18.62 **W1**]	131.02	
	Loss on revaluation (PL) [Balancing]	103.16	
	Cruise ship **(W2)**		234.18

W1: Depreciation	Rs. m
Engine	
2018: (840 – 40) / 50,000 hours x (360 hours x 9 months)	51.84
2019: (840 – 40) / 50,000 hours x (480 hours x 10 months)	76.80
2020: (796.38 – 40) / (50,000 – 3,240 – 4,800 hours) x (600 hours x 12 months)	129.81
2020 (cost model): (840 – 40) / 50,000 hours x (600 hours x 12 months)	115.20
Body	
2018: (535 – 35) / 25 years x 9/12	15
2019: (535 – 35) / 25 years	20
2020: (559.84 – 35) / (25 – 1.75 years)	22.57
2020 (cost model): (535 – 35) / 25 years	20
Dry Docking	
2018: 60 / 5 years x 9/12	9
2019: 60 / 5 years	12
2020: 43.67 / (5 – 1.75 years)	13.44
2020 (cost model): 60 / 5 years	12

W1: Depreciation	Rs. m
Incremental depreciation (Year 2020)	
On revalued amount 129.81 + 22.57 + 13.44	165.82
On cost 115.20 + 20.00 + 12.00	147.20
	18.62

W2: Revaluation gain (loss)	Engine	Body	Dry Docking	Total
	Rs. m	Rs. m	Rs. m	Rs. m
Acquisition cost (1 Mar 2018)	840	535	60	1,435
Depreciation 2018 (W1)	(51.84)	(15)	(9)	(75.84)
Depreciation 2019 (W1)	(76.80)	(20)	(12)	(108.80)
	711.36	500	39	1,250.36
Revaluation gain (balancing)				149.64
31 December 2019	796.49	559.84	43.67	1,400
Depreciation 2020	(129.81)	(22.57)	(13.44)	(165.82)
				1,234.18
Revaluation loss (balancing)				(234.18)
31 December 2020				1,000

▶ *Example 43:*

The following information pertains to property, plant and equipment of Orchid Limited (OL), a listed company:

Description	Date of purchase	Cost Rs. m	Original useful life	Depreciation method	Subsequent measurement model
Buildings	1-Jan-15	600	30 years	Straight line	Revaluation
Plant	1-Jan-15	475	25 years	Straight line	Cost

Buildings

The revalued amount of buildings as determined by Shabbir Associates, an independent valuer, on 31 December 2015 and 2017 was Rs. 700 million and Rs. 463 million respectively.

On 30 June 2017 a building having original cost of Rs. 66 million was sold to Baqir Limited for Rs. 85 million. It was last revalued at Rs. 87 million. OL incurred a cost of Rs. 2 million on disposal.

OL transfers the maximum possible amount from revaluation surplus to retained earnings on an annual basis.

Plant

On 31 December 2016 the recoverable amount of the plant was assessed at Rs. 360 million with no change in useful life.

During 2017, OL has decided to change the depreciation method for plant from straight line to reducing balance. The new depreciation rate would be 10%.

Required:

Prepare following disclosure note of property, plant and equipment (along with comparative figures) to be presented in the financial statements of OL for the year ended 31 December 2017. *(Total column is not required)*

Answer:

Orchid Limited

Notes to the financial Statements for the year ended 31 December 2017

Property, plant & equipment	2017		2016	
	Building	Plant	Building	Plant
	Rs. m	Rs. m	Rs. m	Rs. M
Cost / Revalued amount				
1 Jan	700	475	700	475
Disposal	(87)			
Revaluation (Adj.)	(42.28)			
Revaluation loss **W1**	(107.72)			
31 December	463	475	700	475
Accumulated depreciation and impairment losses				
1 Jan	24.14	115	0	19
Disposal **W2**	(4.5)			
Depreciation **W1**	22.64	36	24.14	19
Revaluation (Cancellation)	(42.28)			
Impairment **W1**				77
31 Dec	0	151	24.14	115
Carrying amount	**463**	**324**	**675.86**	**360**
Carrying amount (cost model)				
Cost	534	*[600 – 66]*	600	
Accumulated Depreciation	(53.4)	*[534/30x2]*	(40)	*[600/30x2]*
	480.6		**560**	

	Building	Plant
Measurement basis	Revaluation model	Cost model
Useful life / depreciation rate	30 years	10%
Depreciation method	Straight line	Reducing balance
The last revaluation was performed on 31 December 2017 by Shabbir Associates, an independent firm of valuer.		

Movement of Revaluation surplus	Rs. m
At 1 Jan 2017 [120 – (120/29)]	115.86
Transfer on disposal **W2**	(22)
Incremental depreciation [(115.86/28 x 6/12) + (115.86 - 22)/27.5 x 6/12]	(3.76)
Revaluation loss charged to OCI	(90.12)
At 31 December 2017	Nil

W1 – Depreciation / Impairment / Revaluation Surplus		Rs. m
Building		
2015 – Depreciation	[600 / 30 years]	20
2015 – Revaluation Gain	[700 – (600 – 20)]	120
2016 – Depreciation	[700 / 29 years]	24.14
2017 – Depreciation	[((700 – 24.14) – 84)) / 28] + 1.5 W2	22.64
2017 – Revaluation	463 FV – [(700 – 87 Cost) – 42.28 Acc. Dep.]	(107.72)
Plant		
2015 – Depreciation	[475 / 25 years]	19
2016 – Depreciation	[475 / 25 years]	19
2016 – Impairment	[475 – 19 – 19] – [360 Recoverable amount]	77
2017 – Depreciation	[360 x 10% reducing balance]	36

W2 – Depreciation and Revaluation (disposed equipment)		Rs. m	Rs. m
Cost		66	
Depreciation 2015	[66 / 30 years]	(2.2)	
		63.8	
Revaluation gain		23.2	23.2
Revalued 31 Dec 2015		87	
Depreciation 2016	[87 / 29 years]	(3)	(0.8)
		84	
Depreciation 2017	[87 / 29 years x 6/12]	(1.5)	(0.4)
		82.5	22
Accumulated depreciation related to disposed equipment 3 + 1.5		4.5	

▶ *Example 42:*

Abbas Limited (AL) is engaged in the business of manufacturing near the Karachi-Hyderabad Motorway. Its property, plant and equipment comprises of land, buildings, plant and machinery, and equipment.

The balances of the property, plant and equipment as at 30 June 2018 are given below:

Assets	Gross Carrying Amount (Rs. Million)	Accumulated Depreciation (Rs. Million)
Land	12	N/A
Buildings	125	38
Plant and Machinery	500	300
Equipment	100	36

The relevant information regarding measurement and depreciation is given below:

Assets	Depreciation Method	Subsequent Measurement
Land	Not applicable	Revaluation model
Buildings	Straight-line	Cost model
Plant and Machinery	Units of Production	Cost model
Equipment	Reducing balance	Cost model

Additional information for the period up to 30 June 2018 are as follows:

- The equipment was purchased on 1 July 2016. No disposals and acquisitions took place in the period up to 30 June 2018.
- Until 30 June 2018, 12,000 units had been produced by Abbas Limited in its factory. The plant and machinery does not have any residual value. No additions or disposals of plant and machinery took place till this date.
- The buildings were acquired on 1 July 2014 with a residual value of Rs. 11 million. No additions and disposals took place till 30 June 2018.
- The land had actually cost Rs. 15 million on the date of its acquisition.

The following information pertains to the year ended on 30 June 2019:

i. On 1 July 2018, land was revalued to Rs. 20 million. The value was determined by an independent firm M/s Ashfaq Valuation Services.

ii. During the year, 5,000 units were produced in the factory of AL.

iii. On January 1, 2019, AL disposed 25% of its area comprising of land and buildings at a price of Rs. 90 million. The portion of land was sold at its fair value as determined on 1 July 2018. The legal costs of drafting transfer agreements were Rs. 0.1 million. It is assumed that value of land and buildings is spread evenly across the area occupied.

iv. Further equipment costing Rs. 60 million was acquired on 1 November 2018.

v. In the meeting of its board of directors, it was decided to open a new factory premises near Lahore-Islamabad motorway. An expenditure of Rs. 20 million was spent of the construction of the factory on 1 December 2018. The construction had not been completed by the end of the year.

vi. Moreover, the directors also made a contract with M/s Uni Power & Co. to purchase plant and machinery worth Rs. 35 million once the construction of factory building is completed.

Required:

Prepare the disclosure note in accordance with IAS 16 in relation to property, plant and equipment in the notes to the financial statements for the year ended 30 June 2019. ***(Comparatives and column for total is not required).***

Answer:

Notes to the financial statements for the year ended 30 June 2019

Property, plant and equipment	Land (W1)	Buildings (W2)	P&M (W3)	Equipment (W4)
	Rs. m	Rs. m	Rs. m	Rs. m
Gross carrying amount				
1 July	12	125	500	100
Additions				60
Revaluation gain	8			
Disposal (25%)	(5)	(31.25)		
30 June	15	93.75	500	160
Accumulated depreication				
1 July		38	300	36
For the year		8.31	125	20.8
Disposal		(10.69)		
30 June	0	35.62	425	56.8
Carrying amount	**15**	**58.13**	**75**	**103.2**
Measurement model	Revaluation	Cost	Cost	Cost
Depreciation method	N/A	Straight line	Unit of production	Reducing balance
Useful life / Dep. rate	N/A	12 years	Rs. 0.025m /u	20%
Carrying value: cost model	Rs. 11.25m			
Effective date of revaluation	1 July 2018			
Independent valuer				M/s Ashfaq Valuation Services
Movement in revaluation surplus				
1 July 2018	0			
Revaluation gain (OCI) 8 – 3 PL	5			
Transfer on disposal 25%	(1.25)			
30 June 2019	3.75			

A factory building near Lahore-Islamabad motorway is under construction and Rs. 20 million expenditure has been incurred so far. Contractual commitments to acquire plant and machinery for the factory building under construction at year end are Rs. 35 million.

W1 – Land	
Cost model Rs. 15m original cost - 25% disposed	Rs. 11.25m

W2 – Buildings	
Total useful life of building [Rs. 125 – 11m] / [Rs. 38m / 4 years]	12 years
Accumulated depreciation of disposed building Rs. 125m - 11m = Rs. 114m x 25% /12 years x 4.5 years	Rs. 10.69m
Depreciation for the year On disposed [(125m – 11m) x 25% /12 years x 6/12] = Rs. 1.19m On Other [(125m – 11m) x 75% /12 years x 12/12] = Rs. 7.13m	Rs. 8.31m

W3 – Plant & machinery	
Depreciation rate per unit [Rs. 300m / 12000 units made so far]	Rs. 0.025m
Depreciation for the year Rs. 0.025m x 5,000 units	Rs. 125m

W4 – Equipment	
Depreciation rate = 1 – ((100-36)/100)$^{1/2}$	20%
Depreciation for the year On addition Rs. 60m x 20% x 8/12 = Rs. 8m On opening Rs. (100-36) x 20% = Rs. 12.8m	Rs. 20.8m

▶ *Example 43:*

The following information pertains to Sherdil Limited (SL):

i. Buildings and equipment were acquired on 1 January 2014 for Rs. 450 million and Rs. 50 million respectively.

ii. The relevant information relating to both assets is summarised below:

Assets	Depreciation method	Life/rate	Subsequent measurement
Buildings	Straight line	20 years	Annual revaluation
Equipment	Reducing balance	10%	Cost

SL transfers the maximum possible amount from revaluation surplus to retained earnings on an annual basis.

iii. The revalued amount of buildings as determined by Accurate Valuers (Private) Limited, an independent valuation company, on 1 January 2015 and 2016 was Rs. 456 million and Rs. 378 million respectively.

iv. Equipment costing Rs. 35 million was purchased on 1 August 2015. Half of the equipment purchased on 1 January 2014 was disposed of on 30 June 2016.

Required:

In accordance with International Financial Reporting Standards, prepare a note on 'Property plant & equipment' (including comparative figures) for inclusion in SL's financial statements for the year ended 31 December 2016. ***(Columns for total are not required)***

Answer:

Notes to the financial statements for the year ended 31 December 2016

Property, plant and equipment	2016		2015	
	Building	Equipment	Building	Equipment
	Rs. m		Rs. m	
Gross carrying amount				
1 January	456	85	450	50
Additions				35
Revaluation (Adj)	(24)		(22.5)	
Revaluation gain (loss)	(54)		28.5	
Disposal (50 x 50%)		(25)		
31 December	378	60	456	85
Accumulated depreication				
1 January	24	10.96	22.5	5
Revaluation (Adj)	(24)		(22.5)	
For the year	21	6.39	24	5.96
Disposal		(5.76)		
31 December	21	11.59	24	10.96
Carrying amount	**357**	**48.41**	**432**	**74.04**
Carrying value: cost model	382.5		405	
	[450 – 450/20 x 3 years]		*[450 – 450/20 x 2 years]*	

	Building	Equipment
Measurement basis	Revaluation model	Cost model
Useful life / dep. rate	20 years	10%
Depreciation method	Straight line	Reducing balance

The revaluation was performed on 1 January 2016 by Accurate Valuers (Private) Limited, an independent firm of valuers.

W1 – Depreciation		Rs. m
2015 – Building	[456 / 19 years]	24
2015 – Equipment	[45 x 10% = 4.5] + [35 x 10% x 5/12 = 1.46]	5.96
2016 – Building	[378 / 18 years]	21
2015 – Equipment	[74.04 – 20.25] x 10% + 1.01	6.39

W2 – Depreciation on disposed equipment	Rs. m
Cost 50 x 50%	25
Depreciation 2014 10%	(2.5)
	22.5
Depreciation 2015 10%	(2.25)
	20.25
Depreciation 2016 10% x 6/12	(1.01)
	19.24
Accumulated depreciation related to disposed equipment 2.5 + 2.25 + 1.01	**5.76**

▶ *Example 44:*

Following information pertains to property, plant and equipment of Tsuki Limited (TL):

	Office building	Warehouse
Acquisition:		
Date of acquisition	1 July 2017	1 July 2018
Cost (Rs. in million)	96	156
Estimated useful life (in years)	16	12
Revalued amount:		
1 January 2019 (Rs. in million)	116	138
1 January 2021 (Rs. in million)	80	143
Revised useful life on 1 January 2020 (in years)	9	14

Additional information:

i. TL uses revaluation model for subsequent measurement and accounts for revaluation on net replacement value method.

ii. TL transfers maximum possible amount from the revaluation surplus to retained earnings on an annual basis.

iii. The revalued amounts were determined by Sagheer Valuers (Private) Limited, an independent valuation company.

Required:

In accordance with IFRSs, prepare a note on 'Property, plant and equipment' (including comparative information) for inclusion in TL's financial statements for the year ended 31 December 2021. (Column for total is not required)

Answer:

Notes to the financial statements for the year ended 31 December 2021

Property, plant and equipment	2021		2020	
	Building	Warehouse	Building	Warehouse
	Rs. m		Rs. m	
Gross carrying amount				
1 January	116	138	116	138
Revaluation (Adj)	(20)	(21)		
Revaluation gain (loss)	(16)	26		
31 December	80	143	116	138
Accumulated depreication				
1 January	20	21	8	12
Revaluation (Adj)	(20)	(21)		
For the year	10	11	12	9
31 December	10	11	20	21
Carrying amount	70	132	96	117
Carrying value: cost model	63	117	72	126.75
	[70 – 7]	*[132 – 15]*	*[96 – 24]*	*[117 + 9.75]*

	Building	Warehouse
Measurement basis	Revaluation model	Revaluation model
Useful life	9 years	14 years
Depreciation method	Straight line	Straight line

The revaluation was performed on 1 January 2021 by Sagheer Valuers (Private) Limited, an independent firm of valuers.

Movement in revaluation surplus		Rs. m
1 January 2021	Building 24 + Warehouse 0	24
Revaluation loss	Building	(16)
Revaluation gain	Warehouse	16.25
Transfer to retained earnings	Building 1 + Warehouse 1.25	(2.25)
31 December 2021		22

W1 – Building		Rs. m
2017 & 2018: Depreciation	96 / 16 years x 1.5 years	9
1 Jan 2019: Gain on revaluation (OCI)	Rs. 116 – (96 – 9)	29
2019: Depreciation	116 / 14.5 years	8
2020: Depreciation	(116 – 8) / 9 years	12
1 Jan 2021: Loss on revaluation (OCI)	80 – (116 – 8 – 12)	16
Revaluation surplus balance	29 – 29/14.5 years – 27/9 years	24
Depreciation	80 / 8 years	10
Transfer to RE	(24 – 16) / 8 years	1

W2 – Warehouse		Rs. m
2018: Depreciation	156 / 12 years x 6/12	6.5
1 Jan 2019: Loss on revaluation (PL)	Rs. 138 – (156 – 6.5)	11.5
2019: Depreciation	138 / 11.5 years	12
2020: Depreciation	(138 – 12) / 14 years	9
1 Jan 2021: Gain on revaluation	143 – (138 – 12 – 9)	26
Reversal in PL	11.5 – 11.5/11.5 years – 10.5/14 years	9.75
Gain in OCI	26 – 9.75	16.25
Depreciation	143 / 13 years	11
Transfer to RE	16.25 / 13 years	1.25

▶ *Example 45:*

Following information pertain to property, plant and equipment of Harappa Industries Limited (HIL) for the year ended 30 June 2020:

i.

Assets	Balance as on 30 June 2019			Depreciation method	Useful life/rate
	Cost/revalued amount	Accumulated depreciation	Revaluation surplus		
	---------- Rs. in '000 ----------				
Land*	100,000	-	-	-	Infinite
Buildings	70,000	14,000	16,000	Straight line	20 years
Plant	180,000	60,000	-	Straight line	15 years
Vehicles	8,800	4,000	-	Reducing balance	20%

*An amount of Rs. 12 million had been charged to profit or loss upon previous revaluation.

ii. On 30 June 2020, the revalued amounts of the land and buildings were assessed by Smart Consultant at Rs. 120 million and Rs. 35 million respectively.

iii. Setting up of a new plant was commenced on 1 July 2019 and substantially completed on 29 February 2020. The plant was available for use on 1 April 2020 and immediately put into use. Useful life of the plant was estimated at 10 years. Details of the cost incurred are as under:

Description	Payment date	Rs. in '000
1st payment	1 August 2019	12,000
2nd payment	1 October 2019	48,000
3rd payment	29 February 2020	48,000
4th payment	31 July 2020	12,000
		120,000

iv. The cost of the plant was financed through an existing running finance facility with a limit of Rs. 200 million carrying mark-up of 12% per annum. A government grant of Rs. 20 million related to the plant was received on 1 January 2020. The grant amount was used for repayment of the running facility.

v. One of the vehicles had an engine failure on 1 January 2020 and its engine had to be sold as scrap for Rs. 0.1 million. The vehicle had been acquired on 1 January 2018 at a cost of Rs. 2.5 million. 40% of the cost is attributable to its engine. Though the engine of similar capacity was available at a cost of Rs. 1.2 million, the old engine was replaced on 1 January 2020 with a higher capacity engine at a cost of Rs. 1.8 million.

vi. HIL uses cost model for subsequent measurement of property, plant and equipment except for land and buildings.

vii. HIL accounts for revaluation on net replacement value method and transfers the maximum possible amount from revaluation surplus to retained earnings on an annual basis.

viii. HIL deducts government grant in arriving at the carrying amount of the asset.

Required:

In accordance with IFRSs, prepare a note on 'Property, plant and equipment' for inclusion in HIL's financial statements for the year ended 30 June 2020. (Comparatives figures and column for total are not required).

▶ *Answer:*

Notes to the financial statements for the year ended 30 June 2020

Property, plant and equipment	Land (W1) Rs. 000	Buildings (W2) Rs. 000	Plant (W3) Rs. 000	Vehicles (W4) Rs. 000
Gross carrying amount				
1 July	100,000	70,000	180,000	8,800
Additions			102,840	1,800
Revaluation (Adj)		(17,500)		
Revaluation gain (loss)	20,000	(17,500)		
Disposal				(1,000)
30 June	120,000	35,000	282,840	9,600

Property, plant and equipment	Land (W1) Rs. 000	Buildings (W2) Rs. 000	Plant (W3) Rs. 000	Vehicles (W4) Rs. 000
Accumulated depreication				
1 July		14,000	60,000	4,000
For the year		3,500	14,571	1,068
Revaluation (Adj)		(17,500)		
Disposal				(352)
30 June	0	0	74,571	4,716
Carrying amount	**120,000**	**35,000**	**208,269**	**4,884**
Measurement model	Revaluation	Revaluation	Cost	Cost
Depreciation method	N/A	Straight line	Straight line	Reducing balance
Useful life / Dep. rate	Infinite	15 years	15 & 10 years	20%
Carrying value: cost model	112,000	37,500		
Effective date of revaluation	30 June 2020			
Independent valuer	Smart Consultants			
Movement in revaluation surplus				
1 July 2019	0	16,000		
Transfer to RE [16,000 / 16]		(1,000)		
Revaluation gain (loss) OCI	8,000	(15,000)		
30 June 2020	**8,000**	**0**		

W1 – Land	
Gain in OCI Rs. 20,000 gain – previous reversal in PL 12,000	Rs. 8,000
Carrying amount under cost model Rs. 120,000 – 8,000 gain	Rs. 112,000

W2 – Buildings	
Annual depreciation Rs. 70,000 / 20 years	Rs. 3,500
Remaining useful life 20 years – [Rs. 14,000 / 3,500]	16 years
Loss on revaluation [Rs. 35,000 – (Rs. 70,000 – 14,000 – 3,500)]	Rs. 17,500
Loss in PL Rs. 17,500 – 15,000 reversal in OCI	Rs. 2,500
Carrying amount under cost model Rs. 35,000 + 2,500 loss	Rs. 37,500

W3 – Plant		
Cost of plant		**Rs. 000**
Cost		120,000
Government grant		(20,000)
Capitalisation of borrowing cost:		
1 August - 1 October 2019	12,000×12%×2÷12	240
1 October - 31 December 2019	60,000×12%×3÷12	1,800
1 January - 29 February 2020	(60,000–20,000)×12%×2÷12	800
		2,840
		102,840
Depreciation		
On opening balance	180,000÷15	12,000
On the new plant	102,840÷10×3÷12	2,571
		14,571

W4 – Vehicle		
Written down value: Engine disposal		**Rs. 000**
Cost	2,500×40%	1,000
Accumulated depreciation:		
Six months upto 30 June 2018	1,000×20%×6÷12	100
For 2018-2019	(1,000–100)×20%	180
Six months upto 31 Dec. 2019	(1,000–280)×20%×6÷12	72
		352
		648
Depreciation		
On disposal of old engine	(1,000–280)×20%×6÷12	72
On remaining opening balance	[(8,800–1,000)–(4,000–280)]×20%	816
On addition of new engine	1,800×20%×6÷12	180
		1,068

▶ *Example 46:*

The following information is available regarding property, plant and equipment of Khangarh Limited (KL):

i. On 1 July 2023, KL revalued its factory building for the second time, resulting in an upward revaluation of Rs. 18 million. Before this revaluation, the carrying amount was recorded as Rs. 81 million (gross amount of Rs. 90 million and accumulated depreciation of Rs. 9 million). This followed a previous revaluation on 1 July 2021, which had resulted in a revaluation loss of Rs. 12 million.

ii. On 1 November 2023, KL replaced a significant part of its machine that accounted for 30% of the machine's total value. The new part had a price of Rs. 35 million, however, only Rs. 22 million was paid as the old part was given in exchange. This replacement extended the machine's life by an additional year. Originally, the machine was purchased for Rs. 75 million on 1 January 2021, and it had accumulated depreciation of Rs. 12.5 million as at 30 June 2023 based on useful life of 15 years.

iii. On 1 January 2024, KL sold a vehicle for Rs. 36 million and incurred a disposal cost of Rs. 2 million. The vehicle was originally purchased on 1 April 2021, for Rs. 40 million.

Other information:

i. KL accounts for revaluation using the net replacement value method and transfers the maximum possible amount from the revaluation surplus to retained earnings on an annual basis.

ii. All items of property, plant, and equipment are subsequently measured using the cost model, except for the factory building.

iii. Depreciation is applied using the straight-line method, except for vehicles, which are depreciated using the reducing balance method at 15% per annum.

Required:

Prepare the journal entries to be recorded in the books of KL during the year ended 30 June 2024 in respect of the above information. (Show all necessary workings. Narrations are not required)

▶ *Answer:*

Khangarh Limited's General Journal

Date	Description	Debit	Credit
		--- Rs. in million ---	
	Factory building		
1 Jul 2023	Accumulated depreciation - factory building	9.00	
	Factory building		9.00
1 Jul 2023	Factory building	18.00	
	Revaluation gain (P&L) 12 – 12×10%(i.e. 9÷90)		10.80
	Revaluation surplus (OCI) **Bal. fig.**		7.20
30 Jun 2024	Depreciation expense	5.50	
	Acc. dep. - factory building (81+18)÷18**(W-1)**		5.50
30 Jun 2024	Revaluation surplus	0.40	
	Retained earnings 7.2÷18**(W-1)**		0.40
	Machinery		
1 Nov 2023	Depreciation expense (75÷15 years)×4÷12	1.67	
	Accumulated dep. – machinery		1.67
1 Nov 2023	Machinery	35.00	
	Accumulated depreciation (12.5+1.67)×30%	4.25	
	Loss on disposal Bal. fig.	5.25	
	Cash		22.00
	Machinery 75×30%		22.50
30 June 2024	Depreciation expense	3.92	
	Accumulated dep. – machinery (W-2)		3.92
	Vehicles		
1 Jan 2024	Depreciation expense (W-3)	2.08	
	Accumulated depreciation - Vehicles		2.08

Date	Description	Debit	Credit
		--- Rs. in million ---	
1 Jan 2024	Cash 36–2	34.00	
	Accumulated depreciation - Vehicles **(W-3)**	14.25	
	Vehicles		40.00
	Gain on disposal **Bal. fig.**		8.25

W-1: Remaining life of building		
Yearly depreciation	9÷2	Rs. 4.5 million
Remaining life of building on 1 July 2021	90÷4.5	20 years
Remaining life of building on 1 July 2023	20–2	18 years

W-2: Depreciation on machinery for next 8 months		Rs. in million
Remaining book value of machinery		
Cost	75 – 22.5 + 35	87.5
Accumulated depreciation	12.5 +1.67 – 4.25	(9.92)
		77.58
Remaining life = (15+1) – 2.83 = 13.17 years		
Depreciation (November 2023 – June 2024)	77.58 ÷ 13.17 × 8÷12	3.92

W-3: Accumulated depreciation of vehicle on disposal		Rs. in million
Depreciation for 2020-21	40×15%×3÷12	1.50
Depreciation for 2021-22	(40–1.5)×15%	5.77
		7.27
Depreciation for 2022-23	(40–7.27)×15%	4.90
		12.17
Depreciation for 2023-24	(40–12.17)×15%×6÷12	2.08
		14.25

1. OBJECTIVE BASED Q&A

1. An entity purchased a property 15 years ago at a cost of Rs. 100,000 and have been depreciating it at a rate of 2% per annum, on the straight-line basis. The entity has had the property professionally revalued at Rs. 500,000.

   What is the revaluation surplus that will be recorded in the financial statements in respect of this property?

   a) Rs. 400,000
   b) Rs. 500,000
   c) Rs. 530,000
   d) Rs. 430,000

2. An entity owns two buildings, A and B, which are currently recorded in the books at carrying amounts of Rs. 170,000 and Rs. 330,000 respectively. Both buildings have recently been valued as follows:

   Building A Rs. 400,000

   Building B Rs. 250,000

   The entity currently has a balance on the revaluation surplus of Rs. 50,000 which arose when building A was revalued several years ago. Building B has not previously been revalued.

   What double entry will need to be made to record the revaluations of buildings A and B?

   a) Dr Non-current assets Rs. 150,000
      Dr Statement of profit or loss Rs. 80,000
      Cr Other comprehensive income (revaluation surplus) Rs. 230,000
   b) Dr Non-current assets Rs. 150,000
      Dr Statement of profit or loss Rs. 30,000
      Cr Other comprehensive income (revaluation surplus) Rs. 180,000
   c) Dr Non-current assets Rs. 150,000
      Cr Other comprehensive income (revaluation surplus) Rs. 150,000
   d) Dr Non-current assets Rs. 150,000
      Dr Statement of profit or loss Rs. 50,000
      Cr Other comprehensive income (revaluation surplus) Rs. 200,000

3. An entity purchased property for Rs. 6 million on 1 July 2013. The land element of the purchase was Rs. 1 million. The expected life of the building was 50 years and its residual value nil. On 30 June 2015 the property was revalued to Rs. 7 million, of which the land element was Rs. 1.24 million and the buildings Rs. 5.76 million. On 30 June 2017, the property was sold for Rs. 6.8 million.

   What is the gain on disposal of the property that would be reported in the statement of profit or loss for the year to 30 June 2017?

   a) Gain Rs. 40,000
   b) Loss Rs. 200,000
   c) Gain Rs. 1,000,000
   d) Gain Rs. 1,240,000

4. Which of the following statements are correct?

   i. If the revaluation model is used for property, plant and equipment, revaluations must subsequently be made with sufficient regularity to ensure that the carrying amount does not differ materially from the fair value at each reporting date.

   ii. When an item of property, plant and equipment is revalued, there is no requirement that the entire class of assets to which the item belongs must be revalued.

   a) Only statement i is correct

   b) Only statement ii is correct

   c) Both statements are correct

   d) None of the statement is correct

5. The following trial balance extract relates to a property which is owned by Maira Limited as at 1 April 2014.

	Dr	Cr
	Rs. 000	**Rs. 000**
Property at cost (20 year original life)	12,000	
Accumulated depreciation as at 1 April 2014		3,600

On 1 October 2014, following a sustained increase in property prices, Maira Limited revalued its property to Rs. 10.8 million.

What will be the depreciation charge in Maira Limited's statement of comprehensive income for the year ended 31 March 2015?

a) Rs. 540,000

b) Rs. 570,000

c) Rs. 700,000

d) Rs. 800,000

6. A company purchased a building on 1 April 2007 for Rs. 10,000,000. The asset had a useful economic life at that date of 40 years. On 1 April 2009 the company revalued the building to its current fair value of Rs. 12,000,000.

What is the double entry to record the revaluation?

a) Dr. Building 1,500,000
   Dr. Accumulated depreciation 500,000
   Cr. Other comprehensive income 2,000,000

b) Dr. Building 2,000,000
   Dr. Accumulated depreciation 500,000
   Cr. Profit or loss 2,500,000

c) Dr. Building 2,000,000
   Dr. Accumulated depreciation 500,000
   Cr. Other comprehensive income 2,500,000

d) Dr. Building 1,500,000
   Dr. Accumulated depreciation 500,000
   Cr. Profit or loss 2,000,000

7. The carrying value of property at the end of the year amounted to Rs. 108 million. On this date the property was revalued and was deemed to have a fair value of Rs. 95 million. The balance on the revaluation reserve relating to the original gain of the property was Rs. 10 million.

   What is the double entry to record the revaluation?

   a) Dr. Profit or loss 3 million
      Dr. Other comprehensive income 10 million
      Cr. Property 13 million
   b) Dr. Profit or loss 10 million
      Dr. Other comprehensive income 3 million
      Cr. Property 13 million
   c) Dr. Profit or loss 13 million
      Dr. Other comprehensive income 3 million
      Cr. Property 16 million
   d) Dr. Profit or loss 13 million
      Cr. Property 13 million

8. A company revalued its property on 1 April 2009 to Rs. 20m (Rs. 8m for the land). The property originally cost Rs. 10m (Rs. 2m for the land) 10 years ago. The original useful economic life of 40 years is unchanged. The company's policy is to make a transfer to realized profits in respect of excess depreciation.

   At which amount the property be presented at as at 31 March 2010?

   a) Rs. 20 million
   b) Rs. 19.6 million
   c) Rs. 12 million
   d) Rs. 11.6 million

9. A company revalued its property on 1 April 2009 to Rs. 20m (Rs. 8m for the land). The property originally cost Rs. 10m (Rs. 2m for the land) 10 years ago. The original useful economic life of 40 years is unchanged. The company's policy is to make a transfer to realized profits in respect of excess depreciation.

   What is amount of balance in revaluation surplus account as at 31 March 2010?

   a) Rs. 12 million
   b) Rs. 10 million
   c) Rs. 9.8 million
   d) Rs. 11.8 million

10. Which of the following is an optional disclosure requirement of IAS 16?

   a) Measurement bases for determining gross carrying amount
   b) Depreciation method
   c) Useful lives or depreciation rates
   d) The carrying amount of temporarily idle PPE

11. Following information is available for equipment account of a business on 1st January 2018:

Opening balance of equipment, a/c (Revalued amount)	Rs. 7,500,000
Surplus on revaluation of equipment a/c	Rs. 2,000,000
At start of year company sold equipment for	Rs. 90,000,000

Company has a policy of charging 20% depreciation on straight line basis.

What will be treatment of revaluation surplus at disposal of asset?

a) Dr Surplus on revaluation Rs. 2,000,000
   Cr Retained earnings Rs. 2,000,000

b) Dr Retained earnings Rs. 2,000,000
   Cr Surplus on revaluation Rs. 2,000,000

c) Dr Surplus on revaluation Rs. 3,500,000
   Cr Retained earnings Rs. 3,500,000

d) Dr Surplus on revaluation Rs. 2,0000,000
   Cr Equipment account Rs. 2,000,000

12. A non–current asset costing Rs. 216,000 and carrying value Rs. 145,000 is revalued to Rs. 291,000.

How should revaluation be recorded?

a) Dr Asset a/c Rs. 75,000
   Cr Surplus on revaluation Rs. 75,000

b) Dr Asset a/c Rs. 75,000
   Dr Accumulated Depreciation Rs. 71,000
   Cr Surplus on revaluation Rs. 146,000

c) Dr Surplus on revaluation Rs. 146,000
   Cr Asset a/c Rs. 75,000
   Cr Accumulated Depreciation Rs. 71,000

d) Dr Accumulated depreciation Rs. 146,000
   Cr Surplus on revaluation Rs. 146,000

13. When items of property, plant and equipment are stated at revalued amounts the following must be disclosed:

i. the effective date of the revaluation
ii. whether an independent valuer was involved
iii. for each revalued class of property, plant and equipment, the carrying amount that would have been recognised had the assets been carried under the cost model;
iv. the revaluation surplus, indicating the change for the period and any restrictions on the distribution of the balance to shareholders.

a) (i), (ii) and (iv) only
b) (i), (ii), and (iii) only
c) (ii), (iii) and (iv) only
d) (i) to (iv) all

14. IAS 16 encourages disclosure of the following information as users of financial statements might find it to be useful.

    i. the carrying amount of temporarily idle property, plant and equipment
    ii. the gross carrying amount of any fully depreciated property, plant and equipment that is still in use
    iii. the carrying amount of property, plant and equipment retired from active use and held for disposal
    iv. when the cost model is used, the fair value of property, plant and equipment when this is materially different from the carrying amount

    a) (i), (ii) and (iii) only
    b) (i), (ii) and (iv) only
    c) (i), (iii) and (iv) only
    d) (i) to (iv) all

15. Which of the following statements is correct?

    a) An entity may present PPE at gross carrying amount or net carrying amount under IAS 16
    b) Either useful lives or depreciation rates are to be disclosed, both are not required.
    c) Under revaluation model, PPE are revalued at end of each year
    d) If an entity chooses revaluation model, it must apply revaluation model to all of its PPE.

16. Waqas Limited purchased a machine for Rs. 30,000 on 1 January 2015 and assigned it a useful life of 12 years. On 31 March 2017 it was revalued to Rs. 32,000 with no change in useful life.

    What will be depreciation charge in relation to this machine in the financial statements for the year ending 31 December 2017?

    a) Rs. 2,462
    b) Rs. 2,500
    c) Rs. 2,667
    d) Rs. 3,087

17. A business purchased building costing Rs. 7,500,000 on 1 January 2018.

    The policy of business is to charge straight line depreciation over its useful life of 20 years.

    On 31 December 2020, building was revalued to Rs. 7,650,000.

    What is the amount of incremental depreciation to be transferred to retained earnings at year ending 31 December 2021?

    a) Rs. 25,000
    b) Rs. 50,000
    c) Rs. 75,000
    d) Rs. 100,000

18. A business purchased an asset on 1 January 2016 costing Rs. 5,000,000 having a useful life of 10 years with nil residual value. On 1 January 2018 balance of accumulated depreciation was Rs. 1,000,000. Asset is revalued to Rs. 4,500,000 on 1 January 2018 (start of the year).

    Business has a policy to charge straight line depreciation.

    What is the depreciation charge for the year ended 31 December 2018?

    a) Rs. 450,000
    b) Rs. 500,000
    c) Rs. 555,555
    d) Rs. 562,500

19. A business purchased an asset on 1 January 2016 costing Rs. 5,000,000 having a useful life of 10 years with nil residual value. On 1 January 2018 balance of accumulated depreciation was Rs. 1,000,000. Asset is revalued to Rs. 4,500,000 on 1 January 2018 (start of the year).

    Business has a policy to charge straight line depreciation.

    What is the amount of revaluation surplus at the date of revaluation?

    a) Rs. Nil
    b) Rs. 500,000
    c) Rs. 1,000,000
    d) Rs. 1,500,000

20. A business purchased an asset on 1 January 2016 costing Rs. 5,000,000 having a useful life of 10 years with nil residual value. On 1 January 2018 balance of accumulated depreciation was Rs. 1,000,000. Asset is revalued to Rs. 4,500,000 on 1 January 2018 (start of the year).

    Business has a policy to charge straight line depreciation.

    What is the amount of incremental depreciation for the year ended 31 December 2018?

    a) Rs. 50,000
    b) Rs. Nil
    c) Rs. 55,555
    d) Rs. 62,500

21. A revaluation gain is credited into?

    a) Revaluation reserve
    b) Capital reserve
    c) Profit and loss
    d) Any of the above

22. After initial recognition, an entity has a choice to choose cost and?

    a) Realizable model
    b) Replacement model
    c) Revaluation model
    d) Carrying value model

23. When an item of property, plant and equipment is revalued, what should be revalued?

a) A selection of assets decided by management
b) The whole class of assets to which it belongs
c) The individual asset
d) A selection of assets picked at random

24. If an asset increases in value, the increase is noted as?

a) An increase in net profit in the SOCI
b) An increase in retained earnings in SOFP
c) An increase in revaluation surplus in the SOFP and other comprehensive income in the SOCI
d) An increase in "other profit" in SOCI

25. Which of the following is not a valid reason for reporting non-current assets at revaluation amount rather than cost?

a) To prevent long life assets from being reported at out of date historical costs
b) To keep owners of the business better informed of their equity in the business.
c) To report performance correctly by matching earnings with the proper costs of assets used.
d) To avoid having to pay higher taxes

26. An entity has a policy of revaluing its PPE. An asset cost Rs.5m on 1 January 2020 and has a useful life of five years and is depreciated on a straight-line basis to a zero residual value. The value of the asset at 31 December 2020 was Rs.3.8m. The fall in value will be accounted for as follows?

a) Depreciation Rs.1m and fall in value of Rs.200,000 both to the reserves
b) Depreciation Rs.1m to the income statement and fall in value of Rs.200,000 ignored until there is a revaluation surplus
c) Depreciation Rs.1m to income statement and fall in value of Rs.200,000 to the reserves
d) Depreciation Rs.1m and fall in value of Rs.200,000 both to the income statement

27. Which TWO of these items would be recognised in other comprehensive income?

a) Gain of Rs. 10million arising on the revaluation of freehold land. The land has been revalued for the first time
b) Gain of Rs. 10 million arising on the revaluation of freehold land, upon previous revaluation a loss of Rs. 15 million was recognised in profit or loss
c) Loss of Rs. 10 million arising on revaluation of freehold land, upon previous revaluation a gain of Rs. 15 million was recognised in other comprehensive income
d) Loss of Rs. 10 million arising on revaluation of freehold land. The land has been revalued for the first time

28. The following gains may legally be withdrawn from the company by shareholders:

i. gains that arise from the upward revaluation of non-current assets
ii. gains that arise from the sale of non-current assets

What is the validity of each statement?

a) Both i. and ii are true
b) i. is true and ii. is false
c) Both i. and ii are false
d) ii. is true and i. is false

29. The financial statements of Saadi Limited for the most recent year indicated the following:

i. Revaluation loss on property, plant and equipment
ii. Transfer of revaluation surplus to retained earnings
iii. Revaluation gain on non-current assets
iv. Disposal of property, plant and equipment

Which of the above involved a movement of cash?

a) i. and ii
b) ii. and iii.
c) iii only
d) iv only

30. An apartment is revalued upwards by Rs. 1 million. It was acquired 5 years ago for Rs. 5 million. Its useful life remains same as 10 years.

What is the revised depreciation charge for the year after revaluation?

a) Rs. 500,000
b) Rs. 600,000
c) Rs. 700,000
d) Rs. 800,000

31. A building is revalued upwards by Rs. 2 million. It was acquired five years ago for Rs.10 million. Its useful life remains same as 20 years. What is the incremental depreciation charge for the year?

a) Rs.100,000
b) Rs.133,333
c) Rs.166,667
d) Rs.200,000

32. An IT equipment being carried at revaluation model has revaluation reserve balance of Rs. 50,000. During the year, it reduces its value due to technological obsolescence. It has Rs. 70,000 decrease in value. What would be the impact of this revaluation decrease?

a) The decrease of Rs.50,000 is debited to revaluation reserve and Rs.20,000 to profit or loss for the year
b) The decrease of Rs.50,000 is debited to profit and loss account and Rs.20,000 to revaluation reserve for the year
c) The whole decrease is debited to revaluation reserve
d) The whole decrease is debited to profit or loss for the year

33. The correct accounting treatment of initial operating losses incurred during the commercial production due to under-utilization of the plant would be to:

a) capitalise as a directly attributable cost
b) defer and charge to profit or loss account when profit is earned from the plant
c) charge directly to retained earnings since these are not considered to be normal operating losses
d) charge to profit or loss account

34. Which of the following is NOT considered as an item of property, plant and equipment?

a) A standby generator expected to be used for seven years
b) A plot of land held for resale
c) A bus for pick and drop of staff members
d) A generator for rental to others

35. An entity acquires a plant in exchange of old machinery which has carrying amount of Rs. 760,000 and fair value of Rs. 750,000 at the date of exchange. The list price of plant acquired is Rs. 850,000. The entity is also required to pay cash of Rs. 55,000 in this exchange transaction.

At which amount the acquired plant should be initially recognised?

a) Rs. 850,000
b) Rs. 760,000
c) Rs. 815,000
d) Rs. 805,000

36. An item of plant was purchased on 1 April 2008 for Rs. 2,000,000 and is being depreciated at 25% on a reducing balance basis. What would be its residual value after its useful life of 5 years?

a) Rs. 632,809
b) Rs. NIL
c) Rs. 474,609
d) Rs. 400,000

37. A non-current asset cost Rs. 96,000 and was purchased on 1 June Year 1. Its expected useful life was five years and its expected residual value was Rs. 16,000. The asset is depreciated by the straight-line method.

The asset was sold on 1 September Year 3 for Rs. 68,000. There were no disposal costs. It is the company policy to charge depreciation on a monthly basis. The financial year runs from 1 January to 31 December.

What was the gain or loss on disposal?

a) Rs. 8,000 gain
b) Rs. 8,000 loss
c) Rs. 12,000 gain
d) Rs. 12,000 loss

38. A non-current asset was purchased on 1 June Year 1 for Rs. 216,000. Its expected life was 8 years and its expected residual value was Rs. 24,000. The asset is depreciated by the straight-line method. The financial year is from 1 January to 31 December.

    The asset was sold on 1 September Year 4 for Rs. 163,000. Disposal costs were Rs. 1,000.

    It is the company policy to charge a proportionate amount of depreciation in the year of acquisition and in the year of disposal, in accordance with the number of months for which the asset was held.

    What was the gain or loss on disposal?

    a) Rs. 24,000 gain
    b) Rs. 24,000 loss
    c) Rs. 32,000 gain
    d) Rs. 32,000 loss

39. A change in depreciation method is a?

    a) Change in accounting policy
    b) Change in accounting estimate
    c) Change in accounting method
    d) Change in accounting standard

40. When an asset is sold or disposed of, where is the gain or loss recognised?

    a) Asset disposal account
    b) Profit and loss
    c) Revaluation reserve
    d) Depreciation

41. How often should the useful life of an asset be reviewed?

    a) Every six months
    b) As and when the market value will significantly change
    c) At least at each financial year end
    d) Never

42. An entity acquired laptops in exchange of desktops which have carrying amount of Rs. 450,000 and fair value of Rs. 300,000 at the date of exchange. The list price of the laptops acquired is Rs. 600,000. The entity is also required to pay cash of Rs. 275,000 in this exchange transaction.

    The laptops should be initially recognised at:

    a) Rs. 300,000
    b) Rs. 575,000
    c) Rs. 450,000
    d) Rs. 600,000

43. During the year 2019, an entity purchased a machine for Rs. 20 million to be used for 6 years. Which of the following would represent residual value of this machine in 2019?

    a) Rs. 15 million can be currently obtained from disposal of the machine in present condition
    b) Rs. 4 million can be currently obtained from disposal of a 6 year old similar machine
    c) Rs. 18 million can be obtained in 2025 from disposal of the machine in present condition
    d) Rs. 7 million can be obtained in 2025 from disposal of a 6 year old similar machine

44. An asset was purchased on 1 January 2017 for Rs. 100 million with useful life of 6 years and residual value of Rs. 10 million. On 1 January 2020, it is revalued to Rs. 120 million with remaining useful life of 3 years and expected residual value of Rs. 15 million. How much excess depreciation will be charged for the year ended 31 December 2020?

    a) Rs. 15 million
    b) Rs. 35 million
    c) Rs. 20 million
    d) Rs. 25 million

45. When items of property, plant and equipment are stated at revalued amounts, which of the following disclosures shall be made?

    a) Any restrictions on the distribution of the revaluation surplus to shareholders
    b) The carrying amount of temporarily idle property, plant and equipment
    c) The gross carrying amount of any fully depreciated property, plant and equipment that is still in use
    d) All of the above

ANSWERS

01. (d)

	Rs.
Current value	500,000
Carrying amount (100,000 – (100,000 × 2% × 15 years))	(70,000)
Revaluation gain	430,000

02. (a)

	Building A	Building B
Current value	400,000	250,000
Carrying amount	(170,000)	(330,000)
Revaluation gain/(loss)	230,000	(80,000)

The gain on Building A will be credited to other comprehensive income and the revaluation surplus.

The loss on Building B will be debited to the statement of profit or loss expenses because we do not have a balance on the revaluation surplus in respect of building B to offset the loss.

We make an overall debit to non-current assets of Rs. 230,000 – Rs. 80,000 = Rs. 150,000

03. (a)

	Land	Buildings	Total
	Rs.	Rs. m	Rs. M
Cost 1 July 2013	1.00	5.00	6.00
Building depreciation Rs. 5 million/50 years x 2 years		(0.2)	(0.2)
Carrying amount 30 June 2015	1.00	4.80	5.80
Revaluation gain	0.24	1.96	1.20
Revalued amount	1.24	5.76	7.00
Building depreciation Rs. 5.76m/48 years x 2 years		(0.24)	(0.24)
Carrying amount 30 June 2017	1.24	5.52	6.76
Disposal proceeds			6.80
Gain on disposal			0.04

The gain on disposal is Rs. 40,000. The Rs. 1.2 million balance on the revaluation reserve is transferred from the revaluation reserve to another reserve account (probably retained earnings) but is not reported through the statement of profit or loss for the year.

04. (a) IAS 16 (para 31) states that when the revaluation model is used, revaluations should be made with sufficient regularity to ensure that the carrying value of the assets remains close to fair value. IAS 16 also states (para 36) that, if one item in a class of assets is revalued, all the assets in that class must be revalued.

05. (c) Six months' depreciation to the date of the revaluation will be Rs. 300,000 (12,000/20 years × 6/12). Six months' depreciation from the date of revaluation to 31 March 2015 would be Rs. 400,000 (10,800/13.5 years remaining life × 6/12). Total depreciation is Rs. 700,000.

06.	(c)	**Building a/c**

Particulars	Rs.		Particulars	Rs.
b/d	10,000,000		Acc. dep	500,000
Surplus	2,500,000		c/d	12,000,000
	12,500,000			12,500,000

Building net debited by Rs. 2,000,000 (2,500,000 – 500,000)

07.	(a)	Total loss Rs. 13 million, Rs. 10 will be charged to revaluation surplus and remaining to profit or loss.
08.	(b)	Depreciation (20 – 8) / 30 years = Rs. 0.4 million Carrying amount Rs. 20 million less 0.4 million = Rs. 19.6 million
09.	(d)	Depreciation Now (20 – 8) / 30 years = Rs. 0.4 million Depreciation Cost (10 – 2) / 40 years = Rs. 0.2 million Revaluation surplus = Land Rs. 6 million + Building Rs. 6 million - incremental depreciation 0.2 million = Rs. 11.8 million
10.	(d)	
11.	(a)	On disposal of a revalued asset, the full balance of surplus on revaluation is transferred to retained earnings.
12.	(b)	Accumulated depreciation = Rs. 216,000-Rs. 145,000=Rs. 71,000 Surplus = Rs. 291,000-Rs. 145,000=Rs. 146,000 Net amount debited to asset = Rs. 146,000-Rs. 71,000=Rs. 75,000
13.	(d)	(i) to (iv) all
14.	(d)	(i) to (iv) all
15.	(b)	Either useful lives or depreciation rates are to be disclosed, both are not required.
16.	(d)	The machine has been owned for 2 years 3 months, so the remaining useful life at 31 March 2017 was 9 years 9 months. Prior to revaluation it was being depreciated at Rs. 2,500 pa (30,000/12), so the charge for the first three months of 2017 was Rs. 625. The machine will now be depreciated over the remaining 9 years 9 months = 117 months. So the charge for the remaining 9 months of 2017 is Rs. 2,462 ((32,000 / 117) × 9). So total depreciation for the year ended 31.12.17 is (625 + 2,462) = Rs. 3,087
17.	(c)	Incremental depreciation = depreciation on revalued amount – depreciation at cost Dep. before revaluation = Rs. 7,500,000 / 20 years = Rs. 375,000 Dep. after revaluation = Rs. 7,650,000 / 17 years = Rs. 450,000 Incremental depreciation = Rs. 75,000
18.	(d)	Depreciation = Rs. 4,500,000/8= Rs. 562,500
19.	(b)	Revaluation surplus = Rs. 4,000,000 – 4,500,000= Rs. 500,000
20.	(d)	Incremental depreciation = Dep on revalued amount – Dep on cost = (4,500,000/8)– (5,000,000/10) =Rs. 562,500 – 500,000 = 62,500 Alternatively, Rs. 500,000 surplus / 8 years = Rs. 62,500

21.	(a)	Revaluation reserve
22.	(c)	Revaluation model
23.	(b)	The whole class of assets to which it belongs
24.	(c)	An increase in revaluation surplus in the SOFP and other comprehensive income in SOCI
25.	(d)	To avoid having to pay higher taxes
26.	(d)	Depreciation Rs. 1 million in PL Revaluation loss Rs. 0.2 million in PL
27.	(a) & (c)	In case of (a) & (c) Rs. 10 million gain or loss effect will be included in other comprehensive income. However, in case of (b) and (d), the Rs. 10 million gain or loss effect will be included in profit or loss.
28.	(d)	Distribution of dividend from revaluation surplus is prohibited
29.	(d)	Revaluation gain (loss) or its transfer does not involve movement of cash.
30.	(c)	Rs. 3.5 million / 5 years = Rs. 700,000
31.	(b)	Rs. 9.5 million / 15 years = Rs. 633,333 Rs. 10 million / 20 years = Rs. 500,000 Incremental Rs. 133,333
32.	(a)	Upto balance in revaluation surplus Rs. 50,000 in OCI Remaining Rs. 20,000 in profit or loss
33.	(d)	Charge to profit or loss account
34.	(b)	A plot of land held for resale
35.	(d)	Fair value of asset given up + cash paid = Rs. 750,000 + 55,000 = Rs. 805,000
36.	(c)	Rs. 2,000,000 x $(0.75)^5$ = 474,609
37.	(a)	Net sale proceeds = Rs. 68,000 Accumulated depreciation = Rs. 80,000 / 5 years x 2.25 years = Rs. 36,000 Carrying amount = Rs. 96,000 – 36,000 = Rs. 60,000 Gain on disposal = Rs. 68,000 – 60,000 = Rs. 8,000
38.	(a)	Net sale proceeds = Rs. 163,000 – 1,000 = Rs. 162,000

Accumulated depreciation	Rs.
Depreciation year 1 (Rs. 216,000 – 24,000) / 8 years = 24,000 x 7/12	14,000
Depreciation year 2 ➔ Rs. 24,000 x 12/12	24,000
Depreciation year 3 ➔ Rs. 24,000 x 12/12	24,000
Depreciation year 4 ➔ Rs. 24,000 x 8/12	16,000
	78,000

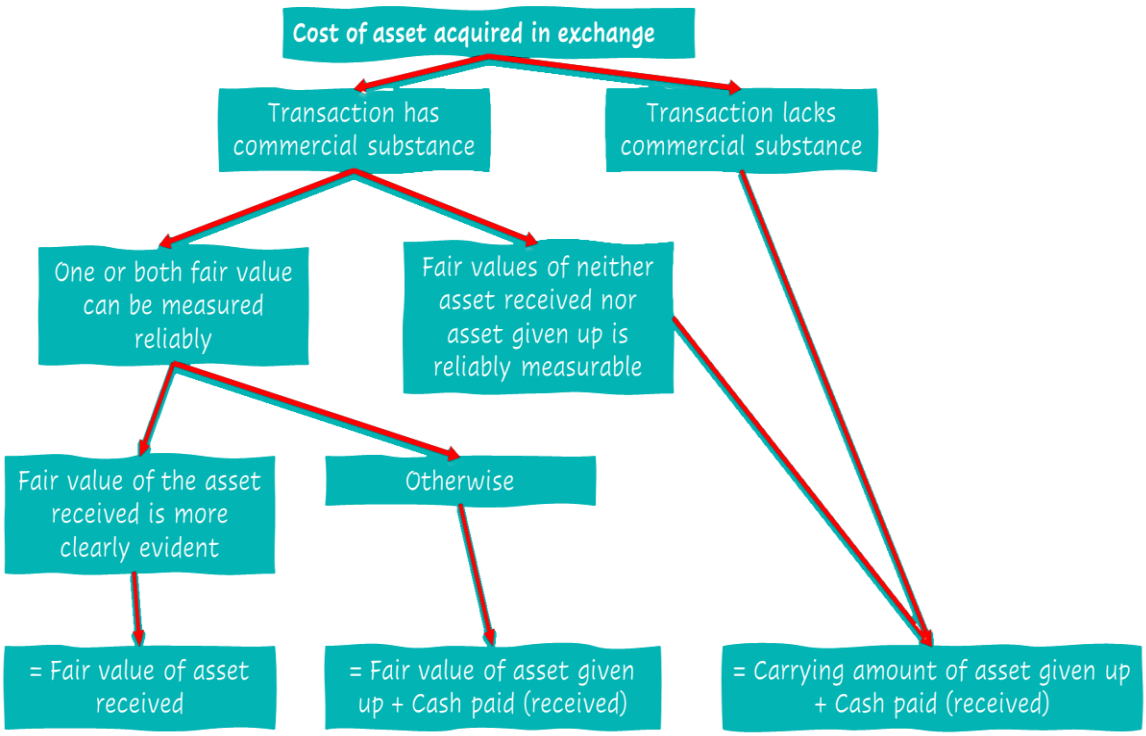
Carrying amount = Rs. 216,000 – 78,000 = Rs. 138,000
Gain on disposal = Rs. 162,000 – 138,000 = Rs. 24,000

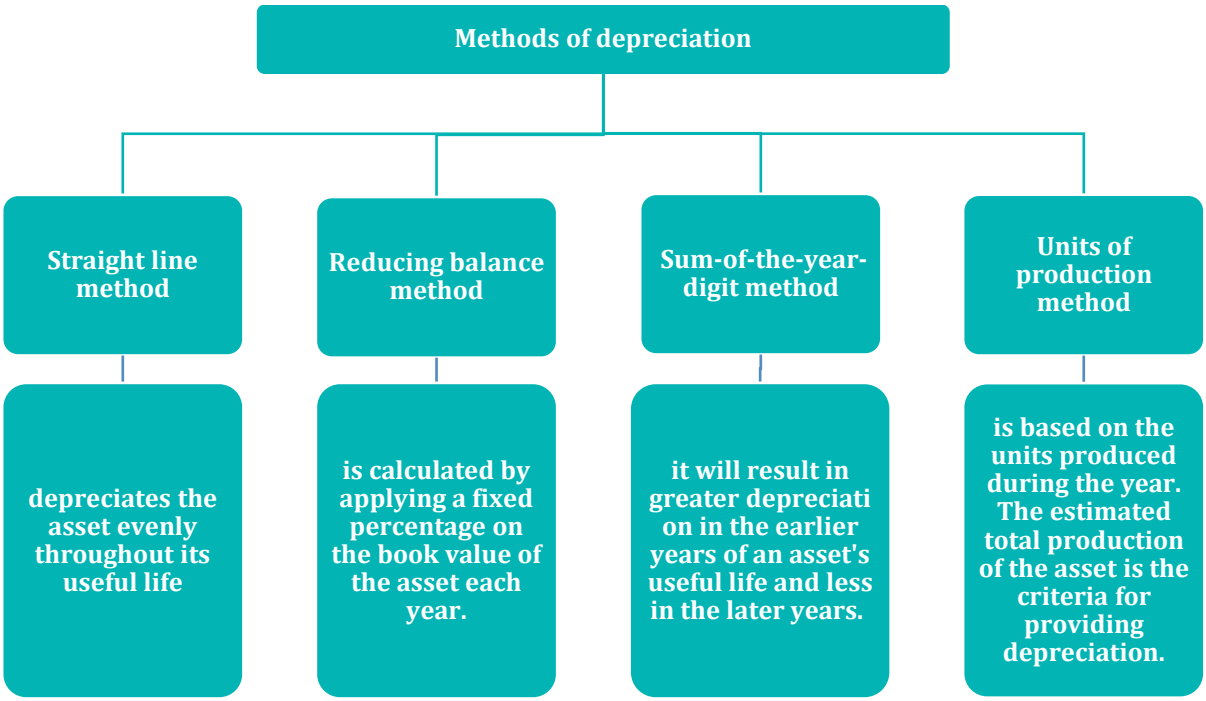
39.	(b)	Change in depreciation method is change in accounting estimate.

40.	(b)	Gain or loss is recognised in profit or loss		
41.	(c)	Useful life is reviewed annually at each financial year end, at least.		
42.	(b)	Rs. 575,000		
43.	(b)	Rs. 4 million can be currently obtained from disposal of 6 year old similar machine		
44.	(c)	Previous depreciation expense	(100 – 10) / 6 years	= Rs. 15m
		Depreciation expense now	(120 – 15) / 3 years	= Rs. 35m
		Excess depreciation	35 – 15	= Rs. 20m
45.	(a)	Other items are also disclosure requirement but not for revalued assets.		

STICKY NOTES

Elements of cost	
Purchase price	Including non-refundable taxes Excluding discounts, rebates and interest due to deferred settlement terms (cost is cash price equivalent)
Directly attributed costs	Costs for bringing the asset to the location and condition necessary for it to be capable of operating in the manner intended by management. Examples: ▪ Employee benefits costs (construction or acquisition); ▪ costs of site preparation; ▪ initial delivery and handling costs; ▪ installation and assembly costs; ▪ costs of testing; and ▪ professional fees.
Dismantling	the initial estimate of the costs of dismantling and removing the item and restoring the site on which it is located.





Formula of methods of Depreciation

Formula: Straight-line method

$$\text{Depreciation charge} = \frac{\text{Cost of asset less expected residual value}}{\text{Expected useful life (years)}}$$

Formula: Reducing balance method

$$\text{Depreciation charge} = \text{Carrying amount at the start of the year} \times \text{Fixed \%}$$

Formula: Sum of the years digits method

$$\text{Sum of digits} = \frac{n(n+1)}{2}$$

Where:

n = the useful life at the start of ownership

Formula: Units of production method

$$\text{Depreciation charge} = \frac{\text{Cost of asset less expected residual value}}{\text{Expected total output of asset over its life}} \times \text{Output this year}$$

Accounting entries with disposal account

1.	Transfer the cost of non-current asset disposed (or given in exchange)	Debit Disposal account Credit PPE (old)
2.	Transfer the accumulated depreciation of asset disposed (or given in exchange)	Debit Accumulated depreciation Credit Disposal account
3.	Disposal proceeds / cash received from disposal or part exchange	Debit Bank / Receivable Credit Disposal account
4.	Part-exchange (asset received)	Debit PPE (new) Credit Disposal account
5.	Disposal costs incurred	Debit Disposal account Credit Bank /payable
6.	Cash paid in part exchange	Debit Disposal account Credit Bank /payable
7.	Gain on disposal	Debit Disposal account Credit Gain (profit or loss)
	Loss on disposal	Debit Loss (profit or loss) Credit Disposal account

Recognition of gain (loss) on revaluation (Summary)

RECOGNITION OF GAIN / LOSS	
Asset carried at cost revalued upwards	OCI (and added to Revaluation Surplus)
Asset carried at surplus revalued downwards	OCI ***[up to the balance in revaluation surplus account*]*** SPL [Remaining amount, if any] ****Consider impact of incremental depreciation.***
Asset carried at cost revalued downwards	SPL
Asset carried at deficit revalued upwards	SPL ***[up to the reversal of impairment/revaluation loss*]*** OCI [Remaining amount, if any] *= Loss recognised in PL – depreciation decrease due to loss

Key disclosure categories

1.	General disclosures with reconciliation of each class of PPE
2.	Disclosures in specific circumstances (restrictions on title, capital work in progress, contractual commitment, compensation from third parties)
3.	Specific disclosures for revalued assets (carrying amount under cost model, effective date of revaluation, independent valuer, movement in revaluation surplus).
4.	Additional disclosures (temporarily idle PPE, fully depreciated PPE, retired from use PPE and fair value)

CHAPTER 4

IAS 40 INVESTMENT PROPERTY

IN THIS CHAPTER:

AT A GLANCE

SPOTLIGHT

1. Definitions and classification
2. Recognition and measurement
3. Transfers
4. Disclosure
5. Comprehensive Examples
6. Objective Based Q&A

STICKY NOTES

AT A GLANCE

Investment property is land or building or any part of land and building held for capital appreciation or rental to others or both.

Investment property is classified and presented separately from other non-current assets because it generates cash flows that are largely independent of other assets held by an entity.

The investment property is initially measured at cost which is sum of the purchase price and other directly attributable cost incurred at the time of acquisition.

There is choice of accounting policy for subsequent measurement:

- Cost model: measured at cost less accumulated depreciation and accumulated impairment losses (same as IAS 16).
- Fair value model: measured at fair value at each reporting date and fair value gain or loss is charged to profit or loss account. No depreciation is charged (different from revaluation model under IAS 16).

The investment property will be derecognised when sold and gain or loss on disposal will be charged to profit or loss.

IAS 40 also prescribes accounting treatment of transfers of investment property to/from owner-occupied property (IAS 16) and inventory (IAS 2).

Such transfer is allowed only when there is change in use of property i.e., when the property meets or ceases to meet the definition of investment property.

When an entity uses the cost model for investment property, transfers to/from investment property do not change the carrying amount of the property transferred. However, in case fair value model is used for investment property, IAS 40 provides guidance on deemed transfer value and accounting treatment of difference arising on such transfer.

1 DEFINITIONS AND CLASSIFICATION

1.1 Definitions [IAS 40: 5, 8 & 9]

Investment property is:

- property (land or a building—or part of a building—or both);
- held to earn rentals or for capital appreciation or both;
- rather than for use in the production or supply of goods or services or for administrative purposes, or sale in the ordinary course of business.

Owner-occupied property is property held:

- for use in the production or supply of goods or services; or
- for administrative purposes.

The following are examples of investment property:

a) land held for long-term capital appreciation rather than for short-term sale in the ordinary course of business.

b) land held for a currently undetermined future use i.e., if an entity has not determined that it will use the land as owner-occupied property or for short-term sale in the ordinary course of business, the land is regarded as held for capital appreciation.

c) a building owned by the entity and leased out under one or more operating leases (rental arrangement).

d) a building that is vacant but is held to be leased out under one or more operating leases.

e) property that is being constructed or developed for future use as investment property.

The following are examples of items that are not investment property and are therefore outside the scope of IAS 40:

a) property intended for sale in the ordinary course of business;

b) property in the process of construction or development for sale in the ordinary course of business;

c) property acquired exclusively with a view to subsequent disposal in the near future;

d) property acquired exclusively for development and resale;

e) owner-occupied property;

f) property held for future use as owner-occupied property;

g) property held for future development and subsequent use as owner-occupied property;

h) property occupied by employees (whether or not the employees pay rent at market rates); and

i) owner-occupied property awaiting disposal.

1.2 Why separate classification is necessary? [IAS 40: 7]

Investment property is held to earn rentals or for capital appreciation or both. Therefore, an investment property generates cash flows largely independently of the other assets held by an entity. This distinguishes investment property from owner-occupied property.

The production or supply of goods or services (or the use of property for administrative purposes) generates cash flows that are attributable not only to property, but also to other assets used in the production or supply process. IAS 16 applies to owned owner-occupied property.

1.3 Property portions held for different purposes [IAS 40: 10]

Some properties comprise a portion that is held to earn rentals or for capital appreciation and another portion that is held for use in the production or supply of goods or services or for administrative purposes.

Separable portions	If these portions could be sold separately, an entity accounts for the portions separately.
Non-separable portions	If the portions could not be sold separately, the property is investment property only if an insignificant portion is held for use in the production or supply of goods or services or for administrative purposes.

1.4 Impact of ancillary services [IAS 40: 11 to 14]

In some cases, an entity provides ancillary services to the occupants of a property it holds.

If the Services are Insignificant to the arrangement as a whole	Classification: Investment Property Example: The owner of an office building provides security and maintenance services to the tenants who occupy the building.
If the Services are Significant to the arrangement as a whole	Classification: Not Investment Property Example: An entity owns and manages a hotel and services provided to guests are significant to the arrangement as a whole.

It may be difficult to determine whether ancillary services are significant to the arrangement as a whole and judgement is needed to determine whether a property qualifies as investment property. Therefore, an entity is required to develop (and disclose) criteria for investment property classification so that it can exercise that judgement consistently.

2 RECOGNITION AND MEASUREMENT

2.1 Recognition principle [IAS 40: 16 to 19]

The recognition principle is similar to that of property, plant and equipment. An owned investment property shall be recognised as an asset when, and only when:

a) it is probable that the future economic benefits that are associated with the investment property will flow to the entity; and

b) the cost of the investment property can be measured reliably.

These costs include costs incurred initially to acquire an investment property and costs incurred subsequently to add to, replace part of, or service a property. The costs of the day-to-day servicing 'repairs and maintenance' of an investment property are recognised in profit or loss as incurred.

Parts of investment properties may have been acquired through replacement. For example, the interior walls may be replacements of original walls. In this case, recognise the new parts (if it meets recognition criteria) and derecognize the replaced parts.

2.2 Measurement at recognition [IAS 40: 20 to 27]

An owned investment property shall be measured initially at its cost. Transaction costs shall be included in the initial measurement.

The cost of a purchased investment property comprises its purchase price and any directly attributable expenditure. Directly attributable expenditure includes, for example, professional fees for legal services, property transfer taxes and other transaction costs.

The cost of an investment property is not increased by:

a) start-up costs (unless necessary to bring the property to the condition necessary for it to be capable of operating in the manner intended by management);

b) operating losses incurred before the investment property achieves the planned level of occupancy; or

c) abnormal waste incurred in constructing or developing the property.

The accounting treatment for exchange of assets is same as those applied under IAS 16.

2.3 Measurement after recognition [IAS 40: 30, 31 & 56]

After initial recognition an entity may choose as its accounting policy:

- the fair value model; or
- the cost model (in accordance with the requirements of IAS 16).

The chosen policy must be applied to all the investment property. A voluntary change in policy shall be made only if the change results in financial statement providing reliable and more relevant information, and such change shall be retrospectively adjusted in accordance with the requirements of IAS 8. IAS 40 states that a change from the fair value model to the cost model is unlikely to result in a more appropriate presentation.

2.4 Fair value model [IAS 40: 32 & 35]

Under the fair value model:

- all investment property is remeasured at fair value at the end of each period;
- any resulting fair value gain or loss is recognised in profit or loss for the period; and
- the property would not be depreciated.

This is different to the revaluation model of IAS 16, where gains are reported in other comprehensive income and accumulated as a revaluation surplus.

▶ *Example 01:*

On 1 January Year 1 Entity P purchased a building for its investment potential. The building cost Rs. 1,000,000 with transaction costs of Rs. 10,000. The depreciable amount of the building component of the property at this date was Rs. 300,000. The property has a useful life of 50 years.

At the end of Year 1 the property's fair value had risen to Rs. 1,300,000.

Required:

How the above property shall be presented at the end of year 1 under:

a) cost model; and

b) fair value model.

▶ *Answer:*

Part (a) Cost model

SFP (extracts)		Rs.
Cost	[Rs. 1,000,000 + 10,000]	1,010,000
Accumulated depreciation	[Rs. 300,000 / 50 years]	(6,000)
Investment property		**1,004,000**

SPL (extracts)		Rs.
Depreciation	[Rs. 300,000 / 50 years]	(6,000)

Part (b) Fair value model

SFP (extracts)		Rs.
Investment property	[at fair value]	1,300,000

SPL (extracts)		Rs.
Gain on property valuation	[Rs. 1,300,000 – 1,010,000]	290,000

IAS 40 requires all entities to measure the fair value of investment property, for the purpose of either measurement (if the entity uses the fair value model) or disclosure (if it uses the cost model). An entity is encouraged, but not required, to measure the fair value of investment property on the basis of a valuation by an independent valuer who holds a recognised and relevant professional qualification and has recent experience in the location and category of the investment property being valued.

2.5 Disposal [IAS 40: 66 & 69]

An investment property shall be derecognised:

- on disposal; or
- when the investment property is permanently withdrawn from use and no future economic benefits are expected from its disposal.

Gains or losses arising from the retirement or disposal of investment property shall be determined as the difference between the net disposal proceeds and the carrying amount of the asset and shall be recognised in profit or loss in the period of the retirement or disposal.

▶ *Example 02:*

Continuing the same data as given in *Example 01*. The investment property was sold in early Year 2 for Rs. 1,550,000, selling costs were Rs. 50,000.

Required:

Calculate the gain on disposal under:

a) cost model; and

b) fair value model.

▶ *Answer:*

Part (a) Cost model

		Rs.
Net sale proceeds	Rs. 1,550,000 – 50,000	1,500,000
Carrying amount	*[Example 01]*	1,004,000
Gain on disposal	Rs. 1,500,000 – 1,004,000	**496,000**

Part (b) Fair value model

		Rs.
Net sale proceeds	Rs. 1,550,000 – 50,000	1,500,000
Carrying amount	*[Example 01]*	1,300,000
Gain on disposal	Rs. 1,500,000 – 1,300,000	**200,000**

2.6 Inability to measure fair value reliably [IAS 40: 53 & 55]

There is a rebuttable presumption that an entity can reliably measure the fair value of investment property on a continuing basis. However, in exceptional cases following guidance is applicable:

Investment property under construction	If an entity determines that the fair value of investment property under construction is not reliably measurable but expects the fair value of the property to be reliably measurable when construction is complete, it shall measure that investment property under construction at cost until either its fair value becomes reliably measurable, or construction is completed (whichever is earlier).
Investment property (not under construction)	If an entity determines that the fair value of an investment property (other than an investment property under construction) is not reliably measurable on continuing basis, the entity shall measure that investment property using the cost model in IAS 16. The residual value of such investment property shall be assumed to be zero. The entity shall continue to apply IAS 16 until disposal of such investment property.
Previously measured at Fair value	If an entity has previously measured an investment property at fair value, it shall continue to measure the property at fair value until disposal (or transfer to owner-occupied or Inventory) even if comparable market transactions become less frequent or market prices become less readily available.

▶ *Example 03:*

Victoria owns several properties and has a year end of 31 December. Wherever possible, Victoria carries investment properties under the fair value model.

Property 1 was acquired on 1 January Year 1. It had a cost of Rs. 1 million, comprising Rs. 500,000 for land and Rs. 500,000 for buildings. The buildings have a useful life of 40 years. Victoria uses this property as its head office.

Property 2 was acquired many years ago for Rs. 1.5 million for its investment potential. On 31 December Year 7 it had a fair value of Rs. 2.3 million. By 31 December Year 8 its fair value had risen to Rs. 2.7 million. This property has a useful life of 40 years.

Property 3 was acquired on 30 June Year 2 for Rs. 2 million for its investment potential. The directors believe that the fair value of this property was Rs. 3 million on 31 December Year 7 and Rs. 3.5 million on 31 December Year 8. However, due to the specialised nature of this property, these figures cannot be corroborated. This property has a useful life of 50 years.

Required:

a) For each of the above properties briefly state how it would be treated in the financial statements of Victoria for the year ended 31 December Year 8, identifying any impact on profit or loss.

b) Produce an analysis of non-current assets for Victoria for the year ended 31 December Year 8, showing each of the above properties separately (total column not required).

▶ *Answer:*

Part (a) Treatment in the financial statements for the year ended 31 December Year 8

Property 1

This property is used by Victoria as its head office and therefore cannot be treated as an investment property. It will be treated as property, plant and equipment and will be stated at cost minus accumulated depreciation in the statement of financial position. The depreciation for the year will be charged in the statement of profit or loss.

Property 2

This is held for its investment potential and should be treated as an investment property. It will be carried at fair value i.e., Victoria's policy of choice for investment properties. It will be revalued to fair value at period-end and any resultant gain or loss shall be taken to the statement of profit or loss (Rs. 400,000 gain in Year 8).

Property 3

This is held for its investment potential and should be treated as an investment property. However, since its fair value cannot be arrived at reliably it will be held at cost minus accumulated depreciation in the statement of financial position. The depreciation for the year will be an expense in the statement of profit or loss.

This situation provides the exception to the rule whereby all investment properties must be held under either the fair value model, or the cost model.

Part (b)

Analysis on non-current assets for the year ended 31 December Year 8	Property, plant & equipment	Investment property	
	Cost model	Fair value model	Cost model
	Rs. 000	Rs. 000	Rs. 000
Cost/valuation			
On 1 January	1,000	2,300	2,000
Fair value gain	-	400	-
On 31 December	1,000	2,700	2,000
Accumulated depreciation			
On 1 January W1	87.5	-	220
For the year W1	12.5	-	40
On 31 December	100	-	260
Carrying amount	900	2,700	1,740

Note: In practice, disclosure note for property, plant and equipment and investment property are separately presented in financial statements.

W1: Depreciation		Rs. 000
Property 1 (Year 8)	Rs. 500 / 40 years	12.5
Property 1 (brought forward)	Rs. 12.5 x 7 years	87.5
Property 3 (Year 8)	Rs. 2,000 / 50 years	40
Property 3 (brought forward)	Rs. 40 x 5.5 years	220

3 TRANSFERS

3.1 Change is use [IAS 40: 57 & 58]

An entity shall transfer a property to, or from, investment property when, and only when, there is a change in use.

A change in use occurs when the property meets, or ceases to meet, the definition of investment property and there is evidence of the change in use. In isolation, a change in management's intentions for the use of a property does not provide evidence of a change in use.

Examples of evidence of a change is use	Transfer from	Transfer to
Commencement of owner-occupation, or of development with a view to owner-occupation.	Investment property	Owner-occupied property
Commencement of development with a view to sale.	Investment property	Inventories
End of owner-occupation.	Owner-occupied property	Investment property
Inception of an operating lease (rental arrangement) to another party.	Inventories	Investment property

When an entity decides to dispose of an investment property without development, it continues to treat the property as an investment property until it is derecognised (eliminated from the statement of financial position) and does not reclassify it as inventory.

3.2 Transfer to/from investment property (cost model) [IAS 40: 59]

When an entity uses the cost model, transfers between investment property, owner-occupied property and inventories do not change the carrying amount of the property transferred and they do not change the cost of that property for measurement or disclosure purposes.

3.3 Transfer to/from investment property (fair value model) [IAS 40: 60, 61, 62 & 63]

From	To	Accounting treatment
IAS 40 (at FV)	IAS 16	Fair value at the date of change of use becomes the deemed cost for future accounting purposes.
IAS 40 (at FV)	IAS 2	Fair value at the date of change of use becomes the deemed cost for future accounting purposes.
IAS 16	IAS 40 (at FV)	Apply IAS 16 revaluation model (even if policy is cost model) on the date of transfer and treat the difference in accordance with IAS 16. On subsequent disposal of the investment property, the revaluation surplus included in equity may be transferred to retained earnings.
IAS 2	IAS 40 (at FV)	Measure investment property at fair value at the date of the transfer, and any difference compared to previous carrying amount is recognised in profit or loss.

▶ *Example 04:*

Entity A has investment property carried at its fair value of Rs. 1,000,000 on 1 January 2019 with remaining useful life of 10 years. Entity A uses fair value model under IAS 40.

On 30 June 2019, it was decided to use the building for administration rather than keeping it for investment potential. At this date the fair value was Rs. 1,200,000.

Entity A uses cost model under IAS 16. On 31 December 2019 (year-end), the value of property has increased to Rs. 1,300,000.

Required:

Journal entries for the year ended 31 December 2019.

Answer:

Journal entries

Date	Particulars	Debit Rs.	Credit Rs.
30 Jun 2019	Investment property	200,000	
	Investment income/gain (PL)		200,000
30 Jun 2019	Property, plant and equipment	1,200,000	
	Investment property		1,200,000
31 Dec 2019	Depreciation [Rs. 1,200,000 / 9.5 x 6/12]	63,158	
	Accumulated depreciation		63,158

Here, Entity A applies cost model. In case Entity A had policy of applying revaluation model, the gain of Rs. 163,158 (i.e., Rs. 1,300,000 – (1,200,000 – 63,158) would be recognised in other comprehensive income.

Example 05:

Entity B has investment property carried at its fair value of Rs. 1,000,000 on 1 January 2019 with remaining useful life of 10 years. Entity B uses fair value model under IAS 40.

On 30 June 2019, board of directors decided to develop the property and started commencement of development and use it for sale of plots. At this date the fair value was Rs. 1,200,000. On 31 December 2019 (year-end), the value of property has increased to Rs. 1,300,000.

Required:

Journal entries for the year ended 31 December 2019.

Answer:

Journal entries

Date	Particulars	Debit Rs.	Credit Rs.
30 Jun 2019	Investment property	200,000	
	Investment income/gain (PL)		200,000
30 Jun 2019	Inventories	1,200,000	
	Investment property		1,200,000

No adjustment required at year-end unless NRV of inventory is lower as compared to its cost of Rs. 1,200,000.

Example 06:

Entity C has property being used as warehouse carried at Rs. 1,000,000 on 1 January 2019 with remaining useful life of 10 years. Entity C uses cost model under IAS 16 for its properties.

On 30 June 2019, property was vacated, and management decided to keep it for investment potential. At this date the fair value was Rs. 1,200,000. Entity C uses fair value model under IAS 40.

On 31 December 2019 (year-end), the value of property has increased to Rs. 1,300,000. Transfer from revaluation surplus to retained earnings is made at the time of disposal only.

Required:

Journal entries for the year ended 31 December 2019.

▶ *Answer:*

Journal entries

Date	Particulars	Debit Rs.	Credit Rs.
30 Jun 2019	Depreciation [Rs. 1,000,000 / 10 x 6/12]	50,000	
	Accumulated depreciation (PPE)		50,000
30 Jun 2019	PPE [Rs. 1,200,000 – (1,000,000 – 50,000)]	250,000	
	Gain on revaluation (OCI)		250,000
30 Jun 2019	Investment property	1,200,000	
	Property, plant and equipment		1,200,00
31 Dec 2019	Investment property	100,000	
	Investment income/gain (PL)		100,000

▶ *Example 07:*

Entity D has commercial shop held for resale in its ordinary course of property business carried at Rs. 1,000,000 on 1 January 2019.

On 30 June 2019, it was given on rent to a local business rather than keeping it for resale. At this date the fair value was Rs. 1,200,000. On 31 December 2019 (year-end), the value of property has increased to Rs. 1,300,000. Entity D uses fair value model under IAS 40.

Required:

Journal entries for the year ended 31 December 2019.

▶ *Answer:*

Journal entries

Date	Particulars	Debit Rs.	Credit Rs.
30 Jun 2019	Investment property	1,200,000	
	Inventory		1,000,000
	Profit or loss		200,000
31 Dec 2019	Investment property	100,000	
	Investment income / gain (PL)		100,000

Note: The rent income shall also be recognised in profit or loss.

3.4 Completion of self-constructed investment property [IAS 40: 65]

When an entity completes the construction or development of a self-constructed investment property that will be carried at fair value, any difference between:

- the fair value of the property at that date; and
- its *previous carrying amount*

shall be recognised in profit or loss.

4 DISCLOSURE

4.1 General disclosure (both models) [IAS 40: 75]

An entity shall disclose:

a) whether it applies the fair value model or the cost model;

b) when classification is difficult, the criteria it uses to distinguish investment property from owner-occupied property or inventory;

c) the extent to which the fair value (as measured or disclosed in the financial statements) of investment property is based on a valuation by an independent valuer who holds a recognised and relevant professional qualification and has recent experience in the location and category of the investment property being valued. If there has been no such valuation, that fact shall be disclosed;

d) the existence and amounts of restrictions on the realisability of investment property or the remittance of income and proceeds of disposal; and

e) contractual obligations to purchase, construct or develop investment property or for repairs, maintenance or enhancements.

An entity shall also disclose the amounts recognised in profit or loss for:

a) rental income from investment property; and

b) direct operating expenses (including repairs and maintenance) arising from investment property:

- that generated rental income during the period; and
- that did not generate rental income during the period.

4.2 Additional disclosure (fair value model only) [IAS 40: 76 & 78]

An entity shall disclose a reconciliation between the carrying amounts of investment property at the beginning and end of the period, showing the following:

a) additions (acquisitions & subsequent expenditure separately);

b) disposals;

c) net gains or losses from fair value adjustments;

d) transfers; and

e) other changes.

For investment properties included at cost model because fair value cannot be measured reliably, in addition, an entity shall disclose:

- a description of the investment property;
- an explanation of why fair value cannot be measured reliably;
- if possible, the range of estimates within which fair value is highly likely to lie; and
- the fact of disposal of such investment property, its carrying amount and gain or loss on disposal.

4.3 Additional disclosure (cost model only) [IAS 40: 79]

An entity shall disclose:

- the depreciation methods used;
- the useful lives or depreciation rates used; and
- gross carrying amounts and accumulated depreciation at the beginning and at the end of the period.

reconciliation between opening and closing values showing:

- additions (acquisitions & subsequent expenditure separately);
- depreciation;
- disposals;
- impairment losses and reversal thereof;
- transfers; and
- other changes.

When the cost model is used, the fair value of investment property shall be disclosed. If the fair value cannot be estimated reliably, the same additional disclosures should be made as are disclosed under the fair value model for investment properties included at cost model because fair value cannot be measured reliably.

5 COMPREHENSIVE EXAMPLES

▶ *Example 08:*

You have recently joined as the finance manager of Corv Limited (CL). While reviewing the draft financial statements for the year ended 31 December 2020 prepared by the junior accountant, you have noted that CL acquired a three-story building on 1 March 2020. CL uses the ground floor for its marketing department while remaining two floors were in excess of CL's need and therefore were rented out. The first floor was rented out on 1 June 2020 and the second floor was rented out on 1 December 2020.

The accountant has recorded the building as property, plant and equipment. The depreciation on ground, first and second floors has been computed from 1 March 2020, 1 June 2020 and 1 December 2020 respectively.

The accounting policy of CL is to carry land and building at fair value (wherever permitted by IFRS).

Required: Discuss how the above issue should be dealt in the financial statements of CL for the year ended 31 December 2020 in accordance with the requirements of IFRSs.

▶ *Answer:*

The accounting treatment adopted by accountant to record complete building under PPE head is incorrect. Two floors which have been leased/rented out separately should be accounted for as investment property. While ground floor used by marketing department should be recorded as property, plant and equipment under IAS 16 and depreciated over its useful life and any revaluation surplus on this floor should be recorded in OCI

As per CL policy, investment property should be recorded at fair value and changes in fair value should be taken to statement of profit or loss. Any depreciation already charged on these floors should be reversed.

▶ *Example 09:*

Both IAS 16 'Property, Plant and Equipment' and IAS 40 'Investment Property' deal with tangible non-current assets of an entity. Discuss any four differences between IAS 16 and IAS 40.

▶ *Answer:*

Sr#	IAS 16	IAS 40
(i)	Applicable to tangible assets held for use in business including owner occupied property.	Applicable to property held to earn rental or for capital appreciation.
(ii)	Allows cost or revaluation model for subsequent remeasurement.	Allows cost or fair value model for subsequent remeasurement.
(iii)	Changes in fair value are taken to other comprehensive income and/or profit or loss.	Changes in fair value are taken to profit or loss only.
(iv)	Assets under revaluation model are depreciated.	Assets under fair value model are not depreciated.

▶ *Example 10:*

Following information pertains to non-current assets of Distaghil Limited (DL):

i. DL purchased specialised vehicles for Rs. 370 million on 1 July 2017. The vehicles have an estimated useful life of 10 years with residual value of Rs. 30 million.

   The revalued amounts of the vehicle as at 31 December 2018 and 2019 were determined at Rs. 302 million and Rs. 290 million respectively. There was no change in useful life or residual value.

ii. DL setup a manufacturing plant in a remote area at a cost of Rs. 280 million. The plant had a useful life of 8 years. The plant was purchased on 1 January 2018 and was available for use on 1 April 2018. The commercial production started on 1 June 2018.

On 1 July 2018, DL received a government grant of Rs. 120 million towards the cost of the plant. The sanction letter states that if DL ceases to use the plant in the remote area before 31 December 2021, DL would be required to repay the grant in full.

iii. A warehouse was given on rent on 1 January 2018. Previously, the warehouse was in use of DL.

On 1 January 2018, carrying value and remaining useful life of the warehouse was Rs. 80 million and 16 years respectively. Fair value of the warehouse on various dates are as follows:

	Rs. in million
01 January 2018	104
31 December 2018	96
31 December 2019	115

Other information:

- DL uses cost model for subsequent measurement of property, plant and equipment except for specialised vehicles for which revaluation model is used.
- DL transfers the maximum possible amount from the revaluation surplus to retained earnings on an annual basis.
- Government grant is recorded as deferred income and a part of it is transferred to income each year.
- Investment property is carried at fair value model.

Required:

Prepare relevant extracts from DL's statement of profit or loss and other comprehensive income for the year ended 31 December 2019 and statement of financial position as on that date. ***(Show comparative figures)***

▶ *Answer:*

Distaghil Limited

Extracts from statement of financial position as on 31 December 2019

		2019	2018
		---- Rs. in million ----	
Non-current assets:			
Property, plant and equipment:			
• Vehicles	**(W-1)**	290.00	302.00
• Plant	**(W-2)**	218.75	253.75
Investment property		115.00	96.00
Share capital and reserves:			
Revaluation surplus:			
• Vehicles		5.00	-
• Warehouse		24	24

		2019	2018
		---- Rs. in million ----	
Non-current liabilities:			
Deferred government grant	**(W-2)**	78.75	93.75
Current liabilities			
Deferred government grant		15	15

Extracts from statement of profit or loss and other comprehensive income

For the year ended 31 December 2019

		2019	2018
		------ Rs. in million ------	
Profit or loss:			
Depreciation:			
• Vehicles	**(W-1)**	(32.00)	(34.00)
• Plant	**(W-2)**	(35.00)	(26.25)
Impairment / Revaluation loss – vehicles	**(W-1)**	-	(17.00)
Revaluation gain - vehicles	**(W-1)**	15.00	
Grant income – Plant	**(W-2)**	15.00	11.25
Fair value gain (**2019**: 115–96), (**2018**: 96–104)		19.00	(8.00)
Other comprehensive income:			
Revaluation surplus:			
• Vehicles	**(W-1)**	5.00	
• Warehouse	(104–80)	-	24.00

W-1: Vehicles		**Rs. in million**
Purchased on 1 July 2017		370
Depreciation for 2017	(370–30) ÷10× (6÷12)	(17)
Book value on 31 December 2017		353
Depreciation for 2018	(370–30) ÷10	(34)
Book value on 31 December 2018 before revaluation		319
Revaluation loss	**Balancing**	(17)
Revalued amount on 31 December 2018		302
Depreciation for 2019	(302–30) ÷8.5	(32)
Book value on 31 December 2019 before revaluation		270

W-1: Vehicles		Rs. in million
Revaluation gain to P&L	[17-(34-32) x 1] Or 17× (7.5÷8.5)	15
Revaluation surplus	**Balancing**	5
Revalued amount on 31 December 2019		**290**

W-2: Plant and government grant		Plant	Gov. grant
		---- Rs. in million ----	
Initial balance		280.00	120.00
Depreciation for 2018	(280÷8) × (9÷12)	(26.25)	
Grant income for 2018	(120÷8) × (9÷12)		(11.25)
Balance on 31 December 2018		253.75	108.75
Depreciation for 2019	280÷8	(35.00)	
Grant income for 2019	120÷8		(15.00)
Balance on 31 December 2019		**218.75**	**93.75**

▶ *Example 11:*

Following information pertains to non-current assets of GnuCash Limited (GL):

i. GL purchased a manufacturing plant for Rs. 340 million on 1 January 2021. On that date, the plant had an estimated useful life and residual value of 13 years and Rs. 60 million respectively. The revalued amounts and residual value were as follows:

	Revalued amount	Residual value
	---------- Rs. in million ----------	
30 June 2021	304	54
30 June 2022	315	44

ii. A warehouse owned by GL was given on rent on 1 January 2022. Previously, the warehouse was in use of GL.

The warehouse was acquired by GL on 1 July 2019 at a cost of Rs. 200 million and is being depreciated @ 10% per annum on reducing balance method.

Fair value of the warehouse on various dates are as follows:

	Rs. in million
1 January 2022	206
30 June 2022	214

Rentals earned for the year ended 30 June 2022 amounted to Rs. 10 million out of which Rs. 6 million is still outstanding.

iii. GL acquired a property comprising of three similar showrooms at a total cost of Rs. 900 million on 1 October 2021. 40% of the cost of property is attributable to the value of land. Each of the showroom can be leased out separately and has a useful life of 15 years with no residual value.

GL is using one showroom for its own products while the other showrooms were held to be leased out. On 1 March 2022, the two showrooms were given on monthly rent of Rs. 4 million.

The fair value of each showroom is increasing by Rs. 3 million each month.

Other information:

- Cost model is used for subsequent measurement of all property, plant and equipment except for manufacturing plant for which revaluation model is used.
- Maximum possible amount is transferred from the revaluation surplus to retained earnings on an annual basis.
- Fair value model is used for subsequent measurement of all investment properties.

Required:

Prepare notes on 'Property, Plant and Equipment' and 'Investment Property', for inclusion in GL's financial statements for the year ended 30 June 2022. *(Comparative figures and column for total are not required)*

▶ *Answer:*

GnuCash Limited

Notes to the financial Statements for the year ended 30 June 2022

Note 1: Property, plant and equipment	Manufacturing plant (W1)	Ware house (W2)	Showroom land (W3)	Showroom building (W3)
	Rs. m	Rs. m	Rs. m	Rs. M
Gross carrying amount				
1 July	304	200	-	-
Additions	-	-	120	180
Revaluation (Adj)	(20.8)	(46.1)	-	-
Revaluation gain (loss)	31.8	52.1	-	-
Transfer to investmetn property	-	(206)	-	-
30 June	315	0	120	180
Accumulated depreication				
1 July	0	38	-	-
For the year	20.8	8.1	-	9
Revaluation (Adj)	(20.8)	(46.1)	-	-
30 June	0	0	0	9
Carrying amount	315	0	120	171

Note 1: Property, plant and equipment	Manufacturing plant (W1) Rs. m	Ware house (W2) Rs. m	Showroom land (W3) Rs. m	Showroom building (W3) Rs. M
Measurement model	Revaluation	Cost	Cost	Cost
Depreciation method	Straight line	Reducing balance	N/A	Straight line
Useful life / Dep. rate	12.5 years	10%	N/A	15 years
Carrying value: cost model	Rs. 306.2 m			
Effective date of revaluation	30 June 2022			
Independent valuer				
Movement in revaluation surplus				
1 July 2021	0			
Revaluation gain (OCI)	8.8			
30 June 2022	8.8			

Note 2: Investment property	Warehouse (W2) Rs. m	Showrooms (W3) Rs. m
1 July 2021	-	-
Transfer from owner-occupied property	206	-
Additions	-	600
Fair value gain	8	54
30 June 2022	214	654

The company uses fair value model for subsequent measurement of all assets in investment property.

The valuation of investment property was performed by _____.

The rental income from investment properties during the year amounted to Rs. 26 million (i.e. Rs. 10 million + Rs. 4 million x 4 months).

W1 – Manufacturing plant		Rs. m
Carrying amount 30 June 2021	[340 – ((340-54)/13 x 6/12)]	329
Carrying amount 30 June 2022	[329 – ((329-44) / 12.5 years] Cost model	306.2
Revaluation loss (PL) 2021	[304 – 329]	25
Depreciation 2022	[(304 – 44) / 12.5 years]	20.8
Revaluation gain (OCI) 2022	[315 – 306.2]	8.8

W1 – Manufacturing plant (Alternative calculation)		Rs. m
Total gain	[315 – (304 – 20.8)]	31.8
Reversal in PL	[25 – 25/12.5 years]	23
Gain in OCI	[31.8 – 23]	8.8

W2 – Warehouse		Rs. m
Accumulated dep. 1 July 2021	[200 – (200 x 90% x 90%)]	38
Depreciation year 2022	[(200 – 38) x 10% x 6/12]	8.1
Revaluation gain at transfer	[206 – (200 – 38 – 8.1)]	52.1
Gain on investment property	[214 – 206]	8

W3 – Showroom		Rs. m
PPE (land)	[900 x 1/3 x 40%]	120
PPE (building)	[900 x 1/3 x 60%]	180
Depreciation	[180 / 15 years x 9/12]	9
Investment property	[900 x 2/3]	600
Gain on fair value	[3 x 2 showrooms x 9 months]	54

Example 12:

Following information pertains to non-current assets of Mesopotamia Limited (ML):

Asset (i)

On 1 July 2019, ML acquired a warehouse at a cost of Rs. 300 million and was immediately given on rent to a third party. On 1 January 2022, ML commenced the development work on its warehouse with a view to put it in own use. The development work was completed on 31 March 2022 at a cost of Rs. 50 million. ML started using the warehouse for its inventory on 1 May 2022. Fair value of the warehouse on various dates are as follows:

	31 Dec 2020	31 Dec 2021	31 Mar 2022	31 Dec 2022
Rs. in million	316	344	352	366

Depreciation is charged on warehouse at a rate of 10% per annum using the reducing balance method.

Asset (ii)

On 1 January 2020, ML purchased a heavy duty vehicle for Rs. 360 million. On purchase date, the vehicle had an estimated useful life and residual value of 5 years and Rs. 72 million respectively.

During 2022, ML has decided to change the depreciation method for vehicles from reducing balance to straight line.

Asset (iii)

On 1 June 2021, ML started construction of an office building. The building was available for use on 1 October 2022 and was immediately put into use. Details of the construction costs incurred are as under:

Payment date	Rs. in million	Sources (See below)
1 May 2021	140	A
1 January 2022	*100	A & B
1 April 2022	70	C
1 August 2022	160	D
		470

*The bill from the contractor was received on 1 December 2021.

These payments were financed through the following sources:

(A)	A short term loan of Rs. 200 million obtained on 1 April 2021 from Bank A at the rate of 16% per annum. The surplus funds available from the loan were invested in a saving account at 10% per annum. On 1 March 2022, ML repaid the loan using the proceeds received from a right issue of shares.
(B)	Excess cash available with ML in current bank accounts.
(C)	Withdrawals from its short term investments earning a profit of 12% per annum.
(D)	Withdrawals from a running finance facility from Bank B carrying interest at 14% per annum. The facility is also used for working capital needs.

Depreciation is charged on office building using straight line method over the estimated useful life of 20 years.

Additional information:

- Cost model is used for subsequent measurement of all property, plant and equipment.
- Fair value model is used for subsequent measurement of all investment properties.

Required:

Prepare relevant extracts **(including comparative figures)** from ML's statement of profit or loss for the year ended 31 December 2022 and statement of financial position as on that date.

▶ *Answer:*

Mesopotamia Limited			
Statement of profit or loss		**2022**	**2021**
For the year ended 31 December 2022		**Rs. m**	**Rs. m**
Fair value gain: Warehouse	W1A	-	28
Depreciation: Warehouse	W1B	(29.55)	-
Depreciation: Vehicle	W2	(39.04)	(71.81)
Depreciation: Building	W3	(6.18)	-
Interest expense	W3	-	(5.33)
Interest income	W3	-	2.17
Statement of financial position			
Mesopotamia Limited (ML):			
As at 31 December 2022			
Non-current assets			
Investment property: warehouse	W1A	-	344
Property, plant and equipment			
Warehouse	W1B	364.45	-
Vehicle	W2	150.08	189.12
Office building	W3	488.05	-
Capital work in progress (building)	W3	-	255.17
Current liabilities			
Loan from Bank A	W3	-	200
Other payables (for building)		-	100

Working 1A: Warehouse (Investment property: Fair value model)		Rs. m
Cost [1 July 2019]		300
Fair value gain	[till 31 December 2020]	16
31 December 2020		316
Fair value gain		28
31 December 2021		344

Working 1B: Warehouse (Property, plant and equipment: Cost model)		Rs. m
Cost [fair value is deemed transfer value]		344
Development costs		50
		394
Depreciation	[394 x 10% x 9/12]	(29.55)
31 December 2022		364.45
Note: Fair value not used because cost model is applicable for PPE.		

Working 2: Vehicle		Rs. m
Cost [1 Jan 2020]		360
Depreciation (RBM)	[360 x 27.52%]	(99.07)
31 December 2020		260.93
Depreciation (RBM)	[260.93 x 27.52%]	(71.81)
31 December 2021		189.12
Depreciation (SLM)	[(189.12 - 72) / 3 years]	(39.04)
31 December 2022		150.08

$$Depreication\ \% = 1 - \sqrt[5]{\frac{72}{360}} = 27.52\%$$

Working 3: CWIP & Building		Rs. m
Expenditure 2021	[140 paid + 100 accrued]	240
Borrowing costs: (Jun to Dec)	Specific [200 x 16% x 7/12]	18.67
	Temp income [60 x 10% x 7/12]	(3.50)
		255.17
Depreciation	[not yet available for use]	0
31 December 2021		255.17
Expenditure 2022	[70 + 160]	230
Borrowing costs: (Jan & Feb)	Specific [200 x 16% x 2/12]	5.33
	Temp income [no amount left]	0
(Aug & Sep)	General [160 x 14% x 2/12]	3.73
		494.23
Depreciation	[494.23 / 20 years x 3/12]	(6.18)
31 December 2022		488.05

In profit or loss:		Rs. m
Interest expense (Apr & May 2021)	[200 x 16% x 2/12]	5.33
Interest income (April 2021)	[200 x 10% x 1/12]	1.67
Interest income (May 2021)	[(200-140) x 10% x 1/12]	0.50
		2.17

▶ *Example 13:*

The following information pertains to non-current assets of Trout Limited (TL):

Property, plant and equipment

Details of the property, plant and equipment as at 1 January 2022 are as follows:

Assets	Cost/revalued amount	Accumulated depreciation	Depreciation method	Rate/ life	Subsequent measurement
	------- Rs. in million -------				
Equipment	360	110	Reducing balance	20%	Cost
Office building	280	56	Straight line	10 years*	Revaluation

*Remaining life at the date of last revaluation

As at 1 January 2022, the revaluation surplus related to the office building amounted to Rs. 32 million. However, on 31 December 2022, due to a slump in the market, the building was again revalued by an independent valuer, and this time, the office building was valued at only Rs. 156 million.

Equipment

On 1 July 2022, a new equipment was acquired by making payment of Rs. 50 million to the supplier. In addition, an old equipment was given in exchange to the supplier. The fair values of the old and new equipment were assessed at Rs. 60 million and Rs. 105 million, respectively. The old equipment had been acquired at a cost of Rs. 80 million on 1 July 2019.

Warehouse

On 1 January 2022, TL completed construction of the warehouse at a cost of Rs. 55 million for subsequent sale to customer. However, warehouse was given on rent at an annual rent of Rs. 8 million on 1 April 2022. The fair value of the warehouse on various dates are as follows:

	Rs. in million
1 January 2022	65
1 April 2022	73
31 December 2022	80

Other information:

- TL accounts for revaluation using the net replacement value method and transfers the maximum possible amount from revaluation surplus to retained earnings on an annual basis.
- The fair value model is used for the subsequent measurement of all investment properties.

Required:

Prepare the notes on 'Property, plant and equipment' and 'Investment property' to be included in TL's financial statements for the year ended 31 December 2022.

(Comparative figures and a column for the total are not required)

Answer:

Trout Limited

Notes to the financial statements

For the year ended 31 December 2022

N1: Property, plant and equipment	Equipment	Office building
Cost	**Rs. m**	**Rs. m**
1 Jan	360	280
Addition	110	
Disposal	(80)	
Revaluation adjustment		(84)
Revaluation loss		(40)
31 December	390	156
Accumulated depreciation		
1 Jan	110	56
For the year	56.4	28
Disposal	(38.5)	
Revaluation adjustment		(84)
31 December	127.9	0
Carrying amount	262.1	156
Measurement base	Cost	Revaluation
Useful life/ depreciation rate	20%	10 years
Depreciation method	Reducing balance	Straight line
Effective date of revaluation		31 December 2022
Valuer		Independent
Carrying amount under cost model [Rs. 156m + 12 loss]		Rs. 168 m
Revaluation surplus		**Rs. m**
Opening balance		32
Transfer to retained earnings	32 / 8 years	(4)
		28
Loss on revaluation		(28)
Closing balance		0

Charge to PL = Total loss 40 – charged to OCI 28 = 12

N2: Investment property	Rs. m
1 Jan	0
Transfer from inventory	73
Fair value gain (balancing)	7
31 December	80
Measurement base	Fair value
Rental income Rs. 8m x 9/12	Rs. 6m

W1: Accumulated depreciation of old equipment		Rs. m
Depreciation 2019	[80 x 20% x 6/12]	8.0
Depreciation 2020	[(80 – 8) x 20% x 6/12]	14.4
Depreciation 2021	[(80 – 8 – 14.4) x 20% x 6/12]	11.5
		33.9
Depreciation 2022	[(80 – 33.9) x 20% x 6/12]	4.6
		38.5

W2: Depreciation expense (equipment)		Rs. m
On disposed	[(80 – 33.9) x 20% x 6/12]	4.6
On remaining	[(360 – 110) - (80 – 33.9) x 20%]	40.8
On addition	[110* x 20% x 6/12]	11.0
		56.4

*New asset = fair value of asset given up 60 + Cash paid 50 = 110

W3: Office building		
Annual depreciation	[280 / 10 years]	Rs. 28 million
Year passed	[Acc. Dep. 56 / 28 annual depreciation]	2 years
Years remaining	[10 – 2 years]	8 years
		Rs. m
Cost		280
Accumulated depreciation	[56 + 28 for the year]	(84)
		196
Revaluation loss	(balancing)	40
Fair value		156

▶ *Example 14:*

You are the finance manager of Paradox Limited (PL). The financial statements of PL for the year ended 31 December 2023 are under preparation. In the beginning of 2023, PL adopted the revaluation model for the subsequent measurement of property, plant and equipment. A new CEO has recently joined PL. He has pointed out the following non-compliances of IFRSs after reviewing the draft financial statements of PL:

i. IAS 16 does not allow selective revaluation, so all classes of property, plant and equipment should have been revalued.

ii. The adoption of the revaluation model has been accounted for as a 'Change in estimate' (i.e. prospectively) though it is a 'Change in accounting policy'.

iii. IAS 16 requires that incremental depreciation must be transferred from revaluation surplus to retained earnings but the transfer has not been made in the draft financial statements.

iv. Some vehicles have been given on rent by PL; these should have been included in investment property, but instead, they are included in property, plant and equipment.

Required:

Briefly respond to the non-compliances pointed out by the CEO.

▶ *Answer:*

i. The point raised by CEO is not correct. It is not necessary that all items of property, plant and equipment (PPE) are revalued, if an item of PPE is revalued, the entire class of PPE to which that asset belongs shall be revalued. So, selected classes of assets can be revalued but selected assets within a class cannot be revalued.

ii. The point raised by CEO is not correct. Adoption of revaluation model for property, plant and equipment is a change in accounting policy. As per IAS 8, the initial application of a policy to revalued assets in accordance with IAS 16 is not accounted for retrospectively.

iii. The point raised by CEO is not correct. The transfer of incremental depreciation each year is not compulsory. The entity can choose to transfer the whole revaluation surplus to retained earnings upon disposal of assets or as incremental depreciation over the useful life of the assets.

iv. The point raised by CEO is not correct. As per IAS 40, only land or a building can be investment property. So, vehicles whether used in business or given for rentals, should be classified as property, plant and equipment.

▶ *Example 15:*

Following information pertains to properties of Synthesia Limited (SL):

Information (i)

SL obtained possession of property A from tenants on 30 April 2023 when SL shifted its head office from property B to property A. Property B was rented out immediately. On 30 April 2023, the fair value of property A was Rs. 740 million, while the fair value of property B was determined as equal to its carrying amount.

The details of properties A and B are as follows:

Property	Date of purchase	Cost	Fair value as on 31 December	
			2023	2022
		---------- Rs. in million ----------		
A	1 January 2021	750	750	720
B	1 July 2021	500	480	440

60% of costs and fair values of both properties refer to the land element.

Information (ii)

On 1 February 2023, SL started construction of property C with a view to earn rentals in the future. The construction was completed on 30 September 2023 at a total cost of Rs. 430 million. This included Rs. 7 million and Rs. 12 million for professional fees for legal services and abnormal wastage of material during construction respectively.

Operating losses of Rs. 10 million were also incurred before the property was rented out on 1 December 2023.

Fair value of property C was determined as Rs. 380 million, Rs. 390 million and Rs. 395 million as at 30 September 2023, 1 December 2023 and 31 December 2023 respectively.

Other information:

i. Fair value model is used for subsequent measurement of all investment properties.

ii. Cost model is used for subsequent measurement of all property, plant and equipment.

iii. Depreciation is charged using the reducing balance method at a rate of 10%.

iv. Rental revenue received during 2023 and accrued at 31 December 2023 are Rs. 45 million and Rs. 6 million respectively.

v. Repair and maintenance expenses related to investment property amounted to Rs. 25 million.

vi. All fair values are determined by Alpha Brothers, an independent firm of valuers.

Required:

a) Prepare the note on 'Investment property' to be included in SL's financial statements for the year ended 31 December 2023.

- Show each property in a separate column.
- Columns for total and comparative are not required.

b) Assuming that SL follows cost model for investment properties, prepare journal entry to record transfer of property A on 30 April 2023.

▶ *Answer:*

Part (a)

Synthesia Limited

Notes to the financial statements for the year ended 31 December 2023

Note: Investment properties	A	B	C
	Rs. m	Rs. m	Rs. m
At 1 January 2023	720		
Addition [430 – 12]			418
Transfer from owner occupied property		465.3 W1	
Fair value gain (loss) (balancing)	20	14.7	(23)
Transfer to owner occupied property	(740)		
At 31 December 2023	0	480	395

1.1	Fair value model is used for the subsequent measurement of all investment properties.
1.2	The valuation of investment properties was performed by Alpha Brothers, an independent firm of valuers.
1.3	The rental income from investment properties during the year amounted to Rs. 51 million (i.e. Rs. 45 million received + Rs. 6 million accrued).
1.4	Direct operating expenses (repairs and maintenance) of Rs. 25 million were incurred during the year to generate rental income.

W1: Fair value / Carrying amount of property B on transfer		Rs. in million
Cost		500.0
Accumulated depreciation:		
Depreciation for 2021	500 × 40% = 200 × 10%×6÷12	10.0
Depreciation for 2022	(200–10)×10%	19.0
Depreciation for 2023	(200–10–19)×10%×4÷12	5.7
		(34.7)
Carrying amount		**465.3**

Part (b)

Date	Particulars	Debit Rs. m	Credit Rs. m
30 Apr 2023	Property, plant and equipment (balancing)	684.9	
	Accumulated depreciation W2	65.1	
	Investment property		750.0

W2: Accumulated depreciation for Property A		Rs. in million
Accumulated depreciation:		
Depreciation for 2021	750×40% = 300 ×10%	30.0
Depreciation for 2022	(300–30)×10%	27.0
Depreciation for 2023	(300–30–27)×10%×4÷12	8.1
		65.1

▶ *Example 16:*

Pipri Limited (PL) constructed a warehouse at a cost of Rs. 102 million, which was completed on 30 June 2022. The warehouse has a useful life of 12 years. Upon completion, 95% of the warehouse was rented out, while the remaining 5% was allocated for PL's administrative use. The warehouse's design prohibits the sale of these portions separately.

On 1 July 2023, PL discovered that the warehouse's cost mistakenly included abnormal wastage of Rs. 6 million in March 2022. PL corrected this error immediately and also changed the warehouse's subsequent measurement to the fair value model.

On 1 April 2024, PL started using the entire warehouse for its inventory storage. The fair values of the warehouse on various dates are as follows:

	I July 23	1 April 2024	30 June 2024
Rs. in million	108	114	117

Other information:

i. Depreciation is applied using the straight-line method.

ii. All items of property, plant and equipment are subsequently measured using the cost model.

Required:

Prepare the journal entries **with narrations** to be recorded in the books of PL during the year ended 30 June 2024. (Show relevant computations).

▶ *Answer:*

Pipri Limited's General Journal

Date	Particulars	Debit Rs. m	Credit Rs. m
1 Jul 2023	Retained earnings (abnormal wastage)	6	
	Investment property		6
	(To record correction of abnormal wastage capitalised in previous year)		
1 Jul 2023	Accumulated depreciation [6m / 12 years]	0.5	
	Retained earnings (Depreciation)		0.5
	(To reverse depreciation charged due to incorrect amount capitalised in previous year)		
1 Jul 2023	Accumulated depreciation [(102 – 6) / 12 years]	8	
	Retained earnings (Depreciation)		8
	(To reverse depreciation in previous years due to change of policy to fair value model)		
1 Jul 2023	Investment property [108 – (102 – 6)]	12	
	Retained earnings (fair value gain)		12
	(To record increase in fair value of investment property relating to previous year)		
1 Apr 2024	Investment property	6	
	Profit or loss (fair value gain)		6
	(To record increase in fair value of investment property in current year upto the date of transfer)		
1 Apr 2024	Property, plant and equipment	114	
	Investment property		114
	(To record transfer of warehouse from investment property to property, plant and equipment)		
30 Jun 2024	Depreciation [Rs, 114m / 10.25* years x 3/12]	2.78	
	Accumulated depreciation		2.78
	(To record depreciation at year-end)		

*Original life 12 years – 1.75 years till 1 April 2024 = 10.25 years remaining

1. OBJECTIVE BASED Q&A

1. An entity purchased an investment property on 1 January 2013 for a cost of Rs. 35m. The property had an estimated useful life of 50 years, with no residual value, and at 31 December 2015 had a fair value of Rs. 42m.

   On 1 January 2016 the property was sold for net proceeds of Rs. 40m.

   Calculate the profit or (loss) on disposal under both the cost and fair value (FV) model.

   a) Cost model: Rs. 7.1 m and FV model: (Rs. 2.0 m)
   b) Cost model: Rs. 2.0 m and FV model: Rs. 2.0 m
   c) Cost model: Rs. 5.0 m and FV model: (Rs. 2.0 m)
   d) Cost model: Rs. 7.1 m and FV model: Rs. 5.0 m

2. An investment property with a useful life of 10 years was purchased by Akram Limited on 1 January 2019 for Rs. 200 million. By 31 December 2019 the fair value of the property had risen to Rs. 300 million. Akram Limited measures its investment properties under the fair value model.

   What values would go through the statement of profit or loss in the year?

   a) Gain: Rs. 100 million and Depreciation Rs. 30 million
   b) Gain: Rs. 0 and Depreciation of Rs. 30 million
   c) Gain: Rs. 100 million and Depreciation of 0
   d) Gain: Rs. 120 million and Depreciation of Rs. 20 million

3. Which of the following properties owned by an entity would be classified as an investment property?

   a) A property that was previously in use of the entity but recently vacated for disposal
   b) Land purchased for its investment potential. Planning permission has not been obtained for building construction of any kind
   c) A new office building used as entity's head office, purchased specifically in order to exploit its capital gains potential
   d) A bungalow used for executive training

4. Sarfraz Limited (SL) uses fair value accounting where possible and has an office building used by SL for administrative purposes. At 1 April 2012 it had a carrying amount of Rs. 20 million and a remaining life of 20 years. On 1 October 2012, the property was let to a third party and reclassified as an investment property. The property had a fair value of Rs. 23 million at 1 October 2012, and Rs. 23.4 million at 31 March 2013.

   What is the correct treatment when the above property is reclassified as an investment property?

   a) Take Rs. 3,500,000 gain to other comprehensive income
   b) Take Rs. 3,500,000 gain to the statement of profit or loss
   c) Take Rs. 4,000,000 gain to other comprehensive income
   d) Take Rs. 4,000,000 gain to the statement of profit or loss

5. Cool Limited acquired a building with a 40-year life for its investment potential for Rs. 8 million on 1 January 2013. At 31 December 2013, the fair value of the property was estimated at Rs. 9 million with costs to sell estimated at Rs. 200,000.

   If Cool Limited uses the fair value model for investment properties, what gain should be recorded in the statement of profit or loss for the year ended 31 December 2013?

   a) Rs. 800,000
   b) Rs. 1,000,000
   c) Rs. 1,200,000
   d) Rs. 8,800,000

6. Under IAS 40 – Investment Property, where should a gain or loss on disposal be recognised?
   a) Statement of Financial Position
   b) Profit and loss statement
   c) Statement of changes in equity
   d) None

7. If an entity uses part of a building for their own use and rents the remainder. How should this be treated?
   a) All as investment property under IAS 40 – Investment Property
   b) All under IAS 16 – Property, Plant and Equipment
   c) Account for separately under 'IAS - 16 Property, Plant and Equipment' and 'IAS - 40 Investment Property'
   d) None of these

8. An investment property should initially be measured at?
   a) Cost
   b) Fair value
   c) Market value
   d) Net realizable value

9. If an entity wishes to change from a cost model to fair value model under IAS 40 – Investment Property, when may it do so?
   a) When the board of directors approves a change
   b) When the value of the assets will improve with a revised model
   c) When a change will result in a more appropriate presentation
   d) When the market for these properties is fluctuation

10. Which two of the following properties fall under the definition of investment property and therefore within the scope of IAS 40?
    a) Property occupied by an employee paying market rent
    b) A building owned by an entity and rented out to various tenants
    c) Property being developed with a view to resale in the ordinary course of business
    d) Land held for a currently undetermined future use

11. Afternoon Limited (AL) uses cost model for its property, plant and equipment and fair value model for its investment property. AL has an office building which was being used for administrative purposes. At 1 July 2018, the building had a carrying amount of Rs. 20 million. On that date, the building was let out to a third party and therefore reclassified as an investment property. The building had a fair value of Rs. 23 million on 1 July 2018 and Rs. 23.4 million on 30 June 2019.

    What would be the increase in the profit or loss and other comprehensive income for the year ended 30 June 2019?

	Profit or loss	**Other comprehensive income**
a)	Nil	Rs. 3.4 million
b)	Rs. 0.4 million	Rs. 3 million
c)	Rs. 3.4 million	Nil
d)	Rs. 3 million	Rs. 0.4 million

12. Which TWO of the following fall under the definition of investment property?
    a) Property occupied by an employee
    b) A building owned by an entity and leased out under an operating lease
    c) Property being constructed on behalf of third party
    d) Land held for long term appreciation

13. Under IAS 40 'Investment property', which of the following disclosures is NOT required to be made under cost model?
    a) Fair value of the property
    b) Depreciation method
    c) Reconciliation of carrying amounts at the beginning and end of a period
    d) Residual value of the property

14. Which of the following should be included in the initial cost of investment property?
    a) Cost incurred on opening ceremony to celebrate completion of property
    b) Operating losses incurred before the property achieves the planned level of occupancy
    c) Abnormal waste of materials incurred in construction of property
    d) Property transfer taxes

15. An entity purchased an investment property on 1 January 2018 for Rs. 35 million. The property had an estimated useful life of 35 years with no residual value. At 31 December 2020, the property had a fair value of Rs. 42 million. On 1 January 2021, the property was sold for net proceeds of Rs. 40 million. Calculate the profit or loss on disposal under both the cost and fair value models.

	Cost model	***Fair value model***
a)	Gain of Rs. 2 million	Gain of Rs. 2 million
b)	Gain of Rs. 8 million	Loss of Rs. 2 million
c)	Gain of Rs. 7 million	Loss of Rs. 2 million
d)	Gain of Rs. 8 million	Gain of Rs. 5 million

16. Which of the following falls under the definition of investment property?
    a) Owner occupied property awaiting disposal
    b) Property occupied by an employee
    c) Land held for undetermined use
    d) Property held for future development and subsequent use as owner-occupied property

17. Which TWO of the following properties owned by a company would be classified as investment properties?
    a) Property occupied by an employee paying market rent
    b) Land held by a company for undetermined future use
    c) Machinery held for short-term sale in the ordinary course of business
    d) Building held by a company for long-term capital appreciation

ANSWERS

01.	(a)	Under the cost model the property will be depreciated over 50 years for 3 years up to the date of disposal. Therefore, at the disposal date the carrying value would have been Rs. 35m – (Rs. 35m/50 × 3 years) = Rs. 32.9m and the profit on disposal Rs. 7.1m (Rs. 40m – Rs. 32.9). Under the fair value model, the property will not be depreciated hence the loss on disposal would be Rs. 2m (Rs. 40m – Rs. 42m).
02.	(c)	Under the fair value model, the property will not be depreciated hence the gain on valuation would be Rs. 100 million (Rs. 300 million – Rs. 200 million).
03.	(b)	Asset A is to be classified as PPE until disposal. Assets C and D would also be classified as property, plant and equipment under IAS 16.
04.	(a)	As SL uses the fair value model for investment properties, the asset should be revalued to fair value before being classed as an investment property. The gain on revaluation should be taken to other comprehensive income, as the asset is being revalued while held as property, plant and equipment. At 1 October, the carrying amount of the asset is Rs. 19.5 million, being Rs. 20 million less 6 months' depreciation. As the fair value at 1 October is Rs. 23 million, this leads to a Rs. 3,500,000 gain which will be recorded in other comprehensive income.
05.	(b)	The fair value gain of Rs. 1 million (Rs. 9m – Rs. 8m) should be taken to the statement of profit or loss. Costs to sell are ignored and, since entity uses the fair value model, no depreciation will be charged on the building.
06.	(b)	Gain or loss on disposal is recognised in profit or loss.
07.	(c)	Each portion is classified separately when separable.
08.	(a)	Initial measurement is at cost. Subsequently there is choice of cost model and fair value model.
09.	(c)	This is change in policy and will be justified only if it would result in more appropriate presentation.
10.	(b) & (d)	Property occupied by employees is considered owner occupied property and property being developed for resale is inventory.
11.	(b)	Profit or loss Rs. 0.4 million and Other comprehensive income Rs. 3 million
12.	(b) & (d)	A building owned by an entity and leased out under an operating lease & Land held for long term appreciation
13.	(d)	Residual value of the property
14.	(d)	Property transfer taxes are a directly attributable cost.
15.	(b)	Cost model Rs. 40 – (35 – 35/35 years x 3 years) = Rs. 8 million gain Fair value model Rs. 40 – 42 = Rs. 2 million loss
16.	(c)	Land held for undetermined use
17.	(b) & (d)	Land held by a company for undetermined future use Building held by a company for long-term capital appreciation

STICKY NOTES

Investment property is:

- property (land or a building—or part of a building—or both)
- held to earn rentals or for capital appreciation or both,
- rather than for use in the production or supply of goods or services or for administrative purposes, or sale in the ordinary course of business.

Fair value model

Under the fair value model:

- all investment property is remeasured at fair value at the end of each period;
- any resulting gain or loss is recognised in profit or loss for the period; and
- the property would not be depreciated.

This is different to the revaluation model of IAS 16, where gains are reported as other comprehensive income and accumulated as a revaluation surplus.

Transfers

Transfer to/from Investment property (fair value model)			
Change in use	**From**	**To**	**Deemed transfer value**
Commencement of or development with a view to owner-occupation	IAS 40 (at FV)	IAS 16	Fair value at the date of change of use becomes the deemed cost for future accounting purposes
Commencement of development with a view to sale	IAS 40 (at FV)	IAS 2	Fair value at the date of change of use becomes the deemed cost for future accounting purposes
End of owner-occupation	IAS 16	IAS 40 (at FV)	Apply IAS 16 revaluation model (even if policy is cost model) on the date of transfer and treat the difference in accordance with IAS 16.
Inception of an operating lease to another party	IAS 2	IAS 40 (at FV)	Measure the investment property at fair value at the date of the transfer, and any difference compared to previous carrying amount is recognised in profit or loss
Transfer to/from Investment property (cost model) When an entity uses the cost model, transfers between investment property, owner-occupied property and inventories do not change the carrying amount of the property transferred and they do not change the cost of that property for measurement or disclosure purposes.			

CHAPTER 5

IAS 36 IMPAIRMENT OF ASSETS

IN THIS CHAPTER:

AT A GLANCE

SPOTLIGHT

1. Introduction
2. Measuring recoverable amount
3. Recognition
4. Comprehensive Examples
5. Objective Based Q&A

STICKY NOTES

AT A GLANCE

IAS 36 prescribes the procedures that an entity applies to ensure that its assets are carried at no more than their recoverable amount. An asset is carried at more than its recoverable amount if its carrying amount exceeds the amount to be recovered through use or sale of the asset. If this is the case, the asset is described as impaired, and IAS 36 requires the entity to recognise an impairment loss.

An entity is required to assess at the end of each reporting period whether there is any indication (through internal or external sources) that an asset may be impaired. If any such indication exists, the entity shall estimate the recoverable amount of the asset. Certain assets are required to be tested for impairment irrespective of whether there is any indication of impairment.

The recoverable amount of an asset is the higher of its fair value less costs of disposal and its value in use. It is not always necessary to determine both amounts. If either of these amounts exceeds the asset's carrying amount, the asset is not impaired, and it is not necessary to estimate the other amount.

An impairment loss shall be recognised immediately in profit or loss, unless the asset is carried at revalued amount (e.g., in accordance with IAS 16). Any impairment loss of a revalued asset shall be treated as a revaluation decrease in accordance with applicable IFRS (e.g., IAS 16).

A reversal of an impairment loss for an asset shall be recognised immediately in profit or loss, unless the asset is carried at revalued amount under other IFRS (e.g., in accordance with IAS 16). Any reversal should not lead to a carrying amount of the asset in excess of what the carrying amount would have been without the recognition of impairment loss (net of depreciation).

Any increase above this amount is revaluation and shall be recognised in accordance with applicable IFRS (e.g., IAS 16). Any reversal of an impairment loss of a revalued asset shall be treated as a revaluation increase in accordance with applicable IFRS (e.g., IAS 16).

1 INTRODUCTION

1.1 Prudence concept

The concept of prudence requires that assets must not be overstated, and accordingly, IAS 36 ensures that an asset's carrying amount must not exceed its recoverable amount. Therefore, IAS 36 requires that if an asset's carrying amount exceeds its recoverable amount, then it is written down to recoverable amount by recognising impairment loss.

1.2 Key definitions [IAS 36: 6]

Impairment loss is the amount by which the carrying amount of an asset exceeds its recoverable amount.

Carrying amount is the amount at which an asset is recognised after deducting any accumulated depreciation (amortisation) and accumulated impairment losses thereon.

Recoverable amount of an asset is the higher of its fair value less costs of disposal and its value in use.

Value in use is the present value of the future cash flows (net) expected to be derived from an asset, including its eventual disposal.

Fair value is the price that would be received to sell an asset in an orderly transaction between market participants at the measurement date.

Costs of disposal are incremental costs directly attributable to the disposal of an asset, excluding finance costs and income tax expense.

▶ *Example 01:*

An asset has carrying amount of Rs. 530,000. Its value in use is Rs. 500,000 and fair value less costs of disposal is Rs. 470,000.

Required:

Calculate recoverable amount, impairment loss (if any) and carrying amount after impairment review.

▶ *Answer:*

Recoverable amount Rs. 500,000 (i.e., higher of Rs. 500,000 and Rs. 470,000).

Impairment loss Rs. 30,000 (i.e., Rs. 530,000 – 500,000)

Carrying amount after impairment review Rs. 500,000 (i.e., Rs. 530,000 – 30,000 impairment)

▶ *Example 02:*

An asset has carrying amount of Rs. 490,000. Its value in use is Rs. 500,000 and fair value less costs of disposal is Rs. 470,000.

Required:

Calculate recoverable amount, impairment loss (if any) and carrying amount after impairment review.

▶ *Answer:*

Recoverable amount Rs. 500,000 (i.e., higher of Rs. 500,000 and Rs. 470,000).

Impairment loss Rs. Nil (asset's carrying amount of Rs. 490,000 is not in excess of its recoverable amount of Rs. 500,000).

Carrying amount after impairment review Rs. 490,000 (same, no impairment).

1.3 Scope [IAS 36: 2 & 5]

IAS 36 is not applicable to various assets because IFRSs applicable to those assets have mechanism to ensure that the relevant asset is not overstated, for example:

- Inventories are measured at lower of cost and net realisable value (IAS 2)
- Investment property measured at fair value.

However, IAS 36 is applicable to certain assets including, but not limited to:

- Property, plant and equipment (IAS 16)
- Investment property measured using cost model (IAS 40)
- Intangible assets (IAS 38)
- Purchased goodwill (IFRS 3)

IAS 36 is also applied to assets that are carried at revalued amount and it provides following guidance in this regard:

If the disposal costs are negligible	The recoverable amount of the revalued asset is necessarily close to, or greater than, its revalued amount. In this case, after the revaluation requirements have been applied, it is unlikely that the revalued asset is impaired and recoverable amount need not be estimated.
If the disposal costs are not negligible	The fair value less costs of disposal of the revalued asset is necessarily less than its fair value. Therefore, the revalued asset will be impaired if its value in use is less than its revalued amount. In this case, after the revaluation requirements have been applied, an entity applies IAS 36 to determine whether the asset may be impaired.

▶ *Example 03:*

Consider the following three independent scenarios related to revalued assets:

Scenario	(a)	(b)	(c)
Carrying amount i.e., fair value	Rs. 500,000	Rs. 500,000	Rs. 500,000
Costs of disposal	Negligible	Negligible	Negligible
Value in use	Rs. 600,000	Rs. 480,000	Rs. 100,000

Required:

Discuss whether IAS 36 needs to be applied and calculate the impairment loss (if any).

▶ *Answer:*

There is no need to apply IAS 36 and even if we do, no impairment loss would arise.

Scenario	(a)	(b)	(c)
Carrying amount i.e., fair value	Rs. 500,000	Rs. 500,000	Rs. 500,000
Fair value less costs of disposal	Rs. 500,000	Rs. 500,000	Rs. 500,000
Value in use	Rs. 600,000	Rs. 480,000	Rs. 100,000
Recoverable amount (higher)	Rs. 600,000	Rs. 500,000	Rs. 500,000
Impairment loss (RA > CA)	Nil	Nil	Nil

▶ *Example 04:*

Consider the following three independent scenarios related to revalued assets:

Scenario	(a)	(b)	(c)
Carrying amount i.e., fair value	Rs. 500,000	Rs. 500,000	Rs. 500,000
Costs of disposal	Rs. 50,000	Rs. 50,000	Rs. 50,000
Value in use	Rs. 600,000	Rs. 480,000	Rs. 100,000

Required:

Discuss whether IAS 36 needs to be applied and calculate the impairment loss (if any).

▶ *Answer:*

IAS 36 needs to be applied, however, there may or may not arise an impairment loss.

Scenario	(a)	(b)	(c)
Carrying amount i.e., fair value	Rs. 500,000	Rs. 500,000	Rs. 500,000
Fair value less costs of disposal	Rs. 450,000	Rs. 450,000	Rs. 450,000
Value in use	Rs. 600,000	Rs. 480,000	Rs. 100,000
Recoverable amount (higher)	Rs. 600,000	Rs. 480,000	Rs. 450,000
Impairment loss (RA > CA)	Nil	Rs. 20,000	Rs. 50,000

1.4 Identifying an asset that may be impaired [IAS 36: 9, 10 & 12]

Constraints	IAS 36 does not require to test every asset for impairment in each period as it is usually not practical to determine recoverable amount of every asset due to: • Time constraints • Cost constraints
Requirement	An entity shall assess at the end of each reporting period whether there is any indication that an asset may be impaired. If any such indication exists, the entity shall estimate the recoverable amount of the asset. Where there is no indication of impairment, then no further action needs to be taken.
Exceptions	Irrespective of whether there is any indication of impairment, an entity shall also annually test for impairment following assets: • Intangible asset not yet available for use • Intangible asset having indefinite life • Goodwill

In assessing whether there is any indication that an asset may be impaired, an entity shall consider, as a minimum, the following indications:

External sources	Internal sources
The asset's value has declined during the period significantly more than would be expected as a result of the passage of time or normal use.	Evidence is available of obsolescence or physical damage of an asset.

External sources	Internal sources
Significant changes in technology, markets, economic factors or laws and regulations that have an adverse effect on the entity.	Significant adverse changes including the asset becoming idle, plans to discontinue or restructure the operation to which an asset belongs.
An increase in market interest rates or rate of return on investments, affecting the value in use of the asset.	Significant adverse changes including plans to dispose of an asset before the previously expected date and reassessing the useful life of an asset as finite rather than indefinite.
The entity's net assets have a higher carrying value than its market capitalisation indicating that assets might be overvalued. Market capitalisation is total market value of equity of the entity and is usually computed as ***market value per share x number of shares.***	There is evidence that the asset's expected economic performance is, or will be, worse than expected.

1.5 Depreciation [IAS 36: 63 & 121]

After the recognition of an impairment loss, or reversal of impairment loss, the depreciation (amortisation) charge for the asset shall be adjusted in future periods to allocate the asset's revised carrying amount, less its residual value (if any), on a systematic basis over its remaining useful life.

▶ *Example 05:*

Premier Limited (PL) owns a plant which has a carrying amount of Rs.248 million as at 1 April 2019. It is being depreciated at 12.5% per annum on a reducing balance basis.

The plant is used to manufacture a specific product which has been suffering a decline in sales due to obsolescence. Therefore, the plant is being tested for impairment on 1 April 2020.

PL has estimated that the plant will be retired from use on 31 March 2023.

The estimated net cash flows from the use of the plant and their present values are:

	Net cash flows	Present values
	Rs. In million	
Year to 31 March 2021	120	109.2
Year to 31 March 2022	80	66.4
Year to 31 March 2023	52	39
	252	**214.6**

On 1 April 2020, PL had an alternative offer from the competitor to purchase the plant for Rs.200 million.

Required:

Calculate the impairment loss.

▶ *Answer:*

Carrying amount = Rs.217 million [248 m – (248 m x 12.5%)]

Recoverable amount Rs. 214.6 million (higher of Rs, 214.6m and Rs. 200m)

Impairment loss Rs. 2.4 million (i.e., Rs.217 million – Rs.214.6 million)

▶ *Example 06:*

On 1 January Year 1 Entity Q purchased for Rs.240,000 a machine with an estimated useful life of 20 years and an estimated zero residual value.

Depreciation is charged on a straight-line basis.

On 1 January Year 4 an impairment review showed the machine's recoverable amount to be Rs.100,000 and its remaining useful life to be 10 years.

Required:

Calculate:

a) The carrying amount of the machine on 31 December Year 3 (immediately before the impairment).

b) The impairment loss recognised in the year to 31 December Year 4

c) The depreciation charge in the year to 31 December Year 4

▶ *Answer:*

Part (a)

Carrying amount of the machine on 31 December Year 3	Rs.
Cost	240,000
Accumulated depreciation (3 × (240,000 ÷ 20 years))	(36,000)
Carrying amount	204,000

Part (b)

Impairment loss at the beginning of Year 4 is Rs.104,000 (Rs.204,000 – Rs.100,000). This is charged to profit or loss.

Part (c)

Depreciation charge in Year 4 is Rs.10,000 (= Rs.100,000 ÷ 10 years). The depreciation charge is based on the recoverable amount of the asset.

2 MEASURING RECOVERABLE AMOUNT

2.1 No need to calculate both amounts in certain cases [IAS 36: 19]

It is not always necessary to determine both an asset's fair value less costs of disposal and its value in use. If either of these amounts exceeds the asset's carrying amount, the asset is not impaired, and it is not necessary to estimate the other amount.

▶ *Example 07:*

An asset's carrying amount is Rs. 500,000 and its fair value less costs of disposal is Rs. 600,000.

Required:

Calculate impairment loss if value in use is:

a) Rs. 700,000

b) Rs. 600,000

c) Rs. 400,000

▶ *Answer:*

There would be no impairment loss in any scenario since fair value less costs of disposal is higher than carrying amount.

Scenario	(a)	(b)	(c)
Carrying amount	Rs. 500,000	Rs. 500,000	Rs. 500,000
Fair value less costs of disposal	Rs. 600,000	Rs. 600,000	Rs. 600,000
Value in use	Rs. 700,000	Rs. 600,000	Rs. 400,000
Recoverable amount (higher)	Rs. 700,000	Rs. 600,000	Rs. 600,000
Impairment loss (RA > CA)	Nil	Nil	Nil

2.2 Value in use [IAS 36: 30, 32, 33, 39, 44, 47, 50 & 55]

The following elements shall be reflected in the calculation of an asset's value in use:

- an estimate of the future cash flows the entity expects to derive from the asset;
- expectations about possible variations in the amount or timing of those future cash flows;
- the time value of money, represented by the current market risk-free rate of interest;
- the price for bearing the uncertainty inherent in the asset; and
- other factors, such as illiquidity, that market participants would reflect in pricing the future cash flows the entity expects to derive from the asset.

The elements identified above can be reflected either as adjustments to the future cash flows or as adjustments to the discount rate.

Estimates of future cash flows should be based on reasonable and supportable assumptions that represent management's best estimate of the economic conditions that will exist over the remaining useful life of the asset.

Include in future cash flows	Estimates of future cash flows must include: • cash inflows from the continuing use of the asset; • cash outflows that will be necessarily incurred to generate the cash inflows from continuing use of the asset; and • net disposal proceeds at the end of the asset's useful life. The future cash flows from continuing use are estimated for the asset in its current condition.
Exclude from future cash flows	Estimates of future cash flows must not include: • cash inflows or outflows from financing activities; or • income tax receipts or payments. Any estimate of future cash flows should not include estimated future cash flows that are expected to arise from: • a future restructuring to which an entity is not yet committed; or • improving or enhancing the asset's performance. Once the entity is committed to the restructuring, its estimates of future cash inflows and cash outflows for the purpose of determining value in use reflect the cost savings and other benefits from the restructuring.
Discounting	Present value is calculated by applying a suitable discount rate to the cash flows. The discount rate must be a pre-tax rate that reflects current market assessments of: • the time value of money; and • the risks specific to the asset for which the future cash flow estimates have not been adjusted.

2.3 Fair value less costs of disposal [IAS 36: 20 & 28]

It may be possible to measure fair value less costs of disposal, even if there is not a quoted price in an active market for an identical asset. However, sometimes it will not be possible to measure fair value less costs of disposal because there is no basis for making a reliable estimate of the price at which an orderly transaction to sell the asset would take place between market participants at the measurement date under current market conditions. In this case, the entity may use the asset's value in use as its recoverable amount.

Costs of disposal might include legal costs, stamp duty, costs of removing the asset, and direct incremental costs to bring an asset into condition for its sale. Redundancy and restructuring costs (to be incurred after the sale of business) are not costs of disposal.

▶ *Example 08:*

Sky-Line Limited (SL) operates a 4 Star Hotel facility in Murree. The hotel was constructed at a cost of Rs.300 million, 5 years back and it has been depreciated on a straight-line basis (total useful life of 15 years and residual value of 20%).

There are indications that the property is not performing as expected due to;

- opening of a competing hotel nearby,
- a significant drop in number of tourists to the area because of terrorism.

There is a 40% probability that the hotel will generate net cash flows of Rs. 40 million per annum and 60% probability that the cash flows would only be Rs. 20 million per annum for its remaining useful life and it is now estimated that net disposal proceeds at the end of useful life will be negligible.

The property's fair value has been estimated at Rs. 200 million and 5% of the proceeds from sale would be expended in closing the deal.

Required:

Calculate the impairment loss if the appropriate discount rate is 10%.

▶ *Answer:*

Carrying value of asset = Rs.300 million – [(300 – 60) / 15 years x 5 years] = Rs.220 million

Fair value less costs of disposal = Rs. 200 million x 95% = Rs. 190 million

Value in use = (Rs.40 m x 40% + Rs.20 m x 60%) x 6.145 **W1 =** Rs.172 million

Recoverable amount is Rs. 190 million (higher)

Impairment loss = Rs. 220m – 190m = Rs.30 million

$$\boldsymbol{W1}\ Annuity\ factor = \frac{1 - 1.10^{-10}}{0.10} = 6.145$$

▶ *Example 09:*

Naveed Limited has an item of plant which has a carrying value of Rs.1,800,000 as at the end of the year December 2020. It has undergone an impairment review and the following estimates were produced:

Fair value of plant is Rs.1,400,000 and costs of disposal are 2% of selling price.

Revenue and associated costs per annum for remaining useful life (assume all cash flows occur at the end of the year):

	Revenue	Costs
2021	Rs.960,000	Rs.240,000
2022	Rs.880,000	Rs.220,000
2023	Rs.700,000	Rs.290,000

The plant has estimated disposal proceeds at the end of useful life of Rs. 50,000.

A discount rate of 10% is applicable to investments equivalent in risk to this plant.

Required:

Calculate the impairment loss if the appropriate discount rate is 10%.

▶ *Answer:*

Value in use	2021	2022	2023
	---------- Amount in Rs. ----------		
Revenue	960,000	880,000	700,000
Costs	(240,000)	(220,000)	(290,000)
Disposal proceeds	-	-	50,000
Net Cash Inflow	720,000	660,000	460,000
Discount factor	0.9091	0.8264	0.7513
Present Value	654,545	545,457	345,605
Value in use			1,545,607

Fair value less costs of disposal = Rs.1,400,000 x 98% = Rs.1,372,000

Recoverable amount is Rs. 1,545,607 (higher)

Impairment loss = Rs. 1,800,000 carrying amount – Rs. 1,545,607 = Rs.254,393

▶ *Example 10:*

The assistant financial controller of the Hussain Associates Limited has identified the following issue which she believes may indicate impairment of an asset:

Hussain Associates Limited owns and operates an item of plant that cost Rs. 640,000 and had accumulated depreciation of Rs. 400,000 at 1 October 2015. It is being depreciated at 12.5% on cost.

On 1 April 2016 (exactly halfway through the year) the plant was damaged when a factory vehicle collided into it. Due to the unavailability of replacement parts, it is not possible to repair the plant, but it still operates, albeit at a reduced capacity. It is also expected that as a result of the damage the remaining life of the plant from the date of the damage will be only two years.

Based on its reduced capacity, the estimated present value of the plant in use is Rs. 150,000. The plant has a current disposal value of Rs. 20,000 (which will be nil in two years' time), but Hussain Associates Limited has been offered a trade-in value of Rs. 180,000 against a replacement machine which has a cost of Rs. 1 million (there would be no disposal costs for the replaced plant). Hussain Associates Limited is reluctant to replace the plant as it is worried about the long-term demand for the product produced by the plant. The trade-in value is only available if the plant is replaced.

Required:

Prepare extracts from the statement of financial position and statement of profit or loss of Hussain Associates Ltd in respect of the plant for the year ended 30 September 2016.

▶ *Answer:*

Statement of financial position (extracts) as at 30 September 2016		**Rs.**
Plant	[Rs. 150,000 – 37,500]	112,500

Statement of profit or loss (extracts) For the year ended 30 September 2016		**Rs.**
Depreciation	October to March [640,000 x 12.5% x 6/12]	(40,000)
	April to September [150,000 / 2 years x 6/12]	(37,500)
		(77,500)
Impairment loss	[200,000 W1 – 150,000 see note below]	(50,000)

W1: Carrying amount on 1st April 2016 = Rs. 640,000 – 400,000 – 40,000 = Rs. 200,000

Note: recoverable amount is higher of value in use (Rs. 150,000) and fair value less cost of disposal (Rs. 20,000). The trade in value of Rs. 180,000 in conditional exchange is not appropriate fair value.

3 RECOGNITION

3.1 Impairment loss [IAS 36: 61]

An impairment loss on a non-revalued asset is recognised in profit or loss. However, an impairment loss on a revalued asset is recognised in other comprehensive income to the extent that the impairment loss does not exceed the amount in the revaluation surplus for that same asset. Such an impairment loss on a revalued asset reduces the revaluation surplus for that asset.

In practice, variety of journal entries may be passed for this, as follows:

Journal entries	Method 1:	Method 2:
Non-revalued asset	Debit Impairment loss (PL) Credit Accumulated impairment losses	Debit Accumulated depreciation Credit Asset Debit Impairment loss (PL) Credit Asset
Revalued asset	Debit Impairment loss (OCI*) Debit Impairment loss (PL**) Credit Accumulated impairment losses	Debit Accumulated depreciation Credit Asset Debit Impairment loss (OCI*) Debit Impairment loss (PL**) Credit Asset
*to the extent of balance in revaluation surplus. **amount of loss (if any) in excess of balance in revaluation surplus		

▶ *Example 11:*

An asset has cost of Rs. 500,000 and accumulated depreciation of Rs. 200,000. Its recoverable amount has been estimated at Rs. 280,000.

Required:

Journal entries to record the impairment loss.

▶ *Answer:*

Journal entries

Date	Particulars	Debit Rs. 000	Credit Rs. 000
	Impairment loss (PL)	20*	
	Accumulated impairment losses		20
Alternative:			
	Accumulated depreciation	200	
	Asset		200
	Impairment loss (PL)	20*	
	Asset		20

*[(500 – 200) – 280]

▶ *Example 12:*

An asset has cost of Rs. 500,000 and accumulated depreciation of Rs. 200,000. Its recoverable amount has been estimated at Rs. 280,000. Asset has balance of Rs. 7,000 in revaluation surplus arising from previous revaluation.

Required:

Journal entries to record the above.

▶ *Answer:*

Journal entries

Date	Particulars	Debit Rs. 000	Credit Rs. 000
	Impairment loss (OCI)	7	
	Impairment loss (PL) [20* – 7]	13	
	Accumulated impairment losses		20
Alternative:			
	Accumulated depreciation	200	
	Asset		200
	Impairment loss (OCI)	7	
	Impairment loss (PL) [20* – 7]	13	
	Asset		20

*[(500 – 200) – 280]

3.2 Reversal of impairment loss [IAS 36: 110 & 117 to 120]

An entity shall assess at the end of each reporting period whether there is any indication that an impairment loss recognised in prior periods for an asset other than goodwill may no longer exist or may have decreased. If any such indication exists, the entity shall estimate the recoverable amount of that asset.

A reversal of an impairment loss for an asset shall be recognised immediately in profit or loss to the extent that increased carrying amount of such asset does not exceed the carrying amount that would have been determined (net of amortisation or depreciation) had no impairment loss been recognised for the asset in prior years.

Any increase in the carrying amount of an asset above the carrying amount that would have been determined (net of amortisation or depreciation) had no impairment loss been recognised for the asset in prior years is a revaluation and shall be recognised in other comprehensive income (and accumulated as revaluation surplus) only if entity uses revaluation model for such asset.

Journal entries	Method 1:	Method 2:
Non-revalued asset	Debit Accumulated impairment losses Credit Reversal of loss (PL*)	Debit Accumulated depreciation Credit Asset Debit Asset Credit Reversal of loss (PL*)
Revalued asset	Debit Accumulated impairment losses Credit Reversal of loss (PL*)	Debit Accumulated depreciation Credit Asset

Journal entries	Method 1:	Method 2:
	Debit Asset Credit Gain on revaluation (OCI**)	Debit Asset Credit Reversal of loss (PL*) Credit Gain on revaluation (OCI**)

*to the extent of previously recognised impairment loss net of depreciation decrease

**amount in excess (if any) of above (only under revaluation model)

- *Example 13:*

An asset was purchased for Rs. 100,000 on 1 January 2021 with 10 years useful life and nil residual value. Depreciation is charged on straight line basis.

On 31 December 2021, Depreciation of Rs. 10,000 was recorded. On this date, the recoverable amount of asset was determined to be Rs. 72,000 and therefore impairment loss of Rs. 18,000 was recognised.

On 31 December 2022, the depreciation of Rs. 8,000 [i.e., Rs.72,000 / 9 years] was recorded and asset now has carrying amount of Rs. 64,000.

On this date, the recoverable amount has been estimated at Rs. 95,000.

Required:

Journal entry to record the reversal if entity uses cost model.

- *Answer:*

Journal entry

Date	Particulars	Debit Rs. 000	Credit Rs. 000
	Accumulated impairment losses	16	
	Reversal of loss (PL)		16

Note: The recoverable amount of asset exceeds its carrying amount by Rs. 31,000 reversal of impairment loss would be restricted to only Rs. 16,000, because, had the asset been never impaired its carrying amount would have been Rs. 80,000 (i.e., 100,000 – (10,000 x 2 years)), therefore, asset's carrying amount can be increased from Rs. 64,000 to Rs. 80,000 (i.e., by Rs. 16,000). Alternatively, Rs. 16,000 may be calculated as Rs. 18,000 loss previously recognised less depreciation decrease of Rs. 2,000 (i.e., 10,000 – 8,000).

- *Example 14:*

An asset was purchased for Rs. 100,000 on 1 January 2021 with 10 years useful life and nil residual value. Depreciation is charged on straight line basis.

On 31 December 2021, Depreciation of Rs. 10,000 was recorded. On this date, the recoverable amount of asset was determined to be Rs. 72,000 and therefore impairment loss of Rs. 18,000 was recognised.

On 31 December 2022, the depreciation of Rs. 8,000 [i.e., Rs.72,000 / 9 years] was recorded. On this date, the recoverable amount has been estimated at Rs. 95,000.

Required:

Journal entry to record the reversal if entity uses revaluation model.

Answer:

Journal entry

Date	Particulars	Debit Rs. 000	Credit Rs. 000
	Accumulated impairment losses	16	
	Reversal of loss (PL)		16
	Asset	15	
	Gain on revaluation (OCI)		15

Note: The recoverable amount of asset exceeds its carrying amount by Rs. 31,000 reversal of impairment loss in profit or loss would be restricted to only Rs. 16,000, because, had the asset been never impaired its carrying amount would have been Rs. 80,000 (i.e., 100,000 – (10,000 x 2 years)), therefore, asset's carrying amount can be increased from Rs. 64,000 to Rs. 80,000 (i.e., by Rs. 16,000). Alternatively, Rs. 16,000 may be calculated as Rs. 18,000 loss previously recognised less depreciation decrease of Rs. 2,000 (i.e., 10,000 – 8,000).

The additional increase of Rs. 15,000 (from Rs. 80,000 to Rs. 95,000) shall be recognised in OCI as gain on revaluation because entity uses revaluation model.

Example 15:

A company has a machine in its statement of financial position at a carrying amount of Rs. 300,000. The machine is used to manufacture the company's best-selling product range, but the entry of a new competitor to the market has severely affected sales.

As a result, the company believes that the future net cash flows from the machine over the next three years will be only Rs. 150,000, Rs. 100,000 and Rs. 50,000. The asset will then be sold for Rs. 25,000. An offer has been received to buy the machine immediately for Rs. 240,000, but the company would have to pay shipping costs of Rs. 5,000. The applicable discount rate is 10%.

Required:

Calculation and journal entry for impairment loss.

Answer:

Computation of impairment of plant	Rupees	
Carrying value		300,000
Less: Recoverable amount		
Value in use (W-1)	275,358	
Fair value less costs of disposal [240,000 – 5,000]	235,000	
Higher of above		275,358
Impairment loss		**24,642**

W-1: Value in use	Year 1	Year 2	Year 3
	Rupees		
Net cash inflow from use	150,000	100,000	50,000
Cash inflow from disposal	-	-	25,000
Cash flows undiscounted	150,000	100,000	75,000
Discount factor @ 10%	0.909	0.826	0.751
PV of cash flows	136,364	82,645	56,349
Value in use			**275,358**

Journal entry

Date	Particulars	Debit Rs.	Credit Rs.
	Impairment loss (PL)	24,642	
	Accumulated impairment loss		24,642

▶ *Example 16:*

On 1 January Year 1 Entity Q purchased for Rs.240,000 a machine with an estimated useful life of 20 years and an estimated zero residual value. Depreciation is on a straight-line basis.

The asset had been re-valued on 1 January Year 3 to Rs.250,000, but with no change in useful life at that date.

On 1 January Year 4 an impairment review showed the machine's recoverable amount to be Rs.100,000 and its remaining useful life to be 10 years.

Required:

Calculate:

a) The carrying amount of the machine on 31 December Year 2 and hence the revaluation surplus arising on 1 January Year 3.

b) The carrying amount of the machine on 31 December Year 3 (immediately before the impairment).

c) The impairment loss recognised in the year to 31 December Year 4.

d) The depreciation charge in the year to 31 December Year 4.

▶ *Answer:*

Part (a)

Carrying amount of the machine & revaluation	Rs.
Cost	240,000
Accumulated depreciation (2 × (240,000 ÷ 20 years))	(24,000)
Carrying amount	216,000
Revaluation gain / surplus (balancing)	34,000
Revalued amount on 1 January Year 3	**250,000**

Part (b)

When the asset is revalued on 1 January Year 3, depreciation is charged on the revalued amount over its remaining expected useful life.

Carrying amount of the machine 31 December Year 3	Rs.
Cost/revalued amount	250,000
Accumulated depreciation (Rs.250,000 ÷ 18 years)	(13,889)
Carrying amount	**236,111**

Note: The depreciation charge of Rs.13,889 is made up of Rs.12,000 (being that part of the charge that relates to the original historical cost) and Rs.1,889 being the incremental depreciation. Rs.1,889 would be transferred from the revaluation surplus into retained earnings.

Part (c)

On 1 January Year 4 the impairment review shows an impairment loss of Rs. 136,111 (Rs.236,111 – Rs.100,000).

An impairment loss of Rs.32,111 (Rs.34,000 – Rs.1,889) will be taken to other comprehensive income (reducing the revaluation surplus for the asset to zero).

The remaining impairment loss of Rs.104,000 (Rs.136,111 – Rs.32,111) is recognised in the statement of profit or loss for Year 4.

Part (d)

Year 4 depreciation charge is Rs.10,000 (Rs.100,000 ÷ 10 years).

4 COMPREHENSIVE EXAMPLES

▶ *Example 17:*

On 1 March 2017, Zarmoney Limited imported an automatic plant for Rs. 130 million. The commissioning of the plant was completed on 1 January 2018 at a cost of Rs. 10 million. The economic life of the plant was estimated as 12 years and useful life of the plant was estimated as 8 years. The plant is being depreciated at 20% per annum using reducing balance method.

Due to declining demand for the product manufactured from this plant, an impairment test was carried out at 31 December 2021. Following information has been gathered for impairment testing of the plant:

i. The current selling price of a similar plant in the local market is Rs. 50 million. The present decommissioning cost of the plant is estimated at Rs. 2 million.

ii. The plant's net disposal proceeds at the end of the useful life is estimated at Rs. 4 million.

iii. The current market risk-free rate of interest is 8% per annum, however, an investor would ask additional return of 2% for bearing the uncertainty inherent in such a plant.

iv. A junior accountant has calculated following net cash flows from operating the plant:

Year	2022	2023	2024	2025
Net cash inflow (Rs. in million)	11	7	3	1

However, a review of accountant's working has revealed the following:

- Depreciation of the plant has been included as an outflow in each year.
- Tax payments of Rs. 2 million has been included as an outflow in each year.
- Inflows from plant in 2022 include receipts from sale of existing inventory amounting to Rs. 3 million

Required:

Compute the impairment loss (if any) in the value of the plant to be recognised on 31 December 2021. (Show all necessary workings)

▶ *Answer:*

Computation of impairment of plant	------- Rs. in million -------	
Carrying value 130+10 = 140 × (0.8)4		57.3
Less: Recoverable amount		
Value in use (W-1)	52.6	
Fair value less cost of sell [50 – 2]	48.0	
Higher of above		52.6
Impairment loss		**4.7**

W-1: Value in use	2022	2023	2024	2025
	---------- Rs. in million ----------			
Net cash inflow	11.0	7.0	3.0	1.0
Depreciation	11.5	9.2	7.4	5.9
Income tax	2.0	2.0	2.0	2.0
Sale of inventory	(3.0)	-	-	-
Disposal value	-	-	-	4.0
Cash flows undiscounted	21.5	18.2	12.4	12.9
Discount factor @ 10%	0.909	0.826	0.751	0.683
PV of cash flows	19.5	15.0	9.3	8.8
Value in use				**52.6**

▶ *Example 18:*

The draft financial statements of Barbary Cement Limited (BCL) for the year ended 31 December 2020 include a plant having a carrying value of Rs. 400 million. Due to technological change, the remaining useful life of the plant has been reduced to 4 years.

Following information has been gathered for impairment testing of the plant:

i. Inflows from sale of product to be manufactured by the plant for the year 2021 are estimated at Rs. 200 million. These inflows are subject to 10% decrease in each subsequent year due to declining demand.

ii. Outflows from operational cost for 2021 are estimated at Rs. 80 million. These outflow would increase by 5% in each subsequent year despite decline in demand due to inflation and increase in plant's wear and tear.

iii. BCL's net profit is subject to income tax of 20%.

iv. Depreciation on plant is calculated using straight line method.

v. The plant's net disposal proceeds at the end of the useful life is estimated at Rs. 100 million.

vi. Pre-tax and post-tax discount rates are 12% and 9.6% per annum respectively.

vii. A technologically advanced plant with similar capacity can be purchased at Rs. 350 million. BCL has received an offer to buy the existing plant for Rs. 250 million. BCL will have to incur shipping cost of Rs. 7 million, to dispatch the existing plant to the purchaser.

Required:

Compute the impairment loss to be recognised as at 31 December 2020.

▶ *Answer:*

Computation of impairment of plant	------ Rs. in million ------	
Carrying value		400.0
Recoverable amount		
Value in use (W-1)	333.6	
Fair value less cost of sell 250–7	243.0	
Higher of above		(333.6)
Impairment loss		**66.4**

W-1: Value in use	2021	2022	2023	2024
	---------- Rs. in million ----------			
Inflows from sale	200	180	162	145.80
Operational cost	(80)	(84)	(88.2)	(92.61)
Disposal value	-	-	-	100
Cash flows undiscounted	120	96	73.8	153.19
Discount factor @ 12%	0.8929	0.7972	0.7118	0.6355
PV of cash flows	107.2	76.5	52.5	97.4
Value in use				**333.6**

▶ *Example 19:*

Property, plant and equipment as disclosed in the draft financial statements of Apricot Pakistan Limited (APL) for the year ended 30 June 2018 include a plant having a carrying value of Rs. 610 million. The performance of the plant has been deteriorating since last year which is affecting APL's sales.

Following information/estimates relate to the plant for the year ending 30 June 2019:

	Rs. in million
Inflows from sale of product under existing condition of the plant	250
Operational cost other than depreciation	25
Depreciation	170
Expenses to be paid in respect of 30 June 2018 accruals	8
Cost of increasing the plant's capacity	60
Additional inflows (net) expected from the upgrade	40
Interest on finance lease	30
Maintenance cost	15
Tax payment on profits	18

Cash flows from the plant are expected to decrease by 15% each year from 2020 and onward. The plant's residual value after its remaining useful life of 3 years is estimated at Rs. 100 million.

An offer has been received to buy the plant immediately for Rs. 570 million but APL has to incur the following costs.

	Rs. in million
Cost of delivery to the customer	45
Legal cost	10
Costs to re-organize the production process after disposal of plant	50

Applicable discount rate is 9%.

Required:

Calculate the amount of impairment loss (if any) on plant, for the year ended 30 June 2018.

▶ *Answer:*

	Rs. in million	
Carrying value		610
Recoverable amount		
Value in use W1	537	
Fair value less costs of disposal [570 – 45 – 10]	515	
Higher of above		537
Impairment loss		73

W1 – Value in Use	2019	2020	2021
Description	Rs. in million		
Inflows from sale of product	250		
Operational cost	(25)		
Maintenance cost	(15)		
Cash flows from use (yearly decreased by 15%)	210	178.5	151.73
Cash flows from ultimate disposal			100
Cash flows undiscounted	210	178.5	251.73
Discount factor @9%	0.9174	0.8416	0.7720
PV of cash flows	192.6	150.2	194.38
Value in use			**537**

▶ *Example 20:*

On 1 January 2021, Jazib Limited (JL) purchased an asset at a cost of Rs. 100,000 and it is being depreciated over 10 years on straight line basis. JL uses cost model for measurement of property, plant and equipment.

On 31 December 2022, there are indications of impairment and recoverable amount has been estimated at Rs. 64,000.

On 31 December 2024, there are indications of reversal of impairment and recoverable amount has been estimated at Rs. 70,000.

Required:

Journal entries (by elimination of accumulated depreciation) for:

a) impairment loss on 31 December 2022

b) reversal of impairment loss on 31 December 2024

▶ *Answer:*

Journal entries

Date	Particulars	Debit Rs.	Credit Rs.
31 Dec 2022	Accumulated depreciation **W1**	20,000	
	Asset (PPE)		20,000
	Impairment loss (PL) **W2**	16,000	
	Asset (PPE)		16,000
31 Dec 2024	Accumulated depreciation **W3**	16,000	
	Asset (PPE)		16,000
	Asset (PPE) **W4**	12,000	
	Reversal of impairment loss (PL)		12,000

W1: Depreciation Rs. 100,000 / 10 years x 2 years = Rs. 20,000

W2: Impairment loss Rs. 64,000 – (100,000 – 20,000) = Rs. 16,000

W3: Depreciation Rs. 64,000 / 8 years x 2 years = Rs. 16,000

W4: Reversal of impairment loss Rs. 16,000 – (16,000/8 x 2 years) = Rs. 12,000

Alternative: (Rs. 100,000 – 100,000/10 x 4 years) – (Rs. 64,000 – 16,000) = Rs. 12,000

▶ *Example 21:*

On 1 January 2021, Ghalib Limited (GL) purchased an asset at a cost of Rs. 100,000 and it is being depreciated over 10 years on straight line basis.

On 31 December 2021, the fair value of the asset was determined to be Rs. 121,500 as GL applies revaluation model to its property, plant and equipment.

On 31 December 2023, there are indications of impairment and recoverable amount has been estimated at Rs. 65,100.

On 31 December 2025, there are indications of reversal of impairment and recoverable amount has been estimated at Rs. 55,000.

Required:

Journal entries (by elimination of accumulated depreciation) for:

a) revaluation on 31 December 2021

b) impairment loss on 31 December 2023

c) reversal of impairment loss on 31 December 2025

Answer:

Journal entries

Date	Particulars	Debit Rs.	Credit Rs.
31 Dec 2021	Accumulated depreciation **W1**	10,000	
	Asset (PPE)		10,000
	Asset (PPE) **W2**	31,500	
	Gain on revaluation (OCI)		31,500
31 Dec 2023	Accumulated depreciation **W3**	27,000	
	Asset (PPE)		27,000
	Impairment loss (OCI) **W4**	24,500	
	Impairment loss (PL) (balancing)	4,900	
	Asset (PPE) **W4**		29,400
31 Dec 2023	Accumulated depreciation **W5**	18,600	
	Asset (PPE)		18,600
	Asset (PPE)	8,500	
	Reversal of impairment loss (PL) **W6**		3,500
	Gain on revaluation (OCI) **W7**		5,000

W1: Depreciation Rs. 100,000 / 10 years = Rs. 10,000

W2: Revaluation gain Rs. 121,500 – (100,000 – 10,000) = Rs. 31,500

W3: Depreciation Rs. 121,500 / 9 years x 2 years = Rs. 27,000

W4: Impairment loss Rs. 65,100 – (121,500 – 27,000) = Rs. 29,400

Charge to OCI = Rs. 31,500 – (31,500 / 9 years x 2 years) = Rs. 24,500

W5: Depreciation Rs. 65,100 / 7 years x 2 years = Rs. 18,600

W6: Reversal of impairment loss in PL Rs. 4,900 – (4,900/7 x 2 years) = Rs. 3,500

Alternative: (Rs. 100,000 – 100,000/10 x 5 years) – (Rs. 65,100 – 18,600) = Rs. 3,500

W7: Gain on revaluation Rs. 55,000 - (Rs. 100,000 – 100,000/10 x 5 years) = Rs. 5,000

Example 22:

On 1 July 2014, Indus Pharma Limited (IPL) received a government grant of Rs. 280 million to setup a plant in an under-developed rural area. The grant is repayable in full if the conditions attached to the grant are not met for a period of five years from the date of commencement of the production. At the inception, it was highly probable that IPL would comply with the conditions for the required period.

IPL incurred total cost of Rs. 630 million on plant and it started production on1 January 2015. Useful life of the plant was estimated at 7 years. IPL deducted government grant in arriving at the carrying amount of the asset.

In January 2019, IPL showed its inability to comply with the conditions attached to the grant and regulatory authority issued a notice to IPL for repayment of the grant in full. Accordingly, the grant was repaid by IPL.

In view of repayment of the grant, IPL carried out an impairment review of the plant on 31 December 2019. Net annual cash inflows for the remaining life of the plant have been estimated at Rs. 90 million and Rs. 80 million for 2020 and 2021 respectively. These cash inflows are net of annual interest and maintenance cost of Rs. 10 million and Rs. 6 million respectively for both years. Applicable discount rate is 12%.

On the date of impairment review, the existing plant can be sold in the local market for Rs. 160 million. Estimated cost of disposal would be Rs. 5 million.

Required:

Prepare journal entries for the year ended 31 December 2019 in respect of the above information. (Show all necessary workings. Narrations are not required)

Answer:

Indus Pharma Limited

General Journal

Date	Description	Debit	Credit
		Rs. in million	
Jan. 2019	Plant	280	
	Cash/Bank		280
Jan. 2019/ 31-12-2019	Depreciation expense/Profit or loss **280÷7×4**	160	
	Accumulated depreciation – Plant		160
31-12-2019	Depreciation expense **630÷7**	90	
	Accumulated depreciation - Plant		90
31-12-2019	Impairment loss (PL) **(W1)**	19	
	Accumulated impairment - Plant		19

W1: Impairment review as on 31 December 2019				**Rs. in million**
Year	**Net inflows**		**Discounting at 12%**	**Present value**
2020	(90+10)	100	0.8929	89
2021	(80+10)	90	0.7972	72
Value in use				**161**
Fair value less costs of disposal		**160–5**		155
Recoverable amount (Higher of both)				161
WDV of the plant as on 31 December 2019		**630÷7×2**		180
Impairment loss		180–161		**19**

▶ *Example 23:*

The following information pertains to Monday Limited (ML):

i. The balances of property, plant and equipment as on 1 January 2018:

Assets	Cost/Revalued amount	Accumulated depreciation
	---------- Rs. in million ----------	
Office building	240	36
Equipment	190	60

Revaluation surplus related to the office building as at 1 January 2018 amounted to Rs. 8.5 million.

ii. On 1 September 2018, a new equipment was acquired by making payment of Rs. 70 million to the supplier. An old equipment was also given in exchange to the supplier. The fair values of the old and new equipment were assessed at Rs. 21 million and Rs. 93 million respectively. The old equipment had been acquired at a cost of Rs. 40 million on 1 July 2016. Cost incurred on installing the new equipment amounted to Rs. 5 million.

iii. On 1 January 2018, ML commenced construction of a manufacturing plant. The whole process of assembling and installation was completed on 31 October 2018. However, the work was stopped from 16 to 31 August 2018 due to unexpected rains.

The total cost of Rs. 660 million incurred on the plant was paid as under:

Description	Payment date	Rs. in million
1st payment	1 February 2018	140
2nd payment	1 April 2018	214
3rd payment	1 September 2018	146
4th payment	1 December 2018	160

The plant was financed through a bank loan of Rs. 500 million obtained on 1 March 2018. The loan carries a mark-up of 18% payable annually. The surplus funds available from the loan were invested in a saving account and earned Rs. 17 million during capitalization period.

iv. On 31 December 2018, the revalued amount of office building was assessed at Rs. 178 million by Precise Valuers, an independent valuation firm. Value in use of the office building as at 31 December 2018 was estimated at Rs. 186 million.

v. Other relevant details are as follows:

Assets	Depreciation method	Life/rate	Subsequent measurement
Office building	Straight line	20 years*	Revaluation
Equipment	Reducing balance	20%	Cost
Manufacturing plant	Straight line	15 years	Cost

**** Remaining life at the date of last revaluation***

ML accounts for revaluation on net replacement value method and transfers the maximum possible amount from revaluation surplus to retained earnings on an annual basis.

Required:

In accordance with IFRSs, prepare a note on 'Property plant and equipment' for inclusion in ML's financial statements for the year ended 31 December 2018. ***(Comparatives figures and column for total are not required)***

Answer:

Monday Limited

Notes to the financial statement for the year ended 31 December 2018

Property, plant and equipment	Office building	Equipment	Manufacturing plant
Cost		**Rs. million**	
At 1 Jan 2018	240	190	-
Acquisition	-	96 **W4**	-
Transfer from CWIP	-	-	699.25 **W6**
Revaluation (Adj.)	(48)		
Revaluation loss	(14) **W2**	-	-
Disposals	-	(40)	-
At 31 Dec 2018	178	246	699.25
Accumulated depreciation			
At 1 Jan 2018	36	60	-
For the year	12 **W1**	30.48 **W5**	7.77 **W6**
Revaluation (Adj.)	(48)	-	-
Disposals	-	(15.04) **W3**	-
At 31 Dec 2018	0	75.44	7.77
Carrying amount 2018	***178***	***170.56***	***691.48***
Carrying amount 2017	204	130	0

The entity uses the following subsequent measurement bases to value its Property, plant and equipment, and methods to calculate its depreciation.

Assets	Depreciation method	Useful life / Rate	Subsequent Measurement
Office building	Straight line	20 years / 5%	Revaluation model
Equipment	Reducing balance	20%	Cost model
Manufacturing plant	Straight line	15 years	Cost model

The revaluation of building took place on 31 December 2018. The value was determined by an independent valuation firm, Precise Valuers. The carrying amount of office building had the revaluation not taken place, would be Rs. 184 million (i.e. Rs. 178 + 6 **W2**).

Movement of Revaluation surplus	Rs. Million
At 1 Jan 2018	8.5
Incremental depreciation [8.5 / 17 years]	(0.5)
Revaluation loss charged to OCI	(8)
At 31 December 2018	Nil

Manufacturing plant was constructed during the year. The cost includes Rs. 39.25 capitalised for borrowing costs (w6).

W1: Rs. 240m / 20 years = Rs. 12 million

W2: Rs. 178m – (Rs. 240m – 36m – 12m) = Rs. (14m) *[OCI Rs. 8m and PL Rs. 6m]*

W3: Disposal		Rs. in million
2016	40×20%×6÷12	4.00
2017	36×20%	7.20
2018	28.8×20%×8÷12	3.84
Accumulated depreciation		15.04

W4: Fair value of asset given up 21 + Cash 70 + Installation 5 = 96

W5: Depreciation for the year – equipment		Rs. in million
Disposal	28.8×20%×8÷12	3.84
Others	[(190 – 40) – (60 – 11.2)] ×20%	20.24
Addition	96×20%×4÷12	6.40
		30.48

W6: Manufacturing plant	Rs. in million
Construction cost	660
Interest on specific loan 500 x 18% x 7.5/12	56.25
Less: Temporary investment income	(17)
	39.25
	699.25
Depreciation 699.25 / 15 years x 2/12	(7.77)
	691.48

Note: Office buildings are not impaired since value in use of Rs. 186 million is more than the carrying amount of Rs. 178 million.

▶ *Example 24:*

The following information pertains to property, plant and equipment of Orchid Limited (OL), a listed company:

Description	Date of purchase	Cost Rs. m	Original useful life	Depreciation method	Subsequent measurement model
Buildings	1-Jan-15	600	30 years	Straight line	Revaluation
Plant	1-Jan-15	475	25 years	Straight line	Cost

Buildings

The revalued amount of buildings as determined by Shabbir Associates, an independent valuer, on 31 December 2015 and 2017 was Rs. 700 million and Rs. 463 million respectively.

On 30 June 2017 a building having original cost of Rs. 66 million was sold to Baqir Limited for Rs. 85 million. It was last revalued at Rs. 87 million. OL incurred a cost of Rs. 2 million on disposal.

OL transfers the maximum possible amount from revaluation surplus to retained earnings on an annual basis.

Plant

On 31 December 2016 the recoverable amount of the plant was assessed at Rs. 360 million with no change in useful life.

During 2017, OL has decided to change the depreciation method for plant from straight line to reducing balance. The new depreciation rate would be 10%.

Required:

Prepare following disclosure note of property, plant and equipment (along with comparative figures) to be presented in the financial statements of OL for the year ended 31 December 2017. *(Total column is not required)*

▶ *Answer:*

Orchid Limited

Notes to the financial Statements for the year ended 31 December 2017

Property, plant & equipment	2017		2016	
	Building	Plant	Building	Plant
	Rs. m	Rs. m	Rs. m	Rs. M
Cost / Revalued amount				
1 Jan	700	475	700	475
Disposal	(87)			
Revaluation (Adj.)	(42.28)			
Revaluation loss **W1**	(107.72)			
31 December	463	475	700	475
Accumulated depreciation and impairment losses				
1 Jan	24.14	115	0	19
Disposal **W2**	(4.5)			
Depreciation **W1**	22.64	36	24.14	19
Revaluation (Cancellation)	(42.28)			
Impairment **W1**				77
31 Dec	0	151	24.14	115
Carrying amount	**463**	**324**	**675.86**	**360**
Carrying amount (cost model)				
Cost	534	*[600 – 66]*	600	
Accumulated Depreciation	(53.4)	*[534/30x230x3]*	(40)	*[600/30x2]*
	480.6		**560**	

	Building	Plant
Measurement basis	Revaluation model	Cost model
Useful life / depreciation rate	30 years	10%
Depreciation method	Straight line	Reducing balance
The last revaluation was performed on 31 December 2017 by Shabbir Associates, an independent firm of valuer.		

Movement of Revaluation surplus	Rs. m
At 1 Jan 2017 [120 – (120/29)]	115.86
Transfer on disposal **W2**	(22)
Incremental depreciation [(115.86/28 x 6/12) + (115.86 - 22)/27.5 x 6/12]	(3.76)
Revaluation loss charged to OCI	(90.12)
At 31 December 2017	Nil

W1 – Depreciation / Impairment / Revaluation Surplus		Rs. m
Building		
2015 – Depreciation	[600 / 30 years]	20
2015 – Revaluation Gain	[700 – (600 – 20)]	120
2016 – Depreciation	[700 / 29 years]	24.14
2017 – Depreciation	[((700 – 24.14) – 84)) / 28] + 1.5 W2	22.64
2017 – Revaluation	463 FV – [(700 – 87 Cost) – 42.28 Acc. Dep.]	(107.72)
Plant		
2015 – Depreciation	[475 / 25 years]	19
2016 – Depreciation	[475 / 25 years]	19
2016 – Impairment	[475 – 19 – 19] – [360 Recoverable amount]	77
2017 – Depreciation	[360 x 10% reducing balance]	36

W2 – Depreciation and Revaluation (disposed equipment)		Rs. m	Rs. m
Cost		66	
Depreciation 2015	[66 / 30 years]	(2.2)	
		63.8	
Revaluation gain		23.2	23.2
Revalued 31 Dec 2015		87	
Depreciation 2016	[87 / 29 years]	(3)	(0.8)
		84	
Depreciation 2017	[87 / 29 years x 6/12]	(1.5)	(0.4)
		82.5	22
Accumulated depreciation related to disposed equipment 3 + 1.5		**4.5**	

Example 25:

On 1 July 2019, Sumerian Limited (SL) purchased a manufacturing plant for Rs. 570 million. The plant is being depreciated at a rate of 15% per annum using the reducing balance method. On 31 December 2021, the remaining life of the plant was estimated at 4 years resulting in an increase of 5% in depreciation rate.

SL carried out impairment testing of the plant on 31 December 2021 and also on 31 December 2022 using the following estimates:

	31 Dec 2021	31 Dec 2022
	----- Rs. in million -----	
Annual inflows from the sale of product	245	263
Annual outflows for operations	167	174
Annual interest on loan obtained for plant acquisition	14	14
Net sales proceeds at the end of useful life in current condition	142	140
Additional sale proceeds at the end of useful life if plant is modified at cost of Rs. 50 million	125	125
Current fair value less cost to sell	300	280
Applicable discount rate	12%	10%

Required:

Calculate the carrying value of the manufacturing plant as at 31 December 2021 and 2022.

Answer:

Manufacturing plant:		**Rs. in million**
Cost		570.00
Depreciation for 2019	570×15%×6÷12	(42.75)
Carrying value at 31 December 2019		527.25
Depreciation for 2020	527.25×15%	(79.09)
Carrying value at 31 December 2020		448.16
Depreciation for 2021	448.16×20%	(89.63)
		358.53
Recoverable amount: Higher of 327.15 (W1) or 300	327.15	
Impairment	358.53–327.15	(31.38)
Carrying value at 31 December 2021		**327.15**
Depreciation for 2022	327.15×20%	(65.43)
		261.72
Recoverable amount: Higher of 326.51 **(W2)** or 280	326.51	
Carrying value without impairment (358.53×80%)	286.82	
Reversal of impairment based on lower of the two	286.82–261.72	25.10
Carrying value at 31 December 2022		**286.82**

W-1: Value in use 2021	2022	2023	2024	2025
	---------- Rs. in million ----------			
Annual inflows	245.00	245.00	245.00	245.00
Annual outflows	(167.00)	(167.00)	(167.00)	(167.00)
Disposal				142.00
	78.00	78.00	78.00	220.00
P.V. @ 12%	69.64	62.18	55.52	139.81
Total				**327.15**

W-2: Value in use 2022	2023	2024	2025
	---------- Rs. in million ----------		
Annual inflows	263.00	263.00	263.00
Annual outflows	(174.00)	(174.00)	(174.00)
Disposal			140.00
	89.00	89.00	229.00
P.V. @ 10%	80.91	73.55	172.05
Total			**326.51**

▶ *Example 26:*

Raj Shahi Limited (RSL) acquired a machinery on 1 January 2019 for Rs. 480 million. RSL uses cost model for subsequent measurement and depreciates the machinery on a straight-line basis over its estimated useful life of 8 years.

At the end of year 2021, the machinery had undergone an impairment review and was consequently impaired by Rs. 40 million.

At the end of year 2023, the machinery underwent another impairment review and the following estimates related to machinery were made on 31 December 2023:

	2024	2025	2026
	---------- Rs. in million ----------		
Revenues	140	120	120
Receipts from customers	122	134	124
Operating expenses	108	118	130
Payments for operating expenses	56	66	78
Repayment of the loan acquired for acquisition of the machinery:			
• Principal	20	15	-
• Interest	6	4	-

The machinery can be sold in its current condition for net proceeds of Rs. 135 million. However, this amount is expected to decrease by Rs. 45 million with the passing of each year.

Income tax is payable at 30%.

The applicable discount rate is 12% per annum.

Required:

Compute the impairment loss, if any, in the value of the machinery to be recognised on 31 December 2023. (Show all workings)

▶ *Answer:*

Impairment loss on 31 December 2023		Rs. in million
Carrying value on 31 December 2023	(W-1)	156.0
Recoverable amount:		
Fair value less cost to sell	135.0	
Value in use	(W-2)145.8	
Higher of the two		(145.8)
		10.2

W-1: Carrying value on 31 December 2023		Rs. in million
Cost		480.0
Depreciation for 2019, 2020, 2021	480÷8×3	(180.0)
		300.0
Impairment on 31 December 2021		(40.0)
		260.0
Depreciation for 2022 and 2023	260÷5×2	(104.0)
		156.0

W-2: Value in use	2024	2025	2026
	---------- Rs. in million ----------		
Receipts from customers	122.0	134.0	124.0
Payments for operating expenses	(56.0)	(66.0)	(78.0)
	66.0	68.0	46.0
Present value @ 12%	58.9	54.2	32.7
Total			**145.8**

1. OBJECTIVE BASED Q&A

1. If the fair value less costs of disposal cannot be determined:
   a) The asset is not impaired
   b) The recoverable amount is the value-in-use
   c) The net realizable value is used
   d) The carrying value of the asset remains the same

2. Which TWO of the following could be an indication that an asset may be impaired according to IAS 36 Impairment of Assets?
   a) Decrease in market interest rates
   b) Increase in market values for the asset
   c) Damage caused to the asset
   d) Management intention to reorganise the business

3. IAS 36 Impairment of Assets contains a number of examples of internal and external events which may indicate the impairment of an asset.

   In accordance with IAS 36, which of the following would definitely NOT be an indicator of the potential impairment of an asset (or group of assets)?
   a) An unexpected fall in the market value of one or more assets
   b) Adverse changes in the economic performance of one or more assets
   c) A significant change in the technological environment in which an asset is employed making its software effectively obsolete
   d) The carrying amount of an entity's net assets being below the entity's market capitalisation

4. A fire at the factory on 1 October 2016 damaged the machine, leaving it with a lower operating capacity. The accountant considers that entity will need to recognise an impairment loss in relation to this damage. The accountant has ascertained the following information at 1 October 2016:

   The carrying amount of the machine is Rs.60,750.
   An equivalent new machine would cost Rs.90,000.
   The machine could be sold in its current condition for a gross amount of Rs.45,000. Dismantling costs would amount to Rs.2,000.
   In its current condition, the machine could operate for three more years which gives it a value in use figure of Rs.38,685.
   What is the total impairment loss associated with the above machine at 1 October 2016?
   a) Rs. Nil
   b) Rs.17,750
   c) Rs.22,065
   d) Rs.15,750

5. Which of the following is NOT an indicator of impairment?
   a) Advances in the technological environment in which an asset is employed have an adverse impact on its future use
   b) An increase in interest rates which increases the discount rate an entity uses
   c) The carrying amount of an entity's net assets is higher than the entity's number of shares in issue multiplied by its share price
   d) The estimated net realisable value of inventory has been reduced due to fire damage although this value is greater than its carrying amount

6. Cost of disposal are
   a) Incremental costs, directly attributable to the disposal of an asset, excluding finance costs and income tax expense
   b) Incremental costs, directly attributable to the disposal of an asset, plus finance costs, but excluding income tax expense
   c) Incremental costs, directly attributable to the disposal of an asset, plus finance costs and income tax expense
   d) Incremental costs, directly attributable to the disposal of an asset, plus tax expense, but excluding finance costs

7. An asset is impaired if:
   a) Its carrying amount equals the amount to be recovered through use (or sale) of the asset
   b) Its carrying amount exceeds the amount to be recovered through use (or sale) of the asset
   c) The amount to be recovered through use (or sale) of the asset exceeds its carrying amount
   d) If it has been damaged

8. Value in use is:
   a) The market value
   b) The discounted present value of future cash flows arising from use of the asset and from its disposal
   c) The higher of an asset's fair value less costs of disposal and its market value
   d) The amount at which an asset is recognised in the statement of financial position

9. IAS 36 applied to which of the following assets:
   a) Inventories
   b) Financial assets including property plant and equipment and intangible assets
   c) Assets held for sale
   d) Property, plant, and equipment and intangible assets

10. In accordance with IAS 36 Impairment of Assets which of the following statements are true?
   i. An impairment review must be carried out annually on all intangible assets.
   ii. If the fair value less costs of disposal of an asset exceed the carrying amount there is no need to calculate a value in use.
   iii. Impairment is charged to the statement of profit or loss unless it reverses a gain that has been recognised in equity in which case it is offset against the revaluation surplus.
   a) All three
   b) 1 and 2 only
   c) 1 and 3 only
   d) 2 & 3 only

11. What is the recoverable amount of an asset?
   a) Its current market value less costs of disposal
   b) The lower of carrying amount and value in use
   c) The higher of fair value less costs of disposal and value in use
   d) The higher of carrying amount and market value

12. A machine has a carrying amount of Rs. 850,000 at the year end of 31 March 2019. Its market value is Rs. 780,000 and costs of disposal are estimated at Rs. 25,000. A new machine would cost Rs. 1,500,000. The company which owns the machine expects it to produce net cash flows of Rs. 300,000 per annum for the next three years. The company has a cost of capital of 8%.

    What is the impairment loss on the machine to be recognised in the financial statements at 31 March 2019?
    a) Rs. 76,870
    b) Rs. 95,000
    c) Rs. 1,66,700
    d) Rs. 220,000

13. IAS 36 Impairment of Assets suggests how indications of impairment might be recognised.

    Which TWO of the following would be external indicators that one or more of an entity's assets may be impaired?
    a) An unusually significant fall in the market value of one or more assets
    b) Evidence of obsolescence of one or more assets
    c) A decline in the economic performance of one or more assets
    d) An increase in market interest rates used to calculate value in use of the assets

14. The following information relates to an item of plant.

    Its carrying amount in the statement of the financial position is Rs. 3 million.
    The company has received an offer of Rs. 2.7 million from a company in Karachi interested in buying the plant.
    The present value of the estimated cash flows from continued use of the plant is Rs. 2.6 million.
    The estimated cost of transport the plant to Karachi is Rs. 50,000.
    What is the amount of the impairment loss that should be recognised on the plant?
    a) Rs. 300,000
    b) Rs. 400,000
    c) Rs. 350,000
    d) Rs. 250,000

15. When calculating the estimates of the future cash flows, which of the following cash flows should not be included?
    a) Cash flows from disposal
    b) Income tax payments
    c) Cash flows from the sale of assets produced by the asset
    d) Cash outflows on the maintenance of the asset

16. The following information relates to three assets held by a company:

	Asset A	Asset B	Asset C
	Rs. m	Rs. m	Rs. m
Carrying amount	200	100	80
Value in use	160	120	70
Fair value less costs of disposal	180	130	60

    What is the total impairment loss?
    a) Rs. Nil
    b) Rs. 10 million
    c) Rs. 20 million
    d) Rs. 30 million

17. The following information relates to four assets held by the company:

	A	B	C	D
	Rs. m	Rs. m	Rs. m	Rs. m
Carrying amount	240	60	80	140
Value in use	160	140	160	40
Fair value less costs of disposal	180	80	140	60

What is the total impairment loss?

a) Rs. Nil
b) Rs. 60 million
c) Rs. 80 million
d) Rs. 140 million

18. A vehicle was involved in an accident exactly halfway through the year. The vehicle cost Rs. 10 million and had a remaining life of 10 years at the start of the year. Following the accident, the expected present value of cash flows associated with the vehicle was Rs. 3.4 million and the fair value less costs of disposal was Rs. 6.5 million.

What is the recoverable amount of the vehicle following the accident?

a) Rs. 10 million
b) Rs. 9 million
c) Rs. 6.5 million
d) Rs.3.4 million

19. Radium Limited (RL) acquired a non-current asset on 1 October 2019 at a cost of Rs. 100 million which had a useful life of ten years and a nil residual value. The asset had been correctly depreciated up to 30 September 2024.

At that date the asset was damaged and an impairment review was performed. On 30 September 2024, the fair value of the asset less costs of disposal was Rs. 30 million and the expected future cash flows were Rs. 8.5 million per annum for the next five years.

The current cost of capital is 10% and a five year annuity of Rs. 1 per annum at 10% would have a present value of Rs. 3.79.

What amount would be charged to profit or loss for the impairment of this asset for the year ended 30 September 2024?

a) Rs. 50 million
b) Rs. 32.215 million
c) Rs. 30 million
d) Rs. 17.785 million

20. Metal Limited (ML) owns an item of plant which has a carrying amount of Rs. 248 million as at 1 April 2013. It is being depreciated at 12.5% per annum on a reducing balance basis.

The plant is used to manufacture a specific product which has been suffering a slow decline in sales. ML has estimated that the plant will be retired from use on 31 March 2017.

The estimated net cash flows from the use of the plant and their present values are:

	Net cash flows	Present values
	Rs.000	Rs.000
Year to 31 March 2015	120,000	109,200
Year to 31 March 2016	80,000	66,400
Year to 31 March 2017	52,000	39,000
	252,000	214,600

On 1 April 2014, Metric had an offer from a rival to purchase the plant for Rs. 200 million

At what value should the plant appear in Metric's statement of financial position as at 31 March 2014?

a) Cannot be determined
b) Rs. 200 million
c) Rs. 214.6 million
d) Rs. 217 million

21. Which of the following is covered by IAS 36 – Impairment?

a) Non-current assets held for sale
b) Investment property carried at cost
c) Investment property carried at fair value
d) Inventories

22. Which of the following is not covered by IAS 36 – Impairment?

a) Goodwill
b) Investment property carried at cost
c) Investment property carried at fair value
d) Intangible assets

23. When should an impairment loss be recognised?

a) Immediately
b) Over a number of accounting periods
c) At management's discretion
d) When requested by the entity's auditors

24. Value in use is?

a) The undiscounted present value of future cash flows expected to arise from continuing use of asset, and from its disposal at the end of its useful life
b) The undiscounted future value of present cash flows expected to arise from continuing use of asset, and from its disposal at the end of its useful life
c) The discounted present value of future cash flows expected to arise from continuing use of asset, and from its disposal at the end of its useful life
d) The discounted present value of historical cash flows expected to arise from continuing use of asset, and from its disposal at the end of its useful life

25. Which of the following element is not considered while computing value in use?

a) expectations about possible variations in the amount or timing of those future cash flows
b) the time value of money, represented by the current market risk-free rate of interest
c) the price for bearing the uncertainty inherent in the asset
d) estimated future restructuring cost not yet committed

26. In measuring value in use, the discount rate used for discounting the cash flows should be the?

a) Pre-tax rate that reflects the market assessment of time value of money and risks specific to the asset
b) Pre-tax rate that reflects the market assessment of time value of money and risks specific to the entity's competitors
c) Post-tax rate that reflects the entity's assessment of time value of money and risks specific to the asset
d) Pre-tax rate that reflects the entity's assessment of time value of money and risks specific to the asset

27. When the recoverable amount of an asset is less than its carrying value in the Statement of Financial Position, the asset is?
    a) in a revaluation deficit
    b) Flawed
    c) In negative equity
    d) Impaired

28. Which of the following is an internal indication of impairment?
    a) Decline in market value
    b) Worse economic performance than expected
    c) Increase in market interest rates
    d) Technological obsolescence

29. Which of the following is an external indication of impairment?
    a) Physical damage
    b) Worse economic performance than expected
    c) Increase in market interest rates
    d) Asset is part of a restructuring program

30. Under IAS 36, what is the recoverable amount of an asset?
    a) The lower of its cost and net realisable value
    b) The higher of fair value less costs of disposal and value in use
    c) The lower of net present value and cost
    d) The higher of net present value and cost

31. Which of the following is not permitted as a costs of disposal under IAS 36?
    a) Cost to dismantle machine
    b) Auctioneers fees
    c) Standard wages for employees
    d) Transport costs for machine

32. When calculating the estimates of future cash flows which of the following cash flows should not be included?
    a) Cash out flows on the maintenance of the asset
    b) Cash flows from disposal
    c) Cash flows from the sale of inventory produced by the asset
    d) Benefits from future restructuring

33. Under IAS 36 Impairment of Assets, if the fair value less costs of disposal of an asset cannot be determined then:
    a) the asset is not impaired
    b) the recoverable amount is the value in use
    c) the net realizable value is used
    d) the carrying value of the asset remains the same

34. A plant has a carrying amount of Rs. 1,500,000 as at 31 December 2019. Its fair value is Rs. 900,000 and costs of disposal are estimated at Rs. 50,000. A new plant would cost Rs. 2,500,000. Cash flows from the plant for the next four years are estimated at Rs. 350,000 per annum. Applicable discount rate is 10%.

    What is the approximate impairment loss on the plant to be recognised in the financial statements as at 31 December 2019?

    a) Rs. 650,000
    b) Rs. 390,000
    c) Rs. 1,000,000
    d) Nil

35. Which of the following future cash flows should NOT be included in the calculation of value in use of an asset?

    a) Cash flows on maintaining the asset's performance
    b) Cash flows on enhancing the asset's performance
    c) Cash flows from continuing use of the asset
    d) Cash flows from disposal of the asset

36. When an impairment review is carried out, an impaired asset is measured at:

    a) Fair value less cost to sell
    b) Value in use
    c) Cost
    d) Recoverable amount

37. Which of the following would be an external indicator that an asset of an entity may be impaired?

    a) Increase in central bank discount rates
    b) Decline in economic performance of an asset
    c) Physical obsolescence of an asset
    d) Future restructuring plan of an asset

38. A plant has a carrying amount of Rs. 3.3 million as at 31 December 2021. Its fair value is Rs. 2.4 million and costs of disposal are estimated at Rs. 0.1 million. Cash flows from the plant for the next 4 years are estimated at Rs. 0.7 million per annum. It will be disposed of at the end of the 4th year for Rs. 0.6 million. Applicable discount rate is 10% per annum.

    What is the approximate impairment loss on the plant to be recognised in the financial statements for the year ended 31 December 2021?

    a) Rs. 1 million
    b) Rs. 2.6 million
    c) Rs. 0.7 million
    d) Rs. 1.1 million

39. Which TWO of the following are internal sources of assessing whether there is an indication of impairment?

    a) An expected decline in the asset's market value
    b) An increase in interest rates
    c) Evidence that the asset is damaged
    d) Evidence that the entity's performance is worse than expected

40. Which of the following statements is/are correct?

    i. It is always necessary to determine both an asset's fair value less costs of disposal and its value in use.
    ii. An entity shall estimate the recoverable amount of the asset at each year-end.

    a) Only (I) is correct
    b) Only (II) is correct
    c) Both are correct
    d) None is correct

41. The carrying value of a plant at 30 June 2023 is Rs. 26 million. The fair value of the plant is estimated at Rs. 25 million, while its disposal costs are estimated to be Rs. 3 million. The plant's cash flows for the next five years are estimated to be Rs. 7 million per annum. The pre-tax and post-tax discount rates per annum are 16% and 12%, respectively.

    What is the approximate recoverable amount of the plant in the above case?

    a) Rs. 3 million
    b) Rs. 23 million
    c) Rs. 25 million
    d) Rs. 26 million

42. Which TWO of the following are correct in accordance with IAS 36?

    a) If impairment indicators are present, the entity shall estimate the recoverable amount of the asset
    b) While computing impairment loss, the asset's carrying value is compared with the lower of its fair value less costs of disposal and its value in use
    c) If the recoverable amount is lower than the carrying value, an impairment loss is always charged to the statement of profit or loss
    d) An impairment loss only arises if the fair value less costs of disposal as well as the value in use are lower than the carrying amount

43. On 1 January 2022, Gamma Limited (GL) purchased a manufacturing plant at a cost Rs. 240 million with a useful life of 5 years. GL uses straight-line method of depreciation. At 31 December 2023, GL determines that there are indications for impairment. The plant's value in use and fair value less costs of disposal are estimated to be Rs. 113 million and Rs. 108 million respectively.

    Which of the following should be reported as impairment loss in GL's statement of profit or loss for 2023?

    a) Rs. 31 million
    b) Rs. 36 million
    c) Rs. 79 million
    d) Rs. 84 million

ANSWERS

01.	(b)	The recoverable amount is higher of value in use and fair value less costs of disposal and in case fair value cannot be measured reliably, the recoverable amount is value in use.
02.	(c) & (d)	A decrease in interest rates would reduce the discount applied to future cash flows in calculating the value in use, therefore increasing the value in use. An increase in market values will lead to the asset value increasing rather than being impaired.
03.	(d)	The entity's market capitalisation would not be reflected within the values on the statement of financial position.
04.	(b)	Value in use of Rs.38,685 is lower than fair value less costs of disposal of Rs.43,000, so recoverable amount is Rs.43,000 and impairment is Rs.60,750 – Rs.43,000 = Rs.17,750.
05.	(d)	Although the estimated net realisable value is lower than it was (due to fire damage), the entity will still make a profit on the inventory and thus it is not an indicator of impairment.
06.	(a)	Tax and finance costs are not cost of disposal.
07.	(b)	Asset may not be impaired even after damage. Impairment loss is excess of carrying amount over recoverable amount.
08.	(b)	This is definition of value in use
09.	(d)	(a), (b) and (c) are excluded from scope of IAS 36 as the prudence mechanism is already incorporated in the relevant standards of these items.
10.	(d)	Item 1 is untrue. An annual impairment review is only required for intangible assets with an indefinite life.
11.	(c)	The higher of fair value less costs of disposal and value in use.
12.	(a)	<table><tr><th></th><th>Rs.</th></tr><tr><td>Fair value – costs of disposal (780,000 – 25,000)</td><td>755,000</td></tr><tr><td>Value in use:</td><td></td></tr><tr><td>300,000 × 1 / 1.08</td><td>277,780</td></tr><tr><td>300,000 × 1 / 1.08^2</td><td>257,200</td></tr><tr><td>300,000 × 1 / 1.08^3</td><td>238,150</td></tr><tr><td></td><td>773,130</td></tr></table> Recoverable amount is Rs. 773,130 and carrying amount is Rs. 850,000, so impairment is Rs. 76,870.
13.	(a & d)	The other options are internal indicators of impairment.
14.	(c)	<table><tr><th></th><th>Rs.</th></tr><tr><td>Fair value less costs of disposal (2.7m – 50,000)</td><td>2,650,000</td></tr><tr><td>Value in use</td><td>2,600,000</td></tr><tr><td>Recoverable amount is therefore:</td><td>2,650,000</td></tr><tr><td>Impairment loss (balancing figure)</td><td>350,000</td></tr><tr><td>Carrying amount</td><td>3,000,000</td></tr></table>

15.	(b)	Cash flows related to taxations are ignored while calculating value in use.
16.	(d)	20 + Nil + 10 = Rs. 30 million
17.	(d)	60 + Nil + Nil +80 = Rs. 140 million
18.	(c)	The recoverable amount of an asset is the higher of its value in use (being the present value of future cash flows) and fair value less costs of disposal. Therefore, the recoverable amount is Rs. 6.5 million.
19.	(d)	

	Rs. m
Cost 1 October 2019	100
Depreciation (100 /10 x 5 years)	(50)
Carrying amount	**50**

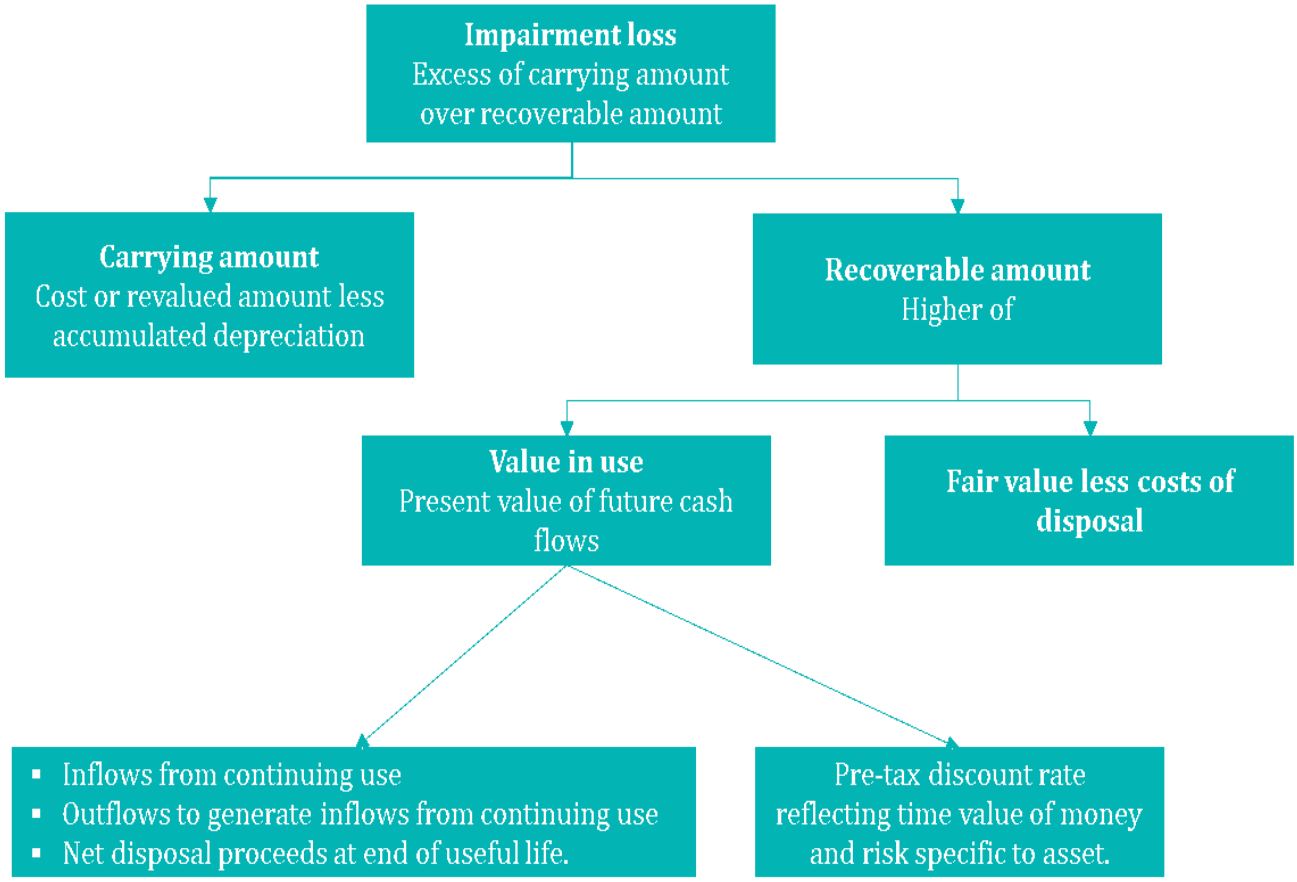
The recoverable amount is the higher of fair value less costs to disposal (Rs. 30 million) and the value in use (Rs. 8.,5 x 3.79 = Rs. 32.215). Recoverable amount is therefore Rs. 32.215.

	Rs. m
Carrying amount	50
Recoverable amount	(32.215)
Impairment to statement of profit or loss	**17.785**

20.	(c)	Is the lower of its carrying amount (Rs. 217 million) and recoverable amount (Rs. 214.6 million) at 31 March 2015. Recoverable amount is the higher of value in use (Rs. 214.6 million) and fair value less costs to (Rs. 200 million). Carrying amount = Rs. 217 million (248 million – (248 million × 12.5%)) Value in use is based on present values = Rs. 214.6 million
21.	(b)	Investment property carried at cost
22.	(c)	Investment property carried at fair value
23.	(a)	Immediately
24.	(c)	The discounted present value of future cash flows expected to arise from continuing use of asset, and from its disposal at the end of its useful life.
25.	(d)	estimated future restructuring cost not yet committed
26.	(a)	Pre-tax rate that reflects the market assessment of time value of money and risks specific to the asset
27.	(d)	Impaired
28.	(b)	Worse economic performance than expected
29.	(c)	Increase in market interest rates
30.	(b)	The higher of fair value less costs of disposal and value in use
31.	(c)	Standard wages for employees
32.	(d)	Benefits from future restructuring
33.	(b)	the recoverable amount is the value in use

34.	(b)	Rs. 390,000
35.	(b)	Cash flows on enhancing the asset's performance
36.	(d)	Recoverable amount
37.	(a)	Increase in central bank discount rates
38.	(c)	Value in use = [0.7m x (1-1.10^{-4})/0.10] + [0.6m x 1.10^{-4}] = Rs. 2.6m Fair value less costs of disposal = Rs. 2.4m – 0.1m = Rs. 2.3m Recoverable amount (higher) = Rs. 2.6m Impairment loss = Carrying amount Rs. 3.3m – 2.6m = Rs. 0.7 m
39.	(c) & (d)	Evidence that the asset is damaged and evidence that the entity's performance is worse than expected.
40.	(d)	None is correct
41.	(b)	Fair value less cost of disposal [Rs. 25m – 3m] = Rs. 22m Value in use = $7m \times \frac{1-1.16^{-5}}{0.16} = Rs.22.92m$ Higher Rs. 22.92 i.e. Rs. 23m approximately.
42.	(a) & (d)	If impairment indicators are present, the entity shall estimate the recoverable amount of the asset. An impairment loss only arises if the fair value less costs of disposal as well as the value in use are lower than the carrying amount.
43.	(a)	Carrying amount [Rs. 240m – (240/5 years x 2 years) = Rs. 144 million Recoverable amount (higher of Rs. 113m & Rs. 108m) = Rs. 113m Impairment loss [Rs. 144m – 113m] = Rs. 31 million

STICKY NOTES



Summary of the approach

Impairment of an asset should be identified and accounted for as follows:	
1.	At the end of each reporting period, the entity should assess whether there are any indications that an asset may be impaired.
2.	If there are such indications, the entity should estimate the asset's recoverable amount.
3.	When the recoverable amount is less than the carrying value of the asset, the entity should reduce the asset's carrying value to its recoverable amount. The amount by which the value of the asset is written down is an impairment loss.
4.	This impairment loss is recognised as a loss for the period. However, if the impairment loss relates to an asset that has previously been revalued upwards, it is first offset against any remaining revaluation surplus for that asset. When this happens it is reported as other comprehensive income for the period (a negative value) and not charged against profit.
5.	A reversal of an impairment loss for an asset shall be recognised immediately in profit or loss to the extent that increased carrying amount of such asset does not exceed the carrying amount that would have been determined (net of amortisation or depreciation) had no impairment loss been recognised for the asset in prior years. Any increase in the carrying amount of an asset above the carrying amount that would have been determined (net of amortisation or depreciation) had no impairment loss been recognised for the asset in prior years is a revaluation and shall be recognised in other comprehensive income (and accumulated as revaluation surplus) only if entity uses revaluation model for such asset.
6.	Depreciation in future periods (after impairment or reversal of impairment) should be adjusted to allocate the asset's revised carrying amount, minus any residual value, over its remaining useful life (revised if necessary).

CHAPTER 6

INTERPRETATION OF FINANCIAL STATEMENTS

IN THIS CHAPTER:

AT A GLANCE

SPOTLIGHT

1. Analysis of financial information
2. Profitability ratios
3. Working capital effeciency ratios
4. Liquidity and solvency ratios
5. Other aspects
6. Comprehensive Examples
7. Objective Based Q&A

STICKY NOTES

AT A GLANCE

Analysis and interpretation of financial statements helps users of financial statements:

- to assess the profitability, operational efficiency and financial health of an entity;
- to ascertain the relative importance of different components of the financial position;
- to identify the reasons for the changes in the profitability/financial position of the entity; and
- to judge the ability of the entity to repay its long term and short-term debts.

The term analysis means simplification of financial data by methodical study of the relationship among various financial facts and figures as given in a set of financial statements. Interpretation means explaining the meaning and significance of this data to gain an insight into the profitability, financial position, gearing, liquidity, and operational efficiency of the firm to assess its financial health and future prospects.

Analysis of financial statements includes:

- Horizontal analysis i.e. %age change in financial statements line items over the period(s).
- Vertical analysis i.e. expressing each financial statement line item as %age of revenue (for income and expenses) or total assets (for assets, liabilities and equity).
- Ratio analysis i.e. calculating significant relationships and trends which are not immediately evident from the examination of individual balances appearing in the financial information to understand profitability, working capital efficiency, liquidity and solvency of an entity.

Users of financial statements must also be aware of limitations of financial statements ratios and analysis, for example, unavailability of non-financial information, ignoring price level changes, effects of changes in accounting policies and estimates and historical nature of financial information.

1. ANALYSIS OF FINANCIAL INFORMATION

1.1 Users and their financial information needs [Conceptual Framework: 1.5, 1.9 & 10]

The conceptual framework identifies existing and potential investors, lenders and other creditors of a reporting entity as primary user of general-purpose financial statements. Other parties, such as regulators and members may also find general purpose financial reports useful.

The management of a reporting entity is also interested in financial information about the entity. However, management need not rely on general purpose financial reports because it is able to obtain the financial information it needs internally.

All these groups are interested in financial performance, financial position and cash flows of the entity. Some users are mainly interested in performance and profitability, while others may be more interested in liquidity and gearing or other matters. For example:

- An existing investor has to decide whether to continue to hold shares or to sell them and tends to be most interested in profitability ratios (such as gross and net profit margin and return on capital employed).
- A potential investor needs information about an entity's profitability and probably also information about whether or not the entity is managed efficiently and is likely to focus on profit margins, return on capital employed, asset turnover and working capital ratios.
- A lender (e.g. bank) needs to know whether it will receive interest payments when these are due and whether the money that it lends will eventually be repaid and will normally be most interested in cash flows and liquidity ratios (current ratio, acid test ratio) gearing and interest cover.
- A creditor has to decide appropriate credit limit and credit period in order to ensure that amount due will be collected eventually.
- Employees are interested in fair wages, adequate employment benefits, bonus linked with productivity / profitability and whether or not the entity will be able to offer them desired career growth.
- The management performs financial forecasting, planning (of a future based on the past and present) and controlling (budgets) as a decision maker. The management also needs to understand perspective of investors, lenders, creditors and other users as they are accountable for the entity's performance.

An exam question might ask you to interpret an entity's financial statements for the benefit of specific people or groups of people. Therefore, your analysis should focus on the needs of the users.

- What do they need to know?
- What are they interested in?
- What decision do they need to make?

1.2 Financial statements analysis

Financial statement analysis is the process of analysing a company's past, current and projected performance for decision-making purposes it allows analysts to identify trends by comparing ratios across multiple periods and statement types to allow analysts to measure liquidity, profitability, company-wide efficiency, and cash flow.

Financial statement analysis is of the following three types:

- Horizontal analysis
- Vertical analysis
- Ratio analysis

1.3 Horizontal analysis (trend analysis)

Horizontal analysis is used to compare historical data, such as ratios, or line items, over a number of accounting periods. It helps identify trends and growth patterns in an entity's performance over a number of periods.

Period wise percentage change is calculated that helps evaluate improvement or decline in an entity's performance. This also makes it easier to compare growth rates and profitability among different entities.

$$\text{Change \%} = \frac{\text{Current year amount} - \text{Base year amount}}{\text{Base year amount}} \times 100$$

Example 01:

The following is a specimen of horizontal analysis calculated for Adeel Limited:

Statement of profit or loss for the year ended 31 December 2024

	2024	2023	Change from 2023 to 2024
	Rs. in millions		%
Sales	4,315	3,760	14.8
Cost of Sales	(3,020)	(2,669)	13.2
Gross Profit	1,295	1,091	18.7
Distribution costs	(800)	(760)	5.3
Administrative expenses	(296)	(162)	82.7
Other income	15	10	50
Profit before interest and tax	214	179	19.6
Interest expense	(13)	(15)	(13.3)
Profit before tax	201	164	22.6
Tax	(35)	(30)	16.7
Profit after tax	**166**	**134**	**23.9**

Statement of financial position as at 31 December 2024

	2024	2023	Change from 2024 to 2023
	Rs. in millions		%
Non-current assets			
Property, plant and equipment	865	880	(1.7)
Investment property	124	112	10.7
	989	992	(0.3)
Current assets			
Inventories	272	280	(2.9)
Trade receivables	168	173	(2.9)
Cash and bank	12	10	20.0
	452	463	(2.4)
Total assets	**1,441**	**1,455**	**(1.0)**

Equity			
Share capital	800	800	-
Retained earnings	360	310	16.1
	1,160	1,110	4.5
Non-current liabilities			
Long term loans	125	150	(16.7)
	125	150	(16.7)
Current liabilities			
Trade payables	153	162	(5.6)
Accruals and other payables	3	33	(90.9)
	156	195	(20.0)
Total equity and liabilities	**1,441**	**1,455**	**(1.0)**

1.4 Vertical analysis (common size analysis)

Vertical analysis is the proportional analysis of a financial statement, where each line item on a financial statement is listed as a percentage of another item. This means that every line item in statement of profit or loss is stated as a percentage of gross sales, while every line item in statement of financial position is stated as a percentage of total assets.

The most common use of vertical analysis is within a financial statement for a single reporting period, so that one can see the relative proportions of account balances. It is also useful for trend analysis, to see relative changes of an item over time, such as on a comparative basis over a five-year period. For example, if the cost of goods sold has a history of being 70% of sales in each of the past many years, then a new percentage of 77% would be a cause for alarm.

- *Example 02:*

The following is a specimen of vertical analysis calculated for Adeel Limited:

Statement of profit or loss for the year ended 31 December 2024

	2024		2023	
	Rs. m	**%**	**Rs. m**	**%**
Sales	4,315	100	3,760	100
Cost of Sales	(3,020)	(70.0)	(2,669)	(71.0)
Gross Profit	1,295	30.0	1,091	29.0
Distribution costs	(800)	(18.5)	(760)	(20.2)
Administrative expenses	(296)	(6.9)	(162)	(4.3)
Other income	15	0.3	10	0.3
Profit before interest and tax	214	5.0	179	4.8
Interest expense	(13)	(0.3)	(15)	(0.4)
Profit before tax	201	4.6	164	4.4
Tax	(35)	(0.8)	(30)	(0.8)
Profit after tax	**166**	**3.8**	**134**	**3.6**

Statement of financial position as at 31 December 2024

	2024		2023	
	Rs. m	%	Rs. m	%
Non-current assets				
Property, plant and equipment	865	60	880	60.5
Investment property	124	8.6	112	7.7
	989	68.6	992	68.2
Current assets				
Inventories	272	18.9	280	19.2
Trade receivables	168	11.7	173	11.9
Cash and bank	12	0.8	10	0.7
	452	31.4	463	31.8
Total assets	**1,441**	**100**	**1,455**	**100**
Equity				
Share capital	800	55.5	800	55.0
Retained earnings	360	25.0	310	21.3
	1,160	80.5	1,110	76.3
Non-current liabilities				
Long term loans	125	8.7	150	10.3
	125	8.7	150	10.3
Current liabilities				
Trade payables	153	10.6	162	11.1
Accrual and other payables	3	0.2	33	2.3
	156	10.8	195	13.4
Total equity and liabilities	**1,441**	**100**	**1,455**	**100**

1.5 Ratio analysis

A ratio is simply one figure divided by another meaningful figure with the objective of disclosing significant relationships and trends which are not immediately evident from the examination of individual balances appearing in the financial information. In this way, complicated information is summarised so that a meaningful comparison of financial performance and financial position can be made against following benchmarks:

- Previous years (i.e. trend analysis reflecting improvement or decline in performance and position).
- Industry averages or specific competitors (i.e. to determine whether entity's performance is better or worse than the industry or specific competitor).
- Pre-determined forecasts (i.e. whether the entity achieved its targets or has fallen short).

Ratios have the advantage of controlling for differences in size. For example, two businesses may be quite different in size but can be compared in terms of profitability, liquidity, etc., by the use of ratios.

The main financial ratios can be classified as:

- Profitability ratios (including investors' profitability ratios)
- Working capital efficiency ratios
- Liquidity ratios
- Debt or solvency ratios

2. PROFITABILITY RATIOS

2.1 Profit/sales ratio

The profit/sales ratio is the ratio of the profit that has been achieved for every Rs.1 of sales. Profit/sales ratios are commonly used by management to assess financial performance, and a variety of different figures for profit might be used. The definition of profit can be any of the following:

- Profit before interest and tax
- Gross profit (i.e. sales minus the cost of sales)
- Net profit (i.e. Profit after tax)

It is important to be consistent in the definition of profit, when comparing performance from one year to the next. So, there are 3 types of profit to sales ratio:

- Profitability/Operating profit ratio
- Gross profit margin ratio
- Net profit ratio

The gross profit ratio is often useful for comparisons between companies in the same industry, or for comparison with an industry average. It is also useful to compare the net profit ratio with the gross profit ratio. A high gross profit ratio and a low net profit ratio indicate high overhead costs for administrative expenses and selling and distribution costs.

▶ *Example 03:*

Using the data given in Example 01 for year 2024, profit /sales ratios can be calculated as follows:

If net profit is defined as profit before interest and tax

$$= \frac{\text{PBIT}}{\text{Sales}} = \frac{214}{4{,}315} = 4.96\%$$

If net profit is defined as profit after interest and tax

$$= \frac{\text{PAT}}{\text{Sales}} = \frac{166}{4{,}315} = 3.85\%$$

Comments:

The figure suggests that Rs. 4.96 is earned on every 100 rupees of sales before interest and tax are deducted. After the deduction this figure becomes Rs. 3.85 in the given scenario.

The profit to sales ratio shows the percentage of sales that is left over after the business has paid all its expenses. The ratio helps to determine how effectively a company's sales are converted into net income. Again the figures have to be compared with the industry averages and over the years for the same company to arrive at a more meaningful conclusion.

▶ *Example 04:*

Using the data given in Example 01 for year 2024, gross profit margin can be calculated as follows:

$$= \frac{\text{Gross profit}}{\text{Sales}} = \frac{1{,}295}{4{,}315} = 30\%$$

Comment:

The GP margin is 30% that implies the company may reduce the selling price of its products up to around 30% without incurring any loss. The GP ratio is an important ratio as it evaluates the operational performance of the entity. Gross profit is an important figure for the business, it should be sufficient enough to cover all the expenses and provide for the profit to the investors.

In general, a higher ratio is a better ratio. The profitability of the business can be measured by comparing it with the competing entities in the similar industry and with the past trend for the same company. A consistent growth over the years indicates a sustainable continuous improvement in the business's processes and practices.

2.2 Cost/ sales ratios

It is also useful to monitor the ratio of different types of cost to sales. The following ratios can be useful to highlight an unexpected change in a period or to indicate a difference between the company and another in a similar industry:

- Ratio of (Cost of sales/Sales) × 100%
- Ratio of (Administration costs/Sales) × 100%
- Ratio of (Selling and distribution costs/Sales) × 100%

▶ *Example 05:*

Using the data given in Example 01 for year 2024, cost / sales ratios can be calculated as follows:

Cost of sales ratio

$$= \frac{\text{Cost of sales}}{\text{Sales}} = \frac{3{,}020}{4{,}315} = 70\%$$

Administrative expense ratio

$$= \frac{\text{Administrative expenses}}{\text{Sales}} = \frac{296}{4{,}315} = 6.86\%$$

Distribution costs ratio

$$= \frac{\text{Distribution costs}}{\text{Sales}} = \frac{800}{4{,}315} = 18.54\%$$

Comments:

Costs ratios represent what extent of sales is an individual expense or a group of expenses. The lower the ratio the better is the profitability status of the organisation. Care must be taken in dealing with the variable expenses as they vary with the change in the sales volume. This ratio doesn't normally change significantly with the rise or decline in the sales volume. Whereas the ratios for fixed expenses change significantly with the increase or decrease in the sales volume.

In the given scenario the cost of sales/sales ratio states that every Rs. 70 out of 100 rupees of sales represent cost of sales. These are the direct costs that vary with the level of sales.

Looking at the other two ratios we find that in this particular period every 6.86 rupees out of every 100 rupees of sales were spent on the administration costs and 18.54 rupees were expensed on selling and distribution costs.

These ratios help the management in controlling and estimating future expenses.

2.3 Sales/capital employed ratio or assets turnover ratio

This measures the amount of sales achieved during the period for each Rs. 1 of long-term capital invested in the business. This ratio is expressed in number of times rather than in terms of percentage.

The capital employed is aggregate of equity and long-term debts including preference shares. The capital employed can also be calculated as total assets minus current liabilities. Where possible, use the average capital employed during the year. This is usually the average of the capital employed at the beginning of the year and end of the year.

▶ *Example 06:*

Using the data given in Example 01 for year 2024, sales/capital employed ratio can be calculated as follows:

Sales to capital employed (or asset turnover) ratio

$$= \frac{\text{Sales}}{\text{Average capital employed}} = \frac{4{,}315}{1{,}272.5} = 3.39 \text{ times}$$

Capital employed

at end of year 2024:	Rs. 1,160 m + 125 m = Rs. 1,285 m
at beginning of year 2024	Rs. 1,110 m + 150 m = Rs. 1,260 m
Average	[Rs. 1,285 m + 1,260 m] / 2 = Rs. 1,272.5 m

Comment:

The Sales/Capital employed ratio measures how efficiently an organisation's assets generate revenues. Here, every single rupee of the capital employed in the business is generating revenue of Rs. 3.39. It must also be taken into account that the age of a company's assets can heavily impact hence result in different asset turnover ratios for similar companies. For example a company having older assets with lower book values might have a higher asset turnover ratio than the one with the similar revenues but newer, higher net book value assets.

A constantly declining assets turnover ratio or a lower ratio as compared to the industry averages might indicate towards the issues related to the excess production capacity, poor inventory management, and sloppy collection methods etc. The higher the ratio the better it is considered yet capital investment for purchasing assets in anticipation of future growth or sale of existing unnecessary assets for an anticipated decline in future can suddenly and may be artificially change the company's assets turnover ratio. Besides companies in the capital-intensive industries tend to have a lower assets turnover ratio than the ones operating with fewer assets. Therefore for a more meaningful analysis, the companies should be compared within the same industry.

It can be useful to measure the annual growth (or decline) in sales, measured as a percentage of sales in the previous year, as already covered in horizontal analysis.

2.4 Investors' profitability ratios

Profit-making companies should try to make a profit that is large enough in relation to the amount of money invested in the business. Therefore, investors are particularly interested in following profitability ratios:

- Return on capital employed (ROCE)
- Return on equity (ROE)
- Return on assets (ROA)

2.4.1 Return on capital employed (ROCE)

This ratio measures profit before interest and tax as a percentage of capital employed in the business.

Interest on long term debt is added back to determine the profit that will be available as return to providers of long-term capital resources. The capital employed is the share capital and reserves, plus long-term debt capital such as bank loans, bonds and loan stock. Where possible, use the average capital employed during the year. This is usually the average of the capital employed at the beginning of the year and end of the year.

A higher ROCE indicates more efficient use of capital. ROCE should be higher than the company's capital cost; otherwise it indicates that the company is not employing its capital effectively and is not generating shareholder value.

▶ *Example 07:*

Using the data given in Example 01 for year 2024, ROCE can be calculated as follows:

Return on capital employed

$$= \frac{\text{PBIT}}{\text{Average capital employed}} = \frac{214}{1{,}272.5} = 16.8\%$$

Capital employed

at end of year 2024:	Rs. 1,160 m + 125 m = Rs. 1,285 m
at beginning of year 2024	Rs. 1,110 m + 150 m = Rs. 1,260 m
Average	[Rs. 1,285 m + 1,260 m] / 2 = Rs. 1,272.5 m

Comments:

The 16.8% return on the capital employed indicates a return of Rs. 16.8 on every 100 rupees invested in the business. The ratio shows how efficiently the entity's long-term funds are being employed. The investors are interested to invest in the company that has a higher ROCE than the other available option(s). Besides the company's return should always be higher than the cost at which the funds were acquired. For example if a company borrows at 20% and achieves a return of only 16.8%, that indicates they are actually losing money.

The return on capital employed depends on two factors:

- The profitability of the goods or services that the entity has sold (i.e. profit to sales ratio).
- The volume of sales that the entity has achieved with the capital and assets it has employed (i.e. asset turnover ratio).

▶ *Example 08:*

A company has profit / sales ratio of 4.96% and asset turnover ratio of 3.39 times, its ROCE may be calculated as follows:

Return on capital employed = Profit to sales ratio x asset turnover

Return on capital employed = 4.96% x 3.39 = 16.8%

ROCE is a useful measure of comparing profitability across competing entities based on the amount of capital they use. It becomes more useful when the comparison is between capital-intensive entities. Moreover, for a single company, the ROCE trend over the years is a significant performance indicator. Generally speaking, the investors are more inclined to invest in the companies that have stable and rising ROCE figures as compared to those where the ROCE is volatile and inconsistent.

▶ *Example 09:*

The two companies A and B operating in the similar lines of business for the year ender 31st December 2016. The following data is available:

	Company A	Company B
	Rs.	Rs.
Profit before interest and tax	539,900	2,616,100
Average capital employed	3,659,000	12,193,400

Required:

Calculate and comment on ROCE of both companies.

▶ *Answer:*

Company A – ROCE

$$= \frac{\text{PBIT}}{\text{Average capital employed}} = \frac{539{,}900}{3{,}659{,}000} = 14.8\%$$

Company B - ROCE

$$= \frac{\text{PBIT}}{\text{Average capital employed}} = \frac{2{,}616{,}100}{12{,}193{,}400} = 21.5\%$$

Comments:

The company B appears to be utilising its capital better than company A. Company B can reinvest a greater portion of its profits back into the business operations to the benefit of the shareholders. While we see that Company B's ROCE is higher than that of Company A yet there is not a lot to be attained from using data from one angle and at a single point of time. Greater insight can be achieved if trends over time are analysed. As Company B though is performing better than A yet it might have been facing a constant decline in the ROCE that may indicate a potential loss of competitive advantage.

2.4.2 Return on equity (ROE)

This ratio is also called return on shareholders capital (ROSC) and return on investment (ROI).

It measures the return on investment that the shareholders of the company have made. This ratio normally uses the values of the shareholders' equity as shown in the statement of financial position (rather than market values of the shares).

The average value of equity should be used if possible. This is the average of the equity at the beginning and the end of the year. Profit after tax and preference dividend is used as this is the amount attributable to equity shareholders.

▶ *Example 10:*

Using the data given in Example 01 for year 2024, ROE can be calculated as follows:

Return on equity

$$= \frac{\text{PAT – preference dividend}}{\text{Average equity}} = \frac{166 - 0}{1{,}135} = 14.2\%$$

Average shareholders' equity [Rs. 1,110 m + 1,160 m] / 2 = Rs. 1,135 m

Comments:

The ROE measures the ability of the entity to generate profits from the investments made by its shareholders. The figure above shows a percentage of 14.2% meaning that the entity generates a return of Rs. 14.2 for every 100 rupees invested by the shareholder into the business. A good ROE is the indicator of effective management of equity financing.

2.4.3 Return on assets (ROA)

The normal convention is to use profit before interest and tax and 'total assets' which includes both current and non-current assets. However, other variations are sometimes used such as non-current assets only.

The return on assets ratio is a profitability ratio and measures the return produced by the total assets. It helps both, the management and the investors, to know how well the entity can convert its investment in assets into profits. The figures of ROA depend highly on the industry and hence can vary substantially. This suggests that when ROA has to be used as a comparative measure then the best practice is to compare it against a company's previous ROA figures or the ROA of a company in the similar business line.

▶ *Example 11:*

Using the data given in Example 01 for year 2024, ROA based on total assets as well as on non-current assets only can be calculated as follows:

Return on (total) assets

$$= \frac{\text{PBIT}}{\text{Total assets}} = \frac{214}{1{,}441} = 14.85\%$$

Return on (non-current) assets

$$= \frac{\text{PBIT}}{\text{Non-current assets}} = \frac{214}{989} = 21.63\%$$

Comments:

This means that on average every 100-rupees invested in business's assets generated 14.85 in profit. If taken from the perspective of non-current assets only, 21.63 rupees are generated in profit.

The analysis would be more useful and meaningful when compared with the entity's own performance over the years and against the figures of the firm(s) competing in the similar industry.

3. WORKING CAPITAL EFFICIENCY RATIOS

3.1 Purpose of working capital efficiency ratios

Working capital efficiency ratios measure the efficiency with which the entity has managed its receivables, inventory and trade payables. The ratios are usually measured in terms of an average number of days and sometimes expressed in number of times of turnover during a period.

The cash cycle, also called the operating cycle and the working capital cycle, can be calculated on the basis of working capital efficiency ratios as well. Cash cycle is the time between purchasing the raw materials used to make a product and collecting the money from selling the product.

The working capital ratios are a useful measure of whether the entity has too much or too little invested in working capital:

a) **Excessive investment in working capital** is indicated by a long cash cycle that appears to be getting even longer. When too much is invested in working capital, the ROCE and ROE will be lower than they should be.

b) **Under-investment in working capital** is an indication of possible liquidity difficulties. When working capital is low in comparison with the industry average, this might indicate that current assets are being financed to an excessive extent by current liabilities, particularly trade payables and a bank overdraft.

3.2 Average time to collect (receivables days) or receivables turnover

This ratio estimates the time that it takes on average to collect the payment from customers after the sale has been made. It could be described as the average credit period allowed to customers or the 'average collection period'.

Sales are usually taken as total sales for the year. However, if sales are analysed into credit sales and cash sales, it is probably more appropriate to use the figure for credit sales only. Average receivables should be used in calculation when comparable data for calculation is available, otherwise, receivables at the end of year is used.

The average time to collect money from credit customers should not be too long. A long average time to collect suggests inefficient collection of amounts due from receivables.

▶ *Example 12:*

Using the data given in Example 01, average days to collect receivables and receivable turnover in times can be calculated as follows:

Average days to collect

$$= \frac{\text{Average trade receivables}}{\text{Sales}} \times 365 = \frac{170.5}{4{,}315} \times 365 = 14.4 \text{ days}$$

Average trade receivables [Rs. 168 m + 173 m] / 2 = Rs. 171 m

Receivables turnover

$$= \frac{\text{Sales}}{\text{Average trade receivables}} = \frac{4{,}315}{171} = 25.2 \text{ times}$$

3.3 Average time for holding inventory (inventory days) or inventory turnover

This ratio is an estimate of the average time that inventory is held before it is used or sold. A longer than inventory average period indicates inefficient production process. Average inventory should be used in calculation when comparable data for calculation is available, otherwise, inventory at the end of year is used.

▶ *Example 13:*

Using the data given in Example 01, average holding days of inventory and inventory turnover in times can be calculated as follows:

Average holding days

$$= \frac{\text{Average inventory}}{\text{Cost of sales}} \times 365 = \frac{276}{3{,}020} \times 365 = 33.4 \text{ days}$$

Average inventory [Rs. 272 m + 280 m] / 2 = Rs. 276 m

Inventory turnover

$$= \frac{\text{Cost of sales}}{\text{Average inventory}} = \frac{3{,}020}{276} = 10.9 \text{ times}$$

In a manufacturing organization there are usually three types of inventories i.e. raw materials, work in process and finished goods. Holding period for each type of inventory may be calculated separately using the following formulas:

Raw material inventory holding period

$$= \frac{\text{Average raw material inventory}}{\text{Cost of material consumed}} \times 365 = _____ \text{ days}$$

Work in process inventory holding period

$$= \frac{\text{Average WIP inventory}}{\text{Cost of good manufactured}} \times 365 = _____ \text{ days}$$

Finished goods inventory holding period

$$= \frac{\text{Average finished goods inventory}}{\text{Cost of goods sold}} \times 365 = _____ \text{ days}$$

3.4 Average time to pay suppliers (payables days) or payables turnover

Average payment period measures the number of days it usually takes a business to pay its suppliers for purchases made on credit. When the cost of purchases is not available, the cost of sales may be used instead.

Average payables should be used in calculation when comparable data for calculation is available, otherwise, payables at the end of year is used.

▶ *Example 14:*

Using the data given in Example 01, average days to pay suppliers and payables turnover in times can be calculated as follows:

Average days to pay suppliers

$$= \frac{\text{Average trade payables}}{\text{Purchases}} \times 365 = \frac{158}{3{,}012} \times 365 = 19.1 \text{ days}$$

Average trade payables [Rs. 153 m + 162 m] / 2 = Rs. 158 m

Purchases = Cost of sales– Opening inventory + closing inventory

Purchases = Rs. 3,020 m –Rs. 280 m + Rs. 272 m = Rs. 3,012 m

Payables turnover

$$= \frac{\text{Purchases}}{\text{Average trade payables}} = \frac{3{,}012}{158} = 19.1 \text{ times}$$

▶ *Example 15:*

The following information is available for Broom Limited (BL) for Year 1.

	1 January Year 1	31 December Year 1
	Rs.	**Rs.**
Inventory	300,000	360,000
Trade receivables	400,000	470,000
Trade payables	150,000	180,000

Sales in Year 1 totalled Rs.3,000,000, purchases totalled Rs. 1,860,000 and the cost of sales was Rs.1, 800,000

Required: Calculate and comment on working capital efficiency ratios.

▶ *Answer:*

Working capital efficiency ratios

Average days to collect = [435,000 **W1**/3,000,000] × 365 days = 52.9 days

Inventory turnover period = [330,000 **W2**/1,800,000] × 365 days = 66.9 days

Average time to pay = [165,000 **W3**/1,860,000] × 365 days = 32.4 days.

W1: Average trade receivables = [Rs.400,000 + Rs.470,000]/2 = Rs.435,000

W2: Average inventory = [Rs.300,000 + Rs.360,000]/2 = Rs.330,000

W3: Average trade payables = [Rs.150, 000 + Rs.180, 000]/2 = Rs.165, 000.

Comment:

The relationship among the three ratios given above is quite critical. The sale of inventory generates receivables, that when collected are used to settle creditors and the cycle goes on. The firm's ability to get the cycle repeated continuously depends heavily on the entity's short-term liquidity and the cash generating ability. In the given scenario the firm is responsible to settle its payables at least around 20 days before it receives payments from its customers. The working capital need then would be financed through some bank operating line and that would bring a cost which in turn would reduce the profitability of the organisation. The credit policy therefore needs to get revised and improved and sloppy collections to be gotten rid of. Also the agreement with the supplier might be refreshed for the purpose of extending the credit period.

3.5 Cash cycle / operating cycle/working capital cycle

This is average cycle of business operations:

- From the time that suppliers are paid for the resources they supply;
- To the time that cash is received from customers for the goods or services sold or provided to them.

The working capital ratios and the length of the cash cycle should be monitored over time. The cycle should not be allowed to become unreasonable in length, with a risk of over-investment or under-investment in working capital.

A positive working capital cycle balances incoming and outgoing payments to minimise net working capital and maximise free cash flow. For example, a company that pays its suppliers in 30 days but takes 60 days to collect

its receivables has a working capital cycle of 30 days. This 30-day cycle usually needs to be funded through a bank operating line, and the interest on this financing is a carrying cost that reduces the company's profitability.

Growing businesses require cash and being able to free up cash by shortening the working capital cycle is the most inexpensive way to grow. Sophisticated buyers review closely a target's working capital cycle because it provides them with an idea of the management's effectiveness at managing their financial position and generating free cash flow.

A cash cycle can be calculated as inventory holding period plus receivables collection period minus payables payment period.

▶ *Example 16:*

Using the data given in Example 15, cash cycle can be calculated as follows:

	Days
Inventory holding period	66.9
Receivables collection period	52.9
Payables payment period	(32.4)
Cash cycle	**87.4**

It indicates that on average BL needs working capital financing for 87 days.

4. LIQUIDITY AND SOLVENCY RATIOS

4.1 Liquidity ratios

Liquidity means having cash or access to readily available cash to make payments for settling the short term obligations of the entity.

For the purpose of ratio analysis, liquidity is measured on the assumption that the only sources of cash available are cash in hand or in the bank, and other current assets that will soon be converted into cash during the normal cycle of trade. Similarly, it is also assumed that the only immediate payment obligations to be settled by the entity are its current liabilities.

There are two ratios for measuring liquidity:

- Current ratio (i.e. ratio of current assets to current liabilities).
- Quick ratio [i.e. ratio of current assets excluding inventory and prepayments to current liabilities).

Current ratio is also called safe margin of solvency as it reflects ability to settle current liabilities.

Quick ratio is also called acid-test ratio that acknowledges that prepayments will not be available to settle obligations and inventory might take long time to be available for settling the obligations.

It is sometimes suggested that there is an 'ideal' current ratio of 2.0 times (2:1) and an 'ideal' quick ratio of 1.0 times (1:1). However, this is not necessarily true and, in some industries, much lower current ratios are normal. It is important to assess the liquidity ratios by considering:

- Changes in the ratio over time
- The liquidity ratios of other companies in the same period
- The industry average ratios.

▶ *Example 17:*

Using the data given in Example 01, for year 2024, current ratio and quick ratio can be calculated as follows:

Current ratio

$$= \frac{\text{Current assets}}{\text{Current liabilities}} = \frac{452}{156} = 2.9 : 1$$

Quick ratio

$$= \frac{\text{Current assets – inventory}}{\text{Current liabilities}} = \frac{452 - 272}{156} = 1.15 : 1$$

Comments:

A current ratio of 2.9:1 or higher is considered satisfactory. However, A higher current ratio might not indicate the ability to pay off the entity's current obligations efficiently as a huge portion of current assets may comprise of needless, obsolete and/or slow-moving inventory items. A deeper analysis into the individual items of current assets and liabilities would add value to the results.

The quick ratio of 1.15 times that says company can pay off all his current liabilities with liquid assets and can still have some quick assets left over. The acid-test ratio gives a more rigorous assessment of the company's ability to pay off its current liabilities as it considers only highly liquid assets. Had it been below 1 it would have indicated that company may be struggling to maintain or increase sales, settling its creditors quickly and/or collecting receivables on time.

4.2 Solvency ratios

Solvency means having enough assets to pay off the liabilities of the business in the long term. Solvency ratios include gearing ratio and interest coverage ratio.

Gearing, also called leverage, measures the total long-term debt of a company as a percentage of either:

- The equity capital in the company, or
- The total capital of the company

A company is said to be high-geared or highly leveraged when its debt capital exceeds its equity capital. This means that a company is high geared when:

- the gearing ratio (long term debts / total capital employed) is above 50%; or
- the gearing ratio (long term debts / equity capital) is above100%.

A high level of gearing may indicate the following:

- The entity has a high level of debt, which means that it might be difficult for the entity to borrow more when it needs to raise new capital.
- High gearing can indicate a risk that the entity will be unable to meet its payment obligations to lenders when these obligations are due for payment.

The gearing ratio can be used to monitor changes in the amount of debt of a company over time. It can also be used to make comparisons with the gearing levels of other, similar companies, to judge whether the company has too much debt, or perhaps too little, in its capital structure.

The interest coverage ratio is a debt and profitability ratio used to determine how easily a company can pay interest on its outstanding debt. The interest coverage ratio is calculated by dividing a company's profit before interest and taxes (PBIT) by its interest expense during a given period, expressed in number of times.

▶ *Example 18:*

Using the data given in Example 01, for year 2024, gearing ratio and interest coverage ratio can be calculated as follows:

Gearing ratio (as percentage of equity capital)

$$= \frac{\text{Long term debts}}{\text{Equity capital}} = \frac{125}{1{,}160} = 10.8\%$$

Gearing ratio (as percentage of total capital employed)

$$= \frac{\text{Long term debts}}{\text{Equity capital + long term debts}} = \frac{125}{1{,}160 + 125} = 9.7\%$$

Interest coverage ratio

$$= \frac{\text{PBIT}}{\text{Interest expense}} = \frac{214}{13} = 16.5 \text{ times}$$

Comments:

The company has very low gearing and a strong interest coverage ratio and it is likely that the company can easily obtain more long-term financing if so required.

5. OTHER ASPECTS

5.1 Impact of specific transactions on ratios

It is important to understand how certain future transactions or events might affect already calculated ratios, for example, an entity may be required to certain current ratio of at least 1.75 as part of its running finance agreement with the bank.

The following mathematical rules are useful in most circumstances:

- Increase in numerator will increase the measure of ratio and decrease in numerator will decrease the measure of ratio
- Increase in denominator will decrease the measure of ratio and decrease in denominator will increase the measure of ratio
- Increase in numerator and denominator by equal amount will increase the lower side of fraction bar, more proportionately. Similarly, decrease in numerator and denominator by equal amount will decrease the lower side of fraction bar, more proportionately.

▶ *Example 19:*

Epivac Limited is considering to take some of the following measures during the last week of the year ending 31 March 2021 in order to show better financial performance:

(i) Pay balance of a major supplier from bank overdraft facility and avail 5% discount.
(ii) Sell slow moving stock items at a price equal to cost.
(iii) Recover debtors' balances by offering cash discounts of 10%.
(iv) Offer extended credit terms of 90 days which would increase sales at existing margins.
(v) Dispose-off some non-current assets at gain.

Required: State the effect (increase, decrease, no effect) of each of the above measure on the following financial ratios:

(a) Gross profit %
(b) Net profit %
(c) Current ratio
(d) Stock turnover (times)
(e) Return on non-current assets
(f) Quick ratio

▶ *Answer:*

S. No.	Ratios	Measures				
		(i)	(ii)	(iii)	(iv)	(v)
(a)	Gross profit % Gross Profit / Sales	Increase*	Decrease	Decrease*	No effect	No effect
(b)	Net profit % PAT / Sales	Increase	Decrease	Decrease	Increase	Increase
(c)	Current ratio Current assets / Current liab.	Increase	No effect	Decrease	Increase	Increase
(d)	Stock turnover (times) Cost of Sales / Inventory	Decrease*	Increase	No effect	Increase	No effect
(e)	Return on non-current assets PBIT / Non-current assets	Increase	No effect	Decrease	Increase	Increase
(f)	Quick ratio (RA + Cash) / Current liab.	Increase	Increase	Decrease	Increase	Increase

*The settlement discount is deducted from revenue or cost of purchases.

5.2 Limitations of financial statements and ratio analysis

Financial statements are time and cost producing. Ratio analysis can be used to compare information taken from the financial statements to gain an analytical understanding of the results, financial position and cash flows of a business. This analysis is a useful tool, especially for an outsider such as a supplier, lender or an investor.

However, there are a number of limitations of ratio analysis which are given below:

1. **Historical**

   All of the information used in ratio analysis is derived from actual historical results. This does not mean that the same results will carry forward into the future. However, you can use ratio analysis on pro forma information and compare it to historical results for consistency.

2. **Historical versus current cost**

   The information on the income statement is stated in current costs (or close to it), whereas many elements of the statement of financial position are stated at historical cost (which could vary substantially from current costs). This disparity can result in unusual ratio results.

3. **Inflationary effect**

   If the rate of inflation has changed in any of the periods under review, this can mean that the numbers are not comparable across periods. For example, if the inflation rate was 100% in one year, sales would appear to have doubled over the preceding year, when in fact sales did not change at all.

4. **Aggregation**

   The information in a financial statement line item that you are using for a ratio analysis may have been aggregated differently in the past, so that running the ratio analysis on a trend line does not compare the same information through the entire trend period.

5. **Accounting policies and estimates**

   Different companies in a similar industry may have different policies for recording the same accounting transaction. This means that comparing the ratio results of different companies may be like comparing apples and oranges. For example, one company might use reducing balance method while another company uses straight-line depreciation.

6. **Business conditions**

   You need to place ratio analysis in the context of the general business environment. For example, 60 days of sales outstanding for receivables might be considered poor in a period of rapidly growing sales but might be excellent during an economic contraction when customers are in severe financial condition and unable to pay their bills.

7. **Interpretation**

   It can be quite difficult to ascertain the reason for the results of a ratio. For example, an acid test ratio of 2:1 might appear to be excellent, until you realize that the company just sold a large amount of its stock to bolster its cash position. A more detailed analysis might reveal that the acid test ratio will only temporarily be at that level and will probably decline in the near future.

8. **Company strategy**

   It can be difficult to interpret a ratio analysis comparison between two companies that are pursuing different strategies. For example, one company may be following a low-cost strategy, and so is willing to accept a lower gross margin in exchange for more market share. Conversely, a company in the same industry is focusing on a high customer service strategy where its prices are higher and gross margins are higher, but it will never attain the revenue levels of the first company.

5.3 Window dressing

One should also be careful of unethical practices like window dressing while interpreting the financial statements. Window dressing is the adaptation of the rules and practices to present financial statements in a way that business situation appears better than it actually is. This manipulates the financial information and misleads the users of financial statements.

Some of the ways in financial statements may be manipulated include:

- Delay in paying suppliers, so that the period-end cash balance appears higher.
- Using lower estimate for allowance for doubtful debts.
- Capitalize smaller expenditures that would normally be charged to expense, to increase reported profits.
- Offer customers an early shipment discount, thereby accelerating revenues from a future period into the current period.
- Lower depreciation expense by using higher useful lives or residual values, etc.

▶ *Example 20:*

Ratios are computed by using numerical values from financial statements to gain meaningful information about an entity. However, due to inherent limitations of ratio analysis, it may not reflect the correct financial situation.

Required: Briefly explain any four limitations of ratio analysis.

▶ *Answer:*

(i) Historical

All information used in ratio analysis is derived from actual historical results. This does not mean that the same results will carry forward into the future. However, ratio analysis can be used on pro forma information and compare it to historical results for consistency.

(ii) Historical versus current cost

The information on the income statement is stated in current costs (or close to it), whereas many elements of the statement of financial position are stated at historical cost (which could vary substantially from current costs). This disparity can result in unusual ratio results.

(iii) Inflationary effect

If the rate of inflation has changed in any of the periods under review, this can mean that the numbers are not comparable across periods. For example, if the inflation rate was 100% in one year, sales would appear to have doubled over the preceding year, when in fact sales did not change at all.

(iv) Aggregation

The information in a financial statement line item that is used for a ratio analysis may have been aggregated differently in the past, so that running the ratio analysis on a trend line does not compare the same information through the entire trend period.

6. COMPREHENSIVE EXAMPLES

▶ *Example 21:*

Wasim Limited is an importer and retailer of vegetable oils. Extracts from the financial statements for this year and last are set out below:

Income statements for the years ended 30 September

	Year 7	Year 6
	Rs. 000	**Rs. 000**
Revenue	2,160	1,806
Cost of sales	(1,755)	(1,444)
Gross profit	405	362
Distribution costs	(130)	(108)
Administrative expenses	(260)	(198)
Profit before tax	15	56
Income tax expense	(6)	(3)
Profit for the period	**9**	**53**

Statements of financial position as at 30 September

	Year 7	Year 6
	Rs. 000	**Rs. 000**
Non-current assets		
Property, plant and equipment	78	72
Current assets		
Inventories	106	61
Trade receivables	316	198
Cash	-	6
	422	265
Total assets	**500**	**337**
Equity		
Ordinaryshares	110	85
Preference shares	23	11
Share premium	15	-
Revaluation reserve	20	20
Retained earnings	78	74
	246	190
Current liabilities		
Bank overdraft	49	-
Trade payables	198	142
Current tax payable	7	5
	254	147
Total equity and liabilities	**500**	**337**

Required: Calculate profitability ratios, liquidity ratios and working capital ratios for Wasim Limited for two years.

Answer:

Profitability ratios	Year 7		Year 6
Gross profit margin			
405 / 2,160	= 19%	362 / 1,806	= 20%
Net profit ratio			
9 / 2,160	= 0.4%	53 / 1,806	= 2.9%
Return on capital employed			
15 / 246	= 6%	56 / 190	= 29%
Asset turnover			
2,160 / 246	= 8.8 times	1,806 / 190	= 9.5 times

Liquidity ratios	Year 7		Year 6
Current ratio			
422 / 254	= 1.7 times	265 / 147	= 1.8 times
Quick ratio			
422 – 106 / 254	= 1.2 times	265 – 61 / 147	= 1.4 times

Working capital ratios	Year 7		Year 6
Average time to collect			
316 x 365 / 2,160	= 53 days	198 x 365 / 1,806	= 40 days
Average time to pay			
198 x 365 / 1,755	= 41 days	142 x 365 / 1,444	= 36 days
Average inventory holding period			
106 x 365 / 1,755	= 22 days	61 x 365 / 1,444	= 15 days

Example 22:

The income statements and statements of financial position of two manufacturing companies in the same sector are set out below.

	Amir	Mo
	Rs.	Rs.
Revenue	150,000	700,000
Cost of sales	(60,000)	(210,000)
Gross profit	90,000	490,000
Interest expense	(500)	(12,000)
Distribution costs	(13,000)	(72,000)
Administrative expenses	(15,000)	(35,000)
Profit before tax	61,500	371,000
Income tax expense	(16,605)	(100,170)
Profit for the period	**44,895**	**270,830**

	Amir	Mo
	Rs.	Rs.
Non-current assets		
Property	-	500,000
Plant and equipment	190,000	280,000
	190,000	780,000
Current assets		
Inventories	12,000	26,250
Trade receivables	37,500	105,000
Cash at bank	500	22,000
	50,000	153,250
Total assets	**240,000**	**933,250**
Equity		
Share capital	156,000	174,750
Retained earnings	51,395	390,830
	207,395	565,580
Non-current liabilities		
Long term debt	10,000	250,000
Current liabilities		
Trade payables	22,605	117,670
Total equity and liabilities	**240,000**	**933,250**

Required: Calculate profitability ratios, liquidity ratios and working capital ratios for Amir and Mo.

▶ *Answer:*

Profitability ratios	Amir		Mo
Gross profit margin			
90,000 / 150,000	= 60%	490,000 / 700,000	= 70%
Net profit ratio			
44,895 / 150,000	= 30%	270,830 / 700,000	= 39%
Return on capital employed			
61,500 + 500 / 207,395 + 10,000	= 28.5%	371,000 + 12,000 / 565,580 + 250,000	= 47%
Asset turnover			
150,000 / 207,395 + 10,000	= 0.7 times	700,000 / 565,580 + 250,000	= 0.85 times

Liquidity ratios	Amir		Mo
Current ratio			
50,000 / 22,605	= 2.2 times	153,250 / 117,670	= 1.3 times
Quick ratio			
50,000 – 12,000 / 22,605	= 1.7 times	153,250 – 26,250 / 117,670	= 1.1 times

Working capital ratios	Amir		Mo
Average time to collect			
37,500 x 365 / 150,000	= 91 days	105,000 x 365 / 700,000	= 55 days
Average time to pay			
22,605 x 365 / 60,000	= 137 days	117,670 x 365 / 210,000	= 204 days
Average inventory holding period			
12,000 x 365 / 60,000	= 73 days	26,250 x 365 / 210,000	= 46 days

Example 23:

Alpha Limited and Omega Limited are in the same trade but operate in different areas. Their financial statements for the year ended 31 December 2016 are as follows:

Statement of profit or loss	Alpha Limited	Omega Limited
	Rs.'000	Rs.'000
Sales	1,440	1,720
Cost of sales	(1,120)	(1,342)
Gross profit	320	378
Operating expenses	(220)	(300)
Profit before tax	100	78
Taxation	(40)	(30)
Profit after tax	**60**	**48**

Statement of financial position	Alpha Limited	Omega Limited
	Rs.'000	**Rs.'000**
Capital employed		
Share capital of Rs. 1 each	600	200
Reserves	240	104
	840	304
8% Debentures	-	120
	840	**424**
Represented by:		
Non-current assets at cost	660	520
Less: Depreciation	200	160
	460	360
Current assets:		
Inventory	280	172
Receivables	310	300
Cash	30	32
	620	504
Current liabilities:		
Taxation	40	30
Creditors	180	344
Bank overdraft	-	42
Dividend payable	20	24
	240	440
Net current assets	380	64
	840	**424**

Required: Compute the current ratio, acid test ratio, average payment period and average collection period for Alpha Limited and Omega Limited and carry out the comparative analysis based on the computed ratios.

▶ *Answer:*

	Alpha Limited		Omega Limited
Current ratio			
620,000 / 240,000	= 2.58 times	504,000 / 440,000	= 1.15 times
Quick ratio			
620,000 – 280,000 / 240,000	= 1.42 times	504,000 – 172,000 / 440,000	= 0.75 times
Average time to pay			
180,000 x 365 / 1,120,000	= 59 days	344,000 x 365 / 1,342,000	= 94 days
Average time to collect			
310,000 x 365 / 1,440,000	= 79 days	300,000 x 365 / 1,720,000	= 64 days

Comparative analysis commentary:

- In terms of working capital and liquidity, Alpha Limited is in a better position to honour its obligations as they fall due because its current ratio and acid test ratio are higher than those of Omega Limited.
- Omega Limited's payment period is better than that of Alpha Limited's because Omega Limited can supplier's funds for longer period to finance its operation.
- Omega Limited's collection period is also better than that of Alpha Limited. It extends shorter credit period to its customers than Alpha Limited.
- Omega Limited's credit policy is better than that of Alpha Limited. This is because there is 30 days difference between its payments period and collection periods compared with Alpha Limited that had a longer collection period than its payment period.

▶ *Example 24:*

Boom Limited (BL) is a manufacturer of sports goods. Following financial statements for the year ended 31 December 2017 have been submitted to the Chief Executive Officer (CEO):

Statement of profit or loss

	Rs. in '000
Revenues	21,000
Cost of sales	(17,500)
Gross profit	3,500
Operating expenses	(1,900)
Finance cost	(450)
Profit before tax	1,150
Taxation	(345)
Profit after tax	**805**

Statement of financial position

	Rs. in '000
Property, plant and equipment	7,500
Current assets	1,500
	9,000
Share capital	4,000
Reserves	1,000
Non-current liabilities	3,000
Current liabilities	1,000
	9,000

Although performance of BL has improved from the last year, CEO wants to compare the results with other companies operating in sports manufacturing industry. In this respect, following industry data has been gathered:

Gross profit margin	23.5%
Net profit margin	7.7%
Current ratio	2.75
Gearing ratio	50:50
Return on non-current asset	32.9%
Return on capital employed	27.4%
Return on equity	31.3%

Required:

a) Compute BL's ratios for comparison with the industry.

b) For each ratio, give one possible reason for variation from the industry.

▶ *Answer:*

Part (a) BL's ratios for comparison with the industry

Ratio		Boom Limited	Industry
Gross profit margin	[3,500 / 21,000]	16.7%	23.5%
Net profit margin	[805 / 21,000]	3.8%	7.7%
Current ratio	[1,500 / 1,000]	1.5	2.75
Gearing ratio	[3,000 / (3,000 + 5,000)]	37.5 : 62.5	50 : 50
Return on non-current asset	[(1,150 + 450) / 7,500]	21.3%	32.9%
Return on capital employed	[(1,150 + 450) / 8,000]	20.0%	27.4%
Return on equity	[805 / 5,000]	16.1%	31.3%

Part (b) Possible reasons for variation from the industry

Ratio	Reasons for variation from industry
Gross profit margin	Lower than industry • Purchase of raw material at higher prices as compared to its competitors • Inability to obtain economies of scale in production as compared to its competitors • Higher production costs due to inefficiencies • Deliberately keeping selling prices lower to gain the market share
Net profit margin	Lower than industry • BL's gross profit margin is 6.8% lower than industry (16.6% Vs 23.5%) whereas net profit margin is only 3.9% lower which indicates that BL's operating expenses as a percentage of sales are approximately 2.9% lower than the industry
Current ratio	Lower than industry • Since gearing ratio is lower than the industry so BL might have obtained running finances as compared to long-term financing by the industry availed extended credit terms from suppliers • Low inventory levels are maintained by BL • Shorter credit terms are given to debtors
Gearing ratio	Lower than industry • Difficulty in raising long-term finance from banks due to low profits • Running finance or extended credit terms from suppliers are available for BL
Return on non-current asset	Lower than industry • Lower profit margins • Relatively newer non-current assets have higher carrying value
Return on capital employed	Lower than industry • Lower profit margins • High shareholder's equity
Return on equity	Lower than industry • Lower profit margins • Higher shareholder's equity/low gearing ratio

▶ *Example 25:*

Progressive Steel Limited (PSL) commenced business in 2015. The following comparative data pertains to the year ended 30 June 2017:

Description	PSL		Industry
	2017	2016	2017
Gross profit margin	13%	13%	16%
Net profit margin	8%	7%	10%
Return on shareholders' equity	22%	18%	25%
Current ratio	1.2	1.6	1.5
Debt to equity ratio	40:60	30:70	50:50
Cash operating cycle in days	119	135	118

Required: For each ratio/data give possible reasons for variation from comparative and industry data.

▶ *Answer:*

Ratios	Reasons for fluctuation with previous year	Reason for fluctuation with Industry
Gross profit margin	In line with previous year. No variation.	Lower than industry ▪ The company is in an initial phase and may have kept the selling prices lower than the industry to gain market share. ▪ The company may not have been able to purchase raw material at prices which is available to its competitors. ▪ The company may not have been able to obtain economies of scale in its production which may have been obtained by its competitors. ▪ Possibility of higher production costs.
Net profit margin	Higher than previous year: ▪ Tight control over operating costs. ▪ Increase in other income. Decrease in fixed cost per unit due to increase in sale.	Lower than industry however, the difference is mainly attributed to lower gross profit margin.
Return on shareholder's equity	Higher than previous year: ▪ Reduction in tax rates. ▪ Reduction in interest rates. ▪ The decrease in equity might be due to buyback of shares. ▪ Distribution of profits from the previous year which resulted in a decrease in equity.	Lower than industry ▪ Lower gross profit and net profit margins. ▪ Lower leverage. ▪ Higher net assets resulting in higher equity.

Ratios	Reasons for fluctuation with previous year	Reason for fluctuation with Industry
Current ratio	Lower than previous year: ▪ The company might have obtained a running finance facility to fund its operations in the current year. ▪ Long term loan payments might have become due in the next 12 months, which decreases the current ratio. ▪ Decrease in current assets due to better inventory management/ reduction in credit period of debtors.	Lower than industry ▪ Since the debt equity ratio is lower than the industry, company might have obtained running finance or might have availed extended credit terms from suppliers.
Debt to equity ratio	Higher than previous year ▪ Decrease in reserves due to dividend pay- out. ▪ Further debt obtained during the period. ▪ The decrease in equity might be due to buyback of shares.	Lower than industry ▪ Being a new entrant, the company may be in the phase of expansion thereby raising debt accordingly.
Cash operating cycle	Lower than previous year ▪ The increase in current liabilities might be due to an increase in the credit period. ▪ Decrease in current assets which might be due to greater stock turnover or better inventory management. ▪ By giving lower credit days to debtors.	In line with industry.

Example 26:

The following information has been gathered by an analyst, in respect of Dairy Foods Limited (DFL) which specializes in various dairy products.

Ratio	2016	2015	2014	Industry average
Profit margin %	11%	10%	8%	10.45%
Quick ratio	1.38	1.40	1.42	1.52
Current ratio	1.84	1.67	1.59	1.73
Days purchases in payables	80	91	89	82

In the latest annual report to the shareholders, Directors of DFL have claimed that liquidity position of the Company has improved significantly.

Required: Critically analyse and discuss whether you agree with the claim.

Answer:

While analysing liquidity positions of DFL, it is noted that current ratio has steadily increased over the years and is better than industry average. However, the quick ratio has steadily declined and is even lower than industry average. This is a clear evidence that the increase in liquidity is caused by an increase in inventory.

Further, by considering the nature of highly perishable inventories kept by a dairy food company, it is a possibility that DFL may bear high inventory losses due to short expiry. Based on the above, I do not agree with the claim of DFL's directors.

Example 27:

Extracts from latest financial statements of two companies are as follows;

Extracts from statements of financial position

Equity & Liabilities	A	B	Assets	A	B
	Rs. in millions			Rs. in millions	
Equity & reserves	51,690	72,114	Fixed assets	34,460	48,076
Long term loan	-	36,057	Stock in trade	21,700	20,000
Trade creditors	35,790	45,135	Trade debtors	24,470	44,030
Other payables	12,000	8,500	Cash and bank	18,850	49,700
	99,480	**161,806**		**99,480**	**161,806**

Extract from Statement of Comprehensive Income

	A	B
	Rs. m	**Rs. m**
Revenue	161,600	220,150
Cost of sales	(135,160)	(180,520)
Gross profit	26,440	39,630
Operating expenses	(9,840)	(13,870)
Interest expense	(720)	(2,313)
Profit before tax	15,880	23,447
Income tax	(333)	(409)
Profit after tax	**15,547**	**23,038**

Required: Analyse the profitability, liquidity and working capital ratios of both the companies.

Answer:

Profitability ratios	A	B
Gross profit ratio (GP ÷ sales)	16.36%	18.00%
Profit to sales (Profit after tax ÷ sales)	9.62%	10.46%
Return on capital employed (Profit before interest and tax ÷ capital employed)	32.11%	23.81%
Return on asset employed (Profit before interest and tax ÷ assets)	16.69%	15.92%

Company B's gross profit and net profit ratio is slightly higher as compared to Company A. The difference is not significant and may be on account of higher level of sales resulting in lesser fixed costs per unit.

Company A's return on capital employed ratio and return on asset employed ratio are better than Company B, because Company B has accumulated large balances of cash despite of availing long-term loan. Had Company B had used its cash balances to pay off the long-term loan; it would have both of these ratio better than Company A.

Liquidity Ratios	A	B
Current ratio (current assets ÷ current liabilities)	1.36	2.12
Quick ratio (current asset-inventory ÷ liabilities)	0.91	1.75

Company B has better current and quick ratio. However, it appears that these ratios are better than Company A due to substantially high amount of trade debts in term of percentage of sales as sales days. It also represents a risk that these trade debts may prove irrecoverable. Moreover, they may be indicative of inefficient in debt collection as well.

Working capital turnover ratios	A	B
Stock turnover days (Stock ÷ Cost of goods sold × 365)	58.60	40.44
Debtor turnover days (Debtor ÷ Revenue × 365)	55.27	73.00
Creditor turnover days (Creditor ÷ Cost of goods sold × 365)	(96.65)	(91.26)
Cash operating cycle (days)	**17.22**	**22.18**

Stock turnover of Company B is better than that of Company A. Company B is turning over its stock 9 times whereas company A is doing it 6 times a year.

Company A is more effectively collecting its debtors than Company B. This could also be due to the fact that Company B is following a lenient credit policy to attract more revenue. This fact is also supported from higher stock turnover ratio of Company B.

Company A have availed better credit facility from its creditors but it may have forgone some settlement discounts which might have resulted in lower gross profit ratio than that of Company B.

Overall cash operating cycle of Company A is better than Company B. Furthermore, Company B has accumulated large balances of cash despite the fact that it has also availed long term loan. Excess cash balance should have been used to pay off the long-term loan to reduce the finance cost.

▶ *Example 28:*

Following are the summarised financial statements of Shispare Limited (SL) and its competitor Trivor Limited (TL) for the year ended 31 December 2019:

Statement of financial position

Assets	SL	TL	Equity & liabilities	SL	TL
	Rs. in million			Rs. in million	
Fixed assets	5,400	7,800	Capital and reserves	8,400	9,450
Current assets:			Long-term loan	1,900	4,600
Inventory	4,800	7,100	**Current liabilities:**		
Debtors	2,700	3,200	Creditors	2,900	4,500
Cash	1,200	800	Accrued expenses	900	350
	8,700	11,100		3,800	4,850
	14,100	**18,900**		**14,100**	**18,900**

Statement of profit or loss

	SL	TL
	--- Rs. in million ---	
Sales	16,700	35,400
Cost of goods sold	(11,400)	(27,800)
Gross profit	5,300	7,600
Operating expenses	(3,500)	(4,900)
Finance cost	(250)	(600)
Net profit	**1,550**	**2,100**

Required: Compute relevant ratios for SL and TL to assess which company seems to:

(i) give more incentives to its customers to pay on time
(ii) avail extended credit terms from its suppliers
(iii) be more efficient in the use of capital
(iv) keep lower selling prices to gain the market share
(v) have better liquidity position
(vi) have higher ability to convert its assets into profit
(vii) control operating expenses more efficiently
(viii) have higher ability to raise bank loan in future

▶ *Answer:*

Relevant ratios	**SL**	**TL**

(i) Debtors collection period

$$\frac{2{,}700 \times 365}{16{,}700} = 59 \text{ days} \qquad \frac{3{,}200 \times 365}{35{,}400} = 33 \text{ days}$$

TL is giving more incentives to its customers to pay on time.

(ii) Creditors payment period

$$\frac{2{,}900 \times 365}{11{,}400} = 92.8 \text{ days} \qquad \frac{4{,}500 \times 365}{27{,}800} = 59.1 \text{ days}$$

SL avails extended credits terms.

(iii) Return on capital employed

$$\frac{1{,}550 + 250}{8{,}400 + 1{,}900} = 17.48\% \qquad \frac{2{,}100 + 600}{9{,}450 + 4{,}600} = 19.22\%$$

TL is more efficient in the use of capital.

(iv) Gross profit margin

$$\frac{5,300}{16,700} = 31.74\% \qquad \frac{7,600}{35,400} = 21.47\%$$

TL is deliberately keeping selling prices lower to gain the market share.

(v) Current ratio

$$\frac{8,700}{3,800} = 2.29 : 1 \qquad \frac{11,100}{4,850} = 2.29 : 1$$

Quick ratio

$$\frac{8,700 - 4,800}{3,800} = 1.03 : 1 \qquad \frac{11,100 - 7,100}{4,850} = 0.82 : 1$$

SL has better liquidity position.

(vi) Return on assets

$$\frac{1,550 + 250}{14,100} = 12.77\% \qquad \frac{2,100 + 600}{18,900} = 14.29\%$$

TL has higher ability to convert its assets into profit.

(vii) Operating expenses ratio

$$\frac{3,500}{16,700} = 20.95\% \qquad \frac{4,900}{35,400} = 13.84\%$$

TL is efficiently controlling the operating expenses.

(vii) Gearing ratio (as %age of capital employed)

$$\frac{1,900}{8,400 + 1,900} = 18\% \qquad \frac{4,600}{9,450 + 4,600} = 33\%$$

SL is going to raise a bank loan relatively easily in future.

▶ *Example 29:*

Ali and Bashir are chartered accountants and have been working as Managing Director (MD) and Chief Financial Officer (CFO) in a listed company. In a recent meeting of the Board, the directors have decided to expand the business within six months by opening 20 retail outlets. This expansion would require financing of Rs. 300 million which may be arranged through bank loan.

The following information has been extracted from latest draft financial statements of the company:

	Rs. m
Sales	1,700
Gross profit	545
Tax expense	23
Profit after tax	40
Total assets	2,500
Non-current assets	900
Inventories	850
Trade receivables	600
Share capital	800
Reserves	152
Long term debt @ 9%	750

Following additional information is also available:

- 80% of the sales are on credit.
- Opening inventory was Rs. 100 million.
- 40% of current liabilities comprise of trade payables.

Required: Compute liquidity, working capital and debt ratios of the company.

▶ *Answer:*

Liquidity ratios

(i) Current ratio

$$\frac{\text{Current assets}}{\text{Current liabilities}} = \frac{2500 - 900}{2,500 - 800 - 152 - 750} = 2.01 \text{ times}$$

(ii) Quick ratio

$$\frac{\text{Current assets – inventories}}{\text{Current liabilities}} = \frac{1,600 - 850}{2,500 - 800 - 152 - 750} = 0.94 \text{ times}$$

Working capital ratios

(iii) Inventory holding period

$$\frac{\text{Average inventories x 365}}{\text{Cost of sales}} = \frac{[(850 + 100)/2] \times 365}{1,700 - 545} = 150 \text{ days}$$

(iv) Receivables collection period

$$\frac{\text{Trade receivables x 365}}{\text{Sales}} = \frac{\text{600 x 365}}{\text{(1,700 x 80\%)}} = 161 \text{ days}$$

(v) Payables payment period

$$\frac{\text{Trade payables x 365}}{\text{Purchases}} = \frac{\text{[798 x 40\%] x 365}}{\text{1,905*}} = 61 \text{ days}$$

*Purchases = [1,700 – 545] – 100 + 850 = Rs. 1905

Debt ratios

(vi) Gearing ratio

$$\frac{\text{Long term debt}}{\text{Capital employed}} = \frac{\text{750}}{\text{800 + 152 + 750}} = 44\%$$

(vii) Interest cover

$$\frac{\text{PBIT}}{\text{Interest expense}} = \frac{\text{40 + 23 + 67.5*}}{\text{67.5*}} = 1.93 \text{ times}$$

*Interest expense = Rs. 750 loan x 9% = Rs. 67.5

▶ *Example 30:*

Following amounts have been determined from the records of Hassan Limited.

Description	2014	2015	2016
	-------- Rs. in million --------		
Sales	100.00	120.00	135.00
Cost of sales	75.00	90.00	101.25
Profit before interest and tax	6.00	5.50	5.60
Account receivable	16.50	25.00	35.00
Account payable	13.00	14.70	15.00
Inventory	18.75	26.00	30.40
Cash at bank / (overdraft)	5.00	(0.50)	(2.00)

Required: Calculate liquidity ratios and working capital cycle for 2015 and 2016 and comment on the results of your calculation, assuming that all sales and purchases are made on credit.

▶ *Answer:*

Liquidity ratios

	2016	2015
Current ratio		
	$\frac{35 + 30.4}{15 + 2} = 3.85 : 1$	$\frac{25 + 26}{14.7 + 0.5} = 3.36 : 1$
Quick ratio		
	$\frac{35}{15 + 2} = 2.06 : 1$	$\frac{25}{14.7 + 0.5} = 1.64 : 1$

Working capital cycle

		2016	2015
		Days	**Days**
Inventory holding period	(i)	102	91
Receivables collection period	(ii)	81	63
Payables payment period	(iii)	(51)	(52)
		132	**102**

Relevant ratios

	2016	2015
(i) Inventory holding period		
	$\frac{[(26 + 30.4)/2] \times 365}{101.25} = 102$ days	$\frac{[(18.75 + 26)/2] \times 365}{90} = 91$ days
(ii) Receivables collection period		
	$\frac{[(25 + 35)/2] \times 365}{135} = 81$ days	$\frac{[(16.25 + 25)/2] \times 365}{120} = 63$ days
(iii) Payables payment period		
	$\frac{[(14.7 + 15)/2] \times 365}{105.65^*} = 51$ days	$\frac{[(13 + 14.7)/2] \times 365}{97.25^{**}} = 52$ days

*Purchases (2016) = Rs. 101.25 – 26 + 30.4 = Rs. 105.65
**Purchases (2015) = Rs. 90 – 18.75 + 26 = Rs. 97.25

Comments

- The company's liquidity position, as evidenced from the current ratio and the quick ratio, appears to be growing stronger. However, the working capital cycle of the company is getting longer in 2016 as compared to 2015.
- The company may face liquidity problem in future, as debtors days are increasing and a large cash is blocked in inventory.
- Higher investment in working capital would result in decrease in ROCE and Return on shareholders' equity.
- The increase in debtors days may suggest inefficient collection of amounts due from debtors.

▶ *Example 31:*

Following amounts have been extracted from the financial statements of Lithops Limited:

	2020	2019
	----- Rs. in million -----	
Sales	500	450
Cost of sales	378	300
Trade receivables	95	80
Trade payables	72	60
Inventory	93	75
Cash at bank	12	16

All sales and purchases are made on credit.

Required:

a) Calculate working capital cycle days for 2020. **(Assume a 360-day year)**

b) Suggest **four** possible measures that can be taken to reduce working capital cycle days.

▶ *Answer:*

Part (a) Working capital cycle

		Days
Inventory holding period	(i)	80
Receivables collection period	(ii)	63
Payables payment period	(iii)	(60)
Working capital cycle		**83**

Relevant ratios

(i) Inventory holding period

$$\frac{\text{Average inventory x 360}}{\text{Cost of sales}} = \frac{[(93+75)/2] \text{ x } 360}{378} = 80 \text{ days}$$

(ii) Receivables collection period

$$\frac{\text{Average receivables x 360}}{\text{Sales}} = \frac{[(95+80)/2] \text{ x } 360}{500} = 63 \text{ days}$$

(ii) Payables payment period

$$\frac{\text{Average payables x 360}}{\text{Purchases}} = \frac{[(72+60)/2] \text{ x } 360}{396^*} = 59.1 \text{ days}$$

*Purchases = Cost of sales 378 – 75 opening inventory + 93 closing inventory = Rs. 396

Part (b) Measures to improve working capital cycle days:

- Give incentives to customers to pay on time
- Do not transact with customers who have a history of defaulting/late payments
- Automate the monitoring of accounts receivables
- Resolve disputes with customer as early as possible

▶ *Example 32:*

SK Limited (SKL) deals in a single product. Following are the summarized financial statements of SKL for the year ended 31 December 2017:

Statement of financial position

	2017	2016
	Rs. in million	
Fixed assets	410	240
Current assets	90	200
	500	**440**
Capital	280	260
Long-term loan	170	100
Current liabilities	50	80
	500	**440**

Statement of profit or loss

	2017	2016
Units sold in million	39	30
	Rs. in million	
Sales	371	300
Cost of goods sold	(273)	(210)
Gross profit	98	90
Selling and administrative	(55)	(60)
Finance cost	(13)	(8)
Net profit	**30**	**22**

Additional information:

(i) With effect from 1 January 2017, selling price was decreased by 5% to boost sales volume.

(ii) During the year 2017, suppliers demanded price increase of 4%. SKL resisted the price increase. However, both parties agreed to reduce the credit period.

(iii) SKL had been running its business in a rented building whose annual rent was Rs. 15 million. During the year, SKL purchased this building for Rs. 200 million. Funds were arranged partially through a long-term loan. Useful life of the building is estimated at 40 years.

(iv) 75% of the selling and administration cost incurred in 2016 was fixed cost.

Required:

a) Compute the following ratios for 2016 and 2017:

- Gross profit margin
- Return on assets
- Debt equity ratio
- Net profit margin
- Return on capital employed
- Current ratio

b) Keeping in view the above information, comment on profitability and liquidity position of SKL for 2017.

Answer:

Part (a) Ratio computation

	2017	2016
Gross profit margin		
	$\frac{98}{371} = 26.42\%$	$\frac{90}{300} = 30\%$
Net profit margin		
	$\frac{30}{371} = 8.09\%$	$\frac{22}{300} = 7.33\%$
Return on assets		
	$\frac{30 + 13}{500} = 8.60\%$	$\frac{22 + 8}{440} = 6.82\%$
Return on capital employed		
	$\frac{30 + 13}{280 + 170} = 9.56\%$	$\frac{22 + 8}{260 + 100} = 8.33\%$
Debt equity ratio (% of total capital employed)		
	$\frac{170}{280 + 170} = 38\%$	$\frac{100}{260 + 100}$ 28%

Current ratio

$$\frac{90}{50} = 1.8 : 1 \qquad \frac{200}{80} = 2.5 : 1$$

Part (b)

Profitability: In 2017, gross profit margin of SKL has reduce from 30% to 26.42%. however, gross and net profits amounts have been increased by Rs. 8 million mainly due to:

- Increase in sales volume as a result of 5% decrease in selling price. This resulted in increase in gross profit by 8.89%[(98-90)÷90×100].
- Acquisition of building has resulted in savings in expenses as rent saved (Rs. 15 million) is higher than the depreciation (Rs. 5 million) and increased in finance cost (Rs. 5 million).
- Since 75% of selling and administrative cost was fixed, expenses did not increase due to increase in sales volume (economies of scale).

Liquidity: The decrease in current ratio from 2.5 to 1.8 is net effect of the following:

- Cash payment for purchase of building which significantly decreased current assets.
- Prompt payment to suppliers which decreased the current liabilities.

Example 33:

Following are the summarised financial statements of Keyboard Limited (KL):

Statement of financial position

	2018	2017	2016
	---------- Rs. in '000 ----------		
Fixed assets	12,500	10,800	11,800
Current assets:			
Inventory	4,000	4,500	3,000
Debtors	4,200	3,200	1,800
Cash	-	800	2,100
	8,200	8,500	6,900
	20,700	**19,300**	**18,700**
Equity and reserves	10,400	9,000	8,600
Long term loan	4,400	5,000	5,600
Current liabilities:			
Creditors	3,500	4,400	4,200
Bank overdraft	1,500	-	-
Accrued expense	900	900	300
	5,900	5,300	4,500
	20,700	**19,300**	**18,700**

Statement of profit or loss

	2018	2017	2016
	---------- Rs. in '000 ----------		
Sales	27,000	24,400	21,000
Cost of goods sold	(21,300)	(19,400)	(17,200)
Gross profit	5,700	5,000	3,800
Operating expenses	(3,400)	(3,000)	(2,400)
Finance cost	(300)	(350)	(400)
Net profit	**2,000**	**1,650**	**1,000**

Required:

a) Compute working capital cycle in days and liquidity ratios for 2018 and 2017.

b) Suggest three possible measures that can be taken by KL to improve working capital cycle days.

▶ *Answer:*

Part (a)

Working capital cycle		2018	2017
		Days	Days
Inventory holding period	(i)	73	71
Receivables collection period	(ii)	50	37
Payables payment period	(iii)	(69)	(75)
		54	**33**

Relevant ratios

	2018	2017
(i) Inventory holding period	$\frac{[(4,000 + 4,500)/2] \times 365}{21,300}$ = 73 days	$\frac{[(4,500 + 3,000)/2] \times 365}{19,400}$ = 71 days
(ii) Receivables collection period	$\frac{[(4,200 + 3,200)/2] \times 365}{27,000}$ = 50 days	$\frac{[(3,200 + 1,800)/2] \times 365}{24,400}$ = 37 days
(iii) Payables payment period	$\frac{[(3,500 + 4,400)/2] \times 365}{20,800*}$ = 69 days	$\frac{[(4,400 + 4,200)/2] \times 365}{20,900**}$ = 75 days

*Purchases (2018) = Rs. 21,300 – 4,500 + 4,000 = Rs. 20,800

**Purchases (2017) = Rs. 19,400 – 3,000 + 4,500 = Rs. 20,900

Liquidity ratios

	2018	2017
Current ratio		
	$\frac{8,200}{5,900}$ = 1.39 : 1	$\frac{8,500}{5,300}$ = 1.60 : 1
Quick ratio		
	$\frac{8,200 - 4,000}{5,900}$ = 0.71 : 1	$\frac{8,500 - 4,500}{5,300}$ = 0.75 : 1

Part (b) Measures to improve working capital cycle days:

- Give incentives to customers to pay on time
- Do not transact with customers who have a history of defaulting/late payments
- Automate the monitoring of accounts receivables

▶ *Example 34:*

Qamar Limited (QL) is in the business of consumer goods. Following are the summarized financial statements of QL for 2021:

Statement of financial position as at 31 December 2021

Assets	Rs. in million	Equity and liabilities	Rs. in million
Fixed assets	550	Share capital	600
		Retained earnings	319
Current assets:		Long-term loan	350
Inventory	440	**Current liabilities:**	
Trade debtors	350	Trade creditors	150
Short term investment	160	Other payables	70
Cash and bank balances	39	Current maturity of loan	50
	1,539		**1,539**

Statement of profit or loss for the year ended 31 December 2021

	Rs. in million
Sales	2,150
Cost of goods sold	(1,900)
Gross profit	250
Selling and administrative expenses	(93)
Other income	40
Finance cost	(35)
Net profit	**162**

Extracts from management reports submitted to the board of directors

Ratios for the year 2020:

Gross profit margin	9.5%	Net profit margin	3.9%
Interest cover	2.4 times	Inventory holding period	90.4 days
Return on non-current assets	16.8%	Debtors turnover	7.3 times
Creditor payment period	55.1 days	Acid test	0.9 times

Important financial and operating decisions taken during the year 2021:

- QL renewed a large contract with a customer. In the renewed contract, extended credit terms were given to the customer.
- A major supplier agreed to reduce the prices by 10% on the condition of cash purchases only. This reduction helped QL to avoid increase in prices of its products despite increase in prices by competitors.
- Increasing working capital demands were met by making a share issue. A part of the proceeds from the issue were also used to prepay a significant portion of the long-term loan.
- QL disposed of its main warehouse in the last month of the year at a gain of Rs. 25 million. The sale proceeds are temporarily invested in a short-term investment.

Required:

a) Compute QL's ratios for 2021 for comparison with 2020.

b) Keeping in view the financial and operating decisions extracted from management reports, provide reasons for variation in the ratios computed in (a) above.

▶ *Answer:*

Part (a) QL's ratios for 2021 for comparison with 2020

Ratio		2021	2020
Gross profit margin	[250 / 2,150]	11.6%	9.5%
Net profit margin	[162 / 2,150]	7.5%	3.9%
Interest cover	[(162 + 35) / 35]	5.6 times	2.4 times
Inventory holding period	[(440 x 365)/1,900]	84.5 days	90.4 days
Return on non-current assets	[(162 + 35) / 550]	35.8%	16.8%
Debtors turnover	[2,150 / 350]	6.1 times	7.3 times
Creditors payment period	[(150 x 365) / 1,900]	28.8 days	55.1 days
Acid test	[(350 + 160 +39) / (150 + 70 +50)]	2.03 times	0.9 times

Part (b) Reasons for variation in the ratios

Ratio	Reasons for variation in the ratios
Gross profit margin	Reduction in cost due to discount by major supplier
Net profit margin	• Increase in gross profit margin / Reduction in cost due to discount by major supplier • Increase in sales volume achieved by not increasing prices. • Profit from disposal of warehouse • Reduced interest expense due to repayment of loan
Interest cover	• Reduction in finance cost due to repayment of loan • Increase in overall profitability
Inventory holding period	Due to increase in sales volume achieved by not increasing prices.
Return on non-current assets	• Increase in overall profitability • Disposal of main warehouse
Debtors turnover	Due to extended credit period offered to new customer
Creditors payment period	Cash purchases from a major supplier to avail discount
Acid test	• Due to funds generated from sale of warehouse placed in short term investments • Decrease in payables due to cash purchases

▶ *Example 35:*

You are working as the finance manager of Hittite Limited (HL). A new CFO has joined HL and has recommended changes to accounting policies related to assets to improve HL's financial ratios in the next financial statements. The CFO has suggested the following changes to the policies:

(i) Subsequent measurement of investment property from cost model to fair value model.

(ii) Subsequent measurement of property, plant and equipment from cost model to revaluation model.

(iii) Cost formula for inventory from weighted average to FIFO method.

You may assume that:

- fair values / cost / prices of all assets would increase over the time.
- the maximum possible amount from the revaluation surplus to retained earnings would be transferred on an annual basis.
- periodic inventory system is followed by HL.

Required: State the effect (increase, decrease, no effect) of each of the above changes on the ratios in the next financial statements. **(Note: Use the following format)**

Ratios	Change in policy of		
	investment property	property, plant and equipment	inventory
Net profit to sales ratio			
Return on assets			
Return on capital employed			
Debt equity ratio			
Current ratio			

▶ *Answer:*

Ratios	Change in policy of		
	investment property	property, plant and equipment	inventory
Net profit to sales ratio	Increase	Decrease	Increase
Return on assets	Increase	Decrease	Increase
Return on capital employed	Increase	Decrease	Increase
Debt equity ratio	Decrease	Decrease	Decrease
Current ratio	No effect	No effect	Increase

▶ *Example 36:*

Whale Limited (WL) is a growing business in the electronic items industry and operates two owned outlets. Below are the summarized financial statements of WL for 2023:

Statement of financial position as at 31 March 2023

Assets	Rs. in '000	Equity and liabilities	Rs. in '000
Fixed assets	52,514	Share capital	11,000
Inventory	11,528	Retained earnings	25,535
Trade receivables	6,874	Long-term loan	21,625
Cash	2,658	Trade payables	9,874
		Accrued expenses	5,540
	73,574		**73,574**

Statement of profit or loss for the year ended 31 March 2023

	Rs. in '000
Sales	67,851
Cost of sales	(47,528)
Gross profit	**20,323**
Selling and administrative expenses	(7,584)
Interest expenses	(5,147)
Net profit	**7,592**

Extracts from management reports:

(i) Ratios for the year ended 31 March 2022:

Gross profit margin	36.2%	Quick ratio	1.1 times
Operating profit margin	30.0%	Interest cover	17.5 times
Return on capital employed	51.7%	Asset turnover	1.7 times
Average time to pay	35 days	Inventory turnover	9.0 times

(ii) Key events during the year:

- A new outlet was inaugurated. The cost of purchasing the outlet was financed through another long-term loan from a bank. The sales prices at the new outlet are kept lower to attract customers.
- Despite an increase in sales promotional activities, the sales at the new outlet were below expectation but are expected to increase from next year.
- Inventory at the new outlet was build-up by utilising liquid funds available with WL and the extended credit facility from suppliers.
- The interest rate on existing bank loans has increased due to rise in the market interest rate.

Required:

(a) Compute WL's ratios for 2023 in comparison with 2022.

(b) Keeping in view the key events during the year, provide possible reasons for the variation(s) in the ratios computed in (a) above.

Answer:

Part (a) WL's ratios for 2023 for comparison with 2022

Ratio		2023	2022
Gross profit margin	[20,323 / 67,851]	30.0%	36.2%
Operating profit margin	[(20,323-7,584) / 67,851]	18.8%	30.0%
Return on capital employed	[(20,323-7,584) / 58,160*]	21.9%	51.7%
Average time to pay	[9,874/47,528 x 365]	76 days	35 days
Quick ratio	[(6,874+2,658)/(9,874+5,540)]	0.6 times	1.1 times
Interest cover	[(20,323-7,584) / 5,147]	2.5 times	17.5 times
Asset turnover	[67,851 / 58,160*]	1.2 times	1.7 times
Inventory turnover	[47,528 / 11,528]	4.1 times	9.0 times

*11,000 + 25,535 + 21,625 = 58,160

Part (b) Reasons for variation in the ratios

Ratio	Reasons for variation in the ratios
Gross profit margin	Reduced sale prices at new outlet to attract customers.
Operating profit margin	• Increase in selling expenses due to sales promotion activities to boost the sales at new outlet. • Reduced sale prices at new outlet to attract customers. • Increase in depreciation expense due to inauguration of new outlet. • Increase in sales due to new outlet. • Decrease in gross profit margin.
Return on capital employed	• Increase in borrowings due to additional loan borrowed to refinance the new outlet. • Decrease in the operating profit.

Ratio	Reasons for variation in the ratios
Average time to pay	Increase in payables due to extended credit period offered by supplier.
Quick ratio	• Increase in payables due to extended credit offered by the supplier. • Decrease in liquid funds utilised for inventory build-up.
Interest cover	• Increase in interest expense due to additional loan borrowed to refinance the new outlet. • Increase in interest rates on existing loan due to increase in discount rates. • Decrease in the operating profit.
Asset turnover	• Increase in borrowings due to additional loan borrowed to refinance the new outlet. OR Increase in assets due to new outlet. • Less than expected sales at new outlet.
Inventory turnover	• Increase in inventory for availability of stock at new outlet. • Less than expected sales at new outlet.

Example 37:

The following information pertains to Dall-E Limited (DL) for the year ended 31 December 2023:

Sales during the year (25% mark up on cost)	Rs. 100 million
Average current assets	Rs. 49 million
Average quick assets	Rs. 21 million
Receivables turnover	7 times
Payables turnover	9 times
Credit period usually allowed to customers	30 days
Credit period usually allowed by suppliers	60 days

Required:

(a) Compute operating cycle days of DL for 2023. (Assume 365 days a year)

(b) Suggest one potential action for each component of the operating cycle to assist DL in decreasing its operating cycle days.

Answer:

Part (a) Operating cycle

		Days
Inventory holding period	(i)	127.8
Receivables collection period	(ii)	52.1
Payables payment period	(iii)	(40.6)
Operating cycle		**139.3**

Relevant ratios

(i) Inventory holding period

$$\frac{\text{Average inventory x 365}}{\text{Cost of sales}} = \frac{28 \text{ x } 365}{80} = 127.8 \text{ days}$$

Average current assets 49m – Average quick assets 21m = Average inventory Rs. 28m

Cost of sales = Sales Rs. 100m x 100/125 = Rs. 80m

(ii) Receivables collection period

$$\frac{365}{\text{Receivable turnover}} = \frac{365}{7} = 52.1 \text{ days}$$

(ii) Payables payment period

$$\frac{365}{\text{Payable turnover}} = \frac{365}{9} = 40.6 \text{ days}$$

Part (b)

Trade receivable collection period:

(i) Give incentives to the customers to pay on time e.g. early payment discounts.

(ii) Do not transact with customers who have a history of defaulting/late payments.

(iii) Automate the monitoring of accounts receivable.

(iv) Resolve disputes with customer as early as possible.

Inventory holding period:

(i) Establish relationships with reliable suppliers for timely replenishment so that stock level could be reduced.

(ii) Identify and address obsolete or slow moving inventory.

Trade payable payment period:

(i) DL should fully utilize credit period given by supplier.

(ii) Find suppliers, who are offering higher credit period.

(iii) Negotiate extended terms with existing suppliers.

▶ *Example 38:*

Preshapur Limited (PL), a growing company in the home appliances industry, has provided the following summarized financial statements:

Statement of financial position as at 30 June 2024

Assets	Rs. m	Equity and liabilities	Rs. m
Property, plant and equipment	467	Share capital (Rs. 10 each)	215
Inventory	190	Share premium	95
Trade receivables	75	Retained earnings	35
Cash and bank balances	10	Cumulative preference shares:	
		- 20% redeemable (Rs. 100 each)	130
		- 10% irredeemable (Rs. 50 each)	140
		Long term loans	45
		Current liabilities	82
	742		**742**

Statement of profit or loss for the year ended 30 June 2024

	Rs. in million
Sales	725
Cost of goods sold	(544)
Gross profit	**181**
Selling and administrative expenses	(102)
Finance cost	(38)
Net profit	**41**

Additional information:

(i) Details of ordinary shares issued during the year are as follows:

- On 1 December 2023, PL issued 20% right shares at par value. The share price immediately before the issue was Rs. 32.
- On 1 May 2024, PL issued 3.5 million shares at market value.

(ii) PL did not declare dividend to preference shareholders during the year.

(iii) A potential buyer has expressed interest in acquiring 100% shareholding of PL, contingent upon PL achieving the following benchmark ratios based on financial statements for the year ending 30 June 2025:

Gross profit margin	30%	Gearing ratio	40:60
Net profit margin	10%	Asset turnover (in times)	1.3
Return on assets	15%	Basic earnings per share	Rs. 2
Return on equity	10%		

Recent management decisions:

To achieve the benchmark ratios, the management of PL has made the following decisions in July 2024:

(i) Purchases from a major supplier will now be made on a cash basis to avail discounts not available on credit purchases. The increased working capital demand will be met by acquiring a bank overdraft facility. The savings from the discount are expected to exceed the interest on the overdraft.

(ii) A further issue of redeemable preference shares will be made to finance the installation of a solar system at the office premises. The savings in electricity costs are expected to exceed the dividend payments on these preference shares and depreciation on the solar system.

(iii) A revaluation policy for property, plant and equipment will be adopted to reflect the increase in their fair value in the financial statements.

Required:

(a) Based on the financial statements for the year ended 30 June 2024 provided above, calculate the PL's ratios in comparison with benchmark ratios.

(b) Briefly describe the effects of each management decision on the PL's ratios, indicating whether these actions help or adversely affect the attainment of the benchmarks.

▶ *Answer:*

Part (a) Ratios

				PL	Benchmark
Gross profit margin	=	GP 181 / Sales 725	=	25%	30%
Net profit margin	=	Net profit 41 / Sales 725	=	5.7%	10%
Return on assets	=	PBIT [41 + 38] / Total assets 742	=	10.6%	15%
Return on equity	=	Profit 41 - Pref div 14 / Equity [215 + 95 +35]	=	7.8%	10%
Gearing ratio	=	Debt [130 + 45] / Capital employed [742 - 82]	=	27:73	40:60
Asset turnover	=	Sales 725 / Capital employed [742 - 82]	=	1.1 times	1.3 times
Basic EPS	=	Profit 41 - Pref div 14 / W. Avg Shares 18.13 W1	=	Rs. 1.48	Rs. 2

W1: Weighted average number of shares (for basic EPS)

Date	Number of shares (m)	Time factor	Adjustment factor(s)	Weighted average (m)
1 Jul to 30 Nov	15	5/12	x 32/28.33	7.05
Right issue @20%	3			
1 Dec to 30 Apr	18	5/12		7.50
At market value	3.5			
1 May to 30 Jun	21.5	2/12		3.58
				18.13

Shares on 1 July = 21.5m – 3.5m at market value = 18m x 100/120 = 15m shares

Right adjustment factor = 32 /28.33

$$\textbf{Theoretical ex-rights price} = \frac{(100 \text{ shares x Rs. } 32) + (20 \text{ share x Rs. } 10)}{100 \text{ shares} + 20 \text{ share}} = \text{Rs. } 28.33 \text{ per share}$$

Part (b) Effects of management decisions

(i) The reduction in the cost of goods sold will increase profit, leading to an improvement in basic EPS, gross profit margin, net profit margin, return on assets and return on equity. Currently, these ratios are below the benchmark, so the resulting increase will support the attainment of the benchmark.

(ii) This reduction in electricity cost will increase profit, resulting in an increase in non-current liabilities. The increase in profit will improve basic EPS, net profit margin and return on equity, contributing to the attainment of the benchmark. However, the increase in gearing ratio may hinder the attainment of the benchmark if it exceeds the 40% cut-off.

(iii) The adoption of revaluation will decrease profit due to higher depreciation and increase in assets and equity balances. This will lead to a decrease in basic EPS, net profit margin, return on assets, return on equity and asset turnover, which may hinder the attainment of the benchmark. However, the decrease in gearing ratio will support the attainment of the benchmark.

7. OBJECTIVE BASED Q&A

01. The acid test also known as quick ratio should include which of the following?

(1) Inventory
(2) Accounts receivables
(3) Bank overdraft
(4) Accruals

(a) (1), (2), (3) and (4)
(b) (1), (2) and (3) only
(c) (1), (2) and (4) only
(d) (2), (3) and (4) only

02. Salik has net current liabilities in its statement of financial position. He has decided to pay off its accounts payables using surplus cash.

What will be the effect of the above transaction on the current ratio?

(a) Decrease
(b) Increase
(c) No effect
(d) The ratio could either increase or decrease

03. Extracts from the statement of Comprehensive Income and statement of financial position of the Huda Limited are shown below:

	Rs.
Revenue from sales (all on credit)	900,000
Cost of goods sold	756,000
Purchases (all on credit)	504,000
Receivables	112,500
Trade payables	75,600
Inventory	333,000

What is the length of the working capital cycle (also known as the operating or cash cycle) to the nearest day?

(a) 170 days
(b) 152 days
(c) 261days
(d) 60 days

04. Which of the following should be included in acid test or quick ratio?

(a) Finished goods inventory
(b) raw materials and consumables
(c) long-term loans
(d) Accounts payable

05. Given below are included in the financial statements of Haris Limited for the year ending 30 June:

	2015	*2016*
	Rs. 000	**Rs. 000**
Receivables for disposal of PPE	36	54
Accounts receivables	108	72
	144	126

Sales for the year amounted to Rs. 630,000, of which Rs. 90,000 were cash sales.

The average receivables turnover (in times) during the year ended 30 June 2016 was?

(a) 7

(b) 6

(c) 5

(d) 4

06. Dawn Limited has provided following information:

	31st December 2014	31st December 2015
	Rs. 000	**Rs. 000**
Non -current assets	36	61.2
Inventory	18	23.4
Accounts receivable	25.2	19.8
Bank balance	5.4	3.6
Accounts payable	19.8	16.2
Sales on credit	252	216
Purchases on credit	144	108

Which TWO of the following statements are correct?

(a) Net current assets have increased between the two years

(b) The quick (acid test) ratio has improved between the two years

(c) Customers are paying more quickly in 2015 than in 2014

(d) Dawn Limited is paying its suppliers more quickly in 2015 than in 2014

07. Amir sells fish and Abid sells books. Both operate on a 50% mark-up on cost.

However, their gross profit ratios are as follows.

Amir 25%

Abid 33%

The highest gross profit ratio of the bookseller may be because?

(a) There is more wastage with fish stocks than with book stocks

(b) Amir has a substantial bank loan whereas the Abid's business is entirely financed by her family

(c) Amir has expensive high street premises whereas Abid has cheaper back street premises

(d) Amir's turnover is declining whereas that of the Abid is increasing

08. Maira Limited has a current ratio of 2:1.

This ratio will decrease if Maira Limited

(a) will receive cash in respect of a long-term loan

(b) will receive cash in respect of a short-term loan

(c) pays an existing trade payable

(d) writes off an existing receivable against the provision for doubtful debts

09. Haris Limited has positive working capital.

What effect will the payment of a declared (payable) dividend using cash balances have upon the current ratio and working capital?

(a) Increase in current ratio and increase in working capital

(b) Increase in current ratio and no effect on working capital

(c) No effect on current ratio and working capital

(d) Decrease in current ratio and decrease in working capital

10. After declaring a final dividend, Kashan Limited has a current ratio of 2.0 and a quick asset ratio of 0.8.

If the company now uses its positive cash balance to pay that final dividend, what will be the effect upon the two ratios?

(a) Increase in current ratio and increase in quick asset ratio

(b) Increase in current ratio and decrease in quick asset ratio

(c) Decrease in current ratio and increase in quick asset ratio

(d) Decrease in current ratio and decrease in quick asset ratio

11. The draft accounts of Super Star Limited for the year ended 31 December 2018 include the following:

Revenue	Rs. 360 million
Gross profit	Rs. 90 million

It was subsequently discovered that the revenue was overstated by Rs. 45 million and the closing inventory understated by Rs. 15 million.

After correction of these errors the gross profit percentage will be?

(a) 9.5%

(b) 19.0%

(c) 23.8%

(d) 33.3%

12. The following has been extracted from the financial statements of a business.

SOCI	Rs.	SOFP	Rs.
Profit from operations	86,400	7% debenture	117,000
Debenture interest	(8,190)	Ordinary share capital	171,000
Profit for the year	72,360	Share premium	13,500
		Retained earnings	63,000

What was the return on capital employed (ROCE)?

(a) 19.9%

(b) 23.7%

(c) 29.2%

(d) 34.9%

13. Waris Limited buys and sells a single product. The following is an extract from its statement of financial position at 31 December 2018.

	2018	2017
	Rs. 000	**Rs. 000**
Inventory	75	60
Receivables	24	36

Sales and purchases during 2018 were Rs. 300,000 and Rs. 180,000 respectively. 20% of sales were for cash.

Which TWO of the following are correct?

(a) Average receivables collection period is 37 days

(b) Average receivables collection period is 46 days

(c) Gross profit % is 35%

(d) Gross profit % is 45%

14. A company's gearing ratio (Debt/Equity) is 60%. This would rise if

(a) The decrease in shareholders' equity is equal in amount to decrease in long term loans

(b) The increase in shareholders' equity is equal in amount to increase in long term loans

(c) The part of long term loans are repaid

(d) Right issue of shares of 1 for 5 is made

15. A business has the following trading account for the year ending 31 May 2018:

	Rs.	Rs.
Sales		450,000
Opening inventory	40,000	
Purchases	260,500	
	300,500	
Less: closing inventory	(60,000)	(240,500)
Gross profit		**209,500**

Its rate of inventory turnover for the year is?

(a) 4.9 times

(b) 5.3 times

(c) 7.5 times

(d) 9 times

16. Tara Ltd produces a single product with a margin on sales of 25%.

Total sales for the year	Rs. 400,000
Receivables collection period	64 days
Average receivables	Rs. 32,000

The value of inventory held during the year was constant.

The cost of credit sales was?

(a) Rs. 136,875

(b) Rs. 182,500

(c) Rs. 192,000

(d) Rs. 197,325

17. The following are extracts from the financial statements of Laiba Ltd for the year ended 31 December 2018.

Statement of financial position		Statement of Comprehensive Income	
	Rs. 000		Rs. 000
Issued share capital	3,600	Operating profit	1,431
Reserves	1,800	Debenture interest	(216)
	5,400		1,215
12% debenture 2018	1,800		
	7,200		

What is the return (%) on long-term funds?

(a) 16.88%

(b) 19.88%

(c) 22.50%

(d) 26.50%

18. The opening inventory for a business was Rs. 108,000. The closing inventory was Rs. 144,000.

Inventory turnover for the year was 10 times.

The gross margin was 30%.

What were the sales for the year?

(a) Rs. 1,200,000

(b) Rs. 1,260,000

(c) Rs. 1,800,000

(d) Rs. 1,860,000

19. Adeel Limited has trade payables (creditors) of Rs. 12,000 and a bank overdraft of Rs. 3,000. Its current ratio is 2.5: 1 and its quick (acid test) ratio is 1.5:1.

What is the value of its inventory (stock)?

(a) Rs. 12,500

(b) Rs. 15,000

(c) Rs. 22,500

(d) Rs. 37,500

20. Extracts from statement of financial position of Turab Limited at 31 March 2019 are presented below:

	Rs. 000
Loans due in more than one year	32
5% loan notes	24
Ordinary shares - Rs. 1 each fully paid	80
6% redeemable preferred shares, Rs. 1 each fully paid	16
Retained profits	104
Revaluation reserve	40

The gearing ratio is (to one decimal place)?

(a) 24.3%

(b) 25.0%

(c) 35.3%

(d) 39.1%

21. Which ratio is considered as safe margin of solvency?

(a) Liquid ratio

(b) Quick ratio

(c) Current ratio

(d) Net profit ratio

22. Liquid ratio is also known as

i. Quick ratio

ii. Acid test ratio

iii. Working capital ratio

iv. Stock turnover ratio

(a) i. and ii.

(b) i. and iii.

(c) iii. and iii.

(d) iii. and iv.

23. Care pharmacy Ltd. has a current ratio equal to 1.6 and a quick ratio equal to 1.2. The company has Rs.200 million in sales and its current liabilities are Rs.10 million. what is the value of company's current assets?

(a) Rs.14 million

(b) Rs.16 million

(c) Rs.18 million

(d) Rs.20 million

24. Determine working capital turnover ratio if, current assets is Rs.150 million, current liabilities is Rs.100 million and Sales during the year are Rs.500 million.

(a) 5 times

(b) 10 times

(c) 15 times

(d) 20 times

25. A debtor turnover ratio of 12 times means that:

(a) one-twelfth of debtors will turn out to be bad debts

(b) debtors are about twelve times as big as creditors

(c) in any given month, twelve debtors are expected to pay in full

(d) the average debtor takes about one month to pay.

26. What is the impact of collection of debtors on the current ratio;

(a) Increase

(b) Decrease

(c) No impact

(d) None of the above

27. Which of the following is not included in the computation of acid test ratio?

(a) Debtors

(b) Cash at bank

(c) Short-term investments

(d) Stock

28. Determine inventory turnover ratio if, opening inventory is Rs.31 million, closing inventory is Rs.29 million, sales are Rs.320 million and gross profit margin is 25%.

(a) 6 times

(b) 8 times

(c) 11 times

(d) 16 times

29. Debt-equity ratio is a sub-part of

(a) Short-term solvency ratios

(b) Long-term solvency ratios

(c) Debtors turnover ratios

(d) None of the above

30. Night Limited has a current ratio of 1.8. This ratio will increase if Night Limited:

(a) receives cash in respect of a short-term loan

(b) receives cash from an existing receivable

(c) pays an existing trade payable

(d) purchases inventory on credit

31. A debtor turnover of 6 times means that:

(a) one-sixth of the debtors are collected in one month

(b) average debtors are collected in 6 months

(c) average debtors are collected in 2 months

(d) average debtors are collected 2 times in a year

32. Which of the following companies is most likely to face cash flow problems?

(a) A loss-making government organisation

(b) A company which has recently sold part of its operations so as to concentrate on its core areas

(c) A reasonably profitable and long-established company with no expansion plans

(d) A profitable retailer about to embark on ambitious expansion plans

33. A company has current ratio and quick ratio of 2.0 and 0.8 respectively. If the company uses its positive cash balance to pay a creditor, it will:

(a) increase current ratio as well as quick ratio

(b) increase current ratio and decrease quick ratio

(c) have no effect on current ratio as well as quick ratio

(d) decrease current ratio as well as quick ratio

34. Which of the following would increase gearing ratio?

(a) Issuance of shares at premium

(b) Issuance of shares at discount

(c) Issuance of bonus shares

(d) Declaration and payment of cash dividend

35. Which two of the following factors could cause a company's gross profit percentage on sales to be above the expected level?

(a) Over-statement of closing inventories

(b) Sales were higher than expected

(c) Inclusion of disposal proceeds of non-current assets in sales

(d) Decrease in carriage charges borne by the company on goods sent to customers

36. Which of the following is NOT a limitation of ratio analysis?

(a) Use of different accounting policies and estimates

(b) Use of different formulas for calculating ratios

(c) Different inflation rates in different years

(d) Companies pursuing different strategies

37. If the existing current ratio of a company is more than 1, what would be the impact of a credit purchase of inventory on the current ratio?

(a) Current ratio would increase

(b) Current ratio would decrease

(c) Current ratio would decrease but would remain higher than 1

(d) Current ratio would remain same

38. Which of the following statements are correct?

(I) Giving incentives to customer to pay on time would result in decrease in debtor's turnover in times.

(II) If all debtors pay their debts within the credit period, the average collection period would be Nil.

(a) Only (I) is correct

(b) Only (II) is correct

(c) Both are correct

(d) None is correct

39. Which TWO of the following would improve gearing ratio of a company?

(a) Issuance of shares at discount

(b) Repayment of a bank loan

(c) Issuance of bonus shares

(d) Disposal of a land at its carrying value

40 Quick and current ratios of a business as on 31 December were 1:1 and 1.25:1. If inventories at that date amounted to Rs. 45 million, then current liabilities were:

(a) Rs. 144 million

(b) Rs. 225 million

(c) Rs. 180 million

(d) Rs. 135 million

ANSWERS

01. (d)

Acid test ratio is calculated as (current assets - inventory) / current liabilities

02. (a)

Assume initially that Salik has assets of Rs. 100,000 and liabilities of Rs. 150,000

Its current ratio prior to the transaction will be: Rs. 100,000/Rs. 150 ,000= 0.67

If it then pays its trade payables by Rs. 50,000 the current assets will be Rs. 50,000 and the liabilities Rs. 100,000.

Hence the new current ratio is 50,000/100,000 = 0.50, i.e. a decrease.

03. (b)

	days
Inventory turnover: 333/756× 365	160.8
Average collection period: 112.5/900 × 365	45.6
Average time to pay: 75.6/504× 365	(54.8)
	151.6

04. (d)

The acid test ratio excludes all inventory balances and is based on short-term creditors only.

05. (b)

Credit sales = 630,000 – 9,000 = Rs. 540,000

Average receivables = (72000 + 108000)/2 =90,000

Receivable turnover =540,000/ 90,000 = 6

06. (a & c)

	2014			2015
Net current assets	(18 + 25.2 + 5.4 – 19.8)	28.8	(23.4+ 19.8+ 3.6 – 16.2)	30.6
Quick ratio	(25.2 + 5.4)/19.8	1.55	(19.8 + 3.6)/16.2	1.44
Collection period	(25.2 /252) × 365	36.5 days	(19.8/216) × 365	33.5 days
Payment period	(19.8/144) × 365	50.2 days	(16.2/108) × 365	54.8 days

07. (a)

Cost plus 50% is equivalent to a gross profit ratio of 33%. Amir's gross profit margin may be low because of wastage.

The loan interest and rental would not affect gross profit (only affects net profit) and declining turnover would not directly affect the gross profit percentage.

08. (b)

Receiving cash for a long-term loan increases current assets with no change in current liabilities, hence improves the ratio. Payment on an existing creditor improves the ratio.

Writing off a receivable against a provision has no effect on current assets.

Therefore receiving cash in respect of a short-term loan must be the correct choice.

Thus, suppose current ratio is 2:1, that means assets 100,000 and current liabilities 50,000

Now say Maira Limited receives loan = Rs. 50,000

Current assets will be 100,000 + 50,000=150,000

Current liabilities 50,000 + 50,000 = 100,000

New Current ratio 1.5:1

09. **(b)**

Before payment of proposed dividend

	Rs.
Current assets	150,000
Current liabilities including proposed dividend Rs. 30,000	50,000
Current ratio	3:1
Working capital	100,000

After payment of proposed dividend

	Rs.
Current assets	120,000
Current liabilities	20,000
Current ratio	6:1
Working capital	100,000

10. **(b)**

Suppose that inventories are Rs. 120,000, cash plus receivables are Rs. 80,000 and creditors (including a Rs. 10,000 dividend) are Rs. 100,000.

Payment of the dividend will cause cash plus receivables to fall to Rs. 70,000 and creditors to fall to Rs. 90,000.

The current ratio will increase to 2.11 (190 ÷ 90).

The quick ratio will decrease to 0.77 (70 ÷ 90).

11. **(b)**

	Rs. m	Rs. m
Turnover	360-45	315
Cost of sales	270-15	(255)
Gross profit		**60**

Gross profit % =60/315= 19.0%

12. **(b)**

ROCE = 86,400/364,500= 23.7%

13. **(b) & (d)**

Credit sales = Rs. 300,000 x 80%= Rs. 240,000

Average receivables =Rs. (24,000+ 36,000)/2 = Rs. 30,000

Receivables' turnover =Rs. 240,000/Rs. 30,000 = 8

Collection period =365/8 = 46 days

	Rs. 000	%
Sales	300	100
Cost of sales (60+180-75)	(165)	55
Gross profit	**135**	**45**

14. **(b)**

Since long term loans being numerator are lower amount (i.e. 60% of equity), the equal amount increase would result in higher ratio than before. Equal amount decrease would result in lower ratio and repayment of long term loan or issue of shares would also result in lower gearing ratio.

15.	**(a)**	Inventory turnover = COS/ average inventory = 240,500 /[(40,000 + 60 ,000)/2 = 4.9 times
16.	**(a)**	Receivables of Rs. 32,000 represent 64 days' credit sales. Therefore, receivables of Rs. 182,500 would represent 365 days' credit sales. [32,000 x 365/64] Cost of credit sales = Rs. 182,500 x 75% = Rs. 136,875
17.	**(b)**	Return on long-term funds = Operating profit (before debenture interest) / (Share capital + Reserves + Debentures) =1,431/7,200 = 19.88%
18.	**(c)**	Inventory turnover =CGS/ average inventory CGS = average inventory x inventory turnover = ((108,000 + 144,0000)/2) x 10 = 126,000x10 = Rs. 1,260,000 Sales = Rs. 1,260,000 / 0.7 = Rs. 1,800,000
19.	**(b)**	Current ratio = Current assets/ current liabilities Current assets = Current ratio x Current liabilities = 2.5 x (Rs. 12,000 + Rs. 3000) = Rs. 37,500 Quick ratio = (C.A – inventory)/ C.L C.A – inventory = Quick ratio x C.L Rs. 37,500 – inventory = 1.5 x 15,000 Rs. 37,500 – inventory = Rs. 22,500 Inventory = Rs. 15,000
20.	**(a)**	Debt = 32 + 24 + 16 = 72 Equity = 80 + 104 + 40 = 224 Gearing = 72/(72 + 224) = 24.3 %
21.	**(c)**	Current ratio
22.	**(a)**	Quick ratio or acid-test ratio
23.	**(b)**	Rs. 10 million x 1.6 current ratio = Rs. 16 million current assets
24.	**(b)**	Rs. 500m / (150m – 100m) = 10 times
25.	**(d)**	The average debtor pays 12 times in a year i.e. on average after one month.
26.	**(c)**	No impact
27.	**(d)**	Stock (inventories) are excluded.
28.	**(b)**	Average inventory [31+29] /2 = Rs. 30m Cost of sales 320 x 75% = Rs. 240m Inventory turnover 240 / 30 = 8 times
29.	**(b)**	Long term solvency ratios
30.	**(c)**	Pays an existing trade payable
31.	**(c)**	Average debtors are collected in 2 months

32.	**(d)**	A profitable retailer about to embark on ambitious expansion plans
33.	**(b)**	increase current ratio and decrease quick ratio
34.	**(d)**	Declaration and payment of cash dividend
35.	**(a) & (c)**	Over-statement of closing inventories Inclusion of disposal proceeds of non-current assets in sales
36.	**(b)**	Use of different formulas for calculating ratios
37.	**(c)**	Current ratio would decrease but would remain higher than 1
38.	**(d)**	None is correct
39.	**(a) & (b)**	Issuance of shares at discount Repayment of a bank loan
40.	**(c)**	Current assets – Inventory = Quick assets 1.25 CL – Rs. 45m = 1 CL CL = Rs. 180 million

STICKY NOTES

Profitability ratios

Gross profit ratio	=	Gross profit / Sales	=	____%
Operating profit ratio	=	Profit before interest and tax (PBIT) / Sales	=	____%
Net profit ratio	=	Profit after tax (PAT) / Sales	=	____%
Cost of sales ratio	=	Cost of sales / Sales	=	____%
Operating cost ratio	=	Operating expenses / Sales	=	____%
Asset turnover ratio	=	Sales / Average capital employed	=	____times

Investors' profitability ratios

Return on capital employed	=	PBIT / Average capital employed	=	____%
Return on equity	=	PAT – preference dividend / Average equity	=	____%
Return on total assets	=	PBIT / Total assets	=	____%
Return on non-current assets	=	PBIT / Non-current assets	=	____%

Working capital efficiency ratios (days)

Average holding days	=	Average inventory x 365 / Cost of sales	=	____days
Average days to collect	=	Average trade receivables x 365 / Sales	=	____days
Average time to pay	=	Average trade payables x 365 / Purchases	=	____days
Cash cycle	=	Inventory days + Receivable days – Payable days	=	____days

Working capital efficiency ratios (turnover)

Inventory turnover	=	Cost of sales / Average inventory	=	____times
Receivables turnover	=	Sales / Average trade receivables	=	____times
Payables turnover	=	Purchases / Average trade payables	=	____times

Liquidity ratios

Current ratio	=	Current assets / Current liabilities	=	____: 1
Quick ratio (acid test)	=	Current assets – inventory – prepayments / Current liabilities	=	____: 1

Note: Liquidity ratios may also be expressed in 'times'.

Debt (Solvency) ratios

Gearing ratio	=	Long term debts / Equity capital	=	____%
Gearing ratio	=	Long term debts / Equity capital + Long term debts	=	____%
Interest cover	=	PBIT / Interest expense	=	____times

CHAPTER 7

IAS 41 AGRICULTURE

IN THIS CHAPTER:

AT A GLANCE

SPOTLIGHT

1. Introduction
2. Recognition and measurement
3. Disclosure
4. Comprehensive Examples
5. Objective Based Q&A

STICKY NOTES

AT A GLANCE

The objective of IAS 41 is to prescribe the accounting treatment and disclosures related to agricultural activity.

The key definitions are agricultural activity, biological asset and agricultural produce. Agricultural activity is the management by an entity of the biological transformation of biological assets for sale, into agricultural produce, or into additional biological assets. A biological asset is a living animal or plant. Agricultural produce is the harvested product of the entity's biological assets. IAS 41 prescribes, among other things, the accounting treatment for biological assets during the period of growth, degeneration, production, and procreation, and for the initial measurement of agricultural produce **at the point of harvest**. It requires measurement at fair value less costs to sell from initial recognition of biological assets up to the point of harvest, other than when fair value cannot be measured reliably on initial recognition.

IAS 41 is applied to agricultural produce, which is the harvested product of the entity's biological assets, only at the point of harvest. Thereafter, IAS 2 Inventories or another applicable Standard is applied.

IAS 41 requires that a change in fair value less costs to sell of a biological asset be included in profit or loss for the period in which it arises.

IAS 41 requires that an unconditional government grant related to a biological asset measured at its fair value less cost to sell be recognised as income when, and only when, the government grant becomes receivable. If a government grant is conditional, an entity should recognise the government grant as income when, and only when, the conditions attaching to the government grant are met.

1 INTRODUCTION

1.1 Scope [IAS 41: 1 to 4]

IAS 41 Agriculture covers the following agricultural activities:

- biological assets, except for bearer plants;
- agricultural produce at the point of harvest; and
- government grants for agriculture (in certain situations).

IAS 41 does not apply to:

- the harvested agricultural product (IAS 2 Inventory or another applicable Standard applies);
- land relating to the agricultural activity (IAS 16 or IAS 40 applies);
- bearer plants related to agricultural activity (however, IAS 41 does apply to the produce on those bearer plants).
- intangible assets related to agricultural activity (IAS 38 Intangible assets applies).

The table below provides examples of biological assets, agricultural produce, and products that are the result of processing after harvest:

Biological assets	Agricultural produce	Products that result from processiong after harvest
Sheep	Wool	Yarn, carpet etc.
Trees in a timber plantation	Felled trees	Logs, lumber
Dairy cattle	Milk	Cheese
Cotton plants	Harvested cotton	Thread, clothing etc.
Sugarcane	Harvested cane	Sugar
Tobacco plants	Picked leaves	Cured tobacco
Tea bushes	Picked leaves	Tea
Fruit tress	Picked fruit	Processed fruit
Oil palm	Picked fruit	Palm oil
Pigs	Carcass	Sausages
Grape vines	Picked grapes	Wine
Rubber trees	Harvested latex	Rubber products

▶ *Example 01:*

A farmer has a field of lambs ('biological assets').

As the lambs grow they go through biological transformation.

As sheep they are able to procreate and lambs will be born (additional biological assets) and the wool from the sheep provides a source of revenue for the farmer ('agricultural produce').

Once the wool has been sheared from the sheep ('harvested'), IAS 2 requires that it be accounted for as regular inventory.

▶ *Example 02:*

Fatima Limited has a forest asset. The total value of the group's forest assets is Rs.3,400 million comprising:

	Rs. in million
Freestanding trees	2,500
Land under trees	500
Roads in forests	400
	3,400

Required:

Show how the forests would be presented in the financial statements.

▶ *ANSWER:*

Fatima Limited

Extracts of Statement of Financial Position as at 31 December 20X8

		Rs. in million
Non-current assets		
Property, plant and equipment: Land under trees		500
	Forest roads	400
Biological assets:	Freestanding trees	2,500
		3,400

1.2 Definitions [IAS 41: 5]

"Biological asset" is a living animal or plant. Examples include sheep, cows, plant and trees, etc.

A **"group of biological assets"** is an aggregation of similar living animals or plants. Examples include herd of cows, orchard of fruit trees, etc.

"Harvest" is the detachment of produce from a biological asset or the cessation of a biological asset's life processes. Examples include milking the cows, slaughtering the cows, picking fruit from trees and cutting trees for wood logs.

"Agricultural produce" is the harvested produce of the entity's biological assets. Example include milk and/or meat obtained from cows and fruit and/or wood logs obtained from trees.

"Costs to sell" are the incremental costs directly attributable to the disposal of an asset, excluding finance costs and income taxes. Examples include commission to brokers, non-refundable transfer taxes and duties.

1.3 Biological transformation [IAS 41: 5 & 7]

Biological transformation comprises the processes of:

- Growth (an increase in quantity or improvement in quality of an animal or plant e.g. lambs grow into sheep, trees grow);
- Degeneration (a decrease in the quantity or deterioration in quality of an animal or plant e.g. death, old age, cut down);
- Production (getting agricultural produce such as latex, tea leaf, wool, and milk); and
- Procreation (creation of additional living animals or plants e.g. birth of new animals) that cause qualitative or quantitative changes in a biological asset.

1.4 Agricultural activity [IAS 41: 5 & 6]

Agricultural activity is the management by an entity of the biological transformation and harvest of biological assets

- for sale; or
- for conversion into agricultural produce; or
- into additional biological assets.

▶ *Example 03:*

Discuss whether IAS 41 shall be applied in each of the following circumstances:

i. A zoo has bought two lions and one tiger for exhibition in zoo cages for earning ticket revenue.

ii. Peacock kept by a restaurant in their open dining area to attract more customers.

iii. Mules kept for transportation of luggage of tourists by a company which provides camping and hiking services to foreign tourists.

iv. A small business using horses in horse-wagons for tourists to travel around historical places.

v. Parrots kept for breeding by a bird shop so that their offspring can be sold.

vi. Horses kept in stable for breeding and to be trained and sold later.

▶ *ANSWER:*

Although all circumstances indicate the existence of biological assets i.e. living animals, the item (i) to (iv) do not fall under the scope of IAS 41 as those biological assets are not for agricultural activity.

IAS 41 shall be applied on item (v) and (vi) since these biological assets relate to agricultural activity (i.e. for sale or for having additional biological assets by breeding).

Agricultural activity covers a diverse range of activities; for example, raising livestock, forestry, annual or perennial cropping, cultivating orchards and plantations, floriculture and aquaculture (including fish farming).

Certain common features exist within this diversity

a) **Capability to change.** Living animals & plants are capable of biological transformation;

b) **Management of change.** Management facilitates biological transformation by enhancing, or at least stabilising, conditions necessary for the process to take place (for example, nutrient levels, moisture, temperature, fertility, and light). Such management distinguishes agricultural activity from other activities. For example, harvesting from unmanaged sources (such as ocean fishing and deforestation) is not agricultural activity; and

c) **Measurement of change.** The change in quality (for example, genetic merit, density, ripeness, fat cover, protein content, and fibre strength) or quantity (for example, progeny, weight, cubic metres, fibre length or diameter, and number of buds) brought about by biological transformation or harvest is measured and monitored as a routine management function.

1.5 Bearer plants [IAS 41: 5 to 5C]

IAS 16 applies to the bearer plants. A bearer plant is a living plant that:

a) is used in the production or supply of agricultural produce;

b) is expected to bear produce for more than one period; and

c) has a remote likelihood of being sold as agricultural produce, except for incidental scrap sales.

When bearer plants are no longer used to bear produce, they might be cut down and sold as scrap, for example, for use as firewood.

Produce growing on bearer plants is a biological asset. IAS 41 is applied on such produce.

The following are not bearer plants (IAS 41 is applied):

a) plants cultivated to be harvested as agricultural produce (e.g. trees grown for use as lumber);

b) plants cultivated to produce agricultural produce and more than a remote likelihood that the entity will also harvest and sell the plant as agricultural produce, other than as incidental scrap sales (e.g., trees that are cultivated both for their fruit and their lumber);

c) annual crops (e.g., maize and wheat).

Note that there is no animal-equivalent of bearer plant. Thus, cows kept for milk only are within the scope of IAS 41.

2 RECOGNITION AND MEASUREMENT

2.1 Recognition [IAS 41: 10 & 11]

An entity shall recognise a biological asset or agricultural produce when, and only when:

a) the entity controls the asset as a result of past events;

b) it is probable that future economic benefits associated with the asset will flow to the entity; and

c) the fair value or cost of the asset can be measured reliably.

In agricultural activity, control may be evidenced by, for example, legal ownership of cattle and the branding or otherwise marking of the cattle on acquisition, birth, or weaning.

The future benefits are normally assessed by measuring the significant physical attributes.

▶ *Example 04:*

XYZ Limited owns a large area of farmland nearby a wild forest. Employees of XYZ Limited have noticed that a herd (or a parade) of wild elephants is living permanently on the farmland of XYZ Limited. If sold in international market, the whole herd can fetch a fair value less costs to sell of Rs. 58 million.

Required:

How should XYZ Limited recognise the herd of elephants in its financial statements?

▶ *ANSWER:*

It is unlikely that XYZ Limited controls these wild animals and/or able to sell them and obtain the future economic benefits. Therefore, XYZ Limited should not recognise the herd of elephants in its financial statements.

2.2 Measurement [IAS 41: 12 to 25]

2.2.1 Biological asset

A biological asset shall be measured on initial recognition and at the end of each reporting period at its fair value less costs to sell, except where the fair value cannot be measured reliably.

▶ *Example 05:*

Adeel Limited (AL) operates a goat breeding farm. AL sells goats to local meat businesses and goats-milk to cosmetics companies. They also use goat milk for making premium cheese for sale. On 1 March 20Y2, AL bought 10 goats for Rs. 25,000 each (i.e. fair value) from a nearby market. The market broker charges 2% commission from buyer and 3% from seller on each transaction.

On 15 June 20Y2, two kids were born having fair value of Rs. 7,000 each.

On 30 June 20Y2, the year-end of AL, each goat has a fair value of Rs. 33,000 and each kid has a fair value of Rs. 9,000.

Required:

Calculate the cost of purchase and the amount at which the above biological assets should be measured at initial recognition and on 30th June 20Y2.

▶ *ANSWER:*

The cost of 10 goats purchased:

[10 goats x Rs. 25,000 x 102%]	= Rs. 255,000

Measurement at initial recognition (at fair value less costs to sell):

[10 goats x Rs. 25,000 x 97%]	= Rs. 242,500
[2 goat kids x Rs. 7,000 x 97%]	= Rs. 13,580

Measurement at year-end (at fair value less costs to sell):

[10 goats x Rs. 33,000 x 97%]	= Rs. 320,100
[2 goat kids x Rs. 9,000 x 97%]	= Rs. 17,460

2.2.2 Agricultural produce

Agricultural produce harvested from an entity's biological assets shall be measured at its fair value less costs to sell at the point of harvest. Such measurement is the cost at that date when applying IAS 2 Inventories or another applicable Standard.

▶ *Example 06:*

Kashif Limited (KL) operates a goat breeding farm. KL sells goats to local meat businesses and goats-milk to cosmetics companies. They also use goat milk for making premium cheese for sale.

During the year ended 30 June 20Y2, KL could get 980 litre of milk which had fair value less costs to sell of Rs. 170 per litre on the day goats were milked.

The 900 litre of milk was sold to cosmetics companies for Rs. 160,000 and remaining 80 litre was converted into making cheese which was later sold for Rs. 24,000. KL had to incur a cost of Rs. 5,000 to convert the milk into cheese.

Required:

Briefly discuss the accounting treatment of milk obtained from goats.

▶ *ANSWER:*

The harvested milk shall be recognised at Rs. 166,600 (980 litres x Rs. 170 per litre) at the point of harvest. This amount will be deemed cost of inventory of milk subsequently. The excess of sale price over this cost of inventory shall result in profit in the statement of comprehensive income of KL.

2.2.3 Biological assets attached to land

Biological assets are often physically attached to land (for example, trees in a plantation forest).

There may be no separate market for biological assets that are attached to the land, but an active market may exist for the combined assets, that is, the biological assets, raw land, and land improvements, as a package. An entity may use information regarding the combined assets to measure the fair value of the biological assets. The fair value of raw land and land improvements may be deducted from the fair value of the combined assets to arrive at the fair value of biological assets.

▶ *Example 07:*

ABC Limited has a fruit orchard over fifteen acres area of land. The separate value of orchard from the land could not be determined, however, combined value of land and orchard has been determined to be Rs. 336 million. The similar agricultural land (but without any crop or orchard) in the area is valued at Rs. 10 million per acre.

Required:

Advise ABC Limited as to how they may value their fruit orchard.

▶ *ANSWER:*

Use the combined fair value of the land and orchard, less the estimated fair value of land. So the orchard's fair value might be determined at Rs. 186 million (i.e. Rs. 336 million – Rs. 10 million x 15 acres).

2.2.4 Grouping of assets

The fair value measurement may be facilitated by grouping biological assets or agricultural produce according to significant attributes; for example, by age or quality as used in the market as a basis for pricing.

2.2.5 Future contract prices

Future contract prices are not necessarily relevant in measuring fair value because fair value reflects the current market conditions in which market participant buyers and sellers would enter into a transaction. The fair value is not adjusted because of existence of such contract. IAS 37 is applied if such contract is onerous.

2.2.6 Using cost as fair value

Cost may sometimes approximate fair value, particularly when:

- little biological transformation has taken place since initial cost incurrence (for example, for seedlings planted immediately prior to the end of a reporting period or newly acquired livestock); or
- the impact of the biological transformation on price is not expected to be material (for example, for the initial growth in a 30-year pine plantation production cycle).

2.3 Gains and losses [IAS 41: 26 to 29]

2.3.1 Biological assets

A gain or loss arising on initial recognition of a biological asset at fair value less costs to sell and from a change in fair value less costs to sell of a biological asset shall be included in profit or loss for the period in which it arises.

A loss may arise on initial recognition of a biological asset, because costs to sell are deducted in determining fair value less costs to sell of a biological asset. A gain may arise on initial recognition of a biological asset, such as when a calf is born.

▶ *Example 08:*

Adeel Limited (AL) operates a goat breeding farm. AL sells goats to local meat businesses and goats-milk to cosmetics companies. They also use goat milk for making premium cheese for sale. On 1 March 20Y2, AL bought 10 goats for Rs. 25,000 each (i.e. fair value) from a nearby market. The market broker charges 2% commission from buyer and 3% from seller on each transaction.

On 15 June 20Y2, two goat kids were born having fair value of Rs. 7,000 each.

On 30 June 20Y2, the year-end of AL, each mature goat has now fair value of Rs. 33,000 and each goat kid has fair value of Rs. 9,000.

Required:

Journal entries.

▶ *ANSWER:*

Date	Particulars	Debit Rs.	Credit Rs.
1 Mar 20Y2	Biological assets [10 goats x Rs. 25,000 x 97%]	242,500	
	Loss on initial recognition (PL)	12,500	
	Bank [10 goats x Rs. 25,000 x 102%]		255,000
15 Jun 20Y2	Biological assets [2 goat kids x Rs. 7,000 x 97%]	13,580	
	Gain on initial recognition (PL)		13,580
30 Jun 20Y2	Biological assets **W1**	81,480	
	Gain on re-measurement (PL)		81,480

W1: Gain on re-measurement of Biological assets	Rs.
At year end	
[10 goats × Rs. 33,000 × 97%]	320,100
[2 goat kids x Rs. 9,000 x 97%]	17,460
	337,560
Already measured at [Rs. 242,500 + 13,580]	(256,080)
	81,480

2.3.2 Agricultural Produce

A gain or loss arising on initial recognition of agricultural produce at fair value less costs to sell shall be included in profit or loss for the period in which it arises.

A gain or loss may arise on initial recognition of agricultural produce as a result of harvesting.

▶ *Example 09:*

Kashif Limited (KL) operates a goat breeding farm. KL sells goats to local meat businesses and goats-milk to cosmetics companies. They also use goat milk for making premium cheese for sale.

During the year ended 30 June 20Y2, KL could get 980 litre of milk which had fair value less costs to sell of Rs. 170 per litre on the day goats were milked.

The 900 litre of milk was sold to cosmetics companies for Rs. 160,000 and remaining 80 litre was converted into making cheese which was later sold for Rs. 24,000. KL had to incur a cost of Rs. 5,000 to convert the milk into cheese.

Required:

Journal entries (perpetual inventory system).

▶ *ANSWER:*

Sr. #	Particulars	Debit Rs.	Credit Rs.
(i)	Milk (agricultural produce) [980 litres x Rs. 170]	166,600	
	Gain on harvest (PL)		166,600
(ii)	Milk inventory	166,600	
	Milk (agricultural produce)		166,600
(iii)	Cash/Receivables	160,000	
	Revenue: Milk		160,000
	Cost of sales	153,000	
	Milk inventory [900 litres x Rs. 170]		153,000
(iv)	Cheese inventory	18,600	
	Cash/Bank (conversion cost)		5,000
	Milk inventory [80 litres x Rs. 170]		13,600
(v)	Cash/Receivables	24,000	
	Revenue: cheese		24,000
	Cost of sales	18,600	
	Cheese inventory		18,600

2.4 Inability to measure fair value reliably [IAS 41: 30 to 33]

There is a presumption that fair value can be measured reliably for a biological asset. The presumption can be rebutted only on initial recognition for a biological asset for which quoted market prices are not available and for which alternative fair value measurements are determined to be clearly unreliable.

In such a case, that biological asset shall be measured at its cost less any accumulated depreciation and any accumulated impairment losses. The entity should consider application of IAS 2, IAS 16 and/or IAS 36.

Once the fair value of such a biological asset becomes reliably measurable, an entity shall measure it at its fair value less costs to sell.

The presumption can be rebutted only on initial recognition. An entity that has previously measured a biological asset at its fair value less costs to sell continues to measure the biological asset at its fair value less costs to sell until disposal.

In all cases, an entity measures agricultural produce at the point of harvest at its fair value less costs to sell. IAS 41 reflects the view that the fair value of agricultural produce at the point of harvest can always be measured reliably.

2.5 Government grants related to biological asset [IAS 41: 34 to 38]

Biological assets measured at fair value less cost to sell (IAS 41 is applicable)	**Unconditional grant** It shall be recognised in profit or loss when, and only when, the government grant becomes receivable.
	Conditional grant Such grant (including when a government grant requires an entity not to engage in specified agricultural activity) shall be recognised in profit or loss when, and only when, the conditions attaching to the government grant are met.
	Partial recognition for conditional grants Terms and conditions of government grants vary. For example, a grant may require an entity to farm in a particular location for five years and require the entity to return all of the grant if it farms for a period shorter than five years. In this case, the grant is not recognised in profit or loss until the five years have passed. However, if the terms of the grant allow part of it to be retained according to the time that has elapsed, the entity recognises that part in profit or loss as time passes.
Biological assets measured at cost or bearer plants	The grant shall be recognised in accordance with IAS 20.

▶ *Example 10:*

Multan Limited (ML) operates a large cow and buffalo dairy farm. On 1 January 20Y2, ML received a government grant of Rs. 15 million on the condition that ML adopts organic cattle feed system and continues to do so for five years. If ML discontinues organic cattle feed system any time during five years, it will have to repay the whole amount of grant.

ML has already implemented organic feed system and it is reasonably certain that ML will meet the conditions of grant. ML year end is 31 December. ML measures all its biological assets at fair value less costs to sell.

Required:

Briefly discuss the recognition of government grant in the financial statements of ML.

▶ *ANSWER:*

ML shall recognise the grant of Rs. 15 million in profit or loss on 31st December 2026 only when the conditions attaching to the government grant are met.

▶ *Example 11:*

Peshawar Limited (PL) operates a large cow and buffalo dairy farm. On 1 April 20Y2, PL received a government grant of Rs. 15 million on the condition that PL adopts organic cattle feed system and continues to do so for next five years. If PL discontinues organic cattle feed system any time during five years, it will have to repay the proportionate amount of grant.

PL has already implemented organic feed system and it is reasonably certain that PL will meet the conditions of grant. PL year end is 31 December. PL measures all its biological assets at fair value less costs to sell.

Required:

Briefly discuss the recognition of government grant in the financial statements of PL.

▶ *ANSWER:*

PL shall recognise the grant of Rs. 3 million (i.e. Rs. 15 million / 5 years) in profit or loss each year on 31st December from 20Y2 to 20Y7 as the time passes provided that PL is complying the conditions of the government grant.

3 DISCLOSURE

3.1 General [IAS 41: 40 to 45]

An entity shall disclose the aggregate gain or loss arising during the current period on initial recognition of biological assets and agricultural produce and from the change in fair value less costs to sell of biological assets.

An entity shall provide a description (narrative or quantified) of each group of biological assets. An entity is encouraged to provide a quantified description of each group of biological assets, distinguishing between consumable and bearer biological assets or between mature and immature biological assets, as appropriate.

An entity discloses the basis for making any such distinctions.

Group Type	Explanation
Consumable biological assets	Consumable biological assets are those that are to be harvested as agricultural produce or sold as biological assets. Examples include livestock intended for the production of meat, livestock held for sale, fish in farms, crops such as maize and wheat, produce on a bearer plant and trees being grown for lumber.
Bearer biological assets	Bearer biological assets are those other than consumable biological assets; for example, livestock from which milk is produced and fruit trees from which fruit is harvested.
Mature biological assets	Mature biological assets are those that have attained harvestable specifications (for consumable biological assets) or are able to sustain regular harvests (for bearer biological assets).

3.2 Reconciliation [IAS 41: 50 to 52]

An entity is required to present a reconciliation of changes in the carrying amount of biological assets between the beginning and the end of the current period.

The reconciliation shall include:

a) the gain or loss arising from changes in fair value less costs to sell (Separate disclosure of physical change and price change is encouraged but not required);

b) increases due to purchases;

c) decreases attributable to sales and classification as held for sale;

d) decreases due to harvest;

e) increases resulting from business combinations;

f) net exchange differences; and

g) other changes.

▶ *Example 12:*

Nawabpur Farming Limited (NFL) owned a dairy herd. On 1st January 20Y2, the herd had 100 animals that were two years old and 50 newly born calves. On 31 December 20Y2 (year-end), a further 03 calves were born. None of the herd died during the period. NFL incurred total farm maintenance cost of Rs. 1.2 million.

Relevant fair value less costs to sell (per animal) were:

	1st January 20Y2	31 December 20Y2
	Rupees	
Newly born calves	30,000	50,000
One year old animals	45,000	60,000
Two year old animals	65,000	75,000
Three year old animals	75,000	80,000

Required:

Prepare reconciliation of change in fair value (price change and physical change) and extracts of financial statements for the year ended 31st December 20Y2.

▶ *ANSWER:*

Reconciliation

	Rs. 000	Rs. 000
On 1st January 20Y2		
2 year old [100 x Rs. 65]	6,500	
Newly born [50 x Rs. 30]	1,500	
		8,000
Increase due to price change*		
2 year old [100 x (Rs. 75 - 65)]	1,000	
Newly born [50 x (Rs. 50 - 30)]	1,000	
		2,000
Increase due to physical change**		
2 year old to 3 year old [100 x (Rs. 80 - 75)]	500	
Newly born to 1 year old [50 x (Rs. 60 - 50)]	500	
Newly born [3 x Rs. 50]	150	
		1,150
On 31 December 20Y2		
3 year old [100 x Rs. 80]	8,000	
1 year old [50 x Rs. 60]	3,000	
Newly born [3 x Rs. 50]	150	
		11,150

*age at beginning of period or on initial recognition

** prices at year-end

Statement of financial position (extracts) as at 31 December 20Y2

	Rs. 000
Non-current assets	
Biological assets	11,150

Statement of profit or loss (extracts) for the year ended 31 December 20Y2

	Rs. 000
Income	
Gain on measurement of biological assets [2,000 + 1,150]	3,150
Expenses:	
Maintenance cost of herd	(1,200)

3.3 Other information [IAS 41: 46, 49 & 53]

If not disclosed elsewhere in information published with the financial statements, an entity shall describe:

a) the nature of its activities involving each group of biological assets; and

b) non-financial measures or estimates of the physical quantities of:

   i. each group of the entity's biological assets at the end of the period; and

   ii. output of agricultural produce during the period.

An entity shall disclose:

a) the existence and carrying amounts of biological assets whose title is restricted, and the carrying amounts of biological assets pledged as security for liabilities;

b) the amount of commitments for the development or acquisition of biological assets; and

c) financial risk management strategies related to agricultural activity.

Agricultural activity is often exposed to climatic, disease and other natural risks. Examples of such an event include an outbreak of a virulent disease, a flood, a severe drought or frost, and a plague of insects. If an event occurs that gives rise to a material item of income or expense, the nature and amount of that item are disclosed in accordance with IAS 1.

3.4 Additional disclosure when fair value cannot be measured reliably [IAS 41: 54 to 56]

If an entity measures biological assets at cost model, the following are disclosed:

a) a description of the biological assets;

b) an explanation of why fair value cannot be measured reliably;

c) if possible, the range of estimates within which fair value is highly likely to lie;

d) the depreciation method used;

e) the useful lives or the depreciation rates used; and

f) the gross carrying amount and the accumulated depreciation (and impairment losses) at the beginning and end of the period.

g) Any gain or loss recognised on disposal (related assets to be disclosed separately in reconciliation).

In addition, the reconciliation shall include the following amounts:

a) impairment losses;

b) reversals of impairment losses; and

c) depreciation.

If the fair value becomes reliably measurable during the current period, an entity shall disclose for those biological assets:

a) a description of the biological assets;

b) an explanation of why fair value has become reliably measurable; and

c) the effect of the change.

3.5 Government grant [IAS 41: 57]

An entity shall disclose the following related to agricultural activity covered by IAS 41:

a) the nature and extent of government grants recognised in the financial statements;

b) unfulfilled conditions and other contingencies attaching to government grants; and

c) significant decreases expected in the level of government grants.

4 COMPREHENSIVE EXAMPLES

▶ *Example 13:*

Smooth Road Limited (SRL) had a stock of 2,000 cows on 1 January 20X9.

On 1 May 20X9, SRL purchased 750 cows at fair value of Rs. 56,000 per cow. Further Rs. 2 million were incurred to transport the cows to the farm.

On 1 August 20X9, SRL imported cattle feed of Rs. 24.6 million against 70% payment. SRL also paid 5% non-refundable taxes. The feed is specially designed to provide vital nutrients to cows that keep them healthy and improve the quality of their produce. At year-end, 30% of the amount is payable whereas 40% of the feed is unused.

Following average fair values per cow are available:

1-Jan-X9	1-May-X9	31-Dec-X9	Average for the year
Rs. 50,000	Rs. 56,000	Rs. 61,000	Rs. 57,000

Auctioneers charge a 2% commission on fair value from seller. Further, there is a government levy of 3% at the time of purchase and 4% at the time of sale on fair value.

Required:

Prepare journal entries in SRL's books to record the above information for the year ended 31 December 20X9.

▶ *ANSWER:*

Date	Description	Debit	Credit
		Rs. in '000	
1-May-X9	Biological Assets [750 cows × Rs. 56,000×94%]	39,480	
	Loss on initial recognition (PL)	3,780	
	Bank [750 cows × Rs. 56,000× 103%]		43,260
1-May-X9	Carriage expense	2,000	
	Cash / Bank		2,000
1-Aug-X9	Cattle feed expense [Rs. 24.6m × 105%]	25,830	
	Payable [24.6m × 30%]		7,380
	Cash/Bank (Bal.)		18,450
31-Dec-X9	Biological Assets (W1)	24,205	
	P & L / Gain on re-measurement		24,205
31-Dec-X9	Cattle feed inventory [Rs. 25.83 x 40%]	10,332	
	Cattle feed expense		10,332

W1: Gain on re-measurement of Biological assets	**Rs. in '000**
Closing carrying value [2,750 cows × Rs. 61,000 × 94%]	157,685
Opening [2,000 cows × Rs. 50,000 × 94%]	94,000
Purchase on 1-May-20X9	39,480
	(133,480)
	24,205

▶ *Example 14:*

The Dairy Company (TDC) owns three farms and has a stock of 3,200 cows. During the year ended 30 June 20X5, 300 animals were born, all of which survived and were still owned by TDC at year-end.

Of those, 225 are infants whereas 75 are nine month old having market values of Rs. 26,000 and Rs. 53,000 per animal respectively. The incidental costs are 2% of the transaction price.

Required:

Discuss how the gain in respect of the new born cows should be recognised in TDC's financial statements for the year ended 30 June 20X5. (Show all necessary computations)

▶ *ANSWER:*

The new born cows are biological assets and should be measured at fair value less costs to sell both on initial recognition and at each reporting date.

The gains on initial recognition and the gains from change in this value should be recognised in profit or loss for the period in which it arises. The total gains to be recognised in the year ended 30 June 20X5 is as follows:

	Rupees
New born [26,000 × 225 × (100%-2%)]	5,733,000
9 month old [53,000 × 75 × (100% - 2%)]	3,895,500
	9,628,500

▶ *Example 15:*

Maria Limited has provided following information from its financial records:

	Rs. million
Initial recognition of biological assets (on acquisition at start of 20X8)	600
Fair value of biological assets as at 31 December 20X8	700
Increase in fair value of biological assets due to physical growth during 20X9	100
Increase in fair value of biological assets due to price fluctuations during 20X9	80
Decrease in fair value of biological assets due to harvest of agriculture produce (The fair value of harvested agriculture produce at point of harvest was Rs. 60 million)	56

The costs to sell are negligible. No agriculture produce was harvested in 20X8 and the agriculture produce harvested during 20X9 has not been sold yet.

Required:

Show how these values would be incorporated into the statement of financial position and statement of comprehensive income at December 31, 20X9 (including comparative).

▶ *ANSWER:*

Maria Limited

Statement of financial position (Extracts)	20X9	20X8
As at 31 December 20X9	Rs. in million	
Non-current asset: Biological assets [700+100+80–56]	824	700
Current assets: Inventory	60	
For the year ended 31 December 20X9		
Fair value gain on biological assets [824 – 700] and [700 – 600]	124	100
Fair value gain on initial recognition of agricultural produce	60	-

▶ *Example 16:*

With reference to IAS 41, identify whether each of the following statements is TRUE or FALSE:

i. Both fish farming and ocean fishing are agricultural activities.

ii. IAS 41 does not apply on bearer plant; however, it applies on produce growing on bearer plant.

iii. A biological asset should initially be measured at cost of purchase.

iv. A biological asset should subsequently be measured at fair value.

v. The gain or loss on subsequent re-measurement of a biological asset should be taken to profit and loss account.

vi. Commission to brokers as well as advertising cost would be classified as cost to sell when valuing agricultural produce upon harvest.

vii. All government grants related to biological assets are accounted for under IAS 41.

viii. Once wool is extracted from the sheep, subsequent processing of wool into carpets is accounted for under IAS 2.

▶ *ANSWER:*

(i)	False	(ii)	True
(iii)	False	(iv)	False
(v)	True	(vi)	False
(vii)	False	(viii)	True

▶ *Example 17:*

Mishal Limited, a public limited company, operates a large dairy farm. At December 31, 20X8, the herds are:

- 150,000 cows (3 years old), all purchased on or before January 1, 20X8
- 10,000 heifers, average age 2 years, purchased on January 1, 20X8
- 75,000 heifers, average age 1.5 years, purchased on July 1, 20X8

No animals were born or sold in the year.

The unit fair value less cost to sell were	**Rs.**
1-year-old animal at December 31, 20X8:	32,000
2-year-old animal at December 31, 20X8:	45,000
1.5-year-old animal at December 31, 20X8:	36,000
3-year-old animal at December 31, 20X8:	50,000
1-year-old animal at January 1, 20X8:	30,000
1-year-old animal at July 1, 20X8:	30,000
2-year-old animal at January 1, 20X8:	40,000

Required:

Prepare the reconciliation of biological assets from 1 January 20X8 to 31 December 20X8, separately indicating the price change and physical change.

▶ *ANSWER:*

Reconciliation of biological assets: 01 January 20X8 to 31 December 20X8

	Rs. million
Fair value less cost to sell at January 1, 20X8	
Cows 150,000 × 40,000	6,000
Purchased	
Heifers 1 Jan 10,000 × 30,000	300
Heifers 1 July 75,000 × 30,000	2,250
	2,550
Increase due to price change	
150,000 × (45,000 – 40,000)	750
10,000 × (32,000 – 30,000)	20
75,000 × (32,000 – 30,000)	150
	920
Increase due to physical change	
150,000 × (50,000 – 45,000)	750
10,000 × (45,000 – 32,000)	130
75,000 × (36,000 – 32,000)	300
	1,180
Fair value less cost to sell 31 December 20X8	
150,000 × 50,000	7,500
10,000 × 45,000	450
75,000 × 36,000	2,700
	10,650

5 OBJECTIVE BASED Q&A

1. To which of the following items does IAS 41 Agriculture apply?

   i. A change in fair value of a herd of animals relating to the unit price of the animals.
   ii. Logs held in a wood yard.
   iii. Farm land which is used for growing vegetables.
   iv. The cost of developing a new type of crop seed which is resistant to tropical diseases.
   a) All four
   b) (i) only
   c) (i) and (ii) only
   d) (ii) and (iii) only

2. IAS 41 should be applied to account for the following when they relate to agricultural activity:

   i. Biological assets.
   ii. Agricultural produce at the point of harvest.
   iii. Certain government grants.
   iv. Land related to agricultural activity.
   v. Intangible assets related to agricultural activity.
   a) (i)
   b) (i) & (ii)
   c) (i), (ii) & (iii)
   d) (i), (ii) , (iii) & (iv)

3. Agricultural activity is the management of biological transformation of biological assets:

   i. for sale
   ii. into agricultural produce.
   iii. into additional biological assets.
   a) (i)
   b) (i) & (ii)
   c) (i), (ii) & (iii)
   d) (ii) & (iii)

4. Identify whether the following items would be accounted for under IAS 41 Agriculture or not.

   Dairy cattle
   Milk (at the point of harvest)
   Cheese made from the (above) milk
   a) All three
   b) Dairy cattle and Milk only
   c) Milk and Cheese only
   d) Dairy cattle and Cheese only

5. Agricultural activity covers a diverse range of activities; for example:

   i. Raising livestock
   ii. Forestry
   iii. Annual or perennial cropping
   iv. Cultivating orchards and plantations
   v. Food processing

a) (i)
b) (i), (ii) & (v)
c) (i), (ii), (iii) & (v)
d) (i), (ii), (iii) & (iv)

6. Fazal Limited owns a herd of cows recorded at Rs. 36 million on 1 January 20X9. At 31 December 20X9, these cows have a fair value of Rs. 50 million. A commission of 4% would be payable upon sale.

What is the correct accounting treatment for the cows at 31 December 20X9 according to IAS 41?

a) Hold at Rs. 36 million
b) Re-measure to Rs. 50 million, taking gain of Rs. 14 million to the profit or loss
c) Re-measure to Rs. 48 million, taking gain of Rs. 12 million to other comprehensive income
d) Re-measure to Rs. 48 million, taking gain of Rs. 12 million to the profit or loss

7. An entity should record a biological asset, or agricultural produce, only when:

i. The entity controls the asset, as a result of past events.
ii. Future benefits, associated with the asset, will flow to the entity.
iii. The fair value, or cost, of the asset can be measured reliably.

a) (i)
b) (i), (ii)
c) (i), (ii), & (iii)
d) None of the above

8. IAS 41 applies to:

a) change in fair value of a herd of livestock
b) logs held for sale in a wood yard
c) cost of developing a new type of crop seed
d) cost of making irrigation system having life of more than 1 year

9. Pluto Limited owned a one-year old herd of cattle on 1 January, recognised in the financial statements at Rs. 140 million. At 31 December, the fair value of a two-year-old herd of cattle is Rs. 170 million. Costs to sell are still estimated to be Rs. 5 million for the whole herd.

What is the correct accounting treatment for the cattle at 31 December according to IAS 41 Agriculture?

a) Revalue to Rs. 165 million, taking gain of Rs. 25 million to other comprehensive income
b) Revalue to Rs. 165 million, taking gain of Rs. 25 million to the statement of profit or loss
c) Revalue to Rs. 170 million, taking gain of Rs. 30 million to other comprehensive income
d) Revalue to Rs. 170 million, taking gain of Rs. 30 million to the statement of profit or loss

10. Which two of the following treatments for recognition of government grant related to biological asset measured at its fair value less cost to sell are correct?

a) An unconditional grant is recognised in profit or loss when, and only when the grant becomes receivables
b) An unconditional grant is recognised in profit or loss only when, and only when the grant is received
c) A conditional grant is recognised in profit or loss when, and only when the conditions attaching to the grant are met
d) A conditional grant is recognised in profit or loss when, and only when the grant is received

11. A grant related to a biological asset measured at cost because 'fair value less cost to sell' could not be measured reliably, should be recorded as income:

    a) In accordance with IAS 41
    b) In accordance with IAS 20
    c) When the grant becomes receivable
    d) When the conditions of grant are met

12. A gain (or loss) may arise on initial recognition of a biological asset:

    i. Because estimated cost to sell are deducted in determining 'fair value less cost to sell' of a biological asset
    ii. When a calf is born
    iii. As a result of harvesting

    a) (i)
    b) (i) & (ii)
    c) (i), (ii) & (iii)
    d) None of these

13. An unconditional grant related to a biological asset measured at its 'fair value less cost to sell' should be recorded as income:

    a) Only when cash is received
    b) Only when the grant becomes receivable
    c) Only when the goods are sold
    d) Only when it is expected that grant may be received

14. Wool Limited (WL) started its business on 1 April 20X5.

    On 1 April 20X5, WL purchased a flock of sheep for Rs. 100 million. At 31 March 2016, the flock was valued at Rs. 120 million. Every time animals are sold there is a 5% commission fee payable to the district municipal corporation.

    No further sheep was purchased or sold during the year.

    During the year, the wool sheared by WL had "fair value less cost to sell" of Rs. 8 million.

    At which amount the flock of sheep should be presented in financial statement of WL as at 31 March 2016?

    a) Rs. 100 million
    b) Rs. 95 million
    c) Rs. 120 million
    d) Rs. 114 million

15. Wool Limited (WL) started its business on 1 April 20X5.

    On 1 April 20X5, WL had a flock of sheep carried at Rs. 100 million. At 31 March 20X6, the flock was valued at Rs. 120 million. Every time animals are sold there is a 5% commission fee payable to the district municipal corporation.

    No further sheep was purchased or sold during the year.

    During the year, the wool sheared by WL had "fair value less cost to sell" of Rs. 8 million.

    Calculate the total income of WL in respect of its agriculture activity for the year ended 31 March 20X6.

    a) Rs. 8 million
    b) Rs. 14 million
    c) Rs. 22 million
    d) Rs. 36 million

16. Maria Limited (ML) bought oil palm garden for Rs. 150 million (includes Rs. 120 million for land) on 1 January 20X9. The garden is expected to give agriculture produce for next three years before re-plantation process.

    On 31 December 20X9, the year end, the fair value of garden is Rs. 22 million (excluding land). Estimated cost to sell are Rs. 2 million.

    Land has fair value of Rs. 130 million on 31 December 20X9.

    ML uses cost model for items under scope of IAS 16 and 'fair value less cost to sell' for items under scope of IAS 41.

    What is the total amount of non-current assets to be presented in statement of financial position of ML as at 31 December 20X9?

    a) Rs. 150 million
    b) Rs. 140 million
    c) Rs. 120 million
    d) Rs. 20 million

17. Cow Limited (CL) owned cattle recorded in the financial statements at Rs. 10.5 million on 1 January 20X4.

    At 31 December 20X4 the cattle have a fair value of Rs. 13 million. If CL sold the cattle, commission of 2% would be payable.

    What is the gain to be recognised in profit or loss for the period ended at 31 December 20X4 according to IAS 41 Agriculture?

    a) Rs. 10.5 million
    b) Rs. 13 million
    c) Rs. 2.5 million
    d) Rs. 2.24 million

18. A herd of fifty 3-year old animals was held on 1 January 20X3. On 1 July 20X3 ten 3.5-year-old animal were purchased for Rs. 40,000 each.

    The fair values less estimated cost to sell were:

    - 3-year-old animal at 1 January 20X3 Rs. 32,000
    - 3.5-year-old animal at 1 July 20X3 Rs. 40,000
    - 4-year-old animal at 31 December 20X3 Rs. 43,000

    Calculate the amount that will be taken to the statement of profit or loss for the year ended 31 December 20X3.

    a) Rs. 400,000
    b) Rs. 580,000
    c) Rs. 980,000
    d) Rs. 2,000,000

19. IAS 41 is applied to agricultural produce:

    a) before the harvest
    b) at the point of harvest
    c) after the harvest
    d) before, during and after the harvest

20. A conditional grant related to a biological asset measured at its 'fair value less estimated cost to sell' should be recorded as income:

    a) over the period in which conditions would be fulfilled
    b) only when the grant becomes receivable
    c) only when the conditions are met
    d) over the life of related biological asset

21. Government grants related to 'Bearer plants' are accounted for under:

    a) IAS 41
    b) IAS 20
    c) IAS 16
    d) IAS 41 and IAS 20

22. Which of the following statements is/are correct?

    i. Ocean fishing is an agricultural activity.
    ii. Biological assets are never depreciated.
    a) Only (I) is correct
    b) Only (II) is correct
    c) Both are correct
    d) None is correct

23. Which of the following is NOT required to be measured at fair value less costs to sell even if fair value is measurable?

    a) Biological assets at initial recognition
    b) Biological assets at the end of each reporting period
    c) Agricultural produce at the point of harvest
    d) Agricultural produce at the end of each reporting period

24. On 1 January 2021, a herd of 20 animals of 1-year old was recorded at Rs. 800,000. On 1 July 2021, 10 animals of 1.5 years old were purchased for Rs. 50,000 each. On 31 December 2021, the fair value less costs to sell of 1-year and 2-year animals were Rs. 60,000 and Rs. 70,000 respectively. Calculate the amount that will be taken to profit or loss for the year ended 31 December 2021.

    a) Rs. 500,000
    b) Rs. 1,000,000
    c) Rs. 1,300,000
    d) Rs. 800,000

25. Government grant related to a biological asset measured at its cost less any accumulated depreciation is accounted for under:

    a) IAS 20
    b) IAS 16
    c) IAS 41
    d) IAS 41 and IAS 20

26. Which TWO of the following assets require the application of IAS 41?

    a) Animals kept by zoo for earning ticket revenue
    b) Parrots kept by a restaurant to attract more customers
    c) Birds kept for sale by a pet shop
    d) Hens kept by a poultry farm

27. Beautiful Limited (BL) operates a large dairy farm. In 2022, BL received a government grant of Rs. 30 million on the condition that BL adopts an organic cattle feed system and continues to do so for the next five years. If BL discontinues the organic cattle feed system at any time during five years, BL will have to repay the entire amount of the grant immediately. In 2024, the entire grant becomes repayable due to non-compliance by BL.

    The amount taken to BL's statement of profit or loss for the year ending 31 December 2024 upon repayment of government grant would be:

    a) Rs. 18 million
    b) Rs. 12 million
    c) Rs. 30 million
    d) Nil

28. Alpha Livestock Limited (ALL) operates a goat-breeding farm. ALL sells goats to local meat businesses and goats-milk to cosmetics companies. On 1 March 2024, ALL bought 40 goats for Rs. 51,000 each (i.e., at fair value of Rs. 50,000 and 2% commission) from a nearby market. The market broker also charges 3% commission from the seller on each transaction.

    The amount to be charged to profit or loss upon initial recognition would be:

    a) Nil
    b) Rs. 100,000
    c) Rs. 40,000
    d) Rs. 60,000

29. Which of the following statements is/are correct?

    i. Bearer biological assets are those that are harvested as agricultural produce or sold as biological assets.
    ii. Consumable biological assets include fruit trees from which fruit is harvested.

    a) Only (I) is correct
    b) Only (II) is correct
    c) Both (I) and (II) are correct
    d) None is correct

ANSWERS

01.	(b)	The logs will be classed as inventory. The land will be classed as property, plant and equipment. The development costs will be treated as an intangible asset.
02.	(c)	Land is not biological asset and IAS 38 applies to intangible assets relating to agricultural activity, for example, license for a dairy business.
03.	(c)	All three are part of agriculture activity.
04.	(b)	The cheese will be a product which is the result of processing after harvest, so will be outside the scope of IAS 41 Agriculture.
05.	(d)	Food processing is outside scope of agriculture activity.
06.	(d)	Re-measure to Rs. 48 million, taking gain of Rs. 12 million to the profit or loss
07.	(c)	All three are required recognition criteria.
08.	(a)	Change in fair value of a herd of livestock
09.	(b)	Agriculture should be revalued to fair value less costs to sell, with the gain or loss being shown in the statement of profit or loss.
10.	(a) and (c)	An unconditional grant is recognised in profit or loss when, and only when the government grant becomes receivables A conditional grant is recognised in profit or loss when, and only when the conditions attaching to the grant are met
11.	(b)	IAS 20 applies in this case.
12.	(b)	The gain (or loss) at the time of harvesting arises on initial recognition of agricultural produce (as opposed to initial recognition of biological assets).
13.	(b)	Unconditional grant is recognised when it becomes receivable under IAS 41
14.	(d)	Biological assets = 120 x 95% = Rs. 114 million
15.	(c)	Gain on biological assets = (120 x 95%) – 100 = Rs. 14 million Agriculture produce at point of harvest = Rs. 8 million Total Rs. 22 million
16.	(b)	Land Rs. 120 million (cost) Oil palms Rs. 30 million – Rs. 10 million depreciation = Rs. 20 million Total Rs. 140 million Oil palms are bearer plants and therefore, IAS 16 is applicable.
17.	(d)	(Rs. 13 million x 98%) – 10.5 = Rs. 2.24 million
18.	(b)	

		Rs.
As at 1 January	50 animals x Rs. 32,000	1,600,000
Purchased	10 animal x Rs. 40,000	400,000
		2,000,000
Gain (balancing figure)		***580,000***
As at 31 December	60 animals x Rs. 43,000	2,580,000

<table>
<tr><td>19.</td><td>(b)</td><td>At the point of harvest</td></tr>
<tr><td>20.</td><td>(c)</td><td>Only when conditions are met</td></tr>
<tr><td>21.</td><td>(b)</td><td>IAS 20</td></tr>
<tr><td>22.</td><td>(d)</td><td>None is correct</td></tr>
<tr><td>23.</td><td>(d)</td><td>Agricultural produce at the end of each reporting period</td></tr>
<tr><td>24.</td><td>(d)</td><td>Working:
<table>
<tr><th></th><th></th><th>Rs.</th></tr>
<tr><td>1 Jan 2021</td><td>20 One-year old</td><td>800,000</td></tr>
<tr><td>1 Jul 2021</td><td>10 One-and-half-years old x 50,000</td><td>500,000</td></tr>
<tr><td></td><td>Gain in profit or loss (balancing)</td><td>800,000</td></tr>
<tr><td>31 Dec 2021</td><td>30 two-year old x 70,000</td><td>2,100,000</td></tr>
</table></td></tr>
<tr><td>25.</td><td>(a)</td><td>IAS 20</td></tr>
<tr><td>26.</td><td>(c) and (d)</td><td>Birds kept for sale by a pet shop
Hens kept by a poultry farm</td></tr>
<tr><td>27.</td><td>(d)</td><td>Nil</td></tr>
<tr><td>28.</td><td>(b)</td><td>Cost of purchase Rs. 51,000 x 40 goats = Rs. 2,040,000
Initial recognition Rs. 50,000 x 97% x 40 goats = Rs. 1,940,000
Loss on initial recognition = Rs. 100,000</td></tr>
<tr><td>29.</td><td>(d)</td><td>None is correct</td></tr>
</table>

STICKY NOTES

Key definitions

1.	Agricultural activity is the management by an entity of the biological transformation and harvest of biological assets for sale or for conversion into agricultural produce or into additional biological assets.
2.	Biological transformation comprises the processes of growth, degeneration, production, and procreation that cause qualitative or quantitative changes in a biological asset.
3.	A biological asset is a living animal or plant.
4.	Agricultural produce is the harvested produce of the entity's biological assets.
5.	Harvest is the detachment of produce from a biological asset or the cessation of a biological asset's life processes.
6.	A bearer plant is a living plant that: (a) is used in the production or supply of agricultural produce; (b) is expected to bear produce for more than one period; and (c) has a remote likelihood of being sold as agricultural produce, except for incidental scrap sales.

Recognition and measurement

Recognition	An entity shall recognise a biological asset or agricultural produce when, and only when: (a) the entity controls the asset as a result of past events; (b) it is probable that future economic benefits associated with the asset will flow to the entity; and (c) the fair value or cost of the asset can be measured reliably.
Measurement	The following are required to be measured at fair value less costs to sell: • Biological assets at initial recognition • Biological assets at the end of each reporting period • Agricultural produce at the point of harvest. Gain and losses on measurement and re-measurement are recognised in profit or loss.
Government grant	For biological assets measured at fair value less costs to sell: • Unconditional grant is recognised in PL. • Conditional grant is recognised in PL when conditions are met. For other biological asset • IAS 20 applies for government grants

CHAPTER 8

STATEMENT OF CHANGES IN EQUITY

IN THIS CHAPTER:

AT A GLANCE

SPOTLIGHT

1. Equity
2. Equity transactions
3. Statement of changes in equity
4. Comprehensive Examples
5. Objective Based Q&A

STICKY NOTES

AT A GLANCE

The statement of changes in equity is a financial statement that summarises the transactions affecting the shareholders' equity during a specific reporting period. This statement reconciles the opening and closing equity balances by reporting changes in retained earnings, other reserves and share capital of the entity.

Except for changes resulting from transactions with owners in their capacity as owners (such as issue of shares, payment of dividends) and transaction costs directly related to such transactions, the overall change in equity during a period represents the total amount of income and expense, including gains and losses, generated by the entity's activities during that period.

Therefore, statement of changes in equity enables shareholders and investors to make informed decisions regarding their investments by providing:

- information which is not provided elsewhere in the financial statements;
- a connection between statement of comprehensive income and statement of financial position.

The following items are usually presented in the statement of changes in equity:

- Right issue of shares
- Bonus issue of shares or interim and final bonus dividend declared
- Interim and final cash dividend declared
- Profit or loss for the period
- Other comprehensive income items
- Transfers between reserves
- Effect of retrospective application or retrospective restatement (IAS 8)

1 EQUITY

1.1 Components of equity

Equity is defined as the residual interest in the assets of the entity after deducting all its liabilities. Equity is presented in statement of financial position and consists of:

a) Share capital
   - Ordinary share capital
   - Preference share capital (irredeemable)

b) Capital (non-distributable) reserves
   - Share premium
   - Revaluation surplus

c) Revenue (distributable) reserves
   - Retained earnings
   - General reserves
   - Other specific reserves created out of retained earnings (Dividend equalization reserves)

1.2 Dividend

A dividend is the distribution of a company's earnings (realised profits) to its shareholders and is determined by the company's board of directors and approved by either board of directors or shareholders.

1.3 Share capital

The term "share capital" refers to the amount of money the owners of a company have invested in the business as represented by ordinary and irredeemable preference shares.

1.3.1 Ordinary share capital

Owning ordinary shares entitles an investor to own a part of ownership in the company. The shareholders are given voting rights, rights to attend the annual general meetings, dividends, and bonus shares from the company. Most companies issue only this type of share capital.

1.3.2 Preference share capital

The preference shareholders are given preference over ordinary shareholders while paying dividends and repaying the amount of capital at the time of liquidation of the company.

Dividend payments for preference shareholders are often fixed and due to this preference shares are often seen as a less risky investment, although payments are likely to be lesser than ordinary dividend when company is performing well.

Preference shares are of two types: redeemable and irredeemable. Only irredeemable preference shares are treated as equity share capital since redeemable preference shares are often classified as liability as entity has obligation to settle the amount after a certain time.

1.4 Capital reserves

Capital reserves are reserves that are not regarded free for distribution by way of dividend. Two most common capital reserves are share premium and revaluation surplus.

1.4.1 Share premium

The excess of issue price (i.e. the total amount a company received for shares) over par value of a company's shares is called "share premium". For example, if a share having par value of Rs. 10 is issued for Rs, 12 then Rs. 2 is the share premium.

The Companies Act, 2017 (Section 81) prescribes that the share premium account may be used:

- To write-off the preliminary expenses;
- To write-off the expenses (commission, discount) of issue of shares;
- In providing for the premium payable on the redemption of any redeemable preference shares
- For issue of bonus shares

1.4.2 Revaluation surplus

The result of an upward revaluation of a non-current asset is a 'revaluation surplus'. The amount accumulated in revaluation surplus is non-distributable, as it represents unrealised profits on the revalued assets. The revaluation surplus may diminish if an asset which had previously been revalued upwards is devalued later. Revaluation surplus is transferred to retained earnings in case of disposal of asset and/or incremental depreciation.

1.5 Revenue reserves

Revenue reserve means reserve that is normally regarded as available for distribution including:

- retained earnings (also called un appropriated or accumulated profits);
- general reserves; and
- other specific reserves created out of profit (Dividend equalization reserves).

1.5.1 Retained earnings

Retained earnings comprise the earnings (profits and gains less expenses and losses) that the company retains within the business, i.e. part of profits that has not been paid out as dividends or transferred to any other reserve. A debit balance on the retained earnings account indicates that the company has accumulated losses.

1.5.2 General reserves

General reserve is the amount kept aside from the company's profit during its normal operation to meet future needs. i.e., contingencies, strengthening the company's financial position, increasing working capital, paying dividends to the shareholders, offsetting specific future losses, etc. Usually, a transfer to general reserves from retained earnings is made with approval of board of directors.

1.5.3 Dividend equalization reserve

Dividend equalization reserve is a specific reserve created out of retained earnings to ensure dividends remain stable irrespective of changes in earnings.

2 EQUITY TRANSACTIONS

2.1 Issue of shares for consideration / right issue

Each share has a nominal value that is stated on it and it is called par value (or face value or stated value). Market value of shares (i.e. the price at which shares are traded at stock exchange or otherwise) is usually higher than par value.

It is common to issue shares to existing shareholders in proportion to their existing shareholdings and such share issue is called right issue. Shares are often issued above par value but at discount on market price.

Share issue	Journal entry
At par value	Debit Bank Credit Share capital
Above par value (at premium)	Debit Bank Credit Share capital Credit Share premium
Below par value (at discount)	Debit Bank Debit Share premium / Retained earnings (Note) Credit Share capital
Transaction costs on share issue	Debit Share premium / Retained earnings (Note) Credit Bank/accrual
Note: Transaction costs and discount on share issue are never directly charged to profit or loss. Usually, the share premium account is debited, and the retained earnings are debited only if there is no balance or not enough balance in share premium account.	

▶ *Example 01:*

Adeel Limited (AL) had following equity balances as on 1st January 2023:

	Rs. m
Ordinary share capital (Rs. 100 each)	600
Retained earnings	15

On 16 April 2023, AL made a 20% right issue at par value. Issue costs of Rs. 1 million were also incurred.

Required:

Journal entries.

▶ *Answer:*

Journal entries

Date	Particulars	Debit Rs. m	Credit Rs. m
16 Apr 2023	Bank [600 x 20%]	120	
	Share capital		120
16 Apr 2023	Retained earnings	1	
	Bank / accrual		1

▶ *Example 02:*

Aqeel Limited (AL) had following equity balances as on 1st January 2023:

	Rs. m
Ordinary share capital (Rs. 100 each)	600
Share premium	120
Retained earnings	85

On 16 August 2023, AL made a right issue of 1 for 4 shares already held at Rs. 150 per share. Issue costs of Rs. 5 million were also incurred.

Required:

Journal entries.

▶ *Answer:*

Journal entries

Date	Particulars	Debit Rs. m	Credit Rs. m
16 Aug 2023	Bank	225	
	Share capital [600 x ¼]		150
	Share premium [150 / 100 x 50]		75
16 Aug 2023	Share premium	5	
	Bank / accrual		5

▶ *Example 03:*

Arma Limited (AL) had following equity balances as on 1st January 2023:

	Rs. m
Ordinary share capital (Rs. 100 each)	600
Share premium	60
Retained earnings	(30)

On 11 December 2023, AL issued 300,000 shares at Rs. 90 each after obtaining necessary approvals from regulatory authorities. Issue costs of Rs. 2 million were also incurred.

Required:

Journal entries.

▶ *Answer:*

Journal entries

Date	Particulars	Debit Rs. m	Credit Rs. m
11 Dec 2023	Bank [300,000 x Rs. 90]	27	
	Share premium [300,000 x 10]	3	
	Share capital		30
11 Dec 2023	Share premium	2	
	Bank / accrual		2

2.2 Issue of shares for no consideration / bonus issue

A bonus issue, also known as a scrip issue or a capitalization issue, is an offer of free additional shares to existing shareholders in proportion to their existing shareholding. For example, a company may give one bonus share for every five shares held.

Bonus issue is always at par value and it does not involve any cash inflows. A company may decide to distribute bonus shares as an alternative to paying cash dividends and thus avoiding the cash outflow.

The company converts some of its reserves (share premium or retained earnings or both) into extra share capital. The journal entry is:

Debit Share premium / Retained earnings (Note)

Credit Share capital

Note: In case bonus issue is made as dividend, retained earnings are debited. However, for bonus issue other than as dividend, it is common to utilise the balance of share premium account first.

▶ *Example 04:*

Jazib Limited (JL) had following equity balances as on 1st January 2023:

	Rs. m
Ordinary share capital (Rs. 100 each)	600
Share premium	300
Retained earnings	285

On 5 February 2023, JL made a bonus issue of 1 for 5 shares already held.

Required:

Journal entries.

▶ *Answer:*

Journal entries

Date	Particulars	Debit Rs. m	Credit Rs. m
5 Feb 2023	Share premium	120	
	Share capital [600 x 1/5]		120

▶ *Example 05:*

Ghalib Limited (GL) had following equity balances as on 1st January 2023:

	Rs. m
Ordinary share capital (Rs. 100 each)	600
Share premium	300
Retained earnings	285

On 24 October 2023, GL declared a bonus dividend of 20%.

Required:

Journal entries.

▶ *Answer:*

Journal entries

Date	Particulars	Debit Rs. m	Credit Rs. m
24 Oct 2023	Retained earnings	120	
	Share capital [600 x 20%]		120

2.3 Dividend

Dividend is the distribution of profits to shareholders. Dividend must be recognised only when it is declared (i.e. approved by relevant authority). The dividend is usually paid within few days of its declaration.

Many companies pay dividends in two stages during the course of their accounting year:

Interim dividend	This dividend is declared during the year by board of directors and it is recognised immediately in the same year as no further approval is needed. It is common to declare interim dividend with half-yearly accounts.
Final dividend	This is dividend calculated after the end of a financial year based on the company's annual profits. It is proposed by directors but must be declared (approved) by shareholders in their meeting in the following year. Therefore, final dividend of year 2022 shall be declared and recognised in year 2023. Shareholders may accept, reject or reduce the amount of dividend as proposed by directors but cannot increase it.

The journal entries for recognising dividends are:

Cash dividend	Debit Retained earnings Credit Dividend payable / Bank
Bonus dividend	Debit Retained earnings Credit Share capital

The dividend on preference shares may be cumulative or non-cumulative. Any unpaid cumulative dividends passes to future years and have to be paid out before dividends for ordinary shareholders.

Preference dividend	Treatment
Cumulative	Such dividend for the period need to be taken into account irrespective of whether declared or not.
Non-cumulative	Such dividend for the period need to be taken into account only for the amount of dividend declared for the period.

▶ *Example 06:*

Maria Limited (ML) had following equity balances as on 1st January 2023:

	Rs. m
Ordinary share capital (Rs. 100 each)	600
Share premium	300
Retained earnings	285

The following detail of dividends declared is available:

For the year ended	*Interim cash dividend	**Final bonus dividend
31 December 2022	10%	20%
31 December 2023	12%	15%

*Declared with half yearly accounts by directors on 17th August each year.

**Declared by shareholders on 25th April of following year.

Required:

Journal entries for recognising dividend for the year ended 31 December 2023.

▶ *Answer:*

Journal entries

Date	Particulars	Debit Rs. m	Credit Rs. m
25 Apr 2023	Retained earnings [600 x 20%]	120	
	Share capital		120
17 Aug 2023	Retained earnings [(600+120) x 12%]	86.4	
	Dividend payable / Bank		86.4

▶ *Example 07:*

Zahra Limited (ZL) had following equity balances as on 1st January 2023:

	Rs. m
Ordinary share capital (Rs. 100 each)	600
Irredeemable preference shares (Rs. 1000 each)	400
Share premium	300
Retained earnings	285

The preference shareholders are entitled to 12% cumulative dividend in arrears. However, no dividend was declared or paid during the year.

Required:

Journal entries for recognising dividend for the year ended 31 December 2023.

▶ *Answer:*

Journal entries

Date	Particulars	Debit Rs. m	Credit Rs. m
31 Dec 2023	Retained earnings [400 x 12%]	48	
	Dividend payable		48

2.4 Transfers between reserves

A transfer from one reserve to another may also be made. The following transfers are common:

Event	Journal entry
Incremental depreciation on revalued asset	Debit Revaluation surplus Credit Retained earnings
Disposal of revalued asset	Debit Revaluation surplus Credit Retained earnings
Transfer to general reserve	Debit Retained earnings Credit General reserve

▶ *Example 08:*

The following information relate to Multan Limited (ML):

i. ML disposed of a land on 3rd January 2023. This land had a carrying amount of Rs. 85 million (using revaluation model) and was purchased at a cost of Rs. 36 million few years ago.

ii. ML revalued its motor vehicles on 1st January 2023 and a revaluation surplus of Rs. 50 million was recognised at this date. The motor vehicles had remaining useful life of 5 years on this date and are being depreciated using straight line method.

iii. ML has determined its profit for the year ended 31 December 2023 at Rs. 75 million after all the necessary adjustments. The board of directors have approved a transfer 20% of profit to general reserves.

Required:

Journal entries involving transfers between reserves. Journal entries for disposal or gain (loss) on revaluation are not required.

▶ *Answer:*

Journal entries

Date	Particulars	Debit Rs. m	Credit Rs. m
3 Jan 2023	Revaluation surplus [85 – 36]	49	
	Retained earnings		49
31 Dec 2023	Revaluation surplus [50/5 years]	10	
	Retained earnings		10
31 Dec 2023	Retained earnings [75 x 20%]	15	
	General reserves		15

3 STATEMENT OF CHANGES IN EQUITY

3.1 Complete set of financial statements [IAS 1: 10]

A complete set of financial statements comprises:

a) a statement of financial position as at the end of the period;

b) a statement of profit or loss and other comprehensive income for the period;

c) a statement of changes in equity for the period;

d) a statement of cash flows for the period;

e) notes, comprising significant accounting policies and other explanatory information;

f) comparative information in respect of the preceding period; and

g) a statement of financial position as at the beginning of the preceding period when an entity applies an accounting policy retrospectively or makes a retrospective restatement (covered in a later chapter on IAS 8).

You have prepared statement of financial position and statement of comprehensive income in your earlier studies. This chapter focuses on the preparation of statement of changes in equity.

3.2 Purpose and importance

The statement of changes in equity actually tells the users about the status of owner's equity at the beginning of the financial period, how it has changed during the year and the status of equity at the end of the period. Thus, the statement of changes in equity helps users of financial statement to identify the factors that cause a change in the owners' equity over the accounting periods.

Therefore, through statement of changes in equity, users, especially shareholders can get great insights about the effects of business operations and related factors on the wealth of the owners invested in the business.

The following items are usually presented in the statement of changes in equity:

- Right issue of shares
- Bonus issue of shares or interim and final bonus dividend declared
- Interim and final cash dividend declared
- Profit or loss for the period
- Other comprehensive income
- Transfers between reserves

3.3 Information to be presented [IAS 1: 106]

The statement of changes in equity includes the following information:

a) total comprehensive income for the period

b) for each component of equity, the effects of retrospective application or retrospective restatement recognised (covered later in a chapter on IAS 8); and

c) for each component of equity, a reconciliation between the carrying amount at the beginning and the end of the period, separately (as a minimum) disclosing changes resulting from:

   - profit or loss;
   - other comprehensive income; and
   - transactions with owners in their capacity as owners, showing separately contributions by and distributions to owners.

3.4 Information to be presented either in the statement or in the notes [IAS 1: 106A & 107]

An entity shall present, either in the statement of changes in equity or in the notes:

- an analysis of other comprehensive income by item.
- the amount of dividends recognised as distributions to owners during the period, and the related amount of dividends per share.

3.5 Specimen

ABC Limited

Statement of changes in equity

For the year ended 30 June 2023

	Ordinary Share capital	Preference share capital	Share premium	Retained earnings	Revaluation surplus	Total
	Rs. m	Rs. m	Rs. m	Rs. m	Rs. m	Rs. m
Balance on 30 June 2021	**200**	**60**	**30**	**50**	**40**	**380**
Effect of change in accounting policy				(5)		(5)
Effect of correction of error				(2)		(2)
Balance on 30 June 2021 – restated	**200**	**60**	**30**	**43**	**40**	**373**
Right issue of shares	40		22			62
Transaction costs on issue			(3)			(3)
Bonus dividend (Interim 2022)	12			(12)		-
Total comprehensive income						
Profit for the year				40		40
Other comprehensive income					20	20
Transfer (incremental dep)				6	(6)	-
Preference dividend 10%				(3)		(3)
Balance on 1 July 2022	**252**	**60**	**49**	**74**	**54**	**489**
Cash dividend (Final 2022)				(15)		(15)
Cash dividend (Interim 2023)				(18)		(18)
Total comprehensive income						
Profit for the year				48		48
Other comprehensive income					(10)	(10)
Transfer (incremental dep)				5	(5)	-
Preference dividend 10%				(3)		(3)
Balance on 30 June 2023	**252**	**60**	**49**	**91**	**39**	**491**

Note: The following items will be covered later in chapter on IAS 8:

a) Effect of change in accounting policy due to retrospective application; and

b) Effect of correction of prior period error due to retrospective restatement.

▶ *Example 09:*

The equity of SMS Limited as on December 31, 2019 is as follows:

	Rs. in million
Total equity at the beginning of the year:	
Share Capital (@ Rs. 10 fully paid ordinary shares)	3,000
Share premium	1,900
Retained earnings	4,500
	9,400
Profit for the year	400
Cash dividends declared and paid	(300)
Total equity at the end of the year	**9,500**

The company also made a bonus issue of 2 shares for 1 already held, during the year.

Required:

Prepare statement of changes in equity of SMS Limited for the year ended on December 31, 2019.

▶ *Answer:*

SMS Limited

Statement of changes in equity for the year ended 31 December 2019

	Share capital	Share premium	Retained earnings	Total
	Rs. m	Rs. m	Rs. m	Rs. m
Balance as on 1 January 2019	3,000	1,900	4,500	9,400
Profit for the year			400	400
Cash dividend			(300)	(300)
Bonus issue [3,000 x 2/1]	6,000	(1,900)	(4,100)	-
Balance as on 31 December 2019	**9,000**	**-**	**500**	**9,500**

▶ *Example 10:*

M&K Limited (MKL) is in the business of manufacturing and sale of yarn products. MKL's year-ends on 31 December.

Below is the relevant information given:

Opening balances as at January 01, 2018	Rs. 000
Share capital (at par value of Rs. 10 per share)	25,000
Share premium	7,500
General reserves	750
Retained earnings	18,250
Revaluation surplus	1,500

MKL revalued non-current assets on December 31, 2017 resulting in revaluation surplus of Rs. 1.5 million. Remaining useful life of the assets is 10 years and MKL has a straight line method for depreciation.

The board of directors of MKL has implemented policy of transferring 5% of annual profits to general reserves each year.

Following events have taken place in year 2018 and 2019:

i. On March 31, 2018, MKL issued right shares (one right share against five ordinary shares held) for Rs. 20 per share.

ii. The board of directors of MKL approved interim dividend of Rs. 2.25 per share for the half year ended June 30, 2018.

iii. Profit for the year ended December 31, 2018 is Rs. 10.25 million

iv. The board of directors recommended final dividend for the year 2018 of Rs. 4.25 per share on February 15, 2019, which was duly approved by the shareholders on March 21, 2019.

v. The board of directors approved bonus shares of 20% of the outstanding shares on June 30, 2019 which were duly credited in shareholders account on August 31, 2019.

vi. The board of directors approved interim cash dividend of Rs. 1.25 per share for the third quarter ended September 30, 2019.

vii. Profit for the year ended December 31, 2019 is Rs. 12.5 million.

viii. The board of directors recommended final dividend for the year 2019 of Rs. 5 per share on February 15, 2020, which was duly approved by the shareholders on March 21, 2020.

Required:

Prepare statement of changes in equity for the year ended December 31, 2019 (including comparatives). ***The column for total is not required.***

▶ *Answer:*

M&K Limited

Statement of changes in equity for the year ended 31 December 2019

	Share capital	Share premium	General reserve	Retained earnings	Revaluation surplus
	Rs. 000	Rs. 000	Rs. 000	Rs. 000	Rs. 000
Balance as on 1 January 2018	25,000	7,500	750	18,250	1,500
Right issue [25,000 x 1/5]	5,000	5,000			
Interim dividend (Rs. 2.25)				(6,750)	
Profit for the year				10,250	
Transfer 10.25 x 5%			512.5	(512.5)	
Transfer 1.5 / 10 years				150	(150)
Balance as on 31 Dec 2018	**30,000**	**12,500**	**1,262.5**	**21,387.5**	**1,350**
Final dividend (Rs. 4.25)				(12,750)	
Bonus issue (20%)	6,000	(6,000)			
Interim dividend (Rs. 1.25)				(4,500)	
Profit for the year				12,500	
Transfer 12.5 x 5%			625	(625)	
Transfer 1.5 / 10 years				150	(150)
Balance as on 31 Dec 2019	**36,000**	**6,500**	**1,887.5**	**16,162.5**	**1,200**

▶ *Example 11:*

ABC Industries Limited is in the business of manufacturing and sale of Cars. The company's year-ends on 31 December.

Below is the relevant information given:

Opening balances as at January 01, 2018:	Rs. 000
Share capital (at par value of Rs. 10 per share)	100,000
Share premium	50,000
General reserves	5,000
Retained earnings	55,000

The board of directors of ABC Industries Limited has implemented policy of transferring 5% of annual profits to general reserves each year.

Following events have taken place in year 2018 and 2019:

i. The board of directors recommended final dividend for the year ended December 31, 2017 of Rs. 5 per share on February 15, 2018, whereas shareholders only approved Rs. 4 per share on March 31, 2018.

ii. On 30 April 2018, the company issued 5 million shares for Rs. 25 each.

iii. The board of directors approved interim dividend of Rs. 1 per share for the third quarter ended September 30, 2018.

iv. Profit for the year ended December 31, 2018 is Rs. 130.25 million.

v. The board of Directors recommended final dividend for the year ended December 31, 2018 of Rs. 4.25 per share on February 15, 2019, shareholders have approved it and have asked to increase it to Rs. 6 per share in their meeting held on March 31, 2019.

vi. The board of directors approved bonus shares of 10% of the outstanding shares on June 30, 2019.

vii. The board of directors approved interim dividend of Rs. 1.5 per share for the third quarter ended September 30, 2019.

viii. Profit for the year ended December 31, 2019 is Rs. 175 million.

ix. The board of directors of the company recommended final dividend for the year ended December 31, 2019 of Rs. 5.5 per share on February 15, 2020, which was duly approved by the shareholders on March 31, 2020.

Required:

Prepare statement of changes in equity for the year ended December 31, 2019 (including comparatives).

The column for total is not required.

▶ *Answer:*

ABC Industries Limited

Statement of changes in equity for the year ended 31 December 2019

	Share capital	Share premium	General reserve	Retained earnings
	Rs. 000	Rs. 000	Rs. 000	Rs. 000
Balance as on 1 January 2018	100,000	50,000	5,000	55,000
Final dividend 2017: Rs. 4 per share				(40,000)
Share issue for cash	50,000	75,000		
Interim dividend 2018: Re. 1 per share				(15,000)
Profit for the year				130,250
Transfer 5%			6,512.5	(6,512.5)
Balance as on 31 December 2018	**150,000**	**125,000**	**11,512.5**	**123,737.5**
Final dividend 2018: Rs. 4.25 per share				(63,750)
Bonus issue of shares (10%)	15,000	(15,000)		
Interim dividend 2019: Rs. 1.5 per share				(24,750)
Profit for the year				175,000
Transfer 5%			8,750	(8,750)
Balance as on 31 December 2019	**165,000**	**110,000**	**20,262.5**	**201,487.5**

4 COMPREHENSIVE EXAMPLES

▶ *Example 12:*

The following information pertains to draft financial statements of Pak Ocean Limited (POL) for the year ended 31 December 2018.

Shareholders' equity as at 1 January 2018 was as follows:	Rs in million
Share capital (Rs. 100 each)	200
Retained earnings	45

Cash dividend @ 18% for the year ending 2017 was declared in March 2018.

Bonus issue declared during the year ended 31 December 2018:

- Interim (declared with half yearly accounts) 10%
- Final 25%

On 30 November 2018, POL issued 25% right shares to its ordinary shareholders at Rs. 120 per share.

	Rs. in million
Profit after tax	78
Other comprehensive income (gain on revaluation)	12
Incremental depreciation due to revaluation	1.5

Required:

Prepare the statement of changes in equity for the year ended December 31, 2018 for Pak Ocean Limited.

▶ *Answer:*

Pak Ocean Limited

Statement of changes in equity for the year ended 31 December 2018

	Share capital	Share premium	Retained earnings	Revaluation surplus	Total
	Rs. m	Rs. m	Rs. m	Rs. m	Rs. m
Balance on 1 January 2018	200	-	45		245
Final cash dividend			(36)		(36)
Interim bonus dividend	20		(20)		-
Right issue 25%	55	11			66
Total comprehensive income					
Profit for the year			78		78
Other comprehensive income				12	12
Transfer (incremental dep.)			1.5	(1.5)	
Balance as at 31 Dec 2018	**275**	**11**	**68.5**	**10.5**	**365**

▶ *Example 13:*

For the purpose of preparation of statement of changes in equity for the year ended 31 December 2017, Daffodil Limited (DL) has extracted the following information:

	2017	2016	2015
	Draft	Audited	Audited
	---------- Rs. in million ----------		
Net profit	650	318	214
Transfer to general reserves	112	-	141
Transfer of incremental depreciation	-	49	55
Final cash dividend	-	-	7.5%

The asset which was revalued upward in previous years has been sold on 15 October 2017.

Details of share issues:

- 25% right shares were issued on 1 May 2016 at Rs. 18 per share.
- A bonus issue of 10% was made on 1 April 2017 as final dividend for 2016.
- 50 million right shares were issued on 1 July 2017 at Rs. 15 per share.
- A bonus issue of 15% was made on 1 September 2017 as interim dividend.

Share capital and reserves as at 31 December:

	2015	2014
	------ Rs. in million ------	
Ordinary share capital (Rs. 10 each)	1,600	1,600
General reserves	1,850	1,709
Retained earnings	1,430	1,302
Revaluation surplus	75	-

Required:

Prepare DL's statement of changes in equity for the year ended 31 December 2017 along with comparative figures. The column for total is not required.

▶ *Answer:*

Daffodil Limited

Statement of changes in equity for the year ended 31 December 2017

	Share capital	Share premium	General reserve	Retained earnings	Revaluation surplus
	Rs. m	Rs. m	Rs. m	Rs. m	Rs. m
Balance as on 1 January 2016	1,600	-	1,850	1,430	75
Final cash dividend 7.5%				(120)	
Right issue 25%	400	320			
Profit for the year				318	
Transfer (Inc. dep.)				49	(49)
Balance as on 31 Dec 2016	**2,000**	**320**	**1,850**	**1,677**	**26**

	Share capital	Share premium	General reserve	Retained earnings	Revaluation surplus
	Rs. m	Rs. m	Rs. m	Rs. m	Rs. m
Final bonus dividend 10%	200			(200)	
Right issue 50m shares	500	250			
Interim bonus dividend 15%	405			(405)	
Profit for the year				650	
Transfer to general reserve			112	(112)	
Transfer on disposal				26	(26)
Balance as on 31 Dec 2017	**3,105**	**570**	**1,962**	**1,636**	**0**

Example 14:

The following information pertains to Wednesday Limited (WL) for the year ended 30 June 2019:

i. Shareholders' equity as at 1 July 2018:

	Rs. in million
Share capital (Rs. 100 each)	200
Share premium	85
Retained earnings	124
Revaluation surplus	65

ii. On 30 November 2018, WL issued 30% right shares at a premium of Rs. 120 per share.

iii. Cash dividend and bonus shares for the last two years:

For the year ended	Final dividend		*Interim dividend	
	Cash	Bonus	Cash	Bonus
30 June 2018	18%	-	20%	-
30 June 2019	-	25%	-	10%

*Declared with half yearly accounts

iv. Profit for the year amounted to Rs. 95 million.

v. Revaluation surplus arising during the year amounted to Rs. 35 million whereas transfer of incremental depreciation for the year was Rs. 9 million.

Required:

Prepare WL's Statement of changes in equity for the year ended 30 June 2019. (Column for total and comparative figures are not required)

▶ *Answer:*

Wednesday Limited

Statement of changes in equity for the year ended 30 June 2019

	Share capital	Share premium	Retained earnings	Revaluation surplus
	Rs. m	Rs. m	Rs. m	Rs. m
Balance as on 1 July 2018	200	85	124	65
Final cash dividend [200 x 18%]			(36)	
Right issue @ 30%	60	72		
Interim bonus dividend [260 x 10%]	26		(26)	
Total comprehensive income				
Profit for the year			95	
Other comprehensive income				35
Transfer of incremental depreciation			9	(9)
Balance as at 30 June 2019	**286**	**157**	**166**	**91**

▶ *Example 15:*

Following information pertains to Astrazenca Limited (AL):

i. Shareholders' equity as on 1 January 2020:

	Rs. in million
Share capital (Rs. 100 each)	250
Share premium	138
Retained earnings	142
Revaluation surplus:	
Land	25
Buildings	20

ii. Profit and transfer of incremental depreciation as per the draft financial statements for the year ended 31 December 2020 amounted to Rs. 45 million and Rs. 5 million respectively.

iii. Dividends for the last two years:

For the year ended	*Interim cash dividend	Final bonus dividend
31 December 2019	10%	20%
31 December 2020	12%	15%

*Declared with half yearly accounts

iv. AL uses revaluation model for subsequent measurement of its land and buildings only. The revalued amounts of land and buildings have been assessed at 31 December 2020 but not incorporated in draft financial statements. The relevant details are as under:

	Land	Buildings
	--- Rs. in million ---	
Balances as on 31 December 2020 before revaluation:		
Cost	75	240
Accumulated depreciation	-	60
Revalued amounts assessed at 31 December 2020	65	158

Required:

Prepare AL's statement of changes in equity for the year ended 31 December 2020. *(Column for total and comparative figures are not required)*

▶ *Answer:*

Astrazenca Limited

Statement of changes in equity for the year ended 31 December 2020

	Share capital	Share premium	Retained earnings	Revaluation surplus
	Rs. m	Rs. m	Rs. m	Rs. m
Balance as on 1 January 2020	250	138	142	45
Final bonus dividend 2019 [250 x 20%]	50		(50)	
Interim cash dividend [(250+50) x 12%]			(36)	
Total comprehensive income:				
Profit for the year [45 – 7]			38	
Other comprehensive income [10 + 15]				(25)
Transfer of incremental depreciation			5	(5)
Balance as on 31 December 2020	**300**	**138**	**99**	**15**

Working: Revaluation		Land Rs. m		Building Rs. m
Revalued amount		65		158
Carrying amount		75	***[240 – 60]***	180
Revaluation loss		(10)		(22)
Charge to OCI	***[Available 25]***	10	***Available [20 – 5]***	15
Charge to profit or loss		0		7

Example 16:

Kashif Construction Limited (KCL), a public listed company, is in the process of finalizing its accounts for the year ended 31 December 2023. The following information is available:

i. Share capital and reserves as at 1 January 2022 were as follows:

	Rs. m
Ordinary share capital (Rs. 10 each)	900
Irredeemable preference share capital (Rs. 100 each)	360
Share premium	200
General reserve	150
Retained earnings	600

The preference shareholders are entitled to the cumulative preference dividend of 10% which becomes due on 31 December each year.

ii. The details share issued for cash consideration are as follows:

- A right issue of 20% at Rs. 18 per share on 30 May 2022. Transaction costs of Rs. 3 million were also incurred.
- A right issue of 1 for 8 shares already held at a premium of Rs. 11 per share on 10 June 2023. Transaction costs of Rs. 4 million were also incurred.

iii. The total comprehensive income for the years ended 31 December 2022 and 2023 are as follows:

	2023	2022
	Rs. m	Rs. m
Profit after tax	400	350
Other comprehensive income		
Gain (loss) on revaluation	(4)	20
Total comprehensive income	**396**	**370**

Revaluation was carried on 1st January 2022 for the first time; the related assets had remaining useful life of 5 years. Another revaluation of same assets was carried on 1st January 2023, however, there is no change in useful life. KCL transfers revaluation surplus to retained earnings on annual basis.

iv. The details of cash dividend and bonus issues of ordinary shares (as dividend) declared and paid during the three years are as follows:

	Cash dividend		Bonus	
For the year ended	**Interim***	**Final****	**Interim***	**Final****
31 December 2021	5%	-	-	10%
31 December 2022	-	10%	15%	-
31 December 2023	15%	-	-	7.5%

*in August with dispatch of half-yearly accounts

** In April when annual general meeting of shareholders was held

v. KCL follows a policy of transferring 10% of its profit after tax to general reserve.

Required:

Prepare statement of changes in equity for the year ended 31 December 2023, along with comparatives. (total column is not required)

Answer:

Kashif Construction Limited

Statement of changes in equity

For the year ended 31 December 2023

	Ordinary share capital	Preference share capital	Share premium	General reserve	Retained earnings	Revaluation surplus
	Rs. m	Rs. m	Rs. m	Rs. m	Rs. m	Rs. m
Balance as on 1 Jan 2022	900	360	200	150	600	-
Bonus dividend 10% (Final 2021)	90				(90)	
Right issue 20%	198		158.4			
Transaction costs on issue			(3)			
Interim bonus dividend 15%	178.2				(178.2)	
Total comprehensive income						
Profit for the year					350	
Other comprehensive income						20
Transfer [20/5]					4	(4)
Transfer to general reserve				35	(35)	
Preference dividend 10%					(36)	
Balance as on 1 Jan 2023	1,366.2	360	355.4	185	614.8	16
Cash dividend 10% (Final 2022)					(136.62)	
Right issue (1 for 8)	170.78		187.85			
Transaction costs on issue			(4)			
Interim cash dividend 15%					(230.55)	
Total comprehensive income						
Profit for the year					400	
Other comprehensive income						(4)
Transfer [12/4]					3	(3)
Transfer to general reserve				40	(40)	
Preference dividend 10%					(36)	
Balance as on 31 Dec 2023	1,536.98	360	539.25	225	574.6	9

5 OBJECTIVE BASED Q&A

1. Which TWO of the following are separately identified in statement of changes in equity?
   a) Gross profit
   b) Transactions with owners
   c) Net profit
   d) Non-owner changes in equity

2. Which of the following issued by an entity is treated as liability?
   a) Ordinary share capital
   b) Redeemable preference share capital
   c) Irredeemable preference share capital
   d) None of above

3. A company has profit after tax of Rs. 80 million for the financial year ended on 30 June 2019. It has share capital of Rs. 500 million. During the year company has declared interim dividend of 10%.

   How this dividend shall be presented in financial statements for the year ended 30 June 2019?
   a) Rs. 8 million deducted from retained earnings in statement of changes in equity
   b) Rs. 50 million deducted from retained earnings in statement of changes in equity
   c) Rs. 50 million deducted from profit or loss as finance cost
   d) It shall not be recorded, only disclosure shall be made

4. A company has profit after tax of Rs. 80 million for the financial year ended on 30 June 2019. It has share capital of Rs. 500 million. The board of directors proposed a final dividend of 10% just after the year end, for the year ended 30 June 2019

   How this dividend shall be presented in financial statements for the year ended 30 June 2019?
   a) Rs. 8 million deducted from retained earnings in statement of changes in equity
   b) Rs. 50 million deducted from retained earnings in statement of changes in equity
   c) Rs. 50 million deducted from profit or loss as finance cost
   d) It shall not be recorded, only disclosure shall be made

5. Which TWO of the following are usually shown in statement of changes in equity when right issue of shares is made?
   a) Increase in share capital
   b) Decrease in share premium
   c) Increase in share premium
   d) Increase in retained earnings

6. Which TWO of the following are usually shown in statement of changes in equity when bonus issue of shares is made?
   a) Increase in share capital
   b) Decrease in share premium
   c) Increase in share premium
   d) Increase in retained earnings

7. Transaction costs relating to issue of shares are usually debited to:

   a) Profit or loss
   b) Share capital
   c) Share premium
   d) Revaluation surplus

8. Incremental depreciation has following effects on statement of changes in equity:

   a) Increase in revaluation surplus and decrease in retained earnings
   b) Decrease in revaluation surplus and increase in retained earnings
   c) Decrease in revaluation surplus and decrease in retained earnings
   d) No effect

9. A company has following balances on 1 January 2019:

	Rs. m
Share capital (Rs. 100 each)	100
Share premium	30
Revaluation surplus	20
Retained earnings	35

   The company made a right issue of 1 for 5 shares already held at Rs. 145 per share.
   What amount of share capital shall be presented in statement of changes in equity as at 31 December 2019?

   a) Rs. 80 million
   b) Rs. 100 million
   c) Rs. 120 million
   d) Rs. 140 million

10. A company has following balances on 1 January 2019:

	Rs. m
Share capital (Rs. 100 each)	100
Share premium	30
Revaluation surplus	20
Retained earnings	35

   The company made a right issue of 1 for 5 shares already held at Rs. 145 per share.
   What amount of share premium shall be presented in statement of changes in equity as at 31 December 2019?

   a) Rs. 26 million
   b) Rs. 39 million
   c) Rs. 48 million
   d) Rs. 45 million

11. A company has following balances on 1 January 2019:

	Rs. m
Share capital (Rs. 100 each)	100
Share premium	30
Revaluation surplus	20
Retained earnings	35

The company made a bonus issue of 2 for 5 shares already held.

What amount of share capital shall be presented in statement of changes in equity as at 31 December 2019?

a) Rs. 80 million
b) Rs. 100 million
c) Rs. 120 million
d) Rs. 140 million

12. A company has following balances on 1 January 2019:

	Rs. m
Share capital (Rs. 100 each)	100
Share premium	30
Revaluation surplus	20
Retained earnings	35

The company made a bonus issue of 2 for 5 shares already held.

What amount of share premium shall be presented in statement of changes in equity as at 31 December 2019?

a) Rs. Nil
b) Rs. 2.5 million
c) Rs. 5 million
d) Rs. 7.5 million

13. A company has following balances on 1 January 2019:

	Rs. m
Share capital (Rs. 100 each)	100
Share premium	30
Revaluation surplus	20
Retained earnings	35

On 2 January 2019, all the revalued assets were disposed of for Rs. 90 million.

Profit for the year ended was Rs. 32 million.

Interim dividend of 5% was paid in July 2019 and final dividend of 8% has been proposed by directors.

What amount of retained earnings shall be presented in statement of changes in equity as at 31 December 2019?

a) Rs. 48 million
b) Rs. 63 million
c) Rs. 82 million
d) Rs. 90 million

14. Which of the following does not appear in statement of changes in equity?

a) Share premium
b) Retained earning
c) Goodwill
d) Revaluation surplus

15. Which of the following statements is likely to be true, for a company making profits?

a) The operating profit will be less than the profit for the year
b) The profit for the year will be greater than the gross profit
c) Retained profits at the year-end will be greater than shareholders' equity
d) Retained profits at the year-end will be greater than retained profits at the beginning of the year

16. Which of the following is NOT a component of the statement of changes in equity?

a) Total comprehensive income for the period
b) The revaluation gain
c) The amount of cash that the company has on hand
d) Dividends paid to shareholders during the period

17. Which of the following statements is not true about preferred stock/shares?

a) The rate of dividend is usually fixed
b) Shareholders always have a voting right
c) Shareholders' usually have a preference as to assets upon liquidation of the corporation
d) Shareholders' usually have a preference as to dividends

18. Redeemable preferred shares is required to be reported as:

a) Liability
b) Equity
c) Asset
d) None of the above

19. Any unpaid dividend is carried forward to the future periods for which type of stock?

a) Ordinary shares
b) Cumulative preferred shares
c) Non-cumulative preferred shares
d) All of the above

20. What is the impact of dividend payments to shareholders on the statement of changes in equity?

a) It increases the retained earnings balance
b) It decreases the retained earnings balance
c) It increases the share capital balance
d) It decreases the share capital balance

21. What is the impact of an additional share issue on the statement of changes in equity?

a) It increases the share capital balance
b) It increases the retained earnings balance
c) It decreases the share capital balance
d) It decreases the retained earnings balance

22. Xavier Limited issued 5,000 shares of its Rs.10 par value to its shareholder. These shares were issued at a premium at a price of Rs.25 per share.

    The correct journal entry to record this transaction is:

    a) Cash Rs.125,000 (Debit); Share capital Rs.125,000 (Credit)
    b) Cash Rs.50,000 (Debit); Share capital Rs.50,000 (Credit)
    c) Share capital Rs.50,000 (Debit); Share premium Rs.75,000 (Debit); Cash Rs.125,000 (Credit)
    d) Cash Rs.125,000 (Debit); Share capital Rs.50,000 (Credit); Share premium Rs.75,000 (Credit)

23. Dynasty Limited issues 1 million, Rs.10 shares at Rs.50 for each share. Which of the following statements is true?

    a) Ordinary share capital will increase by Rs.10 million and share premium will increase by Rs.50 million
    b) Ordinary share capital will increase by Rs.10 million and share premium will increase by Rs.40 million
    c) Ordinary share capital will increase by Rs.20 million and share premium will increase by Rs.50 million
    d) Ordinary share capital will increase by Rs.10 million and share premium will increase by Rs.30 million

24. Handsome Limited statement of financial position shows ordinary share capital of Rs.150 million and share premium of Rs.50 million at the beginning of a financial year. If the ordinary share capital is Rs.250 million and share premium is Rs.120 million at the end of the financial year, how much did the ordinary share with share premium issue raise?

    a) Rs.100 million
    b) Rs.150 million
    c) Rs.160 million
    d) Rs.170 million

25. Gigantic Limited opening retained earning balance was Rs.150 million. It made a net profit for the year ended 31 March 2020 of Rs.30 million. During that year, an ordinary dividend of Rs.50 paisa per share was paid on 40 million ordinary shares. What was the retained profit for the year ended 31 March 2020?

    a) Rs.150 million
    b) Rs.160 million
    c) Rs.165 million
    d) Rs.170 million

26. SK Limited paid Rs.10 million in debenture interest and an ordinary dividend of 10 paisa per share on 50 million ordinary shares. The retained profit was Rs. 120 million. What was SK Limited profit for the year?

    a) Rs. 125 million
    b) Rs.135 million
    c) Rs. 130 million
    d) Rs.140 million

27. Which of the following would be an entry in the statement of changes in equity?

    a) Taxation
    b) Long term loans
    c) Gain on revaluation
    d) Non-current asset carried at revalued amount

28. A debit balance on the retained earnings account indicates that the company has:
    a) made more dividend payments than the profit earned
    b) redeemed some of its share capital
    c) accumulated losses
    d) issued bonus shares

29. Which of the following is not considered as transaction with owners with reference to statement of changes in equity?
    a) Issuance of shares at par
    b) Issuance of shares at premium
    c) Profit for the year
    d) Bonus issue of shares

30. Which TWO of the following would be shown as a deduction from the column of retained earnings in statement of changes in equity?
    a) Transfer of incremental depreciation
    b) Issuance of shares at discount
    c) Cash dividend
    d) Transfer to general reserves

31. When there is no balance in the share premium account, transaction costs relating to issue of shares are debited to:
    a) profit or loss
    b) share capital
    c) revaluation surplus
    d) retained earnings

32. Which of the following is a specific reserve created out of retained earnings to ensure that dividends remain stable irrespective of changes in earnings?
    a) General reserve
    b) Dividend equalization reserve
    c) Revenue reserve
    d) Capital reserve

33. Which of the following is correct regarding balance of share premium?
    a) It is reported as revenue reserve
    b) It can be used to provide for the premium payable on the redemption of redeemable preference shares
    c) It arises due to dividend declared in excess of retained earnings' balance
    d) It arises due to company issuing shares at more than the market price

34. On 1 January 2023, Beta Limited (BL) has share capital of Rs. 50 million (Rs. 10 each), share premium of Rs. 15 million and accumulated loss of Rs. 25 million. During the year 2023, BL earned profit of Rs. 15 million.

The following shares were issued during the year 2023:

- On 1 July 2023, 10% right shares were issued at Rs. 20 per share, with a transaction cost of Rs. 1 million.
- On 1 November 2023, bonus shares were issued at a ratio of 1 share for every 5 shares held.

Which of the following reflects the correct balances as at 31 December 2023?

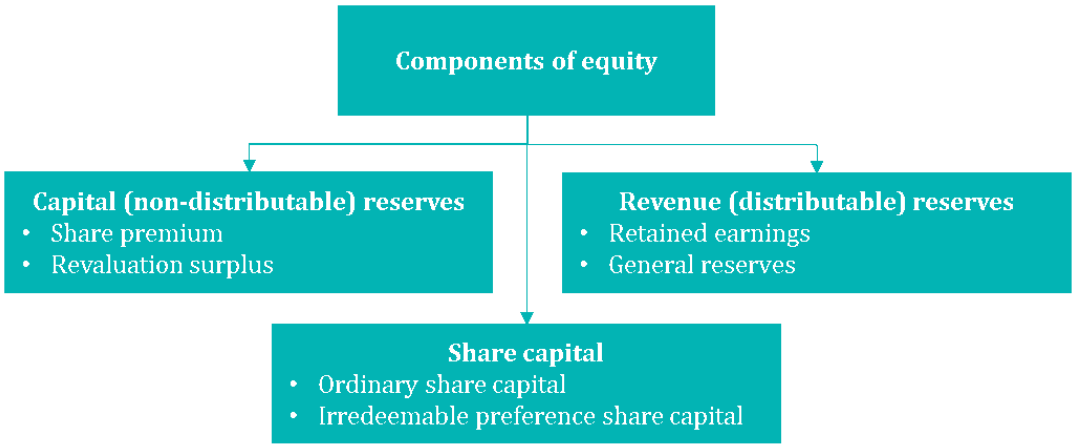
	Share capital	Share premium	Retained earnings
	Rs. in million		
(a)	66	19	(10)
(b)	66	8	(10)
(c)	60	9	(11)
(d)	66	3	(5)

ANSWERS

01.	(b) & (d)	Transactions with owners in their capacity as owners, showing separately contributions by and distributions to owners are separately presented from other transactions.
02.	(b)	Redeemable preference share capital is treated as liability because entity has obligation to settle the amount.
03.	(b)	Rs. 500 million x 10% = Rs. 50 million to be recognised in statement of changes in equity.
04.	(d)	This dividend shall be recognised next year. This year the proposed dividend shall be disclosed only.
05.	(a) & (c)	Right issue is usually at premium.
06.	(a) & (b)	Share capital will increase and reserve (e.g. share premium) will decrease.
07.	(c)	Transaction costs relating to equity are never included in profit or loss. These are usually debited to share premium account or retained earnings account.
08.	(b)	Debit Revaluation surplus (decrease) and Credit Retained earnings (increase).
09.	(c)	Rs. 100 million + Rs. 100 million / Rs. 100 x 1/5 x Rs. 100] = Rs. 120 million
10.	(b)	Rs. 30 million + Rs. 100 million / Rs. 100 x 1/5 x Rs. 45] = Rs. 39 million
11.	(d)	Rs. 100 million + Rs. 100 million / Rs. 100 x 2/5 x Rs. 100] = Rs. 140 million
12.	(a)	Rs. 100 million / Rs. 100 x 2/5 x Rs. 100] = Rs. 40 million shares issued Rs. 30 million from share premium and remaining Rs. 10 million from retained earnings.
13.	(c)	Rs. 35 million + Rs. 20 million from revaluation surplus + Profit of Rs. 32 million – Rs. 5 million dividends = Rs. 82 million Proposed dividend shall be disclosed only.
14.	(c)	Goodwill is not presented in statement of changes in equity.
15.	(d)	Usually not all profits are distributed and this would lead to higher credit balance of retained earnings at year end.
16.	(c)	Cash in hand in current asset, not a component of equity.
17.	(b)	Preference shareholders usually have no or limited voting rights.
18.	(a)	Liability because entity has obligation to settle/pay.
19.	(b)	Any unpaid cumulative dividends pass to future years and have to be paid out before dividends for ordinary shareholders.
20.	(b)	Retained earnings will decrease with distribution of dividend.
21.	(a)	The balance of share capital would increase due to issue of shares
22.	(d)	Debit Cash /Bank [Rs. 25 x 5,000] Rs. 125,000 Credit Share capital [Rs. 10 x 5,000] Rs. 50,000 Credit Share premium [Rs. 15 x 5,000] Rs. 75,000
23.	(b)	Share capital will increase by par value of Rs. 10 million. Share premium will increase by excess amount of Rs. 40 million (i.e. Rs. 50 million – 10 million).
24.	(d)	[Rs. 250m + 120m] – [Rs. 150m + 50m] = Rs. 170 million
25.	(b)	Rs. 150m + 30m – (40m x 0.50) = Rs. 160 million

26.	(a)	Rs. 120m + add back (50m shares x Rs. 0.10) = Rs. 125 million
27.	(c)	Gain on revaluation is presented as part of other comprehensive income in the statement of changes in equity.
28.	(c)	Payment of dividend and bonus issue of shares is conditional on availability of credit balance.
29.	(c)	All types of share issue are transactions with owners.
30.	(c) & (d)	Transfer for incremental depreciation increases retained earnings and discount on issue of shares is usually debited to share premium account.
31.	(d)	retained earnings
32.	(b)	Dividend equalization reserve
33.	(b)	It can be used to provide for the premium payable on the redemption of redeemable preference shares.
34.	(b)	Share capital 50 + 10% Right issue 5 + one for five bonus issue 11 = 66 Share premium 15 + right issue 5 – transaction cost 1 – bonus issue 11 = 8 Retained earnings -25 + profit 15 = -10

STICKY NOTES



Journal entries for equity transactions

Transaction	Journal entry
Issue of shares at par value	Debit Bank Credit Share capital
Issue of shares above par value (at premium)	Debit Bank Credit Share capital Credit Share premium
Issue of shares below par value (at discount)	Debit Bank Debit Share premium / Retained earnings Credit Share capital
Transaction costs on share issue	Debit Share premium / Retained earnings Credit Bank/accrual
Bonus issue of shares	Debit Share premium / Retained earnings Credit Share capital
Cash dividend	Debit Retained earnings Credit Dividend payable / Bank
Bonus dividend	Debit Retained earnings Credit Share capital
Transfer due to incremental depreciation	Debit Revaluation surplus Credit Retained earnings
Transfer on disposal of revalued asset	Debit Revaluation surplus Credit Retained earnings
Transfer to general reserve	Debit Retained earnings Credit General reserve

CHAPTER 9

CONCEPTUAL AND REGULATORY FRAMEWORK FOR FINANCIAL REPORTING

IN THIS CHAPTER:

AT A GLANCE

SPOTLIGHT

1. Conceptual Framework
2. Qualitative characteristics of useful financial information
3. Recognition and derecognition
4. Measurement
5. Concept of capital and capital maintenance
6. Regulatory Framework
7. Comprehensive Examples
8. Objective Based Q&A

STICKY NOTES

AT A GLANCE

International Accounting Standards Board (IASB) issued the *Conceptual Framework for Financial Reporting* in September 2010 and it was subsequently revised in March 2018.

The *Conceptual Framework* is the theoretical set of concepts and principles with the main purpose to:

- assist IASB in the development of future IFRS and the review of existing standards by setting out the underlying concepts;
- assist the preparers of financial statements when no IFRS is applicable to particular transaction or when an IFRS allows choice of accounting policy; and
- assist all stakeholders to understand and interpret.

The *Conceptual Framework* being the single reference document helps avoid inconsistencies in accounting treatments.

The *Conceptual Framework* is divided into eight chapters.

This Chapter covers key concepts from chapter 2, 5, 6 and 8 of the *Conceptual Framework*. The chapter 1 and 4 of *Conceptual Framework* had been covered in earlier studies.

The regulatory framework in accounting ensures the accuracy, transparency, and comparability of financial reporting, thereby safeguarding investors and promoting financial stability. The IFRS Foundation is global regulatory body, which oversees the IASB and ISSB. The IASB develops IFRS standards for high-quality global accounting practices, while the ISSB focuses on sustainability-related disclosures. The IFRS Advisory Council provides stakeholder feedback, while the IFRS Interpretations Committee offers timely guidance on emerging accounting matters. The IASB follows a structured process to develop IFRS standards, encouraging stakeholder involvement and ensuring robust consensus.

1 INTRODUCTION

1.1 Purpose [Conceptual Framework: SP1.1 & SP1.5]

The Conceptual Framework for Financial Reporting (Conceptual Framework) describes the objective of, and the concepts for, general purpose financial reporting.

The purpose of the Conceptual Framework is to assist:

- the International Accounting Standards Board (IASB) to develop IFRSs that are based on consistent concepts;
- preparers of financial statements to develop consistent accounting policies when no Standard applies to a particular transaction or other event, or when a Standard allows a choice of accounting policy; and
- all parties to understand and interpret the Standards.

The Conceptual Framework contributes to the stated mission of the IFRS Foundation and IASB i.e. to develop Standards that bring transparency, accountability and efficiency to financial markets around the world.

The Conceptual Framework provides the foundation for Standards (IASs and IFRSs) that:

- contribute to transparency by enhancing the international comparability and quality of financial information, enabling investors and other market participants to make informed economic decisions.
- strengthen accountability by reducing the information gap between the providers of capital and management. IFRSs and Conceptual Framework are also source of information for regulators.
- contribute to economic efficiency i.e. the use of a single, trusted accounting language derived from Standards based on the Conceptual Framework lowers the cost of capital and reduces international reporting costs.

1.2 Contents of Conceptual Framework

The Conceptual Framework is divided into eight chapters, namely:

Chapter 1 — The Objective of General Purpose Financial Reporting

Chapter 2 — Qualitative Characteristics of Useful Financial Information

Chapter 3 — Financial Statements and The Reporting Entity

Chapter 4 — The Elements of Financial Statements

Chapter 5 — Recognition and Derecognition

Chapter 6 — Measurement

Chapter 7 — Presentation and Disclosure

Chapter 8 — Concepts of Capital and Capital Maintenance

1.3 Status [Conceptual Framework: SP1.2 to SP1.4]

The Conceptual Framework is not a Standard and nothing in the Conceptual Framework overrides any Standard (IASs or IFRSs) or any requirement in a Standard.

IASB may sometimes specify requirements, in a Standard, that depart from aspects of the Conceptual Framework. Further, the Conceptual Framework may be revised from time to time and revisions of the Conceptual Framework will not automatically lead to changes to the Standards.

1.4 Elements of financial statements [Conceptual Framework: 4.1 & 4.2]

The elements of financial statements defined in the conceptual framework are:

- assets, liabilities and equity, which relate to a reporting entity's financial position; and
- income and expenses, which relate to a reporting entity's financial performance

These elements are linked to the economic resources, claims and changes in economic resources and claims and are explained as under:

Item discussed	Elements	Definition or description
Economic resource	Asset	A present economic resource controlled by the entity as a result of past events. An economic resource is a right that has the potential to produce economic benefits.
Claim	Liability	A present obligation of the entity to transfer an economic resource as a result of past events.
	Equity	The residual interest in the assets of the entity after deducting all its liabilities.
Changes in economic resources and claims, reflecting financial performance	Income	Increases in assets, or decreases in liabilities, that result in increase in equity, other than those relating to contributions from holders of equity claims.
	Expenses	Decreases in assets, or increases in liabilities, that result in decreases in equity, other than those relating to distributions to holder of equity claims.
Other changes in economic resources and claims	-	Contributions from holders of equity claims, and distributions to them.
	-	Exchanges of assets or liabilities that do not result in increases or decreases in equity.

2 QUALITATIVE CHARACTERISTICS OF USEFUL FINANCIAL INFORMATION

2.1 Information to be useful for decision making [Conceptual Framework: 2.4]

If financial information is to be useful, it must be relevant and faithfully represent what it purports to represent. The usefulness of financial information is enhanced if it is comparable, verifiable, timely and understandable.

It means information must have certain characteristics in order for it to be useful for decision making. The IASB Conceptual Framework describes:

- fundamental qualitative characteristics; and
- enhancing qualitative characteristics

2.2 Fundamental qualitative characteristics [Conceptual Framework: 2.5]

The fundamental qualitative characteristics are:

- relevance; and
- faithful representation

2.2.1 Relevance [Conceptual Framework: 2.6 & 2.11]

Relevant financial information is capable of making a difference in the decisions made by users. Information may be capable of making a difference in a decision even if some users choose not to take advantage of it or are already aware of it from other sources.

The relevance of information is affected by its materiality. Information is material if omitting it or misstating it or obscuring it could influence decisions that users make on the basis of financial information about a specific reporting entity.

2.2.2 Faithful representation (true and fair view) [Conceptual Framework: 2.12 & 2.13]

Financial reports represent economic phenomena in words and numbers. To be useful, financial information must not only represent relevant phenomena, but it must also faithfully represent the substance of the phenomena that it purports to represent. Although, in many circumstances, the substance of an economic phenomenon and its legal form are the same, an accountant should be careful to identify when this might not be the case.

To be a perfectly faithful representation, a depiction would have three characteristics. It would be:

- complete (all information necessary for a user to understand the phenomenon being depicted);,
- neutral (without bias in the selection and presentation of financial statements); and
- free from error (does not mean accurate in all respects, a reliable estimate is acceptable).

Of course, perfection is seldom, if ever, achievable. The objective is to maximise those qualities to the extent possible.

2.3 Enhancing qualitative characteristics [Conceptual Framework: 2.23]

The qualitative characteristics that enhance the usefulness of information that is relevant and a faithful representation are:

- comparability;
- verifiability;
- timeliness; and
- understandability.

2.3.1 Comparability [Conceptual Framework: 2.25, 2.26 & 2.29]

Comparability enables users to identify and understand similarities in, and differences among, items. Information about a reporting entity is more useful if it can be compared with similar information about other entities and with similar information about the same entity for another period or another date.

Consistency is related to comparability but is not the same. Consistency refers to the use of the same methods for the same items, either from period to period within a reporting entity or in a single period across entities. Consistency helps to achieve the goal of comparability.

A single economic phenomenon can be faithfully represented in multiple ways, permitting alternative accounting methods for the same economic phenomenon diminishes comparability. This is why, Standards allow minimum possible alternative accounting treatments.

2.3.2 Verifiability [Conceptual Framework: 2.30 & 2.31]

This quality helps to assure users that information faithfully represents the economic phenomena it purports to represent. Verifiability means that different knowledgeable and independent observers could reach consensus that a particular depiction is a faithful representation. Quantified information need not be a single point estimate to be verifiable. A range of possible amounts and the related probabilities can also be verified.

Verification can be direct or indirect.

- Direct verification means verification through direct observation, e.g. by counting cash or inventory.
- Indirect verification means checking the inputs to a model, formula or other technique and recalculating the outputs using the same methodology. For example, the carrying amount of inventory might be verified by checking the inputs (e.g. costs) and recalculating the closing inventory using the same assumption (e.g. FIFO).

2.3.3 Timeliness [Conceptual Framework: 2.33]

This means having information available to decision-makers in time to be capable of influencing their decisions. Generally, the older the information is the less useful it is.

2.3.4 Understandability [Conceptual Framework: 2.34 to 2.36]

Information is made understandable by classifying, characterising and presenting it in a clear and concise manner. Some phenomena are inherently complex and cannot be made easy to understand, however, excluding the relevant information is not justified in such circumstances.

Financial reports are prepared for users who have a reasonable knowledge of business and economic activities and who review and analyse the information diligently.

2.4 Cost constraint on useful financial reporting [Conceptual Framework: 2.39 to 2.41]

Cost is a pervasive constraint on the information that can be provided by financial reporting. Reporting financial information imposes costs, and it is important that those costs are justified by the benefits of reporting that information.

The benefits obtained from financial information should exceed the cost of obtaining and providing it. Information should not be provided if the cost is not worth the benefit. However, users ultimately bear cost of providing information in the form of reduced returns and they will have to incur additional costs to obtain or estimate the information, if needed information is not provided. Therefore, a preparer of financial statement must not omit mandatory disclosure of a Standard on the pretext that cost of information may not be justified.

3 RECOGNITION AND DERECOGNITION

3.1 Recognition criteria [Conceptual Framework: 5.6, 5.7 & 5.11]

Only items that meet the definition of an asset, a liability or equity are recognised in the statement of financial position. Similarly, only items that meet the definition of income or expenses are recognised in the statement(s) of financial performance.

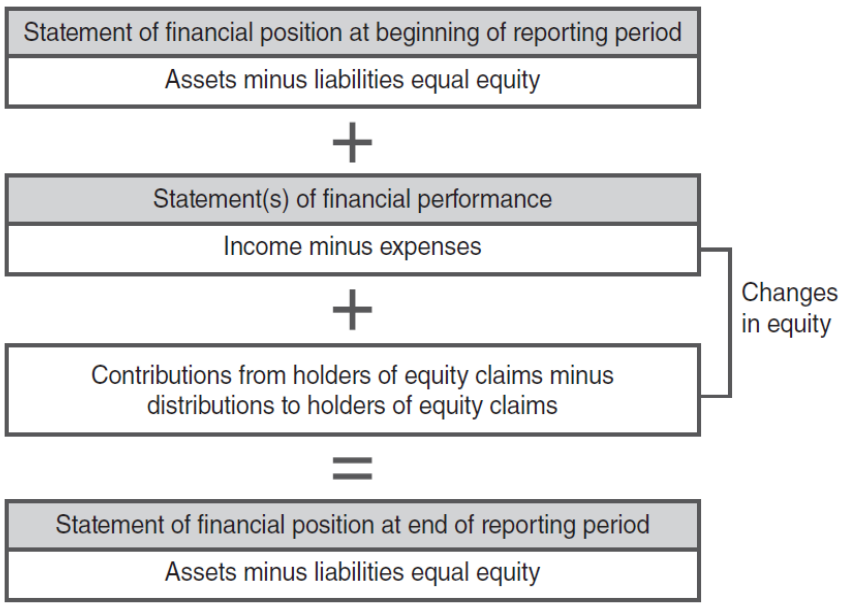
However, not all items that meet the definition of one of those elements are recognised. Not recognising an item that meets the definition of one of the elements makes the statement of financial position and the statement(s) of financial performance less complete and can exclude useful information from financial statements. On the other hand, in some circumstances, recognising some items that meet the definition of one of the elements would not provide useful information.

An asset or liability is recognised only if recognition of that asset or liability and of any resulting income, expenses or changes in equity provides users of financial statements with information that is useful, i.e. with:

- relevant information about the asset or liability and about any resulting income, expenses or changes in equity; and
- a faithful representation of the asset or liability and of any resulting income, expenses or changes in equity.

  Items that fail to meet the criteria for recognition should not be included in the financial statements. However, some of these items may have to be disclosed as additional details in a note to the financial statements.

3.2 How recognition links elements of financial statements [Conceptual Framework: 5.3]



▶ *Example 01:*

i. A manufacturing unit valuing Rs. 5 million, owned and controlled by the Company

ii. A fleet of trucks valuing Rs 100 million, controlled by another company

iii. A highly skilled workforce, getting an annual compensation of Rs. 12.5 million

Required:

Which of the above assets will be recognised in the financial statements of a company in accordance with the recognition criteria?

- *Answer:*

i. It will be recognised as an asset. It meets the definition of an asset being present economic resource controlled by the entity.

ii. The fleet of truck will not be recognised because it is not controlled by the entity.

iii. Workforce will not be recognised by the entity because there is no control on as workers can quit the entity at any time. However, in case advance salaries have been paid, the entity has present right to future services from the workforce.

- *Example 02:*

ABC Associates received Rs. 160,000 in cash on 20 December 2004 from RM Enterprises in return for having provided financial advice during the 2004 financial year.

Required:

a) Explain, with reference to the relevant definitions, which elements should possibly be recognised in the 2004 financial year.

b) Briefly identify whether and/ or how your answer would change if the cash received had been received for financial advice to be provided in the 2005 financial year.

- *Answer:*

Part (a)

The cash received meets the definition of an asset i.e. present resource now controlled by the entity and entity may spend it as it may wish. Services have already been provided, therefore, there is no obligation (no change in liability). Increase in equity shall be recognised as an income.

An asset and an income shall be recognised in year 2004.

Part (b)

The cash received meets the definition of an asset i.e. present resource now controlled by the entity and entity may spend it as it may wish. Services have not been provided and there is present obligation to provide services, resulting in increase in liability. No income can be recognised as there is no equity increase.

An asset and a liability shall be recognised in year 2004.

- *Example 03:*

Read the following scenarios:

i. An amount paid to landlord totalling Rs.120,000 on 1st January 2012 against the rent for the year ended 31st December 2012. Year end of the entity is 30 June 2012.

ii. An expenditure incurred on repairs and maintenance of plant amounting Rs.300,000.

iii. There has been legal dispute between the entity and its customer and company expects the outflow of Rs. 200,000 in order to settle the dispute.

iv. Entity purchased goods costing Rs. 20,000 for trading purposes and the same was sold for Rs. 25,000.

Required:

Which of the above, would be recognised as expense &/or asset in the financial statements of a company in accordance with the criteria given in conceptual framework.

- *Answer:*

i. Increase in asset (advance rent: Future benefits) Rs. 60,000 and decrease in asset (Cash) Rs. 120,000 resulting in net decrease in equity is Rent expense (Rs. 60,000).

ii. Decrease in asset (Cash) Rs. 300,000 and no increase in other assets (unless increase in present resources) resulting in net decrease in equity is Repair expense (Rs. 300,000).

iii. Increase in liability (obligation to settle) Rs. 200,000 and no increase in any assets resulting in net decrease in equity is Expense (Rs. 200,000).

iv. When purchased inventory, it was a present economic resource and recognised as an asset. When sold, it becomes expense (cost of sales) due to decrease in assets resulting in decrease in equity.

- *Example 04:*

Read the following scenarios

i. Advance received from customer amounting Rs. 50,000 against the goods to be delivered after 6 months

ii. Services provided to ABC and Co. on credit amounting Rs.30,000.

iii. Account Receivables already written off in previous years amounting Rs. 30,000 were received during the year.

Required:

Which of the above, would be recognised as income &/or liability in the financial statements of a company in accordance with the criteria given in conceptual framework.

- *Answer:*

i. Increase in asset (Cash) Rs. 50,000 and also an increase in liability (obligation to deliver) Rs. 50,000 and there is no income as no increase in equity.

ii. Increase in asset (right to receive) Rs. 30,000 and no increase in liability (services already provided) and resulting net increase in equity Rs. 30,000 recognised as income.

iii. Increase in asset (cash) Rs. 30,000 but no decrease in asset (receivable was already written off) resulting in net increase in equity is Income.

3.3 Derecognition [Conceptual Framework: 5.26]

Derecognition is the removal of all or part of a recognised asset or liability from an entity's statement of financial position. Derecognition normally occurs when that item no longer meets the definition of an asset or of a liability:

a) for an asset, derecognition normally occurs when the entity loses control of all or part of the recognised asset; and

b) for a liability, derecognition normally occurs when the entity no longer has a present obligation for all or part of the recognised liability.

For example, when an item of property, plant and equipment is sold or destroyed, it will be derecognised. Similarly, a liability will be derecognised when it is paid or settled otherwise.

4 MEASUREMENT

4.1 Measurement bases [Conceptual Framework: 6.1 & 6.2]

Elements recognised in financial statements are quantified in monetary terms. This requires the selection of a measurement basis. A measurement basis is an identified feature, for example, historical cost, fair value or fulfilment value, of an item being measured.

Applying a measurement basis to an asset or liability creates a measure for that asset or liability and for related income and expenses. Consideration of the qualitative characteristics of useful financial information and of the cost constraint is likely to result in the selection of different measurement bases for different assets, liabilities, income and expenses.

4.2 Historical cost [Conceptual Framework: 6.4 to 6.8]

Historical cost measures provide monetary information about assets, liabilities and related income and expenses, using information derived, at least in part, from the price of the transaction or other event that gave rise to them.

The historical cost of an asset when it is acquired or created is the value of the costs incurred in acquiring or creating the asset, comprising the consideration paid to acquire or create the asset plus transaction costs. The historical cost of a liability when it is incurred or taken on is the value of the consideration received to incur or take on the liability minus transaction costs.

In some cases, a current value of the asset or liability is used as a deemed cost on initial recognition and that deemed cost is then used as a starting point for subsequent measurement at historical cost. Unlike current value, historical cost does not reflect changes in values, except to the extent that those changes relate to impairment of an asset or a liability becoming onerous.

The historical cost of an asset is updated over time to depict, if applicable:

- the consumption of asset (depreciation or amortisation);
- payments received that extinguish part or all of the asset;
- the effect of events that cause asset to be no longer recoverable (impairment); and
- accrual of interest to reflect any financing component of the asset.

The historical cost of a liability is updated over time to depict, if applicable:

- fulfilment of part or all of the liability (payment);
- the effect of events that increase the value of the obligation (estimate change); and
- accrual of interest to reflect any financing component of the liability.

4.3 Current value [Conceptual Framework: 6.10 & 6.11]

Current value measures provide monetary information about assets, liabilities and related income and expenses, using information updated to reflect conditions at the measurement date. Because of the updating, current values of assets and liabilities reflect changes, since the previous measurement date, in estimates of cash flows and other factors reflected in those current values. Unlike historical cost, the current value of an asset or liability is not derived, even in part, from the price of the transaction or other event that gave rise to the asset or liability.

Current value measurement bases include:

- fair value
- value in use for assets and fulfilment value for liabilities
- current cost

4.3.1 Fair value [Conceptual Framework: 6.12 to 6.14 & 6.16]

Fair value is the price that would be received to sell an asset, or paid to transfer a liability, in an orderly transaction between market participants at the measurement date.

Fair value reflects the perspective of market participants i.e. participants in a market to which the entity has access. The asset or liability is measured using the same assumptions they would use when pricing the asset or liability while acting in their economic best interest.

In some cases, fair value can be determined directly by observing prices in an active market. In other cases, it is determined indirectly using measurement techniques, for example, cash-flow-based measurement techniques, reflecting all the following factors:

- estimates of future cash flows.
- possible variations caused by the uncertainty inherent in the cash flows.
- the time value of money.
- the price for bearing the uncertainty inherent in the cash flows (a risk premium or risk discount).
- other factors, for example, liquidity, if market participants would take those factors into account in the circumstances.

The fair value is not increased or decreased by the transaction costs incurred when acquiring the asset and when the liability is incurred or taken on. In addition, fair value does not reflect the transaction costs that would be incurred on the ultimate disposal of the asset or on transferring or settling the liability.

4.3.2 Value in use and fulfilment value [Conceptual Framework: 6.17 to 6.20]

Value in use is the present value of the cash flows, or other economic benefits, that an entity expects to derive from the use of an asset and from its ultimate disposal. Fulfilment value is the present value of the cash, or other economic resources, that an entity expects to be obliged to transfer as it fulfils a liability.

Those amounts of cash or other economic resources include not only the amounts to be transferred to the liability counterparty, but also the amounts that the entity expects to be obliged to transfer to other parties to enable it to fulfil the liability.

Value in use and fulfilment value do not include transaction costs incurred on acquiring an asset or taking on a liability. However, value in use and fulfilment value include the present value of any transaction costs an entity expects to incur on the ultimate disposal /fulfilment.

Value in use and fulfilment value reflect entity-specific assumptions rather than assumptions by market participants. In practice, there may sometimes be little differences. Value in use and fulfilment value cannot be observed directly and are determined using cash-flow-based measurement techniques. Value in use and fulfilment value reflect the same factors described for fair value, but from an entity-specific perspective rather than from a market-participant perspective.

4.3.3 Current cost [Conceptual Framework: 6.21 & 6.22]

The current cost of an asset is the cost of an equivalent asset at the measurement date, comprising the consideration that would be paid at the measurement date plus the transaction costs that would be incurred at that date. The current cost of a liability is the consideration that would be received for an equivalent liability at the measurement date minus the transaction costs that would be incurred at that date.

Current cost, like historical cost, is an entry value: it reflects prices in the market in which the entity would acquire the asset or would incur the liability. Hence, it is different from fair value, value in use and fulfilment value, which are exit values. However, unlike historical cost, current cost reflects conditions at the measurement date.

In some cases, current cost cannot be determined directly by observing prices in an active market and must be determined indirectly by other means. For example, if prices are available only for new assets, the current cost of a used asset might need to be estimated by adjusting the current price of a new asset to reflect the current age and condition of the asset held by the entity.

Measurement bases for assets and liabilities – summary

Measurement bases	Definitions	Characteristics
Historical cost	Asset: The consideration paid to acquire or create the asset *plus* transaction costs. Liability: The consideration received to incur or taken the liability *minus* transaction costs.	Derived from past transaction /event. Reflects conditions existing at the time of acquisition. Entry value. Transaction costs at time of disposal are not relevant.
Fair value	Asset: The price that would be received to sell an asset in an orderly transaction between market participants at the measurement date. Liability: The price that would be paid to transfer a liability in an orderly transaction between market participants at the measurement date.	Derived using information updated to reflect conditions at the measurement date. Reflects market-participant assumptions. Exit value. Transaction costs are not relevant on acquisition as well as on disposal.
Value in use or Fulfilment value	Asset: The present value of the cash flows, or other economic benefits, that an entity expects to derive from the use of an asset and from its ultimate disposal. Liability: The present value of the cash, or other economic resources, that an entity expects to be obliged to transfer as it fulfils a liability.	Derived using information updated to reflect conditions at the measurement date. Reflects entity specific assumptions. Exit value. Transaction costs on acquisition are not relevant, however, present value of transaction costs on ultimate disposal/transfer are included in calculation.
Current cost	Asset: The cost of an equivalent asset that would be paid at the measurement date *plus* the transaction costs. Liability: The consideration that would be received for an equivalent liability at the measurement date *minus* the transaction costs.	Derived using information updated to reflect conditions at the measurement date. Reflects prices in market in which entity would acquire the asset or incur a liability. Entry value. Transaction costs at time of disposal are not relevant.

▶ *Example 05:*

Adeel Limited (AL) owns a machine which it purchased two years ago for Rs. 200,000. The accumulated depreciation on the machine to date is Rs. 80,000 based on 5 years life using straight line method.

The machine could be sold in the market for Rs. 100,000 but there would be dismantling costs of Rs. 10,000.

The cash flows from the existing machine are estimated to be Rs. 50,000 for the next two years followed by Rs. 40,000 in the last year. Relevant discount rate is 10%.

To replace the machine with a new version would cost Rs. 220,000.

Required:

Measure the machine using different measurement bases for AL using the above information.

▶ *Answer:*

Historical cost	Rs.
Cost	200,000
Less: Accumulated depreciation	(80,000)
	120,000

Fair value

The fair value is market value (exit price) of Rs. 100,000 without deducting cost to sell of Rs. 10,000.

Value in use		Rs.
Year 1	Rs. 50,000 x 1.1^{-1}	45,455
Year 2	Rs. 50,000 x 1.1^{-2}	41,322
Year 3	Rs. 40,000 x 1.1^{-3}	30,053
		116,830

Current cost		Rs.
Cost of new asset		220,000
Less: Accumulated depreciation*	Rs. 220,000 / 5 x 2 years	(88,000)
		132,000

*The replacement cost is of new machine and needs to be adjusted for two years usage.

▶ *Example 06:*

Briefly describe the measurement bases that may be used to measure the value of assets in the financial statements.

▶ *Answer:*

Historical cost

The historical cost of an asset, when it is acquired or created is the value of the cost incurred in acquiring or creating the asset, comprising the consideration paid to acquire or create the asset plus transaction cost.

Current value

Current value measures provide monetary information about assets using information updated to reflect conditions at the measurement date.

Current value measurement bases include:

- Fair value
- Value in use for assets
- Current cost

Fair value: Fair value is the price that would be received to sell an asset in an orderly transaction between market participants at the measurement date. Fair value reflects the perspective of market participants.

Value in use: Value in use is the present value of the cash flows or other economic benefit that an entity expects to derive from the use of an asset and from its ultimate disposal. Value in use reflect entity specific assumptions rather than assumptions by market participants.

Current cost: The current cost of an asset is the cost of an equivalent asset at the measurement date comprising the consideration that would be paid at the measurement date plus the transaction cost that would be incurred at that date.

Current cost, like historical cost is an entry value; while fair value is an exit value. However, unlike historical cost, current cost reflects conditions at the measurement date.

4.4 Measurement of equity [Conceptual Framework: 6.87 & 6.88]

The total carrying amount of equity (total equity) is not measured directly. It equals the total of the carrying amounts of all recognised assets less the total of the carrying amounts of all recognised liabilities (i.e. equity = total assets – total liabilities).

Because the general purpose financial statements are not designed to show an entity's value, the total carrying amount of equity will not generally equal:

- the aggregate market value of equity claims on the entity;
- the amount that could be raised by selling the entity as a whole on a going concern basis; or
- the amount that could be raised by selling all of the entity's assets and settling all of its liabilities.

5 CONCEPT OF CAPITAL AND CAPITAL MAINTENANCE

5.1 Concept of capital [Conceptual Framework: 8.1]

5.1.1 Financial concept of capital

Under a financial concept of capital, such as invested money or invested purchasing power, capital is synonymous with the net assets or equity of the entity.

5.1.2 Physical concept of capital

Under a physical concept of capital, such as operating capability, capital is regarded as the productive capacity of the entity based on, for example, units of output per day.

Consider the basic accounting equation:

Assets = Liabilities + Equity

Or

Assets – Liabilities = Equity (net assets)

Like any other equation, changes on one side of the accounting equation are matched by changes in the other side. Therefore, profit or loss for a period can be calculated from the difference between the opening and closing net assets after adjusting for any distributions during the period.

Change in equity = Closing equity – Opening equity

Increase in equity = Profit + capital introduced – distributions

Profit = Increase in equity – capital introduced + distributions

This shows that the value ascribed to opening equity is crucial in the measurement of profit.

5.2 Capital maintenance concepts and determination of profit [Conceptual Framework: 8.3]

Only inflows of assets in excess of amounts needed to maintain capital may be regarded as profit and therefore as a return on capital. Hence, profit is the residual amount that remains after expenses (including capital maintenance adjustments, where appropriate) have been deducted from income.

5.2.1 Financial capital maintenance

Under this concept a profit is earned only if the financial (money) amount of the net assets at the end of the period exceeds the net assets at the beginning of the period excluding any distributions to, and contributions from, owners during the period.

Financial capital maintenance can be measured in either:

- nominal monetary units (also called Historical Cost Accounting); or
- units of constant purchasing power (also called Constant Purchasing Power Accounting).

5.2.2 Physical capital maintenance

Under this concept a profit is earned only if the physical productive capacity (or operating capability of the entity or the resources or funds needed to achieve that capacity) at the end of the period exceeds the net assets at the beginning of the period excluding any distributions to, and contributions from, owners during the period.

This is also called Current Cost Accounting as the physical capital maintenance concept requires the adoption of the current cost basis of measurement.

5.3 Capital maintenance adjustments [Conceptual Framework: 8.7 & 8.8]

5.3.1 Financial capital maintenance (money terms)

Profit represents the increase in nominal money capital over the period. Thus, increases in the prices of assets held over the period, i.e. holding gains, are, conceptually, profits. They may not be recognised as such until disposal.

As mostly historical costs is used, no adjustments to profit is required.

5.3.2 Financial capital maintenance (real terms)

Profit represents the increase in invested purchasing power over the period. Thus, only that part of the increase in the prices of assets that exceeds the increase in the general level of prices is regarded as profit. The rest of the increase is treated as a capital maintenance adjustment and, hence, as part of equity.

The journal entry for capital maintenance adjustment is:

Debit	Statement of profit or loss
Credit	Inflation reserve

5.3.3 Physical capital maintenance

Profit represents the increase in physical capital over the period. All (specific) price changes affecting the assets and liabilities of the entity are viewed as changes in the measurement of the physical productive capacity of the entity; hence, they are treated as capital maintenance adjustments that are part of equity and not as profit.

The journal entry for capital maintenance adjustment is:

Debit	Statement of profit or loss
Credit	Current cost reserve

▶ *Example 07:*

X Limited commenced business on 1 January Year 1 with a single item of inventory which costs Rs. 10,000.

During the year it sold the item for Rs. 14,000 (cash).

During the year general inflation was 5% but the inflation specific to the item was 10%.

Required:

Calculate profit and prepare summary statement of financial position as of 31 December Year 1 under the following capital maintenance concepts:

a) Financial capital maintenance (money terms)

b) Financial capital maintenance (real terms)

c) Physical capital maintenance

▶ *Answer:*

	Capital maintenance concept		
	Financial (money terms)	Financial (real terms)	Physical
Profit calculation	**Rs.**	**Rs.**	**Rs.**
Revenue	14,000	14,000	14,000
Cost of sale	(10,000)	(10,000)	(10,000)
Inflation adjustment:			
5% x Rs.10,000		(500)	
10% x Rs.10,000			(1,000)
	4,000	3,500	3,000

**inflation rate applied to opening equity*

	Capital maintenance concept		
	Financial (money terms)	Financial (real terms)	Physical
Statement of financial position	**Rs.**	**Rs.**	**Rs.**
Cash	14,000	14,000	14,000
Total assets	14,000	14,000	14,000
Equity:			
Before adjustment	10,000	10,000	10,000
Inflation or current cost reserve		500	1,000
	10,000	10,500	11,000
Retained profit (profit for the year)	4,000	3,500	3,000
	14,000	14,000	14,000

Commentary on the above example

Under historical cost accounting, the profit is Rs. 4,000. If the business paid this out as a dividend it would have Rs. 10,000 left.

Rs. 10,000 is the opening equity expressed as a number of units of currency. This means that the company would have maintained its equity expressed as a number of units of currency. However, inflation in the period has caused the purchasing power of the currency to decline. This means that Rs. 10,000 no longer has the same purchasing power that it had a year ago. The company has not maintained its capital in real terms.

To maintain its opening equity in real terms the company would have to ensure that it had the same purchasing power at the year-end as it had at the start. Inflation was 5% so the company would need Rs. 10,500 at the year-end in order to have the same purchasing power as it had at the start of the year. The company can achieve this by transferring Rs.500 from profit and loss into an inflation reserve. Profit would then be reported as Rs. 3,500.

If the business paid out Rs. 3,500 as a dividend it would have Rs. 10,500 left. This is not enough to buy the same asset that it had at the start of the year. The asset has been subject to specific inflation of 10% therefore the company would need Rs. 11,000 at the year-end in order to buy the same asset.

This means that the company would not have the same capacity to operate as it had a year ago.

To maintain its opening equity in physical terms the company would have to ensure that it had the same ability to operate at the year-end as it had at the start. In other words, it would need to have Rs. 11,000. The company can achieve this by transferring Rs. 1,000 from profit and loss into an inflation reserve. Profit would then be reported as Rs. 3,000.

5.4 Comparing the two concepts [Conceptual Framework: 8.2]

Neither the *Conceptual Framework* nor accounting standards require the use of a specific capital maintenance concept. In practice, almost all entities use money financial capital maintenance, but both concepts can provide useful information.

Thus, a financial concept of capital should be adopted if the users of financial statements are primarily concerned with the maintenance of nominal invested capital or the purchasing power of invested capital. If, however, the main concern of users is with the operating capability of the entity, a physical concept of capital should be used.

Financial capital maintenance is likely to be the most relevant to investors as they are interested in maximizing the return on their investment and therefore its purchasing power.

Physical capital maintenance is likely to be most relevant to management and employees as they are interested in assessing an entity's ability to maintain its operating capacity. This is particularly true for manufacturing businesses, where management may need information about the ability of the business to continue to produce the same or a greater volume of goods.

6 REGULATORY FRAMEWORK

6.1 Purpose of regulatory framework in accounting

The regulatory system in accounting aims to ensure accuracy, transparency, and comparability of financial reporting, protecting investors and maintaining financial stability by establishing rules and standards that govern financial reporting practices. Therefore, it is important to understand the role of standard-setting bodies, their due process and coordination among them.

6.2 Role of IFRS Foundation

IFRS Foundation is supervisory body, responsible for governance issues and ensuring proper funding, for International Accounting Standards Board (IASB) and International Sustainability Standards Board (ISSB).

The IFRS Foundation aims to develop globally accepted standards for financial reporting and sustainability disclosures through the IASB and ISSB. These standards ensure high-quality, transparent, and comparable information for decision-making in capital markets. Additionally, the foundation promotes the rigorous application of IFRS Standards, considers diverse economic contexts, and facilitates their adoption by aligning them with national and regional standards.

6.3 Role of International Accounting Standards Board (IASB)

IASB is responsible for developing IFRS and IFRS for SMEs and for promoting their use and application. Its objective is to establish a single set of high-quality, clear, and enforceable global accounting standards. However, since IASB lacks the authority to enforce IFRS compliance, it relies on the collaboration of national standard setters.

6.4 Role of International Sustainability Standards Board (ISSB)

In 2021, the IFRS Foundation established the ISSB with the aim of creating a globally consistent framework for sustainability-related disclosure standards to address the investors need for corporate reporting on climate, as well as other environmental, social, and governance (ESG) issues, that is transparent, reliable, comparable, and of high quality. So far, ISSB has issued sustainability standards IFRS S1 and IFRS S2 in 2023.

6.5 IFRS Advisory Council (IFRS AC)

IFRS AC serves as a platform for IASB and ISSB to engage with a diverse group of stakeholders impacted by its activities. Its key objectives include:

- Offering guidance to IASB and ISSB on agenda-setting decisions and prioritization of its work:
- Communicating to IASB and ISSB the perspectives of organizations and individuals on significant standard-setting initiatives; and
- Providing additional advice to IASB, ISSB or the Trustees as needed.

6.6 IFRS Interpretations Committee (IFRS IC)

IFRS IC provides timely guidance on accounting matters where varying interpretations of IFRS Standards have emerged. All IFRIC interpretations require approval from the IASB. These interpretations focus on issues of significant and widespread relevance, rather than those affecting only a small minority of entities. They address:

- newly identified financial reporting challenges that are not explicitly covered within IFRS Standards; and
- issues where conflicting or inadequate interpretations have arisen, or are likely to arise, in the absence of authoritative guidance, aiming to establish consensus on the appropriate accounting treatment.

6.7 Procedure for the development of an IFRS Standard

The summarised procedure for the development of an IFRS Standard is as follows:

- IASB identifies a subject and appoints an advisory committee to advise on the issues.
- IASB may issue a discussion paper on IFRS to be issued to encourage comments from stakeholders.
- IASB publishes an exposure draft of IFRS to be issued
- After consideration of comments received on the exposure draft, IASB publishes the final text of the IFRS.

The publication of an IFRS, exposure draft or IFRIC Interpretation requires the votes of at least eight of the fifteen Board members of IASB.

7 COMPREHENSIVE EXAMPLES

▶ *Example 08:*

Carrie starts in business on 1 January Year 1. Carrie's sole shareholder contributed capital of Rs. 1,000. Carrie purchased one item of inventory for Rs. 1,000 and sold that inventory for cash of Rs. 1,400. At the end of Year 1 the replacement cost of the same item of inventory is Rs. 1,100. General inflation during the year was 7%.

Required:

Calculate profit and prepare summary statement of financial position as of 31 December Year 1 under the following capital maintenance concepts:

a) Physical capital maintenance

b) Financial capital maintenance: Historical cost accounting

c) Financial capital maintenance: Constant purchasing power accounting

▶ *Answer:*

	Physical Capital Maintenance	Financial Capital Maintenance	
		Historical cost accounting	Constant purchasing power accounting
Profit calculation	**Rs.**	**Rs.**	**Rs.**
Sales	1,400	1,400	1,400
Cost of sales	(1,000)	(1,000)	(1,000)
Inflation adjustment			
Specific (1,100 – 1,000)	(100)		
General (1,000 x 7%)			(70)
Profit	300	400	330
Statement of financial position			
Cash	1,400	1,400	1,400
Total assets	1,400	1,400	1,400
Equity:			
Before adjustment	1,000	1,000	1,000
Inflation or current cost reserve	100	-	70
	1,100	1,000	1,070
Retained profit (profit for the year)	300	400	330
	1,400	1,400	1,400

Tutorial note: Share capital at the year end is restated under the physical capital maintenance concept for an increase in specific price changes and under Constant Purchasing Power accounting for general price changes.

▶ *Example 09:*

Read the following statements:

i. In case of conflict between requirements of conceptual framework and IFRS, the requirements of conceptual framework shall prevail.

ii. Conceptual framework is not an International financial reporting standard (IFRS)

iii. HR related cost is recognised as an asset in the financial statements since economic benefit is probable from human resource

iv. Internally generated goodwill is recognised as asset and measured at fair value in the financial statements

v. When economic benefits arise over several accounting periods, and the association with income can only be decided in broad terms, expenses should be recognised in profit and loss of each accounting period on the basis of systematic and rational allocation procedure

vi. When an item of expenditure is not expected to provide any future economic benefit, it is recognised as an asset in the financial statements

vii. In fair value method, assets are measured at the amount that would be paid to purchase the same or a similar asset currently.

Required:

Analyse the above statements as true or false along with reasons for the selected answer.

▶ *Answer:*

i. False. Nothing in the Conceptual Framework overrides any Standard or any requirement in a Standard.

ii. True. The Conceptual Framework is not a Standard. However, it provides foundation for consistent development for IFRSs.

iii. False.HR related cost can never be capitalised as it does not meet the definition criteria of asset "controlled by the entity"

iv. False. Internally generated goodwill is not recognised because its cost or value cannot be measured reliably. IAS 38 specifically prohibits recognition of internally generated goodwill.

v. True, because of matching principle

vi. False. Instead, an expense shall be recognised in that case.

vii. False. This describes "current cost" which is entry value. "Fair value" is an exit value.

▶ *Example 10:*

Consider the following statements with reference to 'Conceptual framework for financial reporting':

i. Physical capital maintenance measures profit in terms of increase in the productive capacity of an entity.

ii. In times of rising prices, profits will be overstated and assets will be understated when financial statements are prepared on the basis of historical cost.

iii. Income represents all increases in assets or decreases in liabilities that result in increase in equity.

iv. To be a perfectly faithful representation, a depiction would have three characteristics. It would be complete, relevant and verifiable.

v. In value in use method, assets are measured at the amount that would be paid to purchase the same or a similar asset currently.

vi. Current cost and fair value are exit values.

vii. Requirements of a standard overrides the requirements of conceptual framework.

viii. Financial capital maintenance is likely to be the most relevant to investors as they are interested in maximizing the return on their investment and purchasing power.

Required:

Identify whether each of the above statements is TRUE or FALSE. Give reasons for statements identified as FALSE.

- *Answer:*

i. True

ii. True

iii. False. Income does not include those increase in equity which are relating to contributions from holders of equity claims.

iv. False. The three characteristics are complete, neutral and free from error.

v. False. Value in use is the present value of the cash flows, or other economic benefits that an entity expects to derive from the use of an asset and from its ultimate disposal.

vi. False. Current cost is an entry value while fair value is an exit value.

vii. True

viii. True

- *Example 11:*

On 1 March 2022, Inca Empire Limited (IEL) commenced business with a capital of Rs. 60,000 which was used to purchase two items of inventory. Details of their cost and sales for the year ended 28 February 2023 are as follows:

	Cost	Sale
	---------- Rupees ----------	
Product A	25,000	55,000
Product B	35,000	70,000

Additional information:

ix. General inflation during the year is 8%.

x. Inflation specific to product A during the year is 12%.

xi. Replacement cost of the product B at the end of the year is Rs. 45,000.

Required:

Prepare the statement of profit or loss and the statement of financial position (equity portion only) of IEL according to the concept of 'Physical Capital Maintenance'.

- *Answer:*

Statement of profit or loss		Rs. in '000
Sales	55+70	125
Cost of sale	25+35	(60)
Gross profit		65
Inflation adjustment		
- Specific (Product A)	25×12%	(3)
- Specific (Product B)	45–35	(10)
		(13)
Profit for the year		52

Statement of financial position

Equity:	Rs. in '000
Opening equity	60
Inflation reserve	13
Equity after adjustment	73
Profit for the year	52
	125

▶ *Example 12:*

During the review of the statement of financial position of Nerunkot Limited (NL), the junior accountant is uncertain whether the following items should be reflected in the books to accurately represent the financial position of NL:

i. An asset for loyal customers, as they are expected to bring future business.

ii. An asset for plant and related liability, since the contract for the purchase has been signed, but the plant will be delivered next year.

iii. A liability for the full year's office rent for the next year, as contract has been signed.

Required:

As an accounting manager of NL, discuss whether the above items should be recognised in the statement of financial position as per the Conceptual Framework for Financial Reporting.

▶ *Answer:*

Part (i)

Loyal customers do not meet the recognition criteria for an asset. Although they may generate future economic benefits, the company does not exert control over them as it would over other assets. Further, the future economic benefits derived from loyal customers are uncertain and cannot be measured reliably. Therefore, loyal customers should not be recognised as an asset in the statement of financial position.

Part (ii)

According to the conceptual framework, an asset or liability arises from past events. Since the plant has not yet been delivered, the recognition criteria are not met. Recognition will occur when the plant is delivered or payment is made. Consequently, no asset or liability is recorded at this stage. Transactions involving future obligations or unrealized assets should not be recognised until the relevant criteria are met.

Part (iii)

Future rent payments do not meet the recognition criteria for a liability until the related service (use of office space) is received. A liability is recognised when there is a present obligation resulting from past events. Hence, the office rent for the next year should not be recognised as a liability in the statement of financial position.??

8 OBJECTIVE BASED Q&A

1. Which of the following measurement basis is an 'entry value' and 'reflects the conditions at the measurement date'?

   a) Historical cost
   b) Fair value
   c) Value in use / fulfilment value
   d) Current cost

2. Financial capital maintenance (money terms) is also referred to as:

   a) Historical cost accounting
   b) Current cost accounting
   c) Constant purchasing power accounting
   d) Fair value accounting

3. Which of the following concepts measures profit in terms of an increase in the productive capacity of an entity?

   a) Physical capital maintenance
   b) Historical cost accounting
   c) Financial capital maintenance
   d) Going concern concept

4. Which of the following statements is true about historical cost accounts in times of rising prices?

   a) Profits will be overstated, and assets will be understated
   b) Asset values will be overstated
   c) Unrecognised gains will be recorded incorrectly
   d) Depreciation will be overstated

5. Which of the following measurement basis fulfils following two conditions when measuring an asset or liability:

   - Transactions costs at acquisition are ignored in valuation
   - Transaction costs at disposal or ultimate disposal are considered in valuation

   a) Historical cost
   b) Fair value
   c) Value in use / fulfilment value
   d) Current cost

6. Which of the following is NOT a purpose of the International Accounting Standards Board's Conceptual Framework?

   a) To assist the Board in the preparation and review of IFRS Standards
   b) To assist auditors in forming an opinion on whether financial statements comply with IFRS Standards
   c) To assist in determining the treatment of items not covered by an existing IFRS Standards
   d) To be authoritative where a specific IFRS Standard conflicts with the Conceptual Framework

7. Which of the following items should be recognised as an asset in the statement of financial position of an entity?

   a) A skilled and efficient workforce which has been very expensive to train. Some of these staff is still employed by the entity
   b) A highly lucrative contract signed during the year which is due to commence shortly after the year-end
   c) A government grant relating to the purchase of an item of plant several years ago which has a remaining life of four years
   d) A receivable from a customer, an agency has been hired for collection, however, the reporting entity will bear the loss in case of default by the customer

8. Which of the following criticisms does NOT apply to historical cost financial statements during a period of rising prices?

   a) They contain mixed values, some items are at current values, some at out-of-date values
   b) They are difficult to verify as transactions could have happened many years ago
   c) They understate assets and overstate profit
   d) They overstate gearing in the statement of financial position

9. Financial capital maintenance (real terms) is also referred to as:

   a) Historical cost accounting
   b) Current cost accounting
   c) Constant purchasing power accounting
   d) Fair value accounting

10. Physical capital maintenance is also referred to as:

    a) Historical cost accounting
    b) Current cost accounting
    c) Constant purchasing power accounting
    d) Fair value accounting

11. In which of the following, no adjustment for inflation is considered?

    a) Financial capital maintenance (money terms)
    b) Financial capital maintenance (real terms)
    c) Physical capital maintenance
    d) Fair value accounting

12. In which of the following, inflation adjustment is made on general rate of inflation?

    a) Financial capital maintenance (money terms)
    b) Financial capital maintenance (real terms)
    c) Physical capital maintenance
    d) Fair value accounting

13. In which of the following, inflation adjustment is made on specific rate of inflation?

    a) Financial capital maintenance (money terms)
    b) Financial capital maintenance (real terms)
    c) Physical capital maintenance
    d) Fair value accounting

14. Financial capital maintenance is likely to be most relevant to:

    a) Investors
    b) Management and employees
    c) Neither (a) nor (b)
    d) Capital maintenance is always irrelevant to decision making

15. Physical capital maintenance is likely to be most relevant to:

    a) Investors
    b) Management and employees
    c) Neither (a) nor (b)
    d) Capital maintenance is always irrelevant to decision making

16. An entity made a profit of Rs. 350,000 for the year 2019 based on historical cost accounting principles. It had opening capital of Rs. 1,000,000.

    Specific price indices increase during the year by 20% and general price indices by 5%.

    How much profit should be recorded for 2019 under money financial capital maintenance concept?

    a) Rs. 450,000
    b) Rs. 350,000
    c) Rs. 400,000
    d) Rs. 300,000

17. An entity made a profit of Rs. 350,000 for the year 2019 based on historical cost accounting principles. It had opening capital of Rs. 1,000,000.

    Specific price indices increase during the year by 20% and general price indices by 5%.

    How much profit should be recorded for 2019 under real financial capital maintenance concept?

    a) Rs. 450,000
    b) Rs. 350,000
    c) Rs. 400,000
    d) Rs. 300,000

18. An entity made a profit of Rs. 350,000 for the year 2019 based on historical cost accounting principles. It had opening capital of Rs. 1,000,000.

    Specific price indices increase during the year by 20% and general price indices by 5%.

    How much profit should be recorded for 2019 under physical capital maintenance concept?

    a) Rs. 100,000
    b) Rs. 125,000
    c) Rs. 150,000
    d) Rs. 175,000

19. An entity acquired an item of plant on 1 October 2012 at a cost of Rs. 500,000. It is being depreciated over five years, using straight-line depreciation and an estimated residual value of 10% of its historical cost or current cost as appropriate. As at 30 September 2014, the manufacturer of the plant still makes the same item of plant and its current price is Rs. 600,000.

    What is the correct carrying amount to be shown in the statement of financial position as at 30 September 2014 under historical cost accounting?

a) Rs. 320,000
b) Rs. 420,000
c) Rs. 520,000
d) Rs. 620,000

20. An entity acquired an item of plant on 1 October 2012 at a cost of Rs. 500,000. It is being depreciated over five years, using straight-line depreciation and an estimated residual value of 10% of its historical cost or current cost as appropriate. As at 30 September 2014, the manufacturer of the plant still makes the same item of plant and its current price is Rs. 600,000.

What is the correct carrying amount to be shown in the statement of financial position as at 30 September 2014 under current cost accounting?

a) Rs. 425,000
b) Rs. 295,000
c) Rs. 384,000
d) Rs. 485,000

21. An entity made a profit of Rs. 480,000 for the year 2018 based on historical cost accounting principles. It had opening capital of Rs. 1,100,000. During 2018, specific price indices increased by 15% while general price indices increased by 12%. How much profit should be recorded for 2018 under real financial capital maintenance concept?

a) Rs. 480,000
b) Rs. 315,000
c) Rs. 348,000
d) Rs. 645,000

22. Which of the following statements is correct about financial statements based on historical cost in times of rising prices?

a) Profits will be overstated and assets will be understated
b) Assets will be overstated
c) Profits as well as assets will be understated
d) Depreciation will be overstated

23. The IASB's Framework identifies qualitative characteristics.

i. Relevance
ii. Comparability
iii. Verifiability
iv. Understandability
v. Faithful representation

Which of the above are not listed as enhancing characteristics?

a) (i), (iv) and (v)
b) (ii), (iii) and (iv)
c) (ii) and (iii)
d) (i) and (v)

24. The IASB's Conceptual Framework for Financial Reporting identifies qualitative characteristics of financial statements.

    Which TWO of the following characteristics are NOT fundamental qualitative characteristics according to the IASB's The Conceptual Framework for Financial Reporting?

    a) Relevance
    b) Reliability
    c) Faithful representation
    d) Comparability

25. Which of the following is NOT a measurement base for assets as referred in the Conceptual Framework?

    a) Value in use
    b) Fulfilment value
    c) Current cost
    d) Fair value

26. An entity made a profit of Rs. 550,000 for the year 2020 based on historical cost accounting principles. It had opening capital of Rs. 1,500,000. During 2020, specific prices indices increased by 15% while general price indices increased by 10%. How much profit should be recorded for 2020 under physical capital maintenance concept?

    a) Rs. 325,000
    b) Rs. 400,000
    c) Rs. 467,500
    d) Rs. 495,000

27. Which of the following concepts measures profit in terms of an increase in the productive capacity of an entity?

    a) Physical capital maintenance
    b) Historical cost accounting
    c) Financial capital maintenance (money terms)
    d) Financial capital maintenance (real terms)

28. Which of the following statements is/are correct?

    i. The Conceptual Framework is not an IFRS and nothing in the Conceptual Framework overrides any specific IFRS.
    ii. One of the purpose of Conceptual Framework is to assist IASB to develop IFRSs that are based on consistent concepts.

    a) Only (I) is correct
    b) Only (II) is correct
    c) Both are correct
    d) None is correct

29. Which of the following best describes the role of the IFRS Advisory Council?

    a) To prepare interpretations of IFRS Standards
    b) To select and appoint members of IASB
    c) To promote the use of IFRS Standards globally
    d) To offer guidance to IASB on agenda-setting decisions and prioritization of its work

30. Which of the bodies listed below is responsible for the approval of Draft Interpretations?

    a) IFRS Interpretations Committee
    b) IFRS Foundation
    c) IFRS Advisory Council
    d) International Accounting Standards Board

31. Which of the bodies listed below acts as the overall supervisory body?

    a) IFRS Interpretations Committee
    b) IFRS Foundation
    c) IFRS Advisory Council
    d) International Accounting Standards Board

32. A multi-national manufacturing company needs to report on sustainability-related metrics, including environmental and social impacts. The management wants assurance that their reporting aligns with internationally recognised standards and meets investor expectations for transparency and comparability. Which body is responsible for setting globally consistent sustainability-related disclosure standards?

    a) IFRS Interpretations Committee
    b) International Accounting Standards Board (IASB)
    c) IFRS Advisory Council
    d) International Sustainability Standards Board (ISSB)

33. During a review of financial statements, an entity encounters conflicting interpretations of an IFRS standard, affecting their reporting accuracy. They seek guidance to address this issue. Which body provides timely guidance on accounting matters where varying interpretations of IFRS Standards have emerged?

    a) IFRS Interpretations Committee
    b) International Accounting Standards Board (IASB)
    c) IFRS Advisory Council
    d) International Sustainability Standards Board (ISSB)

34. Which TWO of the following characteristics are considered fundamental qualitative characteristics according to the IASB's conceptual framework for financial reporting?

    a) Timeliness
    b) Faithful representation
    c) Relevance
    d) Comparability

35. Which of the following is NOT included in the Conceptual framework for financial reporting?

    a) Objective of general purpose financial reporting
    b) Structure and content of financial statements
    c) Elements of financial statements
    d) Qualitative characteristics of useful financial information

36. Which of the following statements is/are correct?

    i. Relevance and faithful representation are the two fundamental qualities that make accounting information useful for decision making.

    ii. Comparability is an enhancing quality that makes accounting information useful for decision-making.

    a) Only (I) is correct

    b) Only (II) is correct

    c) Both are correct

    d) None is correct

37. Alpha Enterprises (AE) earned a profit of Rs. 700,000 for the year 2023 based on historical cost accounting principles. AE had opening capital of Rs. 2 million. During 2023, specific price indices and general price indices increased by 12% and 21% respectively.

    How much profit should be recorded for 2023 under the physical capital maintenance concept?

    a) Rs. 280,000

    b) Rs. 460,000

    c) Rs. 700,000

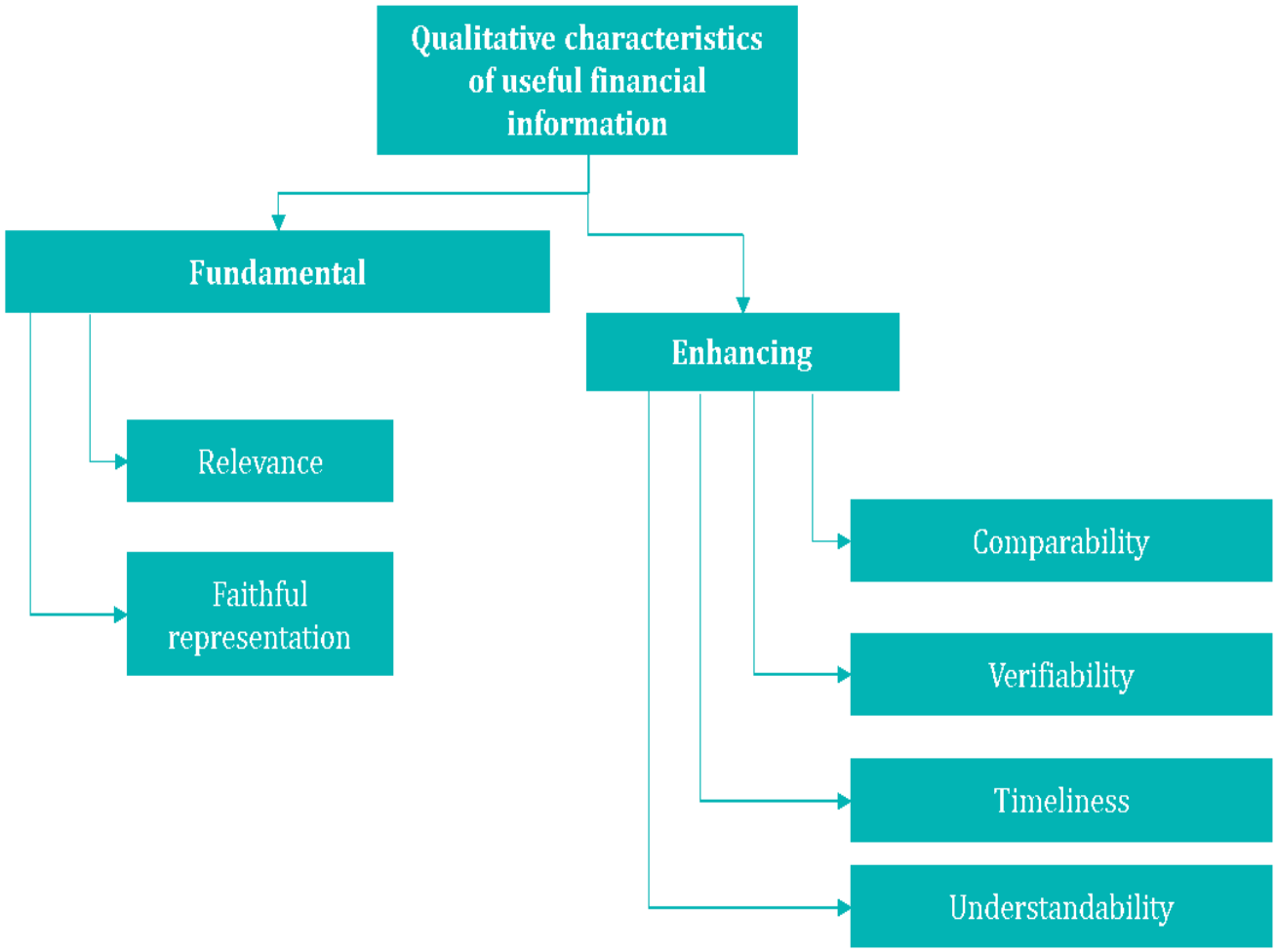
    d) Rs. 940,000

ANSWERS

01.	(d)	Historical cost and current cost both are entry values (unlike fair value and value in use), however, historical costs reflects conditions on acquisition date and current cost reflects conditions at measurement date.
02.	(a)	Historical cost accounting
03.	(a)	Physical capital maintenance looks at profit in terms of the physical productive capacity of the business, taking into account specific price changes relevant to the entity.
04.	(a)	In times of rising prices, asset values will be understated, as historical cost will not be a true representation of the asset values. Additionally, the real purchase cost of replacement items will not be incorporated, meaning that profits are overstated.
05.	(c)	Value in use and fulfilment value do not include transaction costs incurred on acquiring an asset or taking on a liability. However, value in use and fulfilment value include the present value of any transaction costs an entity expects to incur on the ultimate disposal /fulfilment.
06.	(d)	Where there is conflict between the conceptual framework and an IFRS Standard, the IFRS Standard will prevail. An example of this is IAS 20 *Government* grants, where deferred grant income is held as a liability, despite not satisfying the definition of a liability.
07.	(d)	As the receivable is 'sold' with recourse it must remain as an asset on the statement of financial position and is not derecognised.
08.	(b)	Historical cost is the easiest to verify as the cost can be proved back to the original transaction. Fair value is often more difficult to verify as it may involve elements of estimation.
09.	(c)	Constant purchasing power accounting
10.	(b)	Current cost accounting
11.	(a)	Financial capital maintenance (money terms)
12.	(b)	Financial capital maintenance (real terms)
13.	(c)	Physical capital maintenance
14.	(a)	Investors
15.	(b)	Management and employees
16.	(b)	Rs. 350,000. Money financial capital maintenance looks at the actual physical cash. No inflation adjustment is required.
17.	(d)	Rs. 350,000 – (1,000,000 x 5%) = Rs. 300,000
18.	(c)	Rs. 350,000 – (1,000,000 x 20%) = Rs. 150,000
19.	(a)	Historical cost annual depreciation = Rs. 90,000 ((500,000 × 90%)/5 years). After two years carrying amount would be Rs. 320,000 = (500,000 - (2×90,000)).
20.	(c)	Current cost annual depreciation = Rs. 108,000 ((600,000 × 90%)/5 years). After two years carrying amount would be Rs. 384,000 = (600,000 - (2×108,000)).
21.	(c)	Rs. 348,000
22.	(a)	Profits will be overstated and assets will be understated.
23.	(d)	Relevance and faithful representation are fundamental characteristics. Without these characteristics, information cannot be useful.

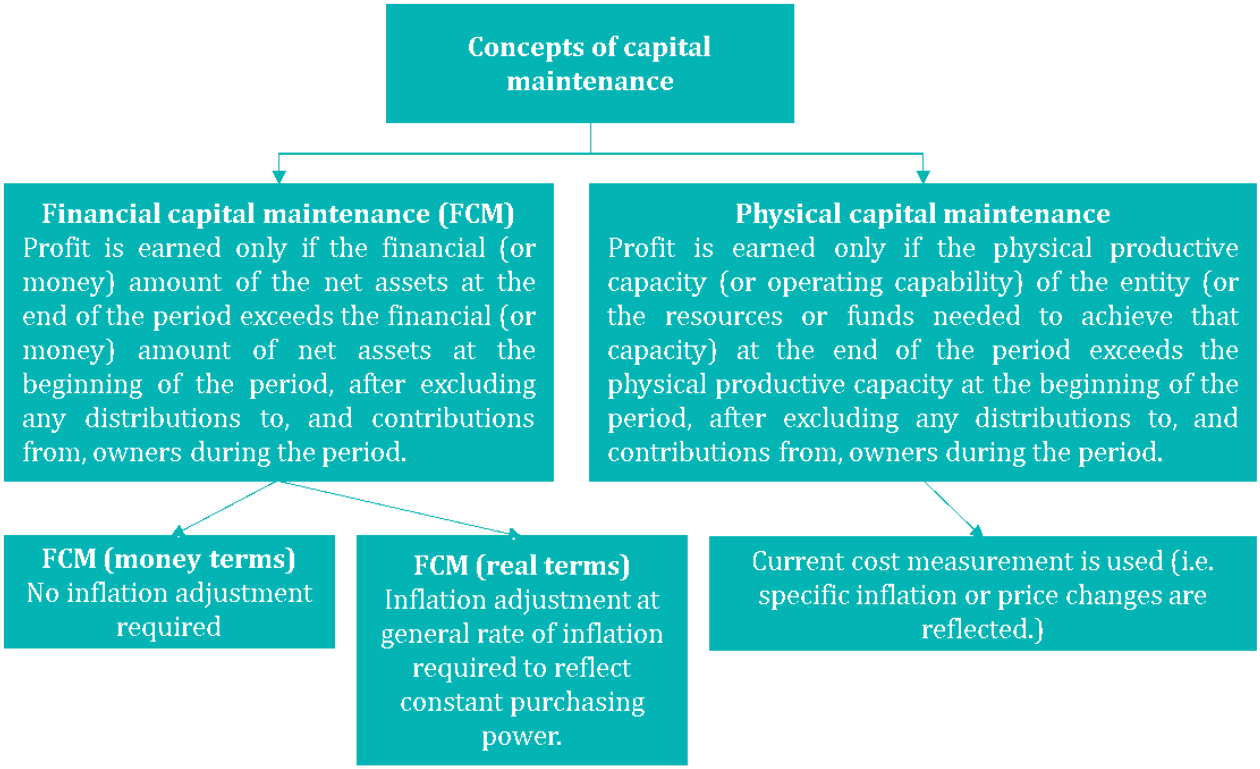
24.	(b) & (d)	It is important to learn that the two fundamental characteristics are relevance and faithful representation.
25.	(b)	Fulfilment value is measurement base for liabilities
26.	(a)	Rs. 550,000 – (Rs. 1,500,000 x 15%) = Rs. 325,000
27.	(a)	Physical capital maintenance
28.	(c)	Both statements are correct.
29.	(d)	To offer guidance to IASB on agenda-setting decisions and prioritization of its work
30.	(d)	International Accounting Standards Board
31.	(b)	IFRS Foundation
32.	(d)	International Sustainability Standards Board (ISSB)
33.	(a)	IFRS Interpretations Committee
34.	(b) and (c)	Faithful representation Relevance
35.	(b)	Structure and content of financial statements
36.	(c)	Both are correct
37.	(b)	Profit based on HCA Rs. 700,000 – specific inflation adjustment Rs. 2m x 12% = Rs. 460,000

STICKY NOTES

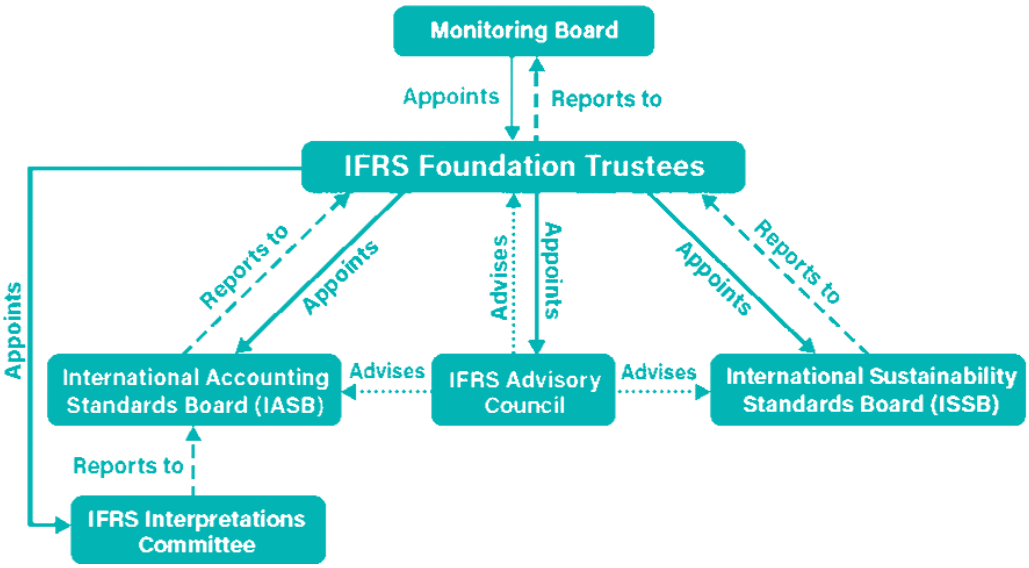


Characteristics of measurement basis

Measurement bases	Characteristics
Historical cost	• Derived from past transaction /event. • Reflects conditions existing at the time of acquisition. • Entry value. • Transaction costs at time of disposal are not relevant.
Fair value	• Derived using information updated to reflect conditions at the measurement date. • Reflects market-participant assumptions. • Exit value. • Transaction costs are not relevant on acquisition as well as on disposal.
Value in use or Fulfilment value	• Derived using information updated to reflect conditions at the measurement date. • Reflects entity specific assumptions. • Exit value. • Transaction costs on acquisition are not relevant, however, present value of transaction costs on ultimate disposal/transfer are included in calculation.
Current cost	• Derived using information updated to reflect conditions at the measurement date. • Reflects prices in market in which entity would acquire the asset or incur a liability. • Entry value. • Transaction costs at time of disposal are not relevant.



Structure of IFRS Foundation



CHAPTER 10

IAS 8 ACCOUNTING POLICIES, CHANGES IN ACCOUNTING ESTIMATES AND ERRORS

IN THIS CHAPTER:

AT A GLANCE

SPOTLIGHT

1. Introduction
2. Change in accounting policy
3. Correction of prior period errors
4. Comprehensive Examples
5. Objective Based Q&A

STICKY NOTES

AT A GLANCE

IAS 8 prescribes the criteria for selecting and applying accounting policies, and accounting treatment and disclosure of changes in accounting policies, changes in accounting estimates, and corrections of material prior period errors.

Accounting policies are determined by applying the IFRS that specifically applies to the transaction or other events. In absence of specifically applicable IFRS, the accounting policy is developed and applied that results in relevant and reliable information considering the guidance of similar IFRS, the Conceptual Framework, and other standard-setting bodies. Accounting policies are applied consistently unless change is required by an IFRS, or entity changes its accounting policy to provide more relevant and reliable information to users of financial statements.

A change in accounting policy is accounted for as follows:

a) on the initial application of a policy to revalue assets (from cost model), in accordance with IAS 16 or IAS 38.

b) when change in accounting policy is required by an IFRS and IFRS prescribes transitional provisions, in accordance with those transitional provisions.

c) Otherwise, apply the change retrospectively (unless impracticable) by restating comparative amounts and/or restating the opening balances of assets, liabilities and equity for the earlier prior period presented.

A change in accounting estimate (change in residual value, useful life, method of depreciation, etc.) results from new information not previously available and are not corrections of errors. The effect of a change in an accounting estimate is recognised prospectively by including the impact in current year; and future years if it affects both.

The material prior period errors are also corrected, after their discovery, retrospectively (unless impracticable) by restating the comparative amounts and/or restating the opening balances of assets, liabilities and equity for the earliest prior period presented.

1 INTRODUCTION

1.1 Scope [IAS 8: 3]

IAS 8 shall be applied in:

- Selecting and applying accounting policies.
- Accounting for changes in accounting policies.
- Accounting for changes in accounting estimates.
- Accounting for correction of prior period errors.

1.2 Definitions: basic [IAS 8: 5,32 & 35 and IAS 1: 7]

Accounting policies are the specific principles, bases, conventions, rules and practices applied by an entity in preparing and presenting financial statements.

An accounting policy may relate to:

- Recognition criteria (e.g. capitalising borrowing costs in the cost of qualifying asset rather than charging it as an expense);
- Measurement basis (e.g. measuring investment property applying either cost model or fair value model); or
- Presentation (e.g. presenting deferred government grant related to asset either separately or by deducting from carrying amount of related asset).

Accounting estimates are monetary amounts in financial statements that are subject to measurement uncertainty.

Examples of accounting estimates include:

a) The expense of bad and doubtful debts;
b) The net realisable value of an item of inventory;
c) The fair value of an asset or liability;
d) The depreciation expense (useful life, depreciation method and residual value); and
e) Provision for warranty obligations.

When it is difficult to distinguish a change in an accounting policy from a change in an accounting estimate, the change is treated as a change in accounting estimate.

Prior period errors are omissions from, and misstatements in, the entity's financial statements for one or more prior periods arising from a failure to use, or misuse of, reliable information that:

- was available when financial statements for those periods were authorised for issue; and
- could reasonably be expected to have been obtained and taken into account in the preparation and presentation of those financial statements.

Such errors include the effects of mathematical mistakes, mistakes in applying accounting policies, oversights or misinterpretations of facts, and fraud.

Information is ***material*** if omitting, misstating or obscuring it could reasonably be expected to influence decisions that the primary users of general-purpose financial statements make on the basis of those financial statements, which provide financial information about a specific reporting entity.

▶ *Example 01:*

Whether the following are changes in accounting policies, changes in accounting estimates or prior period errors:

i. An entity changed its accounting for land and buildings from cost model to revaluation model.

ii. The useful life of plant was revised downwards following impairment loss.

iii. The depreciation method for furniture was changed from straight line method to reducing balance method.

iv. The cost formula used for valuation of inventories was changed from FIFO to weighted average.

v. It was discovered that last year company's inventory sheets were under-casted.

vi. It was discovered that actual NRV of inventory was much lower than expected.

vii. Presentation changed from current/non-current to order of liquidity in statement of financial position.

▶ *Answer:*

i. Change in accounting policy

ii. Change in accounting estimate

iii. Change in accounting estimate

iv. Change in accounting policy

v. Prior period error

vi. Change in accounting estimate

vii. Change in accounting policy

1.3 Definitions: accounting treatment [IAS 8: 5]

Retrospective application is applying a new accounting policy to transactions, other events and conditions as if that policy had always been applied.

Retrospective restatement is correcting the recognition, measurement and disclosure of amounts of elements of financial statements as if a prior period error had never occurred.

Prospective application of a change in accounting policy and of recognising the effect of a change in an accounting estimate, respectively, are:

a) applying the new accounting policy to transactions, other events and conditions occurring after the date as at which the policy is changed; and

b) recognising the effect of the change in the accounting estimate in the current and future periods affected by the change.

Applying a requirement is ***impracticable*** when the entity cannot apply it after making every reasonable effort to do so.

1.4 Selection and application of accounting policies [IAS 8: 7 & 10 to 13]

When an IFRS specifically applies to a transaction, event or condition, the accounting policies applied to that item shall be determined by applying the IFRS.

In absence of an IFRS that is applicable specifically, the management shall use its judgement in developing and applying an accounting policy that results in information that is:

a) relevant to the economic decision-making needs of users; and

b) reliable, in that the financial statements:

- represent faithfully the information;
- reflect the economic substance (not merely the legal form);
- are neutral, i.e. free from bias;
- are prudent; and
- are complete in all material respects.

In making such judgement, the management should consider following sources:

a) IFRS dealing with similar and related issues; and

b) Conceptual Framework for Financial Reporting; and

c) Recent pronouncement of other standard-setting bodies, other accounting literature and accepted industry practices (to the extent not in conflict with afore-mentioned sources).

Accounting policies should be applied consistently for similar transactions unless required or permitted by IFRSs.

▶ *Example 02:*

IAS 16 Property, plant and equipment allows the use of the cost model or the revaluation model for measurement after recognition. This is an example of where IFRS permits categorisation of items for which different policies may be appropriate.

However, either of the measurement model must be applied to an entire class of property, plant and equipment consistently.

Consistency also implies that same accounting policies be applied in different accounting periods unless a change in policy is required or permitted. For example, if an entity applies weighted average cost formula for certain type of inventory in one period, the same policy shall be applied in subsequent periods.

1.5 Change in accounting estimates [IAS 8: 32 to 34, 36, 37, 39 & 40]

An accounting policy may require items in financial statements to be measured in a way that involves measurement uncertainty i.e. monetary amounts that cannot be observed directly and must instead be estimated. The use of reasonable estimates is an essential part of preparation of financial statements and does not undermine their reliability.

An accounting estimate may need revision if changes occur in the circumstances on which the accounting estimate was based or as a result of new information or more experience. A change in accounting estimate does not relate to prior periods is not correction of prior period error.

Accounting and disclosure	
Profit or loss	The effect of change in an accounting estimate relating to profit or loss shall be recognised prospectively by including it in profit or loss in: (a) The period of change if the change affects that period only; or (b) The period of change and future periods if the change affects both.
Assets, liabilities and equity	To the extent that a change in an accounting estimate gives rise to changes in assets and liabilities, or relates to an item of equity, it shall be recognised by adjusting the carrying amount of the related asset, liability or equity item in the period of change.
Disclosure	The nature and amount of a change in an accounting estimate that has an effect in the current period or is expected to have an effect in future periods, except for the effect on future periods when it is impracticable (disclose this fact if this is the case) to estimate that effect.

▶ *Example 03:*

A non-current asset was purchased for Rs. 200,000 on 1st January 2021, when its expected useful life was ten years, and its expected residual value was nil. The asset is being depreciated using straight-line method.

A review of the non-current assets during year 2023 revealed that due to technological change, the useful life of the asset is only six years in total, and the asset therefore has a remaining useful life of four years.

The original depreciation charge was Rs. 20,000 per year (Rs. 200,000/10 years) and at the beginning of 2023, its carrying value was Rs. 160,000 [Rs. 200,000 – (Rs. 20,000 x 2 years).

The change in the estimate occurred in 2023 and should be applied prospectively, from year 2023 to onwards. The annual charge for depreciation for year 2023 (the current year) and for the future years (2024 to 2026) will be changed from Rs. 20,000 to Rs. 40,000 (Rs. 160,000/4 years).

1.6 Comparative information [IAS 1: 10, 38, 38A & 40A]

An entity shall include comparative information for narrative and descriptive information if it is relevant to understanding the current period's financial statements.

An entity shall present, as a minimum, two statements of financial position, two statements of profit or loss and other comprehensive income, two separate statements of profit or loss (if presented), two statements of cash flows and two statements of changes in equity, and related notes.

An additional (third) statement of financial position as at the beginning of the preceding period is also required when an entity:

a) applies an accounting policy retrospectively (IAS 8); or

b) makes a retrospective restatement of items in its financial statements (IAS 8); or

c) reclassifies items in its financial statements (IAS 1).

2 CHANGE IN ACCOUNTING POLICY

2.1 When allowed? [IAS 8: 14 & 16]

An entity shall change an accounting policy only if the change:

a) is required by an IFRS; or

b) results in the financial statements providing reliable and more relevant information (voluntary change).

However, the following are NOT changes in accounting policies:

a) the application of an accounting policy for transactions and events that differ in substance from those previously occurring; and

b) the application of a new accounting policy for transactions and events that did not occur previously or were immaterial.

2.2 Application of IAS 8 [IAS 8: 17 to 19]

The initial application of revaluation model under IAS 16 or IAS 38 shall be dealt in accordance with IAS 16 or IAS 38 respectively, and not in accordance with IAS 8.

The initial application of an IFRS may result in change in accounting policy, which should be accounted for in accordance with Transitional Provisions of that IFRS.

If the IFRS does not include any transitional provisions or the change in accounting policy is voluntary, the entity shall apply the change retrospectively subject to certain limitations. For example, retrospective application of accounting policy is made in accordance with IAS 8 when an entity:

a) changes measurement basis of its investment property from cost model to fair value model; or

b) changes cost formula for measurement of its inventory from weighted average to first-in, first-out (FIFO) basis.

c) Changes measurement basis from revaluation model to cost model under IAS 16.

2.3 Retrospective application [IAS 8: 19, 22 & 23]

Change in accounting policy shall be applied retrospectively (as if the new accounting policy had always been applied) except to the extent that it is impracticable to determine either period specific effects or cumulative effect of change.

Retrospective application has three steps:

a) Apply new policy in current period (e.g., year 2023 is current period).

b) Apply new policy in comparative period as if the new accounting policy had always been applied (e.g., year 2022 is comparative period presented).

c) For periods before the comparative period, adjust the opening balances of earliest comparative period of each affected component of equity and related asset or liability as if the new accounting policy had always been applied (e.g., opening balances of year 2022 shall be adjusted).

▶ *Example 04:*

A company presents comparatives for the previous year only.

During the year ended 31 December 2023 it changes an accounting policy, and this change must be applied retrospectively.

If there were no change in accounting policy the company would present statements of financial position as at December 2023 and December 2022 only.

However, because there is a change in policy the company must also present a statement of financial position as at 1 January 2022 (the beginning of the earliest comparative period).

The change in accounting policy is applied retrospectively. This means that the change should be applied to the balances at as at 1 January 2022 as if the new policy had always been applied.

Similarly, any other comparative amounts in previous periods should be adjusted as if the new accounting policy had always been applied.

▶ *Example 05:*

Following information have been extracted from the financial statements of Kashif Engineering Limited (KEL) for the year ended 31 December 2024:

	2024	2023	2022
	Draft	Audited	Audited
	Rs. m	Rs. m	Rs. M
Depreciation expense*	(27)	(28)	(22)
Net profit	84	98	72
Property, plant and equipment	1,457	1,569	1,534
Investment property	134	138	142
Retained earnings	458	374	276

**Relates to property, plant and equipment and investment property*

To provide more relevant and reliable information about investment property, it has been decided to change the measurement basis for investment property from cost model to fair value model.

The only investment property of KEL is a building purchased on 1 January 2021 at a cost of Rs. 150 million. 60% of the cost represents building component having estimated useful life of 20 years and residual value of Rs. 10 million. The depreciation is included in the above draft financial statements. The fair value of the investment property has increased by 6% in each year since acquisition.

Required:

Prepare the extracts (including comparative amounts) of:

a) Statement of financial position of KEL as at 31 December 2024.

b) Statement of profit or loss of KEL for the year ended 31 December 2024.

c) Statement of changes in equity (retained earnings column) of KEL for the year ended 31 December 2024.

▶ *Answer:*

Part (a) Statement of financial position as at 31 December 2024

	2024	2023	2022
		(Restated)	Restated
	Rs. m	Rs. m	Rs. M
Property, plant and equipment	1,457	1,569	1,534
Investment property	189.37 *[134 + 55.37]*	178.65 *[138 + 40.65]*	168.54 *[142 + 26.54]*
Retained earnings	513.37 *[458 + 55.37]*	414.65 *[374 + 40.65]*	302.54 *[276 + 26.54]*

Part (b) Statement of profit or loss for the year ended 31 December 2024

	2024	2023
		(Restated)
	Rs. m	Rs. M
Depreciation	(23) *[27 – 4]*	(24) *[28 – 4]*
Gain on investment property	10.72	10.11
Net profit	98.72 *[84 + 14.72]*	112.11 *[98 + 14.11]*

Part (c) Statement of changes in equity for the year ended 31 December 2024

	Retained earnings
	Rs. M
Balance 1 January 2023 (as reported earlier)	276
Effect of change in accounting policy	26.54
Balance 1 January 2023 (restated)	**302.54**
Profit for the year (restated)	112.11
Balance 31 December 2023	414.65
Profit for the year	98.72
Balance 31 December 2024	**513.37**

Working:

	2024	2023	2022	2021
	Rs. m	Rs. m	Rs. m	Rs. M
Fair value gain @6%	10.72	10.11	9.54	9
Reversal of depreciation*	4	4	4	4
Periodic effect	14.72	14.11	13.54	13
Cumulative effect	55.37	40.65	26.54	13

*[(150 x 60% - 10) / 20 years)

2.4 Limitation to retrospective application [IAS 8: 23 to 25]

When it is impracticable to determine the period specific effects, the entity shall apply the new accounting policy retrospectively from the earliest date practicable.

When it is impracticable to determine the cumulative effect, at the beginning of the current period, of applying a new accounting policy to all prior periods, the entity shall adjust the comparative information to apply the new accounting policy prospectively from the earliest date practicable.

2.5 Disclosure [IAS 8: 28 & 29]

When a change in accounting policy has an effect on the current period or any prior period (or would have an affected that period except that it is impracticable to determine the amount of the adjustment) or might have an effect on future periods the following must be disclosed:

Disclosure:	Change due to IFRS	Voluntary change
The title of the IFRS.	✓	
The nature of the change in accounting policy.	✓	✓
When applicable, that the change in accounting policy is made in accordance with its transitional provisions and a description of those transitional provisions and their effect on future periods.	✓	
The reason why the new accounting policy provides reliable and more relevant information.		✓
For the current and previous period(s), to the extent practicable, the amount of the adjustment for each financial statement line item affected and EPS (if IAS 33 is applicable).	✓	✓
To the extent practicable, the adjustment relating to accounting periods before those presented.	✓	✓
If retrospective application is impracticable, the circumstances that led to existence of that condition and a description of how and from when the change in accounting policy has been applied.	✓	✓

The financial statements of subsequent periods need not repeat these disclosures.

▶ *Example 06:*

Following information have been extracted from the financial statements of Kashif Engineering Limited (KEL) for the year ended 31 December 2024:

	2024	2023	2022
	Draft	Audited	Audited
	Rs. m	Rs. m	Rs. M
Depreciation expense*	(27)	(28)	(22)
Net profit	84	98	72
Property, plant and equipment	1,457	1,569	1,534
Investment property	134	138	142
Retained earnings	458	374	276

**Relates to property, plant and equipment and investment property*

To provide more relevant and reliable information about investment property, it has been decided to change the measurement basis for investment property from cost model to fair value model.

The only investment property of KEL is a building purchased on 1 January 2021 at a cost of Rs. 150 million. 60% of the cost represents building component having estimated useful life of 20 years and residual value of Rs. 10 million. The depreciation is included in the above draft financial statements. The fair value of the investment property has increased by 6% in each year since acquisition.

Required:

Prepare the disclosure note relating to the change in accounting policy in the financial statements of KEL for the year ended 31 December 2024.

Answer:

Notes to the financial statements for the year ended 31 December 2024

Change in accounting policy

KEL changed its measurement basis for investment property from cost model to fair value model to provide more relevant and reliable information to stakeholders because fair value model better reflects the purpose and effect of investment property on KEL's financial position and performance.

The effect of change in accounting policy in current and prior periods is as follows:

	2024	2023	2022
Statement of financial position	**Rs. m**	**Rs. m**	**Rs. M**
Increase in investment property	55.37	40.65	26.54
Increase in retained earnings	55.37	40.65	26.54
Effect on statement of profit or loss			
Decrease in depreciation expense	4	4	
Increase in gain on investment property	10.72	10.11	
Increase in net profit	14.72	14.11	

Working:

	2024	2023	2022	2021
	Rs. m	**Rs. m**	**Rs. m**	**Rs. M**
Fair value gain @6%	10.72	10.11	9.54	9
Reversal of depreciation*	4	4	4	4
Periodic effect	14.72	14.11	13.54	13
Cumulative effect	55.37	40.65	26.54	13

*[(150 x 60% - 10) / 20 years)

3 CORRECTION OF PRIOR PERIOD ERRORS

3.1 Prior period errors [IAS 8: 41]

Errors can arise in respect of the recognition, measurement, presentation or disclosure of elements of financial statements. Financial statements do not comply with IFRSs if they contain either material errors or immaterial errors made intentionally to achieve a particular presentation of an entity's financial position, financial performance or cash flows.

Potential current period errors discovered in that period are corrected before the financial statements are authorised for issue. Material errors are sometimes not discovered until a subsequent period, and these prior period errors are corrected in the comparative information presented in the financial statements for that subsequent period.

3.2 Retrospective restatement [IAS 8: 42 & 43]

Unless Impracticable, an entity shall correct material prior period errors retrospectively in the first set of financial statements authorised for issue after their discovery by:

- restating the comparative amounts for the prior period(s) presented in which the error occurred; or
- if the error occurred before the earliest prior period presented, restating the opening balances of assets, liabilities and equity for the earliest prior period presented.

▶ *Example 07:*

Following information has been extracted from the draft financial statements of Marvellous Limited (ML) for the year ended 30 June 2017:

	2017	2016
Statement of financial position	**Rs. in million**	**Rs. in million**
Property, plant and equipment	700	612
Retained earnings	275	240
Statement of profit or loss		
Profit for the year	65	85

The following matters are under consideration of the management:

i. It was identified that ML had incorrectly charged Rs. 36.75 million as maintenance expense, incurred on installation of the plant. The plant was available for use on 1 July 2014 and had been depreciated on straight line basis over a useful life of four years.

ii. In view of significant change in the expected pattern of economic benefits from an item of the equipment, it has been decided to change the depreciation method from reducing balance to straight line. The equipment was purchased on 1 July 2015 at a cost of Rs. 80 million having estimated useful life of 5 years and residual value of Rs. 16 million. The depreciation at the rate of 27.5% on reducing balance method is included in the above draft financial statements.

The following balances pertain to ML's statement of financial position as on 30 June 2015:

	Rs. in million
Property, plant and equipment	650
Retained earnings	180

Required:

Prepare extracts from the statement of financial position, statement of profit or loss and statement of changes in equity (including comparative figures) for the year ended 30 June 2017.

▶ *Answer:*

Part (a) Statement of financial position as at 30 June 2017

	2017	2016	2015
		(Restated)	Restated
	Rs. m	Rs. m	Rs. M
Property, plant and equipment	714.63 *[700 + 9.18 + 5.45]*	630.37 *[612 + 18.37]*	677.56 *[650 + 27.56]*
Retained earnings	289.63 *[275 + 9.18 + 5.45]*	258.37 *[240 + 18.37]*	207.56 *[180 + 27.56]*

Part (b) Statement of profit or loss for the year ended 30 June 2017

	2017	2016
		(Restated)
	Rs. m	Rs. m
Net profit	61.26 *[65 – 9.19 + 5.45]*	75.81 *[85 – 9.19]*

Part (c) Statement of changes in equity for the year ended 30 June 2017

		Retained earnings
		Rs. m
Balance 1 July 2015 (as reported earlier)		180
Effect of correction of prior period error		27.56
Balance 1 July 2015 (restated)		**207.56**
Profit for the year (restated)		75.81
Dividend	*[240 – 85 – 180]*	(25)
Balance 30 June 2016 (restated)		**258.37**
Profit for the year		61.26
Dividend	*[275 – 65 – 240]*	(30)
Balance 30 June 2017		**289.63**

Working:

Correction of error	2017	2016	2015
	Rs. m	Rs. m	Rs. m
Reversal of maintenance expense			36.75
Depreciation 36.75 / 4	(9.19)	(9.19)	(9.19)
Periodic effect	(9.19)	(9.19)	27.56
Cumulative effect	9.18	18.37	27.56

Change in accounting estimate:

Depreciation 2016: Rs. 80m x 27.5% = Rs. 22 m

Depreciation 2017 (previous estimate) = Rs. 80 – 22 m = Rs. 58 m x 27.5% = Rs. 15.95 m

Depreciation 2017 (new estimate) = (Rs. 58 – 16 m) / 4 years = Rs. 10.50 m

Depreciation to be reduced by = Rs. 15.95 m – 10.50 m = Rs. 5.45 m

3.3 Limitations on retrospective restatement [IAS 8: 44 & 45]

When it is impracticable to determine the period-specific effects of an error on comparative information for one or more prior periods presented, the entity shall restate the opening balances of assets, liabilities and equity for the earliest period for which retrospective restatement is practicable (which may be the current period).

When it is impracticable to determine the cumulative effect, at the beginning of the current period, of an error on all prior periods, the entity shall restate the comparative information to correct the error prospectively from the earliest date practicable.

3.4 Disclosure [IAS 8: 49]

An entity shall disclose the following:

a) the nature of the prior period error;

b) for each prior period presented, to the extent practicable, the amount of the correction for each financial statement line item and EPS (if IAS 33 is applicable);

c) the amount of the correction at the beginning of earliest prior period presented; and

d) if retrospective restatement is impracticable for a particular prior period, the circumstances that led to the existence of that condition and a description of how and from when the error has been corrected.

Financial statements of subsequent periods need not repeat these disclosures.

▶ *Example 08:*

Following information has been extracted from the draft financial statements of Marvellous Limited (ML) for the year ended 30 June 2017:

	2017	2016
Statement of financial position	**Rs. in million**	**Rs. in million**
Property, plant and equipment	700	612
Retained earnings	275	240
Statement of profit or loss		
Profit for the year	65	85

The following matters are under consideration of the management:

i. It was identified that ML's had incorrectly charged Rs. 36.75 million as maintenance expense, incurred on installation of the plant. The plant was available for use on 1 July 2014 and had been depreciated on straight line basis over a useful life of four years.

ii. In view of significant change in the expected pattern of economic benefits from an item of the equipment, it has been decided to change the depreciation method from reducing balance to straight line. The equipment was purchased on 1 July 2015 at a cost of Rs. 80 million having estimated useful life of 5 years and residual value of Rs. 16 million. The depreciation at the rate of 27.5% on reducing balance method is included in the above draft financial statements.

The following balances pertain to ML's statement of financial position as on 30 June 2015:

	Rs. in million
Property, plant and equipment	650
Retained earnings	180

Required:

Prepare the following notes to the financial statements for the year ended 30 June 2017:

a) Correction of error

b) Change in accounting estimate

▶ *Answer:*

Notes to the financial statements for the year ended 30 June 2017

Part (a) Correction of error note

It was identified in current year that installation costs of Rs. 36.75 million to be capitalised was incorrectly charged as maintenance expense on 1 July 2014. The effect of correcting this error are as follows:

	2016	2015
Effect on statement of financial position	**Rs. m**	**Rs. m**
Increase in property, plant and equipment	18.37	27.56
Increase in retained earnings	18.37	27.56
Effect on statement of profit or loss		
Increase in depreciation expense	9.19	
Decrease in profit	(9.19)	

Part (b) Change in accounting estimate note

The depreciation method for equipment was revised from reducing balance method to straight line method resulting in reduction in depreciation expense by Rs. 5.45 in the current year. The depreciation expense over remaining life would also change due to this change of estimate.

Working:

Correction of error	2017	2016	2015
	Rs. m	Rs. m	Rs. m
Reversal of maintenance expense			36.75
Depreciation 36.75 / 4	(9.19)	(9.19)	(9.19)
Periodic effect	(9.19)	(9.19)	27.56
Cumulative effect	9.18	18.37	27.56

Change in accounting estimate:

Depreciation 2016: Rs. 80m x 27.5% = Rs. 22 m

Depreciation 2017 (previous estimate) = Rs. 80 – 22 m = Rs. 58 m x 27.5% = Rs. 15.95 m

Depreciation 2017 (new estimate) = (Rs. 58 – 16 m) / 4 years = Rs. 10.50 m

Depreciation to be reduced by = Rs. 15.95 m – 10.50 m = Rs. 5.45 m

4 COMPREHENSIVE EXAMPLES

▶ *Example 09:*

Mohani Manufacturing Limited is engaged in manufacturing of spare parts for motor car assemblers. The audited financial statements for the year ended December 31, 2014, disclosed that the profit and retained earnings were Rs. 21 million and Rs. 89 million respectively.

The draft financial statements for the year show a profit of Rs. 15 million. However, following adjustments are required to be made:

i. The management of the company has decided to change the method for valuation of raw materials from FIFO to weighted average. The value of inventory under each method is as follows:

	FIFO	Weighted Average
	Rs. m	Rs. m
December 31, 2013	37.0	35.5
December 31, 2014	42.3	44.5
December 31, 2015	58.4	54.4

ii. In 2014, the company purchased a plant for Rs. 100 million. Depreciation on plant was recorded at Rs. 25 million instead of Rs. 10 million. This error was discovered after the publication of financial statements for the year ended December 31, 2014. The error is considered to be material.

Required:

Produce an extract showing the movement in retained earnings, as would appear in the statement of changes in equity for the year ended December 31, 2015 ***(including comparative amounts).***

▶ *Answer:*

Statement of changes in equity (retained earnings)

For the year ended 31 December 2015		Retained earnings
		Rs. m
Balance 31 December 2013 (as reported earlier)	[89 – 21]	68
Effect of change in accounting policy		(1.5)
Balance 31 December 2013 (restated)		**66.5**
Total comprehensive income (restated)	[21 + 3.7 + (25 -10)]	39.7
Balance 31 December2014 (restated)		**106.2**
Total comprehensive income	[15 – 6.2]	8.8
Balance 31 December 2015		**115**

Working:

Effect on profit (change in policy)	2015	2014	2013
	Rs. m	Rs. m	Rs. m
Increase (decrease) in closing inventory	(4)	2.2	(1.5)
(Increase) decrease in opening inventory	(2.2)	1.5	
Periodic effect	(6.2)	3.7	(1.5)

▶ *Example 10:*

The following information has been taken from the financial statements of Asif Engineering Limited (AEL) for the year ended 31 December 2015:

	2015 (draft)	2014	2013
	Rs. million	Rs. million	Rs. million
Property, plant and equipment	2,430	2,402	2,105
Stores and spares	73	80	70
Retained earnings as at 31 December	353	224	101
Net profit	129	123	112

In the above financial statements, AEL has recognised consumption of spare parts as expense. AEL has now decided to change its above policy and classify consumption of spares having useful life of more than one year as capital spares under property, plant and equipment.

Following information pertains to capital spares consumed during the past three years:

Year ended	Parts issued during the year	Useful life of the issued parts
31 December 2013	Rs. 55 million	5 years
31 December 2014	Rs. 39 million	3 years
31 December 2015	Rs. 44 million	4 years

Depreciation on these parts is to be charged using straight line method over its useful life.

Required:

In accordance with the requirements of International Financial Reporting Standards, prepare the revised extracts (including comparative figures) of the following:

a) statement of financial position as at 31 December 2015

b) statement of comprehensive income for the year ended 31 December 2015

c) statement of changes in equity for the year ended 31 December 2015

▶ *Answer:*

Part (a) Statement of financial position as at 31 December 2015

	2015	2014	2013
		(Restated)	Restated
	Rs. m	Rs. m	Rs. m
Property, plant and equipment	2,498 *[2,430 + 68]*	2,461 *[2,402 + 59]*	2,149 *[2,105 + 44]*
Stores and spares	73	80	70
Retained earnings	421 *[353 + 68]*	283 *[224 + 59]*	145 *[101 + 44]*

Part (b) Statement of profit or loss for the year ended 31 December 2015

	2015	2014
		(Restated)
	Rs. m	Rs. m
Net profit	138 *[129 + 9]*	138 *[123 + 15]*

Part (c) Statement of changes in equity for the year ended 31 December 2015

	Retained earnings
	Rs. m
Balance 1 January 2014 (as reported earlier)	101
Effect of retrospective change in accounting policy	44
Balance 1 January 2014 (restated)	**145**
Profit for the year (restated)	138
Balance 31 December 2014 (restated)	283
Profit for the year	138
Balance 31 December 2015	**421**

Working:

	2015	2014	2013
	Rs. m	Rs. m	Rs. m
Reversal of stores expense	44	39	55
Depreciation 55 / 5 years	(11)	(11)	(11)
Depreciation 39 / 3 years	(13)	(13)	
Depreciation 44 / 4 years	(11)		
Periodic effect	9	15	44
Cumulative effect	68	59	44

▶ *Example 11:*

Wonder Limited (WL) is engaged in the manufacturing and sale of textile machinery. Following are the draft extracts of the statement of financial position and the statement of profit or loss for the year ended 30 June 2015:

	2015	2014
	Rs. m	Rs. m
Statement of Financial Position		
Property, plant and equipment	189	130
Retained earnings	198	108
Statement of profit or loss		
Profit for the year	90	78

Following additional information has not been taken into account in the preparation of the above financial statements:

i. Cost of repairs amounting to Rs. 20 million was erroneously debited to the machinery account on 1 October 2013. The estimated useful life of the machine is 10 years.

ii. On 1 July 2014, WL reviewed the estimated useful life of its plant and revised it from 5 years to 8 years. The plant was purchased on 1 July 2013 at a cost of Rs. 70 million.

Depreciation is provided under the straight-line method.

Required:

Prepare extracts of statement of profit or loss and the following notes to the financial statements for the year ended 30 June 2015:

- Correction of error
- Change in accounting estimate

▶ *Answer:*

Statement of profit or loss for the year ended 31 December 2015

	2015	2014
		(Restated)
	Rs. m	Rs. m
Net profit	98 *[90 + 2 + 6]*	59.5 *[78 – 18.5]*

Notes to the financial statements for the year ended 30 June 2015

Correction of error note

During the year ended June 30, 2014, the repair work was erroneously included in machine account. The effect of correction of this error is as follows:

	2014
Effect on statement of financial position	**Rs. m**
Decrease in property, plant and equipment	(18.5)
Decrease in retained earnings	(18.5)
Effect on statement of profit or loss	
Increase in repair expense	20
Decrease in depreciation expense	(1.5)
Decrease in profit	(18.5)

Change in accounting estimate note

The remaining useful life estimate of a plant was revised from 4 to 7 years resulting in reduction of depreciation by Rs. 6 million in current period and for the remaining life of the plant.

Working:

Correction of error	2015	2014
	Rs. m	Rs. m
Recording of repair expense		(20)
Reversal of depreciation: Rs. 20 m / 10 years x 9/12		1.5
Reversal of depreciation: Rs. 20m / 10 years	2	
Periodic effect	2	(18.5)
Cumulative effect	(16.5)	(18.5)

Change in accounting estimate:

Carrying amount at beginning of the year = Rs. 70m – (70/5 years) = Rs. 56m

Depreciation 2015 (previous estimate) = Rs. 56 m /4 years = Rs. 14 m

Depreciation 2017 (new estimate) = Rs. 56 m / 7 years = Rs. 8 m

Depreciation to be reduced by = Rs. 14 m – 8 m = Rs. 6 m

▶ *Example 12:*

Chand Paints Limited (CPL) is engaged in the manufacturing of chemicals and paints. In April 2016 it was discovered that certain errors had been made in the financial statements for the year ended 30 June 2015. The errors were corrected in 2016. The details are as follows:

	2016	2015	2015
	(Draft)	After correction of errors	Audited
	Rs. m	Rs. m	Rs. m
Statement of comprehensive income			
Sales tax, commission and discounts	(7,939)	(8,246)	(7,916)
Cost of sales	(45,508)	(44,606)	(44,633)
Selling and distribution expenses	(2,940)	(2,635)	(2,441)
Administration expenses	(2,356)	(2,254)	(2,149)
Other operating charges	(495)	(467)	(515)
Other operating income	920	427	509
Profit for the year	4,089	3,723	4,359
Statement of financial position			
Trade and other receivables	1,839	1,613	2,025
Trade and other payables	11,600	8,894	8,670

The share capital and un-appropriated profit of CPL as on 1 July 2014 was Rs. 10,400 million and Rs. 19,089 million respectively.

The details of dividend declared are as follows:

		2016	2015
Cash dividend	– Interim	10%	5%
	– Final	15%	10%

Required:

a) Prepare a correction of error note, to be included in the financial statements for the year ended 30 June 2016.

b) Prepare the statement of changes in equity for the year ended 30 June 2016

▶ *Answer:*

Part (a) Notes to the financial statements for the year ended 30 June 2016

The effect of retrospective restatement on statement of comprehensive income:

Increase / (decrease) in income	2015
	Rs. m
Increase in sales tax, commission and discounts (7,916 – 8,246)	(330)
Decrease in cost of sales (44,633 – 44,606)	27
Increase in selling and distribution expenses (2,441 – 2,635)	(194)
Increase in administration expenses (2,149 – 2,254)	(105)
Decrease in operating income	(602)
Decrease in other operating charges (515 – 467)	48
Decrease in other operating income (509 – 427)	(82)
Decrease in profit for the year	(636)

The effect of retrospective restatement on statement of financial position for 2015:

Decrease in trade debts (2,025 – 1,613)	(412)
Increase in trade and other payables (8,894 – 8,670)	224
Decrease in un-appropriated profit	(636)

Part (b) Statement of changes in equity for the year ended 30 June 2016

	Share capital	Retained earnings	Total
	---------- Rs. in million ----------		
Balance 1 July 2014	10,400	19,089	29,489
Interim dividend 2015 (10,400×5%)		(520)	(520)
Profit for the year 2015 - restated		3,723	3,723
Balance 30 June 2015	10,400	22,292	32,692
Final dividend 2015 (10,400×10%)		(1,040)	(1,040)
Interim dividend 2016 (10,400×10%)		(1,040)	(1,040)
Profit for the year 2016		4,089	4,089
Balance 30 June 2016	**10,400**	**24,301**	**34,701**

Example 13:

Retained earnings column extracted from the draft statement of changes in equity of Zahidi Limited (ZL) for the year ended 31 December 2020, is as follows:

	Retained earnings
	Rs. in million
Balance as at 31 December 2018	351
Final cash dividend for the year 2018	(15)
Total comprehensive income for the year 2019	68
Balance as at 31 December 2019	404
Total comprehensive income for the year 2020	82
Balance as at 31 December 2020	486

On 1 January 2018, ZL had acquired a building at cost of Rs. 200 million and had rented it out on the same day for three years. On 31 December 2020, the tenant vacated the building and ZL decided to transfer its head office to such building.

The finance manager was considering the reporting implications of change in use of the building. He came to know that the building has erroneously been reported as property, plant and equipment since inception and was being depreciated on straight line basis over 20 years. The fair value of the building has increased by 10% in each year since acquisition.

ZL follows cost model for property, plant and equipment and fair value model for investment property.

Required:

Prepare the following extracts from ZL's financial statements for the year ended 31 December 2020 in accordance with IFRSs:

a) Correction of error note

b) Retained earnings column as would appear in the statement of changes in equity.

(Show comparative figures)

Answer:

Part (a) Correction of error note

It was identified in current year that an investment property was erroneously reported as property, plant and equipment since acquisition i.e. 1 January 2018. The error has been corrected by retrospective restatement of prior year amount which has been summarized as follows:

	2019	2018
Effect on statement of financial position	**Rs. m**	**Rs. m**
Increase in investment property	242	220
Decrease in property, plant and equipment	(180)	(190)
Increase in retained earnings	62	30
Effect on statement of profit or loss		
Reversal of depreciation expense	10	
Increase in fair value gain (investment property)	22	
Increase in profit	32	

Part (b) Extracts of retained earnings

		Retained earnings
		Rs. m
Balance 31 December 2018 (as reported earlier)		351
Effect of correction of prior period errors		30
Balance 31 December 2018 (restated)		**381**
Final cash dividend		(15)
Total comprehensive income (restated)	[68 + 32]	100
Balance 31 December2019 (restated)		**466**
Total comprehensive income	[82 + 34]	116
Balance 31 December 2024		**582**

Working:

	2020	2019	2018
	Rs. m	Rs. m	Rs. m
Reversal of depreciation [200 x 5%]	10	10	10
Fair value gain @10%	24	22	20
Periodic effect	34	32	30
Cumulative effect	96	62	30

▶ *Example 14:*

For the purpose of preparation of statement of changes in equity for the year ended 31 December 2017, Daffodil Limited (DL) has extracted the following information:

	2017	2016	2015
	Draft	Audited	Audited
	--------- Rs. in million ---------		
Net profit	650	318	214
Transfer to general reserves	112	-	141
Transfer of incremental depreciation	-	49	55
Final cash dividend	-	-	7.5%

Additional information:

i. Details of share issues:

- 25% right shares were issued on 1 May 2016 at Rs. 18 per share.
- A bonus issue of 10% was made on 1 April 2017 as final dividend for 2016.
- 50 million right shares were issued on 1 July 2017 at Rs. 15 per share.
- A bonus issue of 15% was made on 1 September 2017 as interim dividend.

ii. After preparing draft financial statements, it was discovered that depreciation on a plant costing Rs. 700 million has been charged @ 25% under reducing balance method, from the date of commencement of manufacturing i.e. 1 July 2014. However, the plant was available for use on 1 February 2014.

iii. Share capital and reserves as at 31 December:

	2015	2014
	--------- Rs. in million ---------	
Ordinary share capital (Rs. 10 each)	1,600	1,600
General reserves	1,850	1,709
Retained earnings	1,430	1,302
Revaluation surplus	49	104

Required:

Prepare DL's statement of changes in equity for the year ended 31 December 2017 along with comparative figures. The column for total is not required.

▶ *Answer:*

Daffodil Limited

Statement of changes in equity for the year ended 31 December 2017

	Share capital	Share premium	General reserve	Retained earnings	Revaluation surplus
	Rs. m	Rs. m	Rs. m	Rs. m	Rs. m
Balance as on 1 January 2016	1,600	-	1,850	1,430	49
Effect of correction of error				(54.69)	
Balance as on 1 January 2016: (restated)	1,600	-	1,850	1,375.31	49
Final cash dividend 7.5%				(120)	
Right issue 25%	400	320			
Profit: restated [318 + 13.67]				331.67	
Transfer (Incremental dep.)				49	(49)
Balance as on 31 Dec 2016	**2,000**	**320**	**1,850**	**1,635.98**	**0**
Final bonus dividend 10%	200			(200)	
Right issue 50m shares	500	250			
Interim bonus dividend 15%	405			(405)	
Profit [650 + 10.25]				660.25	
Transfer to general reserve			112	(112)	
Balance as on 31 Dec 2017	**3,105**	**570**	**1,962**	**1,579.23**	**0**

Working:	Depreciation		
	Correct @25%	Incorrect @25%	Effect on profit
	Rs. in million		
Cost	700	700	
2014	160.42 *(700 × 25% × 11 ÷ 12)*	87.50 *(700 × 25% × 6 ÷ 12)*	(72.92)
2015	134.90 *(700 – 160.42) × 25%*	153.13 *(700 – 87.50) × 25%*	18.23
		Cumulative	***(54.69)***
2016	101.17 *(134.90 × 75%)*	114.84 *(153.13 × 75%)*	13.67
2017	75.88 *(101.17 × 75%)*	86.13 *(114.84 × 75%)*	10.25

▶ *Example 15:*

During the year, it was discovered that due to some calculation error in excel sheet, fair value of Coal Limited's (CL's) office building was taken incorrectly as Rs. 460 million instead of Rs. 360 million. Resultantly, the building was recorded based on incorrect revaluation amount in CL's financial statements for the year ended 30 June 2017.

This building was acquired on 1 July 2015 for Rs. 500 million and then revalued for the first time on 30 June 2017. CL follows revaluation model for subsequent measurement of its building classified as property, plant and equipment and charges depreciation over its useful life of 10 years using straight line method. CL accounts for revaluation on net replacement value method and transfers the maximum possible amount from the revaluation surplus to retained earnings on an annual basis.

As on 30 June 2019, the revalued amount of building has been determined at Rs. 320 million.

Required:

Prepare extracts from CL's statement of financial position and related notes to the financial statements for the year ended 30 June 2019 alongwith comparative figures for the above. (Note on Property, plant and equipment is not required).

▶ *Answer:*

Coal Limited	2019	2018	2017
Statement of Financial Position (Extracts)		**(Restated)**	**(Restated)**
As at 30 June 2019	**Rs. m**	**Rs. m**	**Rs. m**
Non-current assets: Building	320	315 *[360 – 360/8]*	360
Equity: Revaluation Surplus **W1**	20	-	-

Coal Limited

Notes to the financial statements (Extracts) for the year ended 30 June 2019

Correction of error note

It was identified in current year that revalued amount of one of buildings was taken as Rs. 460 million instead of Rs. 360 million in 2017's financial statements.

		2018	2017
Effect on statement of profit or loss		**Rs. m**	**Rs. m**
Decrease in depreciation	[100 / 8 years]	(12.5)	
Effect on statement of financial position			
Decrease in PPE	[100 – 100/8] & [360 – 460]	(87.5)	(100)
Decrease in revaluation surplus	[60 – 60 /8] & [400 – 460]	(52.5)	(60)
Decrease in retained earnings	[40 – 40/8] & [360 – 400]	(35)	(40)

W1: Revaluation surplus		**Rs. m**
Revalued amount		320
Carrying amount 31 Dec 2019	[360 – 360/8 x 2 years]	270
Revaluation gain		50
Reversal in profit or loss	[40 loss – 40/8 x 2 years]	(30)
Recognise in OCI and accumulated in revaluation surplus		20

▶ *Example 16:*

Supreme Cement Company Limited (SCCL) is in process of finalization of its accounts for the year ended 31 December 2012. The following information is available:

i. Shareholders' equity as at 31 December 2011 and 2010 consisted of:

	2011	2010
	Rs. In million	**Rs. In million**
Share capital (Rs. 10 each)	10,340	7,833
Unappropriated profit	6,945	4,508

ii. The total comprehensive income for the years ended 31 December 2010, 2011, and 2012 (unaudited) was Rs. 4,240 million, Rs. 4,944 million and Rs. 5,090 million respectively.

iii. During the year ended 31 December 2012 it was observed that machinery purchased on 01 July 2011 for Rs. 350 million, was erroneously debited to stock-in-trade instead of property, plant and equipment. SCCL depreciates machinery at the rate of 20% per annum on the reducing balance method. No adjustment has been made yet in respect of this error. SCCL uses perpetual inventory method.

iv. Cash dividends and bonus dividends declared during the last three years are as follows:

For the year ended:	Cash dividend		Bonus dividend	
	Interim*	Final	Interim*	Final
31 December 2010	10%	-	-	20%
31 December 2011	-	15%	10%	-
31 December 2012	10%	-	-	5%

*Declared at the time of announcement of half-yearly financial results.

v. Right shares were issued on 30 November 2012 in the ratio of 4 right shares for every 5 shares held by the shareholders of the company. The right issue was made at Rs. 18 per share

Required:

Prepare the statement of changes in equity for the year ended 31 December 2012 ***(including comparative figures, total column is not required).***

▶ *Answer:*

Statement of changes in equity for the year ended 31 December 2012

	Share capital	Share premium	Retained earnings
	Rs. m	Rs. m	Rs. m
Balance 1 January 2011	7,833	-	4,508
Final bonus dividend 2010 20%	1,567		(1,567)
Interim bonus issue 10%	940		(940)
Profit for the year: restated [4,944 – 35*]			4,909
Balance 31 December 2011 (restated)	**10,340**	**-**	**6,910**
Final cash dividend 2011: 15%			(1,551)
Interim cash dividend 10%			(1,034)
Right issue 80%	8,272	6,618	
Profit for the year: [5,090 – 63**]			5,027
Balance 31 December 2012	**18,612**	**6,618**	**9,352**

*Extra depreciation 2011: Rs.350m x 20% x 6/12 = Rs. 35m

** Extra depreciation 2012: (Rs.350 – 35 m) x 20% = Rs. 63m

Example 17:

The following information pertains to draft financial statements of Pak Ocean Limited (POL) for the year ended 31 December 2014:

	2014	2013
	Rs. In million	
Profit for the year	78	52
Gain (loss) on revaluation of buildings	12	(5)
Incremental depreciation	1.5	2.3

i. Installation of an assembly plant was completed in December 2012 at a cost of Rs. 60 million and it was ready for use on 1 February 2013. However, depreciation for the year ended 31 December 2013 amounting to Rs. 4.5 million was worked out from the date of production i.e. 1 April 2013. The additional depreciation of Rs. 1 million was included in the depreciation expense for the year ended 31 December 2014, in an attempt to correct the error.

ii. Shareholders' equity as at 1 January 2013 was as follows:

	Rs. in million
Share capital (Rs. 100 each)	200
Retained earnings	145
Revaluation surplus (buildings)	20

iii. On 30 November 2014, POL issued 25% right shares to its ordinary shareholders at Rs. 120 per share.

iv. Cash dividend and bonus dividend declared during the last three years:

For the year ended:	Cash dividend		Bonus dividend	
	Interim*	Final	Interim*	Final
31 December 2012	16%	-	-	15%
31 December 2013	18%	-	20%**	-
31 December 2014	-	25%	-	10%

*Declared with half-yearly accounts.

**Not entitled to cash dividends declared on the same day.

Required:

Prepare statement of changes in equity for the year ended 31 December 2014 ***(including comparative figures, total column is not required).***

▶ *Answer:*

Statement of changes in equity for the year ended 31 December 2014

	Share capital	Share premium	Retained earnings	Revaluation surplus
	Rs. m	Rs. m	Rs. m	Rs. m
Balance 1 January 2013	200	-	145	20
Final bonus dividend 2012 15%	30		(30)	
Interim cash dividend 18%			(41.4)	
Interim bonus dividend 20%	46		(46)	
Total comprehensive income (restated)				
Profit for the year [52 – 1]			51	
Other comprehensive income				(5)
Transfer (Incremental depreciation)			2.3	(2.3)
Balance 31 December 2013	**276**	**-**	**80.9**	**12.7**
Right issue 25%	69	13.8		
Total comprehensive income				
Profit for the year [78 + 1]			79	
Other comprehensive income				12
Transfer (Incremental depreciation)			1.5	(1.5)
Balance 31 December 2014	**345**	**13.8**	**161.4**	**23.2**

▶ *Example 18:*

Roman Limited (RL) has extracted the following information for the purpose of preparation of statement of changes in equity for the year ended 31 December 2022:

	2022	2021	2020
	Draft	Audited	Audited
	--------- Rs. in million ---------		
Net profit	285	195	177
Revaluation surplus arising during the year	-	115	(78)
Transfer of incremental depreciation	30	26	28

Additional information:

i. On 1 February 2021, a bonus issue of 10% was made as final dividend for 2020.

ii. On 15 May 2021, RL issued right shares for Rs. 20 per share. Right shares were issued in a proportion of 1 right share for every 4 ordinary shares held. Transaction cost of Rs. 0.5 per share was also incurred.

iii. On 1 May 2022, an item of property, plant and equipment was disposed of at its carrying value. An amount of Rs. 75 million was remaining in the revaluation surplus account in respect of this item's previous revaluations.

iv. On 1 July 2022, 50 million irredeemable preference shares having par value Rs. 10 each were issued at Rs. 15 per share.

v. In October 2022, an interim 5% cash dividend on all shares was made.

vi. The revalued amount of RL's head office building was determined as Rs. 400 million as on 31 December 2021. However, revaluation was not incorporated as the change in revalued amount was considered to be temporary by RL's management. The head office building had a carrying value of Rs. 350 million on 31 December 2021 and had a remaining useful life of 10 years. A revaluation loss of Rs. 24 million was recorded on 31 December 2019 on its previous revaluation.

vii. Share capital and reserves as at 1 January:

	2021	2020
	------ Rs. in million ------	
Ordinary share capital (Rs. 10 each)	800	800
Retained earnings	715	510
Revaluation surplus	399	505

Required:

Prepare RL's statement of changes in equity for the year ended 31 December 2022 along with comparative figures. (Column for total is not required)

▶ *Answer:*

Roman Limited

Statement of changes in equity

For the year ended 31 December 2022

	Ordinary share capital	Preference share capital	Share premium	Retained earnings	Revaluation surplus
	Rs. M				
Balance at 1 January 2021	**800**			**715**	**399**
Final bonus dividend [10% x 800]	80			(80)	
Right issue (W1)	220		220		
Transaction costs (W1)			(11)		
Total comprehensive income (restated)					
Profit [195 + 20 W2]				215	
Other comprehensive income [115 + 30 W2]					145
Transfer of incremental depreciation				26	(26)
Balance at 31 December 2021 (restated)	**1,100**	**-**	**209**	**876**	**518**

	Ordinary share capital	Preference share capital	Share premium	Retained earnings	Revaluation surplus
	Rs. M				
Transfer upon disposal				75	(75)
Issue of preference shares (50m shares)		500	250		
Interim cash dividend [5% x (1,100+500)]				(80)	
Total comprehensive income					
Profit [285 - 5 W3]				280	
Transfer of incremental dep. [30 + 3 W3]				33	(33)
Balance at 31 December 2022	**1,100**	**500**	**459**	**1,184**	**410**

W1: Share issue		Rs. m
Share Capital	[80m+8m] shares x 1/4 x Rs. 10	220
Share premium	[80m+8m] shares x 1/4 x Rs. 10	220
Transaction costs	[80m+8m] shares x 1/4 x Rs. 0.5	11

W2: Revaluation on 31 Dec 2021		Rs. m
Revaluation gain	[Rs. 400m fair value - 350m carrying amount]	50
Loss to be reversed in PL		
Loss recognised in 2019		24
Depreciation decrease 2020 & 2021	[Rs. 24m / 12 years x 2 years]	(4)
		20
Gain in OCI		30

W3: Effect of correction on 2022		Rs. m
Extra depreciation expense in PL	[Rs. 50m increase / 10 years]	5
Extra transfer of incremental dep.	[Rs. 30m increase / 10 years]	3

Example 19:

The retained earnings column, extracted from the draft statement of changes in equity of Puffer Limited (PL) for the year ended 31 December 2022, is as follows:

	Rs. in million
Balance as at 31 December 2020	**928**
Final cash dividend @ 10% for the year 2020	(114)
Profit for the year 2021	258
Balance as at 31 December 2021	**1,072**
Profit for the year 2022	328
Balance as at 31 December 2022	**1,400**

The following changes have not been incorporated into the draft financial statements of PL:

viii. PL has decided to change the method for valuation of inventory from 'first-in, first-out' (FIFO) to the weighted average. The value of inventory under each method has been determined as follows:

	FIFO	Weighted average
	------- Rs. in million -------	
As at 31 December 2020	438	460
As at 31 December 2021	560	520
As at 31 December 2022	601	618

ix. In view of increasing bad debts, PL has decided to double the provision for doubtful receivables. The balance of provision for doubtful receivables prior to this change were as follows:

	Rs. in million
As at 31 December 2020	15
As at 31 December 2021	19
As at 31 December 2022	23

x. PL has also decided to recognise all borrowing costs incurred in a year as an expense. Previously, borrowing costs related to qualifying assets were capitalised as part of the cost of that asset. Total borrowing costs incurred during the years 2022 and 2021 amounted to Rs. 87 million and Rs. 95 million, respectively. Of these, Rs. 53 million and Rs. 38 million were capitalised in the cost of head office building in 2022 and 2021, respectively. The construction of the building is expected to complete in 2023.

Required:

a) Briefly discuss how the above changes should be incorporated in PL's financial statements.

b) Prepare the retained earnings column as would appear in PL's statement of changes in equity for the year ended 31 December 2022, in accordance with IFRSs.

▶ *Answer:*

a) Part (a)

i. This is a change in accounting policy, which will be applied retrospectively.

ii. This is a change in accounting estimate, which will be applied prospectively.

iii. IAS 23 requires to capitalise all related borrowing costs incurred on qualifying asset. PL cannot change this accounting policy so no effect on financial statements.

b) Part (b)

Puffer Limited

Statement of changes in equity

For the year ended 31 December 2022

		Retained earnings
		Rs. in million
Balance as at 31 December 2020		**928**
Effect of change in accounting policy	(W-1)	22
Balance as at 31 December 2020 (Restated)		**950**
Final cash dividend @ 10% for the year 2020		(114)
Profit for the year 2021(Restated)	258–62(W-1)	196
Balance as at 31 December 2021(Restated)		**1,032**
Profit for the year 2022	328–23+57(W-1)	362
Balance as at 31 December 2022		**1,394**

W-1: Effect on profit (change in policy)

	2020	2021	2022
	---------- Rs. in million ----------		
Increase/(decrease) in closing inventory	22	(40)	17
(Increase)/decrease in opening inventory	-	(22)	40
	22	(62)	57

Example 20:

Financial statements of Bard Limited (BL) for the year ended 31 December 2023 are under preparation. During the review of the draft financial statements of BL, the following matters have been identified:

i. Statement of changes in equity was not prepared in the draft financial statements. In this respect, the following details have been gathered:

- Share capital and reserves as at 1 January:

	2022	2021
	---- Rs. in million ----	
Ordinary share capital (Rs. 10 each)	2,400	2,400
Share premium	563	563
Retained earnings	1,345	1,153

- BL's profit for the year 2023 (draft), 2022 and 2021 were Rs. 575 million, Rs. 477 million and Rs. 321 million respectively.
- Final dividend for the year ended 31 December 2021 comprised of 15% cash dividend and 10% bonus shares. The bonus issue was made from share premium, and the shares were issued in April 2022 after payment of cash dividend.
- A bonus issue of 25% was made in July 2023 as interim dividend.
- 40 million right shares were issued in October 2023 at Rs. 18 per share. Transaction costs of Rs. 3 million were also incurred.

ii. On 1 January 2020, BL had received a government grant of Rs. 600 million to acquire a manufacturing plant. However, the grant was treated as income on receipt.

The manufacturing plant was acquired at a total cost of Rs. 1,000 million on 1 January 2020. It was estimated to have a useful life of 8 years and residual value of Rs. 100 million.

iii. BL had decided to adopt the revaluation model from 1 January 2023 for subsequent measurement of land and buildings included in property, plant and equipment. However, this change has not been accounted for in the draft financial statements.

The following information pertains to BL's property, plant and equipment:

Assets	WDV as on 1 January 2023	Revalued amounts as on 1 January 2023	Remaining useful life as on 1 January 2023
	-------- Rs. in million ----		Years
Land	1,000	1,250	-
Office building	750	1,200	9
Factory building	1,000	550	5

On 1 November 2023, BL sold 40% of its land.

Depreciation on buildings has been recorded using straight line method. BL transfers the maximum possible revaluation surplus to retained earnings.

Required:

Prepare BL's statement of changes in equity along with comparative figures for the year ended 31 December 2023. (The column of total is not required)

Answer:

Bard Limited Statement of changes in equity For the year ended 31 December 2023	Share Capital	Share premium	Retained earnings	Revaluation surplus
	Rs. M			
Balance at 1 January 2022	**2,400**	**563**	**1,345**	**0**
Effect of correction of error (W1)			(450)	
Balance at 1 January 2022 - Restated	2,400	563	895	0
Final cash dividend 2021 @15% x 2,400			(360)	
Final bonus issue 2021 @10% x 2,400	240	(240)		
Profit 2022 (restated) [477 + 75 W1]			552	
Balance at 31 December 2022 (restated)	**2,640**	**323**	**1,087**	**0**
Interim bonus dividend 2023 @25% x 2,640	660		(660)	
Issue of right shares [40m x Rs. 10 & Rs. 8]	400	320		
Transaction costs		(3)		
Total comprehensive income				
Profit W3			140	
Other comprehensive income W2				700
Transfer of incremental dep. [450 / 9 years] W3			50	(50)
Transfer on disposal [250 x 40%] W3			100	(100)
Balance at 31 December 2023	3,700	640	717	550

W1: Correction of government grant	2023	2022	2021	2020
	Rs. M			
Reversal of grant income in 2020				(600)
Transfer of grant to PL [600 / 8 years]	75	75	75	75
Period wise effect on PL	**75**	**75**	**75**	**(525)**
Cumulative effect			**(450)**	**(525)**

W2: Revaluation	Land	Office building	Factory building	Total
	Rs. M			
Fair value	1,250	1,200	550	
Carrying amount	(1,000)	(750)	(1,000)	
Revaluation surplus (OCI)	**250**	**450**		**700**
Revaluation loss (PL)			**(450)**	**(450)**

W3: Profit for 2023		Rs. M
Profit as per draft FS		575
Transfer of government grant to PL	W1	75
Revaluation loss on factory building	W2	(450)
Increase in depreciation expense (office building)	[Rs. 450m W2 / 9 years]	(50)
Decrease in depreciation expense (factory building)	[Rs. 450m W2 / 5 years]	90
Correction of gain on land disposal (due to revaluation)	[Rs. 250m x 40%]	(100)
		140

1. OBJECTIVE BASED Q&A

1. Which TWO of the following situations would not require a prior year adjustment as per IAS 8 Accounting Policies, Changes in Accounting Estimates and Errors?
   a) In last year's financial statements, inventories were understated by a material amount due to system error
   b) A company has changed its allowance for irrecoverable receivables from 10% of outstanding debt to everything over 120 days old
   c) A new accounting standard has been issued that requires a company to change its accounting policy but gives no guidance on the specific application of the change itself
   d) A company has decided to move from charging depreciation on the straight-line basis to the reducing balance basis

2. In accordance with IAS 8 Accounting Policies, Changes in Accounting Estimates and Errors how is a change in accounting estimate accounted for?
   a) By changing the current year figures but not the previous years' figures
   b) By changing the current year figures and the previous years' figures
   c) No alteration of any figures but disclosure in the notes
   d) Neither alteration of any figures nor disclosure in the notes

3. According to IAS 8 Accounting Policies, Changes in Accounting Estimates and Errors, how should a material error in the previous financial reporting period be accounted for in the current period?
   a) By making an adjustment in the financial statements of the current period through the statement of profit or loss and disclosing the nature of the error in a note
   b) By making an adjustment in the financial statements of the current period as a movement on reserves and disclosing the nature of the error in a note
   c) By restating the comparative amounts for the previous period at their correct value and disclosing the nature of the error in a note
   d) By restating the comparative amounts for the previous period at their correct value, but without the requirement for a disclosure of the nature of the error in a note

4. Which of these changes would be classified as 'a change in accounting policy' as determined by IAS 8 Accounting Policies, Changes in Accounting Estimates and Errors?
   a) Increased the allowance for irrecoverable receivables from 5% to 10% of outstanding debts
   b) Changed the method of valuing inventory from FIFO to average cost
   c) Changed the depreciation of plant and equipment from straight line depreciation to reducing balance depreciation
   d) Changed the useful life of motor vehicles from six years to four years

5. In which TWO of the following situations can a change in accounting policy be made by an entity?
   a) If the change is required by an IFRS
   b) If the entity thinks that a new accounting policy would be easier to report
   c) If a new accounting policy would show more favourable results
   d) If a new accounting policy results in more reliable and relevant presentation of events or transactions

6. Which one of the following would be treated under IAS 8 Accounting policies, changes in accounting estimates and errors as a change of accounting policy?
   a) A change in valuation of inventory from a weighted average to a FIFO basis
   b) A change of depreciation method from straight line to reducing balance
   c) Adoption of the revaluation model for non-current assets previously held at cost
   d) Capitalisation of borrowing costs which have arisen for the first time

7. Which of the following would be a change in accounting policy in accordance with IAS 8 Accounting policies, changes in accounting estimates and errors?

   a) Adjusting the residual value amount based on latest information received
   b) A change in reporting depreciation charges as cost of sales rather than as administrative expenses
   c) Depreciation charged on reducing balance method rather than straight line
   d) Reducing the value of inventory from cost to net realisable value

8. Which of the following items is a change of accounting policy under IAS 8 Accounting policies, changes in accounting estimates and errors?

   a) Classifying commission earned as revenue in the statement of profit or loss, having previously classified it as other operating income
   b) Switching to hiring plants on leases from a previous policy of purchasing plants for cash
   c) Reversal of write down to NRV of inventory after sales prices increased significantly this year
   d) Revising the remaining useful life of a depreciable asset

9. The directors of Tom Limited are disappointed by the draft profit for the year ended 30 September 2013. The company's assistant accountant, Jerry, has suggested following:

   A major item of plant that cost Rs. 20 million to purchase and install on 1 October 2010 is being depreciated on a straight-line basis over a five-year period. On 1 October 2012, the production manager believed that the plant was likely to last eight years in total (i.e. from the date of its purchase).

   Jerry believes that as the useful life estimate has increased, the previous years' depreciation was overstated, and it depreciation expense should be reversed in current year leading to increased profit.

   What is the nature of the change being proposed by Jerry and how should it be applied?

   a) Change of accounting policy: Retrospective application
   b) Change of accounting policy: Prospective application
   c) Change of accounting estimate: Retrospective application
   d) Change of accounting estimate: Prospective application

10. If it is impractical to make a retrospective application to a period:

    a) Make the change only to the current period
    b) Apply the change to the earliest period that is practical
    c) Do not make the change at all
    d) Make the change in next year

11. Which TWO of the following would be treated as a change of accounting policy?

    a) Entity has received its first government grant and is applying the deferred income method
    b) Entity has revalued its properties. Up to now they had all been carried at historical cost
    c) Entity has reclassified certain expense from other operating expenses to cost of sales
    d) Entity has increased its irrecoverable debt allowance from 10% to 12%

12. Correcting the recognition, measurement and disclosure of amounts in financial statements as if a prior-period error had never occurred. This is:

    a) Retrospective restatement
    b) Retrospective application
    c) Change in accounting estimate
    d) Prospective restatement

13. Specific principles, bases conventions, rules and practices applied by an entity in presenting financial statements. This defines:

    a) Accounting estimates
    b) Accounting policies
    c) Prospective application
    d) Accounting method

14. Adjustment of the carrying amount of an asset or a liability or the consumption of an asset as a result of change in assessment. This defines:

    a) A change in accounting estimate
    b) Accounting policies
    c) Misstatements
    d) Correction of error

15. Applying a new policy to transactions as if that policy had always been applied. This is:

    a) Retrospective restatement
    b) Retrospective application
    c) Change in accounting estimate
    d) Prospective application

16. The directors of Tom Limited are disappointed by the draft profit for the year ended 30 September 2013. The company's assistant accountant, Jerry, has suggested following:

    A major item of plant that cost Rs. 20 million to purchase and install on 1 October 2010 is being depreciated on a straight-line basis over a five-year period. On 1 October 2012, the production manager believed that the plant was likely to last eight years in total (i.e. from the date of its purchase).

    Jerry believes that as the useful life estimate has increased, the previous years' depreciation was overstated, and it depreciation expense should be reversed in current year leading to increased profit.

    Adjusting for the change of useful life correctly, what will be the carrying amount of the plant at 30 September 2013?

    a) Rs. 20 million
    b) Rs. 16 million
    c) Rs. 12 million
    d) Rs. 10 million

17. Imad Textile Limited (ITL) purchased a plant on January 01, 2011 for Rs. 1,120,000. At this date the useful life of the asset was estimated at 10 years after which it can be sold for Rs. 120,000. However, during 2013 ITL estimates the remaining useful life of this plant as 6 years and expects to fetch residual value of Rs. 170,000. ITL uses straight line method for depreciating such plants.

    Calculate the amount of depreciation for the year ended on 31 December 2018.

    a) Rs. 170,000
    b) Rs. 125,000
    c) Rs. 120,000
    d) Rs. 100,000

18. A company is preparing its financial statements for the year ended 31 December 2019 and discovered that in previous years following amounts were incorrectly capitalised in an intangible asset with indefinite useful life.

Year	Rs. m
2018	5
2017	4
2016	4
2015	3

What amount should be deducted from retained earnings in statement of changes in equity on 1 January 2018 for correction of above error?

a) Rs. 16 million
b) Rs. 11 million
c) Rs. 7.7 million
d) Rs. 13 million

19. A company is preparing its financial statements for the year ended 31 December 2019 and discovered that in previous years following amounts were incorrectly capitalised in an intangible asset with indefinite useful life.

Year	Rs. M
2018	5
2017	4
2016	4
2015	3

Calculate the effect on profit for the year ended 31 December 2018 correction of above error.

a) Rs. 5 million
b) Rs. 3.5 million
c) Rs. 9 million
d) Rs. 6.3 million

20. Most of entity's competitors value their inventory using the average cost (AVCO) basis, whereas the entity uses the first in first out (FIFO) basis.

The value of inventory at 30 September 2013 (on the FIFO basis) is Rs. 20 million, however on the AVCO basis it would be valued at Rs. 18 million. By adopting the same method (AVCO) as its competitors. The inventory at 30 September 2012 was reported as Rs. 15 million, however on the AVCO basis it would have been reported as Rs. 13.4 million.

What will be the effect of the change on profits for the year ended 30 September 2013?

a) Increase by Rs. 1.6 million
b) Increase by Rs. 0.4 million
c) Decrease by Rs. 1.6 million
d) Decrease by Rs. 0.4 million

21. Disclosure requirements of IAS 8 in respect of change in accounting policy are NOT applicable in case of:

    a) change in method for inventory valuation from FIFO to weighted average
    b) initial adoption of revaluation model for property, plant and equipment
    c) change in revenue recognition policy
    d) none of the above

22. Which of the following changes would be considered as change in accounting policy?

    i. Changing the subsequent measurement model for property, plant and equipment from cost model to revaluation model.
    ii. Changing the inventory valuation method from FIFO to Weighted average.

    a) Only (I) is change in accounting policy
    b) Only (II) is change in accounting policy
    c) Both are change in accounting policy
    d) None is change in accounting policy

23. Which TWO of the following situations would require prior year adjustment as per IAS 8?

    a) Changing the depreciation method from straight line basis to the reducing balance basis in respect of a building held for the last 10 years.
    b) Changing the measurement model for Investment property from cost model to fair value model
    c) Incorporating the effects of a material understatement found in last year closing inventories due to incorrect formula in excel sheet
    d) Adopting the requirements of IAS 20 for a government grant received by an entity for the first time

24. If it is impractical to apply a change in accounting policy retrospectively, then:

    a) apply the change prospectively
    b) apply the change to the earliest period that is practically possible
    c) such a change is not allowed
    d) defer the change until the retrospective application becomes possible

25. Which of the following is NOT a source for selecting and applying accounting policies under IAS 8 when no standard specifically applies?

    a) The most recent pronouncements of other standard-setting bodies
    b) Published accounting literature
    c) Practices that are widely recognised and prevalent in the industry
    d) Internal financial reporting guidelines developed by the entity

ANSWERS

01.	(b) & (d)	A change in the calculation of the allowance for irrecoverable receivables, and a change in the depreciation method, are changes in accounting estimate so therefore require prospective adjustment only.
02.	(a)	Change in accounting estimates results in alteration of figures but not retrospectively. The change is made prospectively.
03.	(c)	The prior period error is corrected by restating the comparative amounts for the previous period at their correct value. A note to the accounts should disclose the nature of the error, together with other details.
04.	(b)	A change in the method of inventory valuation would be classed as a change in accounting policy under IAS 8. The allowance for receivables, useful life and depreciation method are all accounting estimates.
05.	(a) & (d)	A change in accounting policy may be made firstly if this is required by an IFRS Standard. If there is no requirement, an entity can choose to change their accounting policy if they believe a new accounting policy would result in a more reliable and relevant presentation of events and transactions. Entities cannot change their accounting policies simply to make financial reporting easier, or to try and show a more favourable picture of results.
06.	(a)	A change of depreciation method is treated as a change of accounting estimate. Adoption of the revaluation method is dealt with under IAS 16. Application of a new accounting policy (such as capitalisation of borrowing costs) for transactions that did not previously occur is not a change in accounting policy according to IAS 8.
07.	(b)	This is a chsange in presentation which will affect calculation of gross profit and will be retrospectively adjusted when presenting comparatives. (a) and (d) are simply adjustments made during preparation of the financial statements, (c) is a change of accounting estimate.
08.	(a)	This is a change in presentation so qualifies as a change in accounting policy.
09.	(d)	This is a change of accounting estimate so does not need to be retrospectively applied.
10.	(b)	In this situation, change is applied to the earliest period possible.
11.	(b) & (c)	This is change in measurement basis, so it is a change in accounting policy. This is a change in presentation, so it is a change of accounting policy.
12.	(a)	Correction of error in previous period is called retrospective restatement.
13.	(b)	Accounting policies are the specific principles, bases, conventions, rules and practices applied by an entity in preparing and presenting financial statements.
14.	(a)	Change in assessment is change in estimate.
15.	(b)	Retrospective application is applying a policy as if it had always been applied.
16.	(d)	

	Rs. m
Original cost 1 October 2010	20
Two years depreciation ((20/5) × 2)	(8)
Carrying amount at 1 October 2012	12
Depreciation to 30 September 2013 (12 / 6)	(2)
Carrying amount at 30 September 2013	**10**

17. (b)

Per year depreciation	Rs.
Year 2011 (Rs. 1,120,000 – 120,000) / 10 years	100,000
Year 2012	100,000
Year 2013 ((Rs. 920,000 – 170,000) / 6 years	125,000

18. (b) Adjustment in opening balance of retained earnings
Rs. 4m + 4m + 3m = Rs. 11

19. (a) Effect on profit for the year ended 31 December 2018 Rs. 5m

20. (d)

	FIFO	*AVCO*	*Profit*
	Rs. m	Rs. m	Rs. m
Year to 30 September 2012	15	13.4	(1.6)
B/f 1 October 2012			1.6
Year to 30 September 2013	20	18	(2.0)
At 30 September 2013			**(0.4)**

The net effect at 30 September 2013 of this will be to reduce current year profits by Rs. 400,000.

21. (b) Initial adoption of revaluation model for property, plant and equipment.

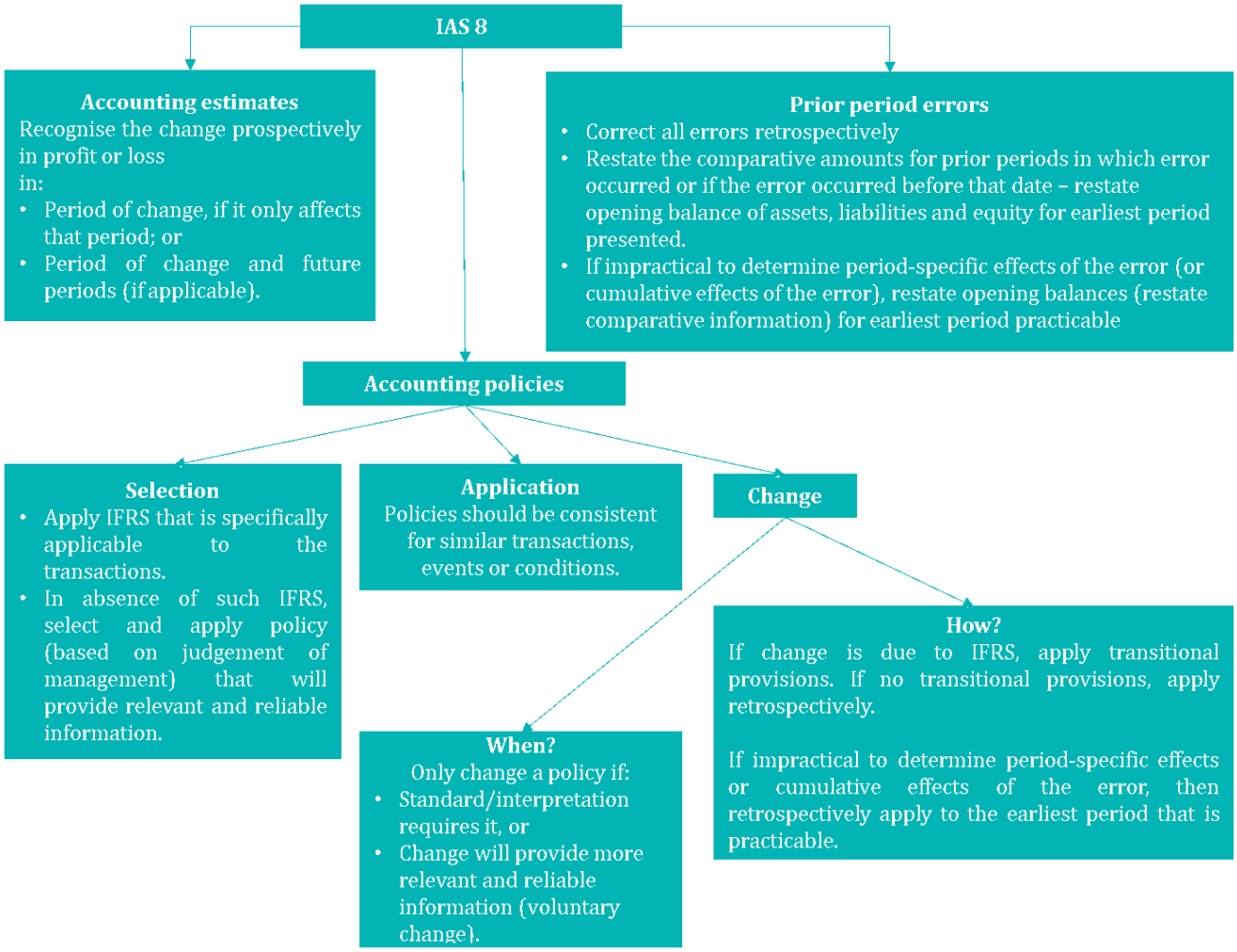
22. (c) Both are change in accounting policy

23. (b) & (c) Option a) is change in accounting estimate and option d) is application of new accounting policy rather than change in accounting policy.

24. (b) apply the change to the earliest period that is practically possible

25. (d) Internal financial reporting guidelines developed by the entity

STICKY NOTES



CHAPTER 11

IAS 1 PRESENTATION OF FINANCIAL STATEMENTS

IN THIS CHAPTER:

AT A GLANCE

SPOTLIGHT

1. Introduction
2. General features
3. Statement of financial position
4. Statement of comprehensive income
5. Statement of changes in equity
6. Notes to the financial statements
7. Comprehensive Examples
8. Objective Based Q&A

STICKY NOTES

AT A GLANCE

IAS 1 provides guidance on overall requirements for financial statements, including:

- General features of financial statements such as fair presentation, compliance with IFRS, going concern, accrual basis of accounting, materiality and aggregation, offsetting, frequency of reporting, comparative information and consistency of presentation;
- Structure of financial statements;
- Minimum requirements for their content; and
- the current/non-current distinction.

According to IAS 1, a complete set of financial statements comprises:

- a statement of financial position as at the end of the period;
- a statement of profit or loss and other comprehensive income for the period;
- a statement of changes in equity for the period;
- a statement of cash flows for the period;
- notes, comprising significant accounting policies and other explanatory information.

The standard lists the minimum content to be presented in each of the above-mentioned financial statements and the content that is either presented in the statement or in the notes, except for the statement of cash flows (IAS 7 applies).

IAS 1 requires that the notes shall contain a statement of compliance with IFRSs, summary of significant accounting policies, disaggregation for the amounts presented in the financial statements and other disclosures.

1 INTRODUCTION

1.1 Key definitions [IAS 1: 7]

"General purpose financial statements" (referred to as 'financial statements') are those intended to meet the needs of users who are not in a position to require an entity to prepare reports tailored to their particular information needs.

"International Financial Reporting Standards (IFRSs)" are Standards and Interpretations issued by the International Accounting Standards Board (IASB). They comprise:

a) International Financial Reporting Standards;

b) International Accounting Standards;

c) IFRIC Interpretations; and

d) SIC Interpretations.

Information is **"material"** if omitting, misstating or obscuring it could reasonably be expected to influence decisions that the primary users of general purpose financial statements make on the basis of those financial statements, which provide financial information about a specific reporting entity.

1.2 Purpose of financial statements [IAS 1: 9]

Financial statements are a structured representation of the financial position and financial performance of an entity.

The objective of financial statements is to provide information about the financial position, financial performance and cash flows of an entity that is useful to a wide range of users in making economic decisions. Financial statements also show the results of the management's stewardship of the resources entrusted to it. To meet this objective, financial statements provide information about an entity's:

a) assets;

b) liabilities;

c) equity;

d) income and expenses, including gains and losses;

e) contributions by and distributions to owners in their capacity as owners; and

f) cash flows.

This information, along with other information in the notes, assists users of financial statements in predicting the entity's future cash flows and, in particular, their timing and certainty.

1.3 Complete set of financial statements [IAS 1: 10 & 11]

A complete set of financial statements comprises:

a) a statement of financial position as at the end of the period;

b) a statement of profit or loss and other comprehensive income for the period;

c) a statement of changes in equity for the period;

d) a statement of cash flows for the period;

e) notes, comprising significant accounting policies and other explanatory information;

An entity may use titles for the statements other than those used in IAS 1. For example, an entity may use the title 'statement of comprehensive income' instead of 'statement of profit or loss and other comprehensive income'.

An entity shall present with equal prominence all of the financial statements in a complete set of financial statements.

1.4 Comparative information [IAS 1: 10, 38, 38A & 40A]

Comparative information in respect of the preceding period is also required. An entity shall include comparative information for narrative and descriptive information if it is relevant to understanding the current period's financial statements.

An entity shall present, as a minimum, two statements of financial position, two statements of profit or loss and other comprehensive income, two separate statements of profit or loss (if presented), two statements of cash flows and two statements of changes in equity, and related notes.

An additional (third) statement of financial position as at the beginning of the preceding period is also required when an entity:

a) applies an accounting policy retrospectively (IAS 8); or

b) makes a retrospective restatement of items in its financial statements (IAS 8); or

c) reclassifies items in its financial statements (IAS 1).

1.5 Identification of the financial statements [IAS 1: 49 to 51]

An entity shall clearly identify the financial statements and distinguish them from other information in the same published document.

IFRSs apply only to financial statements, and not necessarily to other information presented in an annual report, a regulatory filing, or another document. Therefore, it is important that users can distinguish information that is prepared using IFRSs from other information that may be useful to users but is not the subject of those requirements.

An entity shall clearly identify each financial statement and the notes. In addition, an entity shall display the following information prominently, and repeat it when necessary for the information presented to be understandable:

a) the name of the reporting entity or other means of identification, and any change in that information from the end of the preceding reporting period;

b) whether the financial statements are of an individual entity or a group of entities;

c) the date of the end of the reporting period or the period covered by the set of financial statements or notes;

d) the presentation currency, as defined in IAS 21; and

e) the level of rounding used in presenting amounts in the financial statements.

2 GENERAL FEATURES

2.1 Fair presentation [IAS 1: 15 & 18]

Financial statements must present fairly the financial position, financial performance and cash flows of an entity. Fair presentation requires the faithful representation of the effects of transactions, other events and conditions in accordance with the definitions and recognition criteria for assets, liabilities, income and expenses set out in the Conceptual Framework.

The application of IFRSs, with additional disclosure when necessary, is presumed to result in financial statements that achieve a fair presentation.

An entity cannot rectify inappropriate accounting policies either by disclosure of the accounting policies used or by notes or explanatory material.

2.2 Compliance with IFRSs [IAS 1: 16]

An entity whose financial statements comply with IFRSs shall make an explicit and unreserved statement of such compliance in the notes. An entity shall not describe financial statements as complying with IFRSs unless they comply with all the requirements of IFRSs.

2.3 Departure from IFRSs [IAS 1: 19, 20 & 23]

In the extremely rare circumstances, management might conclude that compliance with a requirement in an IFRS would be so misleading that it would conflict with the objective of financial statements set out in the Conceptual Framework.

The entity shall depart from that requirement if the relevant regulatory framework requires, or otherwise does not prohibit, such a departure and the entity shall disclose:

a) that management has concluded that the financial statements present fairly the entity's financial position, financial performance and cash flows;

b) that it has complied with applicable IFRSs, except that it has departed from a particular requirement to achieve a fair presentation;

c) the title of the IFRS from which the entity has departed, the nature of the departure, including the treatment that the IFRS would require, the reason why that treatment would be so misleading in the circumstances that it would conflict with the objective of financial statements set out in the Conceptual Framework, and the treatment adopted; and

d) for each period presented, the financial effect of the departure on each item in the financial statements that would have been reported in complying with the requirement.

If the relevant regulatory framework prohibits departure from the requirement, the entity shall, to the maximum extent possible, reduce the perceived misleading aspects of compliance by disclosing:

a) the title of the IFRS in question, the nature of the requirement, and the reason why management has concluded that complying with that requirement is so misleading in the circumstances that it conflicts with the objective of financial statements set out in the Conceptual Framework; and

b) for each period presented, the adjustments to each item in the financial statements that management has concluded would be necessary to achieve a fair presentation.

2.4 Going concern [IAS 1: 25 & 26]

When preparing financial statements, management shall make an assessment of an entity's ability to continue as a going concern. An entity shall prepare financial statements on a going concern basis unless management either:

- intends to liquidate the entity or to cease trading; or
- has no realistic alternative but to do so.

In assessing whether the going concern assumption is appropriate, management takes into account all available information about the future, which is at least, but is not limited to, twelve months from the end of the reporting period.

Management's assessment	Impact
Entity is going concern	Prepare the financial statements on going concern basis.
Entity is going concern but there is significant doubt upon the entity's ability to continue as a going concern.	Prepare the financial statements on going concern basis. Disclose the uncertainties causing such significant doubt.
Entity is not a going concern.	Prepare the financial statements on alternative basis (e.g. liquidation accounting). Disclose: The fact that entity is not a going concern. The basis on which financial statements have been prepared. The reason why the entity is not regarded as going concern.

2.5 Other issues [IAS 1: 27, 29, 30 & 32]

Accrual basis	An entity shall prepare its financial statements, except for cash flow information, using the accrual basis of accounting.
Separate presentation due to materiality	An entity shall present separately each material class of similar items. An entity shall present separately items of a dissimilar nature or function unless they are immaterial.
Aggregation	If a line item is not individually material, it is aggregated with other items either in those statements or in the notes. An item that is not sufficiently material to warrant separate presentation in those statements may warrant separate presentation in the notes.
Offsetting	An entity shall not offset assets and liabilities or income and expenses, unless required or permitted by an IFRS.

The following table summarises examples on offsetting:

Offsetting of:	IFRSs	Example
Income and expenses	Required	IFRS 15 requires revenue (income) to be reflected net of the discount or rebate (expense).
	Permitted	Gain or loss on disposal of non-current assets may be presented on net basis reflecting the substance of transaction.
	Not permitted	Revenue from sale of inventory and related cost of sales must be presented separately.
Assets and liabilities	Permitted	Grant related to assets may be presented either separately or may be deducted from carrying amount of the related asset.
	Not permitted	Income tax payable to FBR and sales tax refundable from FBR cannot be offset as tax legislation does not allow payment of these on net basis and presentation on net basis would not reflect the substance of the transactions.

2.6 Frequency of reporting [IAS 1: 36 & 37]

An entity shall present a complete set of financial statements (including comparative information) at least annually. When an entity changes the end of its reporting period and presents financial statements for a period longer or shorter than one year, an entity shall disclose, in addition to the period covered by the financial statements:

a) the reason for using a longer or shorter period, and

b) the fact that amounts presented in the financial statements are not entirely comparable.

Normally, an entity consistently prepares financial statements for a one-year period. However, for practical reasons, some entities prefer to report, for example, for a 52-week period and such practice is not prohibited under IAS 1.

3 STATEMENT OF FINANCIAL POSITION

3.1 Presented in the statement [IAS 1: 54 & 55]

The statement of financial position shall include line items that present the following amounts:

a) property, plant and equipment (IAS 16);
b) investment property (IAS 40);
c) intangible assets (IAS 38);
d) financial assets excluding amounts shown under (e), (h) and (i) (IFRS 9);
e) investments accounted for using the equity method (IAS 28);
f) biological assets (IAS 41);
g) inventories (IAS 2);
h) trade and other receivables (IFRS 15/IFRS 9);
i) cash and cash equivalents (IFRS 9);
j) trade and other payables (IFRS 15/IFRS 9);
k) provisions (IAS 37);
l) financial liabilities excluding amounts shown under (j) and (k) (IFRS 9);
m) liabilities and assets for current tax (IAS 12);
n) deferred tax liabilities and deferred tax assets (IAS 12);
o) issued capital and reserves attributable to owners.

Note: Some of above items will be covered at a later stage of your studies.

An entity shall present additional line items (including by disaggregating the line items listed above), headings and subtotals in the statement of financial position when such presentation is relevant to an understanding of the entity's financial position.

3.2 Presented either in the statement or in the notes [IAS 1: 77 & 78]

An entity shall disclose, either in the statement of financial position or in the notes, further subclassifications of the line items presented, classified in a manner appropriate to the entity's operations.

The detail provided in subclassifications depends on the requirements of IFRSs and on the size, nature and function of the amounts involved. The disclosures vary for each item, for example:

a) items of property, plant and equipment are disaggregated into classes in accordance with IAS 16;
b) receivables are disaggregated into amounts receivable from trade customers, receivables from related parties, prepayments and other amounts;
c) inventories are disaggregated, in accordance with IAS 2 Inventories, into classifications such as merchandise, production supplies, materials, work in progress and finished goods;
d) provisions are disaggregated into provisions for employee benefits and other items; and
e) equity capital and reserves are disaggregated into various classes, such as paid-in capital, share premium and reserves.

3.3 Current/non-current distinction [IAS 1: 60 & 61]

An entity shall present current and non-current assets, and current and non-current liabilities, as separate classifications in its statement of financial position except when a presentation based on liquidity provides information that is reliable and more relevant. When that exception applies, an entity shall present all assets and liabilities in order of liquidity.

Whichever method of presentation is adopted, an entity shall disclose the amount expected to be recovered or settled after more than twelve months for each asset and liability line item that combines amounts expected to be recovered or settled:

a) no more than twelve months after the reporting period, and

b) more than twelve months after the reporting period.

3.3.1 Assets [IAS 1: 56 & 66]

An entity shall classify an asset as current when:

a) it expects to realise the asset, or intends to sell or consume it, in its normal operating cycle;

b) it holds the asset primarily for the purpose of trading;

c) it expects to realise the asset within twelve months after the reporting period; or

d) the asset is cash or a cash equivalent (as defined in IAS 7) unless the asset is restricted from being exchanged or used to settle a liability for at least twelve months after the reporting period.

An entity shall classify all other assets as non-current.

▶ *Example 01:*

X Limited uses small amounts of platinum in its production process. It has the following two assets at its financial year ended 31 December 20X4.

Inventory: this is slow-moving and is expected to be sold during 20X6;

Fixed deposit: this matures on 30 June 20X6.

Required:

Explain whether these assets are current or non-current at year-end.

▶ *ANSWER:*

Both assets are expected to be realised in 20X6 which is well after the 12 months period from reporting date of 31 December 20X4:

a) However, the inventory would be classified as current because inventory forms part of the operating cycle and thus it meets one of the criteria to be classified as current.

b) The fixed deposit is cash but since it only matures in 20X6, it is restricted from being used within the 12 month after the reporting date. It is not expected to be realised within 12 months of reporting date, it is not held mainly for the purpose of being traded and it is not held within the normal operating cycle. Thus the fixed deposit fails to meet any of the four criteria to be classified as current and must thus be classified as non-current.

An entity shall not classify deferred tax assets (liabilities) as current assets (liabilities).

3.3.2 Liabilities [IAS 1: 69, 72 & 76]

An entity shall classify a liability as current when:

a) it expects to settle the liability in its normal operating cycle;

b) it holds the liability primarily for the purpose of trading;

c) the liability is due to be settled within twelve months after the reporting period; or

d) it does not have an unconditional right to defer settlement of the liability for at least twelve months after the reporting period. Terms of a liability that could, at the option of the counterparty, result in its settlement by the issue of equity instruments do not affect its classification.

An entity shall classify all other liabilities as non-current.

▶ *Example 02:*

A company has a financial year end of 31 December. On 31 October Year 1, it took out a bank loan of Rs. 50 million. The loan principal is repayable as follows:

- Rs. 20 million on 31 October Year 3
- Rs. 30 million on 31 October Year 4

Required:

Briefly state the classification of above loan as current and non-current (with amounts) from 31 December Year 1 to 3.

▶ *ANSWER:*

As at 31 December Year 1

The full bank loan of Rs. 50 million will be a non-current liability

As at 31 December Year 2

A current liability of Rs. 20 million repayable on 31 October Year 3 and a non-current liability of Rs. 30 million repayable on 31 October Year 4.

As at 31 December Year 3

Current liability of Rs. 30 million

An entity classifies its financial liabilities as current when they are due to be settled within twelve months after the reporting period, even if:

a) the original term was for a period longer than twelve months, and

b) an agreement to refinance, or to reschedule payments, on a long-term basis is completed after the reporting period and before the financial statements are authorised for issue.

In respect of loans classified as current liabilities, the following events after the year-end would not affect the classification of liabilities:

a) refinancing on a long-term basis;

b) rectification of a breach of a long-term loan arrangement; and

c) the granting by the lender of a period of grace to rectify a breach of a long-term loan arrangement ending at least twelve months after the reporting period.

3.4 Share capital [IAS 1: 79]

An entity shall disclose the following, either in the statement of financial position or the statement of changes in equity, or in the notes:

a) for each class of share capital:

   i. the number of shares authorised;

   ii. the number of shares issued and fully paid, and issued but not fully paid;

   iii. par value per share, or that the shares have no par value;

   iv. a reconciliation of the number of shares outstanding at the beginning and at the end of the period;

   v. the rights, preferences and restrictions attaching to that class including restrictions on the distribution of dividends and the repayment of capital;

   vi. shares in the entity held by the entity or by its subsidiaries or associates; and

   vii. shares reserved for issue under options and contracts for the sale of shares, including terms and amounts; and

b) a description of the nature and purpose of each reserve within equity.

3.5 Format

IAS 1 does not specify a format for a statement of financial position that must be used. However, the implementation guidance includes an illustrative statement of financial position. The illustration below is based on that illustrative statement of financial position.

Statement of financial position of ABCD Entity (an individual entity)

As at 31 December 20XX	
Non-current assets	**Rs. million**
Property, plant and equipment	205
Investment property	10
Intangible assets	7
Investments / financial assets	6
	228
Current assets	
Inventories	18
Trade and other receivables	16
Other current assets	3
Cash and cash equivalents	4
	41
	269
Equity	
Share capital	50
Other components of equity	32
Retained earnings	61
	143
Non-current liabilities	
Long term borrowings / financial liabilities	30
Deferred tax liability	8
Long term provisions	27
	65
Current liabilities	
Trade and other payables	13
Short term borrowings / bank overdraft	20
Current portion of long term borrowings	10
Current tax payable	11
Short term provisions	7
	61
	269

▶ *Example 03:*

The following information has been extracted from the draft financial statements of Shaheen Limited (SL) for the year ended 31 December 2014:

Statement of Financial Position as at 31 December 2014

Equity and Liabilities	Rs. million	Assets	Rs. million
Share capital (Rs. 100 each)	1,200	Property, plant and equipment	1,876
Retained earnings	618	Patents	28
Trade payables	645	Trade receivables (net)	630
Accruals	395	Inventory	503
Tax payable	215	Prepayments & other receivables	23
		Cash and bank balances	13
	3,073		3,073

Additional information:

i. Closing inventory includes damaged goods costing Rs. 3 million which can be sold for Rs. 2.5 million after repair and repacking at a cost of Rs. 0.4 million.

ii. In December 2014, SL settled an old outstanding liability of Rs. 6 million by paying Rs. 4.5 million. The payment was debited to trade payables. The said liability had been written back prior to 2014.

iii. Fair value and value in use of patents as at 31 December 2014 amounted to Rs. 25 million and Rs. 27 million respectively.

iv. Due to increasing bad debts, the management is of the view that allowance for doubtful debts need to be increased from 3% to 5% of trade receivables.

Required:

Prepare a Statement of Financial Position as at 31 December 2014 in accordance with the International Financial Reporting.

▶ *ANSWER:*

Shaheen Limited

Statement of financial Position

As on 31 December 2014

		Rs. M
Non-current assets		
Property, plant and equipment		1,876.00
Patents	[28 - 1]	27.00
		1,903.00
Current assets		
Stock-in-trade	[503 - 0.90]	502.10
Trade receivables	[630 - 12.99]	617.01
Prepayments & other receivables		23.00
Cash and bank balances		13.00
		1,155.11
		3,058.11

		Rs. M
Share capital and reserves		
Share Capital		1,200.00
Retained earnings	[618 – 19.39 W1]	598.61
		1,798.61
Current liabilities		
Trade and other payables	[645 + 395 + 4.5]	1,044.50
Current tax payable		215.00
		1,259.50
		3,058.11

W1: Impacts of Adjustments on profit / retained earnings		Rs. M
Write down to NRV	[3 - (2.5 - 0.4)]	(0.90)
Payment of written back liability		(4.50)
Impairment of patents	[28 - 27]	(1.00)
Increase in doubtful debts	[630 / 97% x 2%]	(12.99)
		(19.39)

4 STATEMENT OF COMPREHENSIVE INCOME

4.1 Definitions [IAS 1: 7]

"Profit or loss" is the total of income less expenses, excluding the components of other comprehensive income.

"Other comprehensive income" comprises items of income and expense (including reclassification adjustments) that are not recognised in profit or loss as required or permitted by other IFRSs.

"Total comprehensive income" is the change in equity during a period resulting from transactions and other events, other than those changes resulting from transactions with owners in their capacity as owners.

4.2 Single statement versus two statements [IAS 1: 10A, 88 & 91]

An entity may present a single statement of profit or loss and other comprehensive income, with profit or loss and other comprehensive income presented in two sections. The sections shall be presented together, with the profit or loss section presented first followed directly by the other comprehensive income section.

An entity may present the profit or loss section in a separate statement of profit or loss. If so, the separate statement of profit or loss shall immediately precede the statement presenting comprehensive income, which shall begin with profit or loss.

An entity shall recognise all items of income and expense in a period in profit or loss unless an IFRS requires or permits otherwise.

4.3 Presentation in the statement [IAS 1: 81A]

The statement of profit or loss and other comprehensive income (statement of comprehensive income) shall present, in addition to the profit or loss and other comprehensive income sections:

a) profit or loss;

b) total other comprehensive income;

c) comprehensive income for the period, being the total of profit or loss and other comprehensive income.

If an entity presents a separate statement of profit or loss it does not present the profit or loss section in the statement presenting comprehensive income.

4.4 Presentation either in the statement or in the notes [IAS 1: 82 & 85]

In addition to items required by other IFRSs, the profit or loss section or the statement of profit or loss shall include line items that present the following amounts for the period:

a) revenue, presenting separately interest revenue and other revenue:

b) finance costs;

c) tax expense;

An entity shall present additional line items (including by disaggregating the line items listed above), headings and subtotals in the statement(s) presenting profit or loss and other comprehensive income when such presentation is relevant to an understanding of the entity's financial performance.

4.5 Analysis of expenses [IAS 1: 99 to 104]

Expenses should be analysed. Either of two methods of analysis may be used:

- according to the function of the expense; or
- according to the nature of expenses.

IAS 1 states that entities should choose the method that provides the more relevant or reliable information.

IAS 1 encourages entities to show this analysis of expenses on the face of the statement of comprehensive income rather than in a note to the accounts.

4.5.1 Analysis of expenses by their function

When expenses are analysed according to their function, the functions are commonly 'cost of sales', 'distribution costs', 'administrative expenses' and 'other expenses'. This method of analysis is also called the 'cost of sales method'.

Statement of comprehensive income – Expenses analysed by function	Rs. m
Revenue	7,200
Cost of sales	(2,700)
Gross profit	4,500
Other income	300
Distribution costs	(2,100)
Administrative expenses	(1,400)
Other expenses	(390)
Profit before tax	910

IAS 1 also requires that if the analysis by function method is used, additional information about expenses must be disclosed including:

- depreciation and amortisation expense; and
- employee benefits expense (staff costs).

4.5.2 Analysis of expenses by their nature

When expenses are analysed according to their nature, the categories of expenses will vary according to the nature of the business.

In a manufacturing business, expenses would probably be classified as:

- raw materials and consumables used;
- staff costs ('employee benefits costs');
- depreciation.

Items of expense that on their own are immaterial are presented as 'other expenses'.

There will also be an adjustment for the increase or decrease in inventories of finished goods and work-in-progress during the period.

Other entities (non-manufacturing entities) may present other expenses that are material to their business.

Statement of comprehensive income – Expenses analysed by nature	Rs. m
Revenue	7,200
Other income	300
	7,500
Changes in inventories of finished goods and work-in-progress (reduction = expense, increase = negative expense)	90
Raw materials and consumables used	1,200
Staff costs (employee benefits expense)	2,000
Depreciation and amortisation expense	1,000
Other expenses	2,300
	6,590
Profit before tax	910

4.6 Material items [IAS 1: 97 & 98]

When items of income or expense are material, an entity shall disclose their nature and amount separately.

Circumstances that would give rise to the separate disclosure of items of income and expense include:

a) write-downs of inventories to net realisable value or of property, plant and equipment to recoverable amount, as well as reversals of such write-downs;

b) restructurings of the activities of an entity and reversals of any provisions for the costs of restructuring;

c) disposals of items of property, plant and equipment;

d) disposals of investments;

e) discontinued operations;

f) litigation settlements; and

g) other reversals of provisions.

4.7 Format

IAS 1 does not specify an exact format for the statement of comprehensive income but the example below is based on a suggested presentation included in the implementation guidance. (In this example, expenses are classified by function).

XYZ Entity: Statement of comprehensive income (single statement)

For the year ended 31 December 20XX	Rs. million
Revenue	678
Cost of sales	(250)
Gross profit	428
Other income	12
Distribution costs	(66)
Administrative expenses	(61)
Other expenses	(18)
Finance costs	(24)
Profit before tax	271
Taxation	(50)
Profit for the year	221
Other comprehensive income	
Gains on revaluation (PPE & intangible assets)	24
Gains on valuation of investments (at fair value through OCI)	22
Other comprehensive income for the year (net of tax)	46
TOTAL COMPREHENSIVE INCOME FOR THE YEAR	267

▶ *Example 04:*

The trial balance of Larry Limited as at 31 December 2015 is as follows:

	Rupees in million	
	Dr	Cr
Administration charges	342	
Bank account	89	
Cash	2	
Payables' ledger		86
Accumulated amortisation on patents at 31 December 2015		5
Accumulated depreciation at 31 December 2015		918
Receivables' ledger	189	
Distribution expenses	175	
Property, plant and equipment at cost	2,830	
Interest received		20
Issued share capital		400
Loan		18
Patents at cost	26	
Accumulated profits		1,562
Purchases	2,542	
Sales		3,304
Inventories at 31 December 2014	118	
	6,313	6,313

The following information is also relevant.

i. Inventories on 31 December 2015 amounted to Rs. 127 million.

ii. Current tax of Rs. 75 million is to be accrued.

iii. The loan is repayable by equal annual instalments over three years.

Required:

Prepare a statement of profit or loss (analysing expenses by function) for the year ended 31 December 2015 and a statement of financial position as at that date.

ANSWER:

Larry Limited

Statement of profit or loss for the year ended 31 December 2015

	Rs. in million
Revenue	3,304
Cost of sales (2,542 + 118 – 127 closing inventory)	(2,533)
Gross profit	771
Other income	20
Distribution costs	(175)
Administrative expenses	(342)
Profit before tax	274
Income tax expense	(75)
Profit for the period	199

Larry Limited

Statement of financial position

As at 31 December 2015

Assets	Rs. in million
Non-current assets	
Property, plant and equipment (2,830 – 918)	1,912
Intangible assets (26 – 5)	21
	1,933
Current assets	
Inventories	127
Trade and other receivables	189
Cash (89 +2)	91
	407
Total assets	2,340
Equity and liabilities	
Equity	
Share capital	400
Retained earnings (1,562 + 199)	1,761
	2,161
Non-current liabilities	
Long-term borrowings (18 – 6 current portion)	12
Current liabilities	
Trade and other payables	86
Current portion of long-term borrowing (18 / 3 years)	6
Current tax payable	75
	167
Total equity and liabilities	2,340

▶ *Example 05:*

Barry Limited has prepared the following draft financial statements for your review:

Statement of profit or loss for year to 31st August 2015

	Rs. 000
Sales revenue	30,000
Raw materials consumed	(9,500)
Manufacturing overheads	(5,000)
Increase in inventories of work in progress and finished goods	1,400
Staff costs	(4,700)
Distribution costs	(900)
Depreciation	(4,250)
Interest expense	(350)
	6,700

Statement of financial position as at 31st August 2015

	Rs. 000
Assets	
Non-current	
Freehold land and buildings	20,000
Plant and machinery	14,000
Fixtures and fittings	5,600
	39,600
Current assets	
Prepayments	200
Trade receivables	7,400
Cash at bank	700
Inventories	4,600
	12,900
Total assets	52,500

	Rs. 000
Equity and liabilities	
Equity shares of Rs. 1 each	21,000
Share premium	2,000
Revaluation surplus	5,000
Accumulated profit	14,000
	42,000
Current liabilities	5,300
Non-current liabilities	
8% Debentures 2019	5,200
Total equity and liabilities	52,500

Additional information

i. There have been no additions to, or disposals of, non-current assets in the year but the assets under construction have been completed in the year at an additional cost of Rs. 50,000. These related to plant and machinery.

The cost and accumulated depreciation of non-current assets as at 1st September 2014 were as follows:

	Cost	Depreciation
	Rs. in '000	Rs. in '000
Freehold land and buildings	19,000	3,000
(land element Rs. 10 million)		
Plant and machinery	20,100	4,000
Fixtures and fittings	10,000	3,700
Assets under construction	400	-

ii. There was a revaluation of land and buildings during the year, creating the revaluation surplus of Rs. 5 million (land element Rs. 1 million). The effect on depreciation for the buildings have increased by Rs. 300,000. Barry Limited adopts a policy of transferring the revaluation surplus included in equity to retained earnings as it is realised.

iii. Staff costs comprise 70% factory staff, 20% general office staff and 10% goods delivery staff

iv. An analysis of depreciation charge shows the following:

	Rs. in '000
Buildings (50% production, 50% administration)	1,000
Plant and machinery	2,550
Fixtures and fittings (30% production, 70% administration)	700

Required:

Prepare the following information in a form suitable for publication for Barry Limited's financial statements for the year ended 31st August 2015:

- Statement of comprehensive income
- Statement of financial position

▶ *ANSWER:*

Barry Limited
Statement of comprehensive income
For the year ended 31st August 2015

	Rs. in '000
Revenue	30,000
Cost of sales (W1)	(19,650)
Gross profit	10,350
Distribution costs (W1)	(1,370)
Administrative expenses (W1)	(1,930)
Profit from operations	7,050
Finance costs	(350)
Profit before tax	6,700
Tax	-
Profit after tax	**6,700**
Other comprehensive income	
Gain on revaluation	5,000
Total comprehensive income	11,700

Barry Limited
Statement of financial position
As at 31st August 2015

ASSETS	Rs. in 000
Non-current assets	
Property, plant and equipment (W2)	39,600
Current assets	
Inventory	4,600
Trade and other receivables (7,400 + 200)	7,600
Cash and cash equivalents	700
	12,900
Total assets	52,500
EQUITY AND LIABILITIES	
Capital and reserves	
Equity shares	21,000
Share premium	2,000
Retained earnings 14,000 + 300	14,300
Revaluation surplus 5,000 – 300	4,700
	42,000
Non-current liabilities	
Borrowings	5,200
	5,200
Current liabilities	
Trade and other payables	5,300
	5,300
	52,500

W1: Allocation of expenses	Cost of sales	Admin	Distribution
	Rs. 000		
Raw materials consumed	9,500		
Manufacturing overheads	5,000		
Increase in inventories	(1,400)		
Staff costs (70%/20%/10%)	3,290	940	470
Distribution costs			900
Depreciation			
Building (50%/50%)	500	500	
Plant and machinery	2,550		
Fixtures and fittings (30%/70%)	210	490	
	19,650	1,930	1,370

W2: Property, plant and equipment including CWIP

	Land	Buildings	Plant & machinery	Fixtures & fittings	CWIP	Total
Cost/ Valuation			Rs. 000			
At 1 Sept 2014	10,000	9,000	20,100	10,000	400	49,500
Additions	-	-	-	-	50	50
Transfer from CWIP	-	-	450	-	(450)	-
Revaluation-cancel	-	(3,000)	-	-	-	(3,000)
Revaluation (gain)	1,000	4,000				5,000
At 31 Aug 2015 (A)	11,000	10,000	20,550	10,000	-	51,550
Depreciation						
At 1 Sept 2014	-	3,000	4,000	3,700	-	10,700
Revaluation	-	(3,000)	-	-	-	(3,000)
Charge for year	-	1,000	2,550	700	-	4,250
At 31 Aug 2015 (B)	-	1,000	6,550	4,400	-	11,950
Net book value						
At 31 Aug 2015 (A-B)	11,000	9,000	14,000	5,600	-	39,600

▶ *Example 06:*

The following trial balance has been extracted from the books of accounts of Oscar Limited as at 31 March 2015.

	Rs. in '000	
	Dr	Cr
Administrative expenses	210	
Share capital		600
Receivables	470	
Bank overdraft		80
Loan		180
Distribution costs	420	
Non-current investments	560	
Investment income		100
Plant and machinery		
At cost	750	
Accumulated depreciation (at 31 March 2015)		220
Retained earnings (at 1 April 2014)		180
Purchases	960	
Inventory (at 1 April 2014)	140	
Trade payables		260
Sales revenue		2,010
Interim dividend paid	120	
	3,630	**3,630**

Additional information

i. Inventory at 31 March 2015 was valued at Rs. 150,000.

ii. The income tax charge based on the profits on ordinary activities is estimated to be Rs. 74,000.

iii. The loan is of short term nature and interest of Rs. 16,000 needs to be accrued which shall be paid along with repayment of loan.

iv. There were no purchases or disposals of fixed assets during the year.

Required:

Prepare Oscar Limited's statement of profit or loss for the year to 31 March 2015 and a statement of financial position as at that date in accordance with IAS 1.

▶ ANSWER:

Oscar Limited

Statement of profit or loss for the year ended 31 March 2015

	Rs. in '000
Sales	2,010
Cost of sales (140 + 960 – 150)	(950)
Gross profit	1,060
Distribution costs	(420)
Administrative expenses	(210)
Operating profit	430
Finance cost	(16)
Investment income	100
Profit before tax	514
Income tax	(74)
Profit after tax	440

Oscar Limited

Statement of financial position as at 31 March 2015

Assets	
Non-current assets	
Property, plant and equipment 750 – 220	530
Investments	560
	1,090
Current assets	
Inventory	150
Receivables	470
	620
	1,710
Equity and liabilities	
Share capital	600
Retained earnings 180 + 440 profit – 120 dividend	500
	1,100
Current liabilities	
Trade payables	260
Current tax payable	74
Bank overdraft	80
Short term loan 180 + 16	196
	610
	1,710

▶ *Example 07:*

The following trial balance relates to Clifton Pharma Limited, a public listed company, at 30 September 2015.

	Rs. in '000	
	Dr	**Cr**
Cost of sales	134,000	
Operating expenses	42,000	
Loan interest paid	1,500	
Revenue		338,300
Investment income		2,000
Leasehold property at cost	250,000	
Plant and equipment at cost	197,000	
Accumulated depreciation at 1 October 2014:		
- leasehold property		40,000
- plant and equipment		47,000
Investments	94,000	
Share capital		280,000
Share premium		20,000
Retained earnings at 1 October 2014		19,300
6% Loan notes (issued on 1 Oct 2014)		50,000
Inventory at 30 September 2015	23,700	
Trade receivables	76,400	
Trade payables		34,100
Bank	12,100	
	830,700	**830,700**

The following notes are relevant

i. Other plant and equipment is depreciated at 20% per year by the reducing balance method. The leasehold property has a 25-year life and is amortised at a straight-line rate. All depreciation of property, plant and equipment should be charged to cost of sales.

ii. The accrual for income tax for the year ended 30 September 2015 has been estimated at Rs. 18 million.

Required:

Prepare a statement of profit or loss for Clifton Pharma Limited for the year to 30 September 2015 and a statement of financial position (balance sheet) for Clifton Pharma Limited as at 30 September 2015.

▶ *ANSWER:*

CLIFTON PHARMA LIMITED

Statement of profit or loss

For the year ended 30 September 2015

	Rs. 000
Sales	338,300
Cost of sales W1	(174,000)
Gross profit	164,300
Other income (investment income)	2,000
Operating expenses	(42,000)
Finance cost 50,000 x 6%	(3,000)
Profit before tax	121,300
Taxation	(18,000)
Profit after tax	**103,300**

CLIFTON PHARMA LIMITED

Statement of Financial Position

As at 30 September 2015

Assets	**Rs. 000**
Non-current assets	
PPE [250,000 – 40,000 – 10,000 W1) + (197,000 – 47,000 - 30,000 W1)	320,000
Investments	94,000
	414,000
Current assets	
Inventory	23,700
Receivables	76,400
Bank	12,100
	112,200
	526,200
Equity & Liabilities	
Capital & Reserves	
Share Capital	280,000
Share premium	20,000
Retained Earnings (19,300 + 103,300)	122,600
	422,600
Non-Current liabilities	
6% loan notes	50,000
	50,000
Current liabilities	
Trade payables	34,100
Interest payable 50,000 x 6% = 3,000 – 1,500	1,500
Income tax payable	18,000
	53,600
	526,200

W1: Cost of sales	Rs. 000
As given in the trial balance	134,000
Depreciation of plant and equipment: 20% × (197,000 – 47,000)	30,000
Amortisation of leasehold property: 250,000/25 years	10,000
	174,000

▶ *Example 08:*

The following trial balance relates to Sarhad Sugar Limited at 30 September 2015:

	Dr	Cr
	Rs. 000	
Leasehold property – at valuation 1 Oct 2014 (note (i))	50,000	
Plant and equipment – at cost (note (i))	76,600	
Plant and equipment – accumulated depreciation at 1 Oct 2014		24,600
Capitalised development expenditure – at 1 Oct 2014 (note (ii))	20,000	
Development – accumulated amortisation at 1 Oct 2014		6,000
Closing inventory at 30 September 2015	20,000	
Trade receivables	43,100	
Bank		1,300
Trade payables		29,300
Revenue (note (i))		300,000
Cost of sales	204,000	
Distribution costs	14,500	
Administrative expenses	21,900	
Interest on bank borrowings	1,000	
Equity dividend paid	6,000	
Research and development costs (note (ii))	8,600	
Share capital		70,000
Retained earnings at 1 October 2014		24,500
Revaluation surplus (Leasehold property)		10,000
	465,700	**465,700**

The following notes are relevant:

i. Non-current assets – tangible:

The leasehold property had a remaining life of 20 years at 1 October 2014. The company's policy is to revalue its property at each year end and at 30 September 2015 it was valued at Rs. 43 million.

On 1 October 2014 an item of plant was disposed of for Rs. 2.5 million cash. The proceeds have been treated as sales revenue by Sarhad Sugar Limited. The plant is still included in the above trial balance figures at its cost of Rs. 8 million and accumulated depreciation of Rs. 4 million (to the date of disposal).

All plant is depreciated at 20% per annum using the reducing balance method.

Depreciation and amortisation (and any losses) of all non-current assets is charged to cost of sales.

ii. Non-current assets – intangible:

In addition to the capitalised development expenditure (of Rs. 20 million), further research and development costs were incurred on a new project which commenced on 1 October 2014. The research stage of the new project lasted until 31 December 2014 and incurred Rs. 1.4 million of costs. From that date the project incurred development costs of Rs. 800,000 per month. On 1 April 2015 the directors became confident that the project would be successful and yield a profit well in excess of its costs. The project is still in development at 30 September 2015.

Capitalised development expenditure is amortised at 20% per annum using the straight-line method. All expensed research and development is charged to cost of sales.

iii. The directors have estimated the accrual for income tax for the year ended 30 September 2015 at Rs. 11.6 million.

Required:

Prepare the statement of profit or loss for the year ended 30 September 2015 and the statement of financial position as at 30 September 2015. (notes to the financial statements are not required).

▶ *ANSWER:*

SARHAD SUGAR LIMITED

Statement of profit or loss

For the year ended 30 September 2015

	Rs. 000
Sales 300,000 – 2,500 disposal correction	297,500
Cost of sales W1	(225,400)
Gross profit	72,100
Distribution cost	(14,500)
Admin expenses	(21,900)
Finance cost	(1,000)
Profit before tax	34,700
Taxation	(11,600)
Profit after tax	23,100

SARHAD SUGAR LIMITED

Statement of Financial Position

As at 30 September 2015

Assets	Rs. 000
Non-current assets	
Property, plant and equipment W2	81,400
Intangible Asset W3	14,800
	96,200
Current assets	
Inventory	20,000
Receivables	43,100
	63,100
	159,300

	Rs. 000
Equity & Liabilities	
Capital & Reserves	
Share Capital	70,000
Revaluation reserve 10,000 – 4,500 W2	5,500
Retained Earnings (24,500 + profit 23,100 – dividend 6,000)	41,600
	117,100
Current liabilities	
Trade payables	29,300
Bank overdraft	1,300
Income tax payable	11,600
	42,200
	159,300

W1: Cost of sales	Rs. 000
Per trial balance	204,000
Depreciation leasehold property 50,000 / 20 years	2,500
Depreciation plant and equipment [(76,600 – 8,000) – (24,600 – 4,000)] x 20%	9,600
Research & Development expensed 1,400 + 800 x 3 months (Note 2)	3,800
Amortisation of development costs 20,000 x 20%	4,000
Loss on disposal of plant (8,000 – 4,000) – 2,500	1,500
	225,400

W2: Property plant and equipment	Rs. 000
Leasehold property	50,000
Depreciation 50,000 / 20 years	(2,500)
Revaluation loss	(4,500)
	43,000
Plant and equipment 76,600 – 24,600	52,000
Disposal 8,000 – 4,000	(4,000)
Depreciation (52,000 – 4,000) x 20%	(9,600)
	38,400
	81,400

W3: Intangible asset (development)	Rs. 000
As per trial balance 20,000 – 6,000	14,000
Amortisation during the year 20,000 x 20%	(4,000)
Further capitalisation 800 x 6 months (Note 2)	4,800
	14,800

Tutorial Note: Development costs can only be treated as an asset from the point where they meet the recognition criteria in IAS 38 Intangible assets. Thus development costs from 1 April to 30 September 2015 of Rs.4.8 million (800 x 6 months) can be capitalised. These will not be amortised as the project is still in development.

The research costs of Rs.1.4 million plus three months' development costs of Rs. 2.4 million (800 x 3 months) (i.e. those incurred before 1 April 2015) are treated as an expense.

▶ *Example 09:*

Following is the summarised trial balance of Moonlight Pakistan Limited (MPL), a listed company, for the year ended December 31, 2017:

	Rs. in million	
	Debit	**Credit**
Land and buildings - at cost	2,600	-
Plants – at cost	2,104	-
Trade receivables	702	-
Stock in trade at December 31, 2017	758	-
Cash and bank	354	-
Cost of sales	1,784	-
Selling expenses	220	-
Administrative expenses	250	-
Financial charges	210	-
Accumulated depreciation: Building (January 1, 2017)	-	400
Accumulated depreciation: Plants (January 1, 2017)	-	670
Ordinary shares of Rs. 10 each fully paid	-	1,200
Retained earnings as at January 1, 2017	-	510
12% Long term loan	-	1,600
Salaries payable	-	8
Trade payables	-	566
Right subscription received	-	420
Revenue	-	3,608
	8,982	**8,982**

Additional Information

i. The land and buildings were acquired on January 1, 2013. The cost of land was Rs. 600 million. On January 1, 2017 a professional valuation firm valued the buildings at Rs. 1,840 million with no change in the value of land. The estimated life at acquisition was 20 years and the remaining life has not changed as a result of the valuation. 60% of depreciation on buildings is allocated to manufacturing, 25% to selling and 15% to administration. MPL does not transfer effect of incremental depreciation within the equity on annual basis.

ii. Plant is depreciated at 20% per annum using the reducing balance method.

iii. On March 31, 2017 MPL made a bonus issue of one share for every six held. The issue has not been recorded in the books of account yet. Right shares were issued on September 1, 2017 at Rs. 12 per share. The proceeds of right issue were credited to 'right subscription received account'.

iv. The interest on long term loan is payable on the first day of July and January. No accrual has been made for the interest payable on January 1, 2015.

v. Some of the salary sheets were omitted from calculation and now salaries payable is to be increased from Rs. 8 million to Rs. 23 million. Salaries expense is allocated to production, selling and administration expenses in the ratio of 60%: 20% : 20%.

vi. The tax charge for the current year after making all related adjustments is estimated at Rs. 65 million.

Required:

In accordance with the IFRS, prepare the statement of Financial Position as of December 31, 2017 and statement of profit or loss for the year then ended.

ANSWER:

Moonlight Pakistan Limited

Statement of Financial Position

As at December 31, 2017

Non-current assets	Rs. in million
Property, plant and equipment W2	3,472
Current assets	
Stocks in trade	758
Trade receivables	702
Cash and bank	354
	1,814
	5,286
EQUITY	
Share Capital 1,200 + 1200 x 1/6 + 420 x 10/12	1,750
Share premium (420 x 2/12)	70
Retained earnings 510 – 200 bonus issue + 566 profit	876
Revaluation surplus	240
	2,936
LIABILITIES	
Non-current liabilities	
Long term loan	1,600
	1,600
Current liabilities	
Trade and other payables (566 + 8 + 96 + 15)	685
Income tax payable	65
	750
	5,286

Moonlight Pakistan Limited

Statement of profit or loss

For the year ended December 31, 2017	Rs. million
Sales	3,608
Cost of sales W1	(2,149)
Gross profit	1,459
Selling expenses W1	(252)
Administrative expenses W1	(270)
Financial charges (210 + 1,600 x 12% x 6/12)	(306)
Profit before taxation	631
Taxation (37 + 80 x 35%)	(65)
Profit after taxation	566

W1: Cost of sales/selling expenses/admin expenses			
	Cost of sales	Selling expenses	Admin. expenses
	Rs. in million		
As per trial balance	1,784	220	250
Depreciation – building (60%:25%:15%) W2	69	29	17
Depreciation – plant W2	287	-	-
Additional salaries (23-8) x 60%:20%:20%	9	3	3
	2,149	**252**	**270**

W2: Property, plant and equipment				
	Land	Building	Plant	Total
	Rs. in million			
Cost as at January 1, 2017	600	2,000	2,104	4,704
Accumulated depreciation	-	(400)	(670)	(1,070)
	600	1,600	1,434	3,634
Revaluation (1,840 - (2,000 - 400))	-	240	-	240
Depreciation (1,840/16); 1,434 x 20%	-	(115)	(287)	(402)
	600	1,725	1,147	3,472

5 STATEMENT OF CHANGES IN EQUITY

5.1 Presented in the statement [IAS 1: 106]

The statement of changes in equity includes the following information:

a) total comprehensive income for the period;

b) for each component of equity, the effects of retrospective application or retrospective restatement recognised in accordance with IAS 8; and

c) for each component of equity, a reconciliation between the carrying amount at the beginning and the end of the period, separately (as a minimum) disclosing changes resulting from:

   i. profit or loss;

   ii. other comprehensive income; and

   iii. transactions with owners in their capacity as owners, showing separately contributions by and distributions to owners.

5.2 Presented either in the statement or in the notes [IAS 1: 106A & 107]

For each component of equity an entity shall present, either in the statement of changes in equity or in the notes, an analysis of other comprehensive income by item.

An entity shall present, either in the statement of changes in equity or in the notes, the amount of dividends recognised as distributions to owners during the period, and the related amount of dividends per share.

5.3 Format

An illustrative format is given below:

PQR Entity: Statement of changes in equity

For the year ended 31 December 20X9

Share capital		Share premium	Revaluation surplus	Retained earnings	Total
	Rs. m	Rs. m	Rs. m	Rs. m	Rs. m
Balance at 1 Jan 20X9 (reported)	200	70	80	510	860
Change in accounting policy	-	-	-	(60)	(60)
Balance at 1 Jan 20X9 (restated)	200	70	80	450	800
Issue of share capital	80	100			180
Dividend payments				(90)	(90)
Total comprehensive income			12	155	167
Transfer (incremental depreciation)			(8)	8	-
Balance at 31 December 20X9	**280**	**170**	**84**	**523**	**1,057**

Example 10:

The trial balance of Mingora Imports Limited at 31 December 2015 is as follows:

	Dr	Cr
	Rupees in million	
Patent rights	60	
Work-in-progress inventory, 1 January 2015	125	
Leasehold buildings at cost	300	
Ordinary share capital		600
Sales		1,740
Staff costs	260	
Accumulated depreciation on buildings, 1 January 2015		60
Inventories of finished games, 1 January 2015	155	
Consultancy fees	44	
Directors' salaries	360	
Computers at cost	50	
Accumulated depreciation on computers, 1 January 2015		20
Dividends paid	125	
Cash	340	
Receivables	420	
Trade payables		92
Sundry expenses	294	
Accumulated profits, 1 January 2015		121
Investments	100	
	2,633	**2,633**

The following information is also relevant.

i. Closing inventories of finished goods are valued at Rs. 180 million. Work-in-progress inventory has increased to Rs. 140 million.

ii. The patent rights relate to a computer program with a three year lifespan.

iii. On 1 January 2015 buildings were revalued to Rs. 360 million. This has not yet been reflected in the accounts. Computers are depreciated over five years. Buildings are now to be depreciated over 30 years.

iv. An allowance for bad debts (irrecoverable debts) of 5% is to be created.

v. The computed current tax of Rs. 120 million has not yet been recognised yet.

Required:

Prepare a statement of Comprehensive Income (analysing expenses by nature) for the year ended 31 December 2015, Statement of Changes in Equity and a statement of financial position as at that date.

▶ *ANSWER:*

MINGORA IMPORTS

Statement of profit or loss for the year ended 31 December 2015

	Rs. m
Sales	1,740
Change in inventories of WIP & FG (140 - 125) + (180 - 155)	40
Staff cost (260 + 360)	(620)
Depreciation & Amortization W1	(42)
Other expenses (44 + 294 + (420 x 5%))	(359)
Profit before tax	759
Taxation	(120)
Profit after tax	**639**
Other comprehensive income	
Gain on revaluation of buildings [360 – (300-60)]	120
	120
Total comprehensive income	**759**

MINGORA IMPORTS

Statement of changes in equity for the year ended 31 December 2015

	Share Capital	Revaluation surplus	Retained Earnings	Total
	Rs. million			
At 31 December 2014	600		121	721
Total comprehensive income		120	639	759
Dividends paid			(125)	(125)
Transfer [120 / 30 years]		(4)	4	-
At 31 December 2015	600	116	639	1,355

MINGORA IMPORTS

Statement of Financial Position as at 31 December 2015

Assets	Rs. m
Non-current assets	
PPE (300 – 60 + 120 – 12 W1) + (50 – 20 – 10 W1)	368
Intangible assets (60 – 20 W1)	40
Investments 100	100
	508
Current assets	
Inventory (180 + 140)	320
Trade receivables (420 – 21)	399
Cash	340
	1,059
	1,567
Equity & Liabilities	
Capital & Reserves	
Share Capital	600
Revaluation reserves	116
Retained Earnings	639
	1,355
Current liabilities	
Trade & other payables	92
Income tax payable	120
	212
	1,567

W1: Depreciation and amortisation	Rs. m
Buildings 360 / 30 years	12
Computers 50 / 5 years	10
Patents 60 / 3 years	20
	42

▶ *Example 11:*

The following trial balance related to Yasir Industries Limited (YIL) for the year ended June 30, 2017:

	Dr	Cr
	Rs. in million	
Ordinary share capital (Rs. 10 each)	-	120.00
Retained earnings	-	10.20
Sales	-	472.40
Purchases	175.70	-
Production labour	61.00	
Manufacturing overheads	39.00	
Inventories (July 1, 2016)	38.90	
Administrative expenses	40.00	-
Distribution expenses	19.80	-
Financial charges	0.30	-
Cash and bank	–	13.25
Trade creditors	-	30.40
Accrued expenses	-	22.20
10% redeemable preference shares	-	40.00
Debentures	–	80.00
Suspense account	30.00	-
Leasehold property - at cost	230.00	-
Machines – at cost	168.60	-
Software – at cost	20.00	-
Acc. depreciation – Leasehold property (June 30, 2017)	-	40.25
Acc. depreciation – Machines (June 30, 2017)	–	48.60
Acc. amortization – Software (June 30, 2017)	-	12.00
Trade receivables	66.00	-
	889.30	**889.30**

Additional Information

i. On June 30, 2017 a customer returned goods sold earlier invoiced at Rs. 27 million. Neither the return nor the inventory received has been accounted for yet. The sale has been made at cost plus 20%. The value of inventories at June 30, 2017 was Rs. 42 million other than the goods returned as afore-mentioned.

ii. A fraud of Rs. 30 million was discovered in October 2016. A senior employee of the company, who left earlier, had embezzled the funds from YIL's bank account. The chances of recovery are remote. The amount is presently appearing in the suspense account.

iii. On January 1, 2017 YIL issued debenture certificates which are repayable in 2020. Interest is paid on these at 12% per annum. Financial charges comprise bank charges and bank commission.

iv. On July 1, 2016, the leasehold property having a useful life of 40 years was revalued at Rs. 238 million. Neither revaluation nor tax adjustment in this regard has been made in the books. Depreciation of leasehold property is charged using the straight line method. 50% of depreciation is allocated to manufacturing, 30% to administration and 20% to selling and distribution.

v. The accrual for current taxation for the year ended June 30, 2017 after making all the above adjustments is estimated at Rs. 16.5 million.

Required:

Prepare the statement of financial position as of June 30, 2017, statement of profit or loss for the year ended June 30, 2017, and statement of changes in equity for the year then ended.

▶ *ANSWER:*

Yasir Industries Limited

Statement of Comprehensive Income

For the year ended 30 June 2017

	Rs m
Revenue 472.40 – 27	445.4
Cost of sales W1	(250.72)
Gross profit	194.68
Selling expense (19.80 + 1.25 W3 x 20%)	(20.05)
Administrative expenses (40 + 1.25 W3 x 30%)	(40.38)
Operating profit	134.25
Loss due to fraud	(30)
Finance costs W2	(9.10)
Profit before tax	95.15
Income tax expense	(16.5)
PROFIT FOR THE YEAR	78.65
Other Comprehensive Income	
Gain on revaluation of fixed assets W4	42.5
TOTAL COMPREHENSIVE INCOME	121.15

Yasir Industries Limited

Statement of Changes in Equity

For the year ended 30 June 2017

	Share Capital	Retained earnings	Revaluation surplus	Total
	Rs. m	Rs. m	Rs. m	Rs. m
At July 01, 2016	120	10.20	-	130.20
Total comprehensive income		78.65	42.5	121.15
Transfer		1.25	(1.25)	-
At June 30, 2017	120	90.1	41.25	251.35

Yasir Industries Limited

Statement of Financial Position

As at 30 June 2017

EQUITY AND LIABILITIES	Rs. m
Share capital and reserves	
Share capital	120
Revaluation Surplus	41.25
Retained earnings	90.1
	251.35
Non-current liabilities	
10% redeemable preference shares	40
Debentures	80
	120
Current liabilities	
Trade and other payables (30.40+22.20)	52.6
Interest accrued W2	4.8
Preference dividend payable W2	4
Bank overdraft	13.25
Current tax payable	16.5
	91.15
Total equity and liabilities	**462.5**
ASSETS	
Non-current assets	
Property, plant and equipment 231 W4 + (168.6 – 48.60)	351
Intangible assets (Software) 20-12	8
	359
Current assets	
Stock-in-trade 42 + (27 x 100/120)	64.5
Trade debts 66 – 27	39
	103.5
Total assets	**462.5**

W1: Cost of sales	Rs. m
Opening inventory	38.9
Purchases	175.7
Less: closing inventory 42 +(27 x 100/120)	(64.5)
Direct labour	61
Manufacturing overheads (as given)	39
Additional depreciation due to revaluation [1.25 W3 x 50%]	0.62
	250.72

W2: Finance costs	Rs. m
As given	0.30
Interest on debentures Rs. 80 x 12% x 6/12	4.8
Dividend on redeemable Preference shares Rs. 40 x 10%	4
	9.1

W3: Leasehold property	Rs. m
As given [230 – 40.25]	189.75
Add back: Annual depreciation charged on cost [230 / 40 years]	5.75
	195.5
Revaluation gain (balancing)	42.5
Revalued amount as at 1 July 2016	238
Depreciation 238 / 34 years	(7)
Carrying amount on 30 June 2017	**231**
Remaining useful life 40 years – [(Rs. 40.25 – 5.75) / 5.75]	34 years
Additional (incremental) depreciation 7 – 5.75	1.25

6 NOTES

6.1 Definitions & structure [IAS 1: 7, 112 &113]

"Notes" contain information in addition to that presented in the statement of financial position, statement(s) of profit or loss and other comprehensive income, statement of changes in equity and statement of cash flows. Notes provide narrative descriptions or disaggregation of items presented in those statements and information about items that do not qualify for recognition in those statements.

The notes shall:

a) present information about the basis of preparation of the financial statements and the specific accounting policies used;

b) disclose the information required by IFRSs that is not presented elsewhere in the financial statements; and

c) provide information that is not presented elsewhere in the financial statements, but is relevant to an understanding of any of them.

An entity shall, as far as practicable, present notes in a systematic manner. In determining a systematic manner, the entity shall consider the effect on the understandability and comparability of its financial statements. An entity shall cross-reference each item in the statements of financial position and in the statement(s) of profit or loss and other comprehensive income, and in the statements of changes in equity and of cash flows to any related information in the notes.

6.2 Disclosure of accounting policies [IAS 1: 117]

An entity shall disclose its significant accounting policies comprising:

a) the measurement basis (or bases) used in preparing the financial statements; and

b) the other accounting policies used that are relevant to an understanding of the financial statements.

6.3 Other disclosures [IAS 1: 137 & 138]

An entity shall disclose in the notes:

a) the amount of dividends proposed or declared before the financial statements were authorised for issue but not recognised as a distribution to owners during the period, and the related amount per share; and

b) the amount of any cumulative preference dividends not recognised.

An entity shall disclose the following, if not disclosed elsewhere in information published with the financial statements:

a) the domicile and legal form of the entity, its country of incorporation and the address of its registered office (or principal place of business, if different from the registered office);

b) a description of the nature of the entity's operations and its principal activities;

c) the name of the parent and the ultimate parent of the group; and

d) if it is a limited life entity, information regarding the length of its life.

6.4 Regulatory framework for accounting in Pakistan

In Pakistan, companies are required to follow the requirements of Companies Act, 2017 (specifically, fourth and fifth schedule), when preparing and presenting their financial statements.

In case of conflict between requirements of law and requirements of IFRSs, the requirements of law shall prevail.

The requirements of regulatory framework for accounting in Pakistan shall be covered at a later stage of your studies.

7 COMPREHENSIVE EXAMPLES

▶ *Example 12:*

The following balances have been extracted from the trial balance as at 30 June 2014 of Zee Trading Limited (ZTL):

Description	Debit	Credit
	------- Rs. in 000 -------	
Sales		80,000
Other income		5,300
Opening inventory	4,000	
Purchases	33,400	
Selling and distribution expenses	15,000	
Administrative expenses	9,700	
Financial charges	8,698	
Investment at cost	6,800	
Trade receivables	10,000	
Allowance for doubtful debts		380

The following matters need to be considered in finalizing the financial statements of ZTL:

i. As per store records, closing inventory as at 30 June 2014 amounted to Rs. 8,500,000.

   Physical inventory taken on 1 July 2014 revealed the following information:

   - Value of goods found short by Rs. 1,500,000 (abnormal loss).
   - Goods costing Rs. 860,000 are obsolete. Their estimated net realizable value is Rs. 600,000.

ii. Selling and distribution expenses include trade discounts allowed to customers amounting to Rs. 4,000,000.

iii. In June 2014, ZTL received Rs. 810 million, net of 10% tax, cash dividend on its investments and the amount received was credited to other income.

iv. ZTL maintains an allowance for doubtful debts at 5% of trade receivables.

v. Accrual for tax expense of Rs. 6,452 is to be recorded.

Required:

Prepare ZTL's statement of comprehensive income for the year ended 30 June 2014 in accordance with IFRSs.

▶ *ANSWER:*

Zee Trading Limited

Statement of comprehensive income

For the year ended 30 June 2014

			Rs. 000
Sales	[80,000 - 4,000]		76,000
Cost of sales		W1	(29,160)
Gross profit			46,840
Selling and distribution expenses	[15,000 - 4,000 + 120*]		(11,120)
Administrative expenses	[9,700 + 1,500]		(11,200)
Operating profit			24,520
Finance cost			(8,698)
Other income	[5,300 + (810 /90 x 10)]		5,390
Profit before tax			21,212
Taxation			(6,452)
Profit for the year			**14,760**
Other comprehensive income			0
Total comprehensive income			**14,760**

W1: Cost of Sales		Rs. 000
Opening Inventory		4,000
Purchases	[33,400 - 1,500]	31,900
Less: Closing inventory	[8,500 – 260 – 1,500]	(6,740)
		29,160

*10,000 x 5% = 500 – 380 = 120

▶ *Example 13:*

The following trial balance pertains to Hadi Limited (HL) for the year ended 31 December 2016:

Description	Debit	Credit
	------- Rs. in '000 -------	
Capital work-in-progress	145,000	
Plant and machinery – at cost	305,000	
Trade receivables	61,400	
Stock-in-trade	79,600	
Cash and bank	33,444	
Cost of sales	78,664	
Administrative expenses	37,636	
Ordinary share capital (Rs. 10 each)		241,000
Retained earnings		104,175
Accumulated depreciation – Plant and machinery		53,250
Trade payables		60,912
10% long term loan		75,000
Allowance for bad debts		5,000
Sales		201,407
	740,744	**740,744**

While finalizing the financial statements of HL from the above trial balance, the following issues have been noted:

i. No depreciation has been charged in the current year. Depreciation is provided at 10% per annum using the straight line method.

ii. A machine which was purchased on 1 January 2015 for Rs. 25 million was traded-in, on 1 July 2016 for a new and more sophisticated machine. The disposal was not recorded and the new machine was capitalised at Rs. 15 million being the net amount paid to supplier. The trade-in allowance amounted to Rs. 20 million.

iii. HL maintains an allowance for doubtful debts at 6% of trade receivables. On 1 February 2017, a customer owing Rs. 10 million at year-end was declared bankrupt. HL estimates that 20% of the amount would be received on liquidation.

iv. The long term loan of Rs. 75 million was obtained on 1 January 2016, to finance the capital work-in-progress. HL correctly capitalised the finance cost on such loan in accordance with IAS-23 'Borrowing cost'.

v. On 1 January 2016, HL started research and development work for a new product. On 1 May 2016, the recognition criteria for capitalization of internally generated asset was met. The product was launched on 1 November 2016.

HL incurred Rs. 20 million from commencement of research and development work till launching of the product and charged it to cost of goods sold. It is estimated that the useful life of this new product will be 20 years. It may be assumed that all costs accrued evenly over the period.

On 31 December 2016, the recoverable amount of the development expenditure was Rs. 10 million. For tax purposes, research and development costs are allowed to be amortized over 10 years.

vi. The accrual of income tax has been estimated at Rs. 8,153,000.

Required:

Prepare statement of comprehensive income for the year ended 31 December 2016 in accordance with the requirements of International Financial Reporting Standards.

▶ *ANSWER:*

Hadi Limited

Statement of comprehensive income

For the year ended 31 December 2016

			Rs. 000
Sales			201,407
Cost of sales	[78,664 + 29,500 - 20,000]		(88,164)
Gross profit			113,243
Administrative expenses		W1	(55,090)
Profit before tax			58,153
Taxation			(8,153)
Profit for the year			**50,000**
Other comprehensive income			0
Total comprehensive income			**50,000**

W1: Administrative expenses		Rs. 000
As given		37,636
Loss on disposal	W2	1,250
Bad debts	W3	8,000
Reversal of doubtful debts	W3	(1,796)
Research expense	W4	8,000
Amortisation of development costs	W4	100
Impairment of development costs	W4	1,900
		55,090

W2: Plant & Machinery	10% Straight line basis	Rs. 000
Cost	[305,000 - 15,000]	290,000
Less: Accumulated dep.		(53,250)
WDV on 1 January 2016		**236,750**
Addition	[15,000 + 20,000]	35,000
Disposal		(21,250)
Depreciation (disposed)	[25,000 x 10% x 6/12]	1,250
Depreciation (addition)	[35,000 x 10% x 6/12]	1,750
Depreciation (other)	[(290,000-25,000) x 10%]	26,500
		(29,500)
WDV on 31 December 2016		**221,000**

Asset Disposal		Rs. 000
Cost 1 January 2015		25,000
Depreciation 2015	[25,000 x 10%]	(2,500)
WDV on 1 January 2016		22,500
Depreciation upto June	[25,000 x 10% x 6/12]	(1,250)
WDV on disposal		**21,250**
Disposal proceeds	Trade-in-allowance	(20,000)
Loss (gain) on disposal		**1,250**

W3: Bad and doubtful debts	Rs. 000
Bad debts written off [10,000 x 80%]	**8,000**
Closing allowance [(61,400 – 8,000) x 6%]	3,204
Less: Opening balance	(5,000)
Reversal	(1,796)

W4: Research and development	Rs. 000
Incorrect charge in cost of sales	20,000
Less: research expense (administrative expenses) [20,000 x 4/10]	(8,000)
Development costs	12,000
Less: Amortisation (administrative expenses) [12,000 / 20 x 2/12]	(100)
Carrying amount	11,900
Less: recoverable amount	10,000
Impairment loss (administrative expenses)	1,900

▶ *Example 14:*

The following balances have been extracted from the trial balance of Mint Lemonade Limited (MLL) as at 31 December 2019:

	Rs. in million
Trade receivables	1,200
Capital work in progress	910
Allowance for bad debts as on 1 January 2019	44
Sales	2,500
Cost of goods sold	1,320
Dividend receivable	10
Administrative expenses	302
Selling and distribution expenses	200
Finance cost	48
Dividend income	30
Other income	86

While finalizing the financial statements of MLL, the following issues have been noted:

i. Trade receivables include a balance of Rs. 40 million which needs to be written off. MLL maintains an allowance for doubtful debts at 5% of trade receivables.

ii. Capital work in progress includes interest cost of Rs. 84 million on specifically acquired bank loan during the year. However, interest of Rs. 16 million earned by investing surplus funds available from the bank loan has been included in other income.

iii. Office building of ML had net book value of Rs. 900 million on 31 December 2018 with remaining useful life of 12 years. During 2019, MLL decided to opt revaluation model for its building. Consequently, fair value of building at start of 2019 was determined at Rs. 1,200 million. Such revaluation has not yet been accounted for. Depreciation on office building under cost model has already been recorded in the books.

iv. The estimate for accrual of income tax is Rs. 167.24 million.

Required:

Prepare MLL's statement of profit or loss and other comprehensive income for the year ended 31 December 2019.

▶ *ANSWER:*

Mint Lemonade Limited

Statement of comprehensive income

For the year ended 31 December 2019

		Rs. M
Sales		2,500
Cost of sales		(1,320)
Gross profit		1,180
Administrative expenses	W1	(327)
Selling and distribution expenses	W2	(254)
Operating profit		599
Finance cost		(48)
Other income	[30 + 86 - 16 (ii)]	100
Profit before tax		651
Taxation		(167.24)
Profit for the year		**483.76**
Other comprehensive income:		
Gain on revaluation		300
		300
Total comprehensive income		**783.76**

W1: Administrative expense		Rs. M
Trial balance		302
Additional depreciation on building	[300 / 12 years]	25
		327

W2: Selling & Distribution Expense		Rs. M
Trial balance		200
Bad debts		40
Doubtful debts	[(1,200 - 40) x 5% - 44]	14
		254

▶ *Example 15:*

Following is the summarised trial balance of ABC Limited as at 30 June 2014:

	Rs. in million	
Sales		737
Stock at 1 July 2013	75	
Purchases	301	
Manufacturing expenses	240	
Selling and marketing expenses	28	
Administrative expenses	51	
Factory building – cost at 1 July 2013	200	
Machines – cost at 1 July 2013	280	
Factory building – accumulated depreciation at 1 July 2013		50
Machines – accumulated depreciation at 1 July 2013		87
Advance income tax	4	
Debtors	117	
Cash and bank	51	
Creditors		83
Share capital		300
Unappropriated profit at 1 July 2013		90
	1,347	**1,347**

Additional information:

i. Depreciation on factory building and machines are provided on reducing balance method @ 10% and 15% per annum respectively. 60% depreciation on factory building and 100% depreciation on machines are charged to cost of sales. The balance depreciation is charged to administrative expenses

ii. On 31 May 2014, a fully depreciated machine was sold for Rs. 3 million. The sale proceeds were received on 5 July 2014. No entries have been made in respect of these transactions.

iii. Debtors include an amount of Rs. 28 million owed by a customer who experienced cash flow problems prior to the year-end. The company has agreed to accept Rs. 18 million in full and final settlement of the debt. Four other debtors aggregating Rs. 5 million are required to be written off.

iv. Income tax liability for the year ended 30 June 2014 is estimated at Rs. 25 million.

v. On 20 June 2014 an advance of Rs. 12 million was received under a contract for supply of goods in August 2014. The advance was credited to sales.

vi. Closing stock at 30 June 2014 amounted to Rs. 114 million. It included stock costing Rs. 20 million whereas the related invoice was booked on 4 July 2014.

vii. In June 2014, a competitor developed a new product which has affected ABC's ability to sell one of its products at its normal price of Rs. 160. It is estimated that to sell the product, the company needs to offer a discount of 25%. 150,000 units of that product were in hand as on 30 June 2014 at a cost of Rs. 120 per unit. Its selling costs are estimated at Rs. 20 per unit.

Required:

Prepare the statement of comprehensive income for the year ended 30 June 2014 and the statement of financial position as at that date in accordance with International Financial Reporting Standards.

▶ *ANSWER:*

ABC Limited

Statement of comprehensive income for the year ended 30 June 2014

	Rs. in million
Sales 737 – 12 advance	725
Cost of sales 75 + 301 + 240 + (9+29 Dep) – 114 closing + 20 purchases + 3 write down	(563)
Gross profit	162
Selling and marketing expense	(28)
Administrative expenses 51 + 6 depreciation + 15 bad debts	(72)
Other income (gain on disposal)	3
Profit before tax	65
Income tax expense	(25)
Profit for the year	40

Statement of financial position as at 30 June 2014

ASSETS	Rs. in million
Non-current assets	
Property, plant and equipment 343 – 44 Depreciation	299
Current assets	
Stock 114 – 3 write down	111
Debtors 117 – 15	102
Other receivable (disposed asset)	3
Cash and bank	51
	267
	566

EQUITY AND LIABILITIES	Rs. in million
Owner's equity	
Share capital	300
Un-appropriated profit (90+40)	130
Total equity	430
Current liabilities	
Creditors 83 + 20 unrecorded invoice	103
Income tax payable 25 – 4 advance	21
Advance from customer	12
	136
Total equity and liabilities	566

W1: Depreciation on factory building [200 – 50] x 10% = 15 [9 Cost of sales and 6 in Admin expenses]

W2: Depreciation on machinery [280-87] x 15% = 29

W3: Bad debts 28 – 18 = 10 + 5 = 15

W4: Write down of inventory

Cost of product (150,000 x Rs. 120) = 18

NRV of product (150,000 x[((Rs. 160×75%) – Rs. 20)] = 15

Write down = 3

▶ *Example 16:*

Following is the summarised trial balance of Eagles Limited (EL) as at 30 June 2015:

	Debit Rs. in '000'		Credit Rs. in '000'
Plant	2,500	Acc. depreciation at 1 July 2014	
Equipment	700	– Plant	1,000
Stock as on 1 July 2014	1,500	– Equipment	270
Trade debtors	1,300	Provision for obsolete stock at 1 July 2014	45
Cash and bank	1,759	Provision for bad debts at 1 July 2014	48
Purchases	6,987	Capital	2,500
Salaries & wages	843	Accumulated profits	960
Warehouse rent	740	Trade creditors	1,545
Repair and maintenance	500	Revenue	10,706
Utilities expenses	400	Other income	425
Insurance expenses	300	Accruals at 1 July 2014	
Bad debt written off	30	– Repairs & maintenance	45
Obsolete inventory written off	40	– Utilities expenses	55
	17,599		17,599

Additional Information:

i. The sales return of Rs. 390,000 has not been recorded yet. The goods returned have been received but not included in physical count of inventory at year-end. EL sells such goods at a mark-up of 30% on cost.

ii. Other income includes proceed from sale of an equipment amounting to Rs. 100,000 received on 31 December 2014. The cost and written down value of the equipment at 1 July 2014 were Rs. 200,000 and Rs. 70,000 respectively.

iii. Plant and equipment are depreciated at the rate of 10% and 15% respectively on straight line basis.

iv. Cost of stock on 30 June 2015 was Rs. 1,400,000, having net realizable value of Rs. 1,450,000. This does not include inventory given in (i) above.

v. The management estimates that:

- 5% of trade debts would not be recovered.
- 3% of the stock is obsolete.

vi. Current warehouse rent is Rs. 600,000 per annum which was paid in advance on 1 October 2014.

vii. Following bills for expenses were received but not entered in books:

	Rs. in '000'
Repair and maintenance	56
Utilities expenses	67

viii. The company revalued its non-current assets on 31 December 2014. Valuer has suggested following fair values:

	Rs. in '000'
Plant	1,650
Equipment	175

ix. The tax charge for the current year after making all related adjustments is estimated at Rs. 200,000.

x. No entry has been made in respect of disposal, revaluation and depreciation of fixed assets. *[Transfer for incremental depreciation is to be ignored]*

Required:

Prepare statement of financial position as at 30 June 2015 and statement of comprehensive income for the year ended 30 June 2015.

▶ *ANSWER:*

Eagles Limited

Statement of comprehensive income for the year ended 30 June 2015

	Rs. 000
Sales 10,706 – 390 **return**	10,316
Cost of goods sold 1,500 + 6,987 – 45 – 300 **W1** – 1,400 + 51 **W6** + 348 W8	(7,141)
Gross profit	3,175
Other income 425 – 55 correction	370
	3,545

	Rs. 000
Operating expenses 843 + 740 + 500 + 400 + 300 +30 + 40 – 2.5 **W5** – 150 **W7** + 23 increase in accrual	(2,723.5)
Loss on revaluation **W8**	(147)
Profit before tax	674.5
Taxation	(200)
Profit after tax	474.5
Other comprehensive Income	
Gain on revaluation **W8**	275
Total comprehensive income	749.5

Eagles Limited

Statement of Financial Position as at 30 June 2015

Non-current assets	**Rs. 000**
Property, plant and equipment 2,500 + 700 – 1,000 – 270 – (200 – 145) – 348 W8 + 275 W8 – 147 W8	1,655
Current assets	
Inventory 300 **W1** + 1,400 - 51 **W6**	1,649
Trade Receivables [1,300 – 390 return] less 45.5	864.5
Prepaid rent **W7**	150
Cash & Bank	1,759
	4,422.5
	6,077.5
Equity & Liabilities	
Capital and reserves	
Share Capital	2,500
Revaluation reserve	275
Accumulated profit 960 + 474.5 **SPL**	1434.5
	4,209.5
Current liabilities	
Trade payables	1,545
Accrued Expenses 56 +67	123
Income tax payable	200
	1,868
	6,077.5

W1: Cost of goods returned 390 x 100/130 = 300

W2: Accumulated depreciation[01 July 2014 200 – 70 WDV = Rs. 130 + for six months 200 x 15% x 6/12 = Rs. 145

W3: Correction in other income Rs. 100 recorded already – correct gain 45 = Rs. 55

W4: Trade debtors: 1,300 – 390 = 910; Closing Allowance @ 5% = 910 @ 5% = 45.5

W5: Decrease in provision = 48 – 45.5 = 2.5

W6: Obsolete inventory 1,400 + 300 **W1** = 1,700; Closing Allowance @ 3% = 1,700 @ 3% = 51

W7: Prepaid rent (600/12 x 3 months) = 150

W8 – Depreciation, Disposal & Revaluation	Plant	Disp. Equip.	Other Equip.	TOTAL
Cost 1 July 2014	2,500	200	500	3,200
Accumulated depreciation 1 July 2014	(1,000)	(130)	(140)	(1,270)
	1,500	70	360	1,930
Depreciation up to 31 December 2014 10%, 15%	(125)	(15)	(38)	(178)
Disposal of equipment 200 – 145		(55)		(55)
	1,375	0	322	1,697
Revaluation gain / (loss) balancing	275		(147)	128
Revalued value on 31 December 2014	1,650		175	1,825
Depreciation up to 30 June 2015 (See life below)	(150)		(20)	(170)
Carrying amount	1,500	0	155	1,655
Total useful life [1/10%] ; [1/15%]	10 years		6.7 years	
Remaining life on 31.12. 2014 [CA/Cost x total life]	5.5 years		4.3 years	

▶ *Example 17:*

Following is the trial balance of Mateen Limited as at 30 June 2016:

	Debit	Credit
	-------- Rupees --------	
Sales		6,892,000
Purchases	4,124,000	
Administrative expenses	1,855,000	
Distribution costs	549,000	
Property, plant and equipment		
Cost	1,750,000	
Accumulated depreciation at 30 June 2015		350,000
Inventories at 30 June 2015	344,000	
Un-appropriated profit at 30 June 2015		330,000
Share capital		2,000,000
Cash in hand	22,000	
Cash at bank	14,000	
Bank loan		500,000
Trade receivables	2,255,000	
Trade and other payables		826,000
Provision for bad debts at 30 June 2015		15,000
	10,913,000	10,913,000

The following additional information is available:

i. Sales return of Rs. 70,000 has not been recorded yet. The goods had a cost of Rs. 47,000. The goods are not included in cost and net realisable value of inventories given below.

ii. Cost of inventories at 30 June 2016 amounted to Rs. 365,000. The net realizable value of the inventories was Rs. 350,000.

iii. Administrative expenses include rent of office building amounting to Rs. 700,000. 70% of the rental amount should be allocated to cost of sales and 30% to administrative expenses.

iv. Prepaid administrative expenses and accrued distribution costs at 30 June 2016 amounted to Rs. 131,000 and Rs. 176,000 respectively.

v. Property, plant and equipment are depreciated at 10% per annum using reducing balance method. Depreciation on addition is provided from the month in which the asset is acquired while no depreciation is charged in the month in which the asset is disposed of. Depreciation should be allocated between cost of sales and administrative expenses in the ratio of 80:20 respectively. On 10 January 2016, a generator which was purchased on 1 July 2012 for Rs. 100,000 was traded-in for a new generator. The disposal was not recorded and the generator was capitalized at Rs. 500,000 being the net amount paid to supplier after adjusting trade-in allowance of Rs. 35,000. The cost of installation of the generator amounting to Rs. 30,000 was debited to administrative expenses.

vi. Bank loan was taken on 1 October 2015 and carries interest at 8% per annum. The loan is repayable on 30 September 2016.

vii. Trade receivables amounting to Rs. 5,000 are required to be written off. Bad debts are estimated at 4% of the trade receivables.

viii. Income tax liability for the year ended 30 June 2016 is estimated at Rs. 40,000.

Required:

Prepare the following:

a) Statement of comprehensive income for the year ended 30 June 2016; and

b) Statement of financial position as at 30 June 2016.

▶ *ANSWER:*

Statement of comprehensive income for the year ended 30 June 2016

	Rupees
Revenue 6,892,000 – 70,000	6,822,000
COS 4,124,000 + 344,000 – 47,000 – 350,000 + 490,000 + 91,684	(4,652,684)
Gross profit	2,169,316
Admin exp. 1,855,000 – 490,000 – 131,000 + 34,255 – 30,000 + 22,921 + 5,000 + 72,200	(1,338,376)
Distribution costs 549,000 + 176,000	(725,000)
Profit from operations	105,940
Finance cost	(30,000)
Profit before tax	75,940
Income tax expense	(40,000)
Profit for the period	35,940

Statement of financial position

As at 30 June 2016

	Rupees
Assets	
Non-current assets	
PPE 1,750,000 – 350,000 – 34,255 + 30,000 – 114,605 [see working 4]	1,281,140
Current assets	
Inventories 47,000 + 350,000	397,000
Trade receivables [2,250,000 – 70,000 – 5,000] – [15,000 + 72,200 W3]	2,092,800
Prepaid admin expenses	131,000
Cash and bank 22,000+14,000	36,000
	3,937,940
Equity and liabilities	
Share Capital	2,000,000
Retained earnings (330,000 + 35,940)	365,940
	2,365,940
Current liabilities	
Bank loan	500,000
Trade and other payables 826,000 + 176,000	1,002,000
Taxation	40,000
Bank interest payable **W2**	30,000
	3,937,940

W1: To be allocated to COS from AE Rs. 700,000 x 70% = Rs. 490,000

W2: Accrual of interest (500,000×8%×9÷12) = Rs. 30,000

W3: Doubtful debts [2,255,000 – 70,000 – 5,000] x 4% = 87,200 – 15,000 opening = 72,200

W3: Depreciation and loss on disposal	Rupees	Dep. for the year
Property, plant & equipment as per trial balance	1,750,000	
Less: Cost of generator disposed of (A)	(100,000)	
Less: Cost of generator purchased during the year	(500,000)	
Cost of PPE used throughout the year	1,150,000	
Less: Opening balance of Acc. Dep.	(350,000)	
Add: Opening balance of Acc. Dep. relating to disposed of generator [100,000 – (100,000 × 0.9 × 0.9 × 0.9)] (B)	27,100	
WDV of PPE used throughout the year	827,100	
Depreciation for the year (827,100×10%)	(82,710)	82,710
Addition:		
New generator	500,000	
Old generator – trade-in-allowance	35,000	
Installation charges	30,000	
	565,000	
Depreciation on additions (565,000 ×10% × 6/12)	(28,250)	28,250
	536,750	
Depreciation on disposed of generator [(100,000 – 27,100) × 10% × 6/12] (C)	-	3,645
	1,281,140	114,605
Loss on disposal [(A– B– C) – 35,000]	34,255	

▶ *Example 17:*

Following is the trial balance of Younus Limited (YL) as on 30 June 2017:

Particular	Debit	Particular	Credit
	Rs. in '000		Rs. in '000
PPE	200,000	Share capital (Rs. 10 each)	35,000
Receivables and advances	13,000	Un-appropriated profit	66,820
Office rent	1,120	5% Bank loan	52,000
Opening stock	54,000	Trade payables	10,000
Taxation (advance tax)	6,000	Acc. dep. – 30 June 2017	120,000
Cash and bank	40,000	Sales	240,000
Purchases	170,000		
Selling expenses	20,000		
Administrative expenses	17,000		
Financial charges	2,700		
	523,820		523,820

The following additional information is available:

i. On 1 July 2016 engine of a delivery truck seized and was replaced at a cost of Rs. 2 million on the next day. Rs. 1.2 million was paid in cash whereas the remaining amount was adjusted against the trade in value of the seized engine. The payment was charged to selling expenses.

The delivery truck was purchased on 1 July 2010. The cost of the delivery truck is Rs. 5 million of which approximately Rs. 1 million is attributable to the seized engine. Delivery trucks are depreciated over their useful life of 10 years.

ii. Certain goods despatched on 28 June 2017 reached YL's warehouse on 2 July 2017.

Break-up of the amount paid against these goods is as follows:

	Rs. in '000
20% advance to supplier	500
Insurance in transit	50
Delivery charges	100

The above amounts are appearing under the head 'Receivables and advances'.

iii. Cost of stock in hand as on 30 June 2017 is Rs. 50 million.

iv. During the year, YL gave free samples to certain customers. The selling price and gross profit on these goods was Rs. 5.4 million and 20% of cost respectively. No adjustment has been made in the books in this regard.

v. Office rent pertains to the period from July 2016 to December 2017 and is inclusive of an upward revision of 10% with effect from 1 January 2017.

vi. Bank loan was obtained on 1 July 2015. The principal is repayable in 20 equal quarterly instalments. The principal along with interest is paid on the first day of the next quarter.

vii. Tax expense for the year is Rs. 7.7 million.

Required:

Prepare statement of financial position as at 30 June 2017 and statement of profit or loss for the year ended 30 June 2017 in accordance with International Financial Reporting Standards.

▶ *ANSWER:*

Younus Limited

Statement of Profit or Loss

For The Year Ended June 30, 2017

	Rs. 000
Sales	240,000
Cost of sales 54,000 + 170,000 – 50,000 – 4,500	(169,500)
Gross profit	70,500
Other income (Gain on disposal)	400
	70,900
Administration cost 17,000 + 1,120 – 385	(17,735)
Selling & distribution expense 20,000 – 1,200 + 400 + 4,500	(23,700)
Financial charges2,700 + 650	(3,350)
Profit before tax	26,115
Income tax expense	(7,700)
Profit for the year	18,415

Younus Limited

Statement of Financial Position

As at June 30, 2017

	Rs. 000
Non – current assets	
PPE 200,000 – 120,000 + 1,600 – 400	81,200
Current assets	
Inventory 50,000 + 2,650	52,650
Receivable and advances 13,000 – 650	12,350
Prepaid rent	385
Cash and bank	40,000
	105,385
	186,585
Capital and Liabilities	
Share capital	35,000
Un- appropriated profit (66,820 + 18,415)	85,235
	120,235
Non – current liabilities	
Bank loan [52,000-16,000]	36,000
Current liabilities	
Trade payables 10,000 + 2,000	12,000
Current portion of bank loan 52,000 x 4 Quarters / 13 remaining Quarters	16,000
Income tax payable 7,700 – 6,000 advance	1,700
Interest payable	650
	30,350
	186,585

W1: NBV of old PPE given in exchange 1,000 – (1,000 x 10% x 6 years) = 400

W2: Depreciation impact of correction of error 2,000 – 400 = 1,600 / 4 years remaining life = Rs. 400

W3: Payable for inventory in transit 500 / 20%] – 500 advance = Rs. 2,000

W4: Inventory in transit 2,000 + 650 = Rs. 2,650

W5: Cost of free samples 5,400 x 100 /120 = Rs. 4,500

W6: Prepaid rent 1,120 / [0.5 year + (1 +10% year)]= 700 per year x 6/12 = 350 + 10% = 385

W7: Accrued interest 52,000 x 5% x 3/12 = Rs. 650

8 OBJECTIVE BASED Q&A

1. Which one of the following would not necessarily lead to a liability being classified as a current liability?
   a) The liability is expected to be settled in the course of the entity's normal operating cycle
   b) The liability has arisen during the current accounting period
   c) The liability is held primarily for the purpose of trading
   d) The liability is due to be settled within 12 months after the end of the reporting period

2. Which one of the following would be shown in the 'other comprehensive income' section of the statement of profit or loss and other comprehensive income?
   a) A revaluation gain on an investment property
   b) Profit on sale of an investment
   c) Receipt of a government grant
   d) Gain on revaluation of a factory building

3. Which of the following are not items required by IAS 1 Presentation of Financial Statements to be shown on the face of the statement of financial position?
   a) Inventories
   b) Provisions
   c) Government grants
   d) Intangible assets

4. How does IAS 1 define the 'operating cycle' of an entity?
   a) The time between acquisition of assets for processing and delivery of finished goods to customers
   b) The time between delivery of finished goods and receipt of cash from customers
   c) The time between acquisition of assets for processing and payment of cash to suppliers
   d) The time between acquisition of assets for processing and receipt of cash from customers

5. Where are equity dividends paid presented in the financial statements?
   a) As a deduction from retained earnings in the statement of changes in equity
   b) As a liability in the statement of financial position
   c) As an expense in profit or loss
   d) As a loss in 'other comprehensive income'

6. Inappropriate accounting policies are rectified by:
   a) Disclosure of the accounting policies used
   b) Notes
   c) Explanatory material
   d) None of above

7. Each component of the financial statements shall be identified clearly. In addition, the following information shall be displayed prominently:
   i. The name of the reporting undertaking
   ii. The name of chief accountant
   iii. Whether the financial statements cover the individual undertaking, or a group

iv. The SFP date, or the period covered by the financial statements, whichever is appropriate to that component of the financial statements
v. the presentation currency
vi. the level of rounding used in presenting amounts in the financial statements

a) All of above
b) All of above except (iii)
c) All of above except (ii)
d) All of above except (v)

8. Which of the following is appropriate statement regarding compliance with IFRSs?

a) These financial statements have been prepared in accordance with most of IFRSs
b) These financial statements have been prepared in accordance with all the IFRSs except IAS 8 and IAS 2
c) These financial statements have been prepared in accordance with IFRSs
d) These financial statements have been prepared in accordance with selected IFRSs

9. An entity's year end is June 30, 2019 when it has a long-term loan due on February 29, 2020. The loan is refinanced on July 20, 2019 and now it will be repaid on April 30, 2025.

This loan shall be presented as:

a) Current liability
b) Non-current liability
c) Equity
d) Contingent liability

10. An entity's year end is June 30, 2019. It breached a condition of loan and it is now payable on demand. However, on June 30, 2019, the lender agrees not to demand payment as a consequence of the breach prior to June 30, 2020 giving at least 12 months grace to rectify the breach.

This loan shall be presented as:

a) Current liability
b) Non-current liability
c) Equity
d) Contingent liability

11. The judgement on whether additional items are presented separately is based on an assessment of:

i. The nature and liquidity of assets
ii. The function of assets
iii. The amounts, nature and timing of liabilities
iv. The space available in the financial statements

a) (i) and (ii)
b) (i) and (iv)
c) (ii) and (iii)
d) (i), (ii) and (iii)

12. Which of the following statements are correct according to IAS 1?

    i. Profit or loss is the total of income less expenses, including the components of other comprehensive income.
    ii. An entity shall present with equal prominence all of the financial statements in a complete set of financial statements.

    a) (i) only
    b) (ii) only
    c) (i) and (ii) both
    d) Neither (i) nor (ii)

13. Which of the following statements are correct according to IAS 1?

    i. All financial statements are prepared using the accrual basis of accounting.
    ii. The entity shall reclassify comparative amounts unless reclassification is impracticable.

    a) (i) only
    b) (ii) only
    c) (i) and (ii) both
    d) Neither (i) nor (ii)

14. Which of the following statements are correct according to IAS 1?

    i. An entity need not provide a specific disclosure required by an IFRS if the information is not material.
    ii. Measuring assets net of valuation allowance is not offsetting.

    a) (i) only
    b) (ii) only
    c) (i) and (ii) both
    d) Neither (i) nor (ii)

15. Which of the following statements are correct according to IAS 1?

    i. Statement of comprehensive income may be presented as a single statement or in two statements, displaying profit or loss and other comprehensive income separately.
    ii. Analysis of expense in profit or loss may be presented using a classification based on their nature or their function.

    a) (i) only
    b) (ii) only
    c) (i) and (ii) both
    d) Neither (i) nor (ii)

16. On January 1, 2015 Yasir Limited issued debenture certificates of Rs. 80 million which are repayable along with interest in 2020. The interest rate is 10% per annum and is payable at redemption.

    At which amount these debentures should be presented in statement of financial position as at June 30, 2015 under the heading non-current liabilities?

    a) Rs. 80 million
    b) Rs. 84 million
    c) Rs. 88 million
    d) None of above

17. On January 1, 2015 Yasir Limited issued debenture certificates of Rs. 80 million which are repayable at par in 2020. The interest rate is 10% per annum. The interest is payable half yearly on July 1 and January 1 each year until redemption.

    At which amount these debentures should be presented in statement of financial position as at June 30, 2015 under the heading non-current liabilities?

    a) Rs. 80 million
    b) Rs. 84 million
    c) Rs. 88 million
    d) None of above

18. On 1 January 2016, Hadi Limited (HL) started research and development work for a new product. On 1 May 2016, the recognition criteria for capitalization of internally generated asset was met. The product was launched on 1 November 2016.

    HL incurred Rs. 20 million from commencement of research and development work till launching of the product and charged it to cost of goods sold. It is estimated that the useful life of this new product will be 20 years. It may be assumed that all costs accrued evenly over the period.

    On 31 December 2016, the recoverable amount of the development expenditure was Rs. 10 million.

    For the year ended 31 December 2016, what amount should be transferred from cost of goods sold to administrative expenses?

    a) Rs. 8 million
    b) Rs. 10 million
    c) Rs. 12 million
    d) Rs. 20 million

19. Manahil Limited (ML) is preparing its financial statements for the reporting period ending on December 31, 2024. ML has a loan liability that was originally for a term of three years. However, as of the reporting date, the loan is due to be settled within twelve months. An agreement to refinance the loan on a long-term basis is completed on February 15, 2025, before the financial statements are authorized for issue. How should ML classify the loan liability in its financial statements for the reporting period ending December 31, 2024?

    a) Classify the loan liability as non-current, as the original term was for a period longer than twelve months.
    b) Classify the loan liability as non-current, as the agreement to refinance was completed before the financial statements were authorized for issue.
    c) Classify the liability as current, as refinancing has not been completed within 30 days of the end of reporting period.
    d) Classify the liability as current, as refinancing after the end of reporting period does not affect the classification of liabilities.

20. Hadi Limited (HL) trial balance as at 31 December 2016 reflects the following:

	Debit Rs. 000	Credit Rs. 000
Capital work-in-progress	145,000	
Plant and machinery – at cost	305,000	
Accumulated depreciation		53,250

    No depreciation has been charged in the current year. Depreciation is provided at 10% per annum using the straight-line method

A machine which was purchased on 1 January 2015 for Rs. 25 million was traded-in, on 1 July 2016 for a new and more sophisticated machine. The disposal was not recorded, and the new machine was capitalized at Rs. 15 million being the net amount paid to supplier. The trade-in allowance amounted to Rs. 20 million.

Calculate the amount of depreciation to be charged for the year ended 31 December 2016, in respect of above?

a) Rs. 26,500,000
b) Rs. 27,750,000
c) Rs. 28,250,000
d) Rs. 29,500,000

ANSWERS

01.	(b)	The fact that a liability has arisen during the current accounting period does not make it a current liability. The other options would all lead to classification as a current liability.
02.	(d)	The revaluation gain on the factory will be presented under 'other comprehensive income'. The other items will be recognised in profit or loss. Note that gains on investment properties go through profit or loss.
03.	(c)	Inventories, provisions and intangible assets are shown separately. There is no such requirement for government grants.
04.	(d)	The time between acquisition of assets for processing and receipt of cash from customers
05.	(a)	Equity dividends are presented in the statement of changes in equity.
06.	(d)	An entity cannot rectify inappropriate accounting policies either by disclosure of the accounting policies used or by notes or explanatory material.
07.	(c)	The name of chief accountant is not required.
08.	(c)	The statement must be explicit and unreserved.
09.	(a)	Refinancing or rescheduling after the year-end does not change classification.
10.	(b)	The loan is not payable in twelve months due to grace period.
11.	(d)	The availability of space is not reason for any additional item. If any disclosure is necessary, the space is created.
12.	(b)	Other comprehensive income is not part of profit or loss.
13.	(b)	Statement of cash flows is not prepared under accrual basis of accounting.
14.	(c)	Both statements are correct.
15.	(c)	Both statements are correct.
16.	(b)	Rs. 80 million + Rs. 80 million x 10% x 6 /12 = Rs. 84 million The interest will be included in debentures amount as it is payable at redemption.
17.	(a)	The interest is payable on July 1, 2015 and shall be presented as current liabilities.
18.	(b)	Research 20 million x 4/10 months = Rs. 8 million Amortisation 12 million /20 years x 2/12 = Rs. 0.1 million Impairment 11.9 million – 10 million = Rs. 1.9 million Total Rs. 10 million
19.	(d)	Classify the liability as current, as refinancing after the end of reporting period does not affect the classification of liabilities.

20. (d)

	Rs. 000
On addition 35,000 x 10% x 6/12	1,750
On disposed 25,000 x 10% x 6/12	1,250
Opening (other) 305,000 – 25,000 – 15,000 = 265,000 x 10% x 12/12	26,500
Total	**29,500**

STICKY NOTES

Minimum items to be presented in statement of financial position

1.	property, plant and equipment
2.	investment property
3.	intangible assets
4.	Financial assets
5.	investments accounted for using the equity method
6.	biological assets
7.	inventories
8.	trade and other receivables
9.	cash and cash equivalents
10.	trade and other payables
11.	provisions
12.	financial liabilities
13.	liabilities and assets for current tax
14.	deferred tax liabilities and deferred tax assets
15.	issued capital and reserves attributable to owners.

Minimum items to be presented in statement of comprehensive income

1.	Profit or loss
2.	Total other comprehensive income
3.	Comprehensive income for the period.

Minimum items to be presented in statement of changes in equity

1.	Total comprehensive income
2.	Effect of retrospective application and/or retrospective restatement.
3.	Reconciliation for each component of equity separately disclosing changes from: • Profit or loss • Other comprehensive income • Transaction with owners (issue of shares, dividend)

Notes to the financial statements

The notes shall:

- present information about the basis of preparation of the financial statements and the specific accounting policies used;
- disclose the information required by IFRSs that is not presented elsewhere in the financial statements; and
- provide information that is not presented elsewhere in the financial statements, but is relevant to an understanding of any of them.

CHAPTER 12

ACCOUNTING FOR NPOs

IN THIS CHAPTER:

AT A GLANCE

SPOTLIGHT

1. Not for profit organisations
2. Income of NPOs
3. Inventories and non-current assets
4. Preparation of financial statemetns
5. Comprehensive Examples
6. Objective Based Q&A

STICKY NOTES

AT A GLANCE

Not-for-Profit Organisations (NPOs) do not operate with a profit motive. However, they are also required to keep proper records of incomes, expenses, assets, and liabilities to provide relevant information to stakeholders.

The major sources of income of an NPO is donations / contributions, subscriptions, fee for services, government funding, grants, etc. The revenue expenditures related to NPOs are quite similar to profit-oriented organisations e.g. salaries, rent, electricity, repair, maintenance and depreciation etc. These revenue items are presented in the statement of income and expenditure to determine the surplus or deficit for the period.

The statement of financial position is also quite similar to as those of profit-oriented organisations reflecting non-current assets, current assets, non-current liabilities and current liabilities. However, net assets (i.e. equity) is presented using fund accounting instead of share capital and reserves.

Some small NPOs only maintain record of receipt and payments prepared on cash basis and includes both capital items and revenue items for a period. Using additional information and receipt and payment account, amounts for accrual based financial statements may be calculated or estimated.

As NPOs operations and objectives differ significantly from profit-oriented entities, ICAP has issued 'Accounting Standard for NPOs' to prescribe the detailed accounting guidance for general and specific issues relevant to NPOs. This standard is compulsory for NPOs registered as companies as per SECP directives and is recommended to be applied by other NPOs as well to provide relevant and reliable information to donors and other stakeholders of NPOs.

The Accounting standard for NPOs requires use of fund accounting and provides detailed guidance on revenue recognition of contributions received or receivable by an NPO.

1 NOT FOR PROFIT ORGANISATIONS

1.1 Introduction [ASNPO: 1.1]

Not-for-Profit Organisations (NPOs) are organisations, normally without transferable ownership interests, organized and operated exclusively for social, educational, professional, religious, health, charitable or any other not-for-profit purpose. An NPO's members, contributors and other resource providers do not, in such capacity, receive any financial return or dividends directly from the NPO.

NPOs may be:

- companies formed under Section 42 of Companies Act, 2017;
- trusts formed under Trust Act, 1882;
- societies formed under the Societies Registration Act, 1860; or
- any other recognisable form of organisation giving value to the groups of people they administer to.

The primary objective of a profit-oriented entity is to make profit and maximise shareholders' wealth while main objective of NPO is to provide its services effectively by achieving value for money. NPO applies or intends to apply its profits (commonly referred to as surplus), if any, or other income in promoting its objects, and prohibits the distribution of surplus to its members, sponsors, promoters, etc.

NPOs have income which they raise and costs which must be paid just like other organisations and although profit is not their objective but they have to account for their income and costs. NPOs are accountable for their effectiveness, economy and efficiency in utilising the funds.

Revenues of NPOs normally arise from donations, government grants and amount collected through contributions, membership fees, fundraising, the sale of goods, the rendering of services or the use by others of NPO resources yielding rent, interest, royalties or dividends.

Some accounting rules are as relevant to NPOs as to profit-oriented entities, for example, requirements relating to inventory, non-current assets and recognition of revenue. However, some areas might be completely irrelevant, for example, earnings per share.

1.2 Different terminology

NPOs use different accounting and business terminology from profit-oriented entities.

Profit-oriented entities	Not-for-Profit Organisations
Statement of comprehensive income	Statement of income and expenditure
Net profit	Excess of income over expenditure / Surplus
Net loss	Excess of expenditure over income / Deficit
Equity / Share capital and equity reserves	Net assets / Accumulated fund / Accumulated surplus / Accumulated deficit / Fund balance
Statement of changes in equity	Statement of changes in net assets
Specific reserve	Restricted contribution / grant
Fee	Subscription
Owners / Shareholders	Trustees/ sponsors / donors

1.3 Accounting Standard for Not-for Profit Organisations [ASNPO: 1.3 & 1.4]

The Institute of Chartered Accountants of Pakistan (ICAP) issued the 'Accounting Standard for Not-for-Profit Organisations' (hereinafter referred to as 'ASNPO') and as per Securities and Exchange Commission of Pakistan's (SECP) directives, ASNPO is applicable to associations not-for-profit registered under the company law (e.g. Companies Act, 2017).

ASNPO is applicable to NPOs registered under the company law i.e. it is compulsory for such NPOs to comply with requirements of ASNPO in addition to the requirements of applicable reporting framework e.g. IFRSs. In case any requirement of ASNPO is/are inconsistent, the requirements of IFRSs shall prevail.

NPOs, other than companies, are also recommended to prepare financial statements in accordance with ASNPO.

1.4 Recognition and Measurement [ASNPO: 2.47 & 2.48]

1.4.1 Recognition criteria [ASNPO: 2.35, 2.38 & 2.40 to 2.45]

Recognition is the process of including an item in the financial statement of an organisation. The recognition criteria under ASNPO are as follows:

- the item has an appropriate basis of measurement and a reasonable estimate can be made of the amount involved; and
- for items involving obtaining economic benefits (i.e. assets), it is probable that such benefits will be obtained.
- for items involving giving up economic benefits (i.e. liabilities), it is probable that such benefits will be given up.

The recognition criteria provide general guidance on when an item is recognized in the financial statements. Professional judgment is required to consider the specific circumstances to identify whether any particular item is recognized or not.

Revenue	Revenues are generally recognized when performance is achieved and reasonable assurance regarding measurement and collectability of the consideration exists.
Unrestricted contributions	Unrestricted contributions to NPO do not normally arise from the sale of goods or the rendering of services and, consequently, performance achievement is generally not relevant to the recognition of unrestricted contributions; such revenues are generally recognized when received or receivable.
Restricted contributions	Restricted contributions are recognized based on the nature of the related restriction.
Gains	Gains are generally recognized when realized.
Expenses and losses	Expenses and losses are generally recognized when an expenditure or previously recognized asset does not have future economic benefit. Expenses are related to a period on the basis of transactions or events occurring in that period or by allocation applying the matching concept.

1.4.2 Measurement [ASNPO: 2.47 & 2.48]

Financial statements of NPOs are prepared primarily using the historical cost basis of measurement whereby transactions and events are recognised in financial statements at the amount of cash or cash equivalents paid or received or the fair value ascribed to them when they took place.

Financial statements are prepared with capital maintenance measured in financial terms and with no adjustment being made for the effect on capital of a change in the general purchasing power of the currency during the period.

1.5 Fund accounting [ASNPO: Definitions, 4.3, 4.16 & 4.19]

Fund accounting comprises the collective accounting procedures resulting in a self-balancing set of accounts for each fund established by legal, contractual or voluntary actions of an NPO. Elements of a fund can include assets, liabilities, net assets, revenues and expenses (and gains and losses, where appropriate). Fund accounting involves an accounting segregation, although not necessarily a physical segregation, of resources.

Net assets or fund balances may be internally or externally restricted. Internally restricted net assets or fund balances are often referred to as reserves or appropriations.

Restrictions are stipulations imposed that specify how resources must be used. External restrictions are imposed from outside the NPO, usually by the contributor of the resources. Internal restrictions are imposed in a formal manner by the NPO itself, usually by resolution of the board of directors/council/board of trustees.

An NPO that uses fund accounting in its financial statements should provide a brief description of the purpose of each fund reported. There are two methods of fund accounting, deferral method (discussed later in this chapter) and restricted fund method (not examinable). In practice, most companies use deferral method.

The funds can be classified into following three categories:

Endowment fund	An endowment fund is a self-balancing set of accounts which reports the accumulation of endowment contributions. Only endowment contributions and investment income subject to restrictions stipulating that it be added to the principal amount of the endowment fund would be reported as revenue of the endowment fund. Allocations of resources to the endowment fund that result from the imposition of internal restrictions are recorded as inter-fund transfers.
Restricted fund	A restricted fund is a self-balancing set of accounts the elements of which are restricted or relate to the use of restricted resources. Only restricted contributions, other than endowment contributions, and other externally restricted revenue would be reported as revenue in a restricted fund. Allocations of resources that result from the imposition of internal restrictions are recorded as inter-fund transfers to the restricted fund.
General fund / unrestricted fund	A general fund is a self-balancing set of accounts which reports all unrestricted revenue and restricted contributions for which no corresponding restricted fund is presented. The fund balance represents net assets that are not subject to externally imposed restrictions.

▶ *Example 01:*

Consider the following independent circumstances:

a) A professional body of accountants (the NPO) sets-up a fund for financial support of deserving students. For this purpose, Rs. 100 million have been allocated that will be invested and 80% of the investment income shall be used for student support and 20% of investment income shall be added to fund investments. The fund investments shall not be available for use by the NPO for its operations and the NPO shall preserve the principal amount of fund.

b) A healthcare NPO has raised money through special marketing drive in which overseas contributors deposited $100 each in its 'Save a life fund' account. The contributions shall be used for the NPO's routine operations which focuses on providing life-saving drugs to patients who cannot afford the cost.

c) An educational NPO has set-up a fund for development of new school in nearby rural area. The fund-raising drive has been successful as many people have contributed for the cause. The fund-raising clearly stated that the funds so raised shall only be used for construction and operations of school at that specific location.

Required:

Identify the type of above funds.

▶ *Answer:*

a) Endowment fund

b) General fund

c) Restricted fund

2 INCOME OF NPOs

2.1 Categories of income

An NPO may have several categories of income to fund its operations, for example:

a) Fee for services;

b) Contributions and donations;

c) Membership fees /subscriptions;

d) Government funding;

e) Investment income;

f) Profit from running a coffee bar, a canteen or a shop; and

g) Fundraising events.

2.2 Fee for services

NPOs may charge fee for their service in order to supplement their funding. The fee is usually lower than commercial charges for the same product or services. Examples include:

- A healthcare NPO charges Rs. 100 only for each consultation visit by a patient while commercial hospitals are charging Rs. 1,500 per visit for similar services.
- An educational NPO is charging a fee of Rs. 500 per month per student to provide affordable education in an under-privileged area.

2.3 Contribution/donations [ASNPO: Definitions & 6.2]

Contributions can come from many sources, including individuals, corporations, governments and other NPOs. Contributions include contributions receivable that meet the criteria for recognition in the financial statements.

A ***contribution*** is a non-reciprocal transfer to an NPO of cash or other assets or a non-reciprocal settlement or cancellation of its liabilities.

Restrictions (explicit or implicit) on contributions may only be externally imposed. However, subsequently internal restrictions may be imposed in a formal manner by the organization itself by directors / trustees.

2.3.1 Types of contribution [ASNPO: Definitions]

Restricted contribution	A restricted contribution is a contribution subject to externally imposed stipulations that specify the purpose for which the contributed asset is to be used.
Endowment contribution	An endowment contribution is a type of restricted contribution subject to externally imposed stipulations specifying that the resources contributed be maintained permanently, although the constituent assets may change from time to time.
Unrestricted contribution	An unrestricted contribution is a contribution that is neither a restricted contribution nor an endowment contribution.

▶ *Example 02:*

Consider the following independent circumstances:

a) A healthcare NPO received Rs. 10 million from wealthy individuals subject to the condition that this amount shall only be used for acquisition of land for construction of a hospital in a specific village.

b) A healthcare NPO received Rs. 25 million contribution from a wealthy individual in the year 20X2. The sole purpose of the amount is to support the NPO's general operations in the year 20X4 and 20X5.

c) An educational NPO received a plot of land from Mr. Salman subject to the condition that this land shall only be used for construction of a primary education school to be run by that NPO. The fair value of this plot of land is Rs. 12 million.

d) An educational NPO received a plot of land from Mr. Jamal subject to the condition that this land or sale proceeds from its disposal shall only be used to achieve general objectives of that NPO. The fair value of this plot of land is Rs. 15 million.

e) An educational NPO received Rs. 50 million from alumni donors subject to the condition that the principal balance shall be invested as per specified investment policy and NPO cannot use the principal balance to fund operations. However, the NPO can utilise the investment earnings to pay for things such as academic programs or building new school facilities.

Required:

Identify the type of contributions in above circumstances.

▶ *Answer:*

a) Restricted contribution
b) Restricted contribution
c) Restricted contribution
d) Unrestricted contribution
e) Endowment contribution

2.3.2 Contributed materials and services [ASNPO: 6.15 to 6.17]

A contribution of materials and services (i.e. assets other than cash) would be measured at fair value only when:

- the fair value can be reasonably estimated; and
- the materials and services are used in the normal course of the NPO's operations and would otherwise have been purchased.

Often these contributions are not recorded because of record-keeping and valuation difficulties. For example, it may be impractical to record the receipt of contributed services where the NPO depends heavily on the use of volunteers to provide services. Where contributed materials and services meet the criteria of fair value measurement, recording their value would provide useful information.

Contributed materials and services that are part of a constructed or developed capital asset (i.e. property, plant and equipment) would be recognised at fair value.

2.3.3 Contribution receivable [ASNPO: 7.2, 7.4 & 7.5]

Contributions include contributions receivable that meet the criteria for recognition in the financial statements. A contribution receivable should be recognised as an asset when it meets the following criteria:

a) the amount to be received can be reasonably estimated; and

b) ultimate collection is reasonably assured.

In particular, recognition of pledge and bequest shall be recognised as follows:

a) A pledge is a promise to contribute cash or other assets to an NPO. Similar to any other contribution receivable, an uncollected pledge would only be recognised:

- if it meets the above recognition criteria;
- there is reasonable assurance that the NPO will comply with conditions, if any, attached to the contribution; and
- contribution is not dependant on any contingent event outside NPO's control.

b) Bequests are often subject to considerable uncertainty surrounding both the timing of the receipt and the amount that will actually be received. In many cases, the recognition criteria will not be satisfied and the bequest will not be recognised until it is received.

2.3.4 Recognition of contribution revenue [ASNPO: 6.27 to 6.46]

Using the deferral method, the contributions and related income are recognised as follows:

Contribution / income	Recognition
Endowment contributions	Recognise as direct increases in net assets in the current period and excluded from revenue. This is because endowment contributions will never be available to meet expenses associated with the organization's service delivery activities.
Restricted contributions for expenses of current period	Recognise as revenue in current period.
Restricted contributions for expenses of future periods	Defer and recognise as revenue in the same period(s) as the related expenses are recognised. When the only restriction on a contribution is that it cannot be used until a particular future period, the total amount of the contribution would be recognised as revenue in that future period, whether or not it has been spent.
Restricted contributions for the purchase of capital assets	In case of depreciable assets, defer and recognise as revenue on the same basis as the depreciation/amortisation expense related to the acquired capital assets. In case of non-depreciable assets, recognise as direct increase in net assets. In order for a contribution to be accounted for as a contribution restricted for the purchase of a capital asset, the contributor must specify the portion of the contribution that is to be used to purchase capital assets. If the contributor does not so specify, then the contribution would be recognised as revenue when spent for the particular purpose covered by the restriction, regardless of the fact that some of the expenditures may relate to the purchase of capital assets.
Restricted contributions for the repayment of debt	In case debt was incurred to fund expenses of future periods, defer and recognise as revenue in same period(s) as the related expenses are recognised. In case debt was incurred to fund the purchase of capital asset (depreciable), defer and recognise as revenue on the same basis as the depreciation / amortisation expense related to the acquired capital assets. In case debt was incurred to fund the purchase of capital asset (non-depreciable), recognise as direct increase in net assets. Otherwise, recognise as revenue in the current period.
Unrestricted contributions	Recognise as revenue in the current period.

Deferred contributions balances should be presented in the statement of financial position outside net assets as liability.

▶ *Example 03:*

Ali has been very successful in business. When he was a young man, he very much enjoyed playing cricket and has very fond memories of his days at the village cricket club.

He has donated Rs. 1,000,000 to the club to fund the building of a new club house which is under construction and expected to be completed by the end of next year.

Required:

How the above amount of Rs. 1 million should be recognised in the books of village cricket club?

- *Answer:*

This is restricted contribution for construction of a capital asset.

Initially, this amount shall be recognised as deferred contribution and presented as liability.

Subsequently, this shall be recognised as revenue on the same basis depreciation expense is charged on the building of new club house.

- *Example 04:*

A social club in a small town has managed to accumulate a significant balance on its accumulated fund over the years.

Its board of trustees have decided that the club should establish a fund to contribute to the school fees of children of high promise from the town. Parents of such children would apply to the club for a grant of Rs. 50,000. A total Rs. 1,500,000 is to be set aside for this purpose.

Required:

How to account for the above when the amount is set-aside and subsequently when the amount is actually paid?

- *Answer:*

This is not restricted contribution because there is no externally imposed stipulation rather an internal restriction has been imposed by the NPO itself.

The transfer of Rs. 1,500,000 shall be presented in statement of changes in net assets (and not in the statement of income and expenditure).

Debit	General fund	Rs. 1,500,000
Credit	Special education fund	Rs. 1,500,000

Subsequently, the amount paid will be recognised as reduction from the special fund.

Debit	Special education fund	Rs. 1,500,000
Credit	Cash	Rs. 1,500,000

- *Example 05:*

A member of cricket club donated Rs. 2 million for repayment of loan obtained by the club in order to finance its general operations.

Required:

How the above donation shall be recognised?

- *Answer:*

This is restricted contribution for repayment of debt. However, since the loan relates neither to expenses of future periods nor to capital assets, the contribution shall be recognised as revenue in the current period.

2.4 Membership fee / subscription [ASNPO: 6.4]

Many NPOs receive membership fees / subscription that entitles the members of the NPO to services provided by the NPO. At each year end there will usually be some members who have paid their subscriptions in advance and some who are in arrears. These are both included as balances brought down and carried down on a single subscription account. Cash received is credited to this account and the balance on the account is transferred to statement of the income and expenditure (as income for the year).

Subscription account			
	Rs.		Rs.
Balance b/d (members in arrears)	X	Balance b/d (members who have prepaid)	X
Income and expenditure	X	Cash	X
Balance c/d (members who have prepaid)	X	Balance c/d (members in arrears)	X
	X		X
Balance b/d (members in arrears)	X	Balance b/d (members who have prepaid)	X

- *Example 06:*

At 31 March 2016 a cricket club had membership subscriptions in arrears amounting to Rs. 48,000 and had received Rs. 12,000 subscriptions in advance.

During the year to 31 March 2017 the club received Rs. 624,000 including 26 memberships for the year to 31 March 2018 at Rs. 1,200 per annum.

At 31 March 2017 16 members owed subscriptions of Rs. 1,200 each.

Required:

How the above transactions would be recorded in the subscription's ledger account for the year to 31 March 2017?

- *Answer:*

Subscriptions			
	Rs.		Rs.
b/d (arrears)	48,000	b/d (advance)	12,000
Income and expenditure	576,000	Cash	624,000
c/d (advance) [26 × 1,200]	31,200	c/d (arrears) [16 × 1,200]	19,200
	655,200		655,200
b/d	19,200	b/d	31,200

The exam questions often include the write off of subscriptions from members who have stopped attending the club. The bad debts expense is charged as expense in statement of income and expenditure and also included in the subscriptions account to determine correct amount of subscription revenue to be recognised in statement of income and expenditure.

- *Example 07:*

At 31 March 2016 a cricket club had membership subscriptions in arrears amounting to Rs. 48,000 and had received Rs. 12,000 subscriptions in advance.

During the year to 31 March 2017 the club received Rs. 624,000 including 26 memberships for the year to 31 March 2018 at Rs. 1,200 per annum.

At 31 March 2017 16 members owed subscriptions of Rs. 1,200 each.

Half of the members who were in arrears at the end of the previous period still had not paid by 31 March 2017. It was decided to write these amounts off.

Required:

How the above transactions would be recorded in the subscription's ledger account for the year to 31 March 2017?

▶ *Answer:*

Subscriptions			
	Rs.		Rs.
b/d (arrears)	48,000	b/d (advance)	12,000
Income and expenditure	600,000	Cash	624,000
		Bad debts [1/2 × 48,000]	24,000
c/d (advance) [26 × 1,200]	31,200	c/d (arrears) [16 × 1,200]	19,200
	679,200		679,200
b/d	19,200	b/d	31,200

2.4.1 Joining fee and life membership fee

The following membership fees might be recognised over the several years during which the NPO is expected to provide services to the respective members:

- Joining fee i.e. a sum of money that paid by member in order to become a member of the NPO.
- Life membership fee i.e. "once in a life" lump sum amount paid by a member in lieu of periodic regular subscription to the NPO.

However, in some circumstances, it may be appropriate to recognise joining fees or entrance fees in the year in which those fees become due. Therefore, recognition of such fees involves a considerable degree of judgment on the part of the NPO.

▶ *Example 08:*

Multan Book Reading Club (MBRC) is a newly established NPO. The members of MBRC can pay for membership privileges by either paying Rs. 10,000 per annum or paying lump sum amount of Rs. 80,000 for life-time membership.

During the first month of operations, 20 members have opted for life-time membership.

The management of MBRC has estimated that on average a member will be using MBRC services for 10 years.

Required:

Advise how MBRC should recognise the above life-membership fee in its financial statements prepared at the end of Year 1.

▶ *Answer:*

The life-membership shall be recognised as income over the years MBRC is expected to provide services i.e. 10 years.

Therefore, Rs. 160,000 (i.e. 20 members x Rs. 80,000 / 10 years) shall be recognised in statement of income and expenditure. The amount attributable to next year (i.e. Rs. 160,000) shall be presented as current liability, while remaining amount of Rs. 1,280,000 (i.e. 20 members x Rs. 80,000 – 160,000 – 160,000) shall be presented as non-current liability.

2.4.2 Fee for service and/or contributions [ASNPO: 6.4]

Membership fees are considered fees for services when members receive services having a value commensurate with fees paid. In other cases, membership fees may be in substance contributions.

An NPO would decide whether its membership fees are contributions or fees for services and account for them accordingly on a consistent basis. Some membership fees have characteristics of both fees for services and contributions. Such fees would be divided into the portion that relates to fees for services and the portion that is in substance a contribution.

▶ *Example 09:*

ABC Golf Club is members only club providing its members with sports facilities in the grounds owned and maintained by it against annual subscription fee.

At 30 June 20X2, the club had membership subscriptions in arrears amounting to Rs. 48,000,000 and had received Rs. 12,000,000 in advance.

During the year to 30 June 20X3, the club received Rs. 650,000,000 from its members. This amount includes:

- Rs. 26,000,000 received as donation from members (no conditions attached).
- Rs. 31,200,000 received for membership fee for the year to 30 June 20X4.

At 30 June 20X3, members owed Rs. 19,200,000 of subscriptions.

Half of the members who were in arrears at the end of the previous period still had not paid by 30 June 20X3. It was decided to write these amounts off.

Required:

How the revenue from above should be reported in financial statements of ABC Golf Club for the year ended on 30 June 20X3?

▶ *Answer:*

The donation of Rs. 26 million received shall be recognised as contribution revenue separately from fee for services to members.

The subscription income (i.e. fee for services) may be calculated as follows:

Subscription income			
	Rs. m		Rs. m
b/d	48	b/d	12
Income and expenditure	600	Cash (Rs. 650m – 26m)	624
		Bad debts (Rs. 48m x 50%)	24
c/d	31.2	c/d	19.2
	679.2		**679.2**

The subscription income may be reported in statement of income and expenditure at Rs. 600 million (gross basis) or at Rs. 576 million (net of bad debts expense).

2.5 Government funding [ASNPO: 6.3 & 4.45 to 4.48]

Government funding provided to an NPO is considered to be a contribution. Certain types of government funding are calculated and paid as if they were fees for services. However, because the services being funded are provided to the NPO's community of service, and not directly to the government funder, government funding is considered to be a contribution.

In case the NPO is required to provide goods and services directly to the government, the related government funding shall be treated as fee for services.

▶ *Example 10:*

Mujahid Healthcare (MH) is a registered NPO. It has received government funding of Rs. 20 million for which it has to provide vaccine (dosage and administration) for a viral disease to general public (8,000 dosages x Rs. 2,500 each) without taking any fee from them.

Required:

Discuss the accounting treatment of above from perspective of MH.

▶ *Answer:*

The amount of Rs. 20 million is being calculated on dosage basis (i.e. 8,000 dosages x Rs. 2,500) which might indicate that Rs. 20 million should be recognised as fee-for-services in statement of income and expenditure.

However, since the service is not being provided to government but rather to MH's community of service (i.e. general public to whom they provide healthcare services), the government funding of Rs. 20 million shall be considered as contribution.

Further, since the purpose of government funding is specified, it shall be considered as restricted contribution.

The determination of whether to report the revenues and expenses on a gross or net basis depends on the relative facts and circumstances and requires significant judgment.

▶ *Example 11:*

An NPO receives funding to undertake a specific research project. The NPO contracts at its own discretion with a scientist to perform the research. The NPO would not have undertaken the research project had the funds not been made available.

Required: Whether the funding revenue and cost of scientist's services be presented on gross basis or net basis?

▶ *Answer:*

Although the NPO would not have undertaken the research project without the availability of the funding, the NPO acts as the principal in contracting with the scientist. It specifies the details of the research to be carried out by the scientist and has discretion in selecting the scientist and in establishing the price to be paid. Thus, the expenses incurred are obligations of the NPO. The funding revenue and cost of scientist services should be presented on gross basis in statement of income and expenditure.

▶ *Example 12:*

An NPO receives funding (reimbursement) to undertake a specific research project from a textile company. The NPO allocates an employee to textile company for the conduct of research. The NPO would be reimbursed for all the costs related to that employee.

Required: Whether the reimbursement and employee-related costs be presented on gross basis or net basis?

▶ *Answer:*

The NPO has an employee who is seconded to a textile company to work under their direction and the NPO is reimbursed for all of the costs related to that employee. As the NPO is the employer, they would report their employee-related costs as expenses and would report the reimbursement of their costs as revenues on gross basis in statement of income and expenditure.

2.6 Investment income [ASNPO: 6.47 & 6.48]

Net investment income may be subject to externally imposed restrictions. In order to ensure the appropriate reporting of restricted and unrestricted resources, an organization would account for net investment income in the manner appropriate to the nature of any external restrictions imposed.

Net investment income (including revenue, gains or losses on investments) is recognised in the same way contributions are recognised:

a) Externally restricted investment income that must be added to principal resources held for endowment are recognised as direct increase or decrease in net assets.

b) Other externally restricted investment income is recognised according to the type of restrictions (same criteria as for contributions discussed above).

c) In case there is no external restriction, recognise in the statement of income and expenditure.

2.7 Profit from running an operation

If a club has a coffee bar, canteen or shop the "profit" from these is generally calculated separately (in an account known as a trading account) and presented as a line in the statement of income and expenditure.

Any expenses directly related to the operation of a coffee bar or shop would be deducted from the gross profit of the operation and the net profit would be presented on a separate line in the statement of income and expenditure.

Profit (loss) from running Coffee shop	Rs.
Sales	X
Cost of sales	
Opening inventory	X
Purchases	X
Closing inventory	(X)
	(X)
Gross profit	X
Coffee shop worker's salary (and other relevant expenses)	(X)
Profit (loss)	X / (X)

2.8 Fundraising events [ASNPO: 4.45 & 4.49 to 4.52]

Many special events, such as dinners, galas, auctions, and walk-a-thons, are organized to raise contributions to support the NPO's activities. The participants of these events are offered something of value (a meal, entertainment, interaction with a celebrity) for a sum.

The determination of whether to report the revenues and expenses on a gross or net basis depends on the relative facts and circumstances and requires significant judgment.

▶ *Example 13:*

An NPO engages in a number of fundraising activities, including a fundraising telethon, a telephone campaign, a direct mail campaign, special events and a lottery. The NPO uses an outside fundraising consultant to conduct the telethon and uses the NPO's own staff and volunteers in the telethon and the other activities. Funds solicited in each of the activities are raised in the name of the NPO.

Required:

Whether the fundraised and related costs be presented on gross basis or net basis?

▶ *Answer:*

Even though the NPO uses an outside fundraising consultant to conduct the telethon, the NPO is the principal in the relationship with the donors as the funds are raised in its name. The NPO has discretion in selecting the outside fundraiser, in establishing the fees to be paid and in determining the specifications of the telethon. The NPO also has the credit risk if donors to the telethon do not pay according to their pledge. Thus, the NPO should recognise the gross amounts fundraised in each of the activities as revenue of the NPO, and the total expenses of each activity, including the fees charged by any outside party, as expenses of the NPO, separately.

- *Example 14:*

An NPO is actively engaged in helping communities in flood affected area. A group of students organised a music concert, announcing that the net proceeds of the event shall be given to the NPO.

Required:

Whether to report the revenue and costs of the event on gross basis or net basis?

- *Answer:*

The NPO is not the principal in the fundraising event as it was not involved in organizing the event and did not bear any risks in connection with it. The amount received by the NPO is a donation from the organizers of the event. Neither the gross revenues nor the gross expenses of the event are recognised in the NPO's financial statements. The net proceeds received are recognised as a contribution. Disclosure of gross revenues and expenses is not required.

3 INVENTORIES AND NON-CURRENT ASSETS

3.1 Inventories [ASNPO: 5.3 & 5.4]

3.1.1 Contribution of materials

When an NPO recognises contributions of materials and goods, the cost of inventories shall reflect the fair value at the date of contribution.

3.1.2 To be distributed at no charge or for a nominal charge

An NPO shall measure inventories at the lower of cost and current replacement cost when they are held for:

- distribution at no charge or for a nominal charge; or
- consumption in the production process of goods to be distributed at no charge or for a nominal charge.

▶ *Example 15:*

Medicine-for-All is an NPO which provides medicine to communities living in underdeveloped areas at nominal charge. It has following inventories:

Item	Type	Cost	NRV*	Replacement cost	Fair value
		Rupees			
Panadol	Received in kind	Nil	6,000	26,000	28,000
Neubrol	Purchased for cash	24,000	4,000	24,500	25,000
Imodium		12,000	3,000	12,000	12,500
Motilium		15,000	2,500	14,700	15,200
Rijix		18,000	3,500	18,300	17,900

**provided at nominal charge*

Required:

Calculate the amount of inventory that should be presented in the statement of financial position of Medicine-for-All from above data.

▶ *Answer:*

Item	Basis	Rupees
Panadol	Cost equal to fair value but replacement cost is lower	26,000
Neubrol	Cost (lower)	24,000
Imodium	Cost / replacement cost (equal)	12,000
Motilium	Replacement cost (lower)	14,700
Rijix	Cost (lower)	18,000
Total		**94,700**

3.2 Collections [ASNPO: Definitions, 10.2 to 10.4 & 8.8]

Collections are works of art, historical treasures or similar assets that are:

- held for public exhibition, education or research;
- protected, cared for and preserved; and
- subject to an organisational policy that requires any proceeds from their sale to be used to acquire other items to be added to the collection or for the direct care of the existing collection.

Although items meeting the definition of a collection exhibit the characteristics of 'assets' they are excluded from the definition of property, plant & equipment, and intangible assets. Collections are made up of items that are often rare and unique. They have cultural and historical significance.

Although collections are usually held by museums or galleries, other NPOs may also have items that meet the definition of a collection. For example, an NPO's library may include rare books which might be considered to be a collection. The regular library materials, however, would not usually meet the definition of a collection.

Certain works of art and historical treasures may have lives that are so long as to be virtually unlimited. Works of art and historical treasures in this category are those that have cultural, aesthetic, or historical value that is worth preserving perpetually. In addition, the NPO must have the technological and financial ability to continue to protect and preserve them. Works of art and historical treasures of this type would not be depreciated.

3.2.1 Capitalisation

The cost of capitalizing collections often would exceed the incremental benefit of the information gained, especially for NPOs that have been in existence for several decades. Accordingly, although the capitalization of collections is not precluded, it is not required.

3.2.2 Certain works of art and historical treasure not to be depreciated

Certain works of art and historical treasures may have lives that are so long as to be virtually unlimited. Works of art and historical treasures in this category are those that have cultural, aesthetic, or historical value that is worth preserving perpetually. In addition, the NPO must have the technological and financial ability to continue to protect and preserve them. Works of art and historical treasures of this type would not be depreciated

3.3 Property, plant and equipment [ASNPO: Definitions, 8.3 to 8.9 & 8.12]

Tangible capital assets are identifiable tangible assets that meet all of the following criteria:

- are held for use in the provision of services, for administrative purposes, for production of goods or for the maintenance, repair, development or construction of other tangible capital assets;
- have been acquired, constructed or developed with the intention of being used on a continuing basis;
- are not intended for sale in the ordinary course of operations; and
- are not held as part of a collection.

3.3.1 Measurement for contributed assets

A contributed asset would be recognised at its fair value at the date of contribution. When an estimate of fair value cannot reasonably be made, both the asset and the related contribution would be recognised at nominal value to ensure monitoring and accountability.

A tangible capital asset purchased by an NPO at a value substantially below fair value would also be recognised at its fair value with the difference between the consideration paid for the tangible capital asset and fair value reported as a contribution.

A tangible moveable capital asset procured from a grant may be recognised at carrying amount deducting the grant. The grant is recognised in profit or loss over the life of the depreciable asset as a reduced depreciation expense.

3.3.2 Construction or development over time

The cost of PPE includes direct construction or development costs (such as materials and labour) and overhead costs directly attributable to the construction or development activity. PPE which is developed or constructed by an NPO might include contributed materials or labour, which would be recognized at fair value at the date of contribution.

3.3.3 Depreciation / amortisation (under fund accounting)

Land normally has an unlimited life and would not be depreciated.

When a fund accounting basis of reporting is used, the choice of the fund or funds to which depreciation expense would be charged would be based on providing the most meaningful presentation.

3.3.4 Impairment and unamortised deferred contribution

When PPE no longer contribute to the NPO's ability to provide services, its carrying amount would be written down to residual value, if any. A write-down would be necessary, for example, when the NPO no longer plans to use the asset because it has been damaged or rendered obsolete.

When an asset's carrying amount is written down, a corresponding amount of any unamortized deferred contributions related to the asset would be recognized as revenue, provided that all restrictions have been complied with.

▶ *Example 16:*

Jameel Mahtab Dispensary, an NPO, had capital asset of furniture at carrying value of Rs. 600,000 and related unamortised deferred contribution balance of Rs. 400,000 in statement of financial position. At that date, the furniture was destroyed by fire completely and is now worth nothing.

Required: Prepare accounting entries for the above issue.

▶ *Answer:*

The capital asset has been fully impaired and needs to be written off completely.

Debit	Impairment loss (I&E)	Rs. 600,000
Credit	PPE (furniture)	Rs. 600,000

In order to ensure application of matching concept, the unamortised deferred contribution shall be recognised as revenue.

Debit	Deferred contribution	Rs. 400,000
Credit	Contribution revenue (I&E)	Rs. 400,000

4 PREPARATION OF FINANCIAL STATEMENTS

4.1 General [ASNPO: 3.9]

The accounting and approach for preparation of financial statements of an NPO is similar to general-purpose financial statements of other entities except for the issues specifically addressed in ASNPO.

Financial statements of NPO shall normally include:

- statement of financial position (or balance sheet)
- statement of income and expenditure
- statement of changes in net assets
- statement of cash flows.

Notes to financial statements and supporting schedules to which the financial statements are cross-referenced are an integral part of such statements; the same does not apply to information set out in other material attached to or submitted with financial statements.

4.2 Statement of financial position [ASNPO: 4.18 & 4.25]

Information about the NPO's liquidity is presented by classifying current assets separately from non-current assets and current liabilities separately from non-current liabilities. Cash and other assets subject to external restrictions limiting their use to beyond one year from the date of the statement of financial position would be classified as non-current assets.

Under the deferral method of accounting for contributions:

- endowment contributions are accumulated in the net assets balance; and
- internally restricted balances are reflected as appropriations of unrestricted net assets; and
- externally restricted contributions are accumulated in the statement of financial position as deferred contributions.

A format of statement of financial position of an NPO is given below:

Not-for-Profit Organisation

Statement of financial position as at 31 December 20X2

	20X2	20X1
Non-current assets	**Rs. 000**	**Rs. 000**
Capital assets (property, plant and equipment)	2,037	XX
Collections	80	XX
Investments	4,157	XX
	6,274	XX
Current assets		
Office supplies stock	55	XX
Prepaid expenses	58	XX
Subscription receivable	17	XX
Cash and cash equivalents	183	XX
	313	XX
	6,587	**XXX**

	20X2	20X1
Fund balances / Net assets	**Rs. 000**	**Rs. 000**
General fund / Unrestricted net assets	2,939	XX
Net assets: restricted for endowments	208	XX
Net assets: internally restricted for special projects	340	XX
	3,487	XX
Non-current liabilities		
Deferred grants/contributions	1,800	XX
Loans	300	XX
	2,100	XX
Current liabilities		
Deferred grants/contributions	500	XX
Subscriptions received in advance	100	XX
Accrued expenses	400	XX
	1,000	XX
	6,587	**XX**

4.3 Statement of income and expenditure [ASNPO: 4.29, 13.9, 4.31 & 4.35]

Revenues and expenses should be recognised and presented at their gross amounts and this information may be presented in the notes to the financial statements. NPO may classify expenses in the statement of income and expenditure:

- by object (for example, salaries, rent, utilities);
- by function (for example, administrative, research, ancillary operations); or
- by program.

An NPO would classify its expenses in the manner that results in the most meaningful presentation in the circumstances. Whether the NPO prepares its budgets by function or object would be a factor to consider in deciding which method of expense classification would be most appropriate for the NPO's financial statements.

The statement of income and expenditure should present:

- for each financial statement item, a total that includes all funds reported; and
- total excess or deficiency of revenues and gains over expenses and losses for the period.

A format of statement of income and expenditure of an NPO is given below:

Not-for-Profit Organisation

Statement of income and expenditure for the year ended 31 December 20X2

	20X2	20X1
Income	**Rs. 000**	**Rs. 000**
Fee-for-services	5,300	XX
Government grants	1,200	XX
Contributions	170	XX
Fundraising events	300	XX
Profit from coffee bar / shop / canteen	50	XX
Investment income	31	XX
Other income	2	X
	7,053	XXX
Expenditures		
Salaries	3,070	XX
Rent	1,320	XX
Office supplies used	610	XX
Utilities	880	XX
Marketing and communications	422	XX
Amortisation of capital assets	153	XX
	(6,455)	(XXX)
Excess of income over expenditure i.e. surplus	**598**	**XX**

4.4 Statement of changes in net assets [ASNPO: 4.37, 4.38, 4.9 & 4.12]

The statement of changes in net assets is presented in the similar way a statement of changes in equity is prepared i.e. showing the movements in net assets during the year.

The statement of changes in net assets may be referred to as 'the statement of changes in fund balances' when the NPO uses fund accounting in its financial statements.

Inter-fund transfers should be presented in the statement of changes in net assets. Allocations of revenues and expenses between funds that are made when the NPO first recognises the revenue or expense are not considered to be transfers.

A format of statement of changes in net assets for an NPO is given below:

Not-for-Profit Organisation

Statement of changes in net assets for the year ended 31 December 20X2

	Unrestricted / General fund	Endowment fund	Special (internal) fund	Total
Balance 1 January	2,386	150	315	2,851
Surplus	598			598
Endowment Contributions		20		20
Investment income		18		18
Transfer to special fund	(25)		25	-
Transfer to endowment fund	(20)	20		-
Balance 31 December	**2,939**	**340**	**208**	**3,487**

Example 17:

The following information relates to Professional Sports Club (PSC), a Not-for-Profit Organisation.

Trial balance as at 30 June 20X4

	Dr. Rs. m	Cr. Rs. M
General fund (1 July 20X3)		1,147
Fund for Supporting the Young-Talent (1 July 20X3)		50
Fund for gymnasium and training centre (1 July 20X3)		115
Fund for franchise (1 July 20X3)		3
Long term assets (net)	428	
Investments	1,204	
Short term bank loan		17
Prepaid and accrued expenses	8	11
Cash at bank	43	
Fee-for-services		340
Fundraising in various tournaments (net proceeds)		15
Contributions		494
Government funding		150
Investment income		144
Salaries	403	
Rent and utilities	354	
Other expenses	46	
	2,486	**2,486**

Additional information:

i. Fund for Supporting the Young-Talent (SYT) has stipulations imposed that require resources contributed to be maintained permanently. The above contribution received include Rs. 15 million contribution related to SYT to be maintained permanently. The investment income of Rs. 144 million includes Rs. 6 million that is externally restricted to be added to principal amount of resources for SYT to be maintained permanently.

There is no other restrictions on investment income. As part of agreement with contributors of SYT, PSC is required to allocate Rs. 5 million from general fund to the SYT fund, annually.

ii. Fund for gymnasium and training centre has stipulation imposed externally that it shall be used exclusively for building a gymnasium and training centre in Nawabpur Town. The contribution received include contributions of Rs. 14 million to acquire freehold land for the centre, however, no land has been acquired yet.

iii. Last year, the trustees of PSC imposed stipulations to create a fund for acquiring a franchise in a popular league and approved Rs. 3 million to be transferred this year as well.

iv. The contribution received also include Rs. 8 million to repay the loan that was obtained to pay expenses incurred during the year.

v. The government funding was received to support PSC general operations for five years starting from 1st January 20X4.

vi. Long term assets in the trial balance include freehold land of Rs. 20 million and collections of Rs. 8 million. These collections represent items of such historic value that is worth preserving perpetually and PSC is committed to protect and preserve them as part of its organisation policy.

vii. Long term assets are depreciated at 20% reducing balance method. All the amortisation is allocated to general operations.

Required:

Prepare the following (under deferral method) for PSC:

- Statement of income and expenditure for the year ended 30 June 20X4.
- Statement of changes in net assets for the year ended 30 June 20X4.
- Statement of financial position as at 30 June 20X4.

▶ *Answer:*

Professional Sports Club

Statement of income and expenditure for the year ended 30 June 20X4

Income		Rs. M
Fee-for-services		340
Fundraising proceeds		15
Contributions	[494 – 15 – 14]	465
Government funding	[150 / 5 years x 6/12]	15
Investment income	[144 – 6]	138
		973
Expenditures		
Salaries		403
Rent and utilities		354
Other expenses		46
Amortisation of capital assets	[(428 – 8 – 20) x 20%]	80
		(883)
Surplus i.e. excess of income over expenditure		**90**

Professional Sports Club

Statement of changes in net assets for the year ended 30 June 20X4

	General fund	Endowment fund (SYT)	Franchise fund	Total
Balance 1 July 20X3	1,147	50	3	1,200
Surplus	90			90
Endowment contributions		15		15
Endowment investment income		6		6
Transfer to franchise fund	(3)		3	-
Transfer to endowment fund	(5)	5		-
Balance 30 June 20X4	**1,229**	**76**	**6**	**1,311**

Professional Sports Club

Statement of financial position as at 30 June 20X4

Non-current assets		**Rs. M**
Capital assets	[428 – 8 – 80]	340
Collections		8
Investments		1,204
		1,552
Current assets		
Prepaid expenses		8
Cash at bank		43
		51
		1,603
Fund balances / Net assets		
General fund		1,229
Endowment fund: Supporting the young talent		76
Franchise fund (internal)		6
		1,311
Non-current liabilities		
Deferred government funding	[150 – 15 – 30]	105
Deferred contributions (gym etc)	[115 + 14]	129
		234
Current liabilities		
Deferred government funding	[150 / 5]	30
Short term bank loan		17
Accrued expenses		11
		58
		1,603

4.5 Receipt and payment account

Some small NPOs may not have enough resources to maintain proper double entry accounting records and, therefore, record cash receipts and payments only in addition to some records of bills, accruals and prepayments, etc.

When accounts are prepared on cash or disbursement basis rather than accrual basis of accounting, a receipt and payment account is prepared and presented. This is simply a summary of cash receipts and payments during the accounting period. It includes capital items, as well as revenue items.

Receipts and payments account			
	Rs.		Rs.
Balance b/d	X	Donation to Dam Fund	X
Subscriptions	X	Repairs	X
Functions – ticket revenue	X	Telephone	X
Sale of land	X	Extension of building	X
Bank interest	X	Furniture	X
Bequest	X	Electricity expenses	X
Sundry income	X	Salary and wages	X
		Sundry expenses	X
		Balance c/d	X
	X		X
Balance b/d	X		

A receipt and payment account gives far less information than a set of financial statements based on the accruals concept. Therefore, some donors / government might require an NPO to present financial statements on accrual basis, that are prepared using records available relating to receipts, payments and other balances.

▶ *Example 18:*

The statement of financial position of Peshawar Business Club as at 31 December 2017 is shown as follows:

	Cost	Accumulated depreciation	Carrying amount
Non-current assets:	**Rs.000**	**Rs.000**	**Rs.000**
Furniture and fittings	40,000	10,000	30,000
Games equipment	20,000	7,200	12,800
Motor van	30,000	10,000	20,000
	90,000	27,200	62,800
Current assets: Cash and bank balances			9,200
			72,000
Financed by: Accumulated funds			**72,000**

The following transactions took place during the year 1 January 2018 to 31 December 2018:

Receipts	Rs. 000
Subscriptions (10,000 members @ Rs. 1,600 each)	16,000
Donations	1,600
Sale of tickets for annual dinner	10,800
	28,400
Payments	
Electricity	4,000
Expenses for annual dinner	6,200
New games equipment	3,200
Cleaners' wages	2,080
Repairs and renewals	1,660
Motor van repairs	2,520
	19,660

Further information:

- An electricity bill of Rs. 900,000 was owed at 31 December 2018.
- Depreciation should be calculated at 10% of cost of the assets.

Required:

Prepare the statement of income and expenditure of Peshawar Business Club for the year ended 31 December 2018 and statement of financial position as at that date.

Answer:

Statement of income and expenditure for the year ended 31 December 2018

Income		Rs. 000
Subscription		16,000
Donations		1,600
Ticket sales for annual dinner		10,800
		28,400
Expenditure		
Electricity	[4,000 + 900]	4,900
Expenses for annual dinner		6,200
Cleaners' wages		2,080
Repairs and renewals		1,660
Motor van repairs		2,520
Depreciation:		
Fixture and fittings	[40,000 x 10%]	4,000
Games equipment	[(20,000 + 3,200) x 10%]	2,320
Motor van	[30,000 x 10%]	3,000
		(26,680)
Surplus		**1,720**

Statement of financial position as at 31 December 2018

Non-current assets		Rs. 000
Fixture and fittings	[30,000 – 4,000]	26,000
Games equipment	[12,800 + 3,200 – 2,320]	13,680
Motor van	[20,000 – 3,000]	17,000
		56,680
Current assets: Cash and bank balances	[9,200 + 28,400 – 19,660]	17,940
		74,620

Net assets (accumulated fund)	
Opening balance	72,000
Surplus for the year	1,720
	73,720
Current liabilities: Accrued electricity charges	900
	74,620

Example 19:

The following were the assets and liabilities of the Nawabshar Youth Movement at 30 April 2017.

	Rs. 000
Fixtures and fittings (net)	16,340
Inventory of refreshment (coffee bar)	4,460
Land	51,600
Subscription received in advance	4,900
Payables for drinks supplied (coffee bar)	6,780
Cash at bank	7,466

The accountant's receipts and payments account for the year to 30 April 2018 shows the following:

Receipts	Rs. 000
Contributions received	500
Rent of hall	5,600
Members' subscription	24,000
Sale of brochure	1,740
Sale of dance tickets	3,400
Sale of refreshments (coffee bar)	10,200
	45,440

Payments	
Repairs and maintenance	3,218
Salaries and wages	6,309
Gifts and charity	600
Dance event expenses	950
Refreshment supplies (coffee bar)	19,415
Sundry expenses	10,000
	40,492

Further information:

i. Wages of Rs. 556,000 were due but unpaid at the year-end.

ii. Inventories of drinks at 30 April 2018 were Rs. 14,210,000

iii. Provide for depreciation on fixtures and fittings at Rs. 1,900,000

iv. Subscription due but not paid by members at 30 April 2018 was Rs. 1,900,000

Required:

Prepare the club's statement of income and expenditure for the year ended 30 April 2018 and the statement of financial position as at that date.

Answer:

Statement of income and expenditure for the year ended 30 April 2018

Income		Rs. 000
Contributions		500
Fee for services (rent of hall)		5,600
Members' subscription	**W1**	30,800
Sales of brochures		1,740
Sale of dance tickets		3,400
Income from coffee bar (net)	**W2**	7,315
		49,355
Expenditure		
Salaries and wages	[6,309 + 556]	6,865
Repairs and maintenance		3,218
Gift and charity		600
Dance event expenses		950
Sundry expenses		10,000
Depreciation		1,900
		(23,533)
Surplus		**25,822**

Statement of financial position as at 30 April 2018

Non-current assets		Rs. 000
Land		51,600
Fixtures and fittings	[16,340 – 1,900]	14,440
		66,040
Current assets		
Inventory (refreshments)		14,210
Subscription receivable		1,900
Cash at bank	[7,466 + 45,440 – 40,492]	12,414
		28,524
		94,564

Net assets (fund)		
Opening balance	**W4**	68,186
Surplus for the year		25,822
		94,008
Current liabilities: accrued wages		556
		94,564

W1:

Subscription					
	Rs. 000				Rs. 000
				b/d	4,900
I&E (balancing)	**30,800**			Bank	24,000
				c/d	1,900
	30,800				30,800

W2:

Coffee bar operation		Rs. 000
Sales		10,200
Cost of sales		
Opening inventory		4,460
Purchases	**W3**	12,635
Closing inventory		(14,210)
		(2,885)
Profit		**7,315**

W3:

Payables (refreshment)					
	Rs. 000				Rs. 000
Bank	19,415			b/d	6,780
c/d	-			**Purchases (balancing)**	**12,635**
	19,415				19,415

W4:

Net assets (opening balance)		Rs. 000
Assets	[16,340 + 4,460 + 51,600 + 7,466]	79,866
Liabilities	[4,900 + 6,780]	(11,680)
		68,186

▶ *Example 20:*

Following information relates to Sehat Club for the year ended 30 June 2015:

Receipts and payments account for the year ended 30 June 2015

Receipts	Rupees	Payments	Rupees
Opening balance	15,000	Salaries	63,500
Subscriptions	201,000	Rent	34,000
Entrance fees	63,000	Travelling expenses	1,500
Donations	38,000	Printing and stationery	1,000
Interest	16,000	General charges	2,500
Disposal of furniture	500	Periodicals	500
		Investments	200,000
		Closing balance	30,500
	333,500		**333,500**

Statement of financial position as on 30 June 2014

Liabilities		Rupees	Assets	Rupees
General Fund		172,500	Furniture – net	40,000
Liabilities:	Rent	11,000	Sports equipment – net	20,000
	Salaries	17,500	Investments	100,000
			Subscription receivable	15,000
			Interest receivables	11,000
			Bank balance	15,000
		201,000		**201,000**

Other details for the year ended 30 June 2015 are as follows:

i. Furniture purchased on 1 July 2013 costing Rs. 4,000 was disposed of on 1 January 2015 at a scrap value of Rs. 500.

ii. On 1 July 2014, furniture having written down value of Rs. 6,000 was traded-in with new furniture having fair value of Rs. 6,700.

iii. Depreciation is charged on diminishing balance basis at 20% on furniture and 15% on sports equipment.

iv. Sports equipment having fair value of Rs. 12,000 were received at year end as donation.

v. Entrance fee relates to year ended 30 June 2015 only.

Following amounts are receivable /outstanding as at 30 June 2015:

	Rupees
Subscription receivable	8,000
Entrance fee receivable	3,000
Salaries outstanding	4,000
Rent outstanding	2,000

Required: Prepare the statement of income and expenditure of Sehat Club for the year ended 30 June 2015 and its statements of financial position on that date.

Answer:

Statement of income and expenditure for the year ended 30 June 2015

Income		**Rupees**
Entrance fee	[63,000 + 3,000]	66,000
Donations		38,000
Investment income (interest)	[16,000 – 11,000 last year]	5,000
Subscription	**W4**	194,000
Gain on furniture exchange	[6,700 – 6,000]	700
		303,700
Expenditure		
Travelling expenses		1,500
Printing and stationery		1,000
General charges		2,500
Periodicals		500
Rent	**W1**	25,000
Salaries	**W2**	50,000
Loss on furniture disposal	[500 – 2,880]	2,380
Depreciation on furniture	**W3**	7,820
Depreciation on equipment	[20,000 x 15%]	3,000
		(93,700)
Surplus		**210,000**

Statement of financial position as at 30 June 2015

Non-current assets		Rupees
Furniture	**W3**	30,000
Sports equipment	[20,000 – 3,000 + 12,000]	29,000
Investments	[100,000 + 200,000]	300,000
		359,000
Current assets		
Subscription fee receivable		8,000
Entrance fee receivable		3,000
Bank		30,500
		41,500
		400,500

General fund	
Opening balance	172,500
Surplus	210,000
	382,500
Non-current liabilities: Deferred contribution	12,000
Current liabilities	
Salaries payable	4,000
Rent payable	2,000
	6,000
	400,500

W1:

Rent payable			
	Rupees		**Rupees**
Bank	34,000	b/d	11,000
c/d	2,000	**I&E (balancing)**	**25,000**
	36,000		36,000

W2:

Salaries			
	Rupees		**Rupees**
Bank	63,500	b/d	17,500
c/d	4,000	**I&E (balancing)**	**50,000**
	67,500		67,500

W3:

Furniture (NBV)			
	Rupees		**Rupees**
b/d	40,000	Disposal	2,880*
Exchange	6,700	Disposal (exchange)	6,000
		Depreciation	7,820
		c/d	**30,000**
	46,700		46,700

*Rs. 4,000 x 80% x 90% = Rs. 2,880

	NBV Rupees		**Depreciation Rupees**
Disposal (exchange)	6,000	x 20% x 0/12	-
Disposal (other)	3,200	x 20% x 6/12	320
Other remaining	30,800	x 20% x 12/12	6,160
Total opening assets	40,000		
Additions (exchange)	6,700	x 20% x 12/12	1,340
			7,820

W4:

Subscription			
	Rupees		**Rupees**
b/d	15,000	Bank	201,000
I&E	**194,000**	c/d	8,000
	209,000		209,000

5 COMPREHENSIVE EXAMPLES

▶ *Example 21:*

The treasurer of the Giltan Golf Club has prepared the following receipts and payments account for the year ended 31 March 2016.

	Rs.(000)		Rs.(000)
Balance at 1 April 2015	682	Functions for fundraising	305
Subscriptions	2,930	Repairs	146
Functions for fundraising	367	Telephone	67
Sale of land	1,600	Extension of club house	600
Bank interest	60	Furniture	135
Bequest (legacy)	255	Heat and light	115
Sundry income	46	Salary and wages	2,066
		Sundry expenses	104
		Balance at 31 March 2016	2,402
	5,940		**5,940**

i. Subscriptions received included Rs. 65,000 which had been in arrears at 31 March 2015 and Rs. 35,000 which had been paid for the year commencing 1 April 2016.

ii. Land sold had book value of Rs. 500,000.

iii. There are no conditions attached to bequest.

iv. Accrued expenses

	31 March 2015 Rs. (000)	31 March 2016 Rs. (000)
Heat and light	32	40
Wages	12	14
Telephone	14	10
	58	**64**

v. Depreciation is to be charged on the original cost of assets appearing in the books at 31 March 2016 as follows:

Buildings	5%
Fixtures and fittings	10%
Furniture	20%

vi. The following balances are from the club's books at 31 March 2015:

	Rs. 000
Land at cost	4,000
Buildings at cost	3,200
Buildings Accumulated depreciation	860
Fixtures and fittings at cost	470
Fixtures Accumulated depreciation	82
Furniture at cost	380
Furniture Accumulated depreciation	164
Subscriptions in arrears (including Rs. 15,000 irrecoverable – member had emigrated)	80
Subscriptions in advance	30

Required:

Prepare statement of income and expenditure for the year ended 31 March 2016 and a Statement of financial position as at that date supported by disclosure note on property, plant and equipment.

Answer:

Statement of income and expenditure for the year ended 31 March 2016

Income		**Rs. 000**
Income from fundraising functions		367
Subscriptions	**W1**	2,860
Bequest		255
Gain on disposal of land	[1,600 – 500]	1,100
Bank interest		60
Sundry income		46
		4,688
Expenditure		
Fundraising expenses		305
Telephone expenses	[67 – 14 + 10]	63
Heat and light expenses	[115 – 32 + 40]	123
Salaries and wages	[2,066 – 12 +14]	2,068
Bad debts		15
Repairs		146
Sundry expenses		104
Depreciation	**Note 1**	340
		(3,164)
Surplus		**1,524**

Statement of financial position as at 31 March 2016

Non-current assets		Rs. 000
Property, plant and equipment	Note 1	6,839
Current assets: Bank		2,402
		9,241

Net assets (fund)		
Opening balance	**W2**	7,618
Surplus		1,524
		9,142
Current liabilities		
Accruals		64
Subscription in advance		35
		99
		9,241

Note 1: Property, plant and equipment

	Land	Building	Fixtures	Furniture	Total
Cost	**Rs. 000**	**Rs. 000**	**Rs. 000**	**Rs. 000**	**Rs. 000**
1 April 2015	4,000	3,200	470	380	8,050
Additions		600		135	735
Disposal	(500)	-			(500)
31 March 2016	3,500	3,800	470	515	8,285
Accumulated dep.					
1 April 2015		860	82	164	1,106
For the year		190	47	103	340
31 March 2016	-	1,050	129	267	1,446
Carrying amount	**3,500**	**2,750**	**341**	**248**	**6,839**
Depreciation rate	-	5%	10%	20%	

W1:

Subscriptions			
	Rs. 000		**Rs. 000**
b/d	80	b/d	30
I&E (balancing)	**2,860**	Bank	2,930
	35	Bad debts	15
	2,975		2,975

W2:

Net assets (opening balance)		Rs. 000
Assets	[8,050 – 1,106 + 682 + 80]	7,706
Liabilities	[58 + 30]	(88)
		7,618

▶ *Example 22:*

The following balances have been obtained from the books of Gulshan Cricket Club:

	June 30, 2014	June 30, 2015
Building	6,024,000	6,438,150
Furniture	3,012,000	2,710,800
Books	1,129,500	1,246,950
Sports equipment	1,807,200	1,595,200
Investments	-	436,000
Advance subscription	86,000	92,000
Prepaid expenses	122,000	176,000
Expenses payable	186,900	207,600
Subscriptions receivable	326,000	357,000
Cash	1,204,800	1,586,500

The following information is also available in respect of the year ended June 30, 2015:

i. Depreciation for the year has been credited directly to the asset accounts. The rates of depreciation are as follows:

Building	5%
Furniture and books	10%
Sports equipment	20%

ii. The club had 600 members on June 30, 2015. No fresh members were admitted during the year but 10 members left the club on January 1, 2015. Subscription per member is Rs. 500 per month.

Required:

a) Summary of receipts and payments made during the year ended June 30, 2015.

b) Statement of income and expenditure for the year ended June 30, 2015.

▶ *Answer:*

Part (a)

Receipt and payment account			
Receipts	**Rupees**	**Payments**	**Rupees**
Opening balance	1,204,800	Additions to:	
Subscriptions **W4**	3,605,000	Building **W1**	753,000
		Books **W2**	256,000
		Sports equipment **W3**	186,800
		Investments	436,000
		Expenses (balancing)	**1,591,500**
		Balance c/d	1,586,500
	4,809,800		4,809,800

Part (b)

Statement of income and expenditure for the year ended 30 June 2015

Income		Rupees
Subscription	[600 x Rs. 6,000 + 10 x Rs. 6,000 x 6/12]	3,630,000
Expenditure		
Depreciation building	[6,438,150 x 5/95]	338,850
Depreciation furniture	[2,710,800 x 10/90]	301,200
Depreciation books	[1,246,950 x 10/90]	138,550
Depreciation sports equipment	[1,595,200 x 20/80]	398,800
Expenses	**W5**	1,558,200
		(2,735,600)
Surplus		**894,400**

W1:

Buildings			
	Rupees		**Rupees**
b/d	6,024,000	Depreciation (I&E)	338,850
Cash (additions)	**753,000**	c/d	6,438,150
	6,777,000		6,777,000

W2:

Books			
	Rupees		**Rupees**
b/d	1,129,500	Depreciation (I&E)	138,550
Cash (additions)	256,000	c/d	1,246,950
	1,385,500		1,385,500

W3:

Sports equipment			
	Rupees		**Rupees**
b/d	1,807,200	Depreciation (I&E)	398,800
Cash (additions)	186,800	c/d	1,595,200
	1,994,000		1,994,000

W4:

Subscriptions			
	Rupees		**Rupees**
b/d	326,000	b/d	86,000
I&E	3,630,000	**Cash (balancing)**	**3,605,000**
c/d	92,000	c/d	357,000
	4,048,000		4,048,000

W5:

Expenses			
	Rupees		**Rupees**
b/d	122,000	b/d	186,900
Cash (R&P)	1,591,500	**I&E (balancing)**	**1,558,200**
c/d	207,600	c/d	176,000
	1,921,100		1,921,100

▶ *Example 23:*

You have agreed to take over the role of bookkeeper for the AB Sports and Social Club. The summarised statement of financial position on 31 December 2014 as prepared by the previous bookkeeper contained the following items:

Assets	**Rs.**
Heating oil stock for clubhouse	1,000
Shop and café inventories	7,000
New sportswear, for sale, at cost	3,000
Used sportswear, for hire, at valuation	750
Equipment for grounds man:	
Cost	5,000
Depreciation	3,500
	1,500
Subscriptions due (net of advance)	200
Bank	
Current account	1,000
Deposit account	10,000
General fund and liabilities	
Accumulated fund	23,150
Payables:	
Shop and café inventories	1,000
Sportswear	300

The bank account summary for the year to 31 December 2015 contained the following items.

Receipts	Rs.
Subscriptions	11,000
Sale of shop and café	20,000
Sale of sportswear	5,000
Hire of sportswear	3,000
Interest on deposit account	800
	39,800

Payments	Rs.
Rent and repairs of clubhouse	6,000
Heating oil	4,000
Sportswear	4,500
Grounds person salary	10,000
Shop and café purchases	9,000
Transfer to deposit account	6,000
	39,500

You discover that the subscriptions due figure as at 31 December 2014 was arrived at as follows:

	Rs.
Subscriptions unpaid for 2013	10
Subscriptions unpaid for 2014	230
Subscriptions paid for 2015	40

Corresponding figures at 31 December 2015 are:

	Rs.
Subscriptions unpaid for 2013	10
Subscriptions unpaid for 2014	20
Subscriptions unpaid for 2015	90
Subscriptions paid for 2016	200

Subscriptions due for more than 12 months should be written off with effect from 1 January 2015.

Closing payables at 31 December 2015 are for:

	Rs.
Shop and café inventories	800
Sportswear	450
Heating oil for clubhouse	200

Two thirds of the sportswear purchases made in 2015 had been added to inventory of new sportswear in the figures given in the list of assets above, and one third had been added directly to the inventory of used sportswear for hire.

Asset balances at 31 December 2015 include:

	Rs.
Heating oil stock for club house	700
Shop and café inventories	5,000
New sportswear, for sale, at cost	4,000
Used sportswear, for hire, at valuation	1,000

Half of the resulting new sportswear for sale at cost at 31 December 2015 is actually over two years old. You decide, with effect from 31 December 2015, to transfer these older items into the inventory of used sportswear, at a valuation of 25% of their original cost.

No cash balances are held at 31 December 2014 or 31 December 2015. The equipment for the grounds person is to be depreciated at 10% per annum, on cost.

Required:

Prepare the statement of income and expenditure and statement of financial position for the AB Sports and Social Club for 2015.

Answer:

Statement of income and expenditure for the year ended 31 December 2015

Income		Rupees
Subscriptions	**W2**	10,720
Shop and café profit	**W5**	9,200
Sportswear sale profit	**W5**	2,900
Sportswear hire profit	**W5**	1,700
Interest on deposit		800
		25,320
Expenditure		
Rent and repairs		6,000
Grounds person salary		10,000
Bad debts		30
Heating oil consumed	**W1**	4,500
Depreciation	[5,000 x 10%]	500
Loss on inventory valuation	**W5**	1,500
		(22,530)
Surplus		**2,790**

Statement of financial position as at 31 December 2015

Non-current assets		Rupees
Equipment	[1,500 – 500]	1,000
Current assets		
Subscription receivable		90
Heating oil stock		700
Shop and café inventories		5,000
New sportswear stock	[4,000 – 2,000]	2,000
Used sportswear stock	[1,000 + 500]	1,500
Bank (current account)	[1,000 + 39,800 – 39,500]	1,300
Bank (deposit account)	[10,000 + 6,000]	16,000
		(26,590)
		27,590

Net assets (fund)	Rupees
Opening balance	23,150
Surplus	2,790
	25,940
Current liabilities	
Subscription in advance	200
Shop and café payables	800
Sportswear payables	450
Payables for heating oil	200
	1,650
	27,590

W1:

Heating oil			
	Rupees		**Rupees**
b/d	1,000		
Bank	4,000	**I&E (balancing)**	**4,500**
c/d	200	c/d	700
	5,200		5,200

W2:

Subscriptions			
	Rupees		**Rupees**
b/d [10 + 230]	240	b/d	40
I&E (balancing)	**10,720**	Bank	11,000
		Bad debts [10 + 20]	**30**
c/d	200	c/d	90
	11,160		11,160

W3:

Payable for shop and café			
	Rupees		**Rupees**
Bank	9,000	b/d	1,000
c/d	800	**Purchases (balancing)**	**8,800**
	9,800		9,800

W4:

Payable for sportswear			
	Rupees		**Rupees**
Bank	4,500	b/d	300
c/d	450	**Purchases (balancing)**	4,650
	4,950		4,950

New sportswear = Rs. 4,650 x 2/3 = Rs. 3,100 and Used sportwear = Rs. 4,650 x 1/3 = Rs. 1,550

W5: Trading and operations

	Shop and Café	Sale of sportwear	Hire of sportswear
	Rs.	**Rs.**	**Rs.**
Sales	20,000	5,000	3,000
Cost of sales			
Opening inventory	7,000	3,000	750
Purchases **W3, W4**	8,800	3,100	1,550
Closing inventory	(5,000)	(4,000)	(1,000)
	(10,800)	(2,100)	(1,300)
Profit	**9,200**	**2,900**	**1,700**

Loss on inventory transfer from new sportwear to used sportswear:

Rs. 4,000 x ½ = Rs. 2,000 – transferred at 25% i.e. Rs. 500 = Loss Rs. 1,500

Example 24:

The Monarch Sports Club has the following summary of its cash book for the year ended 30 June 2015:

	Rs.
Opening bank balance	12,500
Receipts:	
Subscriptions	18,000
Life membership fees	3,000
Competition receipts	7,500
Entrance fees	2,500
Equipment sold	1,000
	32,000
Payments:	
Transport to matches	3,700
Competition prizes	4,300
Coaching fees	2,100
Repairs to equipment	800
Purchase of new equipment	4,000
Purchase of sports pavilion	35,000
	(49,900)
Closing balance (overdrawn)	**(5,400)**

The following information is available regarding the position at the beginning and end of the accounting year:

	1 July 2014	30 June 2015
	Rs.	Rs.
Subscriptions in advance	1,100	900
Subscriptions in arrears	200	300
Coaching fees outstanding	150	450

Of the subscriptions outstanding at the beginning of the year, only half were eventually received.

The equipment sold during the year had a net book value of Rs. 1,200 at 1 July 2014. Equipment is to be depreciated at 20% per annum straight line. Life membership fees are recognised over 10 years. Entrance fees are to be recognised in the current year.

Required:

Prepare statement of income and expenditure for the Monarch Sports Club for the year ended 30 June 2015.

▶ *Answer:*

Statement of income and expenditure for the year ended 30 June 2015

Income		Rupees
Subscriptions	**W1**	18,400
Life membership fees	[3,000 / 10 years]	300
Competition receipts		7,500
Entrance fees		2,500
		28,700
Expenditure		
Transportation to matches		3,700
Coaching fee	**W2**	2,400
Competition prizes		4,300
Repairs to equipment		800
Bad debts		100
Loss on disposal	[1,000 – 1,200]	200
Depreciation	[4,000 x 20%]	800
		(12,300)
Surplus		**16,400**

W1:

Subscriptions			
	Rupees		**Rupees**
b/d	200	b/d	1,100
I&E (balancing)	**18,400**	Bank	18,000
		Bad debts	**100**
c/d	900	c/d	300
	19,500		19,500

W2:

Coaching fee			
	Rupees		**Rupees**
Bank	2,100	b/d	150
c/d	450	**I&E (balancing)**	**2,400**
	2,550		2,550

Example 25:

The LH Sports Club was established on 1 May 2014 having purchased premises for Rs. 80,000 and furniture for Rs. 18,000, through a contribution from a member. The club secretary has produced the following statement of income and expenditure for the year to 30 April 2015:

Income	Rupees
Joining fee (89 members x Rs. 200 each)	17,800
Annual subscriptions	12,000
Café profits	8,450
Fundraising event (conducted by third party)	830
Equipment hire receipts	1,750
	40,830
Expenditure	
Premises related expenses	10,990
Equipment related expenses	5,590
Secretary's expenses	470
Bank charges	125
	(17,175)
Surplus for the year	**23,655**

The statement of income and expenditure has been prepared after taking into account the following items at 30 April 2015:

- café inventories Rs. 1,400
- payables for café supplies Rs.1,320
- rates and insurances prepaid Rs. 2,280

The following items have not been taken into account:

- the equipment costs figure includes Rs. 4,000 for the purchase of equipment.
- depreciation is to be provided as follows:

at 2% on premises
at 10% on furniture
at 20% on equipment

- joining fees are to be spread over a five-year period
- the annual subscriptions figure includes Rs. 960 paid in advance by the members
- subscriptions outstanding at the end of the year, and expected to be collected, amount to Rs. 300.
- the bank balance at 30 April 2015 was Rs. 21,295.

Required:

a) Prepare revised and corrected statement of income and expenditure for the year ended 30 April 2015.

b) Prepare the statement of financial position at 30 April 2015.

▶ *Answer:*

Statement of income and expenditure for the year ended 30 April 2015

Income		**Rupees**
Joining fees	[17,800 / 5]	3,560
Annual subscription	[12,000 – 960 + 300]	11,340
Café profits		8,450
Fundraising proceeds		830
Equipment hire receipts		1,750
		25,930
Expenditure		
Premises related expenses		10,990
Equipment related expenses	[5,590 – 4,000]	1,590
Secretary's expenses		470
Bank charges		125
Depreciation premises	[80,000 x 2%]	1,600
Depreciation furniture	[18,000 x 10%]	1,800
Depreciation equipment	[4,000 x 20%]	800
		(17,375)
Surplus for the year		**8,555**

Statement of financial position as at 30 April 2015

Non-current assets		**Rs. 000**
Premises	[80,000 – 1,600]	78,400
Furniture	[18,000 – 1,800]	16,200
Equipment	[4,000 – 800]	3,200
		97,800
Current assets		
Inventory		1,400
Prepaid rates and insurance		2,280
Subscription receivable		300
Bank		21,295
		25,275
		123,075

Net assets (fund)		
Opening balance	[80,000 + 18,000]	98,000
Surplus for the year		8,555
		106,555
Non-current liabilities		
Deferred joining fees	[17,800 / 5 x 3 years]	10,680
Current liabilities		
Subscription in advance		960
Deferred joining fees	[17,800 / 5]	3,560
Payable for café supplies		1,320
		5,840
		123,075

▶ *Example 26:*

The accountant of Leisure Club was terminated on account of charges of fraud on 31 December 2016 and Mr. Emad has been appointed in his place. Emad has gathered the following information in respect of the year ended 31 December 2016:

i. The club has 3,300 members and the membership fee is Rs. 10,000 per annum. The fee payable by each member becomes due on the first day of the quarter in which he became a member. The fee received in each quarter was as follows:

Quarter	First	Second	Third	Fourth
Subscription received (Rs.)	9,900,000	8,250,000	5,500,000	9,350,000

Last year the fee was Rs. 9,000 per annum. However, the number of members was the same.

ii. A summary of the bank account for the year is shown below:

Deposits	Rupees	Withdrawals	Rupees
Balance as at 1 Jan. 2016	3,700,500	Insurance	175,000
Cash deposited into bank	37,848,500	Rent and rates	4,200,000
Written off amount recovered	1,860,000	Utilities	4,365,000
Disposal of fixed assets	750,000	Freehold land purchased	17,000,000
Membership fee received directly in bank account	19,800,000	Cash withdrawals	6,120,000
		Payment to creditors	18,155,000
		Repairs and maintenance	700,000
		Exercise equipment	7,350,000
		Balance as at 31 Dec. 2016	5,894,000
	63,959,000		**63,959,000**

iii. Amounts paid from petty cash were as follows:

	Rupees
Salaries	2,300,000
Sundry expenses	640,000

iv. The club has a tuck shop which earns a profit margin of 20% of sales. All sales of tuck shop are made on cash. During the year, stock costing Rs. 500,000 was destroyed by fire.

v. The opening WDV of fixed assets was Rs. 28,000,000. Exercise equipment was purchased on 1 October 2016. Fixed assets having opening WDV of Rs. 800,000 were disposed of on 31 March 2016. Fixed assets are depreciated @ 20% under the reducing balance method.

vi. The opening and closing balances of cash in hand were Rs. 300,000 and Rs. 25,000 respectively.

vii. The following balances have been extracted through a scrutiny of the available records:

	2016	2015
	------- Rupees -------	
Creditors	3,330,000	2,500,000
Prepaid rent	175,000	168,000
Stock- tuck shop	2,500,000	2,300,000

Required:

a) Determine the amount of loss incurred by the club due to fraud committed by the previous accountant.

b) Statement of income and expenditure for the year ended 31 December 2016.

c) Statement of financial position as at 31 December 2016.

Answer:

Part (a)

Amount of loss due to fraud **W2** Rs. 1,662,750

Part (b)

Statement of income and expenditure for the year ended 31 December 2016

Income		Rupees
Subscription income	**W1**	31,817,500
Income from tuck-shop	**W6**	4,571,250
Other income (recovery of write off)		1,860,000
		38,248,750

Expenditure		Rupees
Insurance		175,000
Utilities		4,365,000
Repair and maintenance		700,000
Salaries		2,300,000
Sundry expenses		640,000
Loss of inventory due to fire		500,000
Loss on disposal	**W4**	10,000
Depreciation	**W4**	5,847,500
Rent and rates	**W3**	4,193,000
Loss due to fraud	**W2**	1,662,750
		(20,393,250)
Surplus		**17,855,500**

Statement of financial position as at 31 December 2016

Non-current assets		Rs. 000
Fixed assets – WDV	**W4**	45,742,500
Current assets		
Stock		2,500,000
Prepaid rent		175,000
Bank		5,894,000
Cash		25,000
		8,594,000
		54,336,500

Net assets (fund)		
Opening balance	**W7**	21,326,000
Surplus		17,855,500
		39,181,500
Current liabilities		
Creditors		3,330,000
Unearned subscription		11,825,000
		15,155,000
		54,336,500

W1:

Subscriptions			
	Rupees		Rupees
		b/d **1.3**	10,642,500
I&E (balancing)	**31,817,500**	Bank	19,800,000
c/d **1.2**	11,825,000	Cash **1.1**	13,200,000
	43,642,500		43,642,500

1.1 Amount received

	Rupees
Total received [9,900,000 + 8,250,000 + 5,500,000 + 9,350,000]	33,000,000
In bank	19,800,000
In cash	**13,200,000**

1.2 Closing unearned subscription

		Rupees
Quarter 1	[9,900,000 x 0/12]	0
Quarter 2	[8,250,000 x 3/12]	2,062,500
Quarter 3	[5,500,000 x 6/12]	2,750,000
Quarter 4	[9,350,000 x 9/12]	7,012,500
		11,825,000

1.3 Opening unearned subscription Rs. 11,825,000 x 9/10 = Rs. 10,642,500

W2:

Cash			
	Rupees		Rupees
b/d	300,000	Salaries	2,300,000
Subscription	13,200,000	Sundry expenses	640,000
Bank	6,120,000	Bank	37,848,500
Tuck shop receipts	22,856,250	**Loss due to fraud (bal.)**	**1,662,750**
		c/d	25,000
	42,476,250		42,476,250

W3:

Rent and rates			
	Rupees		Rupees
b/d	168,000	**I&E (balancing)**	**4,193,000**
Bank	4,200,000	c/d	175,000
	4,368,000		4,368,000

W4:

Fixed assets			
	Rupees		Rupees
b/d	28,000,000	Disposal	760,000
Bank (land)	17,000,000	Depreciation	5,847,500
Bank (equipment)	7,350,000	**c/d**	**45,742,500**
	52,350,000		52,350,000

4.1 Disposal

		Rupees
Sale proceeds		750,000
Opening WDV		800,000
Depreciation	[800,000 x 20% x 3/12]	(40,000)
		(760,000)
Loss		**(10,000)**

4.2 Depreciation for the year

		Rupees
On disposed assets	**4.2**	40,000
On other opening assets	[(28,000,000 – 800,000) x 20%]	5,440,000
On additions	[7,350,000 x 20% x 3/12]	367,500
		5,847,500

W5:

Creditors			
	Rupees		Rupees
Bank	18,155,000	b/d	2,500,000
c/d	3,330,000	Purchases	18,985,000
	21,485,000		21,485,000

W6: Tuck shop operations

		Rupees
Sales	[18,285,000 / 80%]	22,856,250
Cost of sales		
Opening stock		2,300,000
Purchases	[18,985,000 – 500,000 loss]	18,485,000
Closing stock		(2,500,000)
		(18,285,000)
Profit		**4,571,250**

W7:

Net assets (opening balance)		Rupees
Assets	[28,000,000 + 2,300,000 + 168,000 + 3,700,500 + 300,000]	34,468,500
Liabilities	[2,500,000 + 10,642,500]	(13,142,500)
		21,326,000

▶ *Example 27:*

Seaview Club started its operations on 1 February 2015. Sponsor of the club contributed Rs. 50 million towards general fund for the start of operations and placed the amount in the bank. Following is the receipts and payments summary for the period from 1 February 2015 to 31 December 2015:

Receipts	Rs. in '000	Payments	Rs. in '000
Sponsor's contribution	50,000	Furniture & fixtures	1,200
Joining fees	20,800	Van	1,500
Subscription from members	29,952	Salaries	1,000
Sale of beverages	1,500	Rent	3,600
		Utilities	570
		Insurance	120
		Repairs and maintenance	275
		Purchase of beverages	1,367
		Advance for plot of land	65,000
		Balance	27,620
	102,252		**102,252**

Additional information:

i. The joining fee for award of membership is Rs. 50,000. Annual subscription is Rs. 24,000. All new members pay three years' subscription in advance.

The memberships were awarded as follows:

Month	March	June	September	December
No. of members	112	98	101	105

ii. The club sells beverages at a gross profit margin of 20%. All sales are billed in the first week of the next month and the payment is received in the same month. Sale of beverages during December 2015 amounted to Rs. 150,000.

iii. 25% of total purchases of beverages made during the year remained unsold at year-end.

iv. Salaries are paid on the first day of next month. The amount of salaries includes an advance amounting to Rs. 10,000 paid to an employee on 1 December 2015. The advance is repayable on 1 February 2016.

v. Rent for three years was paid in advance on 1 February 2015.

vi. Presently the club is operating on rental premises. However, a plot of land has been purchased on which construction would commence shortly. Title of land would be transferred after completion of legal formalities.

vii. Payments for utilities include security deposit paid to utility companies amounting to Rs. 20,000. Utility bills are paid on the 7th day of the next month.

viii. Insurance premium was paid on 1 February 2015 covering a period of 12 months.

ix. Repairs and maintenance include an advance of Rs. 100,000 paid to a contractor for construction of a parking shed. Repair bills amounting to Rs. 7,000 were outstanding at year- end.

x. Furniture & fixtures and van were purchased on 1 February 2015. Depreciation on these assets is to be charged at 10% and 20% respectively.

Required:

Prepare statement of financial position as at 31 December 2015 and statement of income & expenditure of Seaview Club for the period ended31 December 2015.

▶ *Answer:*

Statement of income and expenditure for the period ended 31 December 2015

Income		Rs. 000
Joining fee		20,800
Subscription income	**W1**	4,630
Profit from beverages	**W2**	330
		25,760
Expenditure		
Salaries and wages	[1,000 – 10 + 99]	1,089
Rent	[3,600 / 3 x 11/12]	1,100
Utilities	[570 – 20 + 55]	605
Insurance	[120 – 10]	110
Repair and maintenance	[275 – 100 + 7]	182
Depreciation (F&F)	[1,200 x 10% x 11/12]	110
Depreciation (van)	[1,500 x 20% x 11/12]	275
		(3,471)
Surplus		**22,289**

Statement of financial position as at 31 December 2015

Non-current assets		Rs. 000
Furniture and fixture	[1,200 – 110]	1,090
Van	[1,500 – 275]	1,225
Advance for land		65,000
Prepaid rent	[3,600 – 1,100 – 1,200]	1,300
Security deposit		20
Advance for parking shed		100
		68,735
Current assets		**Rs. 000**
Stock	**W2**	440
Prepaid rent	[3,600 / 3]	1,200
Prepaid insurance	[120 x 1/12]	10
Advance salaries		10
Receivable for beverages		150
Bank		27,620
		29,430
		98,165

Net assets (fund)		Rs. 000
Sponsor's contribution		50,000
Surplus		22,289
		72,289
Non-current liabilities		
Subscription in advance	**W1**	15,338
Current liabilities		
Subscription in advance	**W1**	9,984
Salaries payable	[990 / 10 months]	99
Utilities payable	[550 / 10 months]	55
Repairs payable		7
Payable for beverages	**W3**	393
		10,538
		98,165

W1: Subscription income

Subscription for 3 years is Rs. 72,000 so subscription for 1 year is Rs. 24,000 or Rs. 2,000 per month.

	No. of members	No. of months	Monthly Rs. 000	Subscription Rs. 000
Total received	416	36	2	29,952
Recognised in I&E				
From march	112	10	2	2,240
From June	98	7	2	1,372
From September	101	4	2	808
From December	105	1	2	210
				4,630
Current liability	416	12	2	9,984
Non-current liability			**[29,952 – 4,630 – 9,984]**	**15,338**

W2: Profit from sale of beverages

		Rs. 000
Sales	[1,500 + 150]	1,650
Cost of sales		
Opening stock		-
Purchases	[1,320 / 75 x 100]	1,760
Closing stock	[1,320 / 75 x 25]	(440)
	[1,650 / 100 x 80]	(1,320)
Profit		**330**

W3:

Payable for beverages			
	Rs. 000		Rs. 000
Bank	1,367	b/d	0
c/d	**393**	Purchases **W2**	1,760
	1,760		1,760

▶ *Example 28:*

Following is the trial balance of Chongtar International Hospital as on 31 December 2019:

	Debit	Credit
	---- Rs. in million ----	
Burns ward - capital work in progress	55.3	
Cafeteria sales		24.4
Cash and bank balances	8.4	
Donations for burns ward (externally restricted)		75.1
Expenses and gifts for 'walk on diabetes day'	2.6	
Fees from patients		125.0
Donations (unrestricted)		82.6
General fund		195.6
Inventory – cafeteria	4.7	
Inventory – medicines	19.4	
Inventory – hospital supplies	8.5	
Medical equipment	185.4	64.2
Miscellaneous expenses	8.5	
Other fixed assets	110.7	54.7
Payables		38.9
Purchases – cafeteria	16.4	
Purchases – medicines	60.5	
Purchases – hospital supplies	18.7	
Receivables – panel corporates	31.4	
Rent	19.6	
Sponsorship for 'walk on diabetes day'		2.2
Salaries – administrative staff	24.0	
Salaries – doctors and nursing staff	38.2	
Short term investments	38.0	
Utilities	12.4	
	662.7	**662.7**

Additional information:

i. Cost of closing physical inventory of medicines and hospital supplies was Rs. 25.8 million and Rs. 13.8 million respectively. Medicines costing Rs. 3.1 million were found expired. Medicines are only used to treat the admitted patients and are not sold separately.

ii. Year-end physical count of cafeteria inventory could not take place. Goods are sold in cafeteria at a gross margin of 25% on sales.

iii. Rent outstanding at year-end was Rs. 1.4 million.

iv. 15% of salaries and 10% of rent are related to cafeteria.

v. Hospital facilities of Rs. 48.6 million were provided free of charge to the patients.

vi. 'Walk on diabetes day' was organised in December 2019. Expenses relating to the event amounting to Rs. 1.2 million were outstanding and unrecorded at year end.

vii. Medical equipment having fair value of Rs. 36.8 million were received as donation on 1st January 2019. These have been brought into use but have not been recorded in the books.

viii. Depreciation is charged on all fixed assets using reducing balance method at 15% per annum. Assume that all fixed assets have insignificant residual value.

Required:

a) Prepare statement of income and expenditure for the year ended 31 December 2019.

b) Prepare statement of financial position as on 31 December 2019.

▶ *Answer:*

Statement of income and expenditure for the year ended 31 December 2019

Income		**Rs. m**
Fees from patients		125.0
General donations		82.6
Equipment related contribution	[36.8 x 15%]	5.5
Fundraising – Walk on diabetes day		2.2
Profit from cafeteria	**W1**	0.4
		215.7
Expenditure		
Salaries - Administrative staff	[24 x 85%]	20.4
Salaries - Doctors and nursing staff		38.2
Medicines used	[19.4 + 60.5 – (25.8 – 3.1)]	57.2
Hospital supplies used	[8.5 + 18.7 – 13.8]	13.4
Rent	[(19.6 + 1.4) x 90%]	18.9
Walk on diabetes day	[2.6 + 1.2]	3.8
Depreciation - Medical equipment	[(185.4 – 64.2 + 36.8) x 15%]	23.7
Depreciation - Other fixed assets	[(110.7 – 54.7) x 15%]	8.4
Utilities		12.4
Miscellaneous expenses		8.5
		(204.9)
Surplus		**10.8**

Statement of financial position as at 31 December 2019

Non-current assets		Rs. m
Burns ward - CWIP		55.3
Medical equipment	[185.4 – 64.2 + 36.8 – 23.7]	134.3
Other fixed assets	[110. 7 – 54.7 – 8.4]	47.6
		237.2
Current assets		
Cafeteria stock	**W1**	2.8
Medicines stock	[25.8 – 3.1]	22.7
Hospital supplies		13.8
Receivables		31.4
Short term investments		38
Cash in hand		8.4
		117.1
		354.3
General fund		
Opening balance		195.6
Surplus		10.8
		206.4
Non-current liabilities		
Deferred contribution (burns ward)		75.1
Deferred contribution (equipment)	[36.8 – 5.5 – 4.7]	26.6
		101.7
Current liabilities		
Deferred contribution (equipment)	[36.8 x 85% x 15%]	4.7
Payables		38.9
Accruals	[1.4 + 1.2]	2.6
		46.2
		354.3

W1: Cafeteria trading account for the year ended 31 December 2018

		Rs. m
Sales		24.4
Cost of sales		
Opening stock		4.7
Purchases		16.4
Closing stock	(balancing)	(2.8)
	[24.4 / 100 x 75]	(18.3)
Gross profit		6.1
Salaries expense	[24 x 15%]	(3.6)
Rent expense	[(19.6 + 1.4) x 10%]	(2.1)
Profit		**0.4**

Example 29:

A fire broke out in the office of Moderna Sports Club (MSC) and burnt all the accounting records. The accountant was able to retrieve a burnt copy of financial statements of MSC for the year ended 31 December 2020. However, few information (as indicated by capital alphabets) were unreadable. The retrieved copy is as follows:

Statement of financial position as on 31 December 2020

Funds and liabilities	Rs. in '000		Assets	Rs. in '000	
	2020	2019		2020	2019
General fund:			Fixed assets - net	1,403	1,300
Opening balance	**A**	1,586	Members' subscription	270	158
Excess of income over expenditure	**B**	**C**	Misc. supplies	13	10
			Tuck-shop rent	**E**	37
Tennis court fund	260	200	Advance salaries	18	15
			Bank	**F**	530
Liabilities:					
Members' subscription	20	25			
Salaries	52	41			
Utilities	25	**D**			
Annual sports event	10	-			

Statement of income and expenditure for the year ended 31 December 2020

Expenditure	Rs. in '000	Income	Rs. in '000
Salaries	**G**	Members' subscriptions	919
Utilities	221	Tuck-shop rent	252
Misc. supplies	**H**	Donation - sports equipment	70
Members' subscription written off	12	**L**	**M**
Annual sports event	**I**		
J	**K**		
Disposal of fixed assets	8		
Repair and maintenance	40		
Excess of income over expenditure	**B**		

Receipts and payments account for the year ended 31 December 2020

Receipts	Rs. in '000	Payments	Rs. in '000
Opening balance	530	Salaries	560
N	**O**	Fixed assets	92
Tennis court fund	**P**	Annual sports event	180
Contribution for annual sports event	49	Misc. supplies	132
Entrance fee - annual sports event	86	Utilities	214
Sale of fixed assets	21	Repair and maintenance	**Q**
Tuck-shop rent	248	Construction of tennis court	131
Scrap sale	15	Closing balance	**F**

Required:

Determine the missing information as indicated by capital alphabets. ***(Redrafting of above financial statements is not required).***

▶ *Answer:*

	Description	Rs. in '000	Working
A	Opening general fund – 2020	1,766	1,586 +180 (C) / Balancing figure in SFP of 2020
B	Excess of income over expenditure – 2020	62	Balancing figure in SFP / I&E
C	Excess of income over expenditure – 2019	180	198–18(D) Balancing figure in SFP of 2019
D	Utilities payable – 2019	18	**(W1)**
E	Tuck-shop rent receivable	41	**(W2)**
F	Bank balance – 2020	450	Balancing figure in receipt and payment account

	Description	Rs. in '000	Working
G	Salaries expense	568	**(W3)**
H	Misc. supplies expense	129	**(W4)**
I	Annual sports event expense	55	**(W5)**
J	Depreciation expense		
K	Depreciation expense	161	**(W6)**
L	Scrap sale / Other income		
M	Scrap sale / Other income	15	
N	Members' subscriptions received		
O	Members' subscriptions received	790	**(W8)**
P	Tennis court fund received	60	**(W9)**
Q	Repair and maintenance paid	40	

W1:

Utilities			
	Rs. in '000		Rs. in '000
Payment	214	**b/d (balancing)**	**18**
c/d	25	Expense	221
	239		239

W2:

Tuck shop rent			
	Rs. in '000		Rs. in '000
b/d	37	Receipt	248
Income	252	**c/d (balancing)**	**41**
	289		289

W3:

Salaries			
	Rs. in '000		Rs. in '000
b/d	15	b/d	41
Payment	560	**Expense (balancing)**	**568**
c/d	52	c/d	18
	627		627

W4:

Misc. Supplies			
	Rs. in '000		Rs. in '000
b/d	10	**Expense (balancing)**	**129**
Payment	132	c/d	13
	142		142

W5:

Annual Sports event			
	Rs. in '000		Rs. in '000
Payment	180	Members 'contribution	49
		Entrance fee	86
c/d	10	**Expense (balancing)**	**55**
	190		190

W6:

Fixed Assets – Net			
	Rs. in '000		Rs. in '000
b/d	1,300	Disposal (W7)	29
Donation	70	**Depreciation (bal.)**	**161**
Payment	92		
Tennis court	131	c/d	1,403
	1,593		1,593

W7:

Disposal			
	Rs. in '000		Rs. in '000
Fixed assets (balancing)	**29**	Sale proceeds	21
		Loss on disposal	8
	29		29

W8:

Members' subscription			
	Rs. in '000		Rs. in '000
b/d	158	b/d	25
Income	919	**Receipt (balancing)**	**790**
		Write off	12
c/d	20	c/d	270
	1,097		1,097

W9:

Tennis court fund			
	Rs. in '000		Rs. in '000
		b/d	200
c/d	260	**Receipt (balancing)**	**60**
	260		260

▶ *Example 30:*

The accountant of Cereus Golf Club (CGC) was terminated on charges of fraud and you have been assigned the task of preparing the accounts for the year ended 31 December 2020. You have found that the proper books had not been maintained. The management of CGC has given you the following information:

i. Cash and bank balances at 1 January 2020 amounted to Rs. 0.5 million and Rs. 2 million respectively. However, as on 31 December 2020, there was no cash balance and Rs. 4.2 million in the bank.

ii. The members are required to pay 3 years' subscription in advance upon admission/renewal. Full year subscription is charged from members joining during the year. Number of subscriptions received are as under:

Year	No. of memberships	3 years' subscription per member
2018	100	Rs. 60,000
2019	140	Rs. 75,000
2020	160	Rs. 90,000

During 2020, 10 members were awarded membership on special permission but they had not paid the subscription till year-end.

After year-end, 5 more members informed that they had paid the 3 years' subscription amount in 2020. It was found out that the amount was misappropriated by the accountant.

iii. CGC had received a donation of Rs. 8 million in 2019 to meet the repair and maintenance expenditure of its golf course. Out of total donation, the club has spent Rs. 2.2 million and Rs. 2.8 million in 2019 and 2020 respectively.

iv. CGC started purchasing golf kits in 2020 for sales as well as for rent purposes. 20% of the purchases were unpaid at year-end. Two third of the golf kit purchases made in 2020 had been added to inventory of golf kits for sale and remaining had been added directly to golf kits for rent.

v. Golf kits are sold for cash at cost plus 40%. Cost of closing inventory of golf kits for sale amounted to Rs. 1 million. It was decided to transfer half of these kits into golf kits for rent at 30% of their original cost.

vi. Some of the receipts and payments during the year were as follows:

	Rupees
Rent of golf kits	650,000
Golf kits purchases	4,800,000
Annual insurance (paid till April 2021)	660,000
Salaries (including Rs. 350,000 for 2019)	2,800,000
Other expenses	2,320,000

vii. CGC has a fidelity insurance policy and any cash deficiency upto a maximum of Rs. 2 million is recoverable under the policy.

viii. Fixed assets at 1 January 2020 had a book value of Rs. 25 million. All fixed assets are to be depreciated at 15% per annum.

Required:

a) Prepare statement of income and expenditure for the year ended 31 December 2020.

b) Prepare statement of financial position as on 31 December 2020.

▶ Answer:

Part (a)

Statement of income and expenditure for the year ended 31 December 2020

		Rs. in '000
Income		
Subscription income	**W2**	10,750
Rent on golf kits		650
Amortisation of deferred donations		2,800
Sale of golf kits	[3,000×140%]	4,200
		18,400
Expenditures:		
Insurance expense	[660 – 220 prepaid]	440
Salaries expense	[2,800 – 350 last year]	2,450
Cost of Golf kits sold	[6,000 **W3** ×(2÷3)–1,000]	3,000
Loss on golf kits transferred	[500×70%]	350
Depreciation	**W4**	4,050
Repair and maintenance golf course		2,800
Other expenses		2,320
Loss on misappropriation	[4,620 **W1** –2,000 claim]	2,620
		(15,230)
Surplus i.e. excess of income over expenditure		**370**

Part (b)

Statement of financial position as on 31 December 2020

Non-current assets:		**Rs. in '000**
Fixed assets	**W4**	23,100
Current assets:		
Golf kits	[1,000 – 500]	500
Insurance claim		2,000
Prepaid insurance	[660 x 4/12]	220
Subscription in arrears	**W2**	300
Cash & bank		4,200
		7,220
		30,320
General funds:		
Opening balance	**W5**	12,350
Surplus		370
		12,720
Non-current liabilities		**Rs. in '000**
Deferred contribution (repairs)	[8,000 – 2,200 – 2,800]	3,000
Current liabilities		
Creditors - golf kits	**W3**	1,200
Subscription in advance	**W2**	13,400
		30,320

W1:

Bank/cash			
	Rs. in '000		**Rs. in '000**
b/d [500 + 2,000]	2,500	Repair & maintenance	2,800
Subscriptions **W2**	14,850	Golf kits purchases	4,800
Rent of golf kits	650	Insurance premium paid	660
Sale of golf kits	4,200	Salaries paid	2,800
		Other expenses paid	2,320
		Misappropriation (bal.)	**4,620**
		c/d	4,200
	22,200		22,200

W2:

Subscription			
	Rs. in '000		**Rs. in '000**
		b/d	
Income (balancing)	**10,750**	2018: (100×60×1÷3)	2,000
c/d		2019: (140×75×2÷3)	7,000
2019: (140×75×1÷3)	3,500	Receipts [(160+5) x 90]	14,850
2020: (165×90×2÷3)	9,900	c/d (10×90×1÷3)	300
	24,150		24,150

W3:

Creditors			
	Rs. in '000		**Rs. in '000**
Cash	4,800	b/d	-
c/d	**1,200**	**Purchases [4,800 / 80%]**	**6,000**
	6,000		6,000

W4:

Fixed assets and depreciation		**Rs. in '000**
Opening		25,000
Golf kits purchased for rentals	[6,000 x 1/3]	2,000
Golf kits transferred	[500 x 30%]	150
		27,150
Depreciation:		
On opening fixed assets	[25,000 x 15%]	3,750
On purchased kits	[2,000 x 15%]	300
On transferred kits	[at year end]	0
		(4,050)
		23,100

W5:

Net assets (opening balance)		**Rs. in '000**
Assets	[25,000 fixed assets + 2,500 cash and bank]	27,500
Liabilities	[350 + 9,000 + (8,000 – 2,200)]	(15,150)
		12,350

Example 31:

Violin Family Club was formed in 2016. Following are the details of assets and liabilities of the club as on 31 December 2017:

Assets	Rs. in '000	Liabilities	Rs. in '000
Subscription in arrears:		Bank overdraft	181
2016	15	Subscription in advance for 2018	45
2017	90	Accrued electricity	23
Advance rent	24	Canteen wages	11
Canteen stock	215	Canteen creditors	118
Snooker tables	960		
Furniture & equipment	720		
	2,024		**378**

Additional information:

i. Some of the balances as on 31 December 2018 are as follows:

Assets	Rs. in '000	Liabilities	Rs. in '000
Subscription in arrears for 2018	30	Accrued electricity	35
Canteen stock	247	Canteen creditors	142

ii. Break-up of the subscription received during 2018 is as follows:

Related to year	Rs. in '000
2017	60
2018	920
2019	75

The club's management has decided to write-off the remaining subscription in arrears relating to the year 2016 and 2017.

iii. A scheme was introduced in 2016 under which a person is awarded life-time membership upon payment of Rs. 120,000. Life memberships received in the years 2016, 2017 and 2018 were 5, 8 and 6 respectively. Life memberships are deferred and amortised equally over 10 years, starting from the year of admission.

iv. The club operates a canteen. Till last year, the canteen earned a gross profit of 20% of sales. Effective 1 January 2018, selling prices were increased by 10%.

v. Details of some payments during 2018 are as follows:

	Rs. in '000
Canteen creditors	512
Salaries	285
Equipment	66
Electricity	263

vi. Equipment acquired during the year is only 30% paid and the remaining amount is payable in February 2019.

vii. Wages of canteen staff are paid on 5th of each month.

viii. The club operates from a rented place. The rent is paid quarterly in advance on 1 March, 1 June, 1 September and 1 December. As per agreement, annual rent was increased by Rs. 6,000 with effect from 1 September 2018.

ix. Balance of snooker tables as at 31 December 2017 represents the book value of 5 similar tables purchased in 2016. One of the tables was sold to a member for cash during the year for Rs. 212,000.

x. Snooker tables are depreciated at 12.5% on straight line method while furniture & equipment are depreciated at 20% using reducing balance method. Assume that all additions and disposals occurred at start of the year.

Required:

a) Prepare statement of income and expenditure for the year ended 31 December 2018.

b) Prepare statement of financial position as on 31 December 2018.

▶ *Answer:*

Part (a)

Statement of income and expenditure for the year ended 31 December 2018

		Rs. in '000
Income		
Subscription	**W1**	995
Life membership	**W8**	228
Gain on disposal of table	[212 – (960/5)]	20
Profit from canteen	**W3**	57
		1,300
Expenditures		
Rent	**W2**	146
Salaries		285
Electricity	**W5**	275
Depreciation – snooker tables	[[960 x 4/5 x 100/75) x 12.5%]	128
Depreciation – furniture & equipment	[(720 + 66 +154) x 20%]	188
Subscription written off		45
		(1,067)
Surplus i.e. excess of income over expenditure		**233**

Part (b)

Statement of financial position as on 31 December 2018

Non-current assets		Rs. in '000
Snooker table	[960 – (960/5) – 128]	640
Furniture & equipment	[720 + 220 – 188]	752
		1,392
Current assets		
Canteen stock		247
Prepaid rent		25
Subscriptions in arrears		30
Bank	**W4**	1,094
		1,396
		2,788
General funds		
Opening balance	[(2,024 – 378) – 1,344 **W8**]	302
Excess of income over expenditure		233
		535
Non-current liabilities		
Deferred life membership	**W8**	1,608
Current liabilities		
Deferred life membership		228
Canteen creditors		142
Accrued electricity		35
Subscription in advance	**(W-1)**	75
Creditors for equipment	[66 / 30 x 70]	154
Canteen wages payable		11
		645
		2,788

W1:

Subscription			
	Rs. in '000		**Rs. in '000**
b/d [15 + 90]	105	b/d	45
I&E (balancing)	**995**	Bank [60 + 920 + 75]	1,055
		Bad debts [15 + 30]	45
c/d	75	c/d	30
	1,175		1,175

W2:

Rent			
	Rs. in '000		**Rs. in '000**
b/d	24	**I&E (balancing)**	**146**
Bank [(12 x 6) + (12.5 x 6)]	147	c/d [12.5 x 2 months]	25
	171		171

Note: Monthly rent was previously Rs. 12,000 (i.e. Rs. 24,000 opening prepaid / 2 months). From 1 September monthly rent was increased by Rs. 500 (i.e. Rs. 6,000 / 12 months) to monthly rent of Rs. 12,500

W3:

Canteen trading account		**Rs. in '000**
Sales	[504×110÷80]	693
Cost of goods sold		
Opening stock		215
Purchases	**W7**	536
Closing stock		(247)
		504
Gross profit		**189**
Canteen wages	**W6**	(132)
Profit from canteen		**57**

W4:

Bank/cash			
	Rs. in '000		**Rs. in '000**
Subscriptions	1,055	b/d	181
Life membership **W8**	720	Rent	147
Sale proceeds from table	212	Salaries	285
Canteen receipts **W3**	693	Electricity	263
		Canteen creditors	512
		Canteen salaries	132
		Equipment	66
		c/d	**1,094**
	2,680		2,680

W5:

Electricity			
	Rs. in '000		**Rs. in '000**
Bank	263	b/d	23
c/d	35	**I&E (balancing)**	**275**
	298		298

W6:

Canteen wages payable			
	Rs. in '000		**Rs. in '000**
Bank [11 x 12 months]	132	b/d	11
c/d	**11**	I&E (11 x 12 months]	132
	143		143

W7:

Canteen creditors			
	Rs. in '000		**Rs. in '000**
Bank	512	b/d	118
c/d	142	**Purchases (balancing)**	**536**
	654		654

W8:

Life membership fees		Rs. in '000
2016: 5 members x Rs. 120		600
Amortised	[600/10 years]	(60)
		540
2017: 8 members x Rs. 120		960
Amortised	[(600+960)/10 years]	(156)
Opening		**1,344**
2018: 6 members x Rs. 120		720
Amortised	[(600+960+720)/10 years]	(228)
		1,836
Presented as current liability	[(600+960+720)/10 years]	(228)
Presented as non-current liability		**1,608**

▶ *Example 32:*

Following is the trial balance of Mahtab Welfare Hospital (MWH) as on 31 December 2021:

	Debit	Credit
	---- Rs. in million ----	
Capital work in progress – hospital building	335	
Cash at bank	60	
Closing inventory – medicines and supplies	14	
Contributions received		281
General fund as at 1 January 2021		332
Medical equipment	320	100
Medicines and supplies used	76	
Other expenditures	19	
Payables		17
Research cost	33	
Restricted fund as at 1 January 2021		180
Salaries	53	
Total	**910**	**910**

Additional information:

i. The break-up of restricted fund balance is as follows:

Fund	Description	Rs. in million
Hospital building fund	Contributions received for the construction of hospital building.	120
Research fund	As per the resolution of board of trustees, MWH is required to allocate 20% of surplus of each year to the research fund.	60

ii. Contributions received include Rs. 55 million received for construction of hospital.

iii. During the year, MWH also received construction materials having fair value of Rs. 65 million for the hospital building which has not been recorded in books.

iv. MWH has completed the construction of hospital building on 1 April 2021.

v. Depreciation is to be charged as follows:

Hospital building	5% – straight line
Other fixed assets	10% – reducing balance

Required:

Prepare the following using deferral method:

a) Statement of income and expenditure for the year ended 31 December 2021.

b) Statement of financial position as at 31 December 2021.

▶ *Answer:*

Part (a)

Statement of income and expenditure for the year ended 31 December 2021

Income:		**Rs. in million**
General Contributions	[281 – 55]	226
Hospital contributions	**W1**	9
		235
Expenditure:		
Medicine and supplies used		76
Salaries		53
Other expense		19
Depreciation – Hospital	[(335+65)×5%×9/12	15
Depreciation – Other fixed assets	[(320–100)×10%]	22
		(185)
Surplus i.e. excess of income over expenditure		**50**

Part (b)

Statement of financial position as at 31 December 2021

Non-current assets:		**Rs. in million**
Hospital building	[335 + 65 – 15]	385
Medical equipment	[320 – 100 – 22]	198
		583
Current assets:		
Medicines and supplies		14
Cash at bank		60
		74
		657
Funds:		
General fund	[332 + 50 – (50×20%)]	372
Research fund	[60 – 33 + (50 x 20%)]	37
		409
Non-current liabilities:		
Hospital deferred contribution	**W1**	219

Current liabilities:		Rs. in million
Payables		17
Hospital deferred contribution	**W1**	12
		29
		657

W1:

Contributions for hospital buildings		Rs. in million
Opening balance		120
Received in cash		55
Received in kind	(at fair value)	65
		240
Transferred to income	[240 x 5% x 9/12]	(9)
		231
Presented as current liability	[240 x 5%]	(12)
Presented as non-current liability		**219**

Example331:

Oracle Family Club (OFC) was formed in January 2021. The following information is available in respect of the first year of operations:

Receipt and payment account for the year ended 31 December 2021

Receipts	Rs. in '000	Payments	Rs. in '000
Subscriptions for:		Salaries	640
2021	2,800	Rent	990
2022	1,360	Equipment	2,560
Joining fees	2,100	10% Fixed deposit	2,020
Canteen sales	720	Construction of building	1,500
Life-time memberships	1,840	Canteen purchases	700
		Closing balance	410
	8,820		**8,820**

Statement of income and expenditure for the year ended 31 December 2021

Expenditures	Rs. in '000	Incomes	Rs. in '000
Salaries	700	Subscription	3,450
Rent	760	Interest on fixed deposit	150
Depreciation of equipment	200	Life-time memberships	360
Surplus	2,330	Profit from canteen	30
	3,990		**3,990**

Additional information:

i. OFC also operates a canteen. All sales and purchases of canteen are made for cash.

ii. Salary of canteen's salesman amounted to Rs. 90,000 is included in payments.

Required:

Prepare OFC's statement of financial position as on 31 December 2021.

▶ *Answer:*

Statement of financial position as on 31 December 2021

Non-current assets:		**Rs. in '000**
Equipment	[2,560 – 200]	2,360
Capital work in progress – Building		1,500
		3,860
Current assets:		
Canteen inventory	**W1**	100
Subscription in arrears	[3,450 – 2,800]	650
Prepaid rent	[990 – 760]	230
Fixed deposit		2,020
Interest receivable		150
Cash		410
		3,560
		7,420
General funds:		
Opening balance		-
Excess of income over expenditure		2,330
		2,330
Joining fees fund (or deferred joining fees)		2,100
Liabilities:		
Deferred life membership	[1,840 – 360]	1,480
Salaries payable	[700 + 90 – 640]	150
Subscription in advance		1,360
		7,420

W1: Canteen profit statement

		Rs. in '000
Sales		720
Cost of sales		
Opening inventory		0
Purchases		700
Closing inventory	**(balancing)**	**(100)**
	[720 sales – 120 gross profit]	(600)
Gross profit	[30 profit + 90 salary]	120
Salary of salesman		(90)
Profit		30

▶ *Example 34:*

Gemini Club (GC) prepared its complete financial statements for 2023; however, the excel sheet containing statement of income and expenditure was inadvertently deleted. The following comparative balance sheet, along with the receipts and payments account, is available:

Balance sheet as on 31 December 2023

Funds and liabilities	Rs. in '000		Assets	Rs. in '000	
	2023	2022		2023	2022
General fund:			Fixed assets – net	1,403	1,300
Opening balance	1,766	1,586	Members' subscription	270	158
Excess of income over expenditure	62	180	Miscellaneous supplies	13	10
	1,828	**1766**	Tuck-shop rent	41	37
Tennis court fund	260	200	Advance salaries	18	15
			Bank	450	530
Liabilities:					
Members' subscription	20	25			
Salaries	52	41			
Utilities	25	18			
Annual sports event	10	-			
	2,195	**2,050**		**2,195**	**2,050**

Receipts and payments account for the year ended 31 December 2023

Receipts	Rs. in '000	Payments	Rs. in '000
Opening balance	530	Salaries	560
Members' subscription received	790	Fixed assets	92
Tennis court fund	60	Annual sports event	180
Contribution for annual sports event	49	Miscellaneous supplies	132
Entrance fee - annual sports event	86	Utilities	214
Tuck-shop rent	248	Repair and maintenance	40
Scrap sale	15	Construction of tennis court	110
		Closing balance	450
	1,778		**1,778**

Required:

Prepare GC's statement of income and expenditure for the year ended 31 December 2023. (Comparative figures are not required)

Answer:

Gemini Club

Statement of income and expenditure for the year ended 31 December 2023

Income		Rs. in '000
Members' subscription	790+270–158+25–20	907
Tuck shop rent	248+41–37	252
Scrap sale/other income		15
		1,174
Expenditures		
Salaries	560+52–41+15–18	568
Utilities	214+25–18	221
Annual sports event – net	(180+10)–(49+86)	55
Depreciation	1,300+92+110–1,403	99
Repairs and maintenance		40
Miscellaneous supplies expense	10+132–13	129
		(1,112)
Excess of income over expenditure		62

▶ *Example 34:*

Aztec Sports Club (ASC) was formed on 1 January 2021 when a founding member sold a piece of land to ASC having fair value of Rs. 4,000,000 for the purpose of establishing a sports club, for Rs. 1,000,000 only. The following information is available for the preparation of financial statements of ASC for the year ended 31 December 2022:

i. Balances of some assets and liabilities as on 1 January 2022:

	Rs. in '000
Cash and bank balances	223
Fixed assets (other than land)	6,450
Prepaid insurance	274
Accrued other expenditures	865

ii. Payments made during the year:

	Rs. in '000
Fixed assets (on 1 May 2022)	6,000
Annual insurance (valid till 31 March 2023)	1,404
Other expenditures	2,788

iii. Annual membership fee for the years 2021, 2022 and 2023 was Rs. 8,000, Rs. 10,000 and Rs. 12,000 respectively. However, members joining in second half of year are charged only half fee for that year. Each member is required to pay the membership fee for the current year and the next year at the time of admission. The numbers of members admitted during the years 2021 and 2022 are as follows:

2021		2022	
1st half	**2nd half**	**1st half**	**2nd half**
150	270	220	105

iv. Contributions received during the year:

- A member contributed Rs. 1,400,000 for the purchase of a tractor for ground's maintenance. The tractor will be purchased in the year 2023.
- Another member contributed Rs. 1,100,000 without specifying any restriction.

v. On 1 April 2021, an area was given on rent for operating a canteen in the club at an annual rent of Rs. 840,000. However, to facilitate the tenant for setting up the canteen, it was agreed that the rent for 2 years will be paid in 2023.

vi. On 1 September 2022, some fixed assets having book value of Rs. 3,000,000 on 1 January 2022 were disposed of for Rs. 3,300,000.

vii. Depreciation is charged on all fixed assets (other than land) using reducing balance method at a rate of 20% per annum.

Required:

Prepare the following using the deferral method:

a) Statement of income and expenditure for the year ended 31 December 2022

b) Statement of financial position as at 31 December 2022

Answer:

(a)

Aztec Sports Club

Statement of income and expenditure for the year ended 31 December 2022

Income		**Rs. in '000**
Membership	**(W-1)**	6,925
Canteen rent		840
Gain on disposal	3,300–2,600	700
Unrestricted contribution		1,100
		9,565
Expenditure		
Depreciation	**(W-3)**	1,890
Insurance	1,404+274–351(1,404×3/12)	1,327
Other expenditures	2,788–865	1,923
		(5,140)
Surplus of income over expenditure		**4,425**

(b)

Aztec Sports Club

Statement of financial position as on 31 December 2022

		Rs. in '000
Non-current assets		
Land		4,000
Other fixed assets	**(W-3)**	7,960
		11,960
Current assets		
Rent receivable	840**(IE)**+630**(W-4)**	1,470
Prepaid insurance		351
Cash	**(W-2)**	2,456
		4,277
		16,237
Funds		
Opening general fund	**(W-4)**	3,512
Surplus of income over expenditure		4,425
		7,937
Land fund		3,000
		10,937
Liabilities		
Advance membership	**(W-1)**	3,900
Deferred contribution - tractor		1,400
		5,300
		16,237

W-1:	Membership		Rs. in '000
Income (bal.)	6,925	Opening advance 150×10+270×10	4,200
		Receipts - 1st half 220×10+220×12	4,840
Closing advance 220×12+105×12	3,900	- 2nd half 105×5+105×12	1,785
	10,825		**10,825**

W-2:

	Cash		Rs. in '000
Opening	223	Fixed assets	6,000
Subscription (4,840+1,785)	6,625	Insurance	1,404
Fixed assets disposal	3,300	Other expenditures	2,788
Contribution (1,100+1,400)	2,500	Closing	2,456
	12,648		**12,648**

W-3:

	Other fixed assets		Rs. in '000
Opening	6,450	Asset disposed of (3,000–400)	2,600
Purchase	6,000	Depreciation expense	1,890
		- Disposal 3,000×8/12×20%=400	
		- Addition 6,000×8/12×20%=800	
		- Remaining (6,450-3,000) ×20%=690	
		Closing	7,960
	12,450		**12,450**

W-4:

Opening fund		
Cash		223
Other fixed assets		6,450
Prepaid insurance		274
Land		4,000
Land fund	4,000–1,000	(3,000)
		1,000
Rent receivable	840×9÷12	630
Accrued other expenditures		(865)
Advance membership	**(W-1)**	(4,200)
General fund		**3,512**

▶ *Example 35:*

Following is the trial balance of Sagala Sports Club (SSC) as at 30 June 2024:

	Debit	Credit
	---- Rs. in million ----	
Accrued expenditures		17
Cash at bank	12	
Contribution for pavilion building		20
Depreciation expense	11	
General fund as at 1 July 2023		102
Other expenditures	38	
Fixed assets	96	
Pavilion building	27	
Payments for schools fee	7	
Players' subscription receivable as at 1 July 2023	8	
Players' subscription received during the year		45
Players' subscription received during the year in advance		15
Total	**199**	**199**

Additional information:

i. A contribution of Rs. 20 million for the pavilion was received last year. The pavilion was completed this year at a cost of Rs. 30 million and has been depreciated by Rs. 3 million.

ii. Players' subscription of Rs. 16 million were outstanding as at 30 June 2024. Of this amount, Rs. 3 million should be written off as it was also outstanding on 1 July 2023.

iii. During the year, some players started paying subscriptions in advance for the whole year, receiving a 20% discount. 40% of these subscriptions should be considered as advances as at 30 June 2024.

iv. Due to a significant balance in the general fund, SSC's board of trustees has decided to establish a fund with Rs. 24 million to contribute to the school fees of promising children from the town. Parents can apply for a grant up to Rs. 50,000.

Required:

Prepare the following using deferral method:

a) Statement of income and expenditure for the year ended 30 June 2024

b) Statement of financial position as at 30 June 2024

▶ *Answer:*

Part (a)

Statement of income and expenditure for the year ended 30 June 2024

		Rs. in million
Income:		
Players' subscription	(W-1)	62
Pavilion contributions	20×(3÷30)	2
		64
Expenditures:		
Depreciation		11
Other expenditures		38
Players' subscription written off		3
		(52)
Excess of income over expenditure		**12**

Part (b)

Statement of financial position as at 30 June 2024

		Rs. in million
Non-current assets:		
Fixed assets		96
Pavilion building		27
		123
Current assets:		
Players' subscription receivable	(W-1)	13
Cash at bank		12
		25
		148
Funds:		
General fund	102+12–24	90
School fee fund	24–7	17
		107
Pavilion deferred contribution	20–2	18
Liabilities:		
Accrued expenditures		17
Players' subscription received in advance	(W-1)	6
		23
		148

W1: Players' Subscription

	Rs. m		Rs. M
b/d (receivable)	8	Receipts 45 +15	60
Income and expenditure	**62**	Write offs	3
c/d (advance) 15 x 40%	6	c/d (receivable) 16 – 3	13
	76		76

6. OBJECTIVE BASED Q&A

1. Which of the following is generally considered an NPO?
   a) Charitable organisation
   b) Trading companies
   c) Audit firms
   d) Insurance companies

2. Expenditures greater than incomes of an NPO give rise to a:
   a) Loss
   b) Profit
   c) Surplus
   d) Deficit

3. An advance receipt of subscription from a member of the NPO is considered as:
   a) an expense
   b) a liability
   c) an equity item
   d) an asset

4. Statement of income and expenditure is based on;
   a) Cash accounting
   b) Accrual accounting
   c) Government accounting
   d) Management accounting

5. When cash is received for life membership, which one of the following double entries is passed?
   a) Cash Debit and capital Credit
   b) Life membership Debit and cash Credit
   c) Investment Debit and cash Credit
   d) Cash Debit and deferred life-membership fee Credit

6. XYZ club has a bar that maintains a separate trading account for its trading activities. Which of the following is the treatment of profit or loss on bar trading activities?
   a) Profit or loss is directly shown in the statement of financial position
   b) Profit or loss is to be presented in statement of income and expenditure
   c) Profit or loss is credited in statement of profit or loss
   d) Profit or loss is added to accumulated fund

7. An NPO has provided services to one of its members, however, subscription has not been received yet. It is considered as:
   a) an asset
   b) a liability
   c) an income
   d) an expenditure

8. Rs. 1,000,000 received as the annual membership subscription. Out of this, Rs. 200,000 is pertaining to the previous accounting period whereas Rs. 100,000 is receivable at the end of the current accounting period.

   Calculate the amount of subscription that will be shown in the statement of income and expenditure.

   a) Rs. 100,000
   b) Rs. 900,000
   c) Rs. 1,200,000
   d) Rs. 800,000

9. Statement of income and expenditure shows:

   a) Cash available to an organization
   b) Closing capital of an organization
   c) Cash available in the bank account
   d) Surplus or deficit for the current accounting period

10. On what basis the 'receipts and payments account' is prepared?

    a) Cash basis
    b) Accrual basis
    c) Both accrual and cash basis
    d) None of the two

11. Statement of income and expenditure includes:

    a) Capital items
    b) Revenue items
    c) Both capital items and revenue items
    d) None of these

12. A club has 500 members. Annual membership fees are Rs. 1,000. Therefore, membership fees for the year should be Rs. 500,000.

    The club's subscription records for the year ended 31 December 2013 show the following:

	At 31 December 2012	At 31 December 2013
Subscriptions in advance	10,000	6,000
Subscriptions in arrears	18,000	22,000

    Calculate the amount of cash received during the year.

    a) Rs. 492,000
    b) Rs. 496,000
    c) Rs. 504,000
    d) Rs. 508,000

13. At 31 March 2012 a cricket club had membership subscriptions in arrears amounting to Rs. 48,000 and had received Rs. 12,000 subscriptions in advance.

    During the year to 31 March 2013 the club received Rs. 624,000 including 26 memberships for the year to 31 March 2014 at Rs. 1,200 per annum in advance.

    At 31 March 2013 16 members owed subscriptions of Rs. 1,200 each.

Calculate the amount of subscription income during the year.

a) Rs. 552,000
b) Rs. 576,000
c) Rs. 600,000
d) Rs. 648,000

14. At 31 March 2012 a cricket club had membership subscriptions in arrears amounting to Rs. 48,000 and had received Rs. 12,000 subscriptions in advance.

During the year to 31 March 2013 the club received Rs. 624,000 including 26 memberships for the year to 31 March 2014 at Rs. 1,200 per annum.

At 31 March 2013 16 members owed subscriptions of Rs. 1,200 each.

Half of the members who were in arrears at the end of the previous period still had not paid by 31 March 2013. It was decided to write these amounts off.

Required:

Calculate the amount of subscription income during the year.

a) Rs. 552,000
b) Rs. 576,000
c) Rs. 600,000
d) Rs. 648,000

15. Seaview Club started its operations on 1 February 2015. Total subscription received for the period ended 31 December 2015 was Rs. 29,952,000

Annual subscription is Rs. 24,000. All new members pay three years' subscription in advance. The memberships were awarded as follows:

Month	March	June	September	December
No. of member	112	98	101	105

What amount of subscription income should be included in statement of income and expenditure for the period ended 31 December 2015?

a) Rs. 4,630,000
b) Rs. 9,984,000
c) Rs. 15,338,000
d) None of above

16. Seaview Club started its operations on 1 February 2015. Total subscription received for the period ended 31 December 2015 was Rs. 29,952,000

Annual subscription is Rs. 24,000. All new members pay three years' subscription in advance. The memberships were awarded as follows:

Month	March	June	September	December
No. of member	112	98	101	105

What amount of advance subscription should be included in non-current liabilities as at 31 December 2015?

a) Rs. 4,630,000
b) Rs. 9,984,000
c) Rs. 15,338,000
d) None of above

17. The main objective of an NPO is;
    a) To earn profits
    b) To create monopoly
    c) Welfare of the society or service to its members
    d) To provide for owner's dividends

18. Receipt and payment account include:
    a) Revenue items
    b) Capital items
    c) Both capital and revenue items
    d) None of above

19. The 'Accounting Standard for NPOs' has been issued by:
    a) The Institute of Chartered Accountants of Pakistan
    b) The Securities and Exchange Commission of Pakistan
    c) International Accounting Standards Board
    d) All Pakistan Association of NPOs

20. According to ASNPO, the financial statements of an NPO use the following concept of capital maintenance:
    a) Physical capital maintenance
    b) Welfare capital maintenance
    c) Financial capital maintenance (real terms)
    d) Financial capital maintenance (money terms)

21. An NPO has a fund that is subject to externally imposed stipulations specifying the resources contributed be maintained permanently, although the constituent assets may change from time to time. Which type of fund it is?
    a) Unrestricted fund
    b) Capital assets fund
    c) Restricted fund
    d) Endowment fund

22. Which of the following statement is incorrect with respect to restrictions on contribution revenue of an NPO?
    a) Restrictions may be externally imposed
    b) Restrictions may be internally imposed
    c) Restrictions may be explicit
    d) Restrictions may be implicit

23. An NPO received endowment contributions of Rs. 2 million. How should the receipt be recognised under deferral method?
    a) Recognise as revenue in statement of income and expenditure in endowment fund of the current period
    b) Recognise as revenue in statement of income and expenditure in general fund of the current period
    c) Recognise as direct increase in statement of changes in net assets in endowment fund of the current period
    d) Recognise as direct increase in statement of changes in net assets in general fund of the current period

24. An NPO received restricted contribution for the repayment of debt. The related debt was incurred for the payment of expenses expected to be incurred in next three years. How should the receipt be recognised under deferral method?

    a) Recognise as revenue in statement of income and expenditures of the current period
    b) Defer and recognise as revenue in relevant periods applying the matching concept
    c) Recognise as direct increase in net assets in the statement of changes in net assets
    d) Recognise as deduction from related capital asset or related expenses

25. An NPO received restricted contribution for the repayment of debt. The related debt was taken to fund purchase of school's furniture. How should the receipt be recognised under deferral method?

    a) Recognise as revenue in statement of income and expenditures of the current period
    b) Defer and recognise as revenue on the same basis as related depreciation expense is charged
    c) Recognise as direct increase in net assets in the statement of changes in net assets
    d) Recognise as deduction from related capital asset or related expenses

26. An NPO received restricted contribution for the repayment of debt. The related debt was taken neither to fund expenses of future periods nor to fund purchase of any capital assets. How should the receipt be recognised under deferral method?

    a) Recognise as revenue in statement of income and expenditures of the current period
    b) Defer and recognise as revenue in relevant period applying the matching concept
    c) Recognise as direct increase in net assets in the statement of changes in net assets
    d) Recognise as deduction from related capital asset or related expenses

27. An NPO earned investment income that is externally restricted to be held for endowment. How should it be recognised under deferral method?

    a) Recognise as revenue in statement of income and expenditures of the current period
    b) Defer and recognise as revenue in relevant period applying the matching concept
    c) Recognise as direct increase in net assets in the statement of changes in net assets
    d) Recognise as deduction from related capital asset or related expenses

28. An NPO has of 16,000 bags of rice to be sold only to members of an underprivileged community. The cost of rice to the NPO is Rs. 600 per bag. However, the NPO sells one bag to the underprivileged persons for Rs. 50 only. How should these 16,000 bags be measured?

    a) At cost
    b) At lower of cost and NRV
    c) At lower of current replacement cost and NRV
    d) At lower of cost and current replacement cost

29. An NPO had capital asset of furniture at carrying value of Rs. 800,000 and related unamortised deferred contribution balance of Rs. 480,000 in statement of financial position. At that date, the furniture was destroyed by fire completely and is now worth nothing. Which of the following is correct treatment?

    a) Write down the furniture by Rs. 480,000 against deferred contribution.
    b) Write down the furniture by Rs. 800,000 and recognise revenue of Rs. 480,000 related to deferred contribution provided that all restrictions have been complied with.
    c) Write down the furniture by Rs. 800,000 and transfer Rs. 480,000 related to deferred contribution, directly in net assets provided that all restrictions have been complied with.
    d) Both (b) and (c) are acceptable accounting treatments.

30. Morning Football Club has a monthly subscription fee of Rs. 800 per member. The club has 240 members on 31 December 2018. No fresh members were admitted during 2018 but 30 members left the club on 1 July 2018. As at 31 December 2018, the club has received subscription in advance amounting to Rs. 60,000. The club's subscription income for 2018 would be:

a) Rs. 2,448,000
b) Rs. 2,388,000
c) Rs. 2,160,000
d) Rs. 2,100,000

31. Alpha Club's financial year ends on 31 December. Following information pertain to its members' subscription:

	Rupees
Subscription received in 2018 for 2019	180,000
Subscription received in 2019 for 2018	90,000
Subscription received in 2019 for 2019	1,400,000
Subscription received in 2019 for 2020	200,000
Subscription for 2018 outstanding as on 31 December 2018	150,000
Subscription for 2019 outstanding as on 31 December 2019	325,000

Subscription income for the year ended 31 December 2019 is:

a) Rs. 1,845,000
b) Rs. 1,705,000
c) Rs. 1,905,000
d) Rs. 1,665,000

32. Which of the following is a self-balancing set of accounts that reports all unrestricted revenue and restricted contributions for which no corresponding restricted fund is presented?

a) General fund
b) Restricted fund
c) Endowment fund
d) Balancing fund

33. Annual membership subscription income of Rs. 1,800,000 was shown in the statement of income and expenditure. Out of this, Rs. 300,000 was receivable at the year-end. During the year, an amount of Rs. 400,000 was received pertaining to the previous year. Calculate the total amount of subscription received during the year.

a) Rs. 1,100,000
b) Rs. 1,700,000
c) Rs. 1,900,000
d) Rs. 2,500,000

34. A non-profit organisation earns income on funds that are externally restricted to be held for endowment. How should such income be recognised under the deferral method?

a) Recognise revenue in the current year immediately
b) Defer and recognise revenue over the years
c) Recognise direct increase in the statement of changes in net assets
d) Deduct from the related capital asset

ANSWERS

01.	(a)	Trading companies, audit firms and insurance companies are profit oriented. A charitable organisation is an NPO.
02.	(d)	Excess of expenditure over income of an NPO is called 'deficit'.
03.	(b)	The subscription received in advance is unearned and shall be presented as a liability.
04.	(b)	Statement of income and expenditure is prepared on accrual basis while receipt and payment account is prepared on cash basis.
05.	(d)	Cash Debit and Deferred life-membership fee Credit
06.	(b)	Profit or loss from running an operation shall be presented in statement of income and expenditure.
07.	(a)	Subscription receivable is presented as a current asset.
08.	(b)	

Subscription a/c

Particulars	Rs.		Particulars	Rs.
b/d	200,000		Cash received	1,000,000
I & E	900,000		c/d	100,000
	1,100,000			1,100,000

09.	(d)	Statement of income and expenditure shows surplus or deficit for the current accounting period.
10.	(a)	Statement of income and expenditure is prepared on accrual basis while receipt and payment account is prepared on cash basis.
11.	(b)	Statement of income and expenditure includes only revenue items.
12.	(a)	

Subscriptions

	Rs.		Rs.
Balance b/d	18,000	Balance b/d	10,000
I&E	500,000	**Cash**	**492,000**
Balance c/d	6,000	Balance c/d	22,000
	524,000		524,000

13.	(b)	

Subscriptions

	Rs.		Rs.
Balance b/d	48,000	Balance b/d	12,000
I&E	**576,000**	Cash	624,000
Balance c/d **[26 x Rs. 1,200]**	31,200	Balance c/d **[16 x Rs. 1,200]**	19,200
	655,200		655,200

14. (c)

Subscriptions			
	Rs.		Rs.
Balance b/d	48,000	Balance b/d	12,000
I&E	**600,000**	Cash	624,000
		Bad debts **[48,000 x ½]**	24,000
Balance c/d **[26 x Rs. 1,200]**	31,200	Balance c/d **[16 x Rs. 1,200]**	19,200
	679,200		679,200

15. (a) Subscription for 3 years is Rs. 72,000 so subscription for 1 year is Rs. 24,000 or Rs. 2,000 per month

Rs.000

Receipt / Members	I&E		Current		Non-current	
	Months	*Rs.*	*Months*	*Rs.*	*Months*	*Rs.*
Mar / 112	10	2,240	12	2,688	14	3,136
Jun / 98	7	1,372	12	2,352	17	3,332
Sep / 101	4	808	12	2,424	20	4,040
Dec / 105	1	210	12	2,520	23	4,830
		4,630		**9,984**		**15,338**

16. (c) Subscription for 3 years is Rs. 72,000 so subscription for 1 year is Rs. 24,000 or Rs. 2,000 per month

Rs.000

Month / Members	I&E		Current		Non-current	
	Months	*Rs.*	*Months*	*Rs.*	*Months*	*Rs.*
Mar / 112	10	2,240	12	2,688	14	3,136
Jun / 98	7	1,372	12	2,352	17	3,332
Sep / 101	4	808	12	2,424	20	4,040
Dec / 105	1	210	12	2,520	23	4,830
		4,630		**9,984**		**15,338**

17. (c) Welfare of the society or service to its members

18. (c) Both capital and revenue items are included in receipt and payment account.

19. (a) ASNPO has been issued by ICAP.

20.	(d)	Financial statements of an NPO are prepared with capital maintenance measured in financial terms and with no adjustment being made for the effect on capital of a change in the general purchasing power of the currency during the period.
21.	(d)	Such stipulations relate to endowment contribution and related fund would be endowment fund.
22.	(b)	Restrictions (explicit or implicit) on contributions may only be externally imposed.
23.	(c)	Endowment contributions are recognised ad direct increase in statement of changes in net assets.
24.	(b)	As debt relates to expenses of future periods, the contribution for repayment thereof shall be deferred and recognised as revenue in future relevant periods.
25.	(b)	Defer and recognise as revenue on the same basis as related depreciation expense is charged
26.	(a)	Recognise as revenue in statement of income and expenditures of the current period
27.	(c)	Recognise as direct increase in net assets in the statement of changes in net assets
28.	(d)	At lower of cost and current replacement cost
29.	(b)	Write down the furniture by Rs. 800,000 and recognise revenue of Rs. 480,000 related to deferred contribution provided that all restrictions have been complied with.
30.	(a)	

Subscription income	Rs.
[240 + 30] members x 6 months x Rs. 800	1,296,000
240 members x 6 months x Rs. 800	1,152,000
Total	**2,448,000**

31. (c)

Subscriptions			
	Rs.		Rs.
Balance b/d	150,000	Balance b/d	180,000
I&E	**1,905,000**	Cash	1,690,000
Balance c/d	200,000	Balance c/d	385,000
	2,255,000		2,255,000

32.	(a)	General fund
33.	(c)	

Subscription				
Particulars	Rs. 000		Particulars	Rs. 000
b/d	400		Cash (balancing)	1,900
I & E	1,800		c/d	300
	2,200			2,200

Cash received Rs. 1,900,000

34.	(c)	Recognise direct increase in the statement of changes in net assets

STICKY NOTES

Different terminology

Profit-oriented entities	Not-for-Profit Organisations
Statement of comprehensive income	Statement of income and expenditure
Net profit	Excess of income over expenditure / Surplus
Net loss	Excess of expenditure over income / Deficit
Equity / Share capital and equity reserves	Net assets / Accumulated fund / Accumulated surplus / Accumulated deficit / Fund balance
Statement of changes in equity	Statement of changes in net assets
Specific reserve	Restricted contribution / grant
Fee	Subscription
Owners / Shareholders	Trustees/ sponsors / donors

Types of contributions

Restricted contribution	A restricted contribution is a contribution subject to externally imposed stipulations that specify the purpose for which the contributed asset is to be used.
Endowment contribution	An endowment contribution is a type of restricted contribution subject to externally imposed stipulations specifying that the resources contributed be maintained permanently, although the constituent assets may change from time to time.
Unrestricted contribution	An unrestricted contribution is a contribution that is neither a restricted contribution nor an endowment contribution.

Subscription account

	Rs.		Rs.
Balance b/d (members in arrears)	X	Balance b/d (members who have prepaid)	X
Income and expenditure	X	Cash	X
Balance c/d (members who have prepaid)	X	Balance c/d (members in arrears)	X
	X		X
Balance b/d (members in arrears)	X	Balance b/d (members who have prepaid)	X

Profit (loss) from running an operation	**Rs.**
Sales	X
Cost of sales	
Opening inventory	X
Purchases	X
Closing inventory	(X)
	(X)
Gross profit	X
Coffee shop worker's salary (and other relevant expenses)	(X)
Profit (loss)	X / (X)

Not-for-Profit Organisation
Statement of financial position as at _____

Non-current assets	**Rs. 000**
Capital assets (property, plant and equipment)	XX
Collections	XX
Investments	XX
	XX
Current assets	
Office supplies stock	XX
Prepaid expenses	XX
Subscription receivable	XX
Cash and cash equivalents	XX
	XX
	XXX
Fund balances / Net assets	
General fund / Unrestricted net assets	XX
Net assets: restricted for endowments	XX
Net assets: internally restricted for special projects	XX
	XX
Non-current liabilities	
Deferred grants/contributions	XX
Loans	XX
	XX
Current liabilities	
Deferred grants/contributions	XX
Subscriptions received in advance	XX
Accrued expenses	XX
	XX
	XX

Not-for-Profit Organisation
Statement of income and expenditure for the year ended _____

Income	**Rs. 000**
Fee-for-services	XX
Government grants	XX
Contributions	XX
Fundraising events	XX
Profit from coffee bar / shop / canteen	XX
Investment income	XX
Other income	XX
Expenditures	
Salaries	XX
Rent	XX
Office supplies used	XX
Utilities	XX
Marketing and communications	XX
Amortisation of capital assets	XX
	(XX)
Excess of income over expenditure i.e. surplus	**XX**

Not-for-Profit Organisation
Statement of changes in net assets for the year ended _____

	Unrestricted / General fund	**Endowment fund**	**Special (internal) fund**	**Total**
	Rs. 000	**Rs. 000**	**Rs. 000**	**Rs. 000**
Balance 1 January	XXX	XX	XXX	XXX
Surplus	XX			XX
Endowment Contributions		XX		XX
Investment income		XX		X
Transfer to special fund	(X)		XX	-
Transfer to endowment	(X)	XX		-
Balance 31 December	**XXX**	**XX**	**XX**	**XXX**

CHAPTER 13

IAS 7 STATEMENT OF CASH FLOWS

IN THIS CHAPTER:

AT A GLANCE

SPOTLIGHT

1. Introduction
2. Presentation
3. Reporting operating cash flows
4. Reporting investing and financing cash flows
5. Usefulness of cash flow information
6. Comprehensive Examples
7. Objective Based Q&A

STICKY NOTES

AT A GLANCE

IAS 7 prescribes how to present information in a statement of cash flows to reflect changes in an entity's cash and cash equivalents during the period. Cash comprises cash on hand and demand deposits. Cash equivalents are short-term, highly liquid investments that are readily convertible to known amounts of cash and that are subject to an insignificant risk of changes in value.

The statement classifies cash flows during a period into cash flows from operating, investing and financing activities:

a) operating activities are the principal revenue-producing activities of the entity and other activities that are not investing or financing activities. An entity reports cash flows from operating activities using either:

- the direct method, whereby major classes of gross cash receipts and gross cash payments are disclosed; or
- the indirect method, whereby profit or loss is adjusted for the effects of transactions of a non-cash nature, any deferrals or accruals of past or future operating cash receipts or payments and items of income or expense associated with investing or financing cash flows.

b) investing activities are the acquisition and disposal of long-term assets and other investments not included in cash equivalents. The aggregate cash flows arising from obtaining and losing control of subsidiaries or other businesses are presented as investing activities.

c) financing activities are activities that result in changes in the size and composition of the contributed equity and borrowings of the entity.

Investing and financing transactions that do not require the use of cash or cash equivalents are excluded from a statement of cash flows but separately disclosed. IAS 7 requires an entity to disclose the components of cash and cash equivalents and to present a reconciliation of the amounts in its statement of cash flows with the equivalent items reported in the statement of financial position.

1 INTRODUCTION

1.1 Scope [IAS 7: 1 & 3]

IAS 7 requires all entities to prepare a statement of cash flows as an integral component of financial statements for each period for which financial statements are presented.

All entities need cash, regardless of how different their principal revenue-producing activities might be, to conduct their operations, to pay their obligations, and to provide returns to their investors. Users of an entity's financial statements are interested in how the entity generates and uses cash and cash equivalents. Therefore, understanding cash inflows and outflows is important

1.2 Key definitions [IAS 7: 6 to 9]

Cash comprises cash on hand and demand deposits.

Bank overdraft, which are repayable on demand, is included as a component of cash and cash equivalent.

Cash equivalents are short-term, highly liquid investments that are readily convertible to known amounts of cash and which are subject to an insignificant risk of changes in value.

Not all investments are cash equivalents. An investment normally qualifies as a cash equivalent only when it has a short maturity of, say, three months or less from the date of acquisition. Equity investments are excluded from cash equivalents unless they are, in substance, cash equivalents, for example, redeemable preference shares acquired within a short period of their specified maturity date.

▶ *Example 01:*

Which of the following items are cash equivalents:

i. Investment in ordinary shares of another entity. The shares are traded on Pakistan Stock Exchange.

ii. Prize bonds issued by Government of Pakistan

iii. Government treasury bills with specified two months' maturity (to be encashed into specified amount)

iv. Trade receivables

v. Plant and machinery

vi. Inventory

▶ *Answer:*

i. Not cash equivalent. Although these shares are readily convertible into cash yet there is significant risk of changes in value.

ii. Cash equivalent.

iii. Cash equivalent.

iv. Not cash equivalent. These are not investments.

v. Not cash equivalent. Not readily convertible into known amount of cash.

vi. Not cash equivalent. Not readily convertible into known amount of cash.

Cash flows are inflows and outflows of cash and cash equivalents.

Cash flows exclude movements between items that constitute cash or cash equivalents, for example, deposit of cash on hand into bank account or vice versa.

- *Example 02:*

Whether the following transactions shall be reported as cash flows?

i. Cash in hand deposited in bank account

ii. Cash withdrawn from bank to be held as cash in hand

iii. Sale or purchase of prize bonds

iv. Investment in government treasury bills with 60 days' maturity

- *Answer:*

None of the transactions shall be reported because cash flows exclude movements between items that constitute cash or cash equivalents.

- *Example 03:*

Calculate the total amount of cash and cash equivalents from the following data:

	Rs.
Cash in hand	200,000
Cash at bank (demand deposit)	400,000
Cash at bank (term deposit 3 months)	100,000
Cash at bank (term deposit 2 years)	300,000
Short term investment in T bills (1 month)	50,000
Investment in prize bonds	30,000
Trade receivables	80,000
Prepaid rent	60,000
Bank overdraft	8,000

- *Answer:*

Cash and cash equivalents	Rs.
Cash in hand	200,000
Cash at bank (demand deposit)	400,000
Cash at bank (term deposit 3 months)	100,000
Short term investment in T bills (1 month)	50,000
Investment in prize bonds	30,000
Bank overdraft	(8,000)
	772,000

1.3 Disclosure [IAS 7: 45 to 48]

An entity shall disclose the components of cash and cash equivalents and shall present a reconciliation of the amounts in its statement of cash flows with the equivalent items reported in the statement of financial position.

▶ *Example 04:*

The following data has been extracted from statement of financial position of Kashif Software Limited (KSL):

	2023	2022		2023	2022
Current assets	**Rs. m**	**Rs. m**	***Current liabilities***	**Rs. m**	**Rs. m**
Inventory	145	140	Short term loan	190	180
Trade receivables	195	180	Trade payables	185	170
Marketable securities*	5	8	Accrued expenses	13	17
Cash at bank	7	-	Bank overdraft	-	9
Cash in hand	2	3			

**Cash equivalents*

Required:

Prepare the disclosure note of components of cash and cash equivalents along with reconciliation with equivalent items presented in statement of financial position for KSL.

▶ *Answer:*

	Rs.m
Net increase in cash and cash equivalents	**12**
Cash and cash equivalent at beginning of period	2
Cash and cash equivalent at end of period	**14**

	2023	2022
Cash and cash equivalents	**Rs. m**	**Rs. m**
Marketable securities*	5	8
Cash at bank	7	-
Cash in hand	2	3
Bank overdraft	-	(9)
	14	**2**

**Cash equivalents*

An entity shall also disclose, together with a commentary by management, the amount of significant cash and cash equivalent balances held by the entity that are not available for use. For example, cash and cash equivalent balances held at a branch that operates in a country where exchange controls or other legal restrictions are such that the balances are not available for general use by the entity in Pakistan.

2 PRESENTATION

2.1 Presentation of statement of cash flows [IAS 7: 6, 10, 12, 14, 16 & 17]

The statement of cash flows shall report cash flows during the period classified by operating, investing and financing activities.

	Rs.
Cash generated from (used in) operating activities	X/(X)
Cash generated from (used in) investing activities	X/(X)
Cash generated from (used in) financing activities	X/(X)
Net increase (decrease) in cash and cash equivalents	**X/(X)**
Cash and cash equivalent at beginning of period	X/(X)
Cash and cash equivalent at end of period	**X/(X)**

Operating activities are the principal revenue-producing activities of the entity and other activities that are not investing or financing activities.

Examples of cash flows from operating activities are:

a) cash receipts from the sale of goods and the rendering of services;

b) cash receipts from royalties, fees, commissions and other revenue;

c) cash payments to suppliers for goods and services;

d) cash payments to and on behalf of employees; and

e) cash payments or refunds of income taxes unless they can be specifically identified with financing and investing activities.

Some transactions, such as the sale of an item of plant, may give rise to a gain or loss that is included in recognised profit or loss. The cash flows relating to such transactions are cash flows from investing activities.

Investing activities are the acquisition and disposal of long-term assets and other investments not included in cash equivalents.

Examples of cash flows arising from investing activities are:

a) cash payments to acquire or construct property, plant and equipment, intangibles and other long-term assets;

b) cash receipts from sales of property, plant and equipment, intangibles and other long-term assets;

c) cash payments to acquire equity or debt instruments of other entities (other than cash equivalents or those held for trading purposes);

d) cash receipts from sales of equity or debt instruments of other entities (other than cash equivalents or those held for trading purposes);

e) cash advances and loans made to other parties; and

f) cash receipts from the repayments of advances and loans made to other parties.

Financing activities are activities that result in changes in the size and composition of the contributed equity and borrowings of the entity.

Examples of cash flows arising from financing activities are:

a) cash proceeds from issuing shares;

b) cash proceeds from issuing debentures, loans, bonds, mortgages and other short-term or long-term borrowings; and

c) cash repayments of amounts borrowed.

A single transaction may include cash flows that are classified differently. For example, when the cash repayment of a loan includes both interest and capital, the interest element may be classified as an operating activity and the capital element is classified as a financing activity.

2.2 Interest, dividend and taxation [IAS 7: 31 to 34]

Cash flows from interest and dividends received and paid shall each be disclosed separately. Each shall be classified in a consistent manner from period to period as either operating, investing or financing activities.

Each of these items may be classified in either of the following two ways:

Item	Suggested classification*	Alternative classification
Interest paid (expensed or capitalised in accordance with IAS 23)	**Operating** because it is deducted in determining profit or loss.	**Financing** because they are costs of obtaining financial resources.
Interest received	**Investing** because they represent returns on investment.	**Operating** because it is added in determining profit or loss.
Dividend received	**Investing** because they represent returns on investment.	**Operating** because it is added in determining profit or loss.
Dividend paid	**Financing** because they are costs of obtaining financial resources.	**Operating** in order to assist users to determine the ability of entity to pay dividends out cash generated from operations.

**Based on illustrative example accompanying IAS 7.*

Cash flows arising from taxes on income shall be separately disclosed and shall be classified as cash flows from operating activities unless they can be specifically identified with financing and investing activities.

2.3 Non-cash transactions [IAS 7: 43]

Investing and financing transactions that do not require the use of cash or cash equivalents shall be excluded from a statement of cash flows. Examples include conversion of debt to equity, bonus issue of shares and revaluation and/or impairment of non-current assets.

Such transactions shall be disclosed elsewhere in the financial statements in a way that provides all the relevant information about these investing and financing activities.

▶ *Example 05:*

Identify the following transactions as operating, investing, financing activity or otherwise for the purpose of preparing statement of cash flows:

i. Cash received from customers

ii. Cash sales

iii. Cash proceeds from disposal of PPE

iv. Right issue of shares
v. Dividend paid
vi. Salaries paid to employees
vii. Interest paid
viii. Interest received by a trading entity on some investment
ix. Repayment of loan
x. Taxes paid
xi. Purchase of a patent and software
xii. Advance paid to supplier
xiii. Depreciation
xiv. Bonus issue of shares
xv. Impairment loss on a plant

▶ *Answer:*

i. Operating
ii. Operating
iii. Investing
iv. Financing
v. Financing or operating
vi. Operating
vii. Operating or financing
viii. Investing
ix. Financing
x. Operating
xi. Investing
xii. Operating
xiii. Non-cash transaction
xiv. Non-cash transaction
xv. Non-cash transaction

3 REPORTING OPERATING CASH FLOWS

3.1 Reporting cash flows from operating activities [IAS 7: 18, 31 & 35]

An entity is required to report cash flows from operating activities using either the direct method or indirect method.

Whichever method is used, IAS 7 requires interest paid and tax paid to be separately disclosed. Therefore, cash flows from operating activities are usually presented in the following manner:

Cash flows from operating activities		Rs. m
Cash generated from (used in) operations	(Note 1)	XX/(XX)
Interest paid		(X)
Income taxes paid		(X)
Net cash from (used in) operating activities		**X/(X)**

The amount of 'interest paid' and 'tax paid' may be calculated by preparing relevant T account. Alternatively, it may be simply calculated as:

Amount paid = expense + opening accrual – closing accrual

▶ *Example 06:*

A company had liabilities in its statement of financial position at the beginning and at the end of 2017, as follows:

Interest payable	Rs.
Beginning of 2017	4,000
End of 2017	6,000

During the year, interest charges in profit or loss were Rs. 22,500.

Required:

Calculate the amount of interest paid during 2017.

▶ *Answer:*

Interest payable			
	Rs.		**Rs.**
Cash (balancing)	**20,500**	b/d	4,000
c/d	6,000	Profit or loss	22,500
	26,500		26,500

Alternatively, Rs. 22,500 expense + 4,000 opening accrual – 6,000 closing accrual = Rs. 20,500

▶ *Example 07:*

A company had liabilities in its statement of financial position at the beginning and at the end of 2017, as follows:

Income tax payable	Rs.
Beginning of 2017	53,000
End of 2017	61,000

During the year, taxation expense charged on profits was Rs. 77,000.

Required:

Calculate the amount of tax paid during 2017.

▶ *Answer:*

Tax payable			
	Rs.		Rs.
Cash (balancing)	**69,000**	b/d	53,000
c/d	61,000	Profit or loss	77,000
	130,000		130,000

Alternatively, Rs. 77,000 expense + 53,000 opening accrual – 61,000 closing accrual = Rs. 69,000

3.2 Cash generated from operations: indirect method [IAS 7: 18 & 20]

An entity may report cash flows from operating activities using indirect method whereby profit or loss is adjusted for the effects of transactions of a non-cash nature, any deferrals or accruals of past or future operating cash receipts or payments, and items of income or expense associated with investing or financing cash flows.

The cash generated from operations may be determined by making certain adjustments and taking account of working capital changes in "profit before tax".

Profit before tax may be calculated by adding back tax expense to profit after tax determined as balancing amount by preparing retained earnings account.

▶ *Example 08:*

A company had retained earnings in its statement of financial position at the beginning and at the end of 2017, as follows:

Retained earnings	Rs.
Beginning of 2017	4,000
End of 2017	6,000

During the year, dividend of Rs. 20,000 was declared and paid and tax expense of Rs. 3,000 was included in profit or loss

Required:

Calculate the amount of profit before tax for the year ended 31 December 2017.

▶ *Answer:*

Retained earnings			
	Rs.		Rs.
Cash (dividend)	20,000	b/d	4,000
c/d	6,000	**Profit after tax (bal.)**	**22,000**
	26,000		26,000

Profit before tax = Rs. 22,000 + 3,000 = Rs. 25,000

The adjustments are to reverse the effect (by adding back expenses and deducting back income) of following items included in determination of profit or loss:

- non-cash items of income and expenses (e.g. depreciation, bad debts, etc.);
- income or expense associated with investing or financing activities (e.g. gain or loss on disposal, dividend received, etc.); and
- interest expense or finance cost because separate disclosure of interest paid is required.

The working capital changes (e.g. increase or decrease in inventory, trade receivables, trade payables, etc.) are included as follows:

- Increase in assets: cash outflow (e.g. cash paid to purchase inventory)
- Decrease in assets: cash inflow (e.g. cash received from receivables)
- Increase in liabilities: cash inflow (e.g. advance from customers obtained)
- Decrease in liabilities: cash outflow (e.g. cash paid to suppliers)

The following working capital changes are not included:

- Cash and cash equivalents i.e. to avoid duplication of cash flows.
- Other receivables relating to non-current assets because they relate to investing activity.
- Other payables relating to non-current assets because they relate to investing activity.
- Short term investments because they relate to investing activity.
- Short term borrowings because they relate to financing activity.
- Interest payable because this is used in separate disclosure of interest paid.
- Tax payable because this is used in separate disclosure of tax paid

3.3 Cash generated from operations: direct method [IAS 7: 18 & 19]

An entity may report cash flows from operating activities using direct method whereby major classes of gross cash receipts and gross cash payments are disclosed.

The cash generated from operations may be determined as follows based on illustrative examples accompanying IAS 7. However, presentation of more classes of receipts and payments is also acceptable.

Note 1: Cash generated from operations (direct method)	Rs.
Cash received from customers	XXX
Cash paid to suppliers and employees	(XXX)
	XX

The cash received from customers may be calculated by taking revenue and other income (only if related to customers) and including related working capital changes (e.g. trade receivables, unearned income, etc).

The cash paid to suppliers and employees may be determined by taking expenses (other than finance cost) and other income (not related to customers) and including all adjustments and working capital changes as included in indirect method (excluding those included in calculation of cash received from customers).

▶ *Example 09:*

The following information has been extracted from the financial statements of Hopper Limited for the year ended 31 December 2017:

	Rs.
Sales	1,280,000
Cost of sales	(400,000)
Gross profit	880,000
Distribution costs	(290,000)
Administrative expenses	(350,000)
Interest charges	(50,000)
Profit before tax	190,000
Taxation	(40,000)
Profit after tax	150,000

Extracts from the statement of financial position:

	At 1 January 2017	At 31 December 2017
	Rs.	Rs.
Inventory	118,000	124,000
Trade receivables	233,000	219,000
Trade payables	102,000	125,000
Accrued salaries	8,000	5,000
Accrued interest charges	30,000	45,000
Tax payable	52,000	43,000

Depreciation expense of Rs. 25,000 is included in profit or loss.

Required:

Using the above information, prepare cash flows from operating activities section of statement of cash flows for Hopper Limited using:

a) indirect method

b) direct method

▶ *Answer:*

Part (a) Indirect method

Hopper Limited

Statement of cash flows for the year ended 31 December 2017

Cash flows from operating activities		Rs.
Cash generated from operations	(Note 1)	293,000
Interest paid	[50,000 + 30,000 – 45,000]	(35,000)
Income taxes paid	[40,000 + 52,000 – 43,000]	(49,000)
Net cash from (used in) operating activities		**209,000**

Note 1: Cash generated from operations (indirect method)		Rs.
Profit before tax		190,000
Adjustments:		
Depreciation		25,000
Finance costs		50,000
Operating profit		265,000
Working capital changes:		
Inventories	[124,000 – 118,000]	(6,000)
Trade receivables	[233,000 – 219,000]	14,000
Trade payables	[102,000 – 125,000]	23,000
Accrued salaries	[8,000 – 5,000]	(3,000)
		293,000

Part (b) Direct method

Hopper Limited

Statement of cash flows for the year ended 31 December 2017

Cash flows from operating activities		Rs.
Cash generated from operations	(Note 1)	293,000
Interest paid	[50,000 + 30,000 – 45,000]	(35,000)
Income taxes paid	[40,000 + 52,000 – 43,000]	(49,000
Net cash from (used in) operating activities		**209,000**

Note 1: Cash generated from operations (direct method)		Rs.
Cash received from customers	(1.1)	1,294,000
Cash paid to suppliers and employees	(1.2)	(1,001,000)
		293,000

1.1: Cash received from customers		Rs.
Revenue		1,280,000
(Increase) decrease in receivables	[233,000 – 219,000]	14,000
		1,294,000

1.2: Cash paid to suppliers and employees		Rs.
Cost of sales		(400,000)
Distribution costs		(290,000)
Administrative expenses		(350,000)
Adjustments:		
Depreciation		25,000
Working capital changes:		
Inventories	[124,000 – 118,000]	(6,000)
Trade payables	[102,000 – 125,000]	23,000
Accrued salaries	[8,000 – 5,000]	(3,000)
		(1,001,000)

Example 10:

The following information has been extracted from the financial statements of Trango Limited for the year ended 31 December 2015:

Statement of comprehensive income for the year ended 31 December 2015

	Rs.
Sales	905,000
Cost of sales	(311,000)
Gross profit	594,000
Distribution costs	(275,000)
Administrative expenses	(193,000)
Interest charges	(24,000)
Profit before tax	102,000
Tax on profit	(38,000)
Profit after tax	**64,000**

Following items are included in profit or loss:

- Depreciation expense of Rs. 46,000
- Loss on disposal of non-current assets of Rs. 9,000. The asset disposed of had a carrying amount of Rs. 31,000 at the time of the sale.

Extracts from the statement of financial position:	At 1 Jan 2015	At 31 Dec 2015
	Rs.	
Inventory	42,000	38,000
Trade receivables	157,000	173,000
Trade payables	43,600	35,700
Accrued salaries	4,000	4,600
Accrued interest charges	11,200	10,000
Tax payable	45,000	41,000

Required:

Present the cash flows from operating activities as they would be presented in a statement of cash flows using:

a) indirect method

b) direct method

▶ *Answer:*

Part (a) Indirect method

Trango Limited

Statement of cash flows for the year ended 31 December 2015

Cash flows from operating activities		Rs.
Cash generated from operations	(Note 1)	161,700
Interest paid	[24,000 + 11,200 – 10,000]	(25,200)
Income taxes paid	[38,000 + 45,000 – 41,000]	(42,000)
Net cash from (used in) operating activities		**94,500**

Note 1: Cash generated from operations (indirect method)		Rs.
Profit before tax		102,000
Adjustments:		
Depreciation		46,000
Loss on disposal of non-current assets		9,000
Finance costs		24,000
Operating profit		181,000
Working capital changes:		
Inventories	[42,000 – 38,000]	4,000
Trade receivables	[157,000 – 173,000]	(16,000)
Trade payables	[43,600 – 35,700]	(7,900)
Accrued salaries	[4,000 – 4,600]	600
		161,700

Part (b) Direct method

Trango Limited

Statement of cash flows for the year ended 31 December 2015

Cash flows from operating activities		Rs.
Cash generated from operations	(Note 1)	161,700
Interest paid	[24,000 + 11,200 – 10,000]	(25,200)
Income taxes paid	[38,000 + 45,000 – 41,000]	(42,000)
Net cash from (used in) operating activities		**94,500**

Note 1: Cash generated from operations (direct method)		Rs.
Cash received from customers	(1.1)	889,000
Cash paid to suppliers and employees	(1.2)	(727,300)
		161,700

1.1: Cash received from customers		Rs.
Revenue		905,000
(Increase) decrease in receivables	[157,000 – 173,000]	(16,000)
		889,000

1.2: Cash paid to suppliers and employees		Rs.
Cost of sales		(311,000)
Distribution costs		(275,000)
Administrative expenses		(193,000)
Adjustments:		
Depreciation		46,000
Loss on disposal of non-current assets		9,000
Working capital changes:		
Inventories	[42,000 – 38,000]	4,000
Trade payables	[43,600 – 35,700]	(7,900)
Accrued salaries	[4,000 – 4,600]	600
		(727,300)

3.4 Presentation of bad and doubtful debts

A common exam issue is how to deal with receivables, bad debts and allowance for doubtful debts. There are two ways of dealing with this:

a) Adjust the profit for bad and doubtful debts expense (i.e. non-cash item) and in working capital changes include the change in gross receivables (before deducting bad debts and allowance for doubtful debts); or

b) Make no adjustments for bad and doubtful debts expense and in working capital changes include the change in net receivables (after deducting bad debts and allowance for doubtful debts).

The first method (i.e. change in gross receivables) must be used in exams whenever relevant information is available in the question.

▶ *Example 11:*

The following data relates to Adeel Software Limited (ASL):

	2021	2020
	Rs. m	**Rs. m**
Gross Receivables	500	480
Less: Allowance	(15)	(12)
Net Receivables	**485**	**468**

Bad debts of Rs. 8 million were also written off during the year.

Required:

Present the relevant information in statement of cash flows of ASL for the year ended 31 December 2021 using indirect method by:

a) Presenting change in gross receivables

b) Presenting change in net receivables

▶ *Answer:*

Part (a) presenting change in gross receivables

Note 1: Cash generated from operations (indirect method)		Rs. m
Profit before tax		XXX
Adjustments:		
Bad debts expense		8
Doubtful debts expense	[15 -12]	3
Operating profit		XXX
Working capital changes:		
Trade receivables	[(500+8) – 480]	(28)
		XXX

Part (b) presenting change in net receivables

Note 1: Cash generated from operations (indirect method)		Rs. m
Profit before tax		XXX
Adjustments:		
Bad debts expense		-
Doubtful debts expense		-
Operating profit		XXX
Working capital changes:		
Trade receivables	[485 – 468]	(17)
		XXX

4 REPORTING INVESTING AND FINANCING CASH FLOWS

4.1 Separate reporting [IAS 7: 21 and IAS 20: 28]

An entity shall report separately major classes of gross cash receipts and gross cash payments arising from investing and financing activities except in certain circumstances when IAS 7 requires reporting on net basis.

The purchase of assets and the receipt of related grants can cause major movements in the cash flow of an entity. For this reason and to show the gross investment in assets, such movements are often disclosed as separate items in the statement of cash flows regardless of whether or not the grant is deducted from the related asset for presentation purposes in the statement of financial position.

4.2 Calculation tips: investing activities

The following tips might be handy for relevant calculations for presenting cash flows from investing activities in the exam:

a) Focus on non-current assets e.g. PPE, capital work in progress, investment property, long term investments and short-term investments (excluding those held for trading and cash equivalents);

b) Make sure receipt of income relating to non-current assets is included, for example, rental income of investment property and dividend received on investments;

c) Prepare following T accounts to determine missing amounts:

- "PPE account" may give amount of cash additions, disposal, or depreciation.
- "Accumulated depreciation" account may be used to find depreciation.
- "Disposal" account may be used to find gain/loss or disposal proceeds;

d) Make sure effect of non-cash items has been accounted for e.g. gain on revaluation, assets acquired for non-cash consideration and purchase and disposal of assets on credit;

e) PPE account may be prepared on net basis when detailed data is not available. However, if separate cost and accumulated depreciation information is available in exam question, it is advised to prepare both accounts separately; and

f) Combine items classified into current and non-current to save time e.g. deferred government grant.

▶ *Example 12:*

The following data relates to plant and machinery of KM Limited as at 31 December:

	2023	2022
Non-current assets	**Rs. m**	**Rs. m**
Cost	180	150
Accumulated depreciation	(88)	(105)
	92	45
Non-current liabilities		
Deferred government grant	80	60
Current liabilities		
Deferred government grant	24	20

During the year a vehicle was disposed of for a gain of Rs. 3 million. The original cost of this asset was Rs. 60 million and accumulated depreciation till the date of disposal was Rs. 45 million. The government grant income of Rs. 25 million has been recognised in profit or loss.

Required:

Calculate the amount of depreciation and prepare the cash flows from investing activities section of the statement of cash flows for KM Limited for the year ended 31 December 2023.

▶ *Answer:*

Depreciation charge on plant and machinery

Accumulated depreciation			
	Rs. m		Rs. m
Disposal	45	b/d	105
c/d	88	**Depreciation (PL)**	**28**
	133		133

Cash flows from investing activities		Rs. m
Purchase of plant and machinery	**W1**	(90)
Sale proceeds from disposal of plant	**W2**	18
Receipts from government grant	**W3**	49
Net cash (used in) investing activities		**(23)**

W1: Plant & machinery			
	Rs. m		Rs. m
b/d	150	Disposal	60
Cash (balancing)	**90**	c/d	180
	240		240

W2: Disposal account			
	Rs. m		Rs. m
Plant and machinery	60	Accumulated depreciation	45
Gain	3	**Cash (balancing)**	**18**
	63		63

W3: Deferred government grant			
	Rs. m		Rs. m
Profit or loss	25	b/d	60
c/d	80	b/d	20
c/d	24	**Cash (balancing)**	**49**
	129		129

Example 13:

The statements of financial position of Grand Company at the beginning and end of 2017 include the following information:

Property, plant and equipment	2016	2017
	Rs.	Rs.
At cost/revalued amount	1,400,000	1,900,000
Accumulated depreciation	350,000	375,000
Carrying value	1,050,000	1,525,000

During the year, the land was revalued upwards by Rs. 200,000. An item of equipment was disposed of during the year at a profit of Rs. 25,000. This equipment had an original cost of Rs. 260,000 and accumulated depreciation of Rs. 240,000 at the date of disposal.

Depreciation charged in the year was Rs. 265,000.

Required:

Calculate the cash paid for acquisition and sale proceeds from disposal of property, plant and equipment.

Answer:

Property, plant and equipment (net book value)			
	Rs. 000		Rs. 000
b/d	1,050	Disposal [260 – 240]	20
Gain on revaluation	200	Depreciation	265
Cash (balancing)	**560**	c/d	1,525
	1,810		1,810

Sale proceeds from disposal = Rs. 20,000 net book value + Rs. 25,000 gain = Rs. 45,000

Alternatively, it may be calculated as follows:

Property, plant and equipment (cost)			
	Rs. 000		Rs. 000
b/d	1,400	Disposal	260
Gain on revaluation	200		
Cash (balancing)	**560**	c/d	1,900
	2,160		2,160

Sale proceeds from disposal = Rs. [260,000 – 240,000] + Rs. 25,000 gain = Rs. 45,000

▶ *Example 14:*

The statements of financial position of Grand Company at the beginning and end of 2017 include the following information:

	2016	2017
Property, plant and equipment	**Rs.**	**Rs.**
At cost/re-valued amount	1,400,000	1,900,000
Accumulated depreciation	(350,000)	(375,000)
Carrying value	1,050,000	1,525,000
Capital work in progress	600,000	620,000

During the year:

- Property was revalued upwards by Rs. 200,000.
- An item of equipment was disposed of at a profit of Rs. 25,000. This equipment had an original cost of Rs. 260,000 and accumulated depreciation of Rs. 240,000 at the date of disposal.
- Depreciation charged in the year was Rs. 265,000.
- The company capitalised Rs. 200,000 as capital work in progress.

Required:

Calculate the cash paid for acquisition (additions) of property, plant and equipment.

▶ *Answer:*

Property, plant and equipment (net book value)			
	Rs. 000		**Rs. 000**
b/d	1,050	Disposal [260 – 240]	20
Gain on revaluation	200	Depreciation	265
Transfer from CWIP	180		
Cash (balancing)	**380**	c/d	1,525
	1,810		1,810

Capital work in progress			
	Rs. 000		**Rs. 000**
b/d	600	**Transfer to PPE (bal.)**	180
Cash	200	c/d	620
	800		800

4.3 Calculation tips: financing activities

The following tips might be handy for relevant calculations for presenting cash flows from financing activities in the exam:

- Focus on equity and borrowing (long-term as well as short-term);
- Make sure dividend paid has been included if relevant. The information may be determined by preparing retained earnings account;
- Combine share capital and share premium accounts to save time while calculating cash proceeds from issue of shares;
- Make sure effect of non-cash items has been accounted for e.g. bonus issue of shares, shares issued for non-cash consideration and conversion of debt into equity;
- Combine items classified into current and non-current to save time e.g. long-term loans and their portion classified as current liability; and
- Present proceeds from loan obtained and repayment of loan separately.

▶ *Example 15:*

From the following information, calculate the cash flows from financing activities for Company X in 2017.

	Beginning of 2017	End of 2017
	Rs.	Rs.
Share capital (ordinary shares of Rs. 10 each)	400,000	500,000
Share premium	275,000	615,000
Retained earnings	390,000	570,000
	1,065,000	1,685,000
Non-current liabilities: Long-term loans	600,000	520,000
Current liabilities: Current portion of long-term loans	80,000	55,000

During the year an additional loan of Rs. 30,000 was obtained.

The company made a profit of Rs. 400,000 for the year after taxation and issued 2,000 bonus shares out of retained earnings.

Required:

Prepare the cash flows from financing activities section of the statement of cash flows for Company X for the year ended 31 December 2017.

▶ *Answer:*

Cash flows from financing activities		Rs.
Proceeds from issue of shares	**W1**	420,000
Receipt of loan		30,000
Repayment of loans	**W2**	(135,000)
Dividends paid	**W3**	(200,000)
Net cash from financing activities		**115,000**

W1: Share capital + Share premium			
	Rs.		**Rs.**
		b/d	400,000
		b/d	275,000
c/d	500,000	Retained earnings	20,000
c/d	615,000	Cash	420,000
	1,115,000		1,115,000

W2: Long term loan (including current portion)			
	Rs.		**Rs.**
Cash (balancing)	**135,000**	b/d	600,000
c/d	520,000	b/d	80,000
c/d	55,000	Cash	30,000
	710,000		710,000

W3: Retained earnings			
	Rs.		**Rs.**
Share capital [2,000 x 10]	20,000	b/d	390,000
Cash/dividend (bal.)	**200,000**	Profit after tax	400,000
c/d	570,000		
	790,000		790,000

5 USEFULNESS OF CASH FLOW INFORMATION

5.1 Benefits of cash flow information [IAS 7: 4 & 5]

A statement of cash flows (alongwith other financial statements) enables users to evaluate:

a) the changes in net assets of an entity,

b) its financial structure (including its liquidity and solvency); and

c) its ability to affect the amounts; and

d) timing of cash flows in order to adapt to changing circumstances and opportunities.

Historical cash flow information is used as an indicator of the amount, timing and certainty of future cash flows

a) in checking the accuracy of past assessments of future cash flows;

b) in examining the relationship between profitability and net cash flow and the impact of changing prices; and

c) in comparability of the reporting of operating performance by different entities because it eliminates the effects of using different accounting treatments for the same transactions and events.

5.2 Classification wise usefulness [IAS 7: 13, 16 & 17]

Cash flows are classified by operating, investing and financing activities as each of these classifications provide useful information from different perspective:

Cash flows arising from	Usefulness
Operating activities	It is a key indicator of the extent to which the operations of the entity have generated sufficient cash flows to repay loans, maintain the operating capability of the entity, pay dividends and make new investments without recourse to external sources of financing. Information about the specific components of historical operating cash flows is useful, in conjunction with other information, in forecasting future operating cash flows.
Investing activities	These cash flows represent the extent to which expenditures have been made for resources intended to generate future income and cash flows.
Financing activities	It is useful in predicting claims on future cash flows by providers of capital to the entity.

5.3 Comparison of usefulness of cash flow information with profit or loss

Businesses must have sufficient cash; otherwise they cannot survive.

- A business may be incurring losses but may still survive if it has sufficient cash or has access to other liquid assets.
- A profitable business may not survive if it is unable to pay its obligations when they fall due, because it does not have enough cash or access to other liquid assets.

The fundamental purpose of being in business is to generate profit, as this will increase the owners' wealth. Profitability relates to the long-term performance of the business and indicates that over the long term a business will generate cash. In the short term, the business' viability is determined by its ability to generate cash. However, as a statement of profit or loss is prepared on an accrual basis, the profit for the year is unlikely to correlate with the movement in the company's bank balance. Therefore, understanding cash inflows and outflows is important.

Each financial statement, individually and in combination with other financial statements and other information, provides useful information that helps users of financial statements to make informed decisions. A balance between profitability and liquidity (cash balance) is required, a huge cash balance does not usually indicate good management as this could have been invested to earn more profits. In particular, following points should be considered:

- The amount and composition of net assets of an entity changes due to income and expenses (statement of profit or loss) and cash flows (statement of cash flows). Both statements are relevant but provide different aspects of information.
- Many decision-making models and valuation models rely on present value of the future cash flows generated by an entity e.g. NPV and IRR. Historical cash flow information can be useful to check the accuracy of past assessments and development of future assessments.
- Profitability is an important performance measure, and this information is provided by statement of profit or loss, liquidity information is also important, and this information is provided by statement of cash flows in conjunction with statement of financial position.
- Cash flows are necessary to survive in short term but in long term business must be profitable to survive. Entities often forego short term benefits for long term major benefits e.g. sales on credit usually earns higher profit margin as compared to cash sales.
- The cash flow is not affected by different accounting policies and estimates, and this makes cash flow information more comparable, and consequently, less vulnerable to manipulation.

6 COMPREHENSIVE EXAMPLES

▶ *Example 16:*

You are working as Finance Manager in Broad Peak Limited (BPL). Faraz has recently joined BPL as an internee for three months. You have asked him to develop an understanding of the statement of cash flows. After going through few statements, he has raised the following queries:

i. Depreciation is not a cash flow but was still appearing as an addition in the statement of cash flows.

ii. In the statement of cash flows of a competitor, interest paid was shown as a financing activity, but BPL showed it in operating activities.

iii. BPL purchased inventories throughout the year, but total purchases of inventory were not shown in the statement. However, only decrease in inventory was added.

iv. Cash and bank balance in the statement of financial position was not in agreement with the opening and closing balances at the end of statement of cash flows.

Required:

Briefly answer the queries raised by Faraz.

▶ *Answer:*

i. A statement of cash flows begins with net profit which is arrived after deducting depreciation expense. So to convert the net profit into net cash flow the deduction of depreciation being non-cash expense is reversed (i.e. added).

ii. As per IAS 7, interest paid can be shown as either cash flow from financing activities or cash flow from operating activities. Both classifications are correct as long as they are consistently applied by an entity.

iii. A statement of cash flows begins with net profit which is arrived after deducting cost of sales. So to convert the effect of cost of goods sold into outflow for purchases of inventory, change in inventory is adjusted i.e. increase is deducted and decrease is added.

iv. Statement of financial position shows cash and bank balances while the statement of cash flows ends with cash and cash equivalents which may differ from cash and bank balances due to existence of bank overdraft and short-term investments.

▶ *Example 17:*

Parveen made a net profit of Rs. 256,800 for the year ended June 30, 2015 after charging depreciation of Rs. 17,500 and loss on disposal of furniture of Rs. 6,800. The sale proceeds of the furniture were Rs. 12,000.

During the year, the net book value of non-current assets decreased by Rs. 7,400; receivables increased by Rs. 11,700; inventories decreased by Rs. 21,600 and creditors increased by Rs. 8,900. A long-term loan of Rs. 75,000 was repaid during the year and Parveen withdrew Rs. 120,000 for his own use.

Her bank balance was Rs. 98,000 and Rs. 10,000 on June 30, 2015 and June 30, 2014 respectively.

Required:

Prepare the statement of cash flows for the year ended June 30, 2015.

▶ *Answer:*

Parveen

Statement of cash flows for the year ended 30 June 2015

Cash flows from operating activities		Rs.
Cash generated from operations	(Note 1)	299,900
Interest paid		-
Net cash from (used in) operating activities		**299,900**

Cash flows from investing activities		Rs.
Purchase of non-current assets	**W1**	(28,900)
Proceeds from disposal of PPE		12,000
Net cash from (used in) investing activities		**(16,900)**
Cash flows from financing activities		
Repayment of loans		(75,000)
Drawings		(120,000)
Net cash from (used in) financing activities		**(195,000)**
Net increase in cash and cash equivalents		88,000
Cash and cash equivalent at the beginning of the year		10,000
Cash and cash equivalent at the end of the year		**98,000**

Note 1: Cash generated from operations (indirect method)	Rs.
Profit before tax	256,800
Adjustments:	
Depreciation	17,500
Loss on sale of furniture	6,800
Operating profit	281,100
Working capital changes:	
Inventories	21,600
Trade receivables	(11,700)
Trade payables	8,900
	299,900

W1: Non-current assets

	Rs.		Rs.
b/d	7,400	Disposal [12,000 + 6,800]	18,800
Cash (balancing)	**28,900**	Depreciation	17,500
		c/d	0
	36,300		36,300

▶ *Example 18:*

Following information pertains to Dahl Limited (DL):

Summarised statement of financial position as at 31 December 2021

	2021	2020		2021	2020
	Rs. in million			Rs. in million	
Share capital	11.0	10.0	Property, plant and equipment	18.7	10.6
Retained earnings	32.9	33.8	Working capital other than cash	24.5	17.8
Revaluation surplus	4.0	-	Cash	4.7	15.4
	47.9	**43.8**		**47.9**	**43.8**

Additional information:

i. Final dividend was paid in respect of year 2020 amounting to Rs. 3.4 million.

ii. Additions to property, plant and equipment during the year amounted to Rs. 14 million.

iii. Tax expense for the year amounted to Rs. 2.4 million. Tax payable as at 31 December 2021 amounted to Rs. 1 million (2020: Rs. 0.2 million)

Required:

Prepare DL's statement of cash flows for the year ended 31 December 2021.

▶ *Answer:*

Dahl Limited

Statement of cash flows for the year ended 31 December 2021

Cash flows from operating activities		Rs. m
Cash generated from operations	(Note 1)	7.3
Income taxes paid	[2.4 + 0.2 – 1.0]	(1.6)
Net cash from (used in) operating activities		**5.7**
Cash flows from investing activities		
Purchase of property, plant & equipment		(14)
Net cash from (used in) investing activities		**(14)**
Cash flows from financing activities		
Proceeds from issue of shares	[11 – 10]	1.0
Dividend paid		(3.4)
Net cash from (used in) financing activities		**(2.4)**
Net decrease in cash and cash equivalents		(10.7)
Cash and cash equivalent at the beginning of the year		15.4
Cash and cash equivalent at the end of the year		**4.7**

Note 1: Cash generated from operations (indirect method)		Rs. m
Profit before tax	[2.5 **W1** + 2.4 tax]	4.9
Adjustments:		
Depreciation	**W2**	9.9
Operating profit		14.8
Working capital changes:	[(24.5 + 1) – (17.8 + 0.2)]	(7.5)
		7.3

W1: Retained earnings			
	Rs. m		**Rs. M**
Dividend	3.4	b/d	33.8
c/d	32.9	**Profit after tax (bal.)**	**2.5**
	36.3		36.3

W2: Property, plant and equipment			
	Rs. m		**Rs. m**
b/d	10.6		
Gain on revaluation	4	**Depreciation (bal.)**	**9.9**
Cash (additions)	14	c/d	18.7
	28.6		28.6

▶ *Example 19:*

Following information pertains to Nadir Limited:

Extract from statement of profit or loss for the year ended 31 December 2017

	Rs. in '000
Profit before taxation	8,955
Taxation	(2,945)
Profit after taxation	**6,010**

Extract from statement of financial position as on 31 December 2017

Equity and liabilities	2017	2016	Assets	2017	2016
	-- Rs. in '000 --			-- Rs. in '000 --	
Share capital	12,400	10,000	Property plant & equipment (net)	21,400	15,800
Share premium	1,400	-			
Retained earnings	13,450	12,440	**Current assets:**		
Surplus on revaluation	4,000	-	Stock-in-trade	5,600	5,750
Non-current liabilities:			Trade receivables – net	6,840	4,446
Long-term loans	4,100	5,000	Other receivables	2,385	800
Current liabilities:			Cash & bank	2,355	3,204
Trade payables	1,900	1,400			
Accruals & other payables	680	660			
Tax liability	650	500			
	38,580	**30,000**		**38,580**	**30,000**

Other information:

i. Shares issued during the year were as follows:
   - 10% bonus shares in March 2017.
   - Right shares in July 2017.

ii. During the year, a plant costing Rs. 9,500,000 and having a book value of Rs. 5,200,000 was disposed of for Rs. 4,800,000 of which Rs. 1,800,000 are still outstanding.

iii. Depreciation for the year amounted to Rs. 7,350,000.

iv. Financial charges for the year amounted to Rs. 1,100,000. Accrued financial charges as on 31 December 2017 amounted to Rs. 112,000 (2016: Rs. 48,000).

v. Provision for doubtful trade receivables is maintained at 5%.

Required:

Prepare statement of cash flows for the year ended 31 December 2017, in accordance with IAS 7 'Statement of Cash Flows' using indirect method.

▶ *Answer:*

Nadir Limited

Statement of cash flows for the year ended 31 December 2017

Cash flows from operating activities		**Rs. 000**
Cash generated from operations	(Note 1)	16,232
Interest paid	[1,100 + 48 – 112]	(1,036)
Income taxes paid	[2,945 + 500 – 650]	(2,795)
Net cash from (used in) operating activities		**12,401**
Cash flows from investing activities		**Rs. 000**
Purchase of property, plant & equipment	**W1**	(14,150)
Proceeds from disposal of PPE	[4,800 – 1,800 receivable]	3,000
Net cash from (used in) investing activities		**(11,150)**
Cash flows from financing activities		
Proceeds from issue of shares	**W2**	2,800
Dividend paid	**W3**	(4,000)
Repayment of loans	[4,100 – 5,000]	(900)
Net cash from (used in) financing activities		**(2,100)**
Net decrease in cash and cash equivalents		(849)
Cash and cash equivalent at the beginning of the year		3,204
Cash and cash equivalent at the end of the year		**2,355**

Note 1: Cash generated from operations (indirect method)		Rs. 000
Profit before tax		8,955
Adjustments:		
Depreciation		7,350
Doubtful debts	[(6,840/95 x 5) – (4,446 / 95 x 5)]	126
Loss on disposal	[5,200 – 4,800]	400
Finance costs		1,100
Operating profit		17,931
Working capital changes:		
Inventories	[5,750 – 5,600]	150
Trade receivables	[(6,840/95%) – (4,446 / 95%)]	(2,520)
Other receivables	[(2,385 – 1,800) – 800]	215
Trade payables	[1,900 – 1,400]	500
Accruals and other payables	[(680 – 112) – (660 – 48)]	(44)
		16,232

W1: Property, plant and equipment

	Rs. 000		Rs. 000
b/d	15,800	Disposal	7,350
Revaluation surplus	4,000	Depreciation	5,200
Cash (balancing)	**14,150**	c/d	21,400
	33,950		33,950

W2: Share capital and share premium

	Rs. 000		Rs. 000
		b/d	10,000
		b/d	0
c/d	12,400	Retained earnings (10%)	1,000
c/d	1,400	**Cash (balancing)**	**2,800**
	13,800		13,800

W3: Retained earnings

	Rs. 000		Rs. 000
Share capital	1,000	b/d	12,440
Cash dividend (bal.)	**4,000**	Profit after tax	6,010
c/d	13,450		
	18,450		18,450

Example 20:

Following are the extracts from the financial statements of Universal Limited (UL) for the year ended 30 June 2017:

Statement of financial position as on 30 June 2017

Assets	2017	2016	Equity & liabilities	2017	2016
	Rs. in '000			Rs. in '000	
Property, plant and equipment	158,500	120,000	Share capital (Rs. 10 each)	175,000	150,000
Stock in trade	58,000	45,000	Retained earnings	54,434	21,500
Receivables	68,000	56,000	Revaluation surplus	10,000	-
Cash	39,434	48,000	Debentures (Rs. 100 each)	18,000	20,000
			Interest payable	1,000	2,500
			Trade payables	42,000	39,000
			Accrued liabilities	20,000	18,000
			Unearned maintenance	2,000	4,000
			Income tax payable	1,500	14,000
	323,934	**269,000**		**323,934**	**269,000**

Statement of profit or loss for the year ended 30 June 2017

	Rs. in '000
Sales	273,000
Cost of sales	(187,500)
Gross profit	85,500
Operating expenses	(46,766)
Other income	11,200
Profit before interest and tax	49,934
Interest expense	(2,000)
Profit before tax	47,934
Tax expense	(15,000)
Profit after tax	**32,934**

Additional information:

i. 60% of sales were made on credit.

ii. UL maintains a provision for doubtful receivables at 6%. During the year, trade receivables of Rs. 7 million were written off.

iii. Depreciation expense for the year was Rs. 22.5 million. 70% of the depreciation was charged to cost of sales.

iv. Other income comprises of:

- gain of Rs. 3 million on disposal of vehicles for Rs. 12 million;
- maintenance income of Rs. 8 million; and
- discount of Rs. 10 per debenture which were redeemed during the year.

Required:

Prepare UL's statement of cash flows for the year ended 30 June 2017 using direct method and indirect method.

▶ *Answer:*

Universal Limited

Statement of cash flows for the year ended 30 June 2017

Cash flows from operating activities		**Rs. 000**
Cash generated from operations	(Note 1)	47,234
Interest paid	[2,000 + 2,500 – 1,000]	(3,500)
Income taxes paid	[15,000 + 14,000 – 1,500]	(27,500)
Net cash from (used in) operating activities		**16,234**
Cash flows from investing activities		
Purchase of property, plant & equipment **W1**		(60,000)
Proceeds from disposal of PPE		12,000
Net cash from (used in) investing activities		**(48,000)**
Cash flows from financing activities		
Proceeds from issue of shares	[175,000 – 150.000]	25,000
Redemption of debentures	[20,000 – 18.000 = 2,000 x 90%]	(1,800)
Net cash from (used in) financing activities		**23,200**
Net decrease in cash and cash equivalents		(8,566)
Cash and cash equivalent at the beginning of the year		48,000
Cash and cash equivalent at the end of the year		39,434

Note 1: Cash generated from operations (indirect method)		**Rs. 000**
Profit before tax		47,934
Adjustments:		
Depreciation		22,500
Bad debts expense		7,000
Doubtful debts expense	[(68,000/94 x 6) – (56,000/94 x 6)]	766
Gain on disposal		(3,000)
Discount on debentures		(200)
Interest expense		2,000
Operating profit		77,000
Working capital changes:		
Inventories	[58,000 – 45,000]	(13,000)
(Increase) in receivables	[(68,000/94% + 7,000) – 56,000/94%]	(19,766)
Trade payables	[42,000 – 39,000]	3,000
Accrued liabilities	[20,000 – 18,000]	2,000
(Decrease) in unearned income	[2,000 – 4,000]	(2,000)
		47,234

Note 1: Cash generated from operations (direct method)		Rs. 000
Cash received from customers	(1.1)	259,234
Cash paid to suppliers and employees	(1.2)	(212,000)
		47,234
1.1: Cash received from customers		**Rs. 000**
Revenue		273,000
Maintenance service income		8,000
(Increase) in receivables	[(68,000/94% + 7,000) – 56,000/94%]	(19,766)
(Decrease) in unearned income	[2,000 – 4,000]	(2,000)
		259,234
		Rs. 000
1.2: Cash paid to suppliers and employees		**Rs. 000**
Cost of sales		(187,500)
Operating expenses		(46,766)
Other income	[11,200 – 8,000 maintenance income]	3,200
Adjustments:		
Depreciation		22,500
Bad debts expense		7,000
Doubtful debts expense	[(68,000/94 x 6) – (56,000/94 x 6)]	766
Gain on disposal		(3,000)
Discount on debentures		(200)
Working capital changes:		
Inventories	[58,000 – 45,000]	(13,000)
Trade payables	[42,000 – 39,000]	3,000
Accrued liabilities	[20,000 – 18,000]	2,000
		(212,000)

W1: Property, plant and equipment			
	Rs. 000		**Rs. 000**
b/d	120,000	Disposal [12,000 – 3,000]	9,000
Revaluation surplus	10,000	Depreciation	22,500
Cash (balancing)	**60,000**	c/d	158,500
	190,000		190,000

▶ *Example 21:*

Following is the statement of financial position of Quicken Limited (QL) as at 30 June 2022:

	2022	2021		2022	2021
	Rs. in million			Rs. in million	
Share capital	480	400	Land and building	748	526
Revaluation surplus	135	-	Vehicles	118	96
Retained earnings	337	325	Inventories	365	444
Long-term loan	335	460	Trade and other receivables	212	185
Trade and other payables	160	142	Cash and bank balances	73	111
Advance from customers	69	35			
	1,516	**1,362**		**1,516**	**1,362**

Additional information:

i. During the year, land and building were revalued for the first time, resulting in a surplus of Rs. 150 million and incremental depreciation of Rs. 15 million.

ii. Depreciation on building charged to profit or loss amounted to Rs. 72 million.

iii. During the year, vehicles having book value of Rs. 8 million were sold for Rs. 11 million received in cash. Further, sale proceeds of Rs. 6 million of another vehicle (book value Rs. 7 million) disposed of in May 2021 were received in August 2021.

iv. Vehicles costing Rs. 51 million were purchased during the year of which Rs. 12 million is still unpaid.

v. Inventories as at 30 June 2022 included work in process inventories of Rs. 96 million (2021: Rs. 80 million) which are not available for sale.

vi. Interest on loan for the year amounted to Rs. 48 million of which Rs. 14 million was capitalised in the cost of a building constructed during the year.

vii. Following dividends were announced for the year ended 30 June 2022 and 2021:

2022	20% interim bonus shares and 15% final cash dividend
2021	5% interim bonus shares and 10% final cash dividend

Required:

Prepare QL's statement of cash flows for the year ended 30 June 2022.

▶ *Answer:*

Quicken Limited

Statement of cash flows for the year ended 30 June 2022

Cash flows from operating activities		Rs. m
Cash generated from operations	(Note 1)	327
Interest paid		(34)
Net cash from (used in) operating activities		**293**

		Rs. m
Cash flows from investing activities		
Purchase of land and building	**W2**	(144)
Purchase of vehicles	[51 – 12]	(39)
Sale proceeds from disposal	[11 + 6]	17
Net cash from (used in) investing activities		**(166)**
Cash flows from financing activities		
Repayment of loan	[335 – 460]	(125)
Dividend paid	[400 x 10%]	(40)
Net cash from (used in) financing activities		**(165)**
Net decrease in cash and cash equivalents		(38)
Cash and cash equivalent at the beginning of the year		111
Cash and cash equivalent at the end of the year		**73**

Note 1: Cash generated from operations (indirect method)		**Rs. m**
Profit before tax	**W1**	117
Adjustments:		
Depreciation of building		72
Depreciation of vehicle	**W3**	21
Gain on disposal of vehicle	[11 – 8]	(3)
Interest expense	[48 – 14]	34
Operating profit		241
Working capital changes:		**Rs. m**
Inventories	[365 – 444]	79
Trade receivables	[212 – (185 – 6)]	(33)
Trade payables	[(160 – 12) – 142]	6
Advance from customers	[69 – 35]	34
		327

W1: Retained earnings

	Rs. m		Rs. m
Cash dividend (400 x 10%)	40	b/d	325
Bonus dividend (400 x 20%)	80	Revaluation surplus	15
c/d	337	**Profit (balancing)**	**117**
	457		457

W2: Land and building			
	Rs. m		Rs. m
b/d	526	Depreciation	72
Gain on revaluation	150		
Bank (balancing)	**144**	c/d	748
	820		820

W3: Vehicles			
	Rs. m		Rs. m
b/d	96	Disposal	8
Bank	39	**Depreciation (balancing)**	**21**
Other payable	12	c/d	118
	147		147

▶ *Example 22:*

The following is the statement of financial position of Dolphin Limited (DL) as at 30 June 2023:

Equity & liabilities	2023	2022	Assets	2023	2022
	Rs. in million			Rs. in million	
Share capital	16,000	13,000	Property, plant and equipment	13,835	14,300
Share premium	1,120	-	Capital work-in-progress	3,485	2,500
Retained earnings	10,150	10,800	Investment properties	1,820	1,950
Long-term loan	3,275	3,540	Inventories	7,450	5,000
Trade and other payables	1,485	935	Trade receivables – net	3,588	4,085
Accrued interest	140	195	Advance tax	36	-
Dividend payable	260	140	Cash and bank balances	2,216	1,010
Tax payable	-	235			
	32,430	**28,845**		**32,430**	**28,845**

Additional information:

i. The interest payment for the year amounted to Rs. 700 million, of which Rs. 300 million has been capitalised in capital work-in-progress.

ii. The transfer from capital work-in-progress to property, plant and equipment amounted to Rs. 550 million.

iii. An old machine costing Rs. 520 million with a book value of Rs. 350 million was traded-in for a new machine costing Rs. 600 million on payment of Rs. 200 million.

iv. DL acquired an investment property costing Rs. 300 million, of which Rs. 125 million is still unpaid. DL applies fair value model for subsequent measurement of its investment properties.

v. The provision for doubtful trade receivables at 30 June 2023 was estimated at 8% (2022: 5%).

vi. During the year, DL issued 10% bonus shares. Subsequently, a right issue was also made.

vii. The tax charge for the year amounted to Rs. 750 million at 30% of profit before tax.

viii. DL classifies dividends and interest payments in a way that keeps 'cash flows from operating activities' higher.

Required:

Prepare DL's statement of cash flows for the year ended 30 June 2023.

Answer:

Dolphin Limited

Statement of cash flows

For the year ended 30 June 2023

Cash flows from operating activities:		**Rs. m**
Cash generated from operations (N1)		2,962
Tax paid	W5	(1,021)
Net cash from (used in) operating activities		**1,941**
Cash flows from investing activities:		
Purchase of property, plant and equipment		(200)
Additions to capital work in progress	W2	(1,535)
Cash paid for investment property	W3	(175)
Net cash from (used in) investing activities		**(1,910)**
Cash flows from financing activities:		
Issue of shares	W6	2,820
Repayment of loan	[3,275 - 3,540]	(265)
Interest paid	[700 - 300 for CWIP]	(400)
Dividend paid	W8	(980)
Net cash from (used in) financing activities		**1,175**
Net increase in cash & cash equivalents		1,206
Cash and cash equivalents at beginning		1,010
Cash and cash equivalents at end		**2,216**

N1: Cash generated from operations (Indirect method)		**Rs. m**
Profit before tax	[Rs. 750 tax / 30 x 100]	2,500
Adjustments:		
Depreciation	W1	1,265
Doubtful debts expense	[working below]	97
Gain on disposal (exchange)	[600 new asset - 200 paid - 350 old asset]	(50)
Loss on investment property	W3	430
Interest expense (in PL)	W4	345
Working capital changes:		
Increase in inventories	[7,450 - 5,000]	(2,450)
Decrease in trade receivables	[working below]	400
Increase in trade payables (trade & other)	[(1,485 - 125 Inv. property) - 935]	425
		2,962

Trade receivables (gross)		**Rs. m**
Opening	[4,085 / 95 x 100]	4,300
Closing	[3,588 / 92 x 100]	3,900
Decrease		**400**
Provision for doubtful receivable		
Opening	[4,300 x 5%]	215
Closing	[3,900 x 8%]	312
Increase		**97**

W1 - Property, plant and equipment

	Rs. m		Rs. m
b/d	14,300	Disposal	350
Transfer from CWIP	550		
New asset (against exchange)	400	**Depreciation**	**1,265**
New asset (cash paid)	200	c/d	13,835
	15,450		**15,450**

W2 - Capital work in progress

	Rs. m		Rs. m
b/d	2,500	Transfer to PPE	550
Cash (including interest paid)	1,535	c/d	3,485
	4,035		**4,035**

W3 - Investment property

	Rs. m		Rs. m
b/d	1,950		
Cash	175	**Loss (PL)**	**430**
Payable	125	c/d	1,820
	2,250		**2,250**

W4 - Accrued interest

	Rs. m		Rs. m
Cash [700 - 300 CWIP]	400	b/d	195
c/d	140	**Expense (PL)**	**345**
	540		**540**

W5 - Advance tax + Tax payable

	Rs. m		Rs. m
		b/d	235
Cash	**1,021**	Tax expense (PL)	750
		c/d	36
	1,021		**1,021**

W6 - Share capital and share premium

	Rs. m			Rs. m
			b/d	13,000
			b/d	0
c/d	16,000		Retained earnings (bonus issue)	1,300
c/d	1,120		**Cash (right issue)**	**2,820**
	17,120			**17,120**

W7 - Retained earnings

	Rs. m			Rs. m
Share capital (bonus issue)	1,300		b/d	10,800
Dividend payable	**1,100**		Profit after tax [2,500 - 750]	1,750
c/d	10,150			
	12,550			**12,550**

W8 - Dividend payable

	Rs. m			Rs. m
Cash	**980**		b/d	140
c/d	260		Retained earnings	1,100
	1,240			**1,240**

Example 23:

Following is the draft balance sheet of XYZ Limited as at 31 December 2014 which was prepared by its accountant:

Assets	Rs. in million	Equities and liabilities	Rs. in million
Leasehold land – cost	250	Capital	1,000
Leasehold land – accumulated amortisation	(200)	Accumulated profit	1,816
Building – cost	1,000	Long term bank loan	200
Building – accumulated depreciation	(500)	Trade payables	228
Machinery – cost	1,750	Income tax payable	85
Machinery – accumulated depreciation	(1,150)	Accrued interest	13
Long term deposit	70		
Stocks	910		
Account receivables – net of provision	361		
Cash and bank	851		
	3,342		**3,342**

Additional information:

i. Profit before tax and income tax expenses for the year amounted to Rs. 275 million and Rs. 13 million respectively.

ii. Balances as at 31 December 2013 were as under:

	Rs. in million
Stock	703
Account receivables – net of provision	418
Cash and bank	243
Trade payables	150
Income tax payable	80
Long term deposit	70

The company follows a policy of maintaining provision for bad debts equal to 5% of account receivables.

i. The bank loan was obtained on 1 January 2014 and carries interest @ 9% per annum.

ii. XYZ uses straight line method for depreciation. Rates of depreciation are as under:

Leasehold land	2%
Building	5%
Machinery	10%

Depreciation for the year 2014 has already been provided.

On review the CFO has discovered the following:

- A machine with list price of Rs. 50 million was purchased on 1 January 2014. An amount of Rs. 30 million had been paid in cash whereas Rs. 20 million were adjusted against trade-in of a machine costing Rs. 40 million and having a book value of Rs. 25 million. The transaction was recorded by debiting the plant and machinery account by Rs. 30 million i.e. the net amount paid to the supplier.
- One of the company's customers became bankrupt during the year. Rs. 5 million out of total debt of Rs. 25 million were recovered from him. Balance has to be written off.

Required:

Prepare a statement of cash flow as at 31 December 2014.

▶ *Answer:*

XYZ Limited

Statement of cash flows for the year ended 31 December 2014

Cash flows from operating activities		Rs. m
Cash generated from operations	(Note 1)	451
Interest paid	[18 + 0 – 13]	(5)
Income taxes paid	[13 + 80 – 85]	(8)
Net cash from (used in) operating activities		**438**

Cash flows from operating activities	Rs. m
Cash flows from investing activities	
Cash paid in exchange of machines	(30)
Net cash from (used in) investing activities	**(30)**
Cash flows from financing activities	
Loans obtained	200
Net cash from (used in) financing activities	**200**
Net increase in cash and cash equivalents	608
Cash and cash equivalent at the beginning of the year	243
Cash and cash equivalent at the end of the year	**851**

Note 1: Cash generated from operations (indirect method)		Rs. m
Profit before tax	**W1**	253
Adjustments:		
Depreciation	**W2**	228
Loss on disposal	[25 - 20 trade-in value]	5
Bad debts		20
Reversal of doubtful debts expense	**W3**	(4)
Finance costs		18
Operating profit		520
Working capital changes:		
Inventories	[910 – 703]	(207)
Trade receivables	[(361 + 19 **W3**) – (418 + 22 **W3**)]	60
Trade payables	[228 – 150]	78
		451

W1: Corrected profit before tax		Rs. m
Profit as given		275
Loss on disposal	[25 book value - 20 Trade-in value]	(5)
Depreciation reversal	[(20 Addition - 40 Disposal) x 10%	2
Bad debts to be written off	[25 - 5]	(20)
Decrease in doubtful debt allowance	[20 x 5%]	1
		253

W2: Depreciation		Rs. m
On leasehold land	[250 x 2%]	5
On Building	[1,000 x 5%]	50
On Machinery	[1,750 x 10%]	175
Reversal of depreciation	[(20 Addition - 40 Disposal) x 10%	(2)
		228

W3: Doubtful debts expense (reversal)		Rs. m
Closing provision	[361 / 95 x 5]	19
Opening provision	[418 / 95 x 5]	(22)
Decrease		(3)
Further decrease due to adjustment	W1	(1)
Total reversal in PL		**(4)**

Example 24:

Following are the extracts from income statement of Quality Enterprises (QE) for the year ended 31 December 2015 and its statement of financial position as at that date, together with some additional information:

Income statement for the year ended 31 December 2015

	Rs. in '000
Profit from operations	6,402
Other income	1,357
Interest expense	(100)
Profit before tax	7,659
Income tax expense	(1,376)
Profit for the year	**6,283**

Statement of financial position as at 31 December 2015

Equity and liabilities	2015	2014	Assets	2015	2014
	--- Rs. in '000 ---			--- Rs. in '000 ---	
			Non-current assets		
Owner's capital	14,219	10,703	Property, plant and equipment	19,628	11,845
Unappropriated profit	10,652	6,697	Investments	7,645	6,498
Revaluation surplus	2,676	1,911		27,273	18,343
10% bank loan	6,000	-			
Current liabilities			**Current assets**		
Trade and other payables	3,337	4,953	Inventories	4,642	3,073
Income tax payable	1,300	994	Trade and other receivables	2,273	3,865
Bank overdraft	-	27	Cash and bank	3,996	4
	4,637	5,974		10,911	6,942
	38,184	**25,285**		**38,184**	**25,285**

Additional information:

i. During the year, movements in property, plant and equipment include:
   - Depreciation amounting to Rs. 5,280,000.
   - Machinery having a carrying amount of Rs. 2,481,000 was sold for Rs. 3,440,000.
   - Factory building was revalued from a carrying amount of Rs. 5,963,000 to Rs. 8,000,000.
   - An office building which had previously been revalued, was sold at its carrying amount of Rs. 2,599,000.

ii. The owner of QE withdrew Rs. 300,000 per month. The amounts were debited to unappropriated profit.

iii. Trade debts written off during the year amounted to Rs. 200,000. The provision for bad debts as at 31 December 2015 was Rs. 400,000 (2014: Rs. 550,000)

iv. The interest on bank loan is payable on 30th June every year. The bank loan was received on 1 November 2015. Interest for two months has been accrued and included in trade and other payables.

v. Other income includes investment income of Rs. 398,000. As at 31 December 2015, trade and other receivables included investment income receivable amounting to Rs. 96,000 (2014: Rs. 80,000).

Required:

Prepare a statement of cash flows for Quality Enterprises for the year ended 31 December 2015, using the indirect method.

▶ *Answer:*

Quality Enterprises

Statement of cash flows for the year ended 31 December 2015

Cash flows from operating activities		**Rs. 000**
Cash generated from operations	(Note 1)	10,005
Income taxes paid	[1,376 + 994 – 1,300]	(1,070)
Net cash from (used in) operating activities		**8,935**
Cash flows from investing activities		
Purchase of property, plant & equipment	**W2**	(16,106)
Proceeds from disposal of machinery		3,440
Proceeds from disposal of office building		2,599
Purchase of investments	[7,645 – 6,498]	(1,147)
Receipt of investment income	[398 + 80 – 96]	382
Net cash from (used in) investing activities		**(10,832)**
Cash flows from financing activities		
Additional capital invested	[14,219 – 10,703]	3,516
Drawings	[300 x 12 months]	(3,600)
Bank loan obtained		6,000
Net cash from (used in) financing activities		**5,916**
Net increase in cash and cash equivalents		4,019
Cash and cash equivalent at the beginning of the year	[4 – 27]	(23)
Cash and cash equivalent at the end of the year		**3,996**

Note 1: Cash generated from operations (indirect method)		Rs. 000
Profit before tax		7,659
Adjustments:		
Depreciation		5,280
Bad debts		200
Reversal of doubtful debts expense	[400 – 550]	(150)
Gain on disposal	[3,440 – 2,481]	(959)
Investment income		(398)
Finance costs		100
Operating profit		11,732
Working capital changes:		
Inventories	[4,642 – 3,073]	(1,569)
Trade receivables	[(2,577 + 200) – 4,335] **W1**	1,558
Trade payables	[(3,337 – 100) – 4,953]	(1,716)
		10,005

W1: Trade receivables	2015	2014
	Rs. 000	**Rs. 000**
Trade and other receivables (as given)	2,273	3,865
Less: Investment income receivable	(96)	(80)
Trade receivables (net)	2,177	3,785
Add back: Provision for bad debts	400	550
Trade receivables (gross)	**2,577**	**4,335**

W2: Property, plant & equipment				
	Rs. 000			**Rs. 000**
b/d	11,845		Disposal: machinery	2,481
Gain on revaluation			Disposal: building	2,599
[8,000 – 5,963]	2,037		Depreciation	5,280
Cash (balancing)	**16,106**		c/d	19,628
	29,988			29,988

▶ *Example 25:*

Statement of financial position of Taxila Limited (TL) as on 30 June 2020 is as follows:

Assets	2020	2019	Equity & liabilities	2020	2019
	Rs. in million			Rs. in million	
Property, plant and equipment	1,619	1,200	Share capital (Rs. 100 each)	1,200	800
Investment property	290	120	Share premium	290	150
Inventories	205	180	Retained earnings	260	90
Trade receivables	342	291	Revaluation surplus	215	200
Prepayments & other receivables	14	20	Long-term loans	367	445
Short-term investments	60	48	Trade and other payables	144	120
Cash and bank balances	24	6	Current portion of long-term loans	78	60
	2,554	**1,865**		**2,554**	**1,865**

Additional information:

i. Equipment having fair value of Rs. 240 million was acquired by issuing 2 million shares.

ii. As a result of revaluation carried out on 30 June 2020, property, plant and equipment was increased by Rs. 80 million out of which Rs. 35 million was credited to profit and loss account.

iii. During the year, fully depreciated items of property, plant and equipment costing Rs. 36 million were sold for Rs. 8 million out of which Rs. 3 million is still outstanding.

iv. Depreciation on property, plant and equipment for the year amounted to Rs. 290 million.

v. An investment property was acquired for Rs. 180 million. TL applies cost model for subsequent measurement of its investment property.

vi. Financial charges for the year amounted to Rs. 45 million. Trade and other payables include accrued financial charges of Rs. 12 million (2019: Rs. 17 million).

vii. Short-term investments amounting to Rs. 35 million are readily convertible to cash (2019: Rs. 20 million). Investment income for the year amounted to Rs. 6 million.

Required:

Prepare TL's statement of cash flows for the year ended 30 June 2020 in accordance with the requirements of IFRSs.

▶ *Answer:*

Taxila Limited

Statement of cash flows for the year ended 30 June 2020

Cash flows from operating activities		Rs. m
Cash generated from operations	(Note 1)	398
Interest paid	[45 + 17 – 12]	(50)
Net cash from (used in) operating activities		**348**

Cash flows from investing activities		**Rs. m**
Purchase of PPE	**W4**	(389)
Proceeds from disposal of PPE	[8 – 3 receivable]	5
Purchase of investment property		(180)
Proceeds from short term investments	**W5**	9
Net cash from (used in) investing activities		**(555)**
Cash flows from financing activities		
Proceeds from issue of shares	**W6**	300
Repayment of loans	[(367 + 78) – (445 + 60)]	(60)
Net cash from (used in) financing activities		**240**
Net increase in cash and cash equivalents		33
Cash and cash equivalent at the beginning of the year	[6 + 20]	26
Cash and cash equivalent at the end of the year	[24 + 35]	**59**

Note 1: Cash generated from operations (indirect method)		**Rs. m**
Profit before tax	**W1**	140
Adjustments:		
Depreciation (PPE)		290
Depreciation (investment property)	**W3**	10
Gain on disposal	[8 – 0]	(8)
Reversal of revaluation loss in PL		(35)
Investment income		(6)
Finance costs		45
Operating profit		436
Working capital changes:		
Inventories	[205 – 180]	(25)
Trade receivables	[342 – 291]	(51)
Prepayment and other receivables	[(14 – 3) – 20]	9
Trade payables	[(144 – 12) – (120 – 17)]	29
		398

W1: Retained earnings

	Rs. m		Rs. m
Cash (dividend)	0	b/d	90
		Revaluation surplus **W2**	30
c/d	260	**Profit (balancing)**	**140**
	260		260

W2: Revaluation surplus

	Rs. m		Rs. m
Retained earnings (bal.)	**30**	b/d	200
c/d	215	Gain [80 – 35 PL]	45
	245		245

W3: Investment property

	Rs. m		Rs. m
b/d	120	**Depreciation (bal.)**	**10**
Cash	180	c/d	290
	300		300

W4: Property, plant and equipment

	Rs. m		Rs. m
b/d	1,200	Depreciation	290
Gain on revaluation	80	Disposal	-
Share capital & premium	240		
Cash (balancing)	**389**	c/d	1,619
	1,909		1,909

W5: Short term investments

	Rs. m		Rs. m
b/d [48 – 20]	28	Cash (balancing)	9
Profit or loss (income)	6	c/d [60 – 35]	25
	34		34

W6: Share capital and share premium

	Rs. m		Rs. m
		b/d	800
		b/d	150
c/d	1,200	PPE (equipment)	240
c/d	290	**Cash (balancing)**	**300**
	1,490		1,490

▶ *Example 26:*

The statement of financial position of Liaquat Industries as at 31 December 2016 is as follows:

Equity and liabilities	2016	2015	Assets	2016	2015
	------ Rupees ------			------ Rupees ------	
Owner's capital	13,938,060	13,665,280	Freehold land	4,778,400	6,600,000
Long-term loan	1,000,000	1,000,000	Building – WDV	5,057,600	4,171,200
Short term loan	1,331,200	1,531,200	Vehicle – WDV	600,000	800,000
Accounts payable	417,120	694,320	Equipment – WDV	1,643,100	2,112,000
Accrued interest	105,600	63,360	Capital work in progress	1,478,400	1,821,600
			Long-term deposits	580,800	448,800
			Inventory	685,608	320,628
			Accounts receivable	1,273,272	595,452
			Cash	694,800	84,480
	16,791,980	16,954,160		16,791,980	16,954,160

The following information has been extracted from income statement:

	Rupees
Depreciation expenses	932,500
Finance cost	141,872
Gain on sale of fixed assets (net)	98,960
Net profit	1,525,948

Additional information:

i. Details of gain on sale of fixed assets are as follows:

	Rupees
Gain on sale of freehold land	168,960
Loss on disposal of equipment due to fire	(70,000)
	98,960

The loss on disposal of equipment represents the WDV of the equipment. The amount of insurance claim received, amounting to Rs. 30,000 was erroneously credited to accumulated depreciation.

ii. Repairs to building amounting to Rs. 50,000 were erroneously debited to building account on 31 December 2016.

iii. Transfers from capital work in progress to building amounted to Rs. 1,200,000.

iv. The owner withdrew Rs. 150,000 per month.

Required:

Prepare statement of cash flows for the year ended 31 December 2016, in accordance with IAS – 7 using indirect method.

Answer:

Liaquat Industries

Statement of cash flows for the year ended 31 December 2016

Cash flows from operating activities		**Rupees**
Cash generated from operations	(Note 1)	1,131,360
Interest paid	[141,872 + 63,360 – 105,600]	(99,632)
Net cash from (used in) operating activities		**1,031,728**
Cash flows from investing activities		
Cash expenditure on capital work in progress **W4**		(856,800)
Proceeds from disposal of land	[1,821, 600 **W2** + 168,960]	1,990,560
Insurance claim on loss of equipment		30,000
Payment for long term deposits	[580,800 – 448,800]	(132,000)
Net cash from (used in) investing activities		**1,031,760**
Cash flows from financing activities		
Capital invested by owner	**W5**	546,832
Drawings	[150,000 x 12]	(1,800,000)
Repayment of short-term loan	[1,331,200 – 1,531,200]	(200,000)
Net cash from (used in) financing activities		**(1,453,168)**
Net increase in cash and cash equivalents		610,320
Cash and cash equivalent at the beginning of the year		84,480
Cash and cash equivalent at the end of the year		**694,800**

Note 1: Cash generated from operations (indirect method)		**Rupees**
Profit before tax	**W1**	1,505,948
Adjustments:		
Depreciation		932,500
Gain on disposal of land		(168,960)
Loss on disposal of equipment	[70,000 – 30,000 insurance]	40,000
Finance costs		141,872
Operating profit		2,451,360
Working capital changes:		
Inventories	[685,608 – 320,628]	(364,980)
Trade receivables	[1,273,272 – 595,452]	(677,820)
Trade payables	[417,120 – 694,320]	(277,200)
		1,131,360

W1: Corrected profit	Rupees
Net profit as given	1,525,948
Add: Reduction in loss (insurance claim)	30,000
Less: Repair expense	(50,000)
	(20,000)
	1,505,948

W2: Land

	Rupees		Rupees
b/d	6,600,000	**Disposal (bal.)**	**1,821,600**
		c/d	4,778,400
	6,600,000		6,600,000

W3: Depreciable non-current assets

	Rupees		Rupees
b/d (building)	4,171,200	Disposal (equipment)	70,000
b/d (vehicle)	800,000	Depreciation (total)	932,500
b/d (equipment)	2,112,000	c/d (5,057,600 – 50,000)	5,007,600
Capital work in progress	1,200,000	c/d	600,000
		c/d (1,643,100 + 30,000)	1,673,100
	8,283,200		8,283,200

W4: Capital work in progress

	Rupees		Rupees
b/d	1,821,600	Building	1,200,00
Cash (balancing)	**856,800**	c/d	1,478,400
	2,678,400		2,678,400

W5: Owner's capital

	Rupees		Rupees
Drawings [150,000 x 12]	1,800,000	b/d	13,665,280
		Profit **W1**	1,505,948
c/d (13,938,060 – 20,000)	13,918,060	Cash (balancing)	546,832
	15,718,060		15,718,060

Example 27:

Junior Accountant of Drum Limited has prepared the following statement of cash flows for the year ended 31 December 2018:

Statement of cash flows

	Rs. in '000
Cash flows from operating activities	
Increase in retained earnings	1,360
Increase in dividend payable	200
Increase in net trade receivables	(100)
Increase in interest accrued	50
	1,510
Cash flows from investing activities	
Increase in land and building	(2,600)
Increase in equipment	(1,550)
Decrease in inventory	400
Decrease in tax payable	(60)
	(3,810)
Cash flows from financing activities	
Increase in share capital and premium	2,350
Decrease in long term loan	(1,000)
Increase in trade and other payables	600
	1,950
Decrease in cash balance during the year	**(350)**
Opening cash balance	450
Closing cash balance	**100**

Junior Accountant informed you that he has taken the difference of opening and closing balances of each balance sheet item and classified each difference as either operating, investing or financing cash flows. He further informed that the statement is tied up with the cash balances appearing in the balance sheet. He has ignored the following information:

i. Depreciation on building and equipment amounted to Rs. 480,000 and Rs. 810,000 respectively.

ii. During the year, an equipment costing Rs. 560,000 and having a book value of Rs. 310,000 was sold for Rs. 440,000.

iii. Provision for doubtful debts was increased by Rs. 140,000.

iv. Dividend amounting to Rs. 700,000 was paid during the year.

v. Interest and tax expenses for the year amounted to Rs. 378,000 and Rs. 650,000 respectively.

vi. Trade and other payables as at 31 December 2018 included Rs. 950,000 for purchase of land and building.

Required:

Prepare statement of cash flows for the year ended 31 December 2018, in accordance with IAS 7 'Statement of Cash Flows' using indirect method.

▶ *Answer:*

Drum Limited

Statement of cash flows for the year ended 31 December 2018

Cash flows from operating activities		**Rs. 000**
Cash generated from operations	(Note 1)	4,398
Interest paid	[378 – 50]	(328)
Income taxes paid	[650 + 60]	(710)
Net cash from (used in) operating activities		**3,360**
Cash flows from investing activities		
Purchase of land and building	**W3**	(2,130)
Purchase of equipment	**W4**	(2,670)
Proceeds from disposal of equipment		440
Net cash from (used in) investing activities		**(4,360)**
Cash flows from financing activities		
Proceeds from issue of shares		2,350
Dividend paid		(700)
Repayment of loans		(1,000)
Net cash from (used in) financing activities		**650**
Net decrease in cash and cash equivalents		(350)
Cash and cash equivalent at the beginning of the year		450
Cash and cash equivalent at the end of the year		**100**

Note 1: Cash generated from operations (indirect method)		**Rs. 000**
Profit before tax	[2,260 **W1** + 650]	2,910
Adjustments:		
Depreciation	[480 + 810]	1,290
Doubtful debts expense		140
Gain on disposal	[440 – 310]	(130)
Interest expense		378
Operating profit		4,588
Working capital changes:		
Inventories		400
Trade receivables	[100 + 140 provision]	(240)
Trade payables	[600 increase – 950 PPE]	(350)
		4,398

W1: Retained earnings			
	Rs. 000		**Rs. 000**
Dividend **W2**	900	b/d	-
c/d	1,360	**Profit after tax (bal.)**	**2,260**
	2,260		2,260

W2: Dividend payable			
	Rs. 000		**Rs. 000**
Cash	700	b/d	0
c/d	200	**Retained earnings (bal.)**	**900**
	900		900

W3: Land and building			
	Rs. 000		**Rs. 000**
b/d	0	Depreciation	480
Payables	950		
Cash (balancing)	**2,130**	c/d	2,600
	3,080		3,080

W4: Equipment			
	Rs. 000		**Rs. 000**
b/d	0	Disposal	310
Cash (balancing)	**2,670**	Depreciation	810
		c/d	1,550
	2,670		2,670

▶ *Example 28:*

Following are the extracts from the financial statements of Sunday Traders Limited (STL) for the year ended 30 June 2019:

Statement of financial position as on 30 June 2019

Assets	2019	2018	Equity & liabilities	2019	2018
	Rs. in million			Rs. in million	
Property, plant & equipment	8,555	7,240	Share capital (Rs. 100 each)	4,650	3,450
Investment property	1,800	1,120	Share premium	1,600	1,240
Stock in trade	4,800	4,500	Retained earnings	1,652	(655)
Prepayments	184	268	Long term loans	6,024	6,523
Trade receivables	3,800	3,600	Trade payables	3,422	5,390
Cash	194	480	Advance from customers	250	40
			Accrued liabilities	310	180
			Interest payable	135	110
			Current maturity of long-term loans	850	700
			Provision for taxation	440	230
	19,333	**17,208**		**19,333**	**17,208**

Statement of profit or loss for the year ended 30 June 2019

	Rs. in million
Sales	29,700
Cost of sales	(15,750)
Gross profit	13,950
Distribution cost	(6,185)
Administrative cost	(2,302)
Other income	404
Profit before interest and tax	5,867
Interest expense	(1,210)
Profit before tax	4,657
Tax expense	(1,150)
Profit after tax	**3,507**

Additional information:

i. 72% of sales were made on credit.

ii. Depreciation expense for the year amounted to Rs. 750 million which was charged to distribution and administrative cost in the ratio of 3:1.

iii. Distribution cost includes:

- Rs. 40 million in respect of loss on disposal of equipment. The written down value at the time of disposal was Rs. 152 million.
- impairment loss on vehicles amounting to Rs. 24 million.

iv. Loan instalments (including interest) of Rs. 1,984 million were paid during the year.

v. Other income comprises of:

- increase in fair value of investment property amounting to Rs. 220 million.
- rent received from investment property amounting to Rs. 184 million.

vi. During the year, STL issued right shares at premium.

Required:

Prepare STL's statement of cash flows for the year ended 30 June 2019 using direct method and indirect method.

▶ *Answer:*

Sunday Traders Limited

Statement of cash flows for the year ended 30 June 2019

Cash flows from operating activities		Rs. m
Cash generated from operations	(Note 1)	4,233
Interest paid	[1,210 + 110 – 135]	(1,185)
Income taxes paid	[1,150 + 230 – 440]	(940)
Net cash from (used in) operating activities		**2,108**

Cash flows from investing activities		Rs. m
Purchase of property, plant & equipment	**W1**	(2,241)
Proceeds from disposal of PPE	[152 – 40]	112
Purchase of investment property	**W2**	(460)
Rent received from investment property		184
Net cash from (used in) investing activities		**(2,405)**
Cash flows from financing activities		
Proceeds from issue of shares	**W3**	1,560
Dividend paid	**W4**	(1,200)
Repayment of loans	[1,984 – 1,185 interest]	(799)
Loan obtained	**W5**	450
Net cash from (used in) financing activities		**11**
Net decrease in cash and cash equivalents		(286)
Cash and cash equivalent at the beginning of the year		480
Cash and cash equivalent at the end of the year		**194**

Note 1: Cash generated from operations (direct method)		Rs. m
Cash received from customers	(1.1)	29,710
Cash paid to suppliers and employees	(1.2)	(25,477)
		4,233

1.1: Cash received from customers		Rs. m
Revenue		29,700
(Increase) in trade receivables	[3,800 – 3,600]	(200)
Increase in advance from customers	[250 – 40]	210
		29,710

1.2: Cash paid to suppliers and employees	Rs. m
Cost of sales	(15,750)
Distribution costs	(6,185)
Administrative expenses	(2,302)
Other income	404

Adjustments:		
Depreciation		750
Loss on disposal		40
Impairment loss		24
Gain on investment property		(220)
Rent income on investment property		(184)
Working capital changes:		
Inventories	[4,800 – 4,500]	(300)
Prepayments	[184 – 268]	84
Trade payables	[3,422 – 5,390]	(1,968)
Accrued liabilities	[310 – 180]	130
		(25,477)

Note 1: Cash generated from operations (indirect method)		**Rs. m**
Profit before tax		4,657
Adjustments:		
Depreciation		750
Loss on disposal		40
Impairment loss		24
Gain on investment property		(220)
Rent income on investment property		(184)
Finance costs		1,210
Operating profit		6,277
Working capital changes:		
Inventories	[4,800 – 4,500]	(300)
Prepayments	[184 – 268]	84
Trade receivables	[3,800 – 3,600]	(200)
Trade payables	[3,422 – 5,390]	(1,968)
Advance from customers	[250 – 40]	210
Accrued liabilities	[310 – 180]	130
		4,233

W1: Property, plant and equipment

	Rs. m		Rs. m
b/d	7,240	Depreciation	750
Cash (balancing)	**2,241**	Disposal	152
		Impairment	24
		c/d	8,555
	9,481		9,481

W2: Investment property

	Rs. m		Rs. m
b/d	1,120		
Profit or loss (gain)	220		
Cash (balancing)	**460**	c/d	1,800
	1,800		1,800

W3: Share capital and share premium

	Rs. m		Rs. m
		b/d	3,450
c/d	4,650	b/d	1,240
c/d	1,600	**Cash (right issue)**	**1,560**
	6,250		6,250

W4: Retained earnings

	Rs. m		Rs. m
b/d	655	Profit after tax	3,507
Cash (dividend)	**1,200**		
c/d	1,652		
	3,507		3,507

W5: Long term loans (current and non-current)

	Rs. m		Rs. m
Cash [1,984 – 1,185]	799	b/d	6,523
c/d	6,024	b/d	700
c/d	850	**Cash (balancing)**	**450**
	7,673		7,673

▶ *Example 29:*

Following are the extracts from the financial statements of Saguaro Limited (SL) for the year ended 30 June 2021:

Statement of financial position as on 30 June 2021

Assets	2021	2020	Equity & liabilities	2021	2020
	Rs. in million			Rs. in million	
Operating fixed assets	820	848	Share capital (Rs. 10 each)	700	500
Accumulated depreciation	(300)	(262)	Share discount	(40)	-
Capital work in progress	84	-	Retained earnings	220	315
Inventories	274	245	Long-term loans	175	210
Trade receivables	177	204	Trade payables	180	130
Insurance claim	-	31	Accrued expenses	48	43
Advance to supplier	78	60	Current portion of long-term loans	43	40
Cash and bank balances	193	112			
	1,326	**1,238**		**1,326**	**1,238**

Statement of profit or loss for the year ended 30 June 2021

	Rs. in million
Sales	757
Cost of sales	(485)
Gross profit	272
Operating expenses	(310)
Gain on disposal of equipment	17
Loss before interest	(21)

Other information:

i. SL declared a final dividend of 10% on 30 September 2020 which was paid in December 2020.

ii. 20 million shares were issued in May 2021.

iii. Insurance claim was related to plant and machinery destroyed in April 2020. The plant had cost and book value of Rs. 63 million and Rs. 42 million respectively.

iv. During the year, SL disposed of equipment having cost and net book value of Rs. 75 million and Rs. 35 million respectively.

v. Current portion of long-term loans include accrued interest of Rs. 5 million. (2020: Rs. 1 million)

vi. Trade payables include an amount of Rs. 14 million payable against capital work in progress.

Required:

Prepare SL's statement of cash flows for the year ended 30 June 2021 using indirect method and direct method.

Answer:

Saguaro Limited

Statement of cash flows for the year ended 30 June 2021

Cash flows from operating activities		**Rs. m**
Cash generated from operations	(Note 1)	61
Interest paid	[24 + 1 – 5]	(20)
Net cash from (used in) operating activities		**41**
Cash flows from investing activities		
Cash expenditure on CWIP	[84 – 14 payable]	(70)
Proceeds from disposal of PPE	[35 NBV + 17 gain]	52
Cash paid to acquire PPE	**W3**	(47)
Insurance claim on plant received		31
Net cash from (used in) investing activities		**(34)**
Cash flows from financing activities		**Rs. m**
Proceeds from issue of shares	[(700 – 40) – 500]	160
Dividend paid	[500 x 10%]	(50)
Repayment of loans	**W4**	(36)
Net cash from (used in) financing activities		**74**
Net increase in cash and cash equivalents		81
Cash and cash equivalent at the beginning of the year		112
Cash and cash equivalent at the end of the year		**193**

Note 1: Cash generated from operations (indirect method)		**Rs. m**
Net loss	**W1**	(45)
Adjustments:		
Depreciation	**W2**	78
Gain on disposal of equipment		(17)
Finance costs	[45 **W1** – 21 PL]	24
Operating profit		40
Working capital changes:		
Inventories	[274 – 245]	(29)
Trade receivables	[177 – 204]	27
Advance to suppliers	[78 – 60]	(18)
Trade payables	[(180 – 14 CWIP) – 130]	36
Accrued expenses	[48 – 43]	5
		61

Note 1: Cash generated from operations (direct method)		Rs. m
Cash received from customers	(1.1)	784
Cash paid to suppliers and employees	(1.2)	(723)
		61

1.1: Cash received from customers		Rs. m
Revenue		757
Decrease in receivables	[177 – 204]	27
		784

1.2: Cash paid to suppliers and employees		Rs. m
Cost of sales		(485)
Operating expenses		(310)
Gain on disposal of equipment		17
Adjustments:		
Depreciation	**W2**	78
Gain on disposal of equipment		(17)
Working capital changes:		
Inventories	[274 – 245]	(29)
Advance to suppliers	[78 – 60]	(18)
Trade payables	[(180 – 14 CWIP) – 130]	36
Accrued expenses	[48 – 43]	5
		(723)

W1: Retained earnings

	Rs. m		Rs. m
Cash dividend [500 x 10%]	50	b/d	315
Net loss (balancing)	**45**		
c/d	220		
	315		315

W2: Accumulated depreciation

	Rs. m		Rs. m
Disposal [75 – 35]	40	b/d	262
c/d	300	**Depreciation (bal.)**	**78**
	340		340

W3: Operating fixed assets			
	Rs. m		**Rs. m**
b/d	848	Disposal	75
Cash (balancing)	**47**	c/d	820
	895		895

W4: Long term loan (including current portion)			
	Rs. m		**Rs. m**
Cash (balancing)	**36**	b/d	210
c/d	175	b/d [40 – 1]	39
c/d [43 – 5]	38		
	249		249

▶ *Example 30:*

The draft financial statements of Lyallpur Limited (LL) are presented below:

Statement of financial position as at 31 December 2023

Assets	2023	2022	Equity and liabilities	2023	2022
	-- Rs. in million --			-- Rs. in million –	
Property, plant and equipment	555	218	Share capital (Rs. 10 each)	681	410
Accumulated depreciation	(148)	(92)	Share premium	120	50
Investment property	310	210	Retained earnings	130	90
Inventories	275	261	Long-term loans	220	150
Trade receivables	255	230	Trade payables	109	60
Allowance for doubtful debts	(17)	(11)	Accrued expenses	25	21
Prepayments	12	4	Accrued interest	4	6
Cash and bank balances	47	9	Bank overdraft	-	42
	1,289	**829**		**1,289**	**829**

Statement of profit or loss for the year ended 31 December 2023

	Rs. in million
Sales	1,450
Cost of sales	(860)
Gross profit	590
Selling and administrative expenses	(450)
Other income	30
Financial charges	(16)
Net profit	**154**

Additional information:

i. 10 million shares were issued in consideration for the purchase of machinery having a fair value of Rs. 150 million.

ii. Equipment with a cost of Rs. 35 million and accumulated depreciation of Rs. 21 million was sold at a gain of Rs. 5 million.

iii. The fair value model was applied for the subsequent measurement of investment property. During the year, the fair value of the investment property was decreased by Rs. 40 million, and rent amounting to Rs. 25 million was received from the investment property.

iv. Bad debts amounting to Rs. 36 million were written off, while bad debts previously written off, amounting to Rs. 15 million, were recovered.

Required:

Prepare LL's statement of cash flows for the year ended 31 December 2023 using the direct method and indirect method.

Answer:

Lyallpur Limited

Statement of cash flows

For the year ended 31 December 2023

Cash flows from operating activities:		**Rs. m**
Cash generated from operations (N1)		269
Interest paid	[16 expense + 6 opening - 4 closing]	(18)
Net cash from (used in) operating activities		**251**
Cash flows from investing activities:		
Purchase of property, plant and equipment	**W2**	(222)
Sale proceeds from disposal	[35 - 21] + 5 gain	19
Rent income received		25
Purchase of investment property	**W3**	(140)
Net cash from (used in) investing activities		**(318)**
Cash flows from financing activities:		
Issue of shares	**W4**	191
Dividend paid	**W5**	(114)
Loan obtained	[220 - 150]	70
Net cash from (used in) financing activities		**147**
Net increase in cash & cash equivalents		80
Cash and cash equivalents at beginning	[+9 - 42]	(33)
Cash and cash equivalents at end		**47**

N1: Cash generated from operations (direct method)		**Rs. m**
Cash received from customers	**N1.1**	1,404
Cash paid to suppliers and for expenses	**N1.2**	(1,135)
		269

N1.1: Cash received from customers		
Sales		1,450
Increase in receivables	[(255 + 36 bad debts) - 230]	(61)
Bad debts recovered of prior years		15
		1,404

N1.2: Cash paid to suppliers and for expenses		
Cost of sales		(860)
Selling and admin expenses		(450)
Other income		30
Financial charges		(16)
Adjustments:		
Depreciation	**W1**	77
Bad debt written off		36
Bad debts recovered	(because relates to N1.1)	(15)
Doubtful debts	[17 - 11]	6
Gain on disposal		(5)
Rent of investment property		(25)
Fair value loss on investment property		40
Financial charges		16
Working capital changes:		
Increase in inventories	[275 - 261]	(14)
Increase in prepayments	[12 - 4]	(8)
Increase in payables	[109 - 60]	49
Increase in accrued expenses	[25 - 21]	4
		(1,135)

N1: Cash generated from operations (Indirect method)		Rs. m
Profit before tax		154
Adjustments:		
Depreciation	**W1**	77
Bad debt written off		36
Doubtful debts	[17 - 11]	6
Gain on disposal		(5)
Rent of investment property		(25)
Fair value loss on investment property		40
Financial charges		16
Working capital changes:		
Increase in inventories	[275 - 261]	(14)
Increase in receivables	[(255 + 36 Bad debts) - 230]	(61)
Increase in prepayments	[12 - 4]	(8)
Increase in payables	[109 - 60]	49
Increase in accrued expenses	[25 - 21]	4
		269

W1 - Accumulated depreciation

	Rs. m			Rs. m
Disposal (equipment)	21		b/d	92
c/d	148		**Depreciation (PL)**	77
	169			**169**

W2 - Property, plant and equipment

	Rs. m			Rs. m
b/d	218		Disposal	35
Share capital + Premium	150			
Cash	**222**		c/d	555
	590			**590**

W3 - Investment property

	Rs. m			Rs. m
b/d	210		Fair value loss	40
Cash	**140**		c/d	310
	350			**350**

W4 - Share capital + Share premium

	Rs. m			Rs. m
			b/d	410
			b/d	50
c/d	681		Issue against PPE	150
c/d	120		**Cash**	**191**
	801			**801**

W5 - Retained earnings

	Rs. m			Rs. m
Cash (dividend)	**114**		b/d	90
c/d	130		Net profit	154
	244			**244**

1. OBJECTIVE BASED Q&A

1. Faria Limited is involved in the business of furniture. At 1 January 2018 the company's issued share capital consists of 50,000 Re. 1 shares. During the year 2018 company has made a bonus issue of 1 for 5 shares.

   What is impact of bonus issue on cash flows of the business?

   a) Decrease in cash flows from operating activities
   b) Increase in cash flows from financing activities
   c) No impact
   d) Increase in cash generated from operations

2. A company has incurred a loss of Rs. 40,000 during the year 2018; however, the balance in the bank account at end of the year is more than the balance at start of the year.

   What does this mean?

   a) Company has allowed a longer credit period to the credit customers
   b) Company has purchased more stock
   c) Company has made a right issue during the year
   d) Company has purchased fixed assets during the year

3. A company has provided the following information:

	2018 Rs.	2017 Rs.
Share capital	110,000	100,000
Share premium	30,000	40,000

   A bonus issue of 1 for every 10 shares held has been made during the year.

   What is the amount to be reported in cash flow from financing activities for the year 2018?

   a) Rs. 10,000 Inflow
   b) 0
   c) Rs. 10,000 outflow
   d) Cannot be determined

4. A company has provided following balances

	Rs.
Non–current asset – 31 December 2018	125,000
Accumulated depreciation 1 January 2018	25,000
Accumulated depreciation 31 December 2018	38,000

   During the year an asset having cost Rs. 10,000 was sold for Rs. 6,000 and gain on disposal was Rs. 3,000.

   What is the charge for depreciation for the year to be adjusted in statement of cash flows?

   a) Rs. 13,000
   b) Rs. 19,000
   c) Rs. 20,000
   d) Rs. 38,000

5. A company has provided following information as at 31 March 2019:

	2019 Rs.	2018 Rs.
Retained earnings	50,000	38,000

Following adjustments were made during the year 2019:

Dividends paid	Rs. 5,000
Transfer to general reserves	Rs. 12,000
Tax charge	Rs. 4,000

What is the amount of profit before tax for the year 2019 for the purposes of preparing statement of cash flows?

a) Rs. 29,000
b) Rs. 33,000
c) Rs. 24,000
d) Rs. 25,000

6. A company has provided the following data:

	Rs.
Receivables at 1 April 2018	12,000
Receivables at 31 March 2019	25,000
Credit sales during the year	75,000
Discount allowed during the year	3,000

What is the amount to be shown as cash received from customers in statement of cash flows using direct method?

a) Rs. 62,000
b) Rs. 75,000
c) Rs. 59,000
d) Rs. 65,000

7. Which TWO of the following are considered as inflows in a company's statement of cash flows?

a) Bonus shares issued
b) Decrease in accounts receivables
c) Increase in inventory
d) Increase in accounts payables

8. Which of the following item will appear in cash flows from financing activities section of statement of cash flows?

a) Cash paid to acquire non-current assets
b) Dividends paid
c) Bonus shares issued
d) Depreciation for the year

9. Following data is available for a company for the year ended 31 December 2018:

	Rs.
Operating profit before working capital changes	30,000
Increase in accounts receivables	5,000
Increase in inventory	3,000
Increase in accounts payable	2,000
Interest paid	500

What is the net cash generated from cash flows from operating activities for the year ended 31 December 2018?

a) Rs. 23,500
b) Rs. 24,500
c) Rs. 29,500
d) Rs. 19,500

10. Which of the following is an advantage of statement of cash flows?

a) It determines the profitability of a business
b) It helps users to estimate the future expected cash flows of the business
c) It determines the ratio of business debts and equity
d) It helps in determining the net assets of a business

11. A company has made following investments during the year:

	Rs.
6 months Advance rent paid to landlord	30,000
Short term investments bond (highly liquid)	25,000
Debentures purchased- redeemable after 7 years	50,000
Non–current assets purchased	45,000

What is the amount to be shown in investing activities for the year?

a) Rs. 45,000
b) Rs. 150,000
c) Rs. 95,000
d) Rs. 100,000

12. A company has provided following data at the end of year 2017:

	2017 Rs.
Share capital Re. 1 each	100,000
Share premium	3,000

The company has made a right issue of 1 for 5 shares during the year 2018 at Rs. 1.2 per share.

What is the amount to be shown in the cash flows from financing activities?

a) Rs. 24,000 outflow
b) Rs. 24,000 inflow
c) Rs. 20,000 inflow
d) Rs. 4000 inflow

13. How should gain on sale of used equipment be reported in a cash flow statement, using indirect approach?

a) In operating activities as deduction from Profit before tax
b) In investing activities as a reduction in cash inflow
c) In investing activities as an increase in cash inflows
d) In operating activities as addition to profit before tax

14. Which TWO of the following are added as non-cash adjustments to the profit before tax in the cash flow from operating activities section of statement of cash flows?

a) Interest expense
b) Interest income
c) Loss on sale of non–current assets
d) Tax charge for the year

15. Where, in a company are financial statements complying with international accounting standards, should you find the proceeds of non-current assets sold during the period?

a) Statement of cash flows and statement of financial position
b) Statement of changes in equity and statement of financial position
c) Statement of profit or loss and statement of cash flows
d) Statement of cash flows only

16. Zahid & Co. reported a profit Rs. 40,000 for the year, after charging the following:

	Rs.
Depreciation	4,000
Loss on sale of assets	3,000

During the year there was a decrease in accounts receivables of Rs. 1,000.

What was the net cash flow generated from operations based on above data?

a) Rs. 49,000
b) Rs. 48,000
c) Rs. 47,000
d) Rs. 46,000

17. Asmat Limited made a profit for the year of Rs. 320,500, after accounting for depreciation Rs. 32,500. During the year following transactions took place:

	Rs.
Purchase of machinery	125,000
Increase in accounts receivables	45,000
Increase in inventory	28,000
Increase in accounts payable	12,600

What is the net increase in cash and bank balance during the year?

a) Rs. 292,600
b) Rs. 167,600
c) Rs. 353,000
d) None of above

18. A company has provided following information:

	Rs.
4% Loan notes	1,000,000
Interest payable 1 January 2018	10,000
Interest payable 31 December 2018	20,000

What is the amount to be reported as interest paid during the year 2018 in the Statement of Cash Flows?

a) Rs. 30,000
b) Rs. 40,000
c) Rs. 50,000
d) None of above

19. Furqan Limited has provided following information about non–current assets:

	Rs.
Cost as at 1 January 2018	350,000
Cost as at 31 December 2018	450,000

During the year an asset costing Rs. 100,000 and having net book value of Rs. 40,000 was sold at a profit of Rs. 30,000.

What is the net to be shown as outflow in the "Cash flow from investing activities" section in Statement of Cash Flows?

a) Rs. 130,000
b) Rs. 140,000
c) Rs. 270,000
d) Rs. 340,000

20. The following amounts have been calculated for inclusion in the statement of cash flow of House Limited:

	Rs.
Net cash inflow from financing activities	145,000
Net cash outflow from investing activities	160,000
Increase in cash and cash equivalents	24,000
Income taxes paid	65,000
Interest paid	12,000

How much cash has been generated from operations?

a) Rs. 39,000
b) Rs. 63,000
c) Rs. 104,000
d) Rs. 116,000

21. A cash flow statement provides information that enables users to evaluate the changes in:

    a) Solvency
    b) Net assets
    c) Its financial structure
    d) Its liquidity

22. Daily sales and purchases and employee costs comprise:

    a) Operating activities
    b) Investing activities
    c) Financing activity
    d) Component of cash and cash equivalent

23. Which of the following involves a movement of cash?

    a) A rights issue
    b) Depreciation of fixed assets
    c) Creation of a provision for doubtful debts
    d) A bonus issue

24. Activities that result in changes in the size and composition of the equity capital and borrowings of an entity are called:

    a) Operating activities
    b) Investing activities
    c) Financing activity
    d) None of these

25. Which of the following are not the operating activities?

    a) Interest paid
    b) Cash payments of income taxes
    c) Collections from customers
    d) Payment of dividends

26. Amplifier Limited had sales of Rs.120 million during the year. Trade and other receivables increased from Rs.12 million to Rs.16 million, an increase of Rs. 4 million. What amount of cash was received from customers during the year?

    a) Rs.124 million
    b) Rs.116 million
    c) Rs.120 million
    d) None of these

27. Cost of sales for Shah Textile Limited during the year was Rs.100 million. Opening inventory was Rs.20 million and closing inventory was Rs. 28 million. Opening trade payables were Rs.5 million and closing trade payables were Rs.9 million. What amount of cash was paid to suppliers?

    a) Rs.102 million
    b) Rs.104 million
    c) Rs.108 million
    d) Rs.110 million

28. Zaman Limited extracted general ledger from which it shows salaries and wages expense of Rs.50 million during the year. Its cash flow statement reported cash paid to employees of Rs.42 million. The opening balance of accrued salaries and wages was Rs.3.6 million. What was the closing balance for accrued salaries and wages?

    a) Rs.11.6 million
    b) Rs.11.8 million
    c) Rs.4.4 million
    d) Rs.3.8 million

29. Sale proceeds from disposal of property, plant and equipment are classified as:

    a) Financing activities
    b) Operating activities
    c) Investing activities
    d) Either financing or operating activities, depending on which method (direct or indirect) is used to determine cash flows from operating activities

30. Which one of the following events will increase the cash balances of a business?

    a) Loan repayment to banks
    b) Bank granting it an overdraft facility
    c) Debtors paying amounts owed
    d) Sale of stock on credit

31. A company with healthy profits is facing a cash shortage. Which of the following events could account for this?

    a) Delaying payments to creditors
    b) The shortening of the credit period granted to debtors
    c) The recent acquisition of machinery
    d) An increase in dividend proposed by the directors

32. Which one of the following companies is most likely to run into cash flow problems?

    a) A loss making company making components of vital strategic importance to the government
    b) A profitable new retailer about to embark on ambitious expansion plans
    c) A company which has recently sold part of its operations so as to concentrate on its core areas
    d) Reasonably profitable, long established company with no expansion plans

33. What is the immediate effect of making a capital repayment on a loan on cash flow and profits?

    a) On profit - None; On cash – Decrease
    b) On profit - Increase; On cash – Decrease
    c) On profit - Decrease; On cash – Decrease
    d) On profit - Decrease; On cash – None

34. A company has a negative cash flow from operating activities. What could explain this negative cash flow?

    a) High levels of dividend payments
    b) A substantial investment in new fixed assets
    c) A significant decrease in trade payables
    d) The repayment of a loan

35. Which of the following is NOT a cash outflow for the firm?

a) Dividend payments
b) Interest payments.
c) Taxes
d) Bad debts

36. Which of the following would cause negative net cash flow from operating activities?

a) Decrease in depreciation expense
b) A substantial investment in fixed assets
c) A significant increase in credit sales
d) Repayment of a long-term loan

37. In order to survive in the long run, a business must generate positive net cash flow from:

a) investing activities
b) operating activities
c) financing activities
d) both (a) and (b)

38. Which of the following statements is/are correct?

i. Cash flows information cannot be manipulated easily, as compared to profit or loss because it is not affected by different accounting policies.
ii. Cash flows information can be manipulated easily, as compared to profit or loss because it is affected by different accounting estimates.

a) Only (I) is correct
b) Only (II) is correct
c) Both are correct
d) None is correct

39. Which of the following may be presented in both statement of comprehensive income and statement of cash flows?

a) Purchase of non-current assets
b) Issuance of shares
c) Repayment of loan
d) Depreciation

40. Alpha Limited made a profit before tax of Rs. 80,000 in the year just ended after charging depreciation of Rs. 75,000. There was a gain of Rs. 25,000 on disposals of property, plant and equipment. Net working capital excluding cash increased by Rs. 19,000. Income tax paid during the year was Rs. 24,000.

What is the amount of cash generated from operations?

a) Rs. 87,000
b) Rs. 111,000
c) Rs. 125,000
d) Rs. 148,000

41. A company's cash balances have increased from last year. Which of the following events could account for this?
    a) Delayed payments by debtors
    b) Shortening of the credit period by the creditors
    c) Acquisition of a long-term loan at high interest rate
    d) A decrease in final dividend proposed by the directors

42. Which of the following statements is/are correct?
    iii. Statement of cash flows is useful in assessing the ability of the entity to generate cash and cash equivalents.
    iv. Historical cash flows are often a fairly reliable indicator of the amount, timing and certainty of the future cash flows.
    a) Both are correct
    b) Only (I) is correct
    c) Only (II) is correct
    d) None is correct

43. Which TWO of the following may appear in the operating cash flows?
    a) Increase in depreciation expense
    b) Interest received
    c) Dividend paid
    d) Sale proceeds from disposal of property, plant and equipment

44. Alpha company issued 4 million ordinary shares of Rs. 10 par value for purchasing land having a fair value of Rs. 50 million. How should this transaction be reported by Alpha in its statement of cash flows?
    a) It should be reported as financing cash flows.
    b) It should be reported as investing cash flows.
    c) It should not be presented in the statement of cash flows but it will be presented in the notes to the financial statements.
    d) It should be reported as investing cash flows as well as financing cash flows.

45. Beta Limited reported a net loss of Rs. 70,000 after charging depreciation expense of Rs. 81,000. If the working capital (other than cash) has increased by Rs. 8,100, then what is the amount of net cash provided (used) by operating activities?
    a) (Rs. 159,100)
    b) (Rs. 142,900)
    c) Rs. 2,900
    d) Rs. 19,100

46. Which of the following statements is/are correct?
    i. Interest paid may be classified as an operating cash flow or as an investing cash flow.
    ii. Cash flows from operating activities calculated using 'Indirect method' are greater than cash flows from operating activities calculated using 'Direct method'.
    a) Only (I) is correct
    b) Only (II) is correct
    c) Both are correct
    d) None is correct

ANSWERS

01. (c) Bonus issue of shares involves transfer from Reserves to share capital of the company. There is no cash flow involved.

02. (c) The statement indicates that the company had net cash receipts (inflows) despite the losses, which is indicative of receipts of cash by issuing right shares.

03. (b) No cash is paid or received for bonus issue of share capital.

Entry to record bonus issue

	Dr Rs.	CR Rs.
Share premium	10,000	
Share capital		10,000

Share Capital + Share premium			
		b/d 100,000+40,000	140,000
c/d 110,000 + 30,000	140,000		
	140,000		140,000

04. (c)

Accumulated depreciation			
Particulars	**Rs.**	**Particulars**	**Rs.**
Disposal (see below)	7,000	b/f	25,000
c/f	38,000	***Depreciation***	***20,000***
	45,000		45,000

Disposal			
Particulars	**Rs.**	**Particulars**	**Rs.**
Asset	10,000	***Provision for dep. (balancing)***	***7,000***
Gain on disposal	3,000	Cash	6,000
	13,000		13,000

05. (b)

Retained earnings			
Particulars	**Rs.**	**Particulars**	**Rs.**
Dividends paid	5,000	b/f	38,000
Transfer to reserves	12,000	***Profit for the year***	***29,000***
c/f	50,000		
	67,000		67,000

Profit after tax 29,000 + Tax 4,000 = Rs. 33,000 profit before tax

06. (c)

Accounts receivables			
Particulars	**Rs.**	**Particulars**	**Rs.**
b/f	12,000	***Cash (bal.)***	***59,000***
Sales	75,000	Discount allowed	3,000
		c/f	25,000
	87,000		87,000

07. (b) & (d)

Decrease in accounts receivables indicates that they have paid the debt, hence, inflow for us.

Increase in accounts payable indicates that we have not paid them, thus reducing outflows (or increasing cash flows)

Bonus shares issued do not affect cash flows.

Increase in inventory is cash outflows.

08. (b)

Dividend is paid to shareholders who provide finance to the business; therefore, it is treated as financing activity.

Cash paid to acquire non-current assets is shown in investing activities.

Bonus issues have no impact on cash flows of the business.

Depreciation is non-cash item and is adjusted in operating activities.

09. (a)

	Rs.
Operating profit before working capital changes	30,000
Increase in accounts receivables	(5,000)
Increase in inventory	(3,000)
Increase in accounts payable	2,000
Interest paid	(500)
	23,500

10. (b)

Users of financial statements may predict future cash flows from past data of how the entity generates and uses its cash.

Profitability is reflected in statement of comprehensive income.

Debt/Equity and net assets are reflected in statement of financial position.

11. (c)

Only debentures and non – current assets purchased are included in investing activities; Rs. 50,000+45,000= Rs. 95,000

Investment in short term bonds will be considered cash equivalent and advance rent would affect operating activities cash flows.

12. (b)

Shares issued = 100,000/5 = 20,000

Cash received = 20,000xRs.1.2= Rs. 24,000

13. (a)

The gain on disposal in included in profit before tax as other income. This is deducted back in order to determine the cash figure.

14. (a) & (c)

Interest expense is added back as interest paid is separately reported.

Loss on disposal is added back as this is included in profit before tax as an expense.

Interest income is deducted back.

Tax charge need not be added back as already the amount taken is profit before tax.

15. (d) Statement of cash flows only

16. (b)

	Rs.
Profit before tax	40,000
Adjustments for non-cash items	
Depreciation	4,000
Loss on sale of fixed assets	3,000
Operating profit before working capital changes	47,000
Decrease in accounts receivables	1,000
Cash generated from operations	48,000

17. (b)

Cash flows from operating activities	Rs.
Profit before tax	320,500
Depreciation	32,500
Operating profit before working capital changes	353,000
Increase in accounts receivables	(45,000)
Increase in inventory	(28,000)
Increase in accounts payable	12,600
	292,600
Cash flow from investing activities	
Purchase of machinery	(125,000)
	167,600

18. (a)

Interest payable				
Particulars	**Rs.**		**Particulars**	**Rs.**
Cash	30,000		b/f	10,000
c/f	20,000		Interest expense	40,000
	50,000			50,000

Interest expense = Rs. 1,000,000x4%= Rs. 40,000

19. (a) Amounts to be shown in Cash flows from investing activities are;

Cash flows from investing activities	Rs.
Cash paid to acquire assets	(200,000)
Cash received on disposal	70,000
	(130,000)

Non-current assets

Particulars	Rs.	Particulars	Rs.
b/f	350,000	Disposal	100,000
Cash	***200,000***	c/d	450,000
	550,000		550,000

Disposal

Particulars	Rs.	Particulars	Rs.
Asset	100,000	Acc. Dep [100,000 – 40,000]	60,000
Gain on disposal	30,000	***Cash***	***70,000***
	130,000		130,000

20. (d)

	Rs.
Cash generated from operations (β)	116,000
Interest paid	(12,000)
Income taxes paid	(65,000)
Net cash from operating activities (β)	39,000
Net cash outflow from investing activities	(160,000)
Net cash inflow from financing activities	145,000
Increase in cash and cash equivalents	24,000

21.	(d)	Its liquidity
22.	(a)	Operating activities
23.	(a)	A rights issue
24.	(c)	Financing activity
25.	(d)	Payment of dividends
26.	(b)	Rs.116 million (i.e. Sales Rs. 120m – increase in receivables 4m)
27.	(b)	Rs.104 million (i.e. Cost of sales Rs. -100m – increase in inventory 8m + increase in payables 4m = Rs. -104m
28.	(a)	Rs.11.6 million (i.e. Rs. 3.6m + 50m expense – 42m paid)
29.	(c)	Investing activities
30.	(c)	Debtors paying amounts owed
31.	(c)	The recent acquisition of machinery
32.	(b)	A profitable new retailer about to embark on ambitious expansion plans
33.	(a)	On profit - None; On cash – Decrease
34.	(c)	A significant decrease in trade payables
35.	(d)	Bad debts

36.	(c)	A significant increase in credit sales
37.	(b)	Operating activities
38.	(a)	Only (I) is correct
39.	(d)	Depreciation
40.	(b)	PBT 80,000 + Depreciation 75,000 – gain on disposal 25,000 – 19,000 increase in working capital = Rs. 111,000 Cash generated from operations
41.	(c)	Acquisition of a long-term loan at high interest rate
42.	(a)	Both are correct
43.	(b) & (c)	Interest received Dividend paid
44.	(c)	It should not be presented in the statement of cash flows but it will be presented in the notes to the financial statements
45.	(c)	Net loss (Rs. 70,000) + Depreciation 81,000 – Increase in working capital 8,100 = Rs. 2,900
46.	(d)	None is correct

STICKY NOTES

Format

ABC Limited

Statement of cash flows for the year ended 30 June 2023

Cash flows from operating activities		**Rs. m**
Cash generated from (used in) operations	(Note 1)	XX / (X)
Interest paid		(X)
Income taxes paid		(X)
Net cash from (used in) operating activities		**XX /(XX)**
Cash flows from investing activities		
Purchase of non-current assets*		(XX)
Proceeds from disposal of non-current assets*		XX
Purchase of short-term investments		(XX)
Disposal proceeds of short-term investments		XX
Receipt of grant related to assets		XX
Receipt of investment income / rental income / interest /dividend		XX
Net cash from (used in) investing activities		**XX / (XX)**
Cash flows from financing activities		
Proceeds from issue of shares		XX
Dividend paid		(X)
Repayment of long-term and short-term borrowings		(XX)
Long-term and short-term borrowings obtained		XX
Net cash from (used in) financing activities		**XX /(XX)**
Net increase (decrease) in cash and cash equivalents		XX / (XX)
Cash and cash equivalent at the beginning of the year		XX
Cash and cash equivalent at the end of the year		**XX**

*includes property, plant and equipment, investment property, long term investments and long-term deposits etc.

Format

Note 1: Cash generated from operations (direct method)		**Rs. m**
Cash received from customers	(1.1)	XX
Cash paid to suppliers and employees	(1.2)	(XX)
		XX/(X)

1.1: Cash received from customers	**Rs. m**
Revenue	XX
Other income from customers	XX
(Increase) decrease in trade receivables	X / (X)
Increase (decrease) in advance from customers (unearned revenue)	X / (X)
	XX

1.2: Cash paid to suppliers and employees	**Rs. m**
Cost of sales	(XX)
Other expenses	(XX)
Other income	XX
Adjustments:	
Depreciation	X
Amortisation of government grant	(X)
Bad and doubtful debts expense (recovery or reversal)	X / (X)
Loss (gain) on disposal of non-current assets	X / (X)
Loss (gain) on investment property	X /(X)
Impairment (reversal) loss	X /(X)
Revaluation (reversal) loss (to the extent recognised in PL)	X /(X)
Rent income on investment property / investment income	(X)
Working capital changes:	
Inventories	X /(X)
Prepayments	X /(X)
Trade payables	X /(X)
Accrued expenses	X /(X)
	(XX)

Format

Note 1: Cash generated from operations (indirect method)	**Rs. m**
Profit (loss) before tax	X / (X)
Adjustments:	
Depreciation	X
Amortisation of government grant	(X)
Bad and doubtful debts expense (recovery or reversal)	X / (X)
Loss (gain) on disposal of non-current assets	X / (X)
Loss (gain) on investment property	X /(X)
Impairment (reversal) loss	X /(X)
Revaluation (reversal) loss (to the extent recognised in PL)	X /(X)
Rent income on investment property / investment income	(X)
Finance costs	X
Operating profit (loss)	X / (X)
Working capital changes:	
Inventories decrease /(increase)	X /(X)
Trade receivables decrease /(increase)	X /(X)
Prepayments decrease /(increase)	X /(X)
Trade payables increase / (decrease)	X /(X)
Advance from customers or unearned revenue increase / (decrease)	X /(X)
Accrued expenses increase / (decrease)	X /(X)
	XX/(X)

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